

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[930 NE2d 214, 904 NYS2d 293]

In the Matter of JUANITA A., Respondent, v KENNETH MARK N.,
Appellant.

Argued March 25, 2010; decided May 4, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 5, 2009. The Appellate Division affirmed an order of the Family Court, Ontario County (Craig J. Doran, J.), entered May 21, 2008, which had denied respondent's objections to an order of that court (John M. Costello, S.M.), entered March 17, 2008. The March 17, 2008 order had directed respondent to pay child support. The appeal brings up for review two prior orders of that court (Frederick G. Reed, J.), entered October 10, 2007 and December 12, 2007. The October 10, 2007 order had granted petitioner summary judgment on the issue of paternity. The December 12, 2007 order of filiation had adjudged and declared that respondent was the father of petitioner's child.

Matter of Juanita A. v Kenneth Mark N., 63 AD3d 1662, reversed.

HEADNOTE

Children Born out of Wedlock — Paternity Proceeding — Equitable Estoppel

Respondent biological father was entitled to assert an equitable estoppel defense in paternity and child support proceedings brought by petitioner

mother, when the mother had acquiesced in the development of a close relationship between the child and another father figure, and it would have been detrimental to the child's interests to disrupt that relationship. At the time the petition was brought, the child was 12 years old and had lived in an intact family with petitioner and petitioner's boyfriend, whom she had referred to for most of her life as her father. The boyfriend's name appeared on the child's birth certificate and he was the biological father of the child's older and younger siblings. Moreover, petitioner had led respondent to form the reasonable belief that he was not the child's father. Here, respondent properly raised the issue as to whether it was in the child's best interests to have someone besides her mother's boyfriend declared her father late in her childhood. Provided it is used to protect the best interests of the child, equitable estoppel may be used in the offensive posture to enforce parental rights or in the defensive posture to prevent rights from being enforced.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Illegitimate Children §§ 22, 43–45, 59.

CARMODY-WAIT 2d, Support Proceedings §§ 119:284, 119:293.

5 LAW AND THE FAMILY NEW YORK (2d ed) § 4:24.

NY JUR 2d, Domestic Relations §§ 724, 773, 781.

ANNOTATION REFERENCE

See ALR Index under Equitable Estoppel; Legitimacy of Children.

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POINTS OF COUNSEL

Davison Law Office PLLC, Canandaigua (Mary P. Davison of counsel), for appellant. I. The intermediate appellate court erred in affirming the judgment of the Family Court which adjudicated appellant to be the father and imposed on him a duty of support. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of John Robert P. v Vito C.*, 23 AD3d 659; *Matter of Juan A. v Rosemarie N.*, 55 AD3d 827; *Matter of Antonio H. v Angelic W.*, 51 AD3d 1022; *Matter of Bruce W.L. v Carol A.P.*, 46 AD3d 1471, 10 NY3d 707; *Matter of Isaiah A. C. v Faith T.*, 43 AD3d 1048; *Matter of Darlene L.-B. v Claudio B.*, 27 AD3d 564; *Matter of Sharon GG. v Duane HH.*, 95 AD2d 466, 63 NY2d 859; *Matter of Boyles v Boyles*, 95 AD2d 95; *Matter of Charles v Charles*, 296 AD2d 547.) II. Appellant was denied his right to due process

and his right to counsel because the Family Court ordered genetic marker testing without advising him that he had a right to assignment of counsel and a right to an adjournment to confer with counsel. Appellant was further denied his right to effective assistance of counsel, once appointed. The intermediate appellate court erred in finding that trial counsel was not ineffective and that appellant waived review of the magistrate's failure to properly advise him of his rights. (*Matter of Jung* [State Commn. on Jud. Conduct], 11 NY3d 365; *Matter of Ella B.*, 30 NY2d 352; *Matter of Wilson v Bennett*, 282 AD2d 933; *Matter of Brown v Wood*, 38 AD3d 769; *Matter of Machado v Del Villar*, 299 AD2d 361; *Matter of Gaudette v Gaudette*, 263 AD2d 620; *Matter of Hassig v Hassig*, 34 AD3d 1089; *Matter of Delafrange v Delafrange*, 24 AD3d 1044; *Matter of Darryl B.W. v Sharon M.W.*, 49 AD3d 1246; *Matter of Fralix v Thornock*, 9 AD3d 890.)

Susan Gray Jones, Canandaigua, *Law Guardian*. I. The intermediate appellate court correctly affirmed that lower court's adjudication of paternity and declined to apply the doctrine of equitable estoppel. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of Ruby M.M. v Moses K.*, 18 AD3d 471; *Matter of Dowd v Munna*, 306 AD2d 278; *Ocasio v Ocasio*, 276 AD2d 680; *Brian B. v Dionne B.*, 267 AD2d 188; *Matter of Saragh Ann K. v Armando Charles C.*, 67 AD3d 537; *Matter of John Robert P v Vito C.*, 23 AD3d 659; *Purificati v Paricos*, 154 AD2d 360; *Howard S. v Lillian S.*, 62 AD3d 187.) II. Appellant was provided effective assistance of counsel. (*Matter of Laura LL. v Robert LL.*, 186 Misc 2d 642; *Strickland v Washington*, 466 US 668; *Matter of Shangraw v Shangraw*, 61 AD3d 1302; *Matter of Chaquill R.*, 55 AD3d 975; *Matter of St. Lawrence County Support Collection Unit v Cook*, 57 AD3d 1258; *Matter of Yette v Yette*, 39 AD3d 952, 9 NY3d 802; *Matter of Kilmartin v Kilmartin*, 44 AD3d 1099; *Matter of Bryan W.*, 299 AD2d 929; *Matter of Nagi T. v Magdia T.*, 48 AD3d 1061; *Marivel G. v Marcus D.*, 6 Misc 3d 1030[A], 2005 NY Slip Op 50230[U].)

OPINION OF THE COURT

PIGOTT, J.

The issue before this Court is whether a biological father may assert an equitable estoppel defense in paternity and child support proceedings. Under the circumstances of this case, where another father figure is present in the child's life, we hold that he may assert such a claim.

On June 25, 1994, the child, A., was born. At the time, mother was unmarried, but living with Raymond S., who was listed as A.'s father on her birth certificate. Mother and Raymond had a previous child together and, after the birth of A., had another child. When A. was seven years old, during a family dispute, she became aware that Raymond may not be her biological father. At that time, mother called Kenneth at his home in Florida and had him speak with A. The conversation lasted less than 10 minutes, during which time A. asked questions concerning his physical characteristics. Kenneth's attempt to speak with A. a second time was rebuffed by Raymond, who warned Kenneth not to speak to A. again. Kenneth has had no further contact with A.

In 2006, when A. was approximately 12 years old, mother filed the instant petition against Kenneth, seeking an order of filiation and child support. Kenneth appeared before Family Court for the first time by way of telephone. The Support Magistrate advised Kenneth, among other things, that he had the right to admit or deny that he was the father of A. However, he did not advise Kenneth that he had the right to assignment of counsel, or inquire whether he wished to consult with counsel prior to proceeding. Kenneth agreed to the ordered genetic marker testing, which indicated a 99.99% probability that Kenneth is indeed A.'s biological father.

At a hearing in January 2007, Kenneth, having now been assigned counsel, appeared once again via telephone, but protested that he had yet to speak with the lawyer assigned to him. Counsel admitted that he had not spoken to his client, and that the "file fell through the cracks for me." Despite Kenneth's protest, the Support Magistrate proceeded with the hearing. When the issue of equitable estoppel was raised by Kenneth, the Magistrate, lacking the authority to hear that issue, transferred the case to a judge of the Family Court. That court, determining the issue on motion papers and oral argument, held that Kenneth was the father of A. and entered an order of filiation.

The Appellate Division affirmed, holding that the doctrine of equitable estoppel is applicable in paternity proceedings only where it is invoked to further the best interests of the child, and "generally is not available to a party seeking to disavow the allegation of parenthood for the purpose of avoiding child support" (63 AD3d 1662, 1663 [4th Dept 2009]). The court also rejected Kenneth's contention that he was denied effective as-

sistance of counsel (*id.*). We granted leave to appeal (13 NY3d 830 [2009]) and now reverse.

In *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]), we set forth the law applicable to equitable estoppel in paternity and child support proceedings. We noted that the

“purpose of equitable estoppel is to preclude a person from asserting a right after having led another to form the reasonable belief that the right would not be asserted, and loss or prejudice to the other would result if the right were asserted. The law imposes the doctrine as a matter of fairness. Its purpose is to prevent someone from enforcing rights that would work injustice on the person against whom enforcement is sought and who, while justifiably relying on the opposing party’s actions, has been misled into a detrimental change of position” (*id.* at 326).

We concluded that the “paramount” concern in such cases “has been and continues to be the best interests of the child” (*id.*).

Equitable estoppel has been used, as it was in *Shondel J.*, to prevent a man from avoiding child support by claiming that he is not the child’s biological father (*id.* at 328). In such a case, the man has represented himself to be the child’s father and the child’s best interests are served by a declaration of fatherhood. The doctrine in this way protects “the status interests of a child in an already recognized and operative parent-child relationship” (*Matter of Baby Boy C.*, 84 NY2d 91, 102 n [1994]). Here, Kenneth seeks to invoke the doctrine against mother, who led Kenneth to form the reasonable belief that he was not a father and that Raymond is A.’s father. He argues that it is not in A.’s best interest to have her current, child-father relationship with Raymond interrupted.

At the time the instant petition was brought, A. was 12 years old and had lived in an intact family with Raymond and her mother. His name appears on her birth certificate and he is the biological father of her older and younger siblings. For most of A.’s life, she referred to Raymond as father. Thus, Kenneth appropriately raises an issue as to whether it is in A.’s best interest to have someone besides Raymond declared her father this late in her childhood. As a result, we conclude it is proper for him to assert a claim of estoppel to, among other things, protect the status of that parent-child relationship.

We disagree with the Law Guardian's position that a person who has already been determined to be a child's biological father cannot raise an equitable estoppel argument.* Indeed, the doctrine has been used to prevent a biological father from asserting paternity rights when it would be detrimental to the child's interests to disrupt the child's close relationship with another father figure (see e.g. *Matter of Fidel A. v Sharon N.*, 71 AD3d 437 [1st Dept 2010]; *Matter of Richard W. v Roberta Y.*, 240 AD2d 812 [3d Dept 1997]; *Purificati v Paricos*, 154 AD2d 360 [2d Dept 1989]). The same best-interests considerations that justify estopping a biological father from asserting his paternity may justify preventing a mother from asserting it. Indeed, whether it is being used in the offensive posture to enforce rights or the defensive posture to prevent rights from being enforced, equitable estoppel is only to be used to protect the best interests of the child. Therefore, we hold that the doctrine of equitable estoppel may be used by a purported biological father to prevent a child's mother from asserting biological paternity—when the mother has acquiesced in the development of a close relationship between the child and another father figure, and it would be detrimental to the child's interests to disrupt that relationship.

We conclude that a hearing is needed in this case to decide the merits of Kenneth's claim. At that hearing, Raymond must be joined as a necessary party, so that Family Court may consider the nature of his relationship with the child and make a proper determination of A.'s best interests. Consequently, we remit the matter to Family Court for such a hearing and determination.

In view of the foregoing, we need not address Kenneth's remaining issues. However, both the Support Magistrate's failure to advise Kenneth of his right to counsel before genetic testing was done and counsel's failure to consult with Kenneth before the January 2007 hearing are troubling events, which should not have occurred.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Family Court for further proceedings in accordance with this opinion.

* We note that Family Court should have addressed the equitable estoppel issue prior to directing that Kenneth undergo genetic marker tests (see *Shondel J.*, 7 NY3d at 330). The fact that testing was conducted, however, does not bar the court from thereafter deciding the estoppel issue, as *Shondel J.* itself held.

JUANITA A. v KENNETH MARK N. [15 NY3d 1]

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Opinion by PIGOTT, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
SMITH and JONES concur.

Order reversed, etc.

[930 NE2d 217, 904 NYS2d 296]

KIMBERLY HURRELL-HARRING et al., on Behalf of Themselves
and All Others Similarly Situated, Appellants, v STATE OF
NEW YORK et al., Respondents.

Argued March 23, 2010; decided May 6, 2010

SUMMARY

APPEAL, on constitutional and other grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 16, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Albany County (Eugene P. Devine, J.), which had conditionally denied a motion by defendant State of New York to dismiss the complaint by (a) requiring plaintiffs to serve and file a second amended complaint adding the counties of Onondaga, Ontario, Schuyler, Suffolk and Washington as defendants within 30 days, and (b) providing that unless the condition was complied with, defendant's motion to dismiss would be granted in its entirety; (2) granted defendant's motion; and (3) dismissed the complaint.

Hurrell-Harring v State of New York, 66 AD3d 84, modified.

HEADNOTES**Courts — Justiciable Questions — Challenge to Public Defense System — Ineffective Assistance of Counsel**

1. Plaintiffs, who were defendants in various criminal prosecutions ongoing at the time of the action's commencement and sought a declaration that the State's system of providing constitutionally mandated counsel to indigent defendants violated their rights and those of the class they sought to represent, failed to state a justiciable claim based on ineffective assistance of counsel under *Strickland v Washington* (466 US 668 [1984]). General prescriptive relief is unavailable and incompatible with the adjudication of claims alleging constitutionally ineffective assistance of counsel. Effective assistance is a judicial construct designed to do no more than protect an individual defendant's right to a fair adjudication; it is not a concept capable of expansive application to remediate systemic deficiencies. The purpose of the effective assistance guarantee of the Sixth Amendment is not to improve the quality of legal representation, but rather to ensure that criminal defendants receive a fair trial.

Courts — Justiciable Questions — Challenge to Public Defense System — Denial of Assistance of Counsel

2. Plaintiffs, who were defendants in various criminal prosecutions ongoing at the time of the action's commencement and sought a declaration that the State's system of providing constitutionally mandated counsel to indigent defendants violated their rights and those of the class they sought to represent,

stated a justiciable claim for constructive denial of the right to counsel by reason of insufficient compliance with the constitutional mandate of *Gideon v Wainwright* (372 US 335 [1963]). Ten of the 20 plaintiffs were altogether without representation at the arraignments held in their underlying criminal proceedings, and eight of those unrepresented plaintiffs were jailed after bail had been set in amounts they could not afford. The complaint additionally contained allegations sufficient to justify the inference that those deprivations of counsel at critical stages of the proceedings might be illustrative of significantly more widespread practices. In numerous cases, representational denials were allegedly premised on subjective and highly variable notions of indigency, raising possible due process and equal protection concerns. Similarly, the numerous allegations to the effect that counsel, although appointed, were uncommunicative, made virtually no efforts on their nominal clients' behalf during the very critical period subsequent to arraignment, and, indeed, waived important rights without authorization from their clients, might be reasonably understood to allege nonrepresentation rather than ineffective representation. Given the simplicity and autonomy of a claim for nonrepresentation, as opposed to one truly involving the adequacy of an attorney's performance, there was no reason why such a claim could not or should not be brought without the context of a completed prosecution. Assuming the allegations of the complaint to be true, there was considerable risk that indigent defendants are, with a fair degree of regularity, being denied constitutionally mandated counsel. The very serious dangers that the alleged denial of counsel entails outweighed the fairly minimal risks involved in sustaining the closely defined claim of nonrepresentation recognized here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 268, 269; AM JUR 2d, Criminal Law §§ 1097, 1109, 1124.
CARMODY-WAIT 2d, Declaratory Judgments §§ 147:19, 147:20; CARMODY-WAIT 2d, Right to Counsel §§ 184:48, 184:61, 184:62.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.7.
NY JUR 2d, Article 78 and Related Proceedings § 11; NY JUR 2d, Counties, Towns, and Municipal Corporations § 637; NY JUR 2d, Criminal Law: Procedure §§ 761, 795, 804; NY JUR 2d, Declaratory Judgments and Agreed Case §§ 21-23.

ANNOTATION REFERENCE

Modern status of rules and standards in state courts as to adequacy of defense counsel's representation of criminal defendant. 2 ALR4th 27.

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POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (Corey Stoughton, Arthur Eisenberg, Christopher Dunn and Andrew Kalloch of counsel), and *Schulte Roth & Zabel LLP* (Gary Stein, Daniel Greenberg, Azmina Jasani and Kristie M. Blase of counsel), for appellants. I. Plaintiffs have stated a claim for prospective relief from systemic violations of the constitutional right to counsel. (*Gideon v Wainwright*, 372 US 335; *Rothgery v Gillespie County*, 554 US 191; *Maine v Moulton*, 474 US 159; *People v Hilliard*, 73 NY2d 584; *People v Settles*, 46 NY2d 154; *People v Ross*, 67 NY2d 321; *People v Baldi*, 54 NY2d 137; *People v Cunningham*, 49 NY2d 203; *McMann v Richardson*, 397 US 759; *People v Witeniski*, 15 NY2d 392.) II. The Appellate Division erred in holding that the right to counsel is enforced exclusively through individual postconviction actions seeking reversal of a conviction. (*Strickland v Washington*, 466 US 668; *Luckey v Harris*, 860 F2d 1012; *People v Donovan*, 13 NY2d 148; *N.Y. County Lawyers' Assn. v State of New York*, 192 Misc 2d 424; *Nicholson v Williams*, 203 F Supp 2d 153.) III. The Appellate Division erred in holding that plaintiffs' claims will interfere with their ongoing criminal cases such that this action must be dismissed. (*New York County Lawyers' Assn. v Pataki*, 188 Misc 2d 776; *Luckey v Harris*, 860 F2d 1012; *Matter of Oglesby v McKinney*, 7 NY3d 561; *Matter of Taylor v Sise*, 33 NY2d 357; *Matter of Veloz v Rothwax*, 65 NY2d 902; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *Reed v Littleton*, 275 NY 150; *Strickland v Washington*, 466 US 668.) IV. Plaintiffs' claims are justiciable because they allege failure to comply with mandatory and legal constitutional standards. (*Klostermann v Cuomo*, 61 NY2d 525; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Jiggetts v Grinker*, 75 NY2d 411; *McCain v Koch*, 70 NY2d 109; *Gideon v Wainwright*, 372 US 335; *Marbury v Madison*, 1 Cranch [5 US] 137; *King v Cuomo*, 81 NY2d 247; *New York State Bankers Assn. v Wetzler*, 81 NY2d 98.)

Andrew M. Cuomo, Attorney General, Albany (Barbara D. Underwood, Andrea Oser, Denise A. Hartman and Victor Paladino of counsel), for respondents. I. Plaintiffs fail to state a justiciable claim. (*Gideon v Wainwright*, 372 US 335; *People v Witeniski*, 15 NY2d 392; *Maine v Moulton*, 474 US 159; *People v Claudio*, 59 NY2d 556; *Strickland v Washington*, 466 US 668; *People*

v Baldi, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Arthur*, 22 NY2d 325; *People v Settles*, 46 NY2d 154; *People v D'Alessandro*, 13 NY3d 216.) II. This action for declaratory and injunctive relief was properly dismissed because it would interfere with ongoing criminal proceedings and because adequate other remedies exist to address claims for the denial of the right to counsel. (*Matter of Rush v Mordue*, 68 NY2d 348; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Lipari v Owens*, 70 NY2d 731; *Matter of Patel v Breslin*, 45 AD3d 1240; *Matter of Veloz v Rothwax*, 65 NY2d 902; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *Matter of Oglesby v McKinney*, 7 NY3d 561; *Matter of Beneke v Town of Santa Clara*, 9 AD3d 820; *Island Swimming Sales v County of Nassau*, 88 AD2d 990; *O'Shea v Littleton*, 414 US 488.)

Kathleen B. Hogan, District Attorney, Albany (*Morrie I. Kleinbart* of counsel), for District Attorneys Association of the State of New York, amicus curiae. There is no basis to find any violation of a counsel-related right remediable in a civil action. Finding such a violation would do incalculable damage to the ability to effectively litigate such claims in criminal proceedings. (*Matter of Stream v Beisheim*, 34 AD2d 329; *Gideon v Wainwright*, 372 US 335; *Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143; *People v Benevento*, 91 NY2d 708; *People v Claudio*, 83 NY2d 76; *Kimmelman v Morrison*, 477 US 365; *People v Wiggins*, 89 NY2d 872.)

Moskowitz, Book & Walsh, LLP, New York City (*Susan J. Walsh* of counsel), *Norman L. Reimer*, Washington, D.C., *Ivan Dominguez*, *Michael Getnick*, Albany, *Green & Willstatter*, White Plains (*Richard Willstatter* of counsel), *Ann Lesk*, New York City, *Bruce Green*, *Ellen C. Yaroshefsky*, *Adele Bernhard*, White Plains, *Jenny Rivera*, Flushing, and *Steve Zeidman* for National Association of Criminal Defense Lawyers and others, amici curiae. I. The *Strickland* postconviction, remedial standard is the wrong standard in a class action claim seeking prospective relief to halt and prevent system-wide deficiencies in how the State of New York meets its constitutional obligation to provide indigent defendants effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *Williams v Taylor*, 529 US 362; *Wright v West*, 505 US 277; *Kieser v People of State of N.Y.*, 56 F3d 16; *Rompilla v Beard*, 545 US 374; *Luckey v Harris*, 860 F2d 1012, *appeal after remand sub nom. Luckey v Miller*, 976 F2d 673; *United States v Cronin*, 466 US 648; *Geders v United States*, 425

US 80; *Holloway v Arkansas*, 435 US 475; *Kenny A. ex rel. Winn v Perdue*, 356 F Supp 2d 1353.) II. The Sixth Amendment right to effective assistance of counsel is broader than the right to assistance at trial and requires more than the mere appointment of counsel. (*Strickland v Washington*, 466 US 668; *Rothgery v Gillespie County*, 554 US 191; *Brewer v Williams*, 430 US 387; *Michigan v Jackson*, 475 US 625; *Higazy v Templeton*, 505 F3d 161; *Coleman v Alabama*, 399 US 1; *Kirby v Illinois*, 406 US 682; *United States v Gouveia*, 467 US 180; *Estelle v Smith*, 451 US 454; *Moore v Illinois*, 434 US 220.) III. The New York Constitution affords broader protection of the right to effective assistance of counsel and is cognizable prospectively. (*People v Ellwell*, 50 NY2d 231; *People v Belton*, 55 NY2d 49; *People v P.J. Video*, 68 NY2d 296; *People v Torres*, 74 NY2d 224; *People v Dunn*, 77 NY2d 19; *People v Robinson*, 97 NY2d 341; *People ex rel. Ransom v Niagara County*, 78 NY 622; *People v Price*, 262 NY 410; *People v Settles*, 46 NY2d 154; *People v Benevento*, 91 NY2d 708.)

Willkie Farr & Gallagher LLP, New York City (Lawrence O. Kamin, Maor A. Portnoy and Joseph M. Azam of counsel), for the Fund for Modern Courts, amicus curiae. I. Under New York's political question doctrine, the instant case is justiciable. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Jones v Beame*, 45 NY2d 402; *Strickland v Washington*, 466 US 668; *New York County Lawyers' Assn. v State of New York*, 294 AD2d 69; *Jiggetts v Grinker*, 75 NY2d 411; *Matter of Anderson v Krupsak*, 40 NY2d 397; *Bruno v Codd*, 47 NY2d 582; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Klostermann v Cuomo*, 61 NY2d 525.) II. The justiciability of alleged systemic deficiencies denying the constitutional right to counsel to indigent criminal defendants is further confirmed by other courts which have consistently held that this dispute is justiciable. III. Arguments that the amended complaint presents a nonjusticiable political question are flawed. (*Klostermann v Cuomo*, 61 NY2d 525; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *New York County Lawyers' Assn. v Pataki*, 188 Misc 2d 776; *Matter of Anderson v Krupsak*, 40 NY2d 397; *Marbury v Madison*, 1 Cranch [5 US] 137; *Bruno v Codd*, 47 NY2d 582.) IV. Adjudicating constitutional claims is not only within the Judiciary's purview, it is the highest calling

for the courts. (*Duke Power Co. v Carolina Environmental Study Group, Inc.*, 438 US 59; *Powell v McCormack*, 395 US 486; *People v LaValle*, 3 NY3d 88; *People v Scott*, 79 NY2d 474; *Klostermann v Cuomo*, 61 NY2d 525; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Powell v Alabama*, 287 US 45; *New York County Lawyers' Assn. v State of New York*, 294 AD2d 69.) V. The amended complaint presents significant issues that result in serious and immediate individual, familial and societal harms. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *New York County Lawyers' Assn. v State of New York*, 196 Misc 2d 761; *Baba-Ali v State of New York*, 24 Misc 3d 576; *People v Claudio*, 83 NY2d 76; *United States v Cronin*, 466 US 648; *United States ex rel. Williams v Twomey*, 510 F2d 634; *Gideon v Wainwright*, 372 US 335; *Powell v Alabama*, 287 US 45; *N.Y. County Lawyers' Assn. v State of New York*, 192 Misc 2d 424; *McMann v Richardson*, 397 US 759.)

Richards Kibbe & Orbe LLP, New York City (*Lee S. Richards III*, *Arthur S. Greenspan* and *Eric S. Rosen* of counsel), and *Brennan Center for Justice at New York University School of Law* (*David S. Udell* and *Alicia L. Bannon* of counsel), for Michael A. Battle and others, amici curiae. I. The deficient system for defending the indigent alleged in the complaint undercuts the work of prosecutors and damages the integrity of the criminal justice system. (*People v Pelchat*, 62 NY2d 97; *Herring v New York*, 422 US 853; *Gideon v Wainwright*, 372 US 335; *People v DiSimone*, 23 Misc 3d 402; *People v Vilardi*, 76 NY2d 67; *Georgia v McCollum*, 505 US 42; *People v Settles*, 46 NY2d 154; *People v Santorelli*, 95 NY2d 412; *People v Taveras*, 10 NY3d 227.) II. Because courts have the power and responsibility to protect the integrity of the judicial system, this Court should find plaintiffs' claims justiciable. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *New York County Lawyers' Assn. v State of New York*, 294 AD2d 69; *People v Ramos*, 99 NY2d 27; *Wehringer v Brannigan*, 232 AD2d 206, 89 NY2d 980; *Matter of Maron v Silver*, 58 AD3d 102; *N.Y. County Lawyers' Assn. v State of New York*, 192 Misc 2d 424; *Bruno v Codd*, 47 NY2d 582; *Matter of McCoy v Mayor of City of N.Y.*, 73 Misc 2d 508.) III. The State of New York's remaining objections to justiciability lack merit. (*People v Baldi*, 54 NY2d 137; *People v Stultz*, 2 NY3d 277; *Matter of Swinton v Safir*, 93 NY2d 758; *People v Donovan*, 13 NY2d 148; *People v Osorio*, 75 NY2d 80; *Castillo v Henry Schein, Inc.*, 259 AD2d 651; *Andon v* 302-304

Mott St. Assoc., 94 NY2d 740; *Kimmel v State of New York*, 302 AD2d 908; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *People v Rivera*, 71 NY2d 705.)

Davis Polk & Wardwell LLP, New York City (*Daniel F. Kolb*, *Daniel J. O'Neill*, *Jennifer Marcovitz* and *Lara Samet* of counsel), and *Legal Aid Society* (*Steven Banks* and *Janet Sabel* of counsel), for Legal Aid Society, amicus curiae. I. The right to meaningful and effective assistance of counsel represents far more than avoidance of wrongful convictions. (*Argersinger v Hamlin*, 407 US 25; *Gideon v Wainwright*, 372 US 335; *People v Witek*, 15 NY2d 392; *People v Hughes*, 15 NY2d 172; *Powell v Alabama*, 287 US 45; *United States v Cronin*, 466 US 648; *McMann v Richardson*, 397 US 759; *People v Droz*, 39 NY2d 457; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668.) II. A judicial remedy is necessary and appropriate where ineffective assistance of counsel is systemic. (*New York County Lawyers' Assn. v State of New York*, 294 AD2d 69; *New York County Lawyers' Assn. v State of New York*, 196 Misc 2d 761; *Matter of Swinton v Safir*, 93 NY2d 758; *Klostermann v Cuomo*, 61 NY2d 525; *Bruno v Codd*, 47 NY2d 582; *Indiana Protection & Advocacy Servs. Commn. v Commissioner, Ind. Dept. of Correction*, 642 F Supp 2d 872; *Oregon Advocacy Ctr. v Mink*, 322 F3d 1101; *Marbury v Madison*, 1 Cranch [5 US] 137; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27.) III. Systemic deficiencies in a system of indigent defense constrain the ability of assigned counsel to satisfy their professional obligations to clients.

Jonathan E. Gradess, Albany, and *Alfred O'Connor* for New York State Defenders Association, amicus curiae. Ineffective assistance of counsel claims cannot be adequately resolved within the context of criminal case litigation in many counties in New York because overburdened and underfunded public defense lawyers do not file CPL article 440 motions, which are necessary for proper adjudication of these claims. (*Rothgery v Gillespie County*, 554 US 191; *Luckey v Harris*, 860 F2d 1012; *People v Linares*, 2 NY3d 507; *People v Brown*, 45 NY2d 852; *People v Rivera*, 71 NY2d 705; *People v Whitfield*, 44 AD3d 419; *People v Noll*, 24 AD3d 688.)

David Loftis, New York City, *Barry C. Scheck* and *Peter J. Neufeld* for Innocence Project, Inc., amicus curiae. New York's system for indigent defense does not guarantee that New York's

poor will receive the full scope of their right to effective assistance. Additionally, the remedy of *Strickland v Washington* (466 US 668 [1984]) is insufficient to remedy this systemic constitutional wrong. The current system for indigent defense in New York should be subject to systemic reform by the courts, both to ensure the constitutional rights of all criminal defendants and to minimize the risk that innocent defendants are convicted for crimes they did not commit. (*People v Settles*, 46 NY2d 154; *People v Claudio*, 59 NY2d 556; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143; *Youngblood v West Virginia*, 547 US 867; *Strickler v Greene*, 527 US 263; *People v Deskovic*, 201 AD2d 579, 83 NY2d 1003, 210 F3d 354, 531 US 1088; *People v Newton*, 150 AD2d 991, 74 NY2d 816; *Porter v Gramley*, 112 F3d 1308, *cert denied sub nom. Porter v Gilmore*, 523 US 1042.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The Sixth Amendment to the United States Constitution guarantees a criminal defendant “the right to . . . have the Assistance of Counsel for his defence,” and since *Gideon v Wainwright* (372 US 335 [1963]) it has been established that that entitlement may not be effectively denied by the State by reason of a defendant’s inability to pay for a lawyer. *Gideon* is not now controversial either as an expression of what the Constitution requires or as an exercise in elemental fair play. Serious questions have, however, arisen in this and other jurisdictions as to whether *Gideon*’s mandate is being met in practice (*see e.g. Lavalley v Justices in Hampden Superior Ct.*, 442 Mass 228, 812 NE2d 895 [2004]).

In New York, the Legislature has left the performance of the State’s obligation under *Gideon* to the counties, where it is discharged, for the most part, with county resources and according to local rules and practices (*see* County Law arts 18-A, 18-B). Plaintiffs in this action, defendants in various criminal prosecutions ongoing at the time of the action’s commencement in Washington, Onondaga, Ontario, Schuyler and Suffolk counties, contend that this arrangement, involving what is in essence a costly, largely unfunded and politically unpopular mandate upon local government, has functioned to deprive them and other similarly situated indigent defendants in the aforementioned counties of constitutionally and statutorily guaranteed representational rights. They seek a declaration that their rights and those of the class they seek to represent

are being violated and an injunction to avert further abridgment of their right to counsel; they do not seek relief within the criminal cases out of which their claims arise.

This appeal results from dispositions of defendants' motion pursuant to CPLR 3211 to dismiss the action as nonjusticiable. Supreme Court denied the motion, but in the decision and order now before us (66 AD3d 84 [2009]) the sought relief was granted by the Appellate Division. That court held that there was no cognizable claim for ineffective assistance of counsel other than one seeking postconviction relief, and, relatedly, that violation of a criminal defendant's right to counsel could not be vindicated in a collateral civil proceeding, particularly where the object of the collateral action was to compel an additional allocation of public resources, which the court found to be a properly legislative prerogative. Two Justices dissented. They were of the view that violations of the right to counsel were actionable in contexts other than claims for postconviction relief, including a civil action such as that brought by plaintiffs. While recognizing that choices between competing social priorities are ordinarily for the Legislature, this did not, in the dissenters' judgment, excuse the Judiciary from its obligation to provide a remedy for violations of constitutional rights (*id.* at 95), especially when the alleged violations were "so interwoven with, and necessarily implicate[d], the proper functioning of the court system itself" (*id.* at 96).

Plaintiffs have appealed as of right from the Appellate Division's order pursuant to CPLR 5601 (a) and (b) (1). We now reinstate the action, albeit with some substantial qualifications upon its scope.

Defendants' claim that the action is not justiciable rests principally on two theories: first, that there is no cognizable claim for ineffective assistance of counsel apart from one seeking relief from a conviction, and second, that recognition of a claim for systemic relief of the sort plaintiffs seek will involve the courts in the performance of properly legislative functions, most notably determining how public resources are to be allocated.

The first of these theories is rooted in case law conditioning relief for constitutionally ineffective assistance upon findings that attorney performance, when viewed in its total, case specific aspect, has both fallen below the standard of objective reasonableness (*see Strickland v Washington*, 466 US 668, 687-688

[1984]), and resulted in prejudice, either with respect to the outcome of the proceeding (*id.* at 694) or, under this Court’s somewhat less outcome oriented standard of “meaningful assistance,” to the defendant’s right to a fair trial (*People v Benvenuto*, 91 NY2d 708, 713-714 [1998]). Defendants reason that the prescribed, deferential (see *Strickland*, 466 US at 689; *Benvenuto*, 91 NY2d at 712) and highly context sensitive inquiry into the adequacy and particular effect of counsel’s performance cannot occur until a prosecution has concluded in a conviction, and that, once there is a conviction, the appropriate avenues of relief are direct appeals and the various other established means of challenging a conviction, such as CPL article 440 motions and petitions for writs of habeas corpus or coram nobis. They urge, in essence, that the present plaintiffs can, based upon their ongoing prosecutions, possess no ripe claim of ineffective assistance and that any ineffective assistance claims that might eventually be brought by them would, given the nature of the claim, have to be individually asserted and determined; they argue that a finding of constitutionally deficient performance—one necessarily rooted in the particular circumstances of an individual case—cannot serve as a predicate for systemic relief. Indeed, they remind us that the Supreme Court in *Strickland* has noted pointedly that “the purpose of the effective assistance guarantee of the Sixth Amendment is not to improve the quality of legal representation, although that is a goal of considerable importance to the legal system[,] . . . [but rather] to ensure that criminal defendants receive a fair trial” (466 US at 689).

[1] These arguments possess a measure of merit. A fair reading of *Strickland* and our relevant state precedents supports defendants’ contention that effective assistance is a judicial construct designed to do no more than protect an individual defendant’s right to a fair adjudication; it is not a concept capable of expansive application to remediate systemic deficiencies. The cases in which the concept has been explicated are in this connection notable for their intentional omission of any broadly applicable defining performance standards. Indeed, *Strickland* is clear that articulation of any standard more specific than that of objective reasonableness is neither warranted by the Sixth Amendment nor compatible with its objectives:

“More specific guidelines are not appropriate. The Sixth Amendment refers simply to ‘counsel,’ not specifying particular requirements of effective assis-

tance. It relies instead on the legal profession's maintenance of standards sufficient to justify the law's presumption that counsel will fulfill the role in the adversary process that the Amendment envisions. The proper measure of attorney performance remains simply reasonableness under prevailing professional norms . . .

"In any case presenting an ineffectiveness claim, the performance inquiry must be whether counsel's assistance was reasonable considering all the circumstances . . . No particular set of detailed rules for counsel's conduct can satisfactorily take account of the variety of circumstances faced by defense counsel or the range of legitimate decisions regarding how best to represent a criminal defendant. Any such set of rules would interfere with the constitutionally protected independence of counsel and restrict the wide latitude counsel must have in making tactical decisions. Indeed, the existence of detailed guidelines for representation could distract counsel from the overriding mission of vigorous advocacy of the defendant's cause" (466 US at 688-689 [citations omitted]).

We too have for similar reasons eschewed the articulation of more specific, generally applicable performance standards for judging the effectiveness of counsel in the context of determining whether constitutionally mandated representation has been provided (*see People v Benevento*, 91 NY2d at 712; *People v Baldi*, 54 NY2d 137, 146-147 [1981]). This is not to say that performance standards are not highly relevant in assuring that constitutionally effective assistance is provided and in judging whether in a particular case an attorney's performance has been deficient, only that such standards do not and cannot usefully define the Sixth Amendment-based concept of effective assistance. While the imposition of such standards may be highly salutary, it is not under *Strickland* appropriate as an exercise in Sixth Amendment jurisprudence.

Having said this, however, we would add the very important caveat that *Strickland's* approach is expressly premised on the supposition that the fundamental underlying right to representation under *Gideon* has been enabled by the State in a manner that would justify the presumption that the standard of objective reasonableness will ordinarily be satisfied (*see Strick-*

land, 466 US at 687-689). The questions properly raised in this Sixth Amendment-grounded action, we think, go not to whether ineffectiveness has assumed systemic dimensions, but rather to whether the State has met its foundational obligation under *Gideon* to provide legal representation.

Inasmuch as general prescriptive relief is unavailable and indeed incompatible with the adjudication of claims alleging constitutionally ineffective assistance of counsel, it follows that plaintiffs' claims for prospective systemic relief cannot stand if their gravamen is only that attorneys appointed for them have not, so far, afforded them meaningful and effective representation. While it is defendants' position, and was evidently that of the Appellate Division majority, that the complaint contains only performance-based claims for ineffective assistance, our examination of the pleading leads us to a different conclusion.

According to the complaint, 10 of the 20 plaintiffs—two from Washington, two from Onondaga, two from Ontario and four from Schuyler County—were altogether without representation at the arraignments held in their underlying criminal proceedings. Eight of these unrepresented plaintiffs were jailed after bail had been set in amounts they could not afford. It is alleged that the experience of these plaintiffs is illustrative of what is a fairly common practice in the aforementioned counties of arraigning defendants without counsel and leaving them, particularly when accused of relatively low level offenses, unrepresented in subsequent proceedings where pleas are taken and other critically important legal transactions take place. One of these plaintiffs remained unrepresented for some five months and it is alleged that the absence of clear and uniform guidelines reasonably related to need has commonly resulted in denials of representation to indigent defendants based on the subjective judgments of individual jurists.

In addition to the foregoing allegations of outright nonrepresentation, the complaint contains allegations to the effect that although lawyers were eventually nominally appointed for plaintiffs, they were unavailable to their clients—that they conferred with them little, if at all, were often completely unresponsive to their urgent inquiries and requests from jail, sometimes for months on end, waived important rights without consulting them, and ultimately appeared to do little more on their behalf than act as conduits for plea offers, some of which purportedly were highly unfavorable. It is repeatedly alleged that counsel missed court appearances, and that when they did

appear they were not prepared to proceed, often because they were entirely new to the case, the matters having previously been handled by other similarly unprepared counsel.¹ There are also allegations that the counsel appointed for at least one of the plaintiffs was seriously conflicted and thus unqualified to undertake the representation.

[2] The allegations of the complaint must at this stage of the litigation be deemed true and construed in plaintiffs' favor, affording them the benefit of every reasonable inference (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]), the very limited object being to ascertain whether any cognizable claim for relief is made out (*id.*). If there is a discernible claim, that is where the inquiry must end; the difficulty of its proof is not the present concern. The above summarized allegations, in our view, state cognizable Sixth Amendment claims.

It is clear that a criminal defendant, regardless of where-withal, is entitled to “ ‘the guiding hand of counsel at every step in the proceedings against him’ ” (*Gideon v Wainwright*, 372 US at 345, quoting *Powell v Alabama*, 287 US 45, 69 [1932]). The right attaches at arraignment (*see Rothgery v Gillespie County*, 554 US 191, 128 S Ct 2578 [2008]) and entails the presence of counsel at each subsequent “critical” stage of the proceedings (*Montejo v Louisiana*, 556 US —, 129 S Ct 2079 [2009]). As is here relevant, arraignment itself must under the circumstances alleged be deemed a critical stage since, even if guilty pleas were not then elicited from the presently named plaintiffs,² a circumstance which would undoubtedly require the “critical stage” label (*see Coleman v Alabama*, 399 US 1, 9 [1970]), it is clear from the complaint that plaintiffs' pretrial liberty interests were on that occasion regularly adjudicated (*see also* CPL 180.10 [6]) with most serious consequences, both direct and collateral, including the loss of employment and housing, and inability to support and care for particularly needy dependents. There is no question that “a bail hearing is a critical stage of the State's criminal process” (*Higazy v Templeton*, 505 F3d 161, 172 [2d Cir 2007] [internal quotation marks and citation omitted]).

Recognizing the crucial importance of arraignment and the extent to which a defendant's basic liberty and due process

1. This claim, referred to by plaintiffs as one based on “lack of consistent vertical representation,” is raised by each of the four Suffolk County plaintiffs.

2. It is, however, alleged that in the counties at issue pleas are often elicited from unrepresented defendants at arraignment.

interests may then be affected, CPL 180.10 (3) expressly provides for the “right to the aid of counsel at the arraignment and at every subsequent stage of the action” and forbids a court from going forward with the proceeding without counsel for the defendant, unless the defendant has knowingly agreed to proceed in counsel’s absence (CPL 180.10 [5]).³ Contrary to defendants’ suggestion and that of the dissent, nothing in the statute may be read to justify the conclusion that the presence of defense counsel at arraignment is ever dispensable, except at a defendant’s informed option, when matters affecting the defendant’s pretrial liberty or ability subsequently to defend against the charges are to be decided. Nor is there merit to defendants’ suggestion that the Sixth Amendment right to counsel is not yet fully implicated (*see Rothgery*, 554 US at 209).

The cases cited by the dissent in which the allegedly consequential event at arraignment was the entry of a not guilty plea (*United States ex rel. Caccio v Fay*, 350 F2d 214, 215 [2d Cir 1965]; *United States ex rel. Combs v Denno*, 357 F2d 809, 812 [2d Cir 1966]; *United States ex rel. Hussey v Fay*, 220 F Supp 562 [SD NY 1963]; *Holland v Allard*, 2005 WL 2786909, 2005 US Dist LEXIS 46609 [ED NY 2005]) do not stand for the proposition that counsel, as a general matter, is optional at arraignment. Indeed, such a proposition would plainly be untenable since arraignments routinely, and in New York as a matter of statutory design, encompass matters affecting a defendant’s liberty and ability to defend against the charges. The cited cases rather stand for the very limited proposition that where it happens that what occurs at arraignment does not affect a defendant’s ultimate adjudication, a defendant is not on the ground of nonrepresentation entitled to a reversal of his or her conviction. Plaintiffs here do not seek that relief. Rather, they seek prospectively to assure the provision of what the Constitution undoubtedly guarantees—representation at all critical stages of the criminal proceedings. In New York, arraignment is, as a general matter, such a stage.

Also “critical” for Sixth Amendment purposes is the period between arraignment and trial when a case must be factually

3. It does not appear that any of the plaintiffs who were arraigned without counsel and jailed when they could not afford the bail consequently fixed agreed to proceed without a lawyer. The dissent’s assertion (at 32 n 7) that plaintiffs were not “forced” to participate in bail hearings without counsel is, apart from being without any support in the record, irrelevant given the clear entitlement to counsel under the statute, and indeed the Constitution.

developed and researched, decisions respecting grand jury testimony made, plea negotiations conducted, and pretrial motions filed. Indeed, it is clear that “to deprive a person of counsel during the period prior to trial may be more damaging than denial of counsel during the trial itself” (*Maine v Moulton*, 474 US 159, 170 [1985]).

This complaint contains numerous plain allegations that in specific cases counsel simply was not provided at critical stages of the proceedings. The complaint additionally contains allegations sufficient to justify the inference that these deprivations may be illustrative of significantly more widespread practices; of particular note in this connection are the allegations that in numerous cases representational denials are premised on subjective and highly variable notions of indigency, raising possible due process and equal protection concerns. These allegations state a claim, not for ineffective assistance under *Strickland*, but for basic denial of the right to counsel under *Gideon*.

Similarly, while variously interpretable, the numerous allegations to the effect that counsel, although appointed, were uncommunicative, made virtually no efforts on their nominal clients’ behalf during the very critical period subsequent to arraignment, and, indeed, waived important rights without authorization from their clients, may be reasonably understood to allege nonrepresentation rather than ineffective representation. Actual representation assumes a certain basic representational relationship. The allegations here, however, raise serious questions as to whether any such relationship may be really said to have existed between many of the plaintiffs and their putative attorneys and cumulatively may be understood to raise the distinct possibility that merely nominal attorney-client pairings occur in the subject counties with a fair degree of regularity, allegedly because of inadequate funding and staffing of indigent defense providers. It is very basic that

“[i]f no actual ‘Assistance’ ‘for’ the accused’s ‘defence’ is provided, then the constitutional guarantee has been violated. To hold otherwise ‘could convert the appointment of counsel into a sham and nothing more than a formal compliance with the Constitution’s requirement that an accused be given the assistance of counsel. The Constitution’s guarantee of assistance of counsel cannot be satisfied by mere formal appointment.’ *Avery v. Alabama*, 308

U. S. 444, 446 (1940) (footnote omitted)’’ (*United States v Cronin*, 466 US 648, 654-655 [1984]).

While it may turn out after further factual development that what is really at issue is whether the representation afforded was effective—a subject not properly litigated in this civil action—at this juncture, construing the allegations before us as we must, in the light most favorable to plaintiffs, the complaint states a claim for constructive denial of the right to counsel by reason of insufficient compliance with the constitutional mandate of *Gideon*.⁴ The dissent’s conclusion that these allegations assert only performance based claims, and not claims for nonrepresentation, seems to us premature. The picture which emerges from a fair and procedurally appropriate reading of the complaint is that defendants are with some regularity going unrepresented at arraignment and subsequent critical stages. As noted, half the plaintiffs claim to have been without counsel at arraignment, and nearly all claim to have been left effectively without representation for lengthy periods subsequent to arraignment. If all that were involved was a “lumping together of 20 generic ineffective assistance of counsel claims” (dissenting op at 30) we would agree with the dissent that no cognizable claim had been stated, but we do not think that this detailed, multi-tiered complaint meticulously setting forth the factual bases of the individual claims and the manner in which they are linked to and illustrative of broad systemic deficiencies is susceptible of such characterization.

Collateral preconviction claims seeking prospective relief for absolute, core denials of the right to the assistance of counsel cannot be understood to be incompatible with *Strickland*. These are not the sort of contextually sensitive claims that are typically involved when ineffectiveness is alleged. The basic, unadorned question presented by such claims where, as here, the defendant-claimants are poor, is whether the State has met its obligation to provide counsel, not whether under all the circumstances counsel’s performance was inadequate or prejudicial. Indeed, in cases of outright denial of the right to counsel prejudice is presumed. *Strickland* itself, of course, recognizes the critical distinction between a claim for ineffective assistance and one alleging simply that the right to the assistance of counsel has been denied and specifically acknowledges that the

4. We note that *Cronin* is careful to distinguish this distinct claim from one for ineffective assistance (*Cronin*, 466 US at 654 n 11).

latter kind of claim may be disposed of without inquiring as to prejudice:

“In certain Sixth Amendment contexts, prejudice is presumed. Actual or constructive denial of the assistance of counsel altogether is legally presumed to result in prejudice. So are various kinds of state interference with counsel’s assistance. See *United States v. Cronin*, [466 US] at 659, and n. 25. Prejudice in these circumstances is so likely that case-by-case inquiry into prejudice is not worth the cost. *Ante*, at 658. Moreover, such circumstances involve impairments of the Sixth Amendment right that are easy to identify and, for that reason and because the prosecution is directly responsible, easy for the government to prevent” (466 US at 692).

The allegations before us state claims falling precisely within this described category. It is true, as the dissent points out, that claims, even within this category, have been most frequently litigated postconviction, but it does not follow from this circumstance that they are not cognizable apart from the postconviction context. Given the simplicity and autonomy of a claim for nonrepresentation, as opposed to one truly involving the adequacy of an attorney’s performance, there is no reason—and certainly none is identified in the dissent—why such a claim cannot or should not be brought without the context of a completed prosecution.

Although defendants contend otherwise, we perceive no real danger that allowing these claims to proceed would impede the orderly progress of plaintiffs’ underlying criminal actions. Those actions have, for the most part, been concluded,⁵ and we have, in any event, removed from the action the issue of ineffective assistance, thus eliminating any possibility that the collateral adjudication of generalized claims of ineffective assistance might be used to obtain relief from individual judgments of conviction.⁶ Here we emphasize that our recognition that plaintiffs may have claims for constructive denial of counsel should not

5. Defendants’ contention that the action is, in light of this circumstance, moot overlooks the well-established exception to the mootness doctrine for recurring claims of public importance typically evading review (see *Matter of Hearst Corp. v. Clyne*, 50 NY2d 707, 714-715 [1980]).

6. It follows that if plaintiffs’ claims are found to be meritorious after trial, such a determination will not entitle them to vacatur of their criminal convictions. And, although the issue is not specifically raised, we note in the

(n. cont’d)

be viewed as a back door for what would be nonjusticiable assertions of ineffective assistance seeking remedies specifically addressed to attorney performance, such as uniform hiring, training and practice standards. To the extent that a cognizable Sixth Amendment claim is stated in this collateral civil action, it is to the effect that in one or more of the five counties at issue the basic constitutional mandate for the provision of counsel to indigent defendants at all critical stages is at risk of being left unmet because of systemic conditions, not by reason of the personal failings and poor professional decisions of individual attorneys. While the defense of indigents in the five subject counties might perhaps be improved in many ways that the Legislature is free to explore, the much narrower focus of the constitutionally based judicial remedy here sought must be simply to assure that every indigent defendant is afforded actual assistance of counsel, as *Gideon* commands. Plainly, we do not, even while narrowing the scope of this action as we believe the law requires, deny plaintiffs a remedy for systemic violations of *Gideon*, as the dissent suggests. It is rather the dissent that would foreclose plaintiffs from any prospect of obtaining such relief. And, when all is said and done, the dissent's proposed denial is premised solely upon the availability of relief from a judgment of conviction. Neither law, nor logic, nor sound public policy dictates that one form of relief should be preclusive of the other.

As against the fairly minimal risks involved in sustaining the closely defined claim of nonrepresentation we have recognized must be weighed the very serious dangers that the alleged denial of counsel entails. “ ‘Of all [of] the rights that an accused person has, the right to be represented by counsel is by far the most pervasive for it affects his ability to assert any other rights he may have’ ” (*United States v Cronin*, 466 US at 654, quoting Schaefer, *Federalism and State Criminal Procedure*, 70 Harv L Rev 1, 8 [1956]). The failure to honor this right, then, cannot but be presumed to impair the reliability of the adversary process through which criminal justice is under our system of

same connection that, in view of the circumstance that this action will not disturb the progress or outcomes of plaintiffs' criminal actions (*cf. Matter of Lipari v Owens*, 70 NY2d 731 [1987]; *Matter of Veloz v Rothwax*, 65 NY2d 902 [1985]), and that the action seeks relief largely unavailable in the context of the underlying individual criminal actions, the rule generally applicable to bar collateral claims for equitable intervention in ongoing criminal prosecutions (*see e.g. Kelly's Rental v City of New York*, 44 NY2d 700 [1978]) would not be properly relied upon by the State here.

government dispensed. This action properly understood, as it has been by distinguished members of the prosecution and defense bars alike, does not threaten but endeavors to preserve our means of criminal adjudication from the inevitably corrosive effects and unjust consequences of an unfair adversary process.

It is not clear that defendants actually contend that stated claims for the denial of assistance of counsel would be nonjusticiable; their appellate presentation, both written and oral, has been principally to the effect that the claims alleged are exclusively predicated on deficient performance, a characterization which we have rejected. Supposing, however, a persisting, relevant contention of nonjusticiability, it is clear that it would be without merit. This is obvious because the right that plaintiffs would enforce—that of a poor person accused of a crime to have counsel provided for his or her defense—is the very same right that *Gideon* has already commanded the states to honor as a matter of fundamental constitutional necessity. There is no argument that what was justiciable in *Gideon* is now beyond the power of a court to decide.

It is, of course, possible that a remedy in this action would necessitate the appropriation of funds and perhaps, particularly in a time of scarcity, some reordering of legislative priorities. But this does not amount to an argument upon which a court might be relieved of its essential obligation to provide a remedy for violation of a fundamental constitutional right (see *Marbury v Madison*, 1 Cranch [5 US] 137, 147 [1803] [“every right, when withheld, must have a remedy, and every injury its proper redress”]).

We have consistently held that enforcement of a clear constitutional or statutory mandate is the proper work of the courts (see *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307 [1995]; *Jiggetts v Grinker*, 75 NY2d 411 [1990]; *McCain v Koch*, 70 NY2d 109 [1987]; *Klostermann v Cuomo*, 61 NY2d 525 [1984]), and it would be odd if we made an exception in the case of a mandate as well-established and as essential to our institutional integrity as the one requiring the State to provide legal representation to indigent criminal defendants at all critical stages of the proceedings against them.

Assuming the allegations of the complaint to be true, there is considerable risk that indigent defendants are, with a fair degree of regularity, being denied constitutionally mandated counsel in

the five subject counties. The severe imbalance in the adversary process that such a state of affairs would produce cannot be doubted. Nor can it be doubted that courts would in consequence of such imbalance become breeding grounds for unreliable judgments. Wrongful conviction, the ultimate sign of a criminal justice system's breakdown and failure, has been documented in too many cases. Wrongful convictions, however, are not the only injustices that command our present concern. As plaintiffs rightly point out, the absence of representation at critical stages is capable of causing grave and irreparable injury to persons who will not be convicted. *Gideon*'s guarantee to the assistance of counsel does not turn upon a defendant's guilt or innocence, and neither can the availability of a remedy for its denial.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the complaint in accordance with this opinion, and remitting the case to that court to consider issues raised but not determined on the appeal to that court, and, as so modified, affirmed.

PIGOTT, J. (dissenting). There is no doubt that there are inadequacies in the delivery of indigent legal services in this state, as pointed out by the New York State Commission on the Future of Indigent Defense Services, convened by former Chief Judge Kaye. I respectfully dissent, however, because, despite this, in my view, the complaint here fails to state a claim, either under the theories proffered by plaintiffs—ineffective assistance of counsel and deprivation of the right to counsel at a critical stage (arraignment)—or under the “constructive denial” theory read into the complaint by the majority.

The majority rightly rejects plaintiffs' ineffective assistance cause of action; such claims are limited to a case-by-case analysis and cannot be redressed in a civil proceeding. Rather than dismissing that claim, however, the majority replaces it with a “constructive denial” cause of action that, in my view, is nothing more than an ineffective assistance claim under another name.

The allegations in the complaint can be broken down into two categories: (1) the deprivation of “meaningful and effective assistance of counsel,” and (2) the deprivation of the right to counsel at a “critical stage” of the proceedings, i.e., the arraignment. The claims under the former category are many: lack of a sufficient opportunity to discuss the charges with their attorney

or participate in their defense; lack of preparation by counsel; denial of investigative services; lack of “vertical representation;”¹ refusal of assigned counsel to return phone calls or accept collect calls; inability to leave messages on assigned counsel’s answering machine due to a full voicemail box, etc.

The majority rejects plaintiffs’ main claim that the complaint states a cause of action for ineffective assistance of counsel under *Strickland v Washington* (466 US 668 [1984]),² finding “a measure of merit” to defendants’ arguments that such claims are premised on trial counsel’s constitutionally deficient performance and do not form the basis for systemic relief (majority op at 17). I agree, and would affirm the Appellate Division’s determination in that regard, because the *Strickland* standard is limited to whether an individual has received the effective assistance of counsel and cannot be used to attack alleged systemic failures, and the allegations of the complaint support no broader reading.

Rather than stopping at its rejection of the *Strickland* standard with respect to these allegations, however, the majority advances a third theory, and reads the complaint as stating a claim for “constructive denial” of the right to counsel, i.e., that upon having counsel appointed, plaintiffs received only “nominal” representation, such that there is a question as to whether the counties were in compliance with the constitutional mandate of *Gideon* (majority op at 22-23).

In support of this rationale, the majority relies on *United States v Cronic* (466 US 648 [1984]), which recognizes a “narrow exception” to *Strickland*’s requirement that a defendant asserting an ineffective assistance of counsel claim must demonstrate a deficient performance and prejudice (*Florida v Nixon*, 543 US 175, 190 [2004]). In other words, *Cronic*, too, is an ineffective assistance of counsel case—decided on the same day as *Strickland*—but one that allows the courts to find a Sixth Amendment violation “‘without inquiring into counsel’s actual performance or requiring the defendant to show the effect it had on the trial,’ when ‘circumstances [exist] that are so likely

1. Presumably this refers to the fact that in some jurisdictions, a defendant may be represented by one lawyer in the local criminal court and have a different lawyer assigned in superior court.

2. Much of the focus of the majority is on the so-called *Strickland* standard, with respect to ineffective assistance of counsel. However, the “meaningful representation” standard obviously remains the standard to be applied in this state (see *People v Baldi*, 54 NY2d 137 [1981]).

to prejudice the accused that the cost of litigating their effect in a particular case is unjustified' ” (*Wright v Van Patten*, 552 US 120, 124 [2008] [citations omitted]).

Cronic’s “narrow exception” applies to individual cases where: (1) there has been a “complete denial of counsel”; i.e., the defendant is denied counsel at a critical stage of the trial; (2) “counsel entirely fails to subject the prosecution’s case to meaningful adversarial testing”; or (3) “the likelihood that any lawyer, even a fully competent one, could provide effective assistance is so small that a presumption of prejudice is appropriate without inquiry into the actual conduct of the trial” (466 US at 659-660).

Cronic’s holding is instructive, if only to point out that the Supreme Court was reaching the obvious conclusion that, in *individual cases*, the absence or inadequacy of counsel must generally fall within one of those three narrow exceptions.³ Constructive denial of counsel is a branch from the *Strickland* tree, with *Cronic* applying only when the appointed attorney’s representation is so egregious that it’s as if defendant had no attorney at all. Therefore, whether a defendant received ineffective assistance of counsel under *Strickland* or is entitled to a presumption of prejudice under *Cronic* is a determination that can only be made *after* the criminal proceeding has ended; neither approach lends itself to a proceeding like the one at bar where plaintiffs allege prospective violations of their Sixth Amendment rights.

The majority does not explain how it can conclude, on one hand, “that effective assistance is a judicial construct designed to do no more than protect an *individual* defendant’s right to fair adjudication” and “is *not* a concept capable of expansive application to remediate systemic deficiencies” (majority op at 17 [emphasis supplied]), and on the other hand that a “constructive denial” of counsel theory could potentially apply to this class of individuals who, when they commenced the action, had not reached a resolution of their criminal cases. Courts reviewing the rare constructive denial claims have done so by looking

3. Even the defendant in *Cronic* was not entitled to rely on any of the exceptions delineated in that opinion, notwithstanding the fact that his retained counsel withdrew shortly before the trial date and, just 25 days before trial, the court appointed a young lawyer with a real estate practice to represent defendant in a mail fraud case that had taken the Government 4½ years to investigate. Supreme Court held that any errors by counsel at trial were to be examined using the *Strickland* test.

at the particular egregious behavior of the attorney in the particular case *after* the representation has concluded (*see e.g. Burdine v Johnson*, 262 F3d 336 [5th Cir 2001], *cert denied sub nom. Cockrell v Burdine*, 535 US 1120 [2002] [defense counsel slept during capital trial]; *Restrepo v Kelly*, 178 F3d 634 [2d Cir 1999]; *Rickman v Bell*, 131 F3d 1150 [6th Cir 1997], *cert denied* 523 US 1133 [1998] [defense counsel acted as second prosecutor]; *Tippins v Walker*, 77 F3d 682, 686 [2d Cir 1996] [counsel slept through trial]; *Harding v Davis*, 878 F2d 1341 [11th Cir 1989] [constructive denial where counsel responded to defendant's displeasure of his representation by remaining silent and inactive at trial until replaced by the pro se defendant]; *Jenkins v Coombe*, 821 F2d 158, 161 [2d Cir 1987], *cert denied* 484 US 1008 [1988] [filing cursory five-page brief on appeal]).

That is not to say that a claim of constructive denial could never apply to a class where the State effectively deprives indigent defendants of their right to counsel, only that the various claims asserted by plaintiffs here do not rise to that level. Here, plaintiffs' complaint raises basic ineffective assistance of counsel claims in the nature of *Strickland*⁴ (i.e., counsel was unresponsive, waived important rights, failed to appear at hearings, and was unprepared at court proceedings) and not the egregious type of conduct found in *Cronic*. Plaintiffs' mere lumping together of 20 generic ineffective assistance of counsel claims into one civil pleading does not ipso facto transform it into one alleging a systemic denial of the right to counsel.

Addressing plaintiffs' second theory—deprivation of the right to counsel at the arraignment—the majority posits that plaintiffs have stated a cognizable claim because 10 of them were arraigned without counsel, and eight of those remained in custody because they could not meet the bail that was set (majority op at 19).

It is undisputed that a criminal defendant “ ‘requires the guiding hand of counsel at every step in the proceedings against him’ ” (*Gideon v Wainwright*, 372 US 335, 345 [1963], quoting *Powell v Alabama*, 287 US 45, 69 [1932]). But the majority's bare conclusion that any arraignment conducted without the presence of counsel renders the proceedings a violation of the Sixth Amendment flies in the face of reality.

4. Nor, in my view, are such claims any different from the generic ineffective assistance of counsel claims routinely analyzed by state courts under this State's “meaningful representation” standard as enunciated in *Baldi*.

The framework of CPL article 180 illustrates this point.⁵ That provision presupposes that a criminal defendant, upon arraignment, may not have yet retained counsel or, due to indigency, requires the appointment of one. CPL 180.10 mandates that, in addition to apprising him of, and furnishing him with, a copy of the charges against him (*see* CPL 180.10 [1]), the court must also inform an unrepresented defendant that he is entitled to, among other things, “an adjournment for the purpose of obtaining counsel” (CPL 180.10 [3] [a]) and the appointment of counsel by the court if “he is financially unable to obtain the same” (CPL 180.10 [3] [c]).⁶ The court must also give the defendant the opportunity to avail himself of those rights and “must itself take such affirmative action as is necessary to effectuate them” (CPL 180.10 [4]). This statute is a prophylactic one whose purpose is to protect a defendant’s Sixth Amendment rights because, even in a situation where a defendant chooses to go forward without counsel, “the court must permit him to do so if it is satisfied that he made such decision with knowledge of the significance thereof” and, in a situation where it is not so satisfied, may decide not to proceed until defendant obtains or is appointed counsel (CPL 180.10 [5]).

Giving plaintiffs the benefit of every favorable inference (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]), the complaint nevertheless fails to state a cause of action for the deprivation of the right to counsel at arraignment. One reason is that there is no allegation that the failure to have counsel at one’s first court appearance had an adverse effect on the criminal proceedings. The Second Circuit has rejected the assertion “that the absence of counsel upon arraignment is an inflexible, per se violation of

5. CPL 180.10 addresses the procedure to be followed at a defendant’s arraignment on a felony complaint and the defendant’s rights in that regard. Other provisions of the Criminal Procedural Law contain similar requirements. For instance, CPL 210.15 addresses the scenario where a defendant is arraigned on an indictment; however, in the latter scenario, the court’s duties and responsibilities to apprise a defendant of his rights when appearing without counsel are essentially the same. CPL 170.10 addresses arraignments relative to an information, simplified traffic information, prosecutor’s information or misdemeanor complaint, and sets forth the procedures the court must follow in apprising a defendant of his right to counsel and/or assignment of counsel.

6. Indeed, the Supreme Court of the United States has favorably cited to CPL 180.10 in support of its observation that New York is one of the 43 states that “take the first step toward appointing counsel ‘before, at or just after initial appearance’ ” (*Rothgery v Gillespie County*, 554 US 191, 204 and n 14 [2008]).

the Sixth Amendment” (*United States ex rel. Caccio v Fay*, 350 F2d 214, 215 [2d Cir 1965]). Where a criminal defendant is arraigned without the presence of counsel and pleads not guilty—or the court enters a not guilty plea on his behalf—there is no Sixth Amendment violation (see *United States ex rel. Combs v Denno*, 357 F2d 809, 812 [2d Cir 1966]; *United States ex rel. Hussey v Fay*, 220 F Supp 562 [SD NY 1963]; see also *Holland v Allard*, 2005 WL 2786909, 2005 US Dist LEXIS 46609 [ED NY 2005]). The explanation as to why this is so is simple:

“Under New York law, a defendant suffers no . . . prejudice [by the imposition of a not guilty plea on arraignment without benefit of counsel], for whatever counsel could have done upon arraignment on defendant’s behalf, counsel were free to do thereafter. There is nothing in New York law which in any way prevents counsel’s later taking advantage of every opportunity or defense which was originally available to a defendant upon his initial arraignment” (*Hussey*, 220 F Supp at 563, citing *People v Combs*, 19 AD2d 639 [2d Dept 1963]).

As pleaded, none of the 10 plaintiffs arraigned without counsel entered guilty pleas and, indeed, in compliance with the strictures of CPL 180.10, all met with counsel shortly after the arraignment. Nor is there any claim that the absence of counsel prejudiced these plaintiffs (*cf. White v Maryland*, 373 US 59 [1963] [petitioner, at initial proceeding without counsel, pleaded guilty without the knowledge that even if that plea was vacated after counsel was appointed, it was still admissible at trial, such that lack of counsel at initial proceeding required reversal of conviction]; *Hamilton v Alabama*, 368 US 52, 54 [1961] [denial of counsel at arraignment was reversible error where, under Alabama law, certain defenses had to be asserted during that proceeding or could have been “irretrievably lost”]).

The majority implies that the complaint pleads a *Gideon* violation because certain of the plaintiffs were not represented when the court arranged for the imposition of bail at the arraignment (see CPL 170.10 [7]; 180.10 [6]; 210.15 [6]).⁷ Quite often this initial appearance inures to the benefit of defendant who may

7. The majority observes that a bail hearing is a critical stage of the criminal process (majority op at 20). While that may be a correct statement of the law, it has little application to these facts, as none of these plaintiffs asserts that they were forced to participate in a bail hearing without the aid of counsel.

be released on his own recognizance or on manageable bail within hours of arrest. The only substantive allegations plaintiffs make relative to bail is that assigned counsel failed to advocate for lower bail at the arraignment or move for a bail reduction post-arraignment. If anything, the complaint alleges a claim for ineffective assistance of counsel under the federal or state standard, but the majority has rejected such a claim in this litigation (majority op at 17-19).

Finally, the majority notes that plaintiffs do not seek relief within the context of their own criminal cases, and therefore allowing plaintiffs to proceed on their claims “would [not] impede the orderly progress of [the] underlying criminal actions,” asserting that even if plaintiffs’ claims are found to be meritorious after trial they would not be entitled to a vacatur of their criminal convictions (majority op at 24 and 25 n 6). In my view, if plaintiffs are able to establish a violation of *Gideon*, they should not be foreclosed from seeking a remedy; if plaintiffs are willing to waive any remedy to which they may be entitled, as they are doing here, then I see no reason why the courts have any business adjudicating this matter.

While the perfect system of justice is beyond human attainment, plaintiffs’ frustration with the deficiencies in the present indigent defense system is understandable. Legal services for the indigent have routinely been underfunded, and appointed counsel are all too often overworked and confronted with excessive caseloads, which affects the amount of time counsel may spend with any given client. Many, if not all, of plaintiffs’ grievances have been acknowledged in the Kaye Commission Report, which is implicitly addressed—as it should be—to the Legislature, the proper forum for weighing proposals to enhance indigent defense services in New York. This complaint is, at heart, an attempt to convert what are properly policy questions for the Legislature into constitutional claims for the courts.

Accordingly, I would affirm the order of the Appellate Division.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order modified, etc.

[930 NE2d 259, 904 NYS2d 338]

REGAL CONSTRUCTION CORPORATION et al., Appellants, v NATIONAL UNION FIRE INSURANCE COMPANY OF PITTSBURGH, PA, Respondent, et al., Defendant.

Argued May 5, 2010; decided June 3, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 14, 2009. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Debra A. James, J.; op 19 Misc 3d 1122[A], 2008 NY Slip Op 50816[U]), which had (1) denied plaintiffs' motion for summary judgment; (2) granted defendants' cross motion for summary judgment; and (3) declared that plaintiff Insurance Corporation of New York was obligated to provide defense and indemnification to defendant URS Corporation in an underlying personal injury action.

Regal Constr. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa., 64 AD3d 461, affirmed.

HEADNOTE

Insurance — Duty to Defend and Indemnify — Scope of Additional Insured Endorsement

Plaintiff insurer, which had issued a commercial general liability policy to its insured, the prime contractor on a renovation project, was obligated to defend and indemnify defendant construction manager, which was named as an additional insured, in the underlying personal injury action commenced by an employee of the prime contractor who was injured when he slipped on a recently-painted metal joist at the work site. The additional insured endorsement provided that the construction manager was an additional insured "only with respect to liability arising out of [the prime contractor's] ongoing operations." The phrase "arising out of" in an additional insured clause means originating from, incident to, or having connection with, and requires only that there be some causal relationship between the injury and the risk for which coverage is provided. Although plaintiffs alleged that it was the construction manager's employees who painted the joist on which the employee slipped, and the underlying complaint alleged negligence on the part of the construction manager and not the prime contractor, the focus of the inquiry was not on the precise cause of the accident but the general nature of the operation in the course of which the injury was sustained. Here, there was a connection between the accident and the prime contractor's work, as the injury was sustained by the prime contractor's own employee while he supervised and gave instructions to a subcontractor regarding work to be performed. Accordingly, the injury "ar[ose] out of" the prime contractor's operations notwithstanding the construction manager's alleged negligence,

and fell within the scope of the additional insured clause of the insurance policy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 692, 1396, 1400.
COUCH ON INSURANCE (3d ed) § 200:21.
NY JUR 2d, Insurance §§ 1628, 1642, 2079, 2103.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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POINTS OF COUNSEL

Melito & Adolfsen P.C., New York City (*Louis G. Adolfsen, S. Dwight Stephens* and *Steven G. Adams* of counsel), and *New York Liquidation Bureau* (*Andrew J. Lorin, James E. d'Auguste* and *Judy H. Kim* of counsel) for appellants. URS Corporation is not entitled to coverage under the additional insured endorsement because Ronald LeClair's injury did not arise out of Regal Construction Corporation's demolition and renovation operations performed for URS. (*Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *USI Capital & Leasing v Chertock*, 172 AD2d 235; *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708; *American Ref-Fuel Co. of Hempstead v Resource Recycling*, 248 AD2d 420; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Caporino v Travelers Ins. Co.*, 62 NY2d 234; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46, 66 NY2d 1020; *Turner Constr. Co. v American Mfrs. Mut. Ins. Co.*, 485 F Supp 2d 480; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Chelsea Assoc., LLC v Laquila-Pinnacle*, 21 AD3d 739.)

Law Offices of Beth Zaro Green, Brooklyn (*William J. Cleary* of counsel), for respondent. I. Ronald LeClair's accident occurred in the course of his employment with Regal Construction Corporation and therefore necessarily arose from Regal's operations. (*Worth Constr. Co., Inc. v Admiral Ins. Co.*, 10 NY3d 411; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Chelsea Assoc., LLC v Laquila-Pinnacle*, 21 AD3d 739; *O'Connor*

v Serge El. Co., 58 NY2d 655; *New York Univ. v Royal Ins. Co.*, 200 AD2d 527; *Travelers Indem. Co. v Commerce & Indus. Ins. Co. of Can.*, 28 AD3d 914; *Longwood Cent. School Dist. v American Empls. Ins. Co.*, 35 AD3d 550; *Consolidated Edison Co. of N.Y. v Hartford Ins. Co.*, 203 AD2d 83; *Brown v Two Exch. Plaza Partners*, 76 NY2d 172; *Consolidated Edison Co. of N.Y. v United States Fid. & Guar. Co.*, 266 AD2d 9.) II. Appellants' position is both factually and legally flawed. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Zuckerman v City of New York*, 49 NY2d 557; *Kalil v Zissis*, 281 AD2d 397; *Olmedo v Port Auth. of N.Y. & N.J.*, 256 AD2d 319; *Abbenante v Tyree Co.*, 228 AD2d 529; *AIU Ins. Co. v American Motorists Ins. Co.*, 8 AD3d 83; *Worth Constr. Co., Inc. v Admiral Ins. Co.*, 10 NY3d 411; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *O'Connor v Serge El. Co.*, 58 NY2d 655.)

OPINION OF THE COURT

CIPARICK, J.

Once again, we are asked to determine the obligation of an insurer to defend and indemnify an additional insured for potential liability arising out of the operations of the primary insured (see e.g. *Worth Constr. Co., Inc. v Admiral Ins. Co.*, 10 NY3d 411 [2008]). The City of New York engaged URS Corporation (URS) as the construction manager for a renovation project at Rikers Island. By written agreement dated March 22, 1999, URS hired plaintiff Regal Construction Corporation (Regal) to serve as a prime contractor for general construction at the project, including demolition and renovation. The written agreement between Regal and URS required Regal to procure a commercial general liability (CGL) insurance policy naming URS as an additional insured. Accordingly, Regal obtained a CGL insurance policy from plaintiff Insurance Corporation of New York (INSCORP), which named URS as an "additional insured." The policy provided that Regal's insurance covered URS "only with respect to liability arising out of [Regal's] ongoing operations performed for [URS]" (emphasis added).

In March 2001, Regal's project manager, Ronald LeClair, was walking through the facility with Regal's superintendent and an employee of Regal's demolition subcontractor. Because the area was in the process of demolition, the flooring consisted of temporary sheets of plywood spread over steel floor joists. LeClair stepped from the plywood onto a floor joist to indicate a wall that needed to be demolished. According to LeClair, the

joist on which he stepped had been recently painted and the paint caused him to slip, resulting in a back injury. LeClair claimed that an unnamed person from URS told him that URS employees had painted the joist.

In 2003, LeClair commenced a personal injury action against the City and URS. While LeClair did not name his employer, Regal, as a defendant, URS forwarded a copy of the complaint to Regal and its insurer, INSCORP, demanding a defense and indemnification based on the additional insured clause of the CGL policy. In April 2003, INSCORP informed URS by letter that it was reviewing the incident, and reserved its right to disclaim coverage at a later date if it determined that URS was not entitled to coverage under the policy. INSCORP thereafter accepted URS's tender of its defense.¹ Subsequently, however, Regal and INSCORP commenced this declaratory judgment action against URS and its insurer, National Union Fire Insurance Company, seeking a declaration that URS was not entitled to coverage as an additional insured under the INSCORP policy.

Supreme Court granted judgment in favor of URS and its insurer, concluding that LeClair's injury arose out of Regal's work (19 Misc 3d 1122[A], 2008 NY Slip Op 50816[U]). Regal and INSCORP appealed.² The Appellate Division affirmed, with two Justices dissenting (64 AD3d 461 [2009]), and we now affirm.

An insurer's duty to defend its insured is “ ‘exceedingly broad’ ” (*BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708, 714 [2007], quoting *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131, 137 [2006]). An “insurer will be called upon to provide a defense whenever the allegations of the complaint suggest . . . a reasonable possibility of coverage” (*id.*, quoting *Cook*, 7 NY3d at 137 [internal quotation marks omitted]). “If [a] complaint contains any facts or allegations which bring the claim even potentially within the protection purchased, the insurer is obligated to defend” (*id.*, quoting *Technicon Elecs. Corp. v American Home Assur. Co.*, 74 NY2d 66, 73 [1989] [internal quotation marks omitted]). This standard applies equally to additional insureds and named insureds (*see id.* at 714-715, citing *Pecker Iron Works of N.Y. v Traveler's Ins. Co.*, 99 NY2d 391, 393 [2003]).

1. A third-party action commenced by URS against Regal was discontinued in March 2004.

2. During the pendency of this action, the parties to the underlying personal injury action reached a settlement.

The additional insured endorsement at issue here provides that URS is an additional insured under the CGL policy issued by INSCORP to Regal “only with respect to liability arising out of [Regal’s] ongoing operations.” We have interpreted the phrase “arising out of” in an additional insured clause to mean “originating from, incident to, or having connection with” (*Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467, 472 [2005] [internal quotation marks and citations omitted]). It requires “only that there be some causal relationship between the injury and the risk for which coverage is provided” (*id.*).

Here, Regal’s employee, LeClair, was walking through the work site to indicate additional walls that needed to be demolished by Regal’s subcontractor when he slipped on a recently-painted metal joist. Although Regal and INSCORP contend that LeClair’s injury did not arise from Regal’s demolition and renovation operations performed for URS, but that it was URS employees who painted the joist on which LeClair slipped, the focus of the inquiry “is not on the precise cause of the accident but the general nature of the operation in the course of which the injury was sustained” (*Worth*, 10 NY3d at 416 [internal quotation marks and citation omitted]). Accordingly, the injury “ar[ose] out of” Regal’s operations notwithstanding URS’s alleged negligence, and fell within the scope of the additional insured clause of the insurance policy.

Regal and INSCORP’s reliance on *Worth* to argue otherwise is misplaced. In that case, a subcontractor, Pacific Steel, Inc. (Pacific), hired to install stairs at a construction project, obtained a CGL policy naming the general contractor, Worth Construction Co. (Worth), as an additional insured (*id.* at 413). After Pacific completed the initial installation, it turned the project over to Worth, who hired a different subcontractor to pour cement over the steel stair “pans.” After the cement was poured, Pacific was to return to install handrails. However, prior to Pacific’s return to the job site, an employee of a different subcontractor slipped and fell on fireproofing which had been installed by yet a third subcontractor (*see id.* at 413-414). Pacific played no role in the installation of the fireproofing. Worth sought to invoke the protection of the additional insured clause of the CGL policy procured by Pacific, but we rejected Worth’s argument that the injury arose out of Pacific’s operations. Specifically, we explained that it was

“evident that the general nature of Pacific’s opera-

tions involved the installation of a staircase and handrails. An entirely separate company was responsible for applying the fireproofing material. At the time of the accident, Pacific was not on the job site, having completed construction of the stairs, and was awaiting word from Worth before returning to affix the handrails” (*id.* at 416).

We went on to characterize the staircase as “merely the situs of the accident,” concluding that there was no connection between the accident and Pacific’s work (*id.*).

This case is factually distinct from *Worth*. Here, there was a connection between the accident and Regal’s work, as the injury was sustained by Regal’s own employee while he supervised and gave instructions to a subcontractor regarding work to be performed. That the underlying complaint alleges negligence on the part of URS and not Regal is of no consequence, as URS’s potential liability for LeClair’s injury “ar[ose] out of” Regal’s operation and, thus, URS is entitled to a defense and indemnification according to the terms of the CGL policy.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[930 NE2d 264, 904 NYS2d 343]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TEOFILO DIAZ, Appellant.

Argued April 28, 2010; decided June 8, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 17, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (John M. Leventhal, J.; *see* 3 Misc 3d 686), which had convicted defendant, upon a jury verdict, of murder in the second degree, criminal contempt in the first degree (two counts) and endangering the welfare of a child.

People v Diaz, 62 AD3d 157, affirmed.

HEADNOTES

Crimes — Disclosure — Notice of Intention to Offer Psychiatric Evidence — Lay Testimony in Support of Affirmative Defense of Extreme Emotional Disturbance

1. Defendant, who was charged with murder in the second degree and sought to raise the affirmative defense of extreme emotional disturbance, was required to provide notice to the People pursuant to CPL 250.10 notwithstanding that defendant's intent was to rely solely on lay testimony to prove the defense. Under CPL 250.10 (2), a defendant is precluded from raising any defense predicated on a mental infirmity, including extreme emotional disturbance, if the defendant fails to file and serve a timely notice of intent to present psychiatric evidence. "Psychiatric evidence" is statutorily defined as "[e]vidence of mental disease or defect" to be offered in connection with the defenses of lack of criminal responsibility by reason of mental disease or defect (i.e., insanity), extreme emotional disturbance or any other defense (CPL 250.10 [1] [a], [b], [c]). Psychiatric evidence is not limited to evidence obtained by means of a psychiatric examination of the defendant for purposes of CPL 250.10. The aims of CPL 250.10's notice requirement—preventing unfair surprise and allowing the People an opportunity to obtain evidence from any source, expert or otherwise—are implicated whether a defendant seeks to establish a mental infirmity through expert or lay testimony, whether by the defendant or other persons, such as witnesses to the events related to the crimes charged. Consequently, for purposes of the notice provision, psychiatric evidence, which has been broadly construed to encompass "any" mental health evidence offered by a defendant, includes lay testimony.

Crimes — Disclosure — Notice of Intention to Offer Psychiatric Evidence — Lay Testimony in Support of Affirmative Defense of Extreme Emotional Disturbance — Examination of Defendant by Prosecution's Expert

2. In a prosecution for murder in the second degree in which the defendant was required under CPL 250.10 (2) to provide notice of his intention to raise

the affirmative defense of extreme emotional defense, the trial judge was authorized by CPL 250.10 (3) to compel defendant to submit to an examination by the People's psychiatrist notwithstanding defendant's intention to rely solely on lay testimony to prove the defense. Although a trial court retains discretion to deny a CPL 250.10 (3) application, there was no abuse of discretion in the examination order, particularly since the court ruled that the People's psychiatrist would only be permitted to testify on rebuttal after defendant had presented his extreme emotional disturbance evidence.

Crimes — Witnesses — Expert Witness — Prosecution's Expert Psychiatrist — Testimony Regarding Defendant's Credibility — Harmless Error

3. In the prosecution of defendant for murder in the second degree, although portions of the detailed testimony of the People's expert in response to defendant's affirmative defense of extreme emotional disturbance exceeded the foundation necessary to establish the basis for the expert's opinion and invaded the province of the jury to determine defendant's credibility, the error was harmless because the evidence of defendant's guilt was overwhelming. Defendant, who admittedly strangled the victim, had recently been released from prison in connection with a prior assault on her, providing him with a motive for revenge, and a former inmate who knew defendant in prison corroborated the revenge motive. Additionally, defendant's calculated behavior both during and after the homicide did not tend to support his assertion that he acted under an extreme emotional disturbance. Furthermore, the trial court sua sponte issued three curative instructions to the jury during the expert's testimony making clear that credibility determinations were solely within its province. On this record, there was no significant probability that, but for the errors relating to the expert's testimony, the jury would have acquitted defendant of murder.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 659, 662, 698, 703, 704;
AM JUR 2d, Criminal Law §§ 38, 61; AM JUR 2d, Expert
and Opinion Evidence §§ 157, 163, 173, 328.
CARMODY-WAIT 2d, Pretrial Notice §§ 188:10, 188:13,
188:14; CARMODY-WAIT 2d, Particular Types of Evidence
§§ 194:174, 194:175; CARMODY-WAIT 2d, Appeals in
Criminal Cases § 207:117.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.5,
24.4.
MCKINNEY'S, CPL 250.10.
NY JUR 2d, Criminal Law: Procedure §§ 1737, 1739, 1740,
1741, 2192, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Expert
and Opinion Evidence; Harmless and Prejudicial Error; Psy-
chiatry and Psychology.

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testimony & emotional! /2 disturb!

POINTS OF COUNSEL

Appellate Advocates, New York City (*Erica Horwitz* and *Lynn W.L. Fahey* of counsel), for appellant. I. Since lay testimony does not constitute “psychiatric evidence” within the meaning of CPL 250.10, the court erred in requiring appellant to provide notice and submit to examination by a prosecution expert when he intended to raise an extreme emotional disturbance defense based solely on his own testimony, without presenting any expert testimony or documentation regarding his mental state. (*People v Roche*, 98 NY2d 70; *People v Casassa*, 49 NY2d 668; *People v Berk*, 88 NY2d 257; *People v Moya*, 66 NY2d 887; *People v Smith*, 1 NY3d 610; *People v Versaggi*, 83 NY2d 123; *People v Kozlow*, 8 NY3d 554; *People v Hedgeman*, 70 NY2d 533; *People v Ditta*, 52 NY2d 657; *Brooks v Tennessee*, 406 US 605.) II. The prosecution psychiatrist’s wide-ranging credibility findings and insistence that appellant was a liar and others were truthful exceeded the scope of his expertise, usurped the jury’s function and denied appellant his due process right to a fair trial. (*United States v Scheffer*, 523 US 303; *United States v Barnard*, 490 F2d 907; *People v Cronin*, 60 NY2d 430; *People v Young*, 7 NY3d 40; *People v LeGrand*, 8 NY3d 449; *People v Taylor*, 75 NY2d 277; *Matter of Nicole V.*, 71 NY2d 112; *People v Williams*, 6 NY2d 18; *People v Parks*, 41 NY2d 36; *People v Ciaccio*, 47 NY2d 431.)

Charles J. Hynes, District Attorney, Brooklyn (*Shulamit Rosenblum Nemec* and *Leonard Joblove* of counsel), for respondent. I. Because defendant introduced a psychiatrist’s testimony on his case, defendant rendered academic the claim that he was improperly ordered to give notice of a psychiatric defense and to submit to an examination. Therefore, that claim is not properly before this Court. In any event, the trial court was authorized, pursuant to CPL 250.10 and the court’s inherent power, to order defendant to give notice and to submit to an examination. Furthermore, any error in the court’s order was harmless. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 540 US 1017; *People v Cruz*, 26 NY2d 265; *People v Sullivan*, 39 NY2d 903; *People v Finley*, 10 NY3d 647; *People v Berk*, 88 NY2d 257, 519 US 859; *People v Roche*, 98 NY2d 70; *People v Casassa*, 49 NY2d 668; *People v Patterson*, 39 NY2d 288, 432 US 197; *People v Baskerville*, 60 NY2d 374; *People v Almonor*, 93 NY2d 571.) II. Defendant has failed to preserve for appellate

review many of his claims regarding Dr. Berger's testimony. Moreover, the trial court properly permitted Dr. Berger to testify regarding the foundation for his expert opinion and to refute the conclusions of defendant's expert. In any event, any error resulting from the introduction of such testimony was harmless. (*People v Taylor*, 75 NY2d 277; *People v Brown*, 97 NY2d 500; *People v Cronin*, 60 NY2d 430; *People v Williams*, 6 NY2d 18; *People v Doczy*, 210 AD2d 425; *People v Jones*, 261 AD2d 920; *People v Braun*, 199 AD2d 993; *People v Young*, 7 NY3d 40; *People v Ciaccio*, 47 NY2d 431; *People v Higgins*, 5 NY2d 607.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in this case is whether a defendant seeking to raise an extreme emotional disturbance defense is required to provide notice pursuant to CPL 250.10 if the intent is to rely solely on lay testimony to prove the affirmative defense. We left this question open in *People v Smith* (1 NY3d 610 [2004]) and now conclude that CPL 250.10's procedures apply under these circumstances.

On June 4, 2000, about three weeks after defendant Teofilo Diaz had completed a prison term for an assault on Felipa Santana, his former girlfriend, he went to Santana's apartment in violation of an order of protection and strangled her to death in front of their six-year-old daughter. According to defendant, he went "crazy" after Santana told him that their three-year-old son had been fathered by another man. After the killing, defendant fled to Florida where he was apprehended more than a year later. Upon his return to New York, he was charged with two counts of murder in the second degree, two counts of criminal contempt in the first degree, two counts of criminal contempt in the second degree and two counts of endangering the welfare of a child.

Immediately before jury selection, defendant informed the court and the prosecutor that he planned to assert an extreme emotional disturbance defense to the second-degree murder charge. The People objected, contending that defendant's failure to file and serve a written notice as required by CPL 250.10 (2) precluded the presentation of such a defense. Defendant countered that notice was unnecessary because he intended to rely solely on his own testimony rather than presenting expert psychiatric testimony. The trial court allowed defendant to file a late notice under CPL 250.10 (2) in the interest of justice and

also granted an adjournment to permit the People time to have their designated psychiatrist examine defendant.

After the People's psychiatrist, Dr. Berger, prepared his written report (*see* CPL 250.10 [4]), defendant moved to preclude Dr. Berger from testifying as to his opinions that defendant's extreme emotional disturbance defense was a recent fabrication and that defendant was likely the biological father of the child, questioning defendant's claim that the victim had made a contrary revelation the night of the murder. The People responded that Dr. Berger should be allowed to explain his reasoning in reaching his professional opinion that Santana's killing was not triggered by extreme emotional disturbance. The trial court denied defendant's motion and ruled that, although Dr. Berger could not testify regarding defendant's general credibility, he could explain his perceptions of defendant's truthfulness as they related to defendant's defense.

At trial, defendant testified on his own behalf and presented the testimony of a psychiatrist who had examined him.¹ Defendant's expert declined to express an opinion as to whether defendant strangled Santana as a result of extreme emotional disturbance but said it was possible. On rebuttal, Dr. Berger testified consistently with his written report explaining that, for a variety of reasons, he did not believe that defendant killed Santana while under the influence of extreme emotional disturbance.

At the conclusion of testimony, defendant moved for a mistrial, arguing that Dr. Berger's testimony regarding defendant's credibility deprived him of a fair trial. In denying the motion, the court noted that defendant failed to raise any objections during Dr. Berger's testimony and that, before Dr. Berger's testimony, defense counsel had similarly asked defendant's expert whether it was likely that the victim had told defendant that he was not the boy's father. The jury convicted defendant of second-degree murder, endangering the welfare of a child and two counts of first-degree criminal contempt. The Appellate Division affirmed defendant's conviction (62 AD3d 157 [2d Dept 2009]) and a Judge of this Court granted defendant leave to appeal (12 NY3d 924 [2009]).

The affirmative defense of extreme emotional disturbance serves to reduce the degree of criminal culpability for acts that

1. After the trial court granted the People's application to have Dr. Berger examine him, defendant opted to present his own expert at trial.

would otherwise constitute murder. A defendant who proves by a preponderance of the evidence that the homicide was committed while “under the influence of extreme emotional disturbance for which there was a reasonable explanation or excuse” will be guilty of first-degree manslaughter rather than second-degree murder (Penal Law § 125.25 [1] [a]; *see also* Penal Law § 125.20 [2]). The defense must be supported by proof that the defendant “suffered from a mental infirmity not rising to the level of insanity at the time of the homicide, typically manifested by a loss of self-control” (*People v Roche*, 98 NY2d 70, 75 [2002]). It requires evidence “of a subjective element, that defendant acted under an extreme emotional disturbance, and an objective element, that there was a reasonable explanation or excuse for the emotional disturbance” (*People v Smith*, 1 NY3d 610, 612 [2004]).

Under CPL 250.10 (2), a defendant is precluded from raising any defense predicated on a mental infirmity, including extreme emotional disturbance, if the defendant fails to file and serve a timely notice of intent to present psychiatric evidence. The trial court possesses broad discretion, however, to grant permission to submit a late notice in the interest of justice at any time prior to the close of evidence (*see* CPL 250.10 [2]). When notice is given under CPL 250.10 (2), the People may apply for an order directing the defendant to submit to an examination by a psychiatrist selected by the People (*see* CPL 250.10 [3]).

On this appeal, defendant claims that lay testimony does not constitute “psychiatric evidence” within the meaning of CPL 250.10 and, therefore, the trial court erroneously required defendant to provide notice and submit to an examination by the People’s psychiatrist given that he intended to present an extreme emotional disturbance defense through his own testimony. The People assert that any mental health evidence offered in support of extreme emotional disturbance, including lay testimony, triggers the notice requirement, which provides an opportunity for the prosecution to prepare its case in response to the defense and may require that defendant submit to an examination.

“Psychiatric evidence” is statutorily defined as “[e]vidence of mental disease or defect” to be offered in connection with the defenses of lack of criminal responsibility by reason of mental disease or defect (i.e., insanity), extreme emotional disturbance or any other defense (CPL 250.10 [1] [a], [b], [c]). Prior to 1982, the definition of psychiatric evidence was linked to insanity

because CPL 250.10 formerly applied only where a defendant intended to rely on the insanity defense. But the Legislature expanded the statute in 1982 to mandate notice of a defendant's intention to present psychiatric evidence in support of extreme emotional disturbance as well as any other defense (*see* L 1982, ch 558, § 9). Although the Legislature retained the phrase “mental disease or defect”—language traditionally identified with the insanity defense—in the definitions associated with the added defenses (*see* CPL 250.10 [1] [b], [c]), it is clear that this phrase broadly encompasses any mental infirmity not rising to the level of insanity (*see People v Almonor*, 93 NY2d 571, 578 n 2 [1999]; *People v Berk*, 88 NY2d 257, 263 [1996], *cert denied* 519 US 859 [1996]).

The statutory notice provision is grounded on principles of fairness and is intended “to prevent disadvantage to the prosecution as a result of surprise” (*Berk*, 88 NY2d at 263 [internal quotation marks and citation omitted]). As we have previously explained, it “was designed to allow the prosecution an opportunity to acquire relevant information from any source—not merely from an independent examination of the defendant—to counter the defense” (*id.* at 264).

[1] In *Berk*, we rejected the contention that psychiatric evidence is limited to evidence obtained by means of a psychiatric examination of the defendant for purposes of CPL 250.10. The defendant in that case asserted that he was not obligated to comply with CPL 250.10 because his expert witness, a forensic psychologist, had not examined him and would only testify about a “fight or flight syndrome” and the relationship between memory loss and traumatic events in support of the extreme emotional disturbance defense. In upholding preclusion of the expert's testimony for failure to submit a timely notice, we stated that the defendant's “restrictive reading of the statute . . . [was] not supported by the plain language or the purpose of CPL 250.10” (*id.* at 262). We observed that, inasmuch as the notice provision was intended “to allow the People an opportunity to obtain *any* mental health evidence necessary to refute a defense of mental infirmity, it follows that it applies to *any* mental health evidence to be offered by the defendant in connection with such a defense” (*id.* at 265).

Although *Berk* involved expert testimony, its reasoning applies equally to lay testimony proffered in connection with a mental infirmity defense. The aims of CPL 250.10's notice requirement—preventing unfair surprise and allowing the

People an opportunity to obtain evidence from any source, expert or otherwise—are implicated whether a defendant seeks to establish a mental infirmity through expert or lay testimony, whether by the defendant or other persons, such as witnesses to the events related to the crimes charged. Consequently, for purposes of the notice provision, psychiatric evidence, which we have broadly construed to encompass “any” mental health evidence offered by a defendant, includes lay testimony.

In reaching this result, we are not unmindful that the sanction of preclusion of a defense for failure to comply with the prior notice provision bears on a defendant’s constitutional rights to present a defense and call witnesses (*see Ronson v Commissioner of Correction of State of N.Y.*, 604 F2d 176, 178 [2d Cir 1979]). Although no constitutional issue is raised in this case—defendant was permitted to advance an extreme emotional disturbance defense despite the lack of timely notice—trial courts must be vigilant in weighing a defendant’s constitutional rights “against the resultant prejudice to the People from the belated notice” (*Berk*, 88 NY2d at 266). We also recognize that the degree of prejudice to the prosecution will vary in different cases and that it may be less significant where a defendant plans to rely on lay testimony alone in support of a mental infirmity defense. Trial courts enjoy wide discretion in considering late notice, as occurred here, and can adjourn proceedings to give the People time to gather rebuttal evidence or, depending on the circumstances and the nature of defendant’s proof, permit the trial to proceed without a continuance. Of course, a defendant can choose to testify in his own defense to explain his actions without triggering the notice requirement of CPL 250.10 (2), but he would not be entitled to a jury instruction on extreme emotional disturbance pursuant to Penal Law § 125.25 (1) (a).

[2] Given that we concur that defendant’s intention to raise an extreme emotional disturbance defense based on his own testimony required notice, CPL 250.10 (3) authorized the trial judge to compel defendant to submit to an examination by the People’s psychiatrist. Although a trial court retains discretion to deny such an application, we perceive no abuse of discretion in the examination order, particularly since the court ruled that Dr. Berger would only be permitted to testify on rebuttal after defendant had presented his extreme emotional disturbance evidence.

Defendant also contends that he was deprived of his right to a fair trial because Dr. Berger’s testimony relating to various

credibility issues usurped the jury's function to determine the reliability of the witnesses. Initially, defendant only partially preserved his challenge to Dr. Berger's testimony because his motion in limine sought to restrict Dr. Berger from expressing his opinion that defendant had created an extreme emotional disturbance defense after the fact or that it was likely that defendant was the boy's biological father. Defendant's mistrial motion, made after Dr. Berger had completed his testimony, raised essentially the same points. But defendant failed to make any objections during Dr. Berger's testimony, even when the testimony exceeded the scope of the court's ruling. Consequently, many of the troubling aspects of Dr. Berger's testimony regarding defendant's credibility are unpreserved for review.²

[3] As to the preserved challenges, although we agree with defendant that portions of Dr. Berger's detailed testimony "exceeded the foundation necessary to establish the basis for the expert's opinion and invaded the province of the jury to determine defendant's credibility" (*People v Braun*, 199 AD2d 993, 993 [4th Dept 1993], *lv denied* 83 NY2d 849 [1994]), we conclude that the error was harmless because the evidence of defendant's guilt was overwhelming. Defendant, who admittedly strangled Santana with a shoelace, had recently been released from prison in connection with a prior assault on her, providing him with a motive for revenge. A former inmate who knew defendant in prison corroborated the revenge motive, stating that defendant was fixated on Santana and told him that he was going to choke her to death "because that's what she deserves." This witness had contacted authorities independently after reading about Santana's death in a newspaper and testified voluntarily, without a cooperation agreement.

Additionally, defendant's calculated behavior both during and after the homicide does not tend to support his assertion that he acted under an extreme emotional disturbance. Defendant's young daughter, who awoke to her mother's screams, testified that defendant interrupted the assault to hit her across the face

2. For example, Dr. Berger stated that he had "published in the area of lying," making him "an expert in evaluating issues of credibility." Although defendant failed to raise an objection, the trial judge sua sponte issued a curative instruction, informing the jury that Dr. Berger could not "say that someone is lying" and that it was for the jury alone to decide whether defendant "is telling you the truth or not about anything that he says." At another point, Dr. Berger analogized the probability that Santana told defendant that he was not the younger child's father to the moon being made of cheese. Again, defendant raised no objection.

when she asked him why he was beating her mother. After dealing with his daughter, defendant resumed his attack on Santana. The daughter also recounted that, after her mother fell to the floor, defendant ordered the children to pack up and she saw him take a stereo, compact discs and other items from the apartment, some of which defendant tried to sell to a cab driver. After attempting to leave the two children with a relative, defendant returned to the crime scene to make certain that Santana was dead before fleeing to Florida. Even assuming Santana informed defendant that he was not the boy's father, his claim that he reasonably experienced extreme emotional disturbance based on that purported revelation was undercut by the fact that he had no contact with that child prior to the day of the killing.

Furthermore, the trial court sua sponte issued three curative instructions to the jury during Dr. Berger's testimony making clear that credibility determinations were solely within its province. The court offered to issue further instructions following the close of evidence, which defendant declined. On this record, there is no significant probability that, but for the errors relating to Dr. Berger's testimony that we have addressed, the jury would have acquitted him of murder (*see People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[930 NE2d 271, 904 NYS2d 350]

ALAN MORTON et al., Appellants, v STATE OF NEW YORK, Respondent. (Claim No. 96522.)

Argued May 4, 2010; decided June 8, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (stipulation deemed judgment) of the Court of Claims (Thomas J. McNamara, J.), entered May 7, 2009. The Court of Claims discontinued claimants' Labor Law § 240 (1) claim. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 20, 2004. The Appellate Division (1) reversed, on the law, so much of an order of the Court of Claims (Richard E. Sise, J.) as had denied defendant's cross motion for summary judgment dismissing the claim to recover damages for violation of Labor Law § 241 (6); (2) granted that branch of the cross motion; (3) dismissed that claim; (4) vacated an interlocutory judgment of the same court, entered after a nonjury trial, which was in favor of claimants and against defendant on the issue of liability on the claim to recover damages for violation of Labor Law § 241 (6); and (5) dismissed defendant's appeal from the interlocutory judgment as academic in light of the Appellate Division's decision on the appeal from the Court of Claims order.

Morton v State of New York, 13 AD3d 498, affirmed.

HEADNOTE**Labor — Safe Place to Work — Construction, Excavation and Demolition Work — Nexus between Worker and Owner Required for Liability**

Defendant State was not liable to claimant for injuries sustained during the excavation of a state highway in connection with the repair of a break in a water main owned by claimant's employer when an unshored wall of the trench excavated to facilitate the repair caved in. Labor Law § 241 (6) imposes a duty on owners and contractors to provide reasonable and adequate protection and safety for those employed at or lawfully frequenting areas in which construction, excavation or demolition work is being performed and to comply with the Commissioner of Labor's regulations. However, ownership of the premises where the accident occurred—standing alone—is not enough to impose liability under Labor Law § 241 (6) where the property owner did not contract for the work resulting in the plaintiff's injuries. Rather, there must be some nexus between the owner and the worker. Here, there was no lease agreement or grant of an easement or other property interest creating a nexus between claimant and the State. Claimant was performing excavation work on the

State's premises by reason of his employer's obligation to repair a break in its water line not by reason of any action of the State. Notwithstanding that the repairs took care of the damage caused to the State-owned roadway by the leak and removed a traffic hazard in an emergency situation, whether a property owner benefits from the injury-related work is legally irrelevant to determining whether the Labor Law imposes a nondelegable duty. Because claimant's employer failed to obtain a work permit from the New York State Department of Transportation, as mandated by Highway Law § 52 (see 17 NYCRR 126.2, 129.1), prior to repairing the water main, which was situated within the state highway right-of-way, claimant was a trespasser to whom the State owed no duty under Labor Law § 241 (6).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Premises Liability § 87.
McKINNEY's, Highway Law § 52; Labor Law § 241 (6).
17 NYCRR 126.2, 129.1.
NY JUR 2d, Employment Relations §§ 270, 273, 308–311;
NY JUR 2d, Highways, Streets, and Bridges §§ 25, 95.
PROSSER AND KEETON, TORTS (5th ed) §§ 62, 80.

ANNOTATION REFERENCE

See ALR Index under Highways and Streets; Labor and Employment; Occupational Safety and Health; Premises Liability.

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POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (Brian J. Isaac of counsel), and *Salenger Sack Schwartz & Kimmel* (Marvin Salenger and Michael Schwartz of counsel) for appellants. Since New York Water Service Corporation (NYW) had a legal duty to maintain the water mains which NYW owned, located under the State of New York's roadways and land, and since the work was being performed in response to an emergency break which was destroying the roadway, claimant is entitled to Labor Law § 241 protection, even if NYW failed to secure a permit required under Highway Law § 52; plaintiff cannot be considered a trespasser; the State's lack of knowledge or benefit would make no difference as liability is established based on the fact of ownership. (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509;

Zimmer v Chemung County Performing Arts, 65 NY2d 513; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Lopes v Rostad*, 45 NY2d 617; *Weiss v Fote*, 7 NY2d 579; *Annino v City of Utica*, 276 NY 192; *Brusso v City of Buffalo*, 90 NY 679; *Storrs v City of Utica*, 17 NY 104; *Rochester & Lake Ontario Water Co. v City of Rochester*, 176 NY 36; *Village of Pelham Manor v New Rochelle Water Co.*, 143 NY 532.)

Andrew M. Cuomo, Attorney General, Albany (Victor Paladino, Barbara D. Underwood, Andrew D. Bing and Peter H. Schiff of counsel), for respondent. The State of New York is not liable under Labor Law § 241 (6) because there was no nexus between the State and claimant, who was trespassing on the State's property. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Morris v Pavarini Constr.*, 9 NY3d 47; *Mordkofsky v V.C.V. Dev. Corp.*, 76 NY2d 573; *Whelen v Warwick Val. Civic & Social Club*, 47 NY2d 970; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Scaparo v Village of Ilion*, 64 AD3d 1209, 13 NY3d 864; *Ogden v City of Hudson Indus. Dev. Agency*, 277 AD2d 794; *Sanatass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Augeri v Roman Catholic Diocese of Brooklyn*, 225 AD2d 1105; *Brothers v New York State Elec. & Gas Corp.*, 11 NY3d 251.)

OPINION OF THE COURT

READ, J.

Claimant Alan Morton was injured on the morning of April 3, 1997 while working for his employer, New York Water Service Corporation (the water company), a private company that furnishes water to portions of Nassau County. On that date, he was a member of a four-person work crew, including a foreman, dispatched with a backhoe to fix a break reported in a company-owned water main installed in 1928 beneath Carman Mill Road, Massapequa, New York, a part of the State of New York's highway system (*see* Highway Law § 341 [29] [1]).

Upon arrival at the job site, the work crew notified affected customers and shut off water service, excavated test holes to pinpoint the leak's origin, and placed traffic cones to alert motorists to the presence of the backhoe, which occupied a portion of the northbound travel lane. Using the backhoe and shovels, the crew dug up blacktop in the roadbed and created a hole or trench, exposing the 12-inch water main buried several feet underground. When claimant climbed down into this trench to clean around the main and apply a repair clamp, a side wall caved in, burying his right leg and foot.

In June 1997, claimant, with his wife suing derivatively, brought this action against the State. He asserted common-law negligence and violations of Labor Law §§ 200, 240 and 241 (6), and sought \$5.5 million in damages. In 2002, claimant moved for partial summary judgment as to liability on his Labor Law § 241 (6) and negligence claims. He premised liability in the former on violation of Industrial Code (12 NYCRR) subpart 23-4, which requires banked or sloped sides (12 NYCRR 23-4.2 [a]) or “sheeting, shoring and bracing” (12 NYCRR 23-4.4 [a]) of excavations that are five feet or more deep. The State opposed the motion and cross-moved for summary judgment dismissing the complaint.

The State argued that it was not liable under Labor Law § 241 (6) because the water company failed to obtain a work permit from the New York State Department of Transportation (DOT), as mandated by Highway Law § 52, prior to repairing the water main, which was situated within the state highway right-of-way. Section 52 provides that

“[e]xcept in connection with the construction, reconstruction, maintenance or improvement of a state highway, no person, firm, corporation, municipality, or state department or agency shall . . . lay or maintain [within the state highway right-of-way] underground wires or conduits or drainage, sewer or water pipes, except in accordance with the terms and conditions of a work permit issued by the commissioner of transportation” (*see also* Vehicle and Traffic Law § 1220-c [“(e)xcept in connection with the construction, reconstruction, maintenance, or improvement of a state highway, no person shall work on a state highway without a work permit issued by the state commissioner of transportation”]; 17 NYCRR 126.2 [a], [b] [a work permit must be secured “to temporarily obstruct or to install, construct, maintain or operate any facilities within the bounds of a State highway right-of-way,” including “excavating . . . or work of a like nature under, or over or along the highway”]).

By decision and order dated October 21, 2002, the Court of Claims dismissed claimant’s negligence claims because the State lacked actual or constructive notice of any dangerous condition and did not exercise supervision or control over the work site. The court also denied claimant’s motion and the State’s cross

motion for summary judgment on the Labor Law § 241 (6) claim. The judge concluded that Highway Law § 52 did not insulate the State from liability under Labor Law § 241 (6) because this provision “imposed a nondelegable duty upon ‘owners’ to provide reasonable and adequate protection and safety to persons employed in excavation work regardless of the absence of control, supervision or direction of the work.” He did find, however, that material questions of fact existed as to soil composition and the excavation’s depth, which implicated the applicability of the Industrial Code sections relied upon by claimant.

After the ensuing nonjury trial, the Court of Claims on April 9, 2003 found that the excavation was not protected by sloped or banked sides or by sheeting, shoring or bracing, and that it was more than five feet deep. The judge decided that claimant had therefore proven violations of sections of the Industrial Code specific enough to support Labor Law § 241 (6) liability; and that these violations proximately caused the accident, and thus contravened the State’s nondelegable duty to claimant under Labor Law § 241 (6). The judge also found that the State had not proven claimant’s comparative negligence by a preponderance of the credible evidence. Accordingly, on May 7, 2003, an interlocutory judgment determining the State to be negligent and 100% liable for claimant’s injuries was entered in the Court of Claims. The State appealed from both the order denying its cross motion for summary judgment on the section 241 (6) claim and the interlocutory judgment.

In December 2004, the Appellate Division dismissed the State’s appeal from the interlocutory judgment as academic; reversed, on the law, the portion of the Court of Claims’ order that denied the State’s cross motion for summary judgment dismissing the section 241 (6) claim; granted the State summary judgment on and dismissed that claim; and vacated the interlocutory judgment (13 AD3d 498 [2d Dept 2004]). Citing *Abbate v Lancaster Studio Assoc.* (3 NY3d 46, 51 [2004]), the court reasoned that the

“State is not liable . . . under Labor Law § 241 (6) because the claimant was not within the class of persons afforded protection under the statute. Since [the water company] failed to obtain a highway work permit in violation of state law . . . [the water company] and the claimant trespassed on the State’s

property in performing excavation and repairs on the state highway . . . Since the claimant was performing work without the State's permission or knowledge, he was not a person 'employed' at a work site within the meaning of the Labor Law, which defines such an individual as one 'permitted or suffered to work' (Labor Law § 2 [7])" (13 AD3d at 500 [citations omitted]).

We granted claimant permission to appeal (13 NY3d 702 [2009])¹ and now affirm.

Labor Law § 241 (6) provides that

"[a]ll contractors and owners and their agents . . . , when constructing or demolishing buildings or doing any excavating in connection therewith, shall comply with the following requirements: . . .

"All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places. The [New York State Commissioner of Labor] may make rules to carry into effect the provisions of this subdivision, and the owners and contractors and their agents for such work . . . shall comply therewith."

Thus, Labor Law § 241 (6) imposes a nondelegable duty² on owners and contractors to comply with the Commissioner of Labor's regulations (*see Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 502 [1993]). And "to the extent that [a] plaintiff . . . assert[s] a viable claim under Labor Law § 241 (6), he need not show that defendants exercised supervision or control over his worksite in order to establish his right of recovery" (*id.*).

1. Claimant first moved for leave to appeal in 2005. We dismissed that motion for lack of finality because his claim under Labor Law § 240 remained pending in the lawsuit (5 NY3d 783 [2005]). In May 2009, however, the parties stipulated to discontinue the section 240 claim.

2. As we noted in *Brothers v New York State Elec. & Gas Corp.* (11 NY3d 251, 256 n 1 [2008]), "[i]n tort law, the term 'nondelegable duty,' although widely used, is somewhat misleading. The question is not so much whether a defendant can or has delegated to another party a duty owed by that defendant to a particular plaintiff, but whether the defendant owes the plaintiff a duty in the first place."

But we have consistently held that ownership of the premises where the accident occurred—standing alone—is not enough to impose liability under Labor Law § 241 (6) where the property owner did not contract for the work resulting in the plaintiff's injuries; that is, ownership is a necessary condition, but not a sufficient one. Rather, we have insisted on “some nexus between the owner and the worker, whether by a lease agreement or grant of an easement, or other property interest” (*Abbatiello*, 3 NY3d at 51; see also *Scaparo v Village of Ilion*, 13 NY3d 864, 866 [2009] [“In cases imposing liability on a property owner who did not contract for the work performed on the property, this Court has required ‘some nexus between the owner and the worker, whether by a lease agreement or grant of an easement, or other property interest’ ” (quoting *Abbatiello*, 3 NY3d at 51))].

We found no nexus in *Abbatiello* where the plaintiff, a cable television repairman, was injured at a building owned by the defendant while responding to the complaint of a tenant who was a cable television subscriber. The plaintiff's employer had sent the plaintiff to the defendant's building to respond to the complaint. We emphasized that the “injured plaintiff was on the owner's premises not by reason of any action of the owner but by reason of provisions of the Public Service Law,” which precludes landlords from interfering with the installation of cable television facilities on their property (*Abbatiello*, 3 NY3d at 51). Moreover, the owner was “powerless to determine which cable company [was] entitled to operate, repair or maintain the cable facilities on its property, since [pursuant to Public Service Law § 219] such decision lies with the municipality—the franchisor” (*id.* at 52). As we elaborated,

“but for Public Service Law § 228, plaintiff would be a trespasser upon [the defendant's] property and [the defendant] would neither owe a duty to plaintiff nor incur liability. Any permission to work on the premises was granted upon compulsion and no relationship existed between [the defendant] and [the plaintiff's employer] or the plaintiff” (*id.*).

We contrasted *Abbatiello* with three earlier cases in which there was a nexus between the owner and the injured worker: *Celestine v City of New York* (86 AD2d 592, 593 [2d Dept 1982], *aff'd* 59 NY2d 938 [1983] [in action under Labor Law § 241 (6), owner granted an easement to entity contracting for work leading to

plaintiff's accident]); *Gordon v Eastern Ry. Supply* (82 NY2d 555, 559 [1993] [in action under Labor Law § 240 (1),³ owner leased property to contractor who performed work leading to plaintiff's accident]); and *Coleman v City of New York* (91 NY2d 821, 823 [1997] [in action under Labor Law § 240 (1), owner leased property to injured employee's employer]).

We next applied the nexus test in *Sanatass v Consolidated Inv. Co., Inc.* (10 NY3d 333, 341 [2008]), where a mechanic was injured while installing an air conditioning unit for a tenant of a commercial building owned by the defendant landlord. The tenant had agreed by lease not to make any changes to the premises without the owner's written consent, but nevertheless hired the plaintiff's employer without notifying the landlord. There, a nexus arose from the owner's lease of the premises to the tenant who, in turn, hired the plaintiff's firm to install the air conditioning unit. Further, the tenant's breach of the lease agreement requiring the owner's written consent for alterations "did not sever the nexus" (*id.* at 341-342). We distinguished *Abbatiello*, pointing out that although the owner in that case "was unaware of and did not consent to the plaintiff's presence on the property, these facts alone were not determinative of our affirmation of the dismissal of the complaint"—i.e., "*Abbatiello* did not announce a new notice requirement for section 240 (1) cases" (*id.* at 341). Rather, the difference between *Abbatiello* and *Sanatass* was the absence of a nexus in the former and its presence in the latter (*id.*). And we again explained that in "*Celestine* and its progeny . . . a nexus existed between the out-of-possession owner and the plaintiff, be it by lease, easement or some other property interest" (*id.*). Finally, we observed that "[u]nlike the cable technician in *Abbatiello*, the plaintiff in [*Sanatass*] . . . cannot conceivably be viewed as a 'trespasser' " (*id.* at 342).

Scaparo is our most recent decision discussing the nexus prerequisite. There, the injured plaintiffs, employees of the Village of Frankfort, were connecting a sewer lateral from a newly constructed cemetery chapel owned by a church to the sewer main at a street intersection in the village (see 64 AD3d 1209, 1211 [4th Dept 2009]). The Herkimer County Industrial Development Agency (HCIDA) owned the property where the sewer lateral was installed; that property was within the Vil-

3. Like Labor Law § 241 (6), Labor Law § 240 (1) imposes a nondelegable duty on owners.

lage's utility right-of-way (*see id.*). Affirming the Appellate Division, we determined that HCIDA was not liable under Labor Law § 241 (6) because there was no nexus between HCIDA and the injured plaintiffs. As we explained,

“although the accident occurred on HCIDA's property, HCIDA did not contract with the Village of Frankfort to have the sewer lateral installed, it had no choice but to allow the Village to enter its property pursuant to a right-of-way, and it did not grant the Village an easement or other property interest creating the right-of-way” (*Scaparo*, 13 NY3d at 866).

Here, there was no lease agreement or grant of an easement or other property interest creating a nexus between claimant and the State. Claimant was performing excavation work on the State's premises “not by reason of any action of the [State] but by reason” of the water company's obligation to repair a break in its water line (*Abbatiello*, 3 NY3d at 51). And although claimant protests that the water company's repairs took care of the damage caused to the State-owned roadway by the leak and removed a traffic hazard in an emergency situation,⁴ we long ago concluded that whether a property owner benefits in any sense from the injury-related work is “legally irrelevant” to determining whether the Labor Law imposes a nondelegable duty (*see Gordon*, 82 NY2d at 560).

Claimant also urges that he “did not simply trespass on another's property,” and tags the statutory requirement for a highway work permit as “[a] mere formality.” But we have recognized that the “terms and conditions [of these permits] are not meaningless or optional; the permittee agrees to abide by them in order to obtain DOT's permission to work in the highway right-of-way” (*Brothers*, 11 NY3d at 260). The permit requirement allows DOT to inspect the work site to insure the safety of motorists, pedestrians and others in the work zone, and to safeguard the roadway's integrity. And as we indicated in

4. Claimant articulates the nexus that he asserts in this case as follows: “At bar, the nexus between claimant's work and the State's ownership is clear—the emergency situation blocked traffic and the road was buckling, and the State had a non-delegable duty to maintain the road; [the water company's] work was designed to assist the State.” In fact, the water company did not repair the leak to help the State maintain its roadway; its repairs simply eliminated or mitigated damages otherwise owing the State for the harm to State-owned property caused by the leak, which the water company was obligated to fix to maintain service to its customers.

Brothers, DOT may revoke a highway work permit at any time if necessary to protect the public (*see id.* at 259; *see also* 17 NYCRR 129.3 [b] [the DOT Commissioner “reserves the right to revoke or annul the (state highway) permit at any time and at his discretion without a hearing or the necessity of showing cause”]; 17 NYCRR 131.21 [c] [DOT “reserves the right to modify and to revoke or annul” a highway work permit issued for utility facilities occupying a state right-of-way “upon a determination within its sole discretion, and without a hearing, that continued operation under the permit will cause or continue a threat to the public or to the operation of the highway”]). In addition, the permit requirement allows the State to verify that the permittee has liability insurance in place to protect the State’s interests (*see* 17 NYCRR 129.3 [f]; part 127).⁵

Finally, claimant suggests that a highway work permit may not have been necessary here because of the “emergency situation.” DOT’s regulations, however, make clear that the water company was required to have in hand either a job-specific or an annual permit before undertaking excavation of the roadway, notwithstanding any exigency (*see* 17 NYCRR 126.2, 129.1). There are simply different requirements for notifying DOT, depending on whether or not an emergency exists (*compare* 17 NYCRR 129.3 [a] [1] *with* 17 NYCRR 129.3 [a] [2]; *see also* 17 NYCRR 126.6 [specifying instructions to obtain highway work permits that apply to, among other things, “emergency repairs and public utilities”]). Additionally, even if it were true that the water company was entitled to enter the state highway right-of-way without a work permit in order to make emergency repairs, the State still would not be liable. In that circumstance, “[a]ny permission to work on the premises [would have been] granted upon compulsion and no relationship [would have] existed between [the State] and [the water company] or [claimant]” (*Abbate*, 3 NY3d at 52).

The outcome of this case would be different—as the State concedes—if the water company had secured a highway work

5. For some unexplained reason, the water company purchased protective liability insurance naming DOT as an additional insured, which was in force at the time of claimant’s accident, even though there was no job-specific or annual work permit requiring it. Although the State impleaded the insurance carrier after learning about the policy during discovery, the Court of Claims dismissed the third-party complaint for failure to provide the insurer with timely notice of the claim.

permit before excavating in the state highway right-of-way. In that event, the work permit would have created the nexus between the claimant, the injured worker, and the State, the property owner. Without the permit, though, claimant was a trespasser to whom the State owed no duty under Labor Law § 241 (6).

Although acknowledging that we have always “required as a condition of owner liability [under Labor Law § 241 (6)] no more than some connection, or ‘nexus,’ between the owner and the plaintiff,” the dissent never suggests how this minimal standard was met—i.e., what the nexus might have been—in this case (dissenting op at 63; *cf.* n 4 at 58). All we are told is that “[t]here is . . . no issue . . . as to whether” this unspecified nexus “was attenuated by out-of-possession status” as was purportedly the question in *Sanatass* (dissenting op at 64). Of course, in *Sanatass* there was a clear nexus—a lease—and the issue, as we articulated it, was not whether this nexus was “attenuated by [the landlord’s] out-of-possession status,” but whether it had been “sever[ed]” by the tenant’s breach of a clause in the lease prohibiting the hiring of a contractor to make alterations in the premises without the landlord’s written prior consent (*see Sanatass*, 10 NY3d at 341-342). We decided, of course, that this clause did not sever the nexus created by the lease.

Under the dissent’s apparent analysis of our prior cases, a property owner who did not contract for the injury-inducing work is liable under Labor Law § 241 (6) unless the plaintiff’s employer’s entry onto the premises results from compulsion—i.e., permission *unrelated* to a lease, easement or some other property interest granted by the owner. This is certainly contrary to the way in which we have consistently explained and reconciled our precedents, and effectively eliminates the nexus requirement. More to the point, there is no reason to believe that this is what the Legislature intended. Indeed, such a liability scheme would do away with any motive or means for a property owner “to assure that only financially responsible and safety-conscious subcontractors are engaged so that a high standard of care might be maintained throughout the entire construction site”; and to “furnish[] an additional incentive to both insurer and insured to maintain safety standards necessary to avoid increased exposure to liability” (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 301 [1978]).

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). Claimant Alan Morton was injured when, after being “dispatched” by his water company employer to the site of a broken water main located beneath a State-owned roadway, the unshored sides of the area excavated to facilitate the repair fell upon him. He sought to recover for his injuries pursuant to Labor Law § 241 (6), and in the ensuing litigation established that his injuries were attributable to a violation of that statute’s requirement that “[a]ll areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein.” He is now told, however, that he may not recover because the party against whom recovery is sought—and, indeed, the only party potentially answerable in damages under the present circumstances—the State, had not given permission for the repair. It is not disputed that the State would otherwise be statutorily liable by reason of its ownership of the accident site.

The question, then, is whether the failure of claimant’s employer to obtain permission should operate to deprive claimant of the remedy the Legislature has provided in enacting Labor Law § 241

“to achieve the purpose of protecting workers by placing ‘ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor’ (1969 NY Legis Ann, at 407), instead of on workers, who ‘are scarcely in a position to protect themselves from accident’ (*Koenig v Patrick Constr. Corp.*, 298 NY 313, 318)” (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520 [1985]).

Because the strict liability statute at issue nowhere conditions an owner’s liability upon consent to the injury producing work, and because we have expressly held that an owner may not avoid responsibility under the strict liability provisions of the Labor Law by interpolating such a requirement as a condition of recovery, I respectfully dissent.

The strict liability provisions of the Labor Law, sections 240 and 241, do not contain any provision conditioning the liability

of an owner or any other statutorily responsible party upon that party's consent to, permission for, control, or even knowledge, of the injury producing activity. The precautionary obligations imposed under those statutes are absolute and nondelegable and, accordingly, their discharge cannot depend upon whether in a particular case the owner, contractor or agent had notice of or allowed the work (*see Gordon v Eastern Ry. Supply*, 82 NY2d 555, 560 [1993]; *Coleman v City of New York*, 91 NY2d 821 [1997]); the imperative behind these enactments is that someone, other than the worker, must bear ultimate responsibility for work site safety. The onus is placed on owners, contractors and their agents not because they are invariably situated and apprised to assure the safety of the workplace, but because, generally, they are the parties best positioned and equipped to meet that essential objective (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 301 [1978]).

Abbatiello v Lancaster Studio Assoc. (3 NY3d 46 [2004]) should not be read to alter the Labor Law's essential allocation of responsibility. There, liability was sought against a building owner for injuries sustained by a technician in the course of a cable television service call for which access to the owner's building was compelled by statute. In deciding that the owner could not in those particular circumstances be held strictly accountable under the Labor Law, the Court observed,

"Lancaster [the owner] cannot be charged with the duty of providing the safe working conditions contemplated by Labor Law § 240 (1) for cable television repair people of whom it is wholly unaware. Supreme Court correctly noted that, but for Public Service Law § 228, plaintiff would be a trespasser upon Lancaster's property and Lancaster would neither owe a duty to plaintiff nor incur liability. Any permission to work on the premises was granted upon compulsion and no relationship existed between Lancaster and Paragon or the plaintiff" (*id.* at 52).

After *Abbatiello*, there was some belief that an owner's knowledge of and permission for the work in the course of which the sued upon injuries were sustained were generally necessary conditions of owner liability under the Labor Law's strict liability statutes (*see e.g. Sanatass v Consolidated Inv. Co., Inc.*, 38 AD3d 332 [2007], *revd* 10 NY3d 333 [2008]; *Morales v D & A Food Serv.*, 41 AD3d 352 [2007], *revd* 10 NY3d 911 [2008]), but

we addressed this misconception in *Sanatass*, where we reiterated,

“our precedents make clear that so long as a violation of the statute proximately results in injury, the owner’s lack of notice or control over the work is not conclusive—this is precisely what is meant by absolute or strict liability in this context. We have made perfectly plain that even the lack of ‘any ability’ on the owner’s part to ensure compliance with the statute is legally irrelevant (*see Coleman*, 91 NY2d at 823)” (10 NY3d at 340 [citation omitted]).

We at the same time clarified that *Abbatiello*, properly understood in light of the governing statutes, their often acknowledged protective purposes and our consistent precedents, required as a condition of owner liability no more than some connection, or “nexus,” between the owner and the plaintiff (*id.* at 341).

While we had noted in *Abbatiello* that the required nexus might be supplied by the circumstance that an out-of-possession owner had granted a property interest in the premises to the party who had afforded the consequently injured worker access, our decision in *Abbatiello* turned not upon the absence of a connective property interest, or even upon the absence of permission, but upon the legal incapacity of the owner to withhold access for the injury producing work (3 NY3d at 52). Similarly, in the subsequently decided case of *Scaparo v Village of Ilion* (13 NY3d 864 [2009]), we upheld the dismissal of a Labor Law § 241 (6) claim upon the ground that the owner “had no choice but to allow the Village [the employer of the injured plaintiffs] to enter its property pursuant to a right-of-way” (*id.* at 866).

Our decision in *Sanatass*, by contrast, addressed the situation only hypothetically adverted to in *Abbatiello*—whether an out-of-possession owner “by a lease agreement or grant of an easement, or other property interest” (*Abbatiello*, 3 NY3d at 51) retained a sufficient nexus with the property and the plaintiff’s work upon it to qualify as an “owner” under the Labor Law’s strict liability statutes. We held that the out-of-possession owner there did retain the requisite connection, since it had leased the premises to the party that had afforded access to the worker subsequently injured upon the premises in the course of performing alterations. In so holding, we acknowledged that the lease in fact contained a provision, allegedly violated by the lessee, requiring the owner’s written permission for the work. Clearly differentiating between nexus and permission, we

rejected the contention that violation of the lease provision requiring permission for the work could vitiate the nexus necessary to sustain the strict liability claim against the owner (*Sanatass*, 10 NY3d at 341-342). We recognized that the injured worker's right of recovery could not, consistent with the Labor Law's dominant protective purpose, be made to depend upon legal claims the owner might have over against third parties (*id.*).

The majority now, ignoring the crucial distinction made in *Sanatass*, equates nexus with permission and, in so doing, affords the nexus requirement a dimension incompatible with the strict liability provisions at issue and their remedial purpose.

There is, of course, no issue in this case as to whether defendant's nexus to the work site and claimant was attenuated by out-of-possession status; defendant owned and was in possession of the roadway where the accident took place. The only remaining nexus issue, then, if *Abbatiello* and its progeny are to be followed, is whether defendant's ownership interest in the work site was rendered nugatory by some countervailing legal compulsion effectively divesting defendant of its right to exclude claimant's employer from its premises. Obviously, there was no such compulsion. It is, to the contrary, defendant State's strenuous contention that, pursuant to Highway Law § 52, access for the work performed by claimant's employer was legally contingent upon defendant's issuance of a permit. This provision in the owner's favor, like the lease provision in *Sanatass*, may well have been violated by the worker's unpermitted access of the property, but there is no reason why this defendant any more than the defendant in *Sanatass* should therefore avoid the responsibilities of ownership under the Labor Law.

Labeling claimant a "trespasser"—one whose presence on the premises was not permitted—is only another way of importing into the Labor Law a coverage condition of owner permission at variance with the statutory scheme. What is relevant is, rather, whether the worker is "employed" to do work otherwise falling within the statutory coverage criteria (*see* Labor Law § 241 [6]). There is no question that claimant was legitimately employed to do the very work he was doing at the time of his injury, or that he was present upon defendant's roadway at the direction of his employer, or that defendant, although empowered to deny access, did not. That defendant may have been unable to exercise its power to do so by reason of the water company's failure to seek a permit for the work cannot be determinative of claimant's

right to the Labor Law's protection, particularly where there is no reason to suppose that defendant would have denied access for the emergently necessary repairs.¹ Under the holding now embraced by the majority no worker will know as he or she sets off to a work site at the direction of his or her employer whether he or she will be covered under the Labor Law's umbrella; there will always be the possibility of a subsequent claim by the owner that permission for the work was not given—that the worker was in the eyes of the owner and pursuant to some agreement or enactment about which the employee cannot be expected to have been aware, a “trespasser.”

The Court does today precisely what it said would be impermissible in *Sanatass*: it has permitted an owner to “en-graft” onto the Labor Law a limitation upon the law's coverage at odds with the statutory scheme (*see Sanatass*, 10 NY3d at 342). True, here it is the State relying upon an enactment in its favor, and not a private party relying upon a contract, that seeks to benefit from the proposed limitation, but there is no evidence that the Legislature, in enacting the statute upon which the defendant bases its claim of noncoverage, intended to truncate the protections of the Labor Law. And, in the absence of such evidence, the State's dependence upon Highway Law § 52, an apparently modestly intended provision, should be as unavailing as the owner's reliance upon the lease provision in *Sanatass*. If the protections of the Labor Law are to be abridged that is a matter to be frankly undertaken by the Legislature; it should not be accomplished, as it is now, by judicial invention.

Pervading the majority opinion is the very basic misunderstanding, nowhere encouraged in the governing statute or our case law, that in every strict liability Labor Law action “nexus” must be separately demonstrated as an element of the claim. This has never been true. Ordinarily, all that is necessary to demonstrate the liability of an “owner” under the subject provisions is a showing of a statutory violation and causation. Ownership itself ordinarily suffices to establish any connection with the property and the work upon it necessary to sustain liability. An additional showing of connection has only been deemed necessary where an owner is out-of-possession²—but we have never actually found a lack of nexus on that ground—or where there

1. Indeed, it appears from the trial testimony that a permit would have routinely issued.

2. While in our affirming memorandum in *Scaparo* we without explanation glossed “out-of-possession” as without contractual relationship (13 NY3d

(n. cont'd)

is some relevant legal impediment to the owner's assertion of his ownership prerogatives, as in *Abbatiello* and *Scaparo*, where access to the premises is statutorily or otherwise legally compelled notwithstanding any right of exclusion the owner might otherwise have. There has never, until today, been a case in which an in-possession fee owner in no way legally disabled from the assertion of its ownership rights has been held to have an insufficient connection to those working upon the property to support statutory liability under the Labor Law. This is a significant and unwarranted departure that the Legislature may well wish to curtail.

Strict liability statutes invariably produce some harsh outcomes, but that is not a reason to deny them effect. The Legislature has determined to impose extensive duties upon owners to assure worker safety and provide reliable recourse in the event of construction related injury. Plainly, defendant was not at fault in connection with claimant's harm; it was held accountable simply by reason of its ownership of the premises where the accident occurred. Owners, however, are not helpless to protect themselves from the exposure created by the Labor Law. They can purchase insurance to guard against the risk of statutory liability, and can require contractors to do the same and name them as additional insureds.³ They can, in addition, seek through third-party litigation to place financial responsibility for liability incurred on purely statutory grounds with the party actually at fault. What they should not be permitted to do, however, is to unilaterally tinker with the Labor Law's basic protective ambit and thereby leave an injured worker, otherwise deserving of the law's protection, without recourse. Accordingly, I dissent from the Court's determination to afford such permission and would reverse and rule in claimant's favor.

at 866), it does not appear that any departure from *Abbatiello* was intended and the substituted language now read as broadening the separate nexus requirement was, in any event, dicta.

3. Defendant, presumably not out of any charitable impulse on the part of the water company, was, in fact, named as additional insured in the water company's liability policy. While the State, and now the majority, suggests that defendant's failure to realize the benefit of that coverage in this case is attributable to the water company's noncompliance with the state permitting law, the suggestion is belied by express findings in the underlying insurance litigation that the State failed to make reasonable efforts to ascertain the existence of such coverage and unreasonably delayed in filing a claim, even after it had learned of the coverage.

Judges GRAFFEO, SMITH, PIGOTT and JONES concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judge CIPARICK concurs.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[930 NE2d 282, 904 NYS2d 361]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,
v DANIEL J. BALLMAN, Respondent-Appellant.

Argued April 29, 2010; decided June 10, 2010

SUMMARY

CROSS APPEALS, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 24, 2009. The Appellate Division (1) reversed, on the law, a judgment of the Ontario County Court (Craig J. Doran, J.), which had convicted defendant, upon his plea of guilty, of driving while intoxicated as a felony; (2) vacated defendant's plea of guilty; (3) dismissed count one of the indictment without prejudice to the People to re-present any appropriate charges under that count to another grand jury; (4) reinstated count two of the indictment; and (5) remitted the matter to Ontario County Court for further proceedings on count two of the indictment.

People v Ballman, 64 AD3d 9, affirmed.

HEADNOTE

Motor Vehicles — Operating Vehicle while Under Influence of Alcohol or Drugs — Effect of Prior Out-of-State Conviction

Vehicle and Traffic Law § 1192 (8), as amended in 2006, does not allow an out-of-state conviction occurring prior to November 1, 2006 to be considered for purposes of elevating a charge of driving while intoxicated (DWI) from a misdemeanor to a felony. The statute permits the use of out-of-state convictions to elevate New York DWI offenses to felonies if the conduct at issue, had it occurred in New York, would have constituted a misdemeanor or felony violation under Vehicle and Traffic Law § 1192. The enabling language accompanying the amendment specifies that the statute, as amended, shall apply only to convictions occurring on or after November 1, 2006 (L 2006, ch 231, § 2). The purpose of the amendment was to ensure that a prior out-of-state conviction for operating a motor vehicle while under the influence of alcohol or drugs should be deemed to be a prior conviction for the same action as if it had occurred in New York State, so that repeat DWI offenders would not face lesser penalties simply because prior convictions occurred out of state. The 2006 amendment ended the practice of treating all prior out-of-state convictions as mere traffic infractions under New York law. The most sensible interpretation of the enabling language is that the Legislature chose to remedy the different treatment between in-state and out-of-state convictions going forward, by continuing to apply the previous statutory scheme to out-of-state convictions occurring prior to November 1, 2006, and applying the statute as amended to out-of-state convictions occurring after that date. The word “convictions” in the enabling language refers to prior out-of-state convictions rather than current New York convictions. The subdivision is entitled “Effect of prior out-of-state conviction” and throughout the subdivision the only references are to prior convictions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic § 987.
McKINNEY's, Vehicle and Traffic Law § 1192 (8).
NY JUR 2d, Automobiles and Other Vehicles § 929.

ANNOTATION REFERENCE

See ALR Index under Driving While Intoxicated; Prior Offenses and Convictions.

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POINTS OF COUNSEL

R. Michael Tantillo, District Attorney, Canandaigua (Catherine A. Walsh of counsel), for appellant-respondent. I. Proper statutory interpretation of Vehicle and Traffic Law § 1192 (8) requires that all prior out-of-state convictions be treated equally with prior New York convictions and, therefore, the word “convictions” in the enabling language of the bill enacting section 1192 (8) refers to the current New York State driving while intoxicated conviction, not future “out-of-state” convictions. (*People v Litto*, 8 NY3d 692; *Matter of Kenneth J.*, 102 Misc 2d 415; *Matter of Davies*, 242 NY 196; *Matter of Silson v New York State Employees' Retirement Sys.*, 208 Misc 59, 286 App Div 936; *Matter of Winters*, 277 App Div 24, 301 NY 680, 302 NY 666, 845; *United States v Salerno*, 481 US 739; *Becker Steel Co. of America v Cummings*, 296 US 74; *LaValle v Hayden*, 98 NY2d 155; *People v Mertz*, 68 NY2d 136.) II. The underlying out-of-state Georgia conviction qualifies as a crime under Vehicle and Traffic Law § 1192 (2) and therefore qualifies as a prior conviction under Vehicle and Traffic Law § 1192 (8). (*People v Taylor*, 65 NY2d 1; *People v Atkins*, 85 NY2d 1007; *People v Turner*, 234 AD2d 704; *People v Casimiro*, 308 AD2d 456; *People v Mertz*, 68 NY2d 136; *People v Miller*, 199 AD2d 692, 82 NY2d 928.) III. The Appellate Division correctly concluded that defendant was properly detained for investigatory purposes after the police officer had (1) observed defendant park his vehicle in a restricted parking spot, (2) detected a strong odor of alcoholic beverage on defendant, and (3) observed defendant to have watery eyes and slurred speech. (*People v Hasenflue*, 252 AD2d 829, 92 NY2d

982; *People v Yukl*, 25 NY2d 585; *People v Hicks*, 68 NY2d 234; *People v Parris*, 26 AD3d 393; *People v Myers*, 1 AD3d 382.)

Shirley A. Gorman, Brockport, for respondent-appellant. I. The 2006 amendment to Vehicle and Traffic Law § 1192 (8), changing the way out-of-state convictions are treated, does not apply to an out-of-state conviction which occurred before that amendment took effect. (*People v Litto*, 8 NY3d 692; *People v Morse*, 62 NY2d 205; *People v Mertz*, 68 NY2d 136.) II. Even if the amendment to Vehicle and Traffic Law § 1192 (8) applied, the conduct underlying the conviction in Georgia would not constitute a misdemeanor under our law. (*People v Alvarez*, 70 NY2d 375; *People v Mertz*, 68 NY2d 136; *People v Lucas*, 11 NY3d 218; *People v Taylor*, 65 NY2d 1; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Iannone*, 45 NY2d 589.) III. The police did not have probable cause to arrest Mr. Ballman until after conducting field sobriety tests so all evidence obtained after he was forcibly returned to the police station for those tests should be suppressed. (*People v Hicks*, 68 NY2d 234; *People v Chestnut*, 51 NY2d 14; *People v Yukl*, 25 NY2d 585; *Florida v Royer*, 460 US 491; *Dunaway v New York*, 442 US 200; *Wong Sun v United States*, 371 US 471; *People v Howard*, 50 NY2d 583; *People v Bryan*, 190 Misc 2d 818; *People v Tillman*, 184 Misc 2d 20; *People v Offen*, 96 Misc 2d 147.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal raises the issue whether Vehicle and Traffic Law § 1192 (8) allows an out-of-state conviction occurring prior to November 1, 2006 to be considered for purposes of elevating a charge of driving while intoxicated from a misdemeanor to a felony. We hold that it does not.

Defendant was indicted for driving while intoxicated as a felony (Vehicle and Traffic Law § 1192 [3]; § 1193 [1] [c]) and for obstructing governmental administration in the second degree (Penal Law § 195.05) for acts committed on February 22, 2007. As the basis for elevating defendant's driving while intoxicated charge to a felony, the People filed a special information charging that defendant had a 1999 conviction for driving with an unlawful alcohol concentration in the state of Georgia (Ga Code Ann § 40-6-391), which would have been a violation of Vehicle and Traffic Law § 1192 (2) had it occurred in New York.

Defendant moved to dismiss the indictment raising several arguments, including that the date of the Georgia conviction

rendered it ineligible to serve as a predicate for elevating the charge to driving while intoxicated as a felony. County Court denied the motion, finding that the legislative intent behind Vehicle and Traffic Law § 1192 (8) was to treat prior out-of-state convictions as if they were prior convictions for the same actions occurring in New York State. The same court denied defendant's motion to suppress the evidence against him and defendant ultimately pleaded guilty to driving while intoxicated as a felony in full satisfaction of the indictment.

The Appellate Division reversed, vacated the plea, dismissed the first count of the indictment for felony driving while intoxicated without prejudice to the People to re-present appropriate charges, reinstated the second count of the indictment for obstructing governmental administration and remitted to County Court for further proceedings on that second count (64 AD3d 9 [4th Dept 2009]). The Court determined that, based on the language of the 2006 amendment to Vehicle and Traffic Law § 1192 (8) and its enabling language, convictions occurring prior to the November 1, 2006 effective date of the statute, including defendant's 1999 Georgia conviction, could not be used to raise a driving while intoxicated (DWI) offense from a misdemeanor to a felony. The Court, however, upheld County Court's suppression ruling. A Judge of this Court granted both parties leave to appeal (12 NY3d 922 [2009]). We now affirm.

At issue here is the interpretation of Vehicle and Traffic Law § 1192 (8), as amended in 2006. The statute reads as follows:

“A prior out-of-state conviction for operating a motor vehicle while under the influence of alcohol or drugs shall be deemed to be a prior conviction of a violation of this section for purposes of determining penalties imposed under this section . . . provided, however, that such conduct, had it occurred in this state, would have constituted a misdemeanor or felony violation of any of the provisions of this section” (Vehicle and Traffic Law § 1192 [8]).

The subdivision further provides that, if the out-of-state conduct would have been a violation of section 1192 had it occurred in-state, but would not have constituted a misdemeanor or a felony, the conduct will be deemed a prior conviction of driving while ability impaired for purposes of determining the appropriate penalties (*see* Vehicle and Traffic Law § 1192 [8]).

The enabling language accompanying the amendment specifies that

“[t]he provisions of [Vehicle and Traffic Law § 1192 (8)], as it existed prior to the amendment made by . . . this act, shall apply only to convictions occurring on or after November 29, 1985 through and including October 31, 2006 and provided, further, that the provisions of [Vehicle and Traffic Law § 1192 (8)] as amended by . . . this act shall apply only to convictions occurring on or after November 1, 2006” (L 2006, ch 231, § 2).

The amendment took effect on November 1, 2006 (L 2006, ch 231, § 3).

The dispute centers on the meaning of the term “convictions” in the enabling language—whether it applies to domestic or prior out-of-state convictions. “When presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks and citation omitted]). Although the text itself is generally the best evidence of legislative intent, where “the language is ambiguous, we may examine the statute’s legislative history” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009]). Here, the enabling language presents such an ambiguity.

In order to best understand the 2006 amendments, it is helpful to trace the evolution of this subdivision. The initial version of this provision, Vehicle and Traffic Law § 1192 (7), was enacted in 1985 to allow prior out-of-state convictions for driving under the influence of drugs or alcohol to be considered when determining appropriate penalties for subsequent New York offenses (L 1985, ch 694, § 1). Until that time, prior out-of-state convictions had not been considered for penalty purposes (*see* Senate Mem in Support, Bill Jacket, L 1985, ch 694). Under section 1192 (7), all such prior out-of-state convictions were treated as traffic infractions, rather than misdemeanors or felonies, regardless of the level of the crime in the other state or the degree of any equivalent violation in New York (L 1985, ch 694, § 1). The enabling language of the legislation provided that the “act shall take effect on the one hundred twentieth day next succeeding the date on which it shall have become a law and shall apply to out-of-state convictions occurring on or after such date” (L 1985, ch 694, § 2). Since the statute was enacted August 1, 1985, its effective date was therefore November 29, 1985.

When this provision was renumbered from subdivision (7) to Vehicle and Traffic Law § 1192 (6) in 1988, the statutory language remained largely the same. However, the bulk of the enabling language was incorporated into the body of the statute—providing that the subdivision would only be applicable to convictions occurring on or after November 29, 1985 (L 1988, ch 47, § 18). The primary difference in the statutory language was the omission of the term “out-of-state.” The subdivision was again renumbered to Vehicle and Traffic Law § 1192 (8) (L 1990, ch 173, § 62), where it appears today.

As noted above, the 2006 amendments ended the practice of treating all prior out-of-state convictions as mere traffic infractions under New York law. Rather, for purposes of determining penalties, a prior out-of-state conviction is now treated as a conviction of the equivalent conduct under New York law. In addition, the amendment again moved the date restrictions, this time from the statute to the enabling language.

This history reflects that the Legislature recognized the harsher penalties that had been applied when a person had a prior in-state conviction, as opposed to a prior out-of-state conviction, and intended to remedy that discrepancy. “This bill would eliminate one of the loopholes that allows repeat DWI offenders to face lesser penalties simply because prior convictions occurred out of state” (Assembly Mem in Support, Bill Jacket, L 2006, ch 231). The stated purpose of the amendment was “[t]o ensure that a prior out-of-state conviction for operating a motor vehicle while under the influence of alcohol or drugs shall be deemed to be a prior conviction for the same action as if it had occurred in New York State” (Assembly Mem in Support, Bill Jacket, L 2006, ch 231).

Although the legislative history does not specifically discuss a time limitation, it is significant that the Legislature chose to continue applying the November 29, 1985 date originally used to allow for consideration of out-of-state convictions. The most sensible interpretation of the enabling language is that the Legislature chose to remedy this differential treatment going forward, by continuing to apply the previous statutory scheme to out-of-state convictions occurring prior to November 1, 2006, and applying the statute as amended to out-of-state convictions occurring after that date. The People’s argument that “convictions” in the enabling language refers to current New York convictions is belied by the use of that November 29, 1985 to October 31, 2006 time frame. In addition, if “convictions occur-

ring on or after November 1, 2006” was meant to refer to current New York convictions, the enabling language establishing the effective date of the statute as November 1, 2006 (L 2006, ch 231, § 3) would be redundant. Treating “convictions” as prior out-of-state convictions also avoids any potential ex post facto problem arising from the People’s proposed interpretation of the statute.

The enabling language of the 2006 amendments should be interpreted consistently with the language of the statute itself. The subdivision is entitled “Effect of prior out-of-state conviction” and throughout the subdivision the only references are to prior convictions—when a *prior* out-of-state conviction will be deemed a *prior* conviction under New York law. Moreover, use of the prior out-of-state convictions is necessary at the inception of the case, for charging purposes, in order to make the initial determination of whether a defendant can be indicted for misdemeanor or felony DWI. Based upon all of the above considerations, the most reasonable interpretation of the statute and its enabling language is that out-of-state convictions from prior to November 1, 2006 cannot be used to elevate a DWI offense to a felony.

In light of this disposition, it is not necessary to address defendant’s argument concerning whether the conduct underlying his Georgia conviction would have been the equivalent of a misdemeanor under Vehicle and Traffic Law § 1192. In addition, defendant’s cross appeal is dismissed, since he was not adversely affected by the Appellate Division order within the meaning of CPL 450.90 (1).

Accordingly, on the People’s appeal, the order of the Appellate Division should be affirmed. Defendant’s appeal should be dismissed upon the ground that the order from which the appeal is taken is not adverse or partially adverse within the meaning of CPL 450.90 (1) (*see People v Edwards*, 96 NY2d 445, 451 n 2 [2001]).

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

On the People’s appeal, order affirmed. Defendant’s appeal dismissed upon the ground that the order from which the appeal is taken is not adverse or partially adverse within the meaning of CPL 450.90 (1) (*see People v Edwards*, 96 NY2d 445, 451 n 2 [2001]).

[930 NE2d 756, 904 NYS2d 683]

JOHN GALLIANO, S.A., Respondent, v STALLION, INC., Appellant.

Argued April 27, 2010; decided June 8, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 5, 2009. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Marylin G. Diamond, J.; *see* 19 Misc 3d 1108[A], 2008 NY Slip Op 50605[U]), which had granted plaintiff's motion for summary judgment in lieu of complaint and awarded plaintiff a certain aggregate sum.

John Galliano, S.A. v Stallion, Inc., 62 AD3d 415, affirmed.

HEADNOTE

Judgments — Foreign Judgment — Recognition of Foreign Money Judgment

Plaintiff was entitled under the Uniform Foreign Country Money-Judgments Recognition Act (CPLR art 53) to recognition of the money judgment entered by a French court in plaintiff's favor upon defendant's default in a proceeding to recover money owed under the parties' licensing agreement. Generally, a foreign money judgment is to be recognized in New York under CPLR article 53 unless a ground for nonrecognition under CPLR 5304 is applicable. Defendant claimed that the purported service under the Hague Convention of documents written in French and unaccompanied by an English translation was ineffective, and that the French court lacked personal jurisdiction over defendant. Although grounds for nonrecognition include a lack of personal jurisdiction over the defendant by the foreign court (*see* CPLR 5304 [a] [2]) and a defendant's failure to receive "notice of the proceedings in sufficient time to enable him to defend" (CPLR 5304 [b] [2]), those grounds must be read together with CPLR 5305, which provides that a "foreign country judgment shall not be refused recognition for lack of personal jurisdiction if . . . the defendant prior to the commencement of the proceedings had agreed to submit to the jurisdiction of the foreign court with respect to the subject matter involved" (CPLR 5305 [a] [3]). Here, defendant did just that when it entered into the licensing agreement with plaintiff given that agreement's forum selection clause, which specified that disputes were to be adjudicated in accordance with French law by a court in France. In seeking enforcement of a foreign money judgment in New York, the inquiry turns on whether exercise of jurisdiction by the foreign court comports with New York's concept of personal jurisdiction, and, if so, whether the foreign jurisdiction shares New York's notions of procedure and due process of law. Those criteria were met here, and the enforcement of the French judgment was not repugnant to New York's notion of fairness. As long as New York did not find the procedure used to be fundamentally unfair, the propriety of the service under the Hague Convention was an issue for the French court.

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By the Publisher's Editorial Staff

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§§ 747–750, 792, 796.
CARMODY-WAIT 2d, Judgments §§ 63:610–63:613, 63:632–
63:634.
McKINNEY's, CPLR 5304 (a) (2); (b) (2); 5305 (a) (3).
NY JUR 2d, Enforcement and Execution of Judgments
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ANNOTATION REFERENCE

Construction and application of Uniform Foreign Money
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POINTS OF COUNSEL

Silverman Sclar Shin & Byrne PLLC, New York City (Alan M. Sclar and Mikhail Ratner of counsel), for appellant. I. John Galliano, S.A.'s failure to effect proper service under the Hague Convention deprived the French court of personal jurisdiction over Stallion, Inc. (*Kolovrat v Oregon*, 366 US 187; *Sumitomo Shoji America, Inc. v Avagliano*, 457 US 176; *El Al Israel Airlines, Ltd. v Tsui Yuan Tseng*, 525 US 155; *Volkswagenwerk Aktiengesellschaft v Schlunk*, 486 US 694; *Reynolds v Woosup Koh*, 109 AD2d 97; *Derso v Volkswagen of Am.*, 159 AD2d 937.) II. John Galliano S.A.'s failure to effect service of process sufficient to accord Stallion, Inc. reasonable notice and opportunity to be heard deprived the French court of personal jurisdiction, even where Stallion had agreed that the French court would have jurisdiction over disputes among the parties. (*Tulsa Professional Collection Services, Inc. v Pope*, 485 US 478; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Volkswagenwerk Aktiengesellschaft v Schlunk*, 486 US 694; *National Equipment Rental, Ltd. v Szukhent*, 375 US 311; *Fashion Page v Zurich Ins. Co.*, 50 NY2d 265; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78; *Employers Ins. of Wausau v Banco De Seguros Del Estado*, 199 F3d 937; *Phillips Petroleum Co. v Shutts*, 472 US 797; *Securities & Exch. Commn. v Ross*, 504 F3d 1130;

Burger King Corp. v Rudzewicz, 471 US 462.) III. John Galliano, S.A.'s failure to serve authorized representatives of Stallion, Inc. denied Stallion notice of the French proceeding. (*Fashion Page v Zurich Ins. Co.*, 50 NY2d 265; *Carlin v Crum & Forster Ins. Co.*, 170 AD2d 251; *Todaro v Wales Chem. Co.*, 173 AD2d 696; *American Fed. Group v Union Chelsea Natl. Bank*, 279 AD2d 433; *Hoffman v Petrizzi*, 144 AD2d 437; *Martinez v Church of St. Gregory*, 261 AD2d 179; *Albilia v Hillcrest Gen. Hosp.*, 124 AD2d 499.) IV. Material issues of fact required the denial of summary judgment. (*St. Vincent's Hosp. & Med. Ctr. v Nationwide Mut. Ins. Co.*, 42 AD3d 523; *Matter of TIG Ins. Co. v Pellegrini*, 258 AD2d 658; *Ritt v Lenox Hill Hosp.*, 182 AD2d 560; *989 Sixth Ave. Assoc. v Stelow*, 176 AD2d 556; *B.R.I. Coverage Corp. v Imperial*, 182 AD2d 529; *R-H-D Constr. Corp. v Miller*, 222 AD2d 802.) V. New York's well-established public policy favoring resolution of disputes on the merits precludes enforcement of the French default judgment. (*Ackerson v Stragmaglia*, 176 AD2d 602; *Cooney v Cambridge Mgt. & Realty Corp.*, 35 AD3d 522; *Picinic v Seatrain Lines*, 117 AD2d 504.) VI. A traverse hearing was warranted to afford Stallion, Inc. an opportunity to challenge the jurisdictional basis for the French default judgment. (*Plugmay Ltd. v National Dynamics Corp.*, 53 Misc 2d 451, 28 AD2d 645; *Falcon Mfg. [Scarborough] Ltd. v Ames*, 53 Misc 2d 332; *Cooney v Cambridge Mgt. & Realty Corp.*, 35 AD3d 522; *Ackerson v Stragmaglia*, 176 AD2d 602; *Martens v Martens*, 284 NY 363.)

Ellenoff Grossman & Schole, LLP, New York City (Ted Poretz and Gabriel Mendelberg of counsel), for respondent. I. Stallion, Inc.'s claims under CPLR 5304 (a) (2) were precluded by CPLR 5305 (a) (3). (*CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78; *Canadian Imperial Bank of Commerce v Saxony Carpet Co., Inc.*, 899 F Supp 1248; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *State of New York v Patricia II.*, 6 NY3d 160; *Riley v County of Broome*, 95 NY2d 455; *Omni Capital Int'l, Ltd. v Rudolf Wolff & Co.*, 484 US 97; *Murphy Brothers, Inc. v Michetti Pipe Stringing, Inc.*, 526 US 344.) II. There is no other statutory bar to enforcement. (*CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306.) III. Stallion, Inc. received adequate notice of the French proceedings. (*Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78; *CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215; *Burda Media, Inc. v Viertel*, 417 F3d 292; *In re South African Apartheid Litig.*, 643 F

Supp 2d 423; *Vazquez v Sund Emba AB*, 152 AD2d 389; *Casa de Cambio Delgado v Casa de Cambio Puebla, S.A. de C.V.*, 196 Misc 2d 1; *Soberal-Perez v Heckler*, 717 F2d 36; *Tahan v Hodgson*, 662 F2d 862.) IV. John Galliano, S.A. strictly complied with applicable service rules. (*Volkswagenwerk Aktiengesellschaft v Schlunk*, 486 US 694; *Morgenthau v Avion Resources Ltd.*, 11 NY3d 383; *Ackermann v Levine*, 788 F2d 830; *Aspinall's Club v Aryeh*, 86 AD2d 428; *Northrup King Co. v Compania Productora Semillas Algodoneras Selectas, S.A.*, 51 F3d 1383; *Vazquez v Sund Emba AB*, 152 AD2d 389; *Christensen v Harris County*, 529 US 576; *Mora v New York*, 524 F3d 183; *Casa de Cambio Delgado v Casa de Cambio Puebla, S.A. de C.V.*, 196 Misc 2d 1; *Greenfield v Suzuki Motor Co., Ltd.*, 776 F Supp 698.) V. Summary judgment was proper as no material issues of fact were in dispute. (*Misicki v Caradonna*, 12 NY3d 511; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78.) VI. The French judgment does not violate New York public policy. (*Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78; *Ackermann v Levine*, 788 F2d 830; *Porisini v Petricca*, 90 AD2d 949; *Aspinall's Club v Aryeh*, 86 AD2d 428; *Sarl Louis Feraud Intl. v Viewfinder, Inc.*, 489 F3d 474; *CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215.) VII. The trial court correctly calculated post-French judgment interest in the New York judgment. (*Wells Fargo & Co. v Davis*, 105 NY 670; *Buckeye Retirement Co., L.L.C., Ltd. v Lee*, 41 AD3d 183.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

A court in Paris, France entered a money judgment in favor of John Galliano, S.A. (Galliano) against Stallion, Inc. (Stallion), and Galliano seeks to have that judgment recognized in New York. The Appellate Division, applying New York's Uniform Foreign Country Money-Judgments Recognition Act, codified at CPLR article 53, concluded that the French judgment should be recognized in New York (62 AD3d 415 [1st Dept 2009]). We granted leave to appeal and now affirm.

The underlying dispute is a contractual one. In 1998, Stallion entered into a licensing agreement with Les Jardins D'Avron, a French company, concerning the use of the "John Galliano" trademark for the production and distribution of luxury fur items in the United States, and Galliano was later substituted for Les Jardins D'Avron as a party to the agreement. The agreement provides that it is governed by the laws of France, and the agreement's forum selection clause, entitled

“Competent jurisdiction,” further provides that “[a]ny dispute which may arise in connection with this Agreement . . . shall be submitted to the competent court for the district over which the Paris Court of Appeals has jurisdiction.”

Disputes between Galliano and Stallion arose with respect to royalty payments Galliano alleged that Stallion owed it under the licensing agreement and expenses Galliano believed it was owed in connection with a fashion show. For its part, Stallion believed it was owed money for various goods it had delivered to Les Jardins D’Avron.

The parties were unable to resolve these ongoing disagreements, prompting Galliano in 2002 to sue Stallion in the Commercial Court in Paris. Three attempts to serve Stallion with the French equivalent of a summons and complaint were made under the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters (Hague Convention) (*see Volkswagenwerk Aktiengesellschaft v Schlunk*, 486 US 694 [1988]). In each instance the documents were delivered to Stallion and a certificate of service completed. Stallion, however, did not appear in the French proceeding, and judgment amounting to “the exchange value in euro as of the date of payment of the amount of USD 178,810,” plus specified interest, was entered in Galliano’s favor in October 2004. Galliano commenced this proceeding three years later to enforce the judgment in New York.

Stallion argues that New York should not recognize the judgment of the French court against it because that court lacked personal jurisdiction over Stallion. Stallion asserts that the purported service under the Hague Convention was ineffective because the documents delivered to it were written in French and were not accompanied by an English translation. Absent proper service, the argument continues, Stallion cannot be said to have received effective notice of the proceeding in Paris, and a defendant’s lack of notice of the foreign proceeding that resulted in a money judgment against it must result in nonrecognition of that judgment in New York under CPLR article 53 (*see* CPLR 5304 [a] [2]; [b] [2]).*

“New York has traditionally been a generous forum in which to enforce judgments for money damages rendered by foreign

* Below, Stallion also relied on CPLR 2101 (b), an argument rejected by Supreme Court (19 Misc 3d 1108[A], 2008 NY Slip Op 50605[U], *3 [2008]) that Stallion has since abandoned.

courts,” and, in accordance with that tradition, the State adopted the Uniform Foreign Country Money-Judgments Recognition Act as CPLR article 53 (*CIBC Mellon Trust Co. v Mora Hotel Corp.*, 100 NY2d 215, 221 [2003]). Article 53 “applies to any foreign country judgment which is final, conclusive and enforceable where rendered even though an appeal therefrom is pending or it is subject to appeal” (CPLR 5302), and “a foreign country judgment is considered ‘conclusive between the parties to the extent that it grants or denies recovery of a sum of money’ ” (*CIBC Mellon Trust Co.*, 100 NY2d at 221, quoting CPLR 5303).

Generally, a foreign money judgment is to be recognized in New York under article 53 unless a ground for nonrecognition under CPLR 5304 is applicable. Grounds for nonrecognition include a lack of personal jurisdiction over the defendant by the foreign court (*see* CPLR 5304 [a] [2]) and a defendant’s failure to receive “notice of the proceedings in sufficient time to enable him to defend” (CPLR 5304 [b] [2]).

CPLR 5304’s grounds for nonrecognition of foreign money judgments must be read together with CPLR 5305, however, which provides that a “foreign country judgment shall not be refused recognition for lack of personal jurisdiction if . . . the defendant prior to the commencement of the proceedings had agreed to submit to the jurisdiction of the foreign court with respect to the subject matter involved” (CPLR 5305 [a] [3]). Plainly, as the Appellate Division rightly concluded (*see* 62 AD3d at 416), Stallion did just that when it entered into the licensing agreement given that agreement’s forum selection clause.

Stallion urges, however, that the Appellate Division’s reading of CPLR 5305 effectively negates the notice component of a court’s proper exercise of personal jurisdiction over a defendant, and Stallion asserts that it did not receive adequate notice of the proceedings in Paris because the documents purportedly served on it pursuant to the Hague Convention were written in French, unaccompanied by an English translation.

Notice of a proceeding is, of course, a fundamental component of a court’s proper exercise of personal jurisdiction over a party, and CPLR 5304 itself expressly recognizes a lack of notice as a ground for not recognizing a foreign money judgment in New York (*see* CPLR 5304 [b] [2]). We agree with Stallion that if recognition of a foreign money judgment were

sought in New York and the defendant had received no meaningful notice of the foreign proceeding, that lack of notice would serve as a legitimate basis for not enforcing the judgment in our state, as the entry of such a judgment would not comport with our conception of personal jurisdiction or our notion of fairness. This, however, is not that case. The Appellate Division concluded that Stallion “received notice of the French action [and] its service by personal delivery is unlikely to give rise to any objections based on due process” (62 AD3d at 416). We agree.

We first note that, in seeking enforcement of a foreign money judgment in New York, “the judgment creditor does not seek any new relief against the judgment debtor, but instead merely asks the court to perform its ministerial function of recognizing the foreign country money judgment and converting it into a New York judgment” (*CIBC Mellon Trust Co.*, 100 NY2d at 222). “[T]he inquiry turns on whether exercise of jurisdiction by the foreign court comports with New York’s concept of personal jurisdiction, and if so, whether that foreign jurisdiction shares our notions of procedure and due process of law” (*Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78, 83 [2006]). “If the above criteria are met, and enforcement of the foreign judgment is not otherwise repugnant to our notion of fairness, the foreign judgment should be enforced in New York under well-settled comity principles without microscopic analysis of the underlying proceeding” (*id.*).

Those criteria are met here, and, on this record, the enforcement of the French judgment is not repugnant to our notion of fairness. Stallion was well aware of its ongoing disputes with Galliano, and it was also aware that, under the licensing agreement, those disputes, if litigated, would be adjudicated in accordance with French law by a court in France. Stallion was delivered court papers written in French, first by a U.S. marshal, then subsequently on two occasions by process servers from Process Forwarding International (the entity selected by the Department of Justice to carry out service in the United States under the Hague Convention), all in an effort to notify it of the commencement of the French proceeding.

Stallion disputes that these service efforts complied with the Hague Convention because the papers written in French were not accompanied by an English translation. However, as long as we do not find the procedure used to be fundamentally unfair, the propriety of the service under the Hague Convention was an

issue for the court in France. Our inquiry now under CPLR article 53 is more circumscribed; we need only determine at this stage whether the recognition requirements of article 53 have been met.

Significantly for our purposes in applying article 53 in this case, before it could properly issue a judgment against Stallion in Stallion's absence, article 15 of the Hague Convention required the Paris Commercial Court to consider whether service on Stallion was properly made or whether "the document was actually delivered to the defendant or to his residence by another method provided for by" the treaty (for example, service "voluntarily" accepted as contemplated by the second paragraph of article 5) (Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters, 20 UST 361, TIAS No. 6638 [1969]). Moreover, in whatever form service takes, article 15 further requires that it be "established"—again, before judgment may be entered in a foreign defendant's absence—that the service abroad was made "in sufficient time to enable the defendant to defend" itself in the proceeding (*id.* [notably, language that is identical to that used by our Legislature in CPLR 5304 (b) (2)]). Given that the Paris Commercial Court entered a judgment in Galliano's favor in Stallion's absence, it would seem clear that it was "established" to that court's satisfaction that article 15's requirements were met.

On this record, we are satisfied that Stallion had notice of the proceeding in France "in sufficient time to enable [it] to defend" itself in that action (CPLR 5304 [b] [2]), and the Paris Commercial Court's exercise of personal jurisdiction over Stallion under these circumstances was not unfair. Moreover, as noted, in the licensing agreement Stallion agreed to submit any contractual disputes to the jurisdiction of the French courts prior to the commencement of the proceeding in Paris and, pursuant to CPLR 5305 (a) (3), the French judgment should not be refused recognition.

On this record, because the French court's money judgment in favor of Galliano does not run afoul of our conception of personal jurisdiction or our notion of fairness, well settled CPLR article 53 law compels the recognition and enforcement of the French judgment in New York.

The Appellate Division order, insofar as appealed from, should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES
concur.

Order, insofar as appealed from, affirmed, with costs.

[931 NE2d 529, 905 NYS2d 545]

In the Matter of RICHARD E. GORDON et al., Appellants, v TOWN OF ESOPUS et al., Respondents. (And Three Other Related Proceedings.)

Argued May 5, 2010; decided June 15, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 26, 2009. The Appellate Division (1) reversed, on the facts, a judgment of the Supreme Court, Ulster County (Kimberly A. O'Connor, J.), entered in a proceeding pursuant to RPTL article 7, which had granted the petitions, after a nonjury trial, in four proceedings challenging the tax assessments on certain real property owned by petitioners; and (2) dismissed the petitions.

Matter of Gordon v Town of Esopus, 59 AD3d 896, reversed.

HEADNOTE

Taxation — Assessment — Managed Forest Land

Petitioners' real property, which was certified by the Department of Environmental Conservation (DEC) as managed forest land under Real Property Tax Law § 480-a, was improperly assessed by respondents as vacant land rather than forest land. While vacant land may be assessed for tax purposes based on its present potential for development, under RPTL 480-a eligible forest land is exempt from taxation to the extent of 80% of the assessed valuation of the land. The Legislature enacted RPTL 480-a to provide a means by which present and future forest lands may be protected and enhanced as a viable segment of the state's economy and as an economic and environmental resource of major importance. The changes to RPTL 480-a between 1974 and 1976, including removal of a detailed assessment scheme, do not reveal an altered purpose in enacting the statute; the purpose of protecting forest land and making the production of timber in New York a more economical enterprise remained the same. The 1974 version of RPTL 480-a, the 1976 version of the statute and the current version of the law all define "forest land" as land that is "devoted to and suitable for forest crop production" (RPTL 480-a [1] [f]). It is clear that the Legislature considered land "devoted to" forest crop production to be land that was used for that purpose (L 1974, ch 814, § 1). In line with the clear legislative purpose in enacting RPTL 480-a, land certified by the DEC as forest land pursuant to RPTL 480-a is used as forest land and must be assessed under RPTL 302 (1) as such for real property tax purposes.

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By the Publisher's Editorial Staff

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CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes § 146:3.

McKINNEY's, RPTL 302 (1); 480-a (1) (f).

NY JUR 2d, Taxation and Assessment §§ 203, 204, 253.

NEW YORK REAL PROPERTY SERVICE §§ 61:11, 61:13, 61:14.

ANNOTATION REFERENCE

See ALR Index under Forests and Foresters; Taxes.

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Query: assess! /s managed /2 forest /2 land /p tax

POINTS OF COUNSEL

Van DeWater & Van DeWater, LLP, Poughkeepsie (David D. Hagstrom of counsel), for appellants. I. The subject property should be valued according to its *existing use* as managed forest land on the applicable valuation and taxable status dates. (*Matter of General Motors Corp. Cent. Foundry Div. v Assessor of Town of Massena*, 146 AD2d 851, 74 NY2d 604; *Matter of Ross v Town of Santa Clara*, 266 AD2d 678; *Matter of Weingarten v Town of Ossining*, 85 AD2d 697; *Matter of Addis Co. v Srogi*, 79 AD2d 856, 53 NY2d 603; *Matter of PCK Dev. Co., LLC v Assessor of Town of Ulster*, 20 AD3d 660, 6 NY3d 708; *Matter of Adirondack Mtn. Reserve v Board of Assessors of Town of N. Hudson*, 99 AD2d 600; *Matter of General Elec. Co. v Macejka*, 117 AD2d 896; *Matter of Stillwell Equip. Corp. v Assessors for Town of Greenburgh*, 251 AD2d 672; *Matter of Clove Dev. Corp. v Frey*, 63 NY2d 181.) II. Legislative intent supports valuation according to existing use as RPTL 480-a forest land on the applicable valuation and taxable status dates. (*Matter of Clove Dev. Corp. v Frey*, 63 NY2d 181; *Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25, 51 NY2d 970; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350.) III. Donald Fisher's appraisal methodology and comparables were thorough, reliable and based on the property's current use. (*Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25, 51 NY2d 970; *Matter of Great Atl. & Pac. Tea Co. v Kiernan*, 42 NY2d 236; *Matter of City of Troy v Town of Pittstown*, 306 AD2d 718, 1 NY3d 505; *Matter of Coca-Cola Bottling Co. of N.Y. v Assessor of Town of Geddes*, 241 AD2d 958; *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon*, 88 NY2d 724.) IV. Michael DeWan's appraisal is fatally flawed for failing to value the

property as managed forest land. (*Matter of Gibson v Gleason*, 20 AD3d 623, 5 NY3d 713.) V. When the Appellate Division reverses the trial court, the Court of Appeals may review the facts to determine which court's determination more closely comports with the evidence. (*Matter of Hime Y.*, 54 NY2d 282; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Aviation Constructors, Inc. v Baldassano Architectural Group, P.C.*, 57 AD3d 927; *Zeltser v Sacerdote*, 52 AD3d 824; *Gonzalez v State of New York*, 60 AD3d 1193; *Felt v Olson*, 51 NY2d 977.)

Peter F. Matera, West Park, for respondents. I. Petitioners' appraisal was insufficient to prove by a preponderance of the evidence that the subject property was overvalued. (*Matter of Ross v Town of Santa Clara*, 266 AD2d 678; *Matter of City of Troy v Kusala*, 227 AD2d 736; *Matter of Great Atl. & Pac. Tea Co. v Kiernan*, 42 NY2d 236; *Matter of Coca-Cola Bottling Co. of N.Y. v Assessor of Town of Geddes*, 241 AD2d 958; *Niagara Falls Urban Renewal Agency v 123 Falls Realty*, 66 AD2d 1009; *Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *Matter of City of Troy v Town of Pittstown*, 306 AD2d 718; *Matter of Adirondack Mtn. Reserve v Board of Assessors of Town of N. Hudson*, 99 AD2d 600; *Matter of Stillwell Equip. Corp. v Assessors for Town of Greenburgh*, 251 AD2d 672; *Matter of Addis Co. v Srogi*, 79 AD2d 856.) II. Respondents' appraisal is fully supported by the facts and law. (*Matter of Ross v Town of Santa Clara*, 266 AD2d 678; *Matter of City of Troy v Kusala*, 227 AD2d 736.) III. There is no authority that provides for a special method of assessment for classification 912 property and the subject property should be appraised as vacant land. (*Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25; *Matter of Aldrich v Murphy*, 42 AD2d 385; *Matter of Addis Co. v Srogi*, 79 AD2d 856; *Matter of General Elec. Co. v Macejka*, 117 AD2d 896; *Matter of General Motors Corp. Cent. Foundry Div. v Assessor of Town of Massena*, 146 AD2d 851; *Matter of PCK Dev. Co., LLC v Assessor of Town of Ulster*, 20 AD3d 660; *Matter of Stillwell Equip. Corp. v Assessors for Town of Greenburgh*, 251 AD2d 672; *Matter of Ross v Town of Santa Clara*, 266 AD2d 678; *Matter of Adirondack Mtn. Reserve v Board of Assessors of Town of N. Hudson*, 99 AD2d 600; *Matter of Metropolitan Life Ins. Co. v Tax Commn. of City of N.Y.*, 85 AD2d 525.) IV. Petitioners' reliance on the legislative intent in regard to RPTL 480-a is misplaced. (*Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25; *People ex rel. Watchtower Bible & Tract Socy. v Har- ing*, 8 NY2d 350.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal concerns whether land certified by the Department of Environmental Conservation (DEC) as managed forest land under Real Property Tax Law § 480-a is to be assessed as vacant land or as forest land.

Taxpayer petitioners commenced tax review proceedings against the Town of Esopus, its Assessor, and its Board of Assessment Review (collectively, the Town) to challenge the taxable assessed value of their land on the assessment rolls for the years 2002 through 2005. The Town argues that the land at issue should be deemed vacant land, a determination that would allow the land to be assessed for tax purposes based on its present potential for development, its “highest and best” use. The taxpayer petitioners, pointing out that the land has been certified as managed forest land by the DEC pursuant to the Real Property Tax Law every year since 1978, argue that the land, like any other parcel of land being put to a particular use, must be assessed for tax purposes based on its current use (RPTL 302 [1]).

The Appellate Division, with two Justices dissenting, ruled in the Town’s favor (59 AD3d 896 [3d Dept 2009]). We granted the petitioner taxpayers leave to appeal (13 NY3d 703 [2009]) and now reverse. We agree with petitioners and conclude that forest land certified as such by the DEC under RPTL 480-a is used, for real property tax assessment purposes, as forest land and must be assessed based on that use (RPTL 302 [1]).

Petitioners own approximately 108 acres of land situated along the Hudson River in the Town. Beginning in 1978 and annually since then, the DEC has certified approximately 104 of petitioners’ 108 acres as “forest land” pursuant to RPTL 480-a. Under the RPTL, “forest land” is defined as “land exclusively devoted to and suitable for forest crop production through natural regeneration or through forestation and shall be stocked with a stand of forest trees sufficient to produce a merchantable forest crop within thirty years of the time of original certification” (RPTL 480-a [1] [f]). The process of obtaining forest land certification from the DEC is somewhat involved. A property owner must submit, on an annual basis, an application to the DEC that includes a “commitment” that “the owner of a certified eligible tract” will be committed “to continued forest crop production for the next succeeding ten years under an approved

management plan” (RPTL 480-a [1] [b]). An “approved management plan” is a plan approved by the DEC for an “eligible tract” that contains “requirements and standards to ensure the continuing production of a merchantable forest crop selected by the owner” (RPTL 480-a [1] [a] [i]). An “eligible tract” is defined as a “tract of privately owned forest land of at least fifty contiguous acres, exclusive of any portion thereof not devoted to the production of forest crops” (RPTL 480-a [1] [e]).

Once the DEC concludes that a tract is an “eligible tract,” it sends a certificate of approval to the owner (RPTL 480-a [2] [a]), and the owner files that certificate with the clerk of the county in which the tract is situated. If the tax assessor is “satisfied that the requirements of this section are met,” the assessor “shall approve the application” (RPTL 480-a [3] [b]), though the tax assessor’s approval power does not include the authority to second-guess the DEC’s certification of a parcel of land as “forest land” (*Matter of Clove Dev. Corp. v Frey*, 63 NY2d 181, 183-184 [1984] [a tax assessor “has no power to make a determination whether property is an ‘eligible tract’ for forest land tax exemption” because the authority to make that determination has been “committed exclusively” to the DEC by the Legislature]). The owner “shall continue” to receive the tax benefits of forest land certification thereafter “upon receipt by the assessor of a certified commitment” each year, “so long as the certification of the eligible tract shall not be revoked by” the DEC (RPTL 480-a [3] [b]).

The tax savings under RPTL 480-a are significant. An “eligible tract” is exempt from taxation “to the extent of eighty per centum of the assessed valuation” of the land (RPTL 480-a [4] [a]). However, if owners of certified forest land cease to abide by their 10-year “commitment” they are penalized significantly (*see* RPTL 480-a [7]). If the entire parcel certified as forest land is no longer used as such, the tax penalty is

“computed by multiplying by two and one-half the amount of taxes that would have been levied on the forest land exemption entered on the assessment roll . . . for the current year and any prior years in which such an exemption was granted . . . not to exceed a total of ten years” (RPTL 480-a [7] [d]).

If only a portion of the parcel of certified forest land ceases to be used as such, the penalty “shall be twice the amount determined under” RPTL 480-a (7) (d), though “only that

portion of the tract that was actually converted to a use that precludes management of the land for forest crop production shall be used as the basis for determining the penalty” (RPTL 480-a [7] [e]).

The Legislature sought to enact RPTL 480-a in 1974 in an effort to preserve New York’s forest land and to make the management of forest land more economical for property owners (*see* L 1974, ch 814; *Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25, 29-31 [4th Dept 1979], *affd* 51 NY2d 970 [1980]). The Legislature found that “lands presently devoted to growth of forest crops are often assessed at a level which renders continued dedication to such use uneconomical” (L 1974, ch 814, § 1). Because it believed that land “devoted to growth of forest products should be assessed at a level which recognizes this use rather than at a level reflecting devotion of the land to another purpose,” the Legislature enacted RPTL 480-a “to provide a means by which present and future forest lands may be protected and enhanced as a viable segment of the state’s economy and as an economic and environmental resource of major importance” (*id.*).

The effective date of RPTL 480-a was delayed, however (*see* L 1975, ch 68; L 1976, ch 422), and, between 1974 and 1976, the Legislature amended the statute. The most significant changes relevant to this appeal were that the 1974 version of RPTL 480-a included a detailed assessment scheme that was abandoned in the 1976 version, and the 1974 law did not include the 80% tax exemption provided in the 1976 law (*compare* L 1974, ch 814 *and* L 1976, ch 526). These changes are retained in the statutory scheme that is in effect today.

The Town points to this legislative history and argues that the Legislature’s decision to remove the assessment scheme from the 1976 law suggests that the Legislature intended forest land to be assessed not as forest land but as vacant land; that is, land that is unimproved such that it may be assessed for tax purposes based on its “highest and best” use. The Town urges that to consider forest land certified as such under RPTL 480-a as land being used as forest land for tax assessment purposes results in an effective “double dip” benefit for taxpayers that the Legislature did not intend, as the 80% tax exemption will apply to a discounted assessment value if the land is assessed as forest land.

We do not read the legislative history in the manner the Town suggests. The changes to RPTL 480-a between 1974 and 1976

do not reveal an altered purpose in enacting the statute; the purpose of protecting forest land and making the production of timber in New York a more economical enterprise remained the same. The 1974 version of RPTL 480-a, the 1976 version of the statute, and the current version of the law in force today all define “forest land” as land that is “devoted to and suitable for forest crop production” (RPTL 480-a [1] [f]), and it is clear that the Legislature considered land “devoted to” forest crop production to be land that was used for that purpose (L 1974, ch 814, § 1 [the “legislature hereby finds and declares that lands presently *devoted to* growth of forest crops are often assessed at a level which renders continued dedication to *such use* uneconomical” (emphasis added)]). Moreover, forest land is recognized not only by the statute but also by relevant administrative authority as an established category of use, not some sort of taxpayer charade to reduce the assessed value of land. The Office of Real Property Services publishes an Assessor’s Manual which has included classification 912 for forest land eligible for RPTL 480-a treatment (*see generally Matter of Gordon v Town of Esopus*, 31 AD3d 981 [3d Dept 2006]).

While it is certainly true that “an exemption statute is to be construed strictly against those arguing for nontaxability,” a tax exemption statute’s “interpretation should not be so narrow and literal as to defeat its settled purpose” (*People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350, 358 [1960]). In line with the clear legislative purpose in enacting RPTL 480-a, we conclude that land certified by the DEC as forest land pursuant to RPTL 480-a is used as forest land and must be assessed under RPTL 302 (1) as such for real property tax purposes.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

SMITH, J. (dissenting). The majority opinion contains a concise and fair summary of the argument I find dispositive in this case:

“The Town points to this legislative history and argues that the Legislature’s decision to remove the assessment scheme from the 1976 law suggests that the Legislature intended forest land to be assessed not as forest land but as vacant land; that is, land that is unimproved such that it may be assessed for

tax purposes based on its ‘highest and best’ use. The Town urges that to consider forest land certified as such under RPTL 480-a as land being used as forest land for tax assessment purposes results in an effective ‘double dip’ benefit for taxpayers that the Legislature did not intend, as the 80% tax exemption will apply to a discounted assessment value if the land is assessed as forest land.” (Majority op at 89.)

This argument does not persuade the majority, but it does persuade me.

I acknowledge that if we simply apply general valuation principles to this land—without considering the specific problem to which the Legislature was responding in RPTL 480-a, and the nature of the response it eventually chose—it should be valued as forest land, not vacant land. As a general rule, the purpose of valuation is to determine the fair market value of the property—what a willing buyer would pay a willing seller (*see* New York State Office of Real Property Services, Uniform Assessment Standards 1.3 [“Value means market value—the price a willing buyer would pay a willing seller in an arm’s-length transaction”]). Here, the fair market value is obviously impaired by the fact that petitioners have committed themselves to use the property as forest land, and could not escape that commitment without a significant tax penalty. Thus, in principle, petitioners’ appraiser was correct in saying that only sales of property subject to a similar impairment should count as “comparable” for valuation purposes.

But the picture changes when we examine the history of the statute. It seems that, in 1974, the Legislature was troubled by the practice of taxing authorities in doing essentially what the Town of Esopus proposes to do here—valuing forest land as if it were vacant land, thus producing a relatively high value. The legislation that enacted the original version of RPTL 480-a contained a section entitled “Legislative findings and declaration of purpose,” which said:

“The legislature hereby finds and declares that lands presently devoted to growth of forest crops are often assessed at a level which renders continued dedication to such use uneconomical . . . [U]se of land for timber production is becoming increasingly economically unfeasible due to assessment practices

which do not take into account the present use of the property being assessed. Lands devoted to growth of forest products should be assessed at a level which recognizes this use rather than at a level reflecting devotion of the land to another purpose.” (L 1974, ch 814, § 1.)

Thus the Legislature’s purpose in 1974 was to require a valuation approach similar to the one now required by the majority opinion—valuing the land as forest land, not vacant land. The 1974 version of RPTL 480-a goes on for some pages to prescribe a rather complicated valuation procedure for lands certified as forest lands. Perhaps it was too complicated; in any event, as the majority mentions (majority op at 89), the Legislature repeatedly postponed the effective date of the 1974 legislation, and then took a very different approach in 1976: It threw out all the detailed provisions for valuing forest land, and simply gave forest land an 80% tax exemption, reflected in today’s version of RPTL 480-a.

It seems obvious that the 1976 Legislature *substituted* the 80% exemption for what it had, in 1974, considered a fairer assessment procedure. But that substitution does not make sense unless the Legislature assumed that the valuations, before being reduced by the statutory exemption, would be the higher ones that made the Legislature act in the first place. If the Legislature expected forest land to be valued at the lower levels consistent with a restriction of land to forest use, why not base the tax on the whole of the lower value? Why tax only one fifth of it?

Finding no answer to this question, I conclude that the legislative purpose is best served by allowing the Town to value the land as if it were vacant, and then to divide the resulting valuation by five. To divide the lower value by five is effectively to give the taxpayers twice what the Legislature intended to give them only once.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion.

Order reversed, etc.

[931 NE2d 84, 905 NYS2d 115]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
G. MITCHELL, Appellant.

Argued May 6, 2010; decided June 15, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 7, 2009. The Appellate Division affirmed an order of the Essex County Court (Richard B. Meyer, J.), which had denied defendant's motion, pursuant to CPL 440.10 and 440.20, to vacate the judgment convicting him of driving while intoxicated and aggravated unlicensed operation of a motor vehicle in the second degree.

People v Mitchell, 62 AD3d 1045, reversed.

HEADNOTE

Crimes — Sentence — Probation — Transfer of Probation Supervision — Jurisdiction of Sentencing Court Over Postjudgment Motion

The transfer by the sentencing court of defendant's probation supervision to another county, pursuant to CPL 410.80 (1), did not divest the sentencing court of jurisdiction over defendant's postjudgment CPL article 440 motion to set aside his underlying felony conviction and sentence. CPL 410.80 (2), which provides that "the appropriate court within the jurisdiction of the receiving probation department shall assume all powers and duties of the sentencing court and shall have sole jurisdiction in the case," transfers to the receiving court powers over probation, conditional discharge and parole supervision, but it does not transfer powers possessed by a sentencing court generally, including powers and duties under CPL article 440, which covers postjudgment motions. Although the scope of the transfer effected by CPL 410.80 (2) is not clear from the statute's text, the legislative intent was to transfer from sentencing courts to receiving courts the full range of powers and duties necessary for the judiciary to carry out its responsibilities to enforce the terms and conditions of probationers, and to deal with relief from forfeitures and disabilities. There is no suggestion in the statute's text or legislative history that the Legislature intended, in addition, to divest sentencing courts of their jurisdiction under CPL article 440.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 844–846, 858.

CARMODY-WAIT 2d, Postjudgment Motions §§ 205:1, 205:3,
205:37, 205:44.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.11.

McKINNEY's, CPL 410.80 (1), (2); art 440.

NY JUR 2d, Criminal Law: Procedure §§ 3088, 3375.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Parole, Probation, and Pardon; Postconviction Proceedings and Remedies.

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Query: transfer! /s probation! /p divest! /s jurisdiction

POINTS OF COUNSEL

Brandon E. Boutelle, Deputy Public Defender, Elizabethtown, for appellant. I. Essex County Court, the court where appellant was originally tried and convicted, is the only court with jurisdiction to hear and decide appellant's CPL article 440 motion. (*People v Wurzler*, 300 NY 344; *People v McCullough*, 300 NY 107; *People v Gersewitz*, 294 NY 163; *Matter of Morhous v Supreme Ct. of State of N.Y.*, 293 NY 131; *Matter of Pirro v Cirigliano*, 226 AD2d 465, 88 NY2d 1033; *People v Bachert*, 69 NY2d 593; *People v Vischi*, 2 AD2d 636; *People v Klein*, 96 Misc 2d 564; *People v Becvar*, 50 Misc 2d 249; *People v Resto*, 6 Misc 3d 1040[A], 2005 NY Slip Op 50358[U].) II. The Legislature did not intend for the intrastate transfer of probation supervision, pursuant to CPL 410.80 (2), to divest the original trial court of jurisdiction to hear CPL article 440 motions. (*Matter of Stitham v City of New York, Dept. of Probation*, 127 Misc 2d 906.)

Kristy L. Sprague, District Attorney, Elizabethtown (Brian Felton and Michael P. Langey of counsel), for respondent. The County Court correctly determined that it was without jurisdiction to grant the relief requested. (*Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *People ex rel. Lefever v Supervisors of Ulster County*, 34 NY 268; *People ex rel. McEvoy v Duffey*, 104 Misc 35, 185 App Div 917; *Pultz v Economakis*, 10 NY3d 542; *State of New York v Patricia II.*, 6 NY3d 160; *Delaware County Elec. Coop. v Power Auth. of State of N.Y.*, 96 AD2d 154, 62 NY2d 877; *People v Newman*, 32 NY2d 379, 414 US 1163; *People v Wurzler*, 300 NY 344.)

OPINION OF THE COURT

READ, J.

On July 15, 2003, defendant Scott G. Mitchell was arrested in Essex County and charged with driving while intoxicated (*see*

Vehicle and Traffic Law § 1192 [2], [3]), which was elevated to a felony on account of his misdemeanor conviction of this same crime in June 2000 (*see* Vehicle and Traffic Law § 1193 [1] [c]); aggravated unlicensed operation of a motor vehicle in the first degree, also a felony (*see* Vehicle and Traffic Law § 511 [3]); and speeding. On November 25, 2003, he pleaded guilty in the County Court of Essex County (Essex County Court) to felony driving while intoxicated and aggravated unlicensed operation of a motor vehicle in the second degree, a misdemeanor (*see* Vehicle and Traffic Law § 511 [2]).

Defendant was sentenced to 15 weekends in jail, as well as five and three years of probation on the driving while intoxicated and aggravated unlicensed operation charges, respectively, to run concurrently. Essex County Court transferred supervision of defendant's probation to Franklin County, where he resided, as required by Criminal Procedure Law § 410.80 (1). This statute directs that "[w]here a probationer *at the time of sentencing* resides in another jurisdiction within the state, the sentencing court *shall transfer* supervision to the appropriate probation department in such other jurisdiction" (emphasis added).¹

In February 2008, defendant brought a motion pursuant to Criminal Procedure Law §§ 440.10 and 440.20 in Essex County Court, seeking to set aside his 2003 felony conviction and sentence for driving while intoxicated.² He asserted two grounds: that there was no information in various governmental databases containing his criminal and driving history of any conviction in June 2000 for driving while intoxicated, the predicate for his felony conviction of the same crime on November 25, 2003; and ineffective assistance of counsel. On June 11, 2008, Essex County Court denied defendant's motion, without prejudice.

The judge reasoned that he did not have jurisdiction over defendant's Criminal Procedure Law article 440 motion in light of Criminal Procedure Law § 410.80 (2), which provides as follows:

"Transfer of powers. Upon completion of transfer as authorized pursuant to [Criminal Procedure Law § 410.80 (1)], the probation department in the

1. Transfer of probation is discretionary where the probationer, *after* the probation sentence has been pronounced, desires to reside in a jurisdiction in the state not served by the sentencing court (*see* CPL 410.80 [1]).

2. In April 2008, defendant filed a supplemental motion that sought to vacate his conviction and sentence for aggravated unlicensed operation, too.

receiving jurisdiction shall assume all powers and duties of the probation department in the jurisdiction of the sentencing court. Upon completion of transfer, *the appropriate court within the jurisdiction of the receiving probation department shall assume all powers and duties of the sentencing court and shall have sole jurisdiction in the case* including jurisdiction over matters specified in article twenty-three of the correction law.¹³¹ Further, the sentencing court shall immediately forward its entire case record to the receiving court” (emphasis added).

Thus, Essex County Court concluded, only the County Court of Franklin County (Franklin County Court) could exercise jurisdiction over defendant’s Criminal Procedure Law article 440 motion because Franklin County Court was, in the words of section 410.80 (2), “the appropriate court within the jurisdiction of the receiving probation department,” which “assume[s] all powers and duties of the sentencing court” and possesses “sole jurisdiction in the case.”

In May 2009, the Appellate Division affirmed Essex County Court’s decision and order. The court held that Criminal Procedure Law § 410.80 (2) was “explicit in entrusting ‘all powers and duties of the sentencing court’ upon the court to which the matter has been transferred” (62 AD3d 1045, 1046 [3d Dept 2009]). While acknowledging that “logistical problems . . . [might] result” from its decision, the Appellate Division nonetheless determined that “once supervision of defendant was transferred to Franklin County, the Essex County Court no longer had jurisdiction to entertain defendant’s CPL article 440 motion” (*id.*). A Judge of this Court granted leave to appeal, and we now reverse.

This case boils down to whether section 410.80 (2) encompasses “all powers and duties” that might be exercised by a sentencing court under article 410 of the Criminal Procedure Law, which governs probation, conditional discharge and parole supervision, or “all powers and duties” possessed by a sentencing court more generally, including powers and duties under Criminal Procedure Law article 440, which covers postjudgment motions. The answer is not clear from the statute’s text.

Section 410.80 (2) is embedded in article 410, and the Legislature did not, for example, choose to transfer “all powers

3. Article 23 governs discretionary relief from forfeitures and disabilities automatically imposed by law, such as a certificate of relief from disabilities, which may be issued by a court.

and duties” of the sentencing court to the receiving court “notwithstanding any provision of law to the contrary,” the verbal formulation frequently employed for legislative directives intended to preempt any other potentially conflicting statute, wherever found in the State’s laws. And here, section 410.80 (2)—when read to vest jurisdiction for Criminal Procedure Law article 440 motions in the receiving court—seemingly clashes with Criminal Procedure Law §§ 440.10 and 440.20. These provisions direct the court in which judgment was entered—i.e., the sentencing court—to entertain a defendant’s postjudgment motion to vacate a judgment (section 440.10) or sentence (section 440.20).

Of course, the Legislature when writing section 410.80 (2) also might have specified that this provision transferred to the receiving court “all powers and duties” of the sentencing court “under this article.” And while the Legislature vested “sole jurisdiction in the case” in the receiving court “*including* jurisdiction over matters specified in article twenty-three of the correction law” (emphasis added), it made no comparable reference in section 410.80 (2) to article 440 of the Criminal Procedure Law. Because different interpretations of the scope of the transfer effected by section 410.80 (2) are plausible, we now turn to its legislative history (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583-584 [1998]).

The Legislature amended subdivisions (1) and (2) of section 410.80 in 2007, in a bill introduced at the behest of the Division of Probation and Correctional Alternatives, to “address[] problems associated with the intrastate transfer of probationers” (Introducer’s Mem in Support, Bill Jacket, L 2007, ch 191, at 5, 2007 NY Legis Ann, at 125). With reference to the courts, the introducer’s memorandum described in detail the problems that the Legislature sought to cure:

“Under current law, a sentencing court may make a complete transfer of jurisdiction over a probationer, or it may retain its powers and duties with respect to a probationer whose supervision is being transferred to another jurisdiction. The sentencing court may retain the powers enumerated in Criminal Procedure Law §§ 410.20 (Modification or Enlargement of Conditions), 410.30 (Declaration of Delinquency), 410.40 (Notice to Appear, Warrant), 410.50(3) (Search Order), and 410.60 (Appearance Before

Court), even when all supervision is performed by the probation department in the receiving jurisdiction. Even in cases where the sending court has retained jurisdiction, it is the responsibility of the probation department in the receiving jurisdiction to initiate violation proceedings with the receiving court if there is reasonable cause to believe that a probationer has violated a condition of his or her sentence. In such instances, the receiving court may transfer the case back to the sentencing court or it may conduct a violation of probation hearing and continue or modify the sentence if appropriate. However, if the sending court has retained its powers and duties over the case, the court in the receiving jurisdiction may not revoke the sentence of probation. Instead, if the court in the receiving jurisdiction sustains the violation and chooses not to continue or modify the sentence, the receiving court must return the probationer to the sending jurisdiction for further legal action” (Introducer’s Mem in Support, Bill Jacket, L 2007, ch 191, at 5-6, 2007 NY Legis Ann, at 125-126).

This potential for divided judicial authority over probation matters created “considerable confusion in [the] handling and reporting of cases and duplication of efforts between the sending and receiving jurisdictions” (Introducer’s Mem in Support, Bill Jacket, L 2007, ch 191, at 6, 2007 NY Legis Ann, at 126; *see also* Mem to David Nocenti, Counsel to Governor, from Linda J. Valenti, Counsel, Div of Probation and Correctional Alternatives, Bill Jacket, L 2007, ch 191, at 11 [“Current law has . . . led to considerable confusion among practitioners and members of the judiciary in terms of powers retained and limited”]). The transfer of “all powers and duties of the sentencing court” to the receiving court was designed to reduce this uncertainty and enable probation officers to supervise probationers more efficiently: “[t]his legislation will ensure that the courts in the sending jurisdiction are not handling probation cases that are being supervised in another county, and that the courts in the receiving jurisdiction are not constrained in their ability to administer such cases properly and efficiently” (Introducer’s Mem in Support, Bill Jacket, L 2007, ch 191, at 6, 2007 NY Legis Ann, at 126).

In sum, the amendments to section 410.80 (2) were meant to transfer from sentencing courts to receiving courts the full

range of powers and duties necessary for the judiciary to carry out its responsibilities to enforce the terms and conditions of probationers, and to deal with relief from forfeitures and disabilities. There is no suggestion in the statute's text or legislative history that the Legislature intended, in addition, to divest sentencing courts of their jurisdiction under article 440 of the Criminal Procedure Law.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to County Court for further proceedings on defendant's Criminal Procedure Law article 440 motion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[931 NE2d 526, 905 NYS2d 542]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES DREYDEN, Appellant.

Argued April 29, 2010; decided June 15, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered March 9, 2009. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (John H. Wilson, J.), which had convicted defendant, upon a plea of guilty, of criminal possession of a weapon in the fourth degree.

People v Dreyden, 23 Misc 3d 34, reversed.

HEADNOTES

Crimes — Plea of Guilty — Forfeiture of Right to Raise Issues on Appeal — Nonwaivable Jurisdictional Defect in Accusatory Instrument

1. Defendant's challenge to the sufficiency of the charge of criminal possession of a weapon in the fourth degree was not forfeited by his plea of guilty to that charge, inasmuch as the flaw in the accusatory instrument, i.e., the lack of support or explanation for the conclusion that defendant had a gravity knife, amounted to a jurisdictional defect. A valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution. The test for whether a flaw in an accusatory instrument is jurisdictional is whether the accusatory instrument failed to supply defendant with sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy. Here, the conclusory statement in the misdemeanor complaint that defendant possessed a gravity knife violated the requirement that the accusatory instrument provide reasonable cause to believe that the defendant committed the crime charged (*see* CPL 100.40 [4] [b]).

Crimes — Possession of Weapon — Sufficiency of Accusatory Instrument — Factual Basis Required to Support Conclusion That Defendant Possessed Gravity Knife

2. The misdemeanor complaint charging defendant with criminal possession of a weapon in the fourth degree under Penal Law § 265.01 (1) was jurisdictionally defective where the factual portion provided only a conclusory statement that the police officer had observed defendant in possession of a gravity knife and recovered one from him. Not every knife is a weapon for purposes of section 265.01 (1), which specifically prohibits possession of a gravity knife, among other weapons. A gravity knife, by definition, is a knife with a blade that is released from the handle or sheath by the force of gravity or application of centrifugal force and which, when released, automatically locks in place by means of a button, spring, lever or other device (Penal Law § 265.00 [5]). In order to satisfy the statutory requirements that it allege facts of an evidentiary character demonstrating reasonable cause to believe that

defendant committed the crime charged (CPL 100.15 [3]; 100.40 [4] [b]), an accusatory instrument alleging possession of a gravity knife must at least briefly explain, with reference to the officer's training and experience, how the officer formed the belief that the object observed in defendant's possession was a gravity knife as opposed to a knife that cannot readily be opened by gravity or centrifugal force or which requires manual locking.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 670, 671; AM JUR 2d, Indictments and Informations § 253; AM JUR 2d, Weapons and Firearms §§ 2, 9.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:17, 178:27; CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:27, 182:29, 182:31.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 21.6.

McKINNEY'S, CPL 100.15 (3); 100.40 (4) (b).

NY JUR 2d, Criminal Law: Procedure §§ 955, 956, 961, 1486, 1487; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1861, 1866.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea; Indictments and Informations; Knives and Knifings.

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/3 jurisdictional! & waiv! forfeit!

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*John Schoeffel* and *Steven Banks* of counsel), for appellant. The complaint charging criminal possession of a gravity knife was conclusory and jurisdictionally defective under *People v Dumas* (68 NY2d 729 [1986]) when it merely asserted that Mr. Dreyden was “in possession of a gravity knife” without any factual allegation establishing that the knife was operational in the manner specified by Penal Law § 265.00 (5). (*People v Kalin*, 12 NY3d 225; *Matter of Rodney J.*, 83 NY2d 503; *People v Alejandro*, 70 NY2d 133; *People v Jones*, 9 NY3d 259; *People v Hall*, 48 NY2d 927; *People v Case*, 42 NY2d 98; *People v Casey*, 95 NY2d 354; *Whiteley v Warden, Wyo. State Penitentiary*, 401

US 560; *Giordenello v United States*, 357 US 480; *People v Hendricks*, 25 NY2d 129.)

Charles J. Hynes, District Attorney, Brooklyn (Terry-Ann Llewellyn, Ann Bordley and Leonard Joblove of counsel), for respondent. Defendant forfeited his claims concerning the sufficiency of the factual allegations in the accusatory instrument. In any event, the accusatory instrument was facially sufficient. (*People v Keizer*, 100 NY2d 114; *People v Weinberg*, 34 NY2d 429; *People v Kalin*, 12 NY3d 225; *People v Hansen*, 95 NY2d 227; *People v Konieczny*, 2 NY3d 569; *People v Taylor*, 65 NY2d 1; *People v Scott*, 3 NY2d 148; *People v Case*, 42 NY2d 98; *People v Casey*, 95 NY2d 354; *People v Iannone*, 45 NY2d 589.)

OPINION OF THE COURT

PIGOTT, J.

On the evening of June 2, 2007, a police officer stopped a van on a street corner in Brooklyn for a traffic violation. The officer recovered a knife and a ziplock bag containing marihuana from defendant James Dreyden, who was a passenger in the vehicle. Defendant was charged in a misdemeanor complaint with unlawful possession of marihuana and criminal possession of a weapon in the fourth degree. He waived his right to prosecution by information and pleaded guilty to the weapon charge, in full satisfaction of the accusatory instrument, in exchange for a sentence of time served.

Defendant then appealed his conviction, arguing that the accusatory instrument was jurisdictionally defective. Defendant pointed out that the misdemeanor complaint included no non-conclusory allegations establishing the basis of the arresting officer's belief that defendant's knife was a gravity knife as defined in the statute—only a conclusory statement that the police officer had observed defendant in possession of a gravity knife and recovered one from him. The Appellate Term affirmed the judgment of conviction and sentence, holding that an accusatory instrument need not contain the statutory criteria for a gravity knife or state that the knife was operational in order to satisfy jurisdictional requirements (23 Misc 3d 34 [2009]).

A Judge of this Court granted leave to appeal (12 NY3d 924 [2009]). We now reverse.

“The factual part of a misdemeanor complaint must allege ‘facts of an evidentiary character’ (CPL 100.15 [3]) demonstrating ‘reasonable cause’ to believe the defendant committed the crime charged (CPL 100.40 [4] [b])” (*People v Dumas*, 68 NY2d

729, 731 [1986]). For example, where a misdemeanor complaint charges that a defendant sold marihuana, the charge must be “supported by evidentiary facts showing the basis for the conclusion that the substance sold was actually marihuana” (*id.* at 731). A mere “conclusory statement that a substance seized from a defendant was a particular type of controlled substance does not meet the reasonable cause requirement” (*People v Kalin*, 12 NY3d 225, 229 [2009]). The marihuana possession charge in defendant’s accusatory instrument met this requirement. Defendant argues that the weapon charge did not.

The People contend that, by pleading guilty, defendant forfeited his right to challenge the accusatory instrument charging him with the crime to which he has admitted guilt. “A valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution” (*People v Case*, 42 NY2d 98, 99 [1977] [citation omitted]; *see also People v Hansen*, 95 NY2d 227, 230 [2000]). The distinction between jurisdictional and nonjurisdictional defects “is between defects implicating the integrity of the process . . . and less fundamental flaws, such as evidentiary or technical matters” (*Hansen*, 95 NY2d at 231).

[1] The dissent asserts that the test for whether a flaw in an accusatory instrument is jurisdictional is whether that flaw consisted of an omission of elements of the charged crime (dissenting op at 105). We do not construe jurisdictional defects so narrowly. The test is, simply, whether the accusatory instrument failed to supply defendant with sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy (*see Kalin*, 12 NY3d at 231-232; *see also People v Casey*, 95 NY2d 354, 366 [2000]). Here, the misdemeanor complaint, insofar as it described the arresting officer’s conclusion that defendant had a gravity knife, failed to give any support or explanation whatsoever for the officer’s belief. That violation of the “reasonable cause” requirement amounted to a jurisdictional defect.

The People argue in the alternative that the rationale for the “reasonable cause” requirement applicable to a charge alleging possession of a controlled substance—that professional skill is required on the part of an arresting officer who identifies something as a controlled substance—does not apply to a charge alleging possession of a gravity knife. We disagree.

Not every knife is a weapon for purposes of Penal Law § 265.01 (1), which specifically outlaws possession of a gravity

knife, among other weapons. The Penal Law defines a gravity knife as one with a blade that (1) “is released from the handle or sheath thereof by the force of gravity or the application of centrifugal force” and that (2) “when released, is locked in place by means of a button, spring, lever or other device” (Penal Law § 265.00 [5]). This definition distinguishes gravity knives from certain folding knives that cannot readily be opened by gravity or centrifugal force (*see United States v Irizarry*, 509 F Supp 2d 198, 210 [ED NY 2007]). It further “requires that the blade lock in place automatically upon its release and without further action by the user” (*People v Zuniga*, 303 AD2d 773, 774 [2d Dept 2003]), distinguishing a gravity knife from, for example, a “butterfly knife,” which requires manual locking (*see id.*).

[2] A conclusory statement that an object recovered from a defendant is a gravity knife does not alone meet the reasonable cause requirement. An arresting officer should, at the very least, explain briefly, with reference to his training and experience, how he or she formed the belief that the object observed in defendant’s possession was a gravity knife. Here, the accusatory instrument contained no factual basis for the officer’s conclusion that the knife was a gravity knife, as opposed to a pocket knife, craft knife or other type of knife that does not fit the definition of a per se weapon as defined in Penal Law article 265.

Accordingly, the order of the Appellate Term should be reversed, and, since defendant has already served his sentence, the misdemeanor complaint should be dismissed.

SMITH, J. (dissenting). I do not quarrel with the majority’s conclusion that the accusatory instrument was defective because it did not explain how the police officer knew that the weapon defendant possessed was a gravity knife. But I see no basis for holding that this was a *jurisdictional* defect—one that can be raised on appeal even though defendant pleaded guilty without complaining about it.

It seems self-evident, and we have often held, that only the gravest flaws in a prosecution justify permitting a defendant to raise on appeal an issue he did not raise below. As we said in *People v Casey* (95 NY2d 354, 366 [2000]):

“From the inception of our case law on this subject, the failure to preserve has been excused for only the most fundamental procedural irregularities. . . .

[I]t is only ‘where “the error complained of goes to the *essential validity* of the proceedings conducted below” such that “the entire trial is *irreparably tainted*,” [that] it need not be preserved to present a question of law reviewable by this Court’ (*People v Agramonte*, 87 NY2d 765, 770 [quoting *People v Patterson*, 39 NY2d 288, 295-296] [emphasis supplied]).”

We added in *Casey*: “Pleading errors involving omission of elements of the charged crime are fundamental. They impair a defendant’s basic rights to fair notice sufficient to enable preparation of a defense and to prevent double jeopardy” (*id.*).

Thus, under *Casey*, the test for whether a flaw in an accusatory instrument is jurisdictional is whether that flaw consisted of an “omission of elements of the charged crime”—the sort of error that could impair the defendant’s right to fair notice or create a potential double jeopardy problem. We reaffirmed this approach last year in *People v Kalin* (12 NY3d 225, 230 [2009]; see also *People v Konieczny*, 2 NY3d 569, 575 [2004]).

Here, no element of the crime with which defendant was charged was omitted from the accusatory instrument. The majority suggests that the error at issue deprived him of fair notice or put him at a risk of double jeopardy (majority op at 103), but it does not explain why, and I think the suggestion is clearly wrong. The accusatory instrument told defendant that he was charged with possessing a gravity knife. While more explanation might have been preferable (see *Kalin*, 12 NY3d at 232), the instrument as written could not have interfered with defendant’s ability to prepare his defense; nor could it have prevented him from pleading either a conviction or acquittal in this case as a bar to a subsequent prosecution.

No useful purpose is served by labeling the defect in this case “jurisdictional.” Today’s decision merely creates one more situation in which the consequence of an essentially trivial error is magnified, and the process of prosecuting and punishing offenders is made more difficult.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion.

Order reversed, etc.

[931 NE2d 70, 905 NYS2d 101]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAMIEN DEVONE, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SADDIQ ABDUR-RASHID, Appellant.

Argued April 27, 2010; decided June 8, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 24, 2008. The Appellate Division (1) reversed, on the law, an order of the Schenectady County Court (Karen A. Drago, J.), which had granted defendant's motion to suppress evidence; (2) denied the motion; and (3) remitted the matter to Schenectady County Court for further proceedings not inconsistent with the Appellate Division's decision.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 30, 2009. The Appellate Division affirmed a judgment of the Columbia County Court (Paul Czajka, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the first degree.

People v Devone, 57 AD3d 1240, affirmed.

People v Abdur-Rashid, 64 AD3d 1087, affirmed.

HEADNOTES

Crimes — Unlawful Search and Seizure — Canine Sniff of Exterior of Automobile

1. A canine sniff of the exterior of an automobile constitutes a search under NY Constitution, article I, § 12. The determination of whether a canine sniff constitutes a search is necessarily dependent upon whether it constitutes an intrusion into a place where a person has a reasonable expectation of privacy. There is a legitimate, albeit reduced, expectation of privacy in an automobile.

Crimes — Unlawful Search and Seizure — Canine Sniff of Exterior of Automobile — Founded Suspicion

2. Law enforcement must have a "founded suspicion" that criminality is afoot before conducting a canine sniff of the exterior of a lawfully stopped vehicle. While the more demanding "reasonable suspicion" standard applies to a canine sniff outside the door of one's residence, there is a diminished expectation of privacy attributed to individuals and their property when traveling in

an automobile. Given that diminished expectation of privacy, coupled with the fact that canine sniffs are far less intrusive than the search of a residence and provide significant utility to law enforcement authorities, application of the founded suspicion standard is appropriate.

Crimes — Unlawful Search and Seizure — Canine Sniff of Exterior of Automobile

3. The police officers who lawfully stopped the vehicle in which defendant was a passenger upon observing the driver talking on a cell phone were justified in having their narcotics-sniffing dog conduct a canine sniff of the exterior of the vehicle after the driver of the vehicle was unable to produce his driver's license and registration for the vehicle and gave vague and inconsistent answers regarding the ownership of the vehicle. The driver's inability to produce his license or registration, coupled with his responses that his cousin owned the vehicle, that he did not know his cousin's name, and that defendant was his cousin—together with the fact that the vehicle was registered to a female and not defendant, a male—gave the officers a founded suspicion that criminal activity was afoot, justifying the canine sniff.

Crimes — Unlawful Search and Seizure — Canine Sniff of Exterior of Automobile

4. The police officer who lawfully stopped defendant's vehicle upon observing that it was missing its front license plate and had sticks, twigs and other debris protruding from the front of it was justified in having his narcotics-sniffing dog conduct a canine sniff of the exterior of the vehicle after the officer observed defendant's nervous behavior and learned of the unusual travel plans of defendant and his passenger. The officer testified that, as he tried to verify whether defendant's insurance had lapsed, defendant "started to get a little fidgety and nervous," and tried to look through the window of the officer's vehicle at the dog. The officer then questioned defendant's passenger, who gave a convoluted tale of being involved in a minor accident upon entering the roadway, concluding with an implausible story about the pair's travel plans. The condition of defendant's vehicle, the unusual travel plans, and defendant's "nervous" behavior gave the officer a founded suspicion that criminal activity was afoot, justifying the canine sniff.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 12–18, 60, 62, 86, 121, 123, 246, 266.

CARMODY-WAIT 2d, Search and Seizure §§ 173:8, 173:45, 173:46, 173:89, 173:327, 173:347, 173:348, 173:356, 173:357.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.7.

McKINNEY's, NY Const, art I, § 12.

NY JUR 2d, Criminal Law: Procedure §§ 240, 244, 287, 477, 523–525.

ANNOTATION REFERENCE

Use of trained dog to detect narcotics or drugs as

unreasonable search in violation of state constitutions.
117 ALR5th 407.

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privacy

POINTS OF COUNSEL

Mark J. Caruso, Public Defender, Schenectady (Kent J. Gebert of counsel), for appellant in the first above-entitled action. I. Trooper Wheeler's use of narcotics detecting canine "Kane" to "canine sniff" the exterior of the motor vehicle in which defendant Damien Devone was a passenger constitutes a search within the meaning of article I, § 12 of the New York State Constitution. (*People v Reyes*, 154 Misc 2d 476; *People v Ramirez-Portoreal*, 88 NY2d 99; *People v Natal*, 75 NY2d 379; *People v Reynolds*, 71 NY2d 552; *Katz v United States*, 389 US 347; *People v Young*, 207 AD2d 465; *People v Class*, 63 NY2d 491; *People v Mercado*, 68 NY2d 874; *People v Whitfield*, 81 NY2d 904; *People v Rodriguez*, 69 NY2d 159.) II. Trooper Wheeler and Officer Borwhat did not meet the reasonable suspicion standard to conduct a search for illicit contraband when they performed the traffic stop. New York courts have afforded greater protection against intrusive searches under New York State Constitution, article I, § 12 than has been provided under the Fourth Amendment to the United States Constitution. (*People v Scott*, 79 NY2d 474; *People v Reynolds*, 71 NY2d 552; *People v P.J. Video*, 68 NY2d 296; *People v Dunn*, 77 NY2d 19; *People v Young*, 207 AD2d 465; *People v De Bour*, 40 NY2d 210; *People v Offen*, 78 NY2d 1089; *People v Willette*, 42 AD3d 674; *People v Carter*, 199 AD2d 817; *Illinois v Caballes*, 543 US 405.)

Robert M. Carney, District Attorney, Schenectady (Peter H. Willis of counsel), for respondent in the first above-entitled action. I. The use of a drug detecting dog to smell the air on the exterior of an individual's vehicle does not constitute a search under either the United States or New York Constitution. (*People v Manganaro*, 176 AD2d 354; *People v Chestnut*, 43 AD2d 260; *People v Price*, 54 NY2d 557; *People v Offen*, 78 NY2d 1089; *People v Gathogo*, 276 AD2d 925; *People v Leon*, 23 AD3d 1110; *People v Martin*, 169 AD2d 1006; *People v Belton*, 55 NY2d 49; *People v Weaver*, 12 NY3d 433; *Illinois v Caballes*, 543 US 405.) II. If the use of a drug detecting dog constitutes a search under

New York State law, such use was appropriate because the police possessed a founded suspicion of criminal activity. (*People v Carter*, 199 AD2d 817; *People v Battaglia*, 206 AD2d 916; *People v Hollman*, 79 NY2d 181; *People v Yancy*, 86 NY2d 239; *People v Harrison*, 57 NY2d 470; *People v Kelly*, 37 AD3d 866.)

Peter B. Meadow, Woodbourne, for appellant in the second above-entitled action. I. Under article I, § 12 of the New York State Constitution, a canine sniff of a vehicle should only be authorized if there is reasonable suspicion that the vehicle contains illegal drugs. (*United States v Place*, 462 US 696; *Illinois v Caballes*, 543 US 405; *United States v Jacobsen*, 466 US 109; *People v Dunn*, 77 NY2d 19; *United States v Thomas*, 757 F2d 1359; *People v Moore*, 6 NY3d 496; *People v De Bour*, 40 NY2d 210; *Terry v Ohio*, 392 US 1; *Camara v Municipal Court of City & County of San Francisco*, 387 US 523; *Warden, Md. Penitentiary v Hayden*, 387 US 294.) II. The trial court erred in denying defendant's motion to suppress as the use of the canine to sniff the car was not based on reasonable suspicion or founded suspicion of the presence of illicit drugs. (*Illinois v Caballes*, 543 US 405; *People v Willette*, 42 AD3d 674; *People v Dunn*, 77 NY2d 19; *United States v Richardson*, 385 F3d 625; *United States v Santos*, 403 F3d 1120.) III. The Court of Appeals should reevaluate the application of the "automobile exception" to the New York State Constitution protection against governmentally intrusive searches and seizures and prohibit warrantless automobile searches absent exigent circumstances. (*Katz v United States*, 389 US 347; *New York v Belton*, 453 US 454; *Pennsylvania v Labron*, 518 US 938; *United States v Ross*, 456 US 798; *California v Carney*, 471 US 386; *People v Weaver*, 12 NY3d 433; *People v Blasich*, 73 NY2d 673; *People v Gokey*, 60 NY2d 309; *People v Scott*, 79 NY2d 474; *People v Dunn*, 77 NY2d 19.)

Beth G. Cozzolino, District Attorney, Hudson (Henry Neal Conolly of counsel), for respondent in the second above-entitled action. I. A canine search is permissible and should be authorized under the New York State Constitution under well-meant and continued precedent. (*People v Dunn*, 77 NY2d 19; *United States v Place*, 462 US 696; *People v De Bour*, 40 NY2d 210; *People v Devone*, 57 AD3d 1240, 12 NY3d 852; *Terry v Ohio*, 392 US 1.) II. The County Court and the Appellate Division did not err in holding that there was a founded suspicion or reasonable basis to sustain the canine sniff of the exterior of defendant's vehicle. (*People v De Bour*, 40 NY2d 210; *People v Pierre*, 8 AD3d

904.) III. Under existing precedent, where appellant had diminished expectations of privacy in his vehicle, Trooper Colwell had a reasonable suspicion for a canine sniff and probable cause to search the trunk of appellant's car. No change to New York State precedent is implicated. (*People v Gathogo*, 276 AD2d 925, 96 NY2d 734; *People v Guido*, 175 AD2d 364; *United States v Ross*, 456 US 798; *People v Weaver*, 12 NY3d 433; *People v Dunn*, 77 NY2d 19.)

OPINION OF THE COURT

PIGOTT, J.

These appeals raise two issues, whether a canine sniff of the exterior of a lawfully stopped vehicle constitutes a search under article I, § 12 of our State Constitution and, if so, what level of suspicion is required before law enforcement can conduct that search. We hold that such action constitutes a search requiring founded suspicion that criminal activity is afoot and that, in each of these cases, such founded suspicion was established. The orders of the Appellate Division should therefore be affirmed.

People v Devone

On August 1, 2007, two police officers pulled over a vehicle after observing its operator, Troy Washington, talking on a cell phone. Washington, who was unable to produce his driver's license or registration, told the officers that the vehicle was registered to his cousin. Asked his cousin's name, Washington said that he did not know. When the officer asked for the cousin's whereabouts he pointed to defendant, who was seated in the passenger seat. When the officers ran the license number they discovered that the vehicle, while not reported stolen, was registered to a female. Because of the "suspicious inconsistencies" in Washington's answers, the officers decided to conduct a canine sniff of the exterior of the vehicle. Washington and defendant were ordered out of the vehicle, and the officers retrieved a dog, trained in detecting narcotics, from their SUV.

After sniffing the exterior of the vehicle, the dog "alerted" at the pillar between the driver and rear passenger seat windows, indicating to the officers the presence of drugs. One of the officers opened the driver's side door and commanded the dog to search. The dog scratched at the console between the driver and passenger seats. A search of the console uncovered a quantity of crack cocaine.

Subsequent to his indictment for criminal possession of a controlled substance in the third and fourth degrees, defendant moved to suppress the drugs as the product of an illegal search. After a hearing, County Court held that the canine sniff constituted a search, and that the police lacked reasonable suspicion to conduct the canine sniff. The Appellate Division, Third Department reversed, holding that the police needed only founded suspicion as opposed to a reasonable suspicion to conduct a canine sniff of the vehicle's exterior (57 AD3d 1240, 1242-1243 [3d Dept 2008]).

People v Abdur-Rashid

On July 27, 2007 at 10:30 A.M., a police officer effected a lawful stop of defendant's vehicle, which had no front license plate. Although the officer initially suspected that defendant's insurance had lapsed, he received verification from the insurance carrier that the insurance was in effect. The officer wrote defendant a ticket for a missing front license plate and expired inspection sticker, but permitted defendant to go on his way.

Approximately 45 minutes later, another police officer effected a lawful stop of defendant's vehicle on the Taconic State Parkway in Columbia County, having observed that it was missing its front license plate and had sticks, twigs and other debris protruding from the front of it. A check of the license number showed that defendant was the registered owner of the vehicle, but also showed, incorrectly, that the insurance on the vehicle had lapsed.

Defendant showed the officer a ticket he had been issued for the inspection sticker violation, and apprised the officer about the prior stop and insurance mix-up. Unsure whether defendant had shown him all previously-issued tickets, the officer directed defendant out of the vehicle. The officer tried to contact the first officer by cell phone and police radio to verify defendant's account, but was unable to do so. During this time, defendant stood outside the passenger side of the SUV. According to the officer's suppression testimony, defendant "started to get a little fidgety and nervous," was "leaning towards my vehicle and [was] trying to look through the window, towards the back" at the narcotics-sniffing dog. The officer told defendant, "Yeah, I really do have a dog in here." Defendant responded, "I already got my ticket today. Can't you just let me go? I need to go."

The officer returned to defendant's vehicle and spoke with the passenger, Ekwambu Gayle, who had remained seated. Gayle

gave the officer a convoluted tale of being involved in a minor accident upon entering the roadway, concluding with an implausible story that defendant picked him up on Long Island, that his job was to keep defendant awake en route to Schenectady, and that defendant was going to drive back from Schenectady to Brooklyn to drop Gayle off mid-afternoon and then return, alone, to Schenectady later that evening.

Suspecting more than a joy ride, the officer directed Gayle out of the vehicle and retrieved his narcotics-sniffing dog from the SUV. As the dog circled the vehicle, it “alerted” to the driver’s side door and attempted to climb through the window. When the officer opened the door the dog jumped into the backseat and “alerted” near the rear speaker on the passenger side. After removing the dog from the vehicle, the officer took the keys from the ignition and walked the dog toward the rear of the vehicle. The dog once again “alerted” and the officer opened the trunk. There he found a black duffel bag, which the dog tried to grab from his hands. Defendant claimed no knowledge of the duffel bag. Upon inspection, it was found to contain two freezer bags of cocaine.

Following defendant’s indictment for criminal possession of a controlled substance in the first degree, County Court conducted a suppression hearing and concluded that the search was lawful. The Appellate Division, Third Department affirmed, holding that the officer properly conducted an exterior canine sniff of the vehicle based upon “a founded suspicion that criminality was afoot” (64 AD3d 1087, 1089 [3d Dept 2009]).

Leave to appeal to this Court was granted in both cases and we now affirm.

In *People v Dunn*, this Court held as a matter of state constitutional law that the use of a canine sniff in the hallway of an apartment building to detect the presence of controlled substances inside an apartment constitutes a search (77 NY2d 19, 25 [1990], *cert denied* 501 US 1219 [1991]). We rejected the Supreme Court’s approach in *United States v Place* (462 US 696 [1983]) that a canine sniff does not constitute a search because it discloses only the presence or absence of contraband, observing “that the fact that a given investigative procedure can disclose only evidence of criminality should have little bearing on whether it constitutes a search” (*Dunn*, 77 NY2d at 24). Rather, we concluded that the analysis should “focus on whether there has been an intrusion into an *area* where an individual has a

reasonable expectation of privacy” (*id.* at 25 [emphasis supplied]).

We applied a similar standard in *People v Price*, where we held that the canine sniff of the defendant’s luggage did not violate either federal or state constitutional standards or statutory law (54 NY2d 557, 564 [1981]). Our analysis, once again under state law, centered on the reduced expectation of privacy one has relative to luggage placed in the hands of a common carrier (*see id.* at 563-564; *Dunn*, 77 NY2d at 24).

[1] Based on our state jurisprudence, therefore, whether a canine sniff constitutes a search is necessarily dependent upon whether it constitutes an intrusion into a place where a person has a reasonable expectation of privacy. One clearly has a greater expectation of privacy in one’s home than in an automobile (*see New York v Class*, 475 US 106, 112-113 [1986]), but that does not render the latter interest undeserving of constitutional protection (*see Arizona v Gant*, 556 US —, —, 129 S Ct 1710, 1720 [2009] [addressing warrantless searches of automobiles]). There is a legitimate, albeit reduced, expectation of privacy in an automobile. But that expectation is greater than the significantly reduced expectation of privacy one has in luggage turned over to a common carrier. We therefore hold that a canine sniff of the exterior of an automobile constitutes a search under article I, § 12.

[2] In both of these cases the Appellate Division properly concluded that the officers’ “founded suspicion” that criminality was afoot provided sufficient grounds for the search. While the more demanding “reasonable suspicion” standard applies to a canine sniff outside the door of one’s residence (*see Dunn*, 77 NY2d at 26), there is a “diminished expectation of privacy attributed to individuals and their property when traveling in an automobile” (*People v Yancy*, 86 NY2d 239, 246 [1995]). It follows that law enforcement need only meet a lesser standard before conducting a canine sniff of the exterior of a lawfully stopped vehicle. Given that diminished expectation of privacy, coupled with the fact that canine sniffs are far less intrusive than the search of a residence and provide “significant utility to law enforcement authorities” (*Dunn*, 77 NY2d at 26), application of the founded suspicion standard in these cases is appropriate.

[3, 4] There is record support in each of these appeals for the Appellate Division holdings that police possessed a founded

suspicion to conduct the canine sniff. In *Devone*, Washington's inability to produce his driver's license and registration for the vehicle, coupled with his responses that his cousin owned the vehicle, that he did not know his cousin's name, and that defendant was his cousin—together with the fact that the vehicle was registered to a female and not defendant—gave the officers a founded suspicion that criminal activity was afoot, justifying the canine sniff. Similarly, in *Abdur-Rashid*, the condition of defendant's vehicle, the unusual travel plans of defendant and Gayle, and defendant's "nervous" behavior gave the officer a similar founded suspicion that criminal activity was afoot.

Accordingly, the orders in *Devone* and *Abdur-Rashid* should be affirmed.

CIPARICK, J. (dissenting). Because I believe that the reasonable suspicion standard should be met before law enforcement conducts an exterior canine sniff of a vehicle, I respectfully dissent.

In *People v Dunn* (77 NY2d 19 [1990]), we held that an exterior canine sniff constitutes a search within the meaning of article I, § 12 of the New York Constitution (*id.* at 25). We further held that reasonable suspicion that defendant's apartment contained illegal drugs was required before law enforcement could conduct a canine sniff in the common hallway outside the apartment (*id.* at 26). To determine this standard, we balanced the degree of the search's intrusion against its utility (*see id.*; *see also People v Kuhn*, 33 NY2d 203, 209 [1973] [reasonableness of search determined "by 'balancing the need to search against the invasion which the search entails' "]). Because exterior canine sniffs are "uniquely discriminate and nonintrusive" and of "significant utility to law enforcement authorities," we found that they "may be used without a warrant or probable cause, provided that the police have a reasonable suspicion that a residence contains illicit contraband" (*Dunn*, 77 NY2d at 26). Conducting the same balancing here, I do not see any reason to depart from the reasonable suspicion standard we articulated in *Dunn*.

It is well-settled that an individual has a legitimate expectation of privacy with respect to spaces within a vehicle that cannot be viewed from the outside (*see People v Class*, 63 NY2d 491, 495 [1984]), and law enforcement must usually have probable cause before searching any of these areas (*see People v Yancy*, 86 NY2d 239, 245 [1995]). This is, of course, the same level of suspicion required before law enforcement may search a

residence (see e.g. *People v Brown*, 96 NY2d 80, 88 [2001]), though automobile searches may be conducted without a warrant (see *Yancy*, 86 NY2d at 245-246). While it is true that, generally speaking, an individual has a lesser expectation of privacy in a car than in a home (see *Yancy*, 86 NY2d at 245-246), this distinction has never affected the standard required to search areas of a vehicle shielded from outside view, and it should not now justify a search of these private spaces based on mere founded suspicion rather than the reasonable suspicion standard applied to residences and their thresholds (see *Dunn*, 77 NY2d at 26).^{*} Indeed, prior to today, the predicate of founded suspicion of criminality adopted by the majority would have permitted no more than a request to search, not a search itself (see *People v Dunbar*, 5 NY3d 834, 835 [2005]; *People v Hollman*, 79 NY2d 181, 191-192 [1992]).

Where our law distinguishes between vehicular and residential privacy, it does so because of pragmatic considerations not present in this case. The automobile exception to the warrant requirement, for example, was born of expediency, not a general finding that private areas of a vehicle are not entitled to protection (*Yancy*, 86 NY2d at 245-246 [considering “the mobility of the vehicle and the corresponding probability that any contraband contained therein will quickly disappear, and the diminished expectation of privacy attributed to individuals and their property when travelling in an automobile”]). Here, unlike in *Yancy*, there is no reason why the contents of a car’s trunk or console should be afforded less constitutional protection than the contents of one’s home. In fact, the officers in *Yancy* were justified in conducting a warrantless search of the automobile based on “incidental observation of hundreds of separately packaged empty vials and caps in open view following a valid automobile stop” (*id.* at 246). Thus, I believe that, as in *Dunn*, the minimal intrusiveness of an exterior canine sniff justifies requiring such a search to be predicated on reasonable suspicion.

^{*} Under our traditional *De Bour* formulation governing the appropriate level of suspicion in police-citizen encounters, level one requires that police have “an objective, credible reason, not necessarily indicative of criminality”; level two requires “a founded suspicion that criminal activity is afoot”; level three requires “a reasonable suspicion that the particular individual was involved in a felony or misdemeanor”; and level four “requires probable cause to believe that the person . . . has committed a crime” (*People v Moore*, 6 NY3d 496, 498-499 [2006]; see also *People v De Bour*, 40 NY2d 210, 223 [1976]).

Moreover, the predicate for a canine sniff selected by the majority, founded suspicion that criminal activity is afoot, is divorced from the realities of the encounter. By way of example, the canine in *Devone* could not assist the officers in ascertaining whether defendant's vehicle was stolen, as originally suspected. Trained canines are capable only of detecting drugs. Yet the majority allows such a search without requiring any suspicion of illegal drug activity. Without a nexus between the suspicion held by the police and the capability of the canine, the probe sanctioned by the majority is but a fishing expedition.

Particularly in light of New York's strong tradition of protecting our citizens from unreasonable searches under article I, § 12 of the New York Constitution, I believe the appropriate level of suspicion that must be present before law enforcement conducts an exterior canine sniff search of a vehicle is the standard of reasonable suspicion of the presence of illicit drugs in the vehicle, not the lesser "founded suspicion" standard chosen by the majority here.

Accordingly, I would reverse both orders of the Appellate Division.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

In each case: Order affirmed.

[931 NE2d 520, 905 NYS2d 536]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAMUEL
McLEAN, Appellant.

Argued May 6, 2010; decided June 10, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 26, 2009. The Appellate Division affirmed a judgment of the Schenectady County Court (Karen A. Drago, J.), which had convicted defendant, upon his plea of guilty, of murder in the second degree (two counts), attempted robbery in the first degree (three counts), criminal possession of a weapon in the second degree (three counts), criminal possession of a weapon in the third degree (six counts), conspiracy in the fourth degree and criminal mischief in the third degree.

People v McLean, 59 AD3d 861, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Right to Counsel Violation

1. Where a defendant's statement to law enforcement authorities is obtained in violation of his or her right to counsel, the use of that statement against the defendant at trial is an error that may be raised on appeal, even if the issue was not preserved. Appellate review of such an unpreserved error is available, however, only when the error is established on the face of the record. The lack of an adequate record bars review on direct appeal not only where vital evidence is plainly absent, but wherever the record falls short of establishing conclusively the merit of the defendant's claim.

Crimes — Appeal — Preservation of Issue for Review — Right to Counsel Violation

2. In the prosecution of defendant for murder in the second degree and related crimes in connection with a fatal shooting, the record created at the *Huntley* hearing on defendant's motion to suppress, as involuntary, statements he made at a meeting with two detectives did not provide an adequate basis for review of defendant's claim, raised for the first time in the Appellate Division, that the statements were made in violation of his right to counsel. The record showed that no lawyer was present at that meeting when defendant described his role in the homicide to the detectives. Defendant had, however, talked about the same crime to the same detectives three years earlier, in the presence of his lawyer, as part of a cooperation agreement while awaiting sentencing on an unrelated robbery charge. Even assuming that the evidence presented at the hearing would have supported a holding that the lawyer representing defendant on the robbery charge was defendant's lawyer in connection with the homicide, and that therefore the indelible right to

counsel attached, it could not be said that there was no evidence the People might have presented that would have led to an opposite holding. The officers who testified at the hearing were not asked, and did not say, what they knew, and what conclusions they drew, about defendant's relationship with his lawyer, and the lawyer himself did not testify. It was not impossible that there existed evidence from the officers, from the attorney or possibly from other sources that might have served to rebut any showing that defendant's right to counsel was violated.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 577; AM JUR 2d, Criminal Law §§ 921, 922; AM JUR 2d, Evidence §§ 660, 762.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:63, 176:64; CARMODY-WAIT 2d, Right to Counsel §§ 184:13, 184:17, 184:20; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:50, 207:111, 207:133.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.4, 10.5, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 594, 1628, 3471, 3584, 3596-3598.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Confessions and Admissions; Exclusion and Suppression of Evidence.

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POINTS OF COUNSEL

Danielle Neroni Reilly, Albany, for appellant. Appellant's right to counsel indelibly attached when his attorney entered the criminal matter under investigation. (*People v West*, 81 NY2d 370; *People v Harris*, 77 NY2d 434; *People v Settles*, 46 NY2d 154; *People v Cunningham*, 49 NY2d 203; *People v Di Biasi*, 7 NY2d 544; *People v Grice*, 100 NY2d 318; *People v Hobson*, 39 NY2d 479; *People v Schaeffer*, 56 NY2d 448; *People v Marrero*, 51 NY2d 56; *People v Garofolo*, 46 NY2d 592.)

Robert M. Carney, District Attorney, Schenectady (*Gerald A. Dwyer* of counsel), for respondent. I. The record does not contain

sufficient facts to permit review of whether the inculpatory statements of December 11, 2006 were obtained in violation of defendant's right to counsel. (*People v Kinchen*, 60 NY2d 772; *People v Samuels*, 49 NY2d 218; *People v Charleston*, 54 NY2d 622; *People v Berezansky*, 229 AD2d 768, 89 NY2d 919; *People v Brown*, 46 AD3d 1128; *People v Marrero*, 51 NY2d 56.) II. Defendant's right to counsel did not attach at the time of his debriefing on an unrelated case as a part of his cooperation agreement upon his plea to a robbery. (*People v West*, 81 NY2d 370; *People v Lyons*, 4 AD3d 549; *People v Brown*, 46 AD3d 1128; *People v Vella*, 21 NY2d 249; *People v Hobson*, 39 NY2d 479; *People v Bing*, 76 NY2d 331; *People v Samuels*, 49 NY2d 218.)

OPINION OF THE COURT

SMITH, J.

We have held that, where a defendant's statement to law enforcement authorities is obtained in violation of his right to counsel, the use of that statement against defendant at trial is an error that may be raised on appeal, even if the issue was not preserved. Appellate review of such an unpreserved error is available, however, only when the error is established on the face of the record. Here, the record is inadequate, and we therefore cannot review the right to counsel issue.

Defendant pleaded guilty to a 16-count indictment charging him with various crimes, including two counts of murder in the second degree, relating to the fatal shooting of Leonder Goodwin on January 27, 2002. On appeal from his conviction, he challenges County Court's refusal to suppress, after a *Huntley* hearing, statements he made at a meeting with two police officers in December 2006. At the *Huntley* hearing, defendant argued that his statements were involuntary, but made no claim that he had been deprived of his right to counsel. He raised a right to counsel claim for the first time in the Appellate Division, which declined to consider it, saying that while the lack of preservation "does not necessarily foreclose defendant from raising this issue on appeal," the record here "is bereft of material evidence sufficient to permit appellate review of this claim" (*People v McLean*, 59 AD3d 861, 864 [3d Dept 2009]). A Judge of this Court granted leave to appeal (12 NY3d 927 [2009]), and we now affirm.

Defendant's argument that he was deprived of his right to counsel is based on the record of the *Huntley* hearing. That

record shows that no lawyer was present at the December 2006 meeting when defendant described his role in the Goodwin homicide to two detectives. However, defendant had talked about the same crime to the same detectives three years earlier, in October 2003, in the presence of his lawyer, Steven Kouray. At that time defendant was awaiting sentencing on an unrelated robbery charge, and had entered a cooperation agreement to supply information about the Goodwin murder in exchange for the chance of a more favorable sentence on the robbery. Defendant claims that his right to counsel indelibly attached at or before the 2003 meetings, and that he therefore could not be questioned again on the same subject in 2006 without a waiver of that right in counsel's presence (*see People v Arthur*, 22 NY2d 325 [1968]; *People v West*, 81 NY2d 370 [1993]).

Arthur held that “[o]nce an attorney enters the proceeding, the police may not question the defendant in the absence of counsel unless there is an affirmative waiver, in the presence of the attorney, of the defendant’s right to counsel” (22 NY2d at 329). *West* expressed the same rule by saying that “the right to counsel attaches indelibly where an uncharged individual has actually retained a lawyer in the matter at issue” (81 NY2d at 373-374). The parties here dispute whether, at the time of the 2003 meetings, Kouray had entered “the proceeding” or was retained in “the matter at issue”—i.e., whether he then represented defendant in connection with the Goodwin homicide. The People say that Kouray represented defendant only in the robbery case, and was involved in discussions of the murder case only as it affected defendant’s robbery sentence; defendant says that this is a spurious distinction, and that Kouray was representing him in both matters. We conclude that we may not resolve the dispute, because the failure to raise the issue in the trial court has resulted in an inadequate record.

We recognized in *Arthur* that right to counsel claims are excepted from the general rule that unpreserved issues cannot be reviewed on appeal (22 NY2d at 329 [“The failure to object . . . on right to counsel grounds is not fatal since we are concerned with the deprivation of a fundamental constitutional right”]). In support of our holding we cited *People v McLucas* (15 NY2d 167, 172 [1965]), where we endorsed the proposition “that no exception is necessary to preserve for appellate review a deprivation of a fundamental constitutional right.” Though this sweeping statement is no longer good law (*see People v De Renzzio*, 19 NY2d 45, 50 [1966]; *People v Thomas*, 50 NY2d 467,

473 [1980]), we have continued to follow the holding of *Arthur* that claims like the one made in this case need not be preserved (*People v Kinchen*, 60 NY2d 772, 773 [1983] [“a claimed deprivation of the State constitutional right to counsel may be raised on appeal, notwithstanding that the issue was not preserved by having been specifically raised in a suppression motion or at trial”]; *People v Samuels*, 49 NY2d 218, 221 [1980]; *People v Ermo*, 47 NY2d 863, 865 [1979]; but cf. *id.* at 865-866 [Jasen, J., concurring]; see also *People v Ramos*, 99 NY2d 27, 30 [2002]). On this appeal, no party asks us to depart from this line of cases, and we do not do so.

The *Arthur* exception to the preservation requirement, however, has an important limitation, which we find decisive here. As we said in *Ramos*, the rule “authorizing review of unpreserved constitutional right-to-counsel claims” has been applied “only when the constitutional violation was established on the face of the record” (99 NY2d at 37). Similarly, in *Kinchen* we explained that the exception to the preservation requirement “does not . . . dispense with the need for a factual record sufficient to permit appellate review” (60 NY2d at 773-774). We held the record inadequate in *Kinchen* because, among other reasons, there was no proof in the record “that defendant was represented by counsel in connection with . . . any pending charge” (*id.* at 774).

[1] We now make clear that the lack of an adequate record bars review on direct appeal not only where vital evidence is plainly absent, as in *Kinchen*, but wherever the record falls short of establishing conclusively the merit of the defendant’s claim. Simple fairness, and respect for orderly procedure, require this stringent approach. Where the right to counsel claim is not raised in the trial court, neither the People nor the trial judge have reason to know that it is in the case. Thus the People may not elicit evidence that is crucial to a decision on the issue; and, even if all the evidence is before it, the trial court may have no reason to make findings of fact relevant to the right to counsel claim. Thus where the record does not make clear, irrefutably, that a right to counsel violation has occurred, the claimed violation can be reviewed only on a post-trial motion under CPL 440.10, not on direct appeal.

[2] The record created at the *Huntley* hearing here does not provide an adequate basis for review. We assume, without deciding, that the evidence presented at the hearing would support a holding that Kouray was defendant’s lawyer in connection with

the homicide, and that therefore the indelible right to counsel attached. Even on that assumption, we cannot say that no evidence the People might have presented would lead us to hold otherwise. The officers who testified at the hearing were not asked, and did not say, what they knew, and what conclusions they drew, about defendant's relationship with his lawyer. Kouray himself, as the Appellate Division pointed out, did not testify. (We do not consider a later affirmation by Kouray, not part of the record, which was submitted to the Appellate Division with defendant's brief.) We will not speculate on precisely what evidence from the officers, from Kouray or possibly from other sources might serve to rebut any showing that defendant's right to counsel was violated. We are satisfied that such a rebuttal is not impossible, and that is enough to make review on direct appeal inappropriate in this case.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Because I believe defendant's conviction was obtained in violation of his right to counsel, I respectfully dissent.

Defendant was questioned on two occasions concerning a homicide which occurred in 2002. He was first questioned in 2003 in the presence of his attorney. He gave a detailed statement concerning the murder.¹ He was again questioned in 2006 by the same detective but without counsel being present.² In 2007, defendant was convicted of numerous charges on a plea of guilty. His plea followed a *Huntley* hearing after which the court ruled that the statement made to the investigating detective in 2006 could be used against him at his trial. Based on these facts, the issue presented here is whether defendant was represented in *this* matter when he was first questioned in 2003. As will be demonstrated below, defendant's plea was obtained in violation of his rights (including the right to counsel) as it was based on a statement made without his attorney being present.

1. Defendant pleaded guilty to robbery on August 5, 2003. On October 20, 2003, defendant met with the investigating detective on the Goodwin homicide (Detective Jack Sims) at the Schenectady County District Attorney's Office, and with his attorney (Steven Kouray) present gave a written statement concerning the homicide. Defendant met with the same parties a second time on October 21, 2003. On June 4, 2004, defendant was sentenced for the stated robbery.

2. Defendant, while incarcerated at Great Meadow Correctional Facility, met with Detective Sims and Detective Michael Brown on December 11, 2006. At this time, he gave another written statement on the Goodwin homicide.

At the outset, I agree with the majority's statement of settled law that if defendant was represented by counsel during the initial questioning in 2003 then the subsequent interrogation in 2006 without his attorney being present was in violation of his rights (see *People v Arthur*, 22 NY2d 325 [1968]; *People v West*, 81 NY2d 370 [1993]). There is no dispute that defendant was represented by counsel when he was questioned on a homicide in 2003. There is, however, some dispute as to whether at the time of the first statement he was represented on the robbery to which he had already pleaded guilty, on the murder which was under investigation, or both. Relying on *People v Kinchen* (60 NY2d 772 [1983]), the majority concludes that the record is inadequate to establish whether this defendant was in fact represented on the homicide by attorney Steven Kouray in 2003. I disagree and would hold that the record is more than adequate to establish that attorney Kouray represented defendant on the homicide in 2003.

The record clearly demonstrates the following. Defendant was a suspect in the Goodwin homicide as early as 2002 based on information the Schenectady police received from a third party. In other words, defendant was a suspect in the Goodwin homicide five years before he was actually convicted of it. More significantly, defendant was a suspect in that homicide nearly a year before his first written statement was taken.

The record contains two documents dated October 20, 2003 which support the position that defendant was being actively represented on the homicide. The date is significant because defendant had already entered a plea of guilty on the robbery charge. In the first document, entitled "Advice of Rights," defendant acknowledges and signs several statements on a printed form containing the *Miranda* warnings.³ That the police advised defendant of his rights under *Miranda v Arizona* (384 US 436

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3. The "Advice of Rights" form contained in the record states:
"Before we ask you any questions, you must understand your rights.
- You have the right to remain silent.
 - Anything you say can be used against you in court.
 - You have the right to talk to a lawyer for advice before we ask you any questions and to have him with you during any questioning.
 - If you cannot afford a lawyer, one will be appointed for you before any questioning if you wish, at no charge to you.

(n. cont'd)

[1966]) is telling. Simply put, there is no need to advise someone who is merely a witness of these rights. The fact that defendant was required to sign this form indicates he was in jeopardy and a suspect in the ongoing murder investigation.

In addition, on that date, defendant, after being advised of his rights under *Miranda*, agreed to be questioned concerning the murder expecting that it might be helpful to his sentence on the robbery. Defendant simultaneously signed a statement which began as follows:

“I Sam[ue]l McLean being duly sworn, deposes and says: Im in the Schenectady County District Attorneys Office with my attorney Steven Kouray. Mr Sims you have read my rights to me and I understand them and Im willing to give you this statement. Mr Sims we will be talking about what I know of a murder that happened back on January 27th of 2002.”

The record also contains the transcript of Detective Sims’ testimony at the 2006 *Huntley* hearing. A portion of the detective’s testimony makes reference to an exchange between the detective and defendant after the *Miranda* warnings were administered on October 20, 2003. During the direct examination of Detective Sims, he was asked, “After the defendant acknowledged that he understood the warnings as you read them to him from this form, what happened next?” In response, Detective Sims stated: “The *Miranda* warning was completed. We now discussed what he had witnessed *or if he had participated in the homicide* of Leonder Goodwin and we talked at length about the incident” (emphasis added).

At the *Huntley* hearing, Detective Sims was also asked about defendant’s interaction with his attorney (Kouray). The detective testified that they conferred, read documents together and that defendant constantly consulted with Mr. Kouray during the interview.

Accordingly, not only do the foregoing documents establish that defendant was a suspect in the Goodwin homicide, they clearly illustrate attorney Steven Kouray’s presence and that

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- If you decide to answer questions now without a lawyer present, you will still have the right to stop answering at any time until you talk to a lawyer.
 - Do you understand what I have just said to you?”

defendant was represented by him in the homicide investigation independent of the robbery case to which he had already entered a guilty plea. Since defendant was represented by counsel in the murder case when he gave the 2003 statements, the subsequent statement in 2006, made without counsel present, should have been suppressed (*see People v Arthur, supra*).

The majority, citing *People v Kinchen*, posits that the record before this Court is inadequate to determine whether defendant was represented on the homicide and points to the fact that “right to counsel” was never raised at the trial level. In *Kinchen*, the defendant gave a statement after receiving *Miranda* warnings which was later challenged. This Court held that although the defendant had an open warrant, there was no evidence that the police knew of the warrant before taking the statement and no evidence that the police knew if he was represented by counsel or had an open case.

Here, by contrast (and given the foregoing), the record is so detailed that it clearly contains evidence that the police knew that defendant was represented by counsel on the Goodwin homicide as the same detective was present at both interrogations. Thus, the majority’s conclusion that this record is “inadequate” on the question of legal representation is plainly inconsistent with settled case law. Stated differently, in a case where there is an adequate record on the question of legal representation (i.e., the right to counsel attached), as here, this Court’s jurisprudence provides that a claimed deprivation of said right may be raised on appeal, notwithstanding that the claim was not preserved at the suppression hearing or before the trial court.

Based on the foregoing, defendant’s conviction and sentence should be reversed and the matter remitted to County Court for further proceedings.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge JONES dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

Order affirmed.

[931 NE2d 76, 905 NYS2d 107]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. JOSEPH II., Respondent, v SUPERINTENDENT OF SOUTHPORT CORRECTIONAL FACILITY et al., Appellants.

In the Matter of STATE OF NEW YORK, Appellant, v HUMBERTO G., Respondent.

Argued April 28, 2010; decided June 15, 2010

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 26, 2009. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Chemung County (Judith F. O'Shea, J.), which had denied petitioner's application for a writ of habeas corpus; (2) granted the writ of habeas corpus; and (3) ordered the Department of Correctional Services to immediately release petitioner.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 25, 2009. The Appellate Division affirmed an order of the Supreme Court, Kings County (Deborah A. Dowling, J.), which had granted respondent's motion to dismiss the petition in a proceeding pursuant to Mental Hygiene Law article 10 seeking civil confinement of respondent and released respondent from custody pending a determination whether there were any other unrelated matters pending against respondent.

People ex rel. Joseph II. v Superintendent of Southport Correctional Facility, 59 AD3d 921, reversed.

Matter of State of New York v Humberto G., 65 AD3d 690, reversed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision

1. Article 10 of the Mental Hygiene Law, which provides that certain imprisoned sex offenders may be transferred to mental hospitals rather than being released when their prison terms expire, was applicable to respondents, sex offenders who were incarcerated for violating the conditions of a term of post-release supervision (PRS) that was improperly added to their sentences by the Department of Correctional Services (DOCS) without court authorization. Respondents were within the coverage of article 10, which is applicable to

offenders actually imprisoned, notwithstanding that the procedure that led to their imprisonment was flawed. Respondents were “detained sex offenders” within the meaning of Mental Hygiene Law § 10.03 (g) (5) when the State began proceedings against them under article 10. Respondents were in custody of DOCS, an “agency with jurisdiction” (*see* Mental Hygiene Law § 10.03 [a]), and were confined “with respect to a sex offense.” The statute is best read as making no distinction between those properly and improperly confined. There is no reason to suppose that the Legislature intended to treat people whose confinement violated the law differently from other inmates when it enacted article 10.

Appeal — Academic and Moot Questions — Court of Appeals

2. In a habeas corpus proceeding brought by petitioner, a sex offender who was incarcerated for violating the conditions of a term of postrelease supervision that was improperly added to his sentence by the Department of Correctional Services (DOCS) without court authorization, petitioner’s claim that he was entitled to notice and an opportunity to be heard before the issuance of an order under Mental Hygiene Law § 10.06 (h) staying his release from DOCS’s custody was moot since he was released after the Appellate Division decision in his favor. Notwithstanding that the issue raised by petitioner was significant and likely to recur, the Court of Appeals declined to address the claim that the issue was likely to evade review. The issue was barely alluded to in petitioner’s habeas corpus petition, it was not discussed by either court below and the State, as appellant in the Court of Appeals, had not briefed or argued the merits of the question.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 12, 18, 59; AM JUR 2d, Mentally Impaired Persons §§ 125, 128.
- CARMODY-WAIT 2d, Habeas Corpus §§ 139:9, 139:128, 139:129.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 28.2, 28.5.
- McKINNEY’S, Mental Hygiene Law § 10.03 (a), (g) (5); § 10.06 (h).
- NY JUR 2d, Habeas Corpus §§ 127, 128; NY JUR 2d, Penal and Correctional Institutions §§ 26, 29.

ANNOTATION REFERENCE

See ALR Index under Habeas Corpus; Incompetent or Insane Persons; Moot and Abstract Matters.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, Albany (Andrea Oser, Barbara D. Underwood and Robert C. Weisz of counsel), for appellants in the first and second above-entitled proceedings. Because respondent was admitted to an Office of Mental Health hospital under Mental Hygiene Law article 9 upon his release from prison, he is a “detained sex offender,” notwithstanding his subsequent return to prison on a basis now known to be unlawful. (State of N.Y. ex rel. Harkavy v Consilvio, 8 NY3d 645; Matter of Albano v Kirby, 36 NY2d 526; Matter of State of New York v Millard, 19 Misc 3d 283; People ex rel. David NN. v Hogan, 53 AD3d 841; State of N.Y. ex rel. Harkavy v Consilvio, 7 NY3d 607; Matter of State of New York v Blair, 69 AD3d 15; Matter of North v Board of Examiners of Sex Offenders of State of N.Y., 8 NY3d 745; Post v 120 E. End Ave. Corp., 62 NY2d 19; Matter of State of New York v F.E., 64 AD3d 497.)

Mental Hygiene Legal Service, Third Judicial Department, Albany (David M. LeVine and Sheila E. Shea of counsel), for respondent in the first above-entitled proceeding. I. A person must still be in custody in order to qualify as a detained sex offender. (State of N.Y. ex rel. Harkavy v Consilvio, 7 NY3d 607; Earley v Murray, 451 F3d 71, 462 F3d 147, cert denied sub nom. Burhlre v Earley, 551 US 1159; Vitek v Jones, 445 US 480; State of N.Y. ex rel. Harkavy v Consilvio, 8 NY3d 645; People ex rel. David NN. v Hogan, 53 AD3d 841, 11 NY3d 708; People v Ortega, 69 NY2d 763.) II. The question of whether an unlawful confinement can supply the predicate for a Mental Hygiene Law article 10 commitment may be academic. (Matter of Larry TT., 68 AD3d 1229.) III. Should the State of New York’s Mental Hygiene Law article 10 application be reinstated, Joseph II. must be afforded a hearing with respect to whether his admission to an Office of Mental Health facility was pursuant to the standards of Mental Hygiene Law § 9.27. (Matter of State of New York v Blair, 69 AD3d 15; Matter of Coates, 9 NY2d 242; Bailey v Pataki, 636 F Supp 2d 288; Vitek v Jones, 445 US 480; State of N.Y. ex rel. Harkavy v Consilvio, 7 NY3d 607; Baxstrom v Herold, 383 US 107; State of N.Y. ex rel. Harkavy v Consilvio, 8 NY3d 645; Matter of State of New York v Randy M., 57 AD3d 1157, 11 NY3d 921; Matter of State of New York v F.E., 64 AD3d 497; Matter of State of New York v Robinson, 21 Misc 3d 1120[A], 2008 NY Slip Op 52111[U].) IV. The stay of Joseph II.’s release was improperly issued and continued. (Lachance v Erickson, 522 US 262; Fuentes v Shevin, 407 US 67; Mullane v Central

Hanover Bank & Trust Co., 339 US 306; *Matter of Aho*, 39 NY2d 241; *People ex rel. David NN. v Hogan*, 53 AD3d 841, 11 NY3d 708; *Earley v Murray*, 451 F3d 71, 462 F3d 147, *cert denied sub nom. Burhlre v Earley*, 551 US 1159; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Murray v Goord*, 1 NY3d 29; *State of New York v Myers*, 22 Misc 3d 809; *Matter of Douglas Z. [Harlem Val. Psychiatric Ctr.]*, 175 AD2d 450.)

Mental Hygiene Legal Service, Second Judicial Department, Mineola (Rachael E. Seevers, Sidney Hirschfeld and Dennis B. Feld of counsel), for respondent in the second above-entitled proceeding. I. The explicit language of the provisions of Mental Hygiene Law article 10 makes clear that legal custody is a required predicate for any article 10 petition, including those brought pursuant to Mental Hygiene Law § 10.03 (g) (5). (*People ex rel. David NN. v Hogan*, 53 AD3d 841, 11 NY3d 708; *Matter of State of New York v Randy M.*, 57 AD3d 1157, 11 NY3d 921; *People ex rel. Joseph II. v Superintendent of Southport Correctional Facility*, 59 AD3d 921, 13 NY3d 704; *Matter of State of New York v F.E.*, 64 AD3d 497; *Matter of State of New York v Robinson*, 21 Misc 3d 1120[A], 2008 NY Slip Op 52111[U]; *Project Release v Prevost*, 722 F2d 960; *Vitek v Jones*, 445 US 480; *Matter of State of New York v Millard*, 19 Misc 3d 283; *Morrissey v Brewer*, 408 US 471; *Earley v Murray*, 451 F3d 71.) II. The Appellate Division's decision in *Matter of State of New York v Humberto G.* (65 AD3d 690 [2009]) does not conflict with this Court's decision in *State of N.Y. ex rel. Harkavy v Consilvio* (8 NY3d 645 [2007]). (*Matter of State of New York v Randy M.*, 11 NY3d 921; *Earley v Murray*, 451 F3d 71; *Matter of State of New York v Blair*, 69 AD3d 15.) III. To the extent that any interpretation of the provisions of Mental Hygiene Law article 10 is required, such provisions should be construed narrowly. (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Scott v Massachusetts Mut. Life Ins. Co.*, 86 NY2d 429; *Matter of Smith [Great Am. Ins. Co.]*, 29 NY2d 116; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Kansas v Hendricks*, 521 US 346.) IV. Even if, arguendo, Mental Hygiene Law § 10.03 (g) (5) may be read as not requiring present and legal custody, this provision was directed to encompass prior involuntary admissions to an Office of Mental Hygiene facility, and extending it to include voluntary patients such as the respondent would be against public policy. (*State of N.Y. ex rel. Harkavy v Consilvio*, 7 NY3d 607; *State of N.Y. ex rel. Harkavy v Consilvio*, 8 NY3d 645; *Matter of Pilgrim Psychiatric Ctr. [Christian F.]*, 197 AD2d

204; *People ex rel. Joseph II. v Superintendent of Southport Correctional Facility*, 59 AD3d 921, 13 NY3d 704.)

OPINION OF THE COURT

SMITH, J.

Article 10 of the Mental Hygiene Law, enacted in 2007, provides that certain imprisoned sex offenders may be transferred to mental hospitals, rather than being released, when their prison terms expire. The statute raises important questions concerning the procedural and substantive rights of the prisoners to whom it applies, but those questions are not before us in this case. We have here the narrower issue of whether the statute applies to a particular class of prisoners: those who were incarcerated for violating the conditions of a term of postrelease supervision (PRS) that was improperly added to their sentences by the Department of Correctional Services (DOCS) without court authorization. We hold that these prisoners are within the coverage of the statute, which we read as applying to offenders actually imprisoned, even if the procedure that led to their imprisonment was flawed.

I

Both of these cases involve men convicted of serious sex crimes—assaults of vulnerable strangers on the street. Joseph II. assaulted a child, Humberto G. a developmentally disabled adult. Both were sentenced to imprisonment. Both were required by statute to be sentenced also to a term of PRS (*see* Penal Law § 70.06 [6]; § 70.45). However, as happened in a number of cases before our decisions in *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]) and *People v Sparber* (10 NY3d 457 [2008]), the sentencing court failed to impose the PRS term. DOCS nevertheless included PRS in its record of each man's sentence—a practice we decided in *Garner* was unlawful.

Joseph completed his prison sentence in August 2006, and Humberto completed his in January 2007. Both men began their improperly-imposed PRS terms—not in the community, but in a psychiatric hospital. Mental Hygiene Law article 10 had not then been enacted, but Joseph was involuntarily committed to a hospital under article 9 of the Mental Hygiene Law (Mental Hygiene Law § 9.27), and Humberto committed himself voluntarily, also under article 9 (Mental Hygiene Law § 9.13). Both, while in the hospital, violated the terms of their PRS—Joseph

by trying to escape, Humberto by assaulting a fellow patient—and both were returned to prison.

Article 10, which created a new procedure for the confinement of sex offenders on the expiration of their prison terms, became effective on April 13, 2007. At first the State took no action under the new statute in either Joseph’s or Humberto’s case, presumably because there seemed no imminent prospect that either would be released. But our April 2008 decision in *Garner* changed that, making clear that the PRS terms that had allowed the State to reincarcerate Joseph and Humberto were unlawful. Correction Law § 601-d and Penal Law § 70.85, enacted in response to *Garner* and *Sparber* and effective June 30, 2008, effectively give prosecutors in such cases a choice either to seek resentencing or to forgo PRS, and in the autumn of 2008 the prosecutors in Joseph’s and Humberto’s cases chose the latter option. Faced with the prospect that the men would soon be freed, the State began article 10 proceedings, asking that each man be found “a sex offender requiring civil management” and be held in custody past his scheduled release date.

Joseph and Humberto contended that article 10 did not apply to them. They asserted that they were not “detained sex offenders” within the meaning of that article, because their PRS terms, and thus their imprisonment resulting from violations of PRS conditions, were unlawful. Both succeeded below, using different procedural vehicles. Joseph, after his release from custody was stayed under article 10, began a habeas corpus proceeding, which Supreme Court dismissed; the Appellate Division reversed and granted the writ (*People ex rel. Joseph II. v Superintendent of Southport Correctional Facility*, 59 AD3d 921 [3d Dept 2009]). Humberto made a motion to dismiss the article 10 proceeding against him, which Supreme Court granted; the Appellate Division affirmed (*Matter of State of New York v Humberto G.*, 65 AD3d 690 [2d Dept 2009]). We granted leave to appeal in both cases, and we now reverse.

II

As these cases illustrate, the State’s efforts to confine certain sex offenders whose prison terms have expired predate the enactment of Mental Hygiene Law article 10. The State formerly proceeded in a number of cases, as it did in Joseph’s, under Mental Hygiene Law article 9, which contains provisions for the involuntary admission to mental hospitals of people who are mentally ill and in need of involuntary care and treatment (*see*

Mental Hygiene Law §§ 9.27, 9.31). We held, however, in *State of N.Y. ex rel. Harkavy v Consilvio* (7 NY3d 607 [2006] [*Harkavy I*]) that the State was required to proceed in such cases under Correction Law § 402, a statute applicable to prison inmates believed to be mentally ill, rather than the more general provisions of article 9.

Evidently believing that section 402 procedures were inadequate to protect the public, the Legislature responded to *Harkavy I* by enacting article 10, a statute specifically designed to deal with sex offenders who are completing their prison terms. The statute sets out procedures for determining whether a “detained sex offender” is a “sex offender requiring civil management”—a term defined as “a detained sex offender who suffers from a mental abnormality” (Mental Hygiene Law § 10.03 [q]). A subcategory of “sex offender requiring civil management” is a “dangerous sex offender requiring confinement”—i.e., one whose mental abnormality involves “such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]; see Mental Hygiene Law §§ 10.05-10.08; § 10.03 [q]). In *State of N.Y. ex rel. Harkavy v Consilvio* (8 NY3d 645 [2007] [*Harkavy II*]), we decided that, as to the prisoners involved in *Harkavy I*, the new statute had superseded Correction Law § 402 and that future proceedings concerning those prisoners should be held under article 10.

Under article 10, a prisoner can be found to be a “sex offender requiring civil management” (and thus perhaps a “dangerous sex offender requiring confinement”) only if he or she is a “detained sex offender” (see Mental Hygiene Law § 10.03 [q] [“ ‘Sex offender requiring civil management’ means a detained sex offender who . . .”]). The main issue in these cases is whether Joseph and Humberto were detained sex offenders when the State began proceedings against them under article 10.

Mental Hygiene Law § 10.03 (g) defines “detained sex offender.” The part of the definition that is relevant to this case says:

“(g) ‘Detained sex offender’ means a person who is in the care, custody, control, or supervision of an agency with jurisdiction, with respect to a sex offense or designated felony, in that the person is . . .

“(5) A person convicted of a sex offense who is, or was at any time after September first, two thousand five, a patient in a hospital operated by the office of mental health, and who was admitted directly to such facility pursuant to article nine of this title or section four hundred two of the correction law upon release or conditional release from a correctional facility”

[1] Joseph and Humberto are clearly persons of the kind described in subsection (5). Both were patients in a hospital operated by the Office of Mental Health after September 1, 2005, and both were admitted to the hospital under Mental Hygiene Law article 9 “directly . . . upon release or conditional release from a correctional facility”—Joseph involuntarily and Humberto voluntarily. Humberto argues that subsection (5) applies only to involuntary patients, but the plain text of the statute contradicts that argument.

On its face, the introductory language of section 10.03 (g) also fits Joseph and Humberto. It is beyond dispute that, when the article 10 proceedings began, they were in fact in DOCS’s custody, and DOCS can be an “agency with jurisdiction” (see Mental Hygiene Law § 10.03 [a] [“(a)gency with jurisdiction” . . . can include the department of correctional services’]). Nor can it be doubted that each man was confined “with respect to a sex offense.” Joseph and Humberto argue, however, that “custody” must mean lawful custody and that since their confinement was unlawful under *Garner*, the definition of “detained sex offender” cannot apply to them. We reject this argument.

No doubt it is often reasonable to read “custody” as implying “lawful custody.” Here, however, the statute is best read as making no distinction between those properly and improperly confined. To see why, it is helpful to remember that article 10, which applies only to “detained” sex offenders, is the result of our decision in *Harkavy I*, which drew a distinction between prison inmates and other people. The sex offenders on whose behalf *Harkavy I* was brought argued that Mental Hygiene Law article 9, which generally governs the commitment of mentally ill people to hospitals, could not be applied to them because they were prisoners, and therefore subject to the more specific provisions of Correction Law § 402 for commitment of “any person undergoing a sentence of imprisonment” (Correction Law § 402 [1]). Accepting that argument, we held that “the Legislature

intended the procedures of Correction Law § 402 to be used to evaluate for commitment *all* imprisoned persons” (7 NY3d at 613 [emphasis added]). The prisoners in *Harkavy I* sought this result, apparently because they preferred section 402 procedures to those used under article 9; we referred in *Harkavy I* to section 402’s “attendant procedural requirements including court supervision, pretransfer notice and an opportunity to be heard within a reasonable period of time prior to the inmate’s proposed release date” (*id.* at 614).

If Joseph and Humberto had been involved in the *Harkavy I* litigation, they would likely have argued that they were persons “undergoing a sentence of imprisonment” within the meaning of section 402, despite the fact that their “imprisonment” violated the law. And that argument would have been plainly correct. The point of *Harkavy I* was that the Legislature enacted certain procedures specifically designed for the transfer of inmates from prisons to mental hospitals. There is no reason why people whose confinement violated the law should not have been treated the same way as other inmates. And there is no reason to suppose that the Legislature intended to treat them differently when it enacted article 10, which provided a new way of dealing with the prisoners affected by the *Harkavy I* decision.

It is true that the enactment of Mental Hygiene Law article 10 has made special procedures applicable to those in prison less desirable from the prisoners’ point of view. Now that the alternative to an article 9 proceeding is an article 10 proceeding, Joseph and Humberto are arguing, in substance, that the State must proceed against them under article 9 if at all—thus seeking to come within the statute that the prisoners in *Harkavy I* sought to escape. This change in the preference of prisoners seems to result, at least in part, from the unattractive prospect of being sent to a “secure” mental health facility—the consequence of being found a “dangerous sex offender requiring confinement” under article 10. But of course it is the Legislature’s preference, not the prisoners’, that controls. Just as we held in *Harkavy I* that the Legislature intended a distinction between prisoners and other people alleged to be mentally ill, we now conclude that the Legislature intended to draw a similar line between prisoners and non-prisoners when it enacted article 10. The legality of the prisoners’ custody is irrelevant in both situations.

There is no injustice in holding prisoners situated as Joseph and Humberto are to be within article 10’s scope. The point of

the prisoner/non-prisoner distinction we recognized in *Harkavy I* is not that one group should be treated more or less favorably than the other, but that different situations may call for different procedures. Indeed, there is no apparent reason why the Legislature *had* to limit article 10 to “detained” sex offenders. It could equally well have subjected all people who had committed sex offenses and were thought to be mentally ill—including those living in the community—to the procedures described in article 10. It chose not to do so, perhaps because it thought article 9 procedures adequate to deal with sex offenders who are not detained, or perhaps because it thought that those who are detained present a more serious threat to public safety.

We do not decide here whether there are any valid constitutional objections to article 10. But assuming, as we must for present purposes, that it can be validly applied to lawfully detained prisoners, it can be applied with equal validity to those whose imprisonment resulted from a procedural error. We hold that such prisoners are within the statute’s coverage.

III

Our conclusion that Joseph and Humberto are “detained sex offenders” subject to article 10 disposes of the only issue raised in the *Humberto G.* case. In the *Joseph II.* case, one other issue requires brief attention.

Joseph argues that he was entitled to notice and an opportunity to be heard before the issuance of an order under Mental Hygiene Law § 10.06 (h) staying his release from DOCS’s custody. The State argues, and Joseph does not dispute, that this claim is now moot, since Joseph was released after the Appellate Division decision in his favor. Joseph suggests, however, that we should exercise our discretion to decide a moot controversy where the issue presented is significant, likely to recur, and, because it arises in situations of relatively brief duration, apt to evade review (*see Matter of Hearst Corp. v Clyde*, 50 NY2d 707 [1980]).

[2] The State does not challenge Joseph’s assertion that the issue he raises is significant and likely to recur; it does dispute his claim that it will evade review. Without resolving that dispute, we decline to address the issue here. It is barely alluded to in Joseph’s habeas corpus petition; it was not discussed by either court below; and the State, as appellant in this Court, has not briefed or argued the merits of the question. If this issue is one that should be addressed by means of the mootness exception, it can be addressed in some other case.

Accordingly, in *People ex rel. Joseph II. v Superintendent of Southport Correctional Facility et al.*, the order of the Appellate Division should be reversed, without costs, and the petition dismissed. In *Matter of State of New York v Humberto G.*, the order of the Appellate Division should be reversed, without costs, and Humberto G.'s motion to dismiss the article 10 proceeding denied.

CIPARICK, J. (dissenting). Because I believe that a prisoner must be lawfully in custody in order to qualify as a "detained sex offender" as that term is defined in Mental Hygiene Law article 10, I dissent.

A civil management proceeding under article 10 of the Mental Hygiene Law is commenced when an "agency with jurisdiction" notifies the Attorney General and the Commissioner of the Office of Mental Health that a "detained sex offender" is nearing an anticipated release date (Mental Hygiene Law § 10.05 [b]). An "agency with jurisdiction" is an agency "which, during the period in question, would be the agency responsible for supervising or releasing" the "detained sex offender" (Mental Hygiene Law § 10.03 [a]). As relevant here, article 10, which became effective in April 2007, defines the term "detained sex offender" to mean:

"a person who is in the care, custody, control, or supervision of an agency with jurisdiction . . . in that the person is . . .

"[a] person who stands convicted of a sex offense . . . and is currently serving a sentence for, or subject to supervision by the division of parole, whether on parole or on post-release supervision, for such offense or for a related offense; . . .

"[or a] person convicted of a sex offense who is, or was at any time after September first, two thousand five, a patient in a hospital operated by the office of mental health, and who was admitted directly to such facility pursuant to article nine of this title or section four hundred two of the correction law upon release or conditional release from a correctional facility, provided that the provisions of this article shall not be deemed to shorten or lengthen the time for which such person may be held pursuant to such article or section respectively" (Mental Hygiene Law § 10.03 [g] [1], [5]).

From these legislative pronouncements, the majority draws several conclusions with which I agree. First, I believe the majority correctly concludes that the Legislature limited the scope of article 10 to sex offenders who are actually and presently in the custody or care of the relevant agency with jurisdiction (*see* majority op at 135); I also agree that it is “often reasonable to read ‘custody’ as implying ‘lawful custody’ ” (*id.* at 133; *see* Mental Hygiene Law § 10.03 [g]). I part company with the majority, however, when it concludes that “[t]he legality of [a] prisoner[’s] custody is irrelevant” (majority op at 134) in ascertaining whether he or she is a “detained sex offender.”

In *State of N.Y. ex rel. Harkavy v Consilvio* (7 NY3d 607 [2006] [*Harkavy I*]), we determined that the proper procedure for involuntary commitment of an inmate was Correction Law § 402 rather than article 9 of the Mental Hygiene Law (*see id.* at 614). We recognized in *State of N.Y. ex rel. Harkavy v Consilvio* (8 NY3d 645 [2007] [*Harkavy II*]), decided after the legislative enactment of article 10 of the Mental Hygiene Law, that persons similarly situated to the *Harkavy I* petitioners—sex offenders improperly transferred to Office of Mental Health facilities directly from Department of Correctional Services (DOCS) facilities pursuant to article 9—had been specifically designated for inclusion within the new article 10, thus making that new procedure the proper vehicle to involuntarily commit a sex offender nearing the end of his or her prison sentence (*see id.* at 652). We did not contemplate, at that time, whether the DOCS detention was or could be illegal.

The following year, we concluded in *People v Sparber* (10 NY3d 457, 469-470 [2008]) and *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358, 362 [2008]) that a term of postrelease supervision must be judicially pronounced in order to be valid and that it could not be administratively imposed by DOCS. Moreover, recently, we reaffirmed the concept that “the administrative imposition by DOCS of any additional penalty other than that issued by the sentencing court is a nullity” (*People v Williams*, 14 NY3d 198, 218 [2010], citing *Garner*, 10 NY3d at 362; *see also Earley v Murray*, 451 F3d 71, 76 [2d Cir 2006], *reh denied* 462 F3d 147 [2006], *cert denied sub nom. Burhlre v Earley*, 551 US 1159 [2007]).

In both of the cases presently before us, DOCS impermissibly imposed PRS. Accordingly, Joseph II. and Humberto G. were in DOCS custody for violating unlawfully imposed PRS conditions at the time the Attorney General commenced

article 10 proceedings against them.* Yet the majority concludes that the status of the incarceration of both is unimportant. I disagree. An invalid term of PRS and a subsequent violation should not be permitted to serve as the basis for further proceedings under article 10, especially because such proceedings may result in a significant curtailment of liberty (*see generally Kansas v Hendricks*, 521 US 346, 356-357 [1997] [recognizing liberty interest in remaining free from restraint, but upholding a state sex offender civil commitment statute because it complied with due process requirements]).

The majority's argument to the contrary is not convincing. The majority explains that, in *Harkavy I*, we recognized a legislative distinction between imprisoned persons and non-imprisoned persons; it also concludes that "the Legislature intended to draw a similar line between prisoners and non-prisoners when it enacted article 10" (majority op at 134). While that conclusion is accurate, it is irrelevant. Joseph II. and Humberto G.'s administratively imposed PRS terms are a nullity and, thus, their incarceration as a result of a "violation" of an unlawfully imposed term of PRS was likewise illegal. In short, these two prisoners are unlawfully in DOCS custody and thus DOCS may not be considered "an agency with jurisdiction" as contemplated by article 10.

That the majority views the legality of the custody "irrelevant" is troubling; such a result encourages and rewards DOCS errors. For instance, if a DOCS inmate "slips through the cracks" or DOCS "miscalculates" a sentence to extend beyond the actually-imposed sentence, that illegal detention and custody could, under the majority's rationale, serve as the basis for an article 10 proceeding. That result would be untenable. Accordingly, I would hold that neither prisoner qualifies as a "detained sex offender" and, in both cases, would affirm the orders of the Appellate Division.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

In each case: Order reversed, etc.

* As the majority notes, in both cases, the District Attorney declined to seek resentencing pursuant to Correction Law § 601-d to include a term of PRS.

[931 NE2d 535, 905 NYS2d 551]

DONALD J. JONES et al., Appellants, v TOWN OF CARROLL et al.,
Respondents.

Argued May 4, 2010; decided June 17, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Chautauqua County (James H. Dillon, J.), entered June 25, 2009. The Supreme Court dismissed plaintiffs' fourth cause of action upon the parties' stipulation discontinuing that cause. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 31, 2008. The Appellate Division modified, on the law, a judgment (denominated order) of that Supreme Court (Timothy J. Walker, J.), which had denied defendants' motion for summary judgment and granted plaintiffs' motion for summary judgment to the extent of declaring sections 2 and 3 of the Town of Carroll Local Law No. 1 of 2005 invalid as they related to plaintiffs' property. The modification consisted of denying plaintiffs' motion and vacating the declaration. The Appellate Division affirmed the judgment as modified.

Jones v Town of Carroll, 57 AD3d 1376, reversed.

HEADNOTE

Municipal Corporations — Zoning — Nonconforming Use — Vested Rights — Sufficiency of Evidence of Intent to Use Property as Landfill

A local zoning ordinance which prohibited the expansion of any landfill beyond the area and scope allowed under the operator's permit from the Department of Environmental Conservation (DEC) as of the date of the local law's enactment was not applicable to plaintiffs because they acquired a vested right to use their entire 50-acre parcel as a landfill for construction and demolition (C & D) debris before the enactment of the zoning law when defendant Town granted them a special use variance allowing the operation of a C & D landfill on the entire parcel, subject to DEC regulation. The fact that plaintiffs' DEC permit covered only three acres was not determinative of plaintiffs' rights over the remaining portion of the parcel. As a general rule, a nonconforming use of real property that exists at the time a restrictive zoning ordinance is enacted is constitutionally protected and will be permitted to continue, notwithstanding the contrary provisions of the ordinance. Where only part of a parcel has been used for a nonconforming use, a landowner may seek protection for the remaining portion by demonstrating that the use is unique and adaptable to the entire parcel and showing that the landowner took specific actions constituting an overt manifestation of its intent to utilize the property for the ascribed purpose. As opposed to other nonconforming

uses in which the land is merely incidental to the activities conducted upon it, the use of property as a landfill is unique because it necessarily envisions that the land itself is a resource that will be consumed over time. Additionally, the owner of a landfill property can reasonably be expected to hold a portion of the land in reserve for future expansion of that activity. The operation of a C & D landfill was a legal use on plaintiffs' 50-acre parcel before the zoning restriction became effective. Additionally, plaintiffs manifested an intent prior to the enactment of the restrictive ordinance to devote the 50-acre parcel to use as a landfill since they dedicated substantial areas around the actual landfill site for related purposes, purchased necessary heavy equipment, employed a dozen people, developed plans for multi-stage enlargement of the landfill and engaged in discussions with investors regarding future operations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 394, 395, 555, 568,
571, 590, 591, 598, 600.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 305,
317, 319, 325, 331.

NEW YORK REAL PROPERTY SERVICE §§ 48:76–48:84.

ANNOTATION REFERENCE

See ALR Index under Landfills; Nonconforming Use; Zoning.

FIND SIMILAR CASES ON WESTLAW®

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Query: zoning /s landfill & non-conforming /2 use /p intent
& vested

POINTS OF COUNSEL

Cohen & Lombardo, P.C., Buffalo (Anthony M. Nosek of counsel), for appellants. I. The Appellate Division misunderstood and misapplied this Court's decision in *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]). (*Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 55 AD3d 1228, 13 NY3d 88; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *People v Miller*, 304 NY 105; *Matter of Skenesborough Stone v Village of Whitehall*, 272 AD2d 674; *Matter of 550 Halstead Corp. v Zoning Bd. of Appeals of Town/Vil. of Harrison*, 1 NY3d 561; *Town of Bedford v Peltz*, 283 AD2d 568; *Ilasi v City of Long Beach*, 38 NY2d 383; *United Citizens of Mount Vernon v Zoning Bd. of Appeals of City of Mount Vernon*, 109 Misc 2d 1080; *Matter of Dolomite Prods. Co. v Kipers*, 39 Misc 2d 627; *Incorporated Vil. of Laurel Hollow v Owen*, 247 AD2d 585.) II.

The Town of Carroll acted in an arbitrary and capricious manner when it enacted the subject ordinance. (*Matter of Conte v Town of Norfolk Zoning Bd. of Appeals*, 261 AD2d 734; *Matter of Androme Leather Corp. v City of Gloversville*, 1 AD3d 654; *Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 79 NY2d 373; *Los-Green, Inc. v Weber*, 156 AD2d 994; *Interlaken Homeowners' Assn. v City of Saratoga Springs*, 267 AD2d 842; *Matter of Miller v Kozakiewicz*, 289 AD2d 494.) III. The Town of Carroll violated the State Environmental Quality Review Act (SEQRA) when it failed to identify any impact and provided no reasoned elaboration as required by SEQRA and the Town of Carroll acted in an arbitrary and capricious manner when it enacted the subject ordinance. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of East Coast Props. v City of Oneida Planning Bd.*, 167 AD2d 641; *Matter of Consolidated Edison Co. of N.Y. v Hoffman*, 43 NY2d 598; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of Malloy v Incorporated Vil. of Sag Harbor*, 12 AD3d 107; *Matter of Spitzer v Farrell*, 100 NY2d 186; *Akpan v Koch*, 75 NY2d 561; *Chinese Staff & Workers Assn. v City of New York*, 68 NY2d 359; *Matter of Dunk v City of Wattertown*, 11 AD3d 1024; *Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341.) IV. If a town can, through the exercise of its police power, extinguish a lawful use merely because it has become unpopular, a disastrous precedent is established as a matter of public policy.

Erickson Webb Scolton & Hajdu, Lakewood (*Paul V. Webb, Jr.*, of counsel), for respondents. I. Local Law No. 1 (2005) of the Town of Carroll eliminated landfills as a nonconforming use in the Town's agricultural-residential (AR-1) zoning district in a reasonable fashion. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Matter of Harbison v City of Buffalo*, 4 NY2d 553; *Matter of 550 Halstead Corp. v Zoning Bd. of Appeals of Town/Vil. of Harrison*, 1 NY3d 561; *Briarcliff Assoc. v Town of Cortlandt*, 272 AD2d 488, 95 NY2d 886; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *People v Miller*, 304 NY 105.) II. The Town of Carroll rationally exercised its police power when it enacted Local Law No. 1 in 2005. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Udell v Haas*, 21 NY2d 463; *Randolph v Town of Brookhaven*, 37 NY2d 544; *Los-Green, Inc. v Weber*, 156 AD2d 994; *Matter of Town of Bedford v Village of Mount Kisco*, 33 NY2d 178.) III. Plaintiffs did not have a vested right to operate a construction and demolition landfill as a nonconforming use over their entire 50 acres.

(*Matter of Syracuse Aggregate Corp. v Weise*, 72 AD2d 254, 51 NY2d 278; *Matter of Harbison v City of Buffalo*, 4 NY2d 553; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 55 AD3d 1228, 13 NY3d 88; *Telimar Homes v Miller*, 14 AD2d 586; *Marra v State of New York*, 61 AD2d 38; *Town of Lima v Harper*, 55 AD2d 405; *Breed v Town of Clay*, 21 Misc 2d 856, 11 AD2d 625.)

IV. The Appellate Division did not misapply *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]) by concluding plaintiffs' nonconforming use did not extend over plaintiffs' entire 50-acre parcel. (*Marra v State of New York*, 61 AD2d 38; *Matter of Fairmeadows Mobile Vil. v Shaw*, 16 AD2d 137; *Matter of Cave v Zoning Bd. of Appeals of Vil. of Fredonia*, 49 AD2d 228; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88.) V. The Town of Carroll complied with the State Environmental Quality Review Act prior to adopting Local Law No. 1 of 2005. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Dunk v City of Watertown*, 11 AD3d 1024.)

OPINION OF THE COURT

GRAFFEO, J.

Applying our decisions in *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]), *Buffalo Crushed Stone, Inc. v Town of Cheektowaga* (13 NY3d 88 [2009], *rearg denied* 13 NY3d 808 [2009]) and *Glacial Aggregates LLC v Town of Yorkshire* (14 NY3d 127 [2010]), we hold that the zoning ordinance at issue in this case, which restricted the development of landfills, does not apply to plaintiffs because they acquired a vested right to use their 50-acre parcel as a landfill for construction and demolition debris before the enactment of the zoning law.

In 1984, plaintiffs Donald and Carol Jones purchased 50 acres of land in an agricultural/residential zoning district in the Town of Carroll, Chautauqua County. In 1989, the Town granted plaintiffs a special use variance that permitted the operation of a construction and demolition (C & D) landfill on the entire parcel, provided that the New York State Department of Environmental Conservation (DEC) regulated the landfill. Consistent with the Town's requirements, plaintiffs obtained a DEC permit later that year allowing landfill operations to commence

on roughly two acres and the permit was subsequently expanded to cover three acres.¹

The landfill continued as an active business, but in 2005, the Town adopted a new zoning law that prohibited the “expansion of any landfill beyond the area and scope allowed under the operators [*sic*] permit from the DEC as of the date of this Local Law.” Relying on this new restriction, the Town sought to prevent plaintiffs from using the remaining 47 acres of their property for landfill purposes.

Plaintiffs then commenced this action seeking, among other relief, a declaration that the local law could not be validly applied to their property because the use variance and their activities on the land established a right to operate a landfill on all 50 acres. Following initial court proceedings (*see* 32 AD3d 1216 [4th Dept 2006]), Supreme Court granted summary judgment to plaintiffs, concluding that the Town’s decision to enact the ordinance restricting the preexisting nonconforming use that had been permitted under the special use variance violated the principle set forth in *Syracuse Aggregate* (51 NY2d 278 [1980]). The Appellate Division modified by denying summary judgment to plaintiffs and vacating the declaration in their favor (57 AD3d 1376 [4th Dept 2008]). The court held that the local law was applicable since the DEC permit covered only three acres and plaintiffs merely contemplated the future expansion of their operation.² We granted leave to appeal (13 NY3d 706 [2009]).

As a general rule, a nonconforming use of real property that exists at the time a restrictive zoning ordinance is enacted is “ ‘constitutionally protected and will be permitted to continue, notwithstanding the contrary provisions of the ordinance’ ” (*Glacial Aggregates*, 14 NY3d at 135, quoting *People v Miller*, 304 NY 105, 107 [1952]; *see e.g. Syracuse Aggregate*, 51 NY2d at 284). A party seeking to overcome a restrictive zoning ordinance “must demonstrate that the property was indeed used for the nonconforming purpose, as distinguished from a mere contemplated use, at the time the zoning ordinance became effective” (*Syracuse Aggregate*, 51 NY2d at 284-285). Where only part of a parcel has been used

1. C & D landfills that exceed three acres are currently subject to more stringent DEC standards (*compare* 6 NYCRR 360-7.3, *with* 6 NYCRR 360-7.4).

2. Supreme Court subsequently dismissed plaintiffs’ cause of action alleging a regulatory taking.

for a nonconforming use, a landowner may seek protection for the remaining portion by demonstrating that the use is unique and adaptable to the entire parcel (*see id.* at 285) and showing that the landowner took “specific actions constituting an overt manifestation of its intent to utilize the property for the ascribed purpose” (*Buffalo Crushed Stone*, 13 NY3d at 98).

Syracuse Aggregate, *Buffalo Crushed Stone* and *Glacial Aggregates* all involved mining operations. We observed that mining, unlike other types of nonconforming uses, is unique in that it “contemplates the excavation and sale of the corpus of the land itself as a resource” (*Syracuse Aggregate*, 51 NY2d at 285). Thus, “as a matter of practicality as well as economic necessity, a quarry operator will not excavate his entire parcel of land at once, but will leave areas in reserve, virtually untouched until they are actually needed” (*id.*).

In connection with the need to hold land in reserve for future purposes directly related to the permitted use, we indicated in *Buffalo Crushed Stone* that a quarry owner “would not necessarily seek a permit for lands that it did not intend to excavate immediately, or at least not until sometime in the future” (13 NY3d at 101). Hence, we determined that it would be unreasonable to limit the boundaries of the vested right to just the area approved for mining under a DEC permit where the quarry owner demonstrated an intention to eventually use a larger area for such mining activities. We further explained that a contrary rule would “fail[] to consider the realities of the [mining] industry” and require “a very narrow reading of *Syracuse Aggregate*” (*id.*). In *Glacial Aggregates*, we reiterated that, although a mining permit is “‘strong evidence of a manifestation of intent’ ” to continue that nonconforming use, it is “not ‘a prerequisite to establishing prior nonconforming use rights’ ” (*Glacial Aggregates*, 14 NY3d at 137-138, quoting *Buffalo Crushed Stone*, 13 NY3d at 101-102). Consequently, the primary issue in these mining cases was not whether the landowners acquired vested rights under their permits, but whether the towns had approved or allowed the nonconforming uses (*see Glacial Aggregates*, 14 NY3d at 136).

Here, we conclude that the C & D landfill in this case is sufficiently similar in nature to the quarries in *Syracuse*

Aggregate, Buffalo Crushed Stone and Glacial Aggregates.³ “As opposed to other nonconforming uses in which the land is merely incidental to the activities conducted upon it” (*Syracuse Aggregate*, 51 NY2d at 285), the use of property as a landfill, like a mine, is unique because it necessarily envisions that the land itself is a resource that will be consumed over time. Additionally, the owner of landfill property can reasonably be expected to hold a portion of the land in reserve for future expansion of that activity, just as a quarry operator may find necessary. The fact that the DEC permit covered only a limited area is not determinative of plaintiffs’ rights over the remaining 47 acres of the parcel (*see Buffalo Crushed Stone*, 13 NY3d at 101-102). Instead, the factors to examine are whether the operation of a C & D landfill was a lawful use on the property prior to the enactment of the 2005 zoning law and whether plaintiffs’ activities before that time manifested an intent to utilize all of their property in a manner consistent with that purpose.

It is undisputed that the operation of a C & D landfill was a legal use on plaintiffs’ 50-acre parcel before the 2005 zoning restriction became effective. In 1989, the Town had acknowledged that there was no other reasonable use for the property and granted plaintiffs a variance that covered all 50 acres. This not only established that the landfill was a lawful use, it also gave plaintiffs a measure of security that they would be able to use additional acreage for the landfill operation as the need arose so long as DEC continued to issue the appropriate permits for expanded operations. The evidence also shows that plaintiffs manifested an intent before 2005 to devote the 50-acre parcel to use as a landfill since they dedicated substantial areas around the actual landfill site for related purposes, purchased necessary heavy equipment (such as a bulldozer, a backhoe, an excavator, a loader and a dump truck), employed a dozen people, developed plans for multi-stage enlargement of the landfill and engaged in discussions with investors regarding future operations. On these facts, plaintiffs adequately demonstrated that they acquired a vested right to operate a C & D landfill on their entire parcel,

3. We note that the Appellate Division did not have the opportunity to consider either *Buffalo Crushed Stone* or *Glacial Aggregates* because both decisions were issued after its determination in this case.

subject to regulation by DEC, and that the 2005 local law could not extinguish their legal use of the land for that purpose.⁴

Accordingly, the judgment of Supreme Court appealed from and the order of the Appellate Division brought up for review should be reversed, with costs, and judgment granted to plaintiffs declaring in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH and JONES concur; Judge PIGOTT taking no part.

Judgment appealed from and order of the Appellate Division brought up for review reversed, etc.

4. In light of this determination, it is unnecessary for us to consider plaintiffs' remaining contentions.

[931 NE2d 87, 905 NYS2d 118]

DDJ MANAGEMENT, LLC, et al., Appellants, v RHONE GROUP
L.L.C. et al., Respondents, et al., Defendants.

Argued June 2, 2010; decided June 24, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 5, 2009. The Appellate Division order, insofar as appealed from, (1) reversed so much of an order of the Supreme Court, New York County (Helen E. Freedman, J.; op 19 Misc 3d 1124[A], 2008 NY Slip Op 50839[U]), as had denied a motion by defendants Scott Duncan, John Jendrzejewski, Quilvest S.A., Quilvest American Equity Ltd., Three Cities Holdings Limited, Rhone Group L.L.C., Rhone Capital I L.L.C., Rhone Offshore Partners L.P., Rhone Partners L.P., CCT Loan Acquisition L.L.C., Car Component Technologies Delaware Holdings, LLC, Rhone Capital L.L.C., M. Steven Langman, Robert W. Chambers, Alexander Dulac, Three Cities Research, Inc., Three Cities Fund II, L.P., Three Cities Offshore II, C.V., Willem F.P. de Vogel, and J. William Uhrig to dismiss plaintiffs' fraud cause of action as against them; (2) granted the motions; and (3) dismissed the fraud cause of action.

DDJ Mgt., LLC v Rhone Group L.L.C., 60 AD3d 421, reversed.

HEADNOTES

Fraud — Reliance — Written Representations and Warranties Regarding Accuracy of Financial Statements

1. In a fraud action brought by plaintiff lenders after defendant remanufacturer and its affiliated companies failed to repay the loan plaintiffs made to them, plaintiffs alleged facts from which a jury could find that plaintiffs were justified in relying on the misrepresentations defendants made to them. Plaintiffs alleged that the remanufacturer's financial statements presented by defendants were designed to inflate the accuracy of the remanufacturer's earnings before interest, taxes, depreciation and amortization. Although the statements contained some features that might have aroused concern in a skeptical reader who examined them carefully, the remanufacturer, at plaintiffs' insistence, represented and warranted in the loan agreement that the financial statements were accurate. Where a plaintiff has taken reasonable steps to protect itself against deception, it should not be denied recovery merely because hindsight suggests that it might have been possible to detect the fraud when it occurred. In particular, where a plaintiff has gone to the trouble to insist on a written representation that certain facts are true, it will often be justified in accepting that representation rather than making its own inquiry. Here, plaintiffs made a significant effort to protect themselves against

the possibility of false financial statements: they obtained representations and warranties to the effect that nothing in the financials was materially misleading. Whether plaintiffs were required to do more—either to conduct their own audit or to subject the preparers of the financial statements to detailed questioning—was a question to be resolved by the trier of fact.

Fraud — Fraud in Inducement — Liability of Companies Affiliated with Company Providing False Financial Statements

2. In a fraud action brought by plaintiff lenders after defendant remanufacturer failed to repay a loan, plaintiffs stated a fraud cause of action against the defendants who owned and controlled the remanufacturer based upon written representations and warranties by the remanufacturer in the loan agreement regarding certain financial statements. Although plaintiffs could not recover against those defendants as a contractual matter if plaintiffs proved only that the warranties were false, recovery would be possible under a claim for fraud if plaintiffs proved that those defendants knew that the financial statements gave an untrue picture of the remanufacturer's financial condition. It could be inferred from the allegations of the complaint that plaintiffs believed those defendants would not knowingly cause a company they controlled to make false representations in a loan agreement as to the accuracy of financial statements. It cannot be said as a matter of law that this was an unjustifiable belief.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 2, 23, 26, 239, 245, 248, 263, 279, 468.

NY JUR 2d, Fraud and Deceit §§ 87, 147, 156, 232–235.

PROSSER AND KEETON, TORTS (5th ed) §§ 105–108.

WILLISTON ON CONTRACTS (4th ed) §§ 69:3, 69:33.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit.

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POINTS OF COUNSEL

Law Offices of Arnold M. Weiner (Arnold M. Weiner of the Maryland bar, admitted pro hac vice, and Barry L. Gogel of counsel), *Epstein Becker & Green, P.C.*, New York City (Barry A. Cozier and Ralph A. Berman of counsel), and *Whiteford, Taylor & Preston, L.L.P.*, Baltimore, Maryland (*William F. Ryan, Jr.*, *Edward M. Buxbaum* and *Dwight W. Stone, II*, of counsel), for appellants. I. The Appellate Division erred in performing its

review of the sufficiency of the complaint on motions to dismiss under CPLR 3211 (a). (*Knight Sec. v Fiduciary Trust Co.*, 5 AD3d 172; *Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409; *Nonnon v City of New York*, 9 NY3d 825.) II. There is no support in existing New York case law for the Appellate Division's harsh bright-line rule. (*Metropolitan Coal Co. v Howard*, 155 F2d 780; *CBS Inc. v Ziff-Davis Publ. Co.*, 75 NY2d 496; *National Conversion Corp. v Cedar Bldg. Corp.*, 23 NY2d 621; *Jo Ann Homes at Bellmore v Dworetz*, 25 NY2d 112; *Merrill Lynch & Co. Inc. v Allegheny Energy, Inc.*, 500 F3d 171; *Faller Group, Inc. v Jaffe*, 564 F Supp 1177; *Emergent Capital Inv. Mgt., LLC v Stonepath Group, Inc.*, 343 F3d 189; *Lazard Freres & Co. v Protective Life Ins. Co.*, 108 F3d 1531; *Turkish v Kasenetz*, 27 F3d 23; *Spyder Enters., Inc. v Ward*, 872 F Supp 8.) III. The decision of the First Department threatens to have a chilling effect upon commercial lending and is therefore inconsistent with sound public policy. (*Abu Dhabi Commercial Bank v Morgan Stanley & Co.*, 651 F Supp 2d 155.)

Wachtell, Lipton, Rosen & Katz, New York City (*Herbert M. Wachtell*, *Ben M. Germana*, *Emil A. Kleinhaus* and *Adam P. Schleifer* of counsel), and *Sullivan & Cromwell LLP* (*Brian T. Frawley* and *Naomi D. Johnson* of counsel) for Rhone Group L.L.C. and others, respondents. I. The complaint fails to allege facts showing reasonable reliance. (*Global Mins. & Metals Corp. v Holme*, 35 AD3d 93, 8 NY3d 804; *Abrahami v UPC Constr. Co.*, 224 AD2d 231; *Schumaker v Mather*, 133 NY 590; *Danann Realty Corp. v Harris*, 5 NY2d 317; *Sylvester v Bernstein*, 283 App Div 333, 307 NY 778; *Lanzi v Brooks*, 54 AD2d 1057, 43 NY2d 778; *Dragon Inv. Co. II LLC v Shanahan*, 49 AD3d 403; *Valassis Communications v Weimer*, 304 AD2d 448; *UST Private Equity Invs. Fund v Salomon Smith Barney*, 288 AD2d 87; *Orlando v Kukielka*, 40 AD3d 829.) II. Appellants' and amici's "public policy" arguments are meritless. (*CBS Inc. v Ziff-Davis Publ. Co.*, 75 NY2d 496.)

Nixon Peabody LLP, New York City (*Christopher M. Mason* and *Leah R. Threutte* of counsel), for Quilvest S.A. and others, respondents. I. Plaintiffs did not plead or offer facts showing reasonable reliance as to Quilvest S.A., Quilvest Services Ltd., and Quilvest American Equity Ltd. (*Global Mins. & Metals Corp. v Holme*, 35 AD3d 93, 8 NY3d 804; *Wendel v Wendel*, 30 App Div 447; *Daly v Kochanowicz*, 67 AD3d 78; *Dragon Inv. Co. II LLC v Shanahan*, 49 AD3d 403; *Lusins v Cohen*, 49 AD3d 1015; *Orlando v Kukielka*, 40 AD3d 829; *Permasteelisa, S.p.A. v*

Lincolnshire Mgt., Inc., 16 AD3d 352; *Barrett v Huff*, 6 AD3d 1164; *Valassis Communications v Weimer*, 304 AD2d 448; *UST Private Equity Invs. Fund v Salomon Smith Barney*, 288 AD2d 87.) II. Public policy does not favor allowing a lender to conclude a large financial transaction without conducting appropriate due diligence.

Dorsey & Whitney LLP (Juan C. Basombrio, of the California bar, admitted pro hac vice) and *Dorsey & Whitney LLP*, New York City (Marc S. Reiner of counsel), for Scott Duncan, respondent. The claim against Scott Duncan fails for the reasons set forth in the briefs submitted by the other defendants-respondents. (*Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186; *Schiavone v City of New York*, 92 NY2d 308; *Ziecker v Town of Orchard Park*, 75 NY2d 761; *McCain v Koch*, 70 NY2d 109.)

Holland & Knight LLP, New York City (Christelette A. Hoey of counsel), and *Holland & Knight LLP*, Chicago, Illinois (Robert H. Lang of counsel), for John Jendrzewski, respondent. The unanimous decision of the Appellate Division should be affirmed. (*Dragon Inv. Co. II LLC v Shanahan*, 49 AD3d 403; *Zanett Lombardier, Ltd. v Maslow*, 29 AD3d 495; *Permasteelisa, S.p.A. v Lincolnshire Mgt., Inc.*, 16 AD3d 352.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (James H. Millar and Janet R. Carter of counsel), *Wilmer Cutler Pickering Hale and Dorr LLP*, Boston, Massachusetts (Tristan C. Snell of counsel), *Elliot Ganz*, New York City, *Otterbourg, Steindler, Houston & Rosen, PC.*, New York City (Jonathan N. Helfat and Richard G. Haddad of counsel), *Goldberg Kohn Bell Black Rosenbloom & Moritz, Ltd.*, Chicago, Illinois (Richard M. Kohn of counsel), and *Joseph R. Alexander*, New York City, for Loan Syndications and Trading Association and others, amici curiae. I. The First Department's proposed rule is contrary to long-standing public policy governing commercial transactions. (*Credit Francais Intl. v Sociedad Fin. de Comercio*, 128 Misc 2d 564; *Metropolitan Coal Co. v Howard*, 155 F2d 780; *CBS Inc. v Ziff-Davis Publ. Co.*, 75 NY2d 496; *Pramco III, LLC v Partners Trust Bank*, 16 Misc 3d 351; *Merrill Lynch & Co. Inc. v Allegheny Energy, Inc.*, 500 F3d 171.) II. The First Department's harsh bright-line rule is not supported by its prior cases and conflicts with persuasive Second Circuit case law. (*UST Private Equity Invs. Fund v Salomon Smith Barney*, 288 AD2d 87; *Global Mins. & Metals Corp. v Holme*, 35 AD3d 93, 8 NY3d 804; *Abrahami v*

UPC Constr. Co., 224 AD2d 231; *Permasteelisa, S.p.A. v Lincolnshire Mgt., Inc.*, 16 AD3d 352; *Merrill Lynch & Co. Inc. v Allegheny Energy, Inc.*, 500 F3d 171; *Metropolitan Coal Co. v Howard*, 155 F2d 780; *Mallis v Bankers Trust Co.*, 615 F2d 68.)

OPINION OF THE COURT

SMITH, J.

We hold that plaintiffs in this action for fraud have alleged facts from which a jury could find that they were justified in relying on the representations defendants made to them.

I

Plaintiffs are four companies that loaned a total of \$40 million in March of 2005 to American Remanufacturers Holdings, Inc. and affiliated companies (ARI). ARI was a remanufacturer of automobile parts; it purchased used parts, broke them down into their components, and used the components to make new parts. ARI's stock was owned 45% by entities affiliated with Rhone Group L.L.C., and 55% by entities affiliated with Quilvest S.A.

After ARI failed to repay the loan, plaintiffs brought a number of claims against Rhone, Quilvest, companies and individuals associated with them, members of ARI management, and ARI's outside accountants. Only the first claim is in issue here. It asserts in essence that Rhone and Quilvest, their corporate affiliates and individuals acting on their behalf (hereafter defendants) defrauded plaintiffs into making the loans.

Plaintiffs allege, among other things, that defendants presented them with ARI financial statements that were false and misleading. More specifically, they allege that the financial statements were designed to inflate the number with which plaintiffs were most concerned—ARI's earnings before interest, taxes, depreciation and amortization (EBITDA). The allegations on this subject are lengthy, and include some striking details. An e-mail sent to one of the defendants by an ARI executive about two months before the loan closing says: "I understand the financial reason to manipulate earnings." Another e-mail, sent some three weeks later by the same officer to the same recipient says: "I realize we needed to make EBITDA for banks but we should understand . . . what our true EBITDA is."

We need not describe defendants' alleged misconduct fully; we may assume, for purposes of this appeal, that the complaint

adequately alleges that defendants made material misrepresentations. The question for us is whether, if the complaint's allegations are true, a jury could find that plaintiffs justifiably relied on those misrepresentations. Defendants argue that plaintiffs failed to make a reasonable inquiry into the truth of what defendants said, and we will describe in more detail the alleged facts that are relevant to that argument.

The complaint alleges that plaintiffs were first solicited to loan money to ARI in July 2004, and that over the next several months they received a number of written presentations by ARI's investment banker, containing financial and other information that later proved to be false or misleading. At the time of the solicitation—and indeed until the day the loan closed—ARI's outside auditors had not completed their audit for the year ending December 31, 2003, and it was part of the original proposal that the loans would be “conditioned upon, and made after, the borrower had provided the lenders” with audited financial statements for 2003. It was later agreed that unaudited financial statements for 2004 would also be provided.

During the months before those financial statements were completed, plaintiffs had several conversations with ARI representatives in which they were given reassuring information, and made two calls to participants in the industry to get information about ARI's management, which was also reassuring. In December 2004 and January 2005, plaintiffs were sent drafts of the audit report for 2003, and on March 2, 2005 they were sent the unaudited financial statements for 2004. The final version of the 2003 audit report was provided on March 22, 2005, and the loan closed on the same day.

ARI's unaudited 2004 statements, plaintiffs allege, grossly inflated EBITDA, in significant part through a manipulation of ARI's inventory reserves. Plaintiffs say that they could not have detected this, but, as defendants point out, the 2004 statements contained some features that might have aroused concern in a skeptical reader who examined them carefully. They showed a significant increase in the value of ARI's inventory over the previous year; a modest amount of cash on hand, equal to the amount of ARI's bank overdraft; and a remarkable increase in the company's apparent profitability in the last month of the year. Though December 2004 revenues were below the year's monthly average, gross profit was higher than average, and gross margin was shown as 17.9% for the month, compared to 13.5% for the year as a whole.

The complaint does not allege that plaintiffs asked questions about these or other aspects of the financial statements, or that they asked to look at ARI's underlying records. Plaintiffs did, however, insist that ARI represent and warrant, in substance, that the financial statements were accurate. Specifically, ARI represented and warranted in the loan agreement (as summarized in the complaint) that the 2004 financial statements "present fairly in all material respects the financial position of ARI as at December 31, 2004 and the results of ARI's operations and cash flows for the period then ended"; that the statements were prepared in accordance with generally accepted accounting principles; that "between December 31, 2003 and March 22, 2005 [the closing date], no event has occurred, which alone or together with other events, could reasonably be expected to have a Material Adverse Effect" on ARI's business, assets, operations or prospects or its ability to repay the loans; and that "no information contained in the loan agreement, the other loan documents or the financial statements being furnished to the Plaintiffs contains any untrue statement of a material fact or omits to state a material fact necessary to make the statements contained therein not misleading in light of the circumstances under which they were made." All of these representations and warranties, plaintiffs say, later proved to be false.

The loan agreement, as defendants emphasize, also provided for a high interest rate: ARI agreed to pay plaintiffs the lower of 10% above the LIBOR rate or 9% above an index rate derived from the "base rate" charged by United States banks to corporate borrowers.

As we mentioned above, plaintiffs' claim for fraud against defendants was one of several in the complaint. On motions pursuant to CPLR 3211, Supreme Court dismissed all the others, but allowed this claim to stand (19 Misc 3d 1124[A], 2008 NY Slip Op 50839[U]). The Appellate Division modified Supreme Court's decision and dismissed the claim, emphasizing that "plaintiffs never looked at ARI's books and records" and concluding that, having failed to do so, they "cannot now properly allege reasonable reliance on the purported misrepresentations" (*DDJ Mgt., LLC v Rhone Group L.L.C.*, 60 AD3d 421, 424 [1st Dept 2009]). We granted leave to appeal (13 NY3d 710 [2009]), and now reverse.

II

The rule defendants rely on was stated more than a century ago in *Schumaker v Mather* (133 NY 590, 596 [1892]):

“[I]f the facts represented are not matters peculiarly within the party’s knowledge, and the other party has the means available to him of knowing, by the exercise of ordinary intelligence, the truth or the real quality of the subject of the representation, he must make use of those means, or he will not be heard to complain that he was induced to enter into the transaction by misrepresentations.” (*See also Danann Realty Corp. v Harris*, 5 NY2d 317, 322 [1959].)

This rule has been frequently applied in recent years where the plaintiff is a sophisticated business person or entity that claims to have been taken in. In some cases, the rule serves to rid the courts of cases in which the claim of reliance is likely to be hypocritical. Thus in *Global Mins. & Metals Corp. v Holme* (35 AD3d 93 [1st Dept 2006]), the plaintiff had fired an officer whom it found to be untrustworthy, and given him a general release. Later, it claimed to have trusted, without verifying, the officer’s assurances as to the innocent nature of a particular transaction. The Appellate Division held such trust to be unjustified. In other cases, the rule rejects the claims of plaintiffs who have been so lax in protecting themselves that they cannot fairly ask for the law’s protection. In *Lampert v Mahoney, Cohen & Co.* (218 AD2d 580, 582 [1st Dept 1995]), the Appellate Division dismissed the claim of a plaintiff who said “that he loaned some \$3 million to a corporate entity and its principal without ever investigating the financial condition of the business beyond obtaining some vague verbal assurances from its accountant.” In cases like *Global Minerals* and *Lampert*, the plaintiff “may truly be said to have willingly assumed the business risk that the facts may not be as represented” (*Rodas v Manitaras*, 159 AD2d 341, 343 [1st Dept 1990]).

Where, however, a plaintiff has taken reasonable steps to protect itself against deception, it should not be denied recovery merely because hindsight suggests that it might have been possible to detect the fraud when it occurred. In particular, where a plaintiff has gone to the trouble to insist on a written representation that certain facts are true, it will often be justified in accepting that representation rather than making its own inquiry. Indeed, there are many cases in which the plaintiff’s *failure* to obtain a specific, written representation is given as a reason for finding reliance to be unjustified (*see e.g. Curran, Cooney, Penney v Young & Koomans*, 183 AD2d 742, 743-744

[2d Dept 1992]; *Rodas v Manitaras*, 159 AD2d at 343; *Emergent Capital Inv. Mgt., LLC v Stonepath Group, Inc.*, 343 F3d 189, 196 [2d Cir 2003] [applying New York law]). It is harder to find cases holding that a plaintiff who did obtain such a representation could not justifiably rely on it; one such case is *Ponzini v Gatz* (155 AD2d 590 [2d Dept 1989]), in which the plaintiff's attorney actually knew that the warranty in question was false. In *National Conversion Corp. v Cedar Bldg. Corp.* (23 NY2d 621 [1969])—a case admittedly much different in its facts from this one—we held that it was reasonable for the plaintiff to rely on a written representation as a substitute for making an investigation of the facts represented.

“The question of what constitutes reasonable reliance is always nettlesome because it is so fact-intensive” (*Schlaifer Nance & Co. v Estate of Warhol*, 119 F3d 91, 98 [2d Cir 1997]). No two cases are alike in all relevant ways. However, several federal cases applying New York law bear a noticeable resemblance to this one—and all of them hold that the plaintiffs' claims of justifiable reliance were legally sufficient (*Merrill Lynch & Co. Inc. v Allegheny Energy, Inc.*, 500 F3d 171, 181-182 [2d Cir 2007]; *Barron Partners, LP v Lab123, Inc.*, 2008 WL 2902187, 2008 US Dist LEXIS 56899 [SD NY 2008]; *JP Morgan Chase Bank v Winnick*, 350 F Supp 2d 393 [SD NY 2004]; *Faller Group, Inc. v Jaffe*, 564 F Supp 1177 [SD NY 1983]).

JP Morgan is perhaps the case most similar to ours. Plaintiffs there were banks that had extended credit to Global Crossing, Ltd. (GC). After it became insolvent, the banks sued GC's officers, directors and employees for fraud. The District Court denied defendants' motion for summary judgment on the fraud claims, rejecting the argument “that the plaintiffs cannot demonstrate reliance on the alleged misrepresentations” (350 F Supp 2d at 404). The court emphasized that plaintiffs had bargained for a provision in their credit agreement with GC to the effect that “each loan request was ‘deemed’ a ‘representation and warranty’ by GC that no ‘event of default’ had occurred” (*id.* at 396). Examining the facts of several state and federal cases applying New York law, the court concluded that they “do not support the interpretation that a duty to inquire is necessarily triggered as soon as a plaintiff has the slightest ‘hints’ of any ‘possibility’ of falsehood” (*id.* at 408). The court said:

“It is undisputed that the Banks expressly bargained

not only for the right to examine GC's books and records, but also for the provision of the Agreement deeming each borrowing request to be a representation that GC remained in compliance with its debt covenants at the time the request was made. Under these circumstances, it cannot be argued that the Banks failed to bargain for adequate safeguards to establish, at least initially, the basis for their reliance on the defendants' representations" (*id.* at 409).

Noting the defendants' argument "that GC's . . . financial statements . . . were so transparently false—or at least, that the assumptions on which they were based were so apparently questionable—that no reasonable banker would have lent GC a penny without conducting further inquiry into their accuracy" (*id.*), the court found that the question it presented was for the jury. The court was unable to say as a matter of law that "a reasonable lender of equivalent experience should have inquired further" into GC's financial statements (*id.* at 411).

[1] We reach a similar conclusion here. It is fair to say that there were hints from which plaintiffs might have been put on their guard in this transaction. Some aspects of the 2004 financial statements—particularly the sudden improvement in profitability in the last month of the year—might have seemed too good to be true; the fact that it took an auditor until March of 2005 to complete an examination of the 2003 financial statements was hardly encouraging; and the high interest rate itself demonstrates that plaintiffs knew the transaction carried considerable risk. But plaintiffs made a significant effort to protect themselves against the possibility of false financial statements: they obtained representations and warranties to the effect that nothing in the financials was materially misleading. We decline to hold as a matter of law that plaintiffs were required to do more—either to conduct their own audit or to subject the preparers of the financial statements to detailed questioning. If plaintiffs can prove the allegations in the complaint, whether they were justified in relying on the warranties they received is a question to be resolved by the trier of fact.

[2] Defendants emphasize that the warranties were given only by ARI, and suggest that they cannot support a claim against Rhone, Quilvest and others. But this argument blurs the distinction between claims for breach of warranty and claims

for fraud. It is true that, as a contractual matter, the only rights plaintiffs acquired under the warranties were against ARI. If plaintiffs prove only that the warranties were false, they cannot recover against Rhone and Quilvest. But if they can prove that Rhone and Quilvest knew the facts represented and warranted were false—in other words, that Rhone and Quilvest knew the financial statements gave an untrue picture of ARI's financial condition—the case is different. It can be inferred from the allegations of the complaint that plaintiffs believed Rhone and Quilvest would not knowingly cause a company they controlled to make false representations in a loan agreement as to the accuracy of financial statements. We cannot say as a matter of law that this was an unjustifiable belief.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed with costs, and the case remitted to the Appellate Division for consideration of questions raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order, insofar as appealed from, reversed, with costs, and case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court.

[931 NE2d 1039, 905 NYS2d 783]

RONALD FIELDS, Appellant, v LUCILLE FIELDS, Respondent.

Argued May 4, 2010; decided June 10, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 25, 2009. The Appellate Division, with two Justices dissenting, affirmed (1) a judgment of the Supreme Court, New York County (Jacqueline W. Silbermann, J.), which had dissolved the parties' marriage and granted defendant a distributive award and an award of legal fees, and (2) a judgment of that court (Laura Visitacion-Lewis, J.), which had (a) granted defendant's motion to hold plaintiff in contempt for failing to pay the distributive award to the extent of awarding defendant the right to enter a money judgment against plaintiff in the amount of the distributive award with 9% interest from the date of the judgment of divorce, and (b) denied plaintiff's cross motion to amend the complaint.

Fields v Fields, 65 AD3d 297, affirmed.

HEADNOTES

Husband and Wife — Equitable Distribution — Marital Property — Husband's Interest in Marital Residence Jointly Owned with Mother

1. The value of plaintiff husband's one-half interest in the parties' marital residence, a townhouse purchased during the marriage by plaintiff and his mother in which the parties lived for nearly 30 years and raised their son, constituted marital property subject to equitable distribution in the parties' divorce action. The statutory presumption that a residence acquired during the marriage is marital property applied here, and plaintiff failed to meet his burden of rebutting that presumption. Although plaintiff used separate property to make the down payment on the townhouse, the townhouse was not "acquired in exchange for" the down payment (Domestic Relations Law § 236 [B] [1] [d] [3]) so as to constitute separate property. Instead, plaintiff's separate property contribution covered only a fraction of the purchase price. The rest of the purchase price was paid through two mortgages, and plaintiff failed to substantiate his claim that he made mortgage payments using monies derived exclusively from separate property, much less that all of the expenses associated with the property were covered by segregated funds. Moreover, that the parties maintained separate apartments in the building did not change the character of the property from marital to separate, especially since they both made economic and noneconomic contributions to their marriage and the upbringing of their son. Likewise, the fact that plaintiff took title to his one-half interest in the townhouse in his name alone was irrelevant under the express language of the statute defining "marital property" (*see* Domestic

Relations Law § 236 [B] [1] [c]), the fact that he acquired title with his mother did not interfere with the marital character of his interest in the property, and the use of portions of the townhouse as an income-generating business did not transform the building into separate property. Nor did defendant's lack of an initial monetary investment and involvement in the management activities pertaining to the townhouse preclude a holding that plaintiff's interest in the building was marital property. Rather, those were factors properly considered by the trial court in determining the extent of defendant's distributive award (see Domestic Relations Law § 236 [B] [5] [d]).

Husband and Wife — Equitable Distribution — Commingling of Marital and Separate Property in Bank Account

2. Plaintiff husband's one-half interest in a partnership bank account used to deposit rent proceeds and make mortgage payments towards a townhouse purchased and managed by plaintiff and his mother was marital property subject to equitable distribution in the parties' divorce action. Plaintiff commingled marital assets in the partnership bank account and could not sufficiently delineate any of the funds in the account as separate property.

Husband and Wife — Equitable Distribution — Appropriateness of Award Percentages

3. In determining the equitable distribution of the parties' property, Supreme Court did not abuse its discretion in awarding defendant wife 35% of the value of all marital assets, including plaintiff husband's one-half interest in a townhouse that he purchased with his mother during the marriage. Supreme Court issued a comprehensive decision addressing all relevant factors, including that the parties were married for 35 years; that both maintained employment and made economic and noneconomic contributions to the marriage, their son and the townhouse; that they had equal parenting responsibilities; that defendant did not invest in the purchase of the townhouse; and that the couple maintained separate units in the building for approximately 28 years. In light of those considerations, particularly the length of the marriage, the age of the parties and defendant's contributions to the marriage, it could not be said that Supreme Court abused its discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Divorce and Separation §§ 477, 478, 482, 484, 496, 515, 516.
- CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:185, 118:190, 118:193, 118:195, 118:222, 118:239.
- 3 LAW AND THE FAMILY NEW YORK (2d ed) §§ 2:1–2:4, 2:9, 2:10, 7:9, 7:10.
- McKINNEY'S, Domestic Relations Law § 236 (B) (1) (c), (d) (3); (5) (d).
- NY JUR 2d, Domestic Relations §§ 2609, 2612, 2614, 2621, 2622, 2632–2634, 2651.

ANNOTATION REFERENCE

See ALR Index under Equitable Distribution.

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presumption & separate /s contribution

POINTS OF COUNSEL

Arnold Davis, New York City, for appellant. I. Husband's interest in the apartment building, having been purchased in his own name with funds received by him as a gift, was his separate property. The building increased in value from capital contributions from his mother, from its tenants' rents and from passive market conditions. Plaintiff's interest was never converted into marital property. (*Allen v Allen*, 263 AD2d 691; *Embury v Embury*, 49 AD3d 802; *Chiotti v Chiotti*, 12 AD3d 995; *Sarafian v Sarafian*, 140 AD2d 801; *Spector v Spector*, 136 AD2d 939; *Cappiello v Cappiello*, 66 NY2d 107; *Falgoust v Falgoust*, 15 AD3d 612; *Pullman v Pullman*, 176 AD2d 113; *Heine v Heine*, 176 AD2d 77, 80 NY2d 753; *Cooper v Cooper*, 52 AD3d 429.) II. Defendant wife failed to demonstrate that she had contributed to the active or passive appreciation in the building's value. Her purported direct and indirect efforts had no effect at all upon the market value of the building. (*Hartog v Hartog*, 85 NY2d 36; *Price v Price*, 69 NY2d 8; *Pauk v Pauk*, 232 AD2d 386; *Xikis v Xikis*, 43 AD3d 1040; *Embury v Embury*, 49 AD3d 802; *Juhasz v Juhasz*, 59 AD3d 1023; *Lord v Lord*, 124 AD2d 930; *Ritz v Ritz*, 21 AD3d 267.) III. It was a gross abuse of discretion to have fashioned a distributive award to wife based upon husband's interest in the apartment building. The parties did not occupy an economic relationship. (*Galvin v Francis*, 20 AD3d 550; *Naimollah v De Ugarte*, 18 AD3d 268; *Sutka v Sutka*, 299 AD2d 540, 99 NY2d 510; *Majauskas v Majauskas*, 61 NY2d 481.) IV. The overwhelming weight of evidence indicates that the predominance of funds in the building account came from rents received, mortgage proceeds and inherited funds. The conclusion that husband's interest in the building fund account was transmuted into marital property was erroneous. The evidence below demonstrates that only some \$20,000 of the husband's marital earnings were deposited into that account. (*Bloch v Bloch*, 10 Misc 3d 1058[A], 2005 NY Slip Op 52021[U].)

Hoffman, Polland & Furman, PLLC, New York City (*Elliot R. Polland* of counsel), for respondent. I. The Appellate Division properly concluded that premises 318 West 107th Street is

marital property. (*Murphy v Murphy*, 4 AD3d 460; *McLoughlin v McLoughlin*, 63 AD3d 1017; *George v George*, 237 AD2d 894; *Saasto v Saasto*, 211 AD2d 708; *Bossard v Bossard*, 199 AD2d 971; *Judson v Judson*, 255 AD2d 656; *Embury v Embury*, 49 AD3d 802; *DiBlasi v DiBlasi*, 48 AD3d 403; *Sarafian v Sarafian*, 140 AD2d 801; *Bartha v Bartha*, 15 AD3d 111.) II. The Citibank account is marital property. (*Chernoff v Chernoff*, 31 AD3d 900; *Chiotti v Chiotti*, 12 AD3d 995; *Judson v Judson*, 255 AD2d 656; *Carney v Carney*, 202 AD2d 907.) III. The court below properly granted respondent a distributive award of appellant's interest in 318 West 107th Street and his interest in the Citibank account. (*Florio v Florio*, 25 AD3d 947; *Miller v Miller*, 128 AD2d 844; *Graves v Graves*, 307 AD2d 1022; *McKnight v McKnight*, 18 AD3d 288; *Oster v Goldberg*, 226 AD2d 515, 88 NY2d 811; *Saleh v Saleh*, 40 AD3d 617; *Volponi-Hotton v Hotton*, 2 AD3d 437; *O'Brien v O'Brien*, 66 NY2d 576; *Falgoust v Falgoust*, 15 AD3d 612; *Zelnik v Zelnik*, 169 AD2d 317.) IV. The court below correctly valued 318 West 107th Street as of the date of trial. (*Bartek v Draper*, 309 AD2d 825; *D'Angelo v D'Angelo*, 14 AD3d 476; *Ierardi v Ierardi*, 151 AD2d 548.)

OPINION OF THE COURT

GRAFFEO, J.

The principal issue raised in this matrimonial case is whether husband's one-half interest in the parties' residence—a Manhattan townhouse that husband purchased during the marriage and where the parties have lived for nearly 30 years—is marital property. We conclude that the value of husband's one-half interest in the townhouse constitutes marital property subject to equitable distribution and we therefore affirm the Appellate Division order.

I.

As we have previously observed, although the manner in which marital property is distributed falls within the discretion of the trial court, “the initial determination of whether a particular asset is marital or separate property is a question of law, subject to plenary review on appeal” (*DeJesus v DeJesus*, 90 NY2d 643, 647 [1997]).

Domestic Relations Law § 236 defines “marital property” as “all property acquired by either or both spouses *during the marriage* and before the execution of a separation agreement or the commencement of a matrimonial action, regardless of the

form in which title is held” (Domestic Relations Law § 236 [B] [1] [c] [emphasis supplied]), and the definition of marital property includes a “wide range” of tangible and intangible interests (*DeJesus*, 90 NY2d at 647). It is telling that the Legislature chose to initially categorize all property, of whatever nature, acquired after parties marry as marital property. As we have repeatedly emphasized, the Equitable Distribution Law “recognizes that spouses have an equitable claim to things of value arising out of the marital relationship and classifies them as subject to distribution by focusing on the marital status of the parties at the time of acquisition” (*O’Brien v O’Brien*, 66 NY2d 576, 583 [1985]). This marital property designation is in keeping with the fundamental purpose of the Equitable Distribution Law—the recognition of marriage as an economic partnership (see Governor’s Approval Mem, L 1980, ch 281, reprinted in 1980 McKinney’s Session Laws of NY, at 1863), in which “both parties contribute as spouse, parent, wage earner or home-maker” (*O’Brien*, 66 NY2d at 585).

The Legislature did provide for several exceptions to this general classification. Section 236 specifies that marital property does not include “separate property” and the statute sets forth four categories of property that constitute separate property:

“(1) property acquired before marriage or property acquired by bequest, devise, or descent, or gift from a party other than the spouse;

“(2) compensation for personal injuries;

“(3) property acquired in exchange for or the increase in value of separate property, except to the extent that such appreciation is due in part to the contributions or efforts of the other spouse;

“(4) property described as separate property by written agreement of the parties pursuant to subdivision three of this part” (Domestic Relations Law § 236 [B] [1] [d]).

When the Legislature enacted Domestic Relations Law § 236, it sought “to recognize the direct and indirect contributions of each spouse” (*Hartog v Hartog*, 85 NY2d 36, 47 [1995], citing Governor’s Approval Mem, L 1980, ch 281, and Assembly Mem, 1980 NY Legis Ann, at 129-130). Hence, we have stressed that marital property should be “construed broadly in order to give effect to the ‘economic partnership’ concept of the marriage

relationship” (*Price v Price*, 69 NY2d 8, 15 [1986] [emphasis omitted]). By contrast, separate property—denoted as an exception to marital property—should be construed “narrowly” (*id.* [emphasis omitted]; see *Majauskas v Majauskas*, 61 NY2d 481, 489 [1984]). The structure of section 236 therefore creates a statutory presumption that “all property, unless clearly separate, is deemed marital property” and the burden rests with the titled spouse to rebut that presumption (*DeJesus*, 90 NY2d at 652).

With these principles in mind, we turn to the unique facts presented in this case.

II.

Husband and wife, who are 60 and 69 years old, respectively, were married in 1970 and they have a son who was born in 1973. In 1978, the parties decided to purchase a home on the Upper West Side of Manhattan, selecting a five-story townhouse with 10 apartments and a basement. Wife agreed to the acquisition of the townhouse only if husband consented to certain preconditions because she believed that working outside the home and caring for their son, together with maintaining the townhouse, would be too burdensome. Because of wife’s reticence, husband decided to purchase the townhouse with his mother’s assistance.

Husband paid \$130,000 for the townhouse, making a \$30,000 down payment. The down payment came from funds husband received from his grandparents—half in lieu of a bequest and half on loan, which his mother agreed to repay. The balance of the purchase price was paid through two mortgages held jointly by husband and his mother. Husband took title solely in his name but later conveyed a one-half interest in the building to his mother. From 1982 to 2001, husband and his mother managed the townhouse as a formal partnership. They deposited rent proceeds into a partnership bank account and made mortgage payments from that account. But the partnership bank account was not used exclusively for the building’s income and expenses; husband acknowledges that he commingled marital funds in the account.

In September 1978, husband and wife moved into the townhouse, initially residing in apartment 2 and, in 1979, the couple converted the basement into an apartment where they lived together for five months until wife became ill and moved into apartment 3. In 1983, after apartment 3 was burglarized, wife

relocated to apartment 2. Husband remained in the basement apartment and the couple shared occasional meals until 1997. Husband paid rent to the partnership for the basement apartment until 2002; he used his income from employment to make rental payments. Wife also paid rent using her wages while she was living in apartment 3. Husband's mother and stepfather resided in the building as well and paid rent for three apartments that they combined into a single residence. The remaining apartments were leased to various tenants. Husband and wife were continuously employed outside of the home, although they each took periods of parental leave to care for their son. It is not disputed that the couple shared child care expenses and responsibilities as parents.

III.

Husband commenced this divorce action in February 2005 and Supreme Court referred the matter to a Special Referee. After a hearing on issues of equitable distribution, the Referee found that both parties contributed to the long-term marriage, their son's upbringing and the townhouse. The Referee recommended that husband's one-half interest in the townhouse be classified as marital property, less the \$30,000 down payment, which the Referee deemed as husband's separate property because those funds had been received from husband's grandparents. He also found that husband's one-half interest in the partnership bank account was marital property. The Referee awarded wife 35% of the value of all marital assets because he concluded that wife had made direct and indirect contributions to the townhouse, including services as a spouse and mother.¹ Supreme Court confirmed the Referee's report and directed entry of a judgment of divorce. Upon husband's failure to pay wife her distributive award, Supreme Court entered a money judgment in wife's favor.

1. Included in his findings, the Special Referee determined that wife decorated the basement apartment, purchasing a carpet, a Formica countertop, couches, a linen closet, bathroom cabinets, a chandelier, curtains, and rugs. She installed a door in the basement apartment, wallpapered the bathroom and paid for flooring and a mirror for the foyer outside the apartment. Wife also helped with the townhouse's day-to-day maintenance. She cleaned the basement apartment and purchased the vacuum used to clean the lobby. Wife cleaned the mailbox vestibule, swept the interior and exterior steps, periodically cleaned the sidewalk, raked and bagged leaves in the backyard and planted a garden. She also cleaned lobby windows and washed the curtains, polished the lobby mirror and, during times when husband was away, disposed of the townhouse's refuse.

The Appellate Division, with two Justices dissenting, affirmed (65 AD3d 297 [1st Dept 2009]). The court held that husband's interest in the townhouse, less the \$30,000 down payment, was properly categorized as marital property subject to equitable distribution. The majority emphasized that husband purchased the townhouse during the parties' marriage, that the couple continuously lived in the townhouse and raised their son in the home, and that wife made direct and indirect contributions to the upkeep of the townhouse. Rejecting husband's assertion that his interest in the townhouse should be viewed as separate property, the court explained that "[t]he fact that the marital residence can also be used to generate income . . . does not therefore reclassify marital property into separate property" (*id.* at 304).² The two dissenting Justices disagreed and concluded that husband rebutted the statutory presumption by showing that the townhouse, purchased with funds that were separate property, remained separate property and that wife failed to establish that any appreciation in the townhouse's value was caused by her direct or indirect contributions (*see id.* at 305 [McGuire, J., dissenting]). This appeal ensued.

IV.

[1] Husband argues that his one-half interest in the townhouse is separate property because he owns and manages the building with his mother and because wife did not contribute to its purchase or its appreciation in value. We disagree and conclude that the value of husband's one-half interest in the townhouse is marital property subject to equitable distribution.

This case involves the application of the well-settled statutory presumption that all property acquired by either spouse during the marriage, unless clearly separate, is deemed marital property (*see DeJesus*, 90 NY2d at 652). Here, husband purchased the townhouse in 1978, approximately eight years into the marriage, and therefore, on the date of acquisition, the presumption of marital property arose. Indeed, New York courts have long treated a marital residence that was purchased after the marriage as marital property subject to equitable distribution (*see e.g. Murphy v Murphy*, 4 AD3d 460, 461 [2d Dept 2004], *lv denied* 3 NY3d 612 [2004]; *Judson v Judson*, 255 AD2d 656,

2. The majority appears to have concluded that husband failed to rebut the statutory presumption that property acquired during the marriage is marital property, although the court's opinion does not explicitly state its holding in those terms.

657 [3d Dept 1998]; *see also Juhasz v Juhasz*, 59 AD3d 1023, 1024 [4th Dept 2009], *lv dismissed* 12 NY3d 848 [2009]; *Heine v Heine*, 176 AD2d 77, 84 [1st Dept 1992], *lv denied* 80 NY2d 753 [1992]). Even where one spouse contributed monies derived from separate property toward the acquisition of the marital residence, this has not precluded its classification as marital property where the other spouse made economic or other contributions to the residence and the marriage; the contributing spouse generally has received a credit for that contribution (*see e.g. Juhasz*, 59 AD3d at 1024; *Murphy*, 4 AD3d at 461; *Judson*, 255 AD2d at 657; *Heine*, 176 AD2d at 84).

For example, in *Heine*, the parties purchased a townhouse containing several apartments during their marriage. The husband used separate property to meet the down payment expense and the parties secured two mortgages to pay the balance of the purchase price; however, title was placed solely in the husband's name. The couple lived in an apartment in the townhouse and at least one of the units was always rented to a tenant. The wife was involved in several renovations to the building and she undertook primary care of the family's domestic and social needs. The Appellate Division credited the husband with the amount of the down payment, designating it as separate property (*see* 176 AD2d at 84). Nevertheless, the court held that husband was not entitled to the appreciation in value of his separate property contribution because that appreciation was not attributable to the down payment but to market forces, renovations and mortgage payments paid for with marital funds (*see id.*). Thus, the court viewed the townhouse, less the husband's initial contribution, as marital property subject to distribution between the parties (*see id.*; *see also Bartha v Bartha*, 15 AD3d 111, 115-117 [1st Dept 2005]).

Here, the property was purchased eight years into the parties' marriage with the intent that it would be used as the marital residence where the parties would live and raise their son. In fact, that is precisely what occurred—the parties resided in the home with their son and other family members for nearly 30 years. Thus, the statutory presumption that a residence acquired during the marriage is marital property clearly applies in this case.

Once the statutory presumption was triggered, the burden shifted to husband to rebut that presumption (*see DeJesus*, 90 NY2d at 652). Husband relies on the fact that he used monies derived from separate property—specifically, the \$30,000 down

payment—to acquire the townhouse.³ But the townhouse was not “acquired in exchange for” the \$30,000 down payment (Domestic Relations Law § 236 [B] [1] [d] [3]). Instead, husband’s \$30,000 separate property contribution covered only a fraction of the purchase price. While the down payment facilitated the acquisition, the use of a “separate property” down payment does not, in and of itself, establish the property’s character as separate property (*see e.g. Juhasz*, 59 AD3d at 1024; *Murphy*, 4 AD3d at 461; *Judson*, 255 AD2d at 657; *Heine*, 176 AD2d at 84).

The remaining \$100,000 of the purchase price was paid through two mortgages and, despite husband’s claim that he made mortgage payments solely from rental proceeds, he failed to substantiate that allegation. Husband testified that he commingled marital assets in the partnership bank account from which mortgage payments were made. Specifically, he acknowledged that he would sometimes deposit his paychecks—which were marital property—into the account. Funds from other sources of marital income were also placed into the account, such as husband’s earnings from his tax preparation and video businesses and wife’s paychecks. The fact that husband would later transfer funds or give cash to wife does not alter the commingled nature of the funds. Finally, both husband and wife paid rent to the partnership using income from their outside endeavors, which was a partial source of the mortgage payments. Husband therefore failed to establish that the mortgages, which were used to pay the majority of the townhouse’s purchase price, were paid using monies derived exclusively from separate property, much less that all of the expenses associated with the property were covered by segregated funds.

There is no single template that directs how courts are to distribute a marital asset that was acquired, in part or in whole, with separate property funds. In these situations, courts have usually given the spouse who made the separate property contribution a credit for such payment before determining how to equitably distribute the remaining value of the asset (*see e.g.*

3. Wife argues that husband failed to prove that the \$30,000 down payment was separate property because he could not produce cancelled checks showing that the money was a gift from his grandparents. Wife did not cross appeal to this Court or seek a modification of the Appellate Division order affirming Supreme Court’s classification of the down payment as separate property. In any event, husband testified that he received the funds from his grandparents and his inability to produce the cancelled checks did not preclude a finding that the money was a gift (*see e.g. Chiotti v Chiotti*, 12 AD3d 995, 996 [3d Dept 2004]).

Zurner v Zurner, 213 AD2d 906, 908 [3d Dept 1995], *lv denied* 87 NY2d 802 [1995]; *Burns v Burns*, 193 AD2d 1104, 1106 [4th Dept 1993], *mod on other grounds* 84 NY2d 369 [1994]). In distributing any appreciation in value, courts may consider any of the factors listed in Domestic Relations Law § 236 (B) (5) (d) or any other relevant considerations (*see e.g. Butler v Butler*, 171 AD2d 89, 93-94 [2d Dept 1991]; *Woodson v Woodson*, 178 AD2d 642, 642-643 [2d Dept 1991]), including the respective contributions of each spouse and the effect of market forces.

In this case, the courts below properly considered the spectrum and quantity of contributions made by each spouse to the management and maintenance of the townhouse and the extent to which market factors enhanced the value of the property.⁴ Under these circumstances, we decline to disturb the determination below that husband failed to rebut the statutory presumption that his interest in the townhouse is marital property subject to equitable distribution and that wife was entitled to 35% of husband's interest in that asset.

In reaching this conclusion, we emphasize that husband purchased the townhouse eight years into the 35-year marriage and that the family maintained their living arrangement since 1978. It is not for the courts to dictate what type of lifestyle a "normal" marriage should reflect or how married couples should structure their marital relationships. That husband and wife in this case have maintained separate apartments in the building does not change the character of the property from marital to separate, especially since they both made economic and noneconomic contributions to their marriage and the upbringing of their son (*see e.g. Iwanow v Iwanow*, 39 AD3d 471, 475 [2d Dept 2007]; *see also Fagan v Fagan*, 2 AD3d 394, 395 [2d Dept 2003]; *Greenwald v Greenwald*, 164 AD2d 706, 713-714 [1st Dept 1991], *lv denied* 78 NY2d 855 [1991]). Surely, many married couples sleep in different bedrooms for a variety of reasons and such arrangements do not affect the "marital property" status of their homes if they divorce. Likewise, the fact that husband took title to his one-half interest in the townhouse in his name alone is irrelevant under the statute's express language (*see* Domestic Relations Law § 236 [B] [1] [c]), nor does the fact that husband acquired title with his mother interfere with the marital character of his interest in the property (*see e.g. Bartha*, 15 AD3d at 115). Finally, that portions of

4. At the time of trial, the townhouse was valued at \$2,625,000.

the townhouse were used as an income-generating business does not transform the building into separate property (*see e.g. Heine*, 176 AD2d at 84). Wife's lack of an initial monetary investment and involvement in the management activities pertaining to the townhouse do not preclude a holding that husband's interest in the building is marital property. These were factors properly considered by the trial court in determining the extent of wife's distributive award (*see Domestic Relations Law* § 236 [B] [5] [d]).

We part ways with the dissent at the initial stage of this analysis. The dissent fails to recognize the statutory presumption that property acquired during a marriage is marital property; instead, the dissent begins with the assumption that the building was separate property at the time of its acquisition. As explained above, we do not view husband's interest in the townhouse as property "acquired in exchange for" his separate property contribution toward the down payment. Under the dissent's analysis, any time a married couple purchases a marital residence using "separate" funds (e.g., an inheritance or monetary gift from a parent) contributed by one spouse towards the down payment, the entirety of the marital home would be classified as separate property. This approach is not consistent with relevant precedent, does not heed the Domestic Relations Law's statutory presumption in favor of marital property and is contrary to the very purpose underlying the statute in recognition of an "economic partnership."

V.

[2] Next, husband claims that his one-half interest in the partnership bank account is separate property because the account was created solely to manage funds relating to the townhouse. But, as previously discussed, husband commingled marital assets in the partnership bank account and he could not sufficiently delineate any of the funds in the account as separate property (*see e.g. McManus v McManus*, 298 AD2d 189 [1st Dept 2002]). We agree with the courts below that husband's interest in the partnership bank account is marital property that should be allocated between the parties.

VI.

[3] Finally, husband challenges the trial court's distribution of the marital property, arguing that the court abused its discretion by awarding wife 35% of the value of the marital assets. We disagree.

In recognizing marriage as an economic partnership, Domestic Relations Law § 236 mandates that the equitable distribution of marital assets be based on the circumstances of the particular case and directs the courts to consider a number of statutory factors. These factors encompass the income and property of each party at the time of marriage and at the time of commencement of the divorce action, the duration of the marriage, the age and health of the parties, the extent of any maintenance award and the nontitled spouse's direct or indirect contributions to the marriage, including "services as a spouse, parent, wage earner and homemaker" (Domestic Relations Law § 236 [B] [5] [d]). Absent an abuse of discretion, this Court may not disturb the trial court's distributive award (*see Holterman v Holterman*, 3 NY3d 1, 8 [2004]).

Here, Supreme Court issued a comprehensive decision addressing all relevant factors, including that husband and wife were married for 35 years; that both maintained employment and made economic and noneconomic contributions to the marriage, their son and the townhouse; that they had equal parenting responsibilities; that wife did not invest in the purchase of the townhouse; and that the couple maintained separate units in the building for approximately 28 years. In light of these considerations, particularly the length of the marriage, the age of the parties and wife's contributions to the marriage, we cannot conclude that Supreme Court abused its discretion in awarding wife 35% of the value of husband's half interest in the townhouse and other marital assets.

Accordingly, the Appellate Division order should be affirmed, with costs.

SMITH, J. (dissenting). The decisions below and the majority opinion here rest on different grounds, both indefensible.

The governing statute says that "separate property" includes "property acquired in exchange for or the increase in value of separate property, except to the extent that such appreciation is due in part to the contributions or efforts of the other spouse" (Domestic Relations Law § 236 [B] [1] [d] [3]). I think it clear, and the courts below seem to have assumed, that the husband's interest in this townhouse was acquired "in exchange for . . . separate property," and was therefore separate property at the time it was acquired. That interest grew in value during the next three decades, and the main issue as I see it is whether, and to what extent, the wife's "contributions or efforts" justify

treating the “increase in value of separate property” as marital property. The courts below held 100% of the appreciation to be marital—a conclusion that I find to be completely unjustified.

The majority affirms the decisions below on a different rationale. It does not rely on the statutory exception to the rule that appreciation in separate property is separate property, and does not assert that the wife’s “contributions or efforts” played any part in that appreciation. Rather, it finds that the property was not separate in the first place. It was, the majority says, not “acquired in exchange for . . . separate property” because, according to the majority, some part of the mortgages used to acquire the townhouse may have been repaid with marital funds. This theory has many flaws, but the most obvious is that there is no evidence in this record, and neither court below found, that a penny of marital funds went into repaying the mortgages: The uncontradicted proof is that they were repaid entirely from rental proceeds. Thus the majority’s rationale seems to me to be an even weaker one than that of the courts below.

I

While the opinions below contain some confusing language, I think the basis for them is reasonably clear; Supreme Court and the Appellate Division majority treated the husband’s interest in the townhouse as having been separate property initially, and found that the wife’s contributions to the increase in value of that interest were such that all of the appreciation should be classed as marital property. It is true that both Supreme Court and the Appellate Division referred to the husband’s interest itself—not just the appreciation—as marital property, but this seems to be simply a misdescription. Both courts in fact included only the appreciation in marital property, excluding the \$30,000 down payment;* and the opinions below dwell on, and treat as dispositive, what the Special Referee called the wife’s “countless contributions to the building.” I see nothing to support the majority’s surmise that the Appellate Division’s reasoning was the same as the majority’s here (*see* majority op at 165 n 2).

I therefore begin by examining the statutory language that I think was decisive below: “[t]he term separate property shall

* The \$30,000 figure seems to be an error in the husband’s favor committed by the courts below. \$30,000 was the amount paid down to purchase the entire townhouse. Since the husband retained only a half interest in it, the amount of the offset against his interest should, on the theory of the courts below, be \$15,000.

mean . . . the increase in value of separate property, *except to the extent that such appreciation is due in part to the contributions or efforts of the other spouse.*" (Domestic Relations Law § 236 [B] [1] [d] [3].) Read carefully, the italicized words may be puzzling. "[T]o the extent that" and "in part" seem contradictory: Is the appreciation marital only "to the extent" that the other spouse contributes to it, or is it wholly marital if the other spouse contributes even "in part"? I think this riddle can be answered by considering an important premise of the law of equitable distribution: that marriage is an economic partnership, in which both spouses may contribute to the wealth accumulated during the marriage, either through direct efforts to earn money or indirect efforts as a parent and homemaker (*see Price v Price*, 69 NY2d 8, 13-15 [1986]). The statutory words "in part" refer to the possibility that the partnership of which the untitled spouse is "part" may contribute to the appreciation; "to the extent" that it does so, the resulting appreciation will be deemed marital, and the "part" of that marital appreciation due to the untitled spouse's efforts will be recognized when the marital property is divided.

Thus, when dealing with the appreciation in separate property, the statute assigns two tasks to a court: first, to figure out the "extent" to which appreciation results from the "contributions or efforts" of the untitled spouse, either solely or as a member of the marital partnership, and to include the appreciation in marital property to that extent; and secondly, to decide what "part" of that marital property the untitled spouse should receive. Here, the courts below classified 100% of the appreciation in the husband's interest in the townhouse as marital property, and then divided the marital property 65% to the husband and 35% to the wife. They thus implicitly found that 100% of the appreciation was attributable either to the wife's efforts or to the efforts of the economic partnership of which she and her husband were members; and that the 65-35 split is a reasonable reflection of the ratio of the parties' contributions. I do not find it necessary to examine the second of these findings, because I am satisfied that the first is without record support.

As we held in *Price*, the "contributions or efforts" referred to in the statute may be of two kinds: those that directly enhance the value of an asset, or "indirect contributions" as homemaker and parent (69 NY2d at 12-13). Only the first kind of contributions and efforts—the direct kind—is involved in this case. This is not a case like *Price*, in which the wife gave up outside

employment when her first child was born, devoted herself thereafter to bringing up children and taking care of the home, and “attended conventions with her husband and assisted him as hostess at various business-related social events” (*id.* at 12). Here, the parties lived in separate apartments for most of the marriage; both continued in full-time employment, though she took a maternity leave and he took a paternity leave; and both spent roughly equal time on parental duties. Neither party should be penalized for this, of course; the Appellate Division majority was quite right in saying that it is not for courts “to dictate what a ‘normal’ marriage should be” (*Fields v Fields*, 65 AD3d 297, 304 [2009]). I simply note that, under the statute as we interpreted it in *Price*, the wife’s indirect contributions and efforts as homemaker and parent would, if they had contributed to the appreciation of the property, be entitled to recognition; but there is no evidence that they did.

There is some evidence, relied on heavily by the majority in the Appellate Division, that the wife made direct contributions to the value of the townhouse. I quote the Appellate Division’s summary:

“The wife purchased some furniture for apartment 1 and ‘occasionally’ swept and vacuumed the hall in front of the apartment entrance. She testified that she would clean up the lobby during renovations. She also purchased a \$600 vacuum cleaner to clean the lobby three times a week, cleaned the mailbox vestibule, swept the interior and exterior steps, used bleach to clean dog excrement from the sidewalk, and raked leaves from a maple tree in the backyard. In the summers, when the husband would go to France to spend time with his mother, the wife took responsibility for disposing of the building’s refuse. She washed lobby curtains, cleaned lobby windows and polished the lobby mirror. She also decorated apartment 1, planted and maintained the backyard, and bought patio furniture.

“In addition to these services, the wife purchased a carpet, and a \$500 Formica countertop for the marital apartment, as well as paying \$700 for flooring in the foyer. She paid \$400 for a foyer mirror, and paid for couches, a basement door installation, linen closet, bathroom cabinets and a chandelier.” (*Id.* at 299-300.)

This is the evidence on which the courts below implicitly found *all* of the appreciation in the husband's interest in the townhouse—from \$30,000 (as they valued it) in 1978 to \$1,158,000 at the time of trial in 2006—to be attributable to the parties' joint or to the wife's sole efforts. With all the deference that is due both to affirmed findings of fact and to the established presumption that, in cases of doubt, property should be found to be marital (*Price*, 69 NY2d at 15), this finding cannot be sustained. No doubt well-cleaned lobbies, well-kept backyards and attractive furnishings can enhance the value of a building, but they do not cause a Manhattan real estate holding to increase forty-fold in value over 30 years. What does that, obviously, is the real estate market. A court-appointed expert—the only valuation expert to testify—confirmed this. He testified that “the greatest increase in value” came from “market forces.” He added that another contributing factor was renovations that had been done in the building—renovations with which the wife had little, if anything, to do.

The record here simply does not support a finding that 100%—or any large part—of the increase in the value of the husband's interest in the real property was “due in part to the contributions or efforts” of the wife. For that reason, the Appellate Division's award to the wife of 35% of the value of that interest should be reversed.

II

The majority does not try to defend the conclusion that the appreciation in the husband's interest in the townhouse was an “increase in value of separate property” includable in marital property because of the wife's “contributions or efforts” (Domestic Relations Law § 236 [B] [1] [d] [3]). Rather, the majority says that the interest in the townhouse was not separate property at all because it was “property acquired . . . during the marriage” (Domestic Relations Law § 236 [B] [1] [c]). At first blush, this seems an impossible conclusion, because the statute also says that “[m]arital property shall not include separate property as hereinafter defined” (*id.*), and goes on to define “separate property” to include “property acquired in exchange for . . . separate property” (Domestic Relations Law § 236 [B] [1] [d] [3]). As the majority acknowledges (majority op at 166-167), all of the money the husband put into the townhouse in 1978 was separate property. It is thus indisputable that the interest in the townhouse was separate property when it was first acquired.

But, as the majority notes, most of the money used to purchase the property was borrowed on the security of mortgages; the majority suggests that some part of the mortgages may later have been repaid with marital funds. The majority says that the husband “failed to substantiate” his claim “that he made mortgage payments solely from rental proceeds” (majority op at 167). If indeed the mortgages were paid back in part with marital funds, I agree that that would make the interest in the townhouse, in part, marital property. The majority ignores the distinction between “in part” and “in whole,” but that error is not significant, because the only possible finding on this record is that mortgages were paid not from marital property, but from rental proceeds.

The husband’s testimony on this point was not equivocal:

“Q And how did you pay these [original] mortgages?

“A Through the rents they collected from the building. . . .

“Q And the [subsequent] mortgage . . . , how was that being paid?

“A Same way.”

The wife, having had discovery of the husband’s financial records, offered nothing to contradict this testimony. Nor did either of the courts below reject it; no opinion below discusses it. The opinions below proceed on the assumption that the mortgages were indeed, as the husband said, paid out of the rents.

But the majority finds scraps of evidence in the record that it says support a contrary conclusion. It says the husband “acknowledged that he would sometimes deposit his paychecks . . . into the account” from which the mortgage payments were made (majority op at 167). But what he actually said was: “I occasionally put my paychecks *so I could pay the rent*” (emphasis added). The fact that the husband and the wife paid their rent with marital property, and that the mortgages were paid out of the rents, cannot support a finding that marital property was being used to reduce the husband’s mortgage obligation—not, at least, if the rent payments reflected the fair rental value of the apartments rented. There is no evidence that the husband’s (or the wife’s) rental obligation was inflated, so as effectively to divert marital property into the separately owned building. It is at least as likely that the husband, in renting apartments to himself and his wife, charged a below-market rent, thus enlarging the marital estate.

The other evidence on which the majority relies is to the effect that some money other than rental payments occasionally went through the bank account from which the mortgages were paid. But the husband testified in substance that these transactions (to the extent that they involved arguably marital funds) were trivial, and again the wife produced no evidence to contradict his testimony. Thus he testified that the account was used as a conduit for payments for a “block guard fund”—apparently payments to a security guard hired by the block association—because the amounts involved did not justify spending \$40 a month to maintain a separate account. He also used the account for a “school fund” totaling “a few hundred dollars.” There is no evidence that any money from the husband’s tax preparation and video business was put into the account before 2004. There is no evidence at all—the wife never even claimed—that any of the marital funds put into the account were diverted to mortgage payments. There is no evidence, and no claim, that the mortgage payments ever exceeded the rents received from the building.

In short, when the record is examined, it is easy to see why the majority’s theory that marital funds were used to pay the mortgage was not embraced by the courts below: the record is quite clear that no such funds were ever used that way.

III

The facts that the majority discusses are not limited to those made relevant by the statute—i.e., whether the husband’s interest in the townhouse was “property acquired in exchange for . . . separate property” or the extent to which the appreciation in the townhouse was “due in part to the contributions or efforts” of the wife (Domestic Relations Law § 236 [B] [1] [c], [d] [3]). The majority gives great weight to the fact that the husband and wife lived in the townhouse—a fact whose relevance, on the face of the statute, is not apparent. The majority stresses that “the property was purchased . . . with the intent that it would be used as the marital residence where the parties would live and raise their son” and that “that is precisely what occurred” (majority op at 166). The majority speaks of the “statutory presumption that a *residence* acquired during the marriage is marital property” (*id.* [emphasis added])—but the statutory presumption applies to all assets, not just residences. Indeed, the majority seems horrified by the idea that “any time a married couple purchases a marital residence

using ‘separate’ funds . . . the entirety of the marital home would be classified as separate property” (majority op at 169)—though that is plainly what the statute says.

The majority seems to think it self-evident that, when a married couple buys a home, whether with separate or marital funds, any later increase in value of that home—whether due to the parties’ efforts, market forces or something else—should be shared between the parties. I see some intuitive appeal in that rule, but the Legislature quite clearly did not enact it. The statute, right or wrong, treats residences and other property just the same. I think it inappropriate for us simply to engraft a special rule for residences onto the statute—if indeed that is what the majority is doing.

But even assuming that a “marital residence” has special status—that is, assuming it to be the law that the parties should share in the appreciation of a marital residence, even when the residence was acquired with separate property and the appreciation is due to market forces—it seems absurd to apply that rule to a case like this. The “marital residence” in this case was not the 10-apartment townhouse; it was, for a relatively brief period of time, a rented apartment in that townhouse in which the parties lived together. To suggest that when parties live in an apartment the whole apartment building, if separately acquired by one of them, takes on some special “marital residence” status is to open the door to enormous uncertainty and potential abuse.

IV

The Appellate Division majority, like the majority here, emphasized facts having no relevance under the governing statute to the marital-separate property issue. The facts the Appellate Division stressed may be roughly put under the heading of “equities.” That is evident from the opening words of the Appellate Division’s majority opinion: “In this action for divorce, plaintiff husband seeks to divest 69-year-old defendant wife” (65 AD3d at 298.)

It is indeed easy to sympathize with the wife’s plight. She is a retired school teacher. Her husband, nine years younger than she, decided after a 35-year marriage that he wanted to marry another woman. The husband is the wealthier of the parties. These facts might have supported an award of maintenance, which the courts below did not make. They are supposed to be totally irrelevant to an award of equitable distribution.

I am not naive enough to think it possible that considerations like these will never influence the outcome of cases, even cases

to which they should not be relevant. But I think it is our Court's role to hold lower courts in check when they find highly inventive ways of reaching what seem desirable results—not to find even more inventive ways of affirming those results. When one spouse can be awarded 35% of the other's valuable asset on a record like this, it is very hard to predict how any equitable distribution dispute will come out—except that the more sympathetic party will usually win. The result is a marked lack of predictability, and the sending of a message that the rules written in the statute books will not be followed. That is bad for litigants and bad for the law.

Chief Judge LIPPMAN and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order affirmed, with costs.

[933 NE2d 194, 906 NYS2d 796]

In the Matter of a Trust Created by CHARLOTTE P. HYDE, Deceased. GLENS FALLS NATIONAL BANK AND TRUST COMPANY et al., as Trustees of a Trust Created by CHARLOTTE P. HYDE, Deceased, Respondents; CAROL J. WHITNEY, as Executor of LOUIS H. WHITNEY, Deceased, et al., Respondents, and MARY W. RENZ et al., Appellants. (And Another Proceeding.)

Argued June 2, 2010; decided June 29, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 2, 2009. The Appellate Division affirmed (1) an amended order of the Surrogate's Court, Warren County (John S. Hall, Jr., J.), which had denied a cross motion by respondents Mary W. Renz, Franklin Todd Renz, Gavin W. Renz and Mary Eliza Pruyn Renz-Utti for reallocation of trustees' counsel fees in proceeding Nos. 1 and 2; (2) a decree of that court which had settled the intermediate account of the trust in proceeding No. 2; and (3) a decree of that court which had settled the intermediate accounts of the trusts in proceeding No. 1.

Matter of Hyde, 61 AD3d 1018, modified.

HEADNOTES

Executors and Administrators — Counsel Fees — Allocation of Responsibility for Fiduciary's Attorney's Fees

1. *Matter of Dillon* (28 NY2d 597 [1971]), which held that SCPA 2110 does not authorize payment for legal services rendered a party to be charged against the share of other individual parties, is overruled. SCPA 2110 grants the trial court discretion to allocate responsibility for payment of a fiduciary's attorney's fees for which the estate is obligated to pay, either from the estate as a whole or from shares of individual estate beneficiaries.

Executors and Administrators — Counsel Fees — Allocation of Responsibility for Fiduciary's Counsel Fees — Trial Court's Discretion

2. In a joint trial concerning the intermediate accountings of two trusts that were objected to by some, but not all, of the trust beneficiaries, Surrogate's Court was not required to order that the counsel fees incurred by the trustees in successfully defending against the objections be disbursed from the corpus of each trust generally. Under the plain meaning of SCPA 2110 (2), which provides that "[t]he court may direct payment [for legal counsel rendered a fiduciary in connection with the performance of his or her fiduciary duties] from the estate generally or from the funds in the hands of the fiduciary

belonging to any legatee, devisee, distributee or person interested," it is in the court's discretion to allocate expenses when ordering that fiduciaries be indemnified by an estate for attorney's fees. That discretion extends to the timing and structure of deducting funds against the present and future interests of the beneficiaries.

Executors and Administrators — Counsel Fees — Allocation of Responsibility for Fiduciary's Attorney's Fees

3. A surrogate's court ordering that a fiduciary be indemnified by an estate for attorney's fees has discretion under SCPA 2110 (2) to allocate responsibility for payment either from the estate as a whole or from shares of individual estate beneficiaries. The court should undertake a multi-factored assessment of the sources from which the fees are to be paid. These factors, none of which should be determinative, may include: whether the objecting beneficiary acted solely in his or her own interest or in the common interest of the estate; the possible benefits to individual beneficiaries from the outcome of the underlying proceeding; the extent of an individual beneficiary's participation in the proceeding; the good or bad faith of the objecting beneficiary; whether there was justifiable doubt regarding the fiduciary's conduct; the portions of interest in the estate held by the non-objecting beneficiaries relative to the objecting beneficiaries; and the future interests that could be affected by reallocation of fees to individual beneficiaries instead of to the corpus of the estate generally.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executors and Administrators §§ 424, 428-430.
CARMODY-WAIT 2d, Claims §§ 159:119, 159:123, 159:182-159:185.
McKINNEY'S, SCPA 2110.
NY JUR 2d, Decedents' Estates §§ 2076, 2077.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Decedents' Estates; Executors and Administrators.

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POINTS OF COUNSEL

Nolan & Heller, LLP, Albany (*David H. Wilder* of counsel), for appellants. I. Based on the pro tanto rule and their lack of any interest in the outcome of the Whitneys' surcharge proceedings, the Renzes' respective interests in trust principal should not be required to bear any portion of the litigation expenses incurred in successfully defending the trustees against the Whitney's

objections. (*Matter of Garvin*, 256 NY 518; *Matter of Ellensohn*, 258 App Div 891; *Matter of Stumpp*, 153 Misc 92; *Matter of Harmon*, 5 Misc 2d 308; *Matter of Newhoff*, 107 AD2d 417; *Matter of Saxton*, 179 Misc 2d 681; *Matter of Janes*, 165 Misc 2d 743, 223 AD2d 20, 90 NY2d 41; *Matter of Penney*, 60 Misc 2d 334; *Matter of Urbach*, 252 AD2d 318; *Matter of Antoinette Frances G.*, 135 Misc 2d 1034.) II. In any event, the doctrine of stare decisis is not absolute, and in this case, compelling circumstances warrant departing from *Matter of Dillon* (28 NY2d 597 [1971]) construction of SCPA 2110. (*Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *Matter of Eckart*, 39 NY2d 493; *People v Hobson*, 39 NY2d 479; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Matter of Meyer*, 209 NY 386; *Matter of Higby v Mahoney*, 48 NY2d 15; *Matter of Schinasi*, 277 NY 252; *Matter of Baxter [Gaynor]*, 196 AD2d 186; *Matter of Burns*, 126 AD2d 809; *Matter of Heilbronner*, 39 Misc 2d 912.) III. On common-law grounds as well, a non-objecting beneficiary's interest in the trust estate should not be required to bear any portion of the litigation expenses incurred by a trustee in successfully defending himself against an objection where the pro tanto rule applies. (*Matter of Ungrich*, 201 NY 415; *Matter of Rose BB.*, 16 AD3d 801; *Parker v Rogerson*, 49 AD2d 689; *Matter of Campbell*, 138 AD2d 827; *Matter of Garvin*, 256 NY 518.) IV. Alternatively, the Surrogate has the power in equity to direct that the Whitneys' respective interests in trust principal be charged with all of the litigation expenses incurred in successfully defending the Hyde and Cunningham trustees against the Whitneys' objections.

Judge & Duffy, Glens Falls (*H. Wayne Judge and Monica A. Duffy* of counsel), for Carol J. Whitney and others, respondents. I. This appeal lacks merit. (*Matter of Urbach*, 252 AD2d 318; *Matter of Dillon*, 28 NY2d 597; *Matter of Penney*, 60 Misc 2d 334.) II. The estate of Louis H. Whitney is not a proper party to this appeal. III. The relief requested against the Whitney children in the Cunningham trust accounting is also unavailable. IV. The allocation of legal fees and expenses among litigating legatees is a legislative, not a judicial, matter. (*Matter of Povlsen*, 62 Misc 2d 239.) V. The facts of this case compel the application of the established law. VI. The Whitney objectants had an affirmative duty to defend the residuum of these trusts under the circumstances presented here and should not, in equity, be penalized for doing so. (*Meinhard v Salmon*, 249 NY 458.) VII. The complete record of these proceedings must be "unsealed" and any stay order of final distribution must be vacated.

Putney Twombly Hall & Hirson LLP, New York City (*Christopher M. Houlihan* of counsel), for Glens Falls National Bank and Trust Company, respondent.

McNamee, Lochner, Titus & Williams, P.C., Albany (*G. Kimball Williams* of counsel), for Banknorth, N.A., respondent.

OPINION OF THE COURT

Chief Judge LIPPMAN.

[1] We hold that Surrogate's Court Procedure Act (SCPA) § 2110 grants the trial court discretion to allocate responsibility for payment of a fiduciary's attorney's fees for which the estate is obligated to pay—either from the estate as a whole or from shares of individual estate beneficiaries. In so doing, we overrule our holding in *Matter of Dillon* (28 NY2d 597 [1971]).

We consequently modify the order of the Appellate Division affirming the order of the Surrogate and remit to the Surrogate's Court for de novo consideration of allocation of the trustees' counsel fees.

I

This dispute developed out of a joint trial concerning intermediate accountings of two trusts. The first proceeding involved a testamentary trust created by Charlotte P. Hyde (Hyde Trust). At the outset of the trust accountings in 2001, Hyde's grandchildren, Mary Renz and her brother Louis H. Whitney, were the two life income beneficiaries of two equal shares of the Hyde Trust. Mary Renz's three children (Renz Children) and Louis H. Whitney's two children (Whitney Children) each possessed a presumptive one-fifth remainder interest in both the Mary Renz Share and the Louis H. Whitney Share that would vest upon the death of Mary Renz and Louis H. Whitney, respectively. Upon Louis H. Whitney's death in January 2008,¹ the Renz Children and the Whitney Children each received a one-fifth interest in the principal of the Louis H. Whitney Share of the Hyde Trust.

The second proceeding concerned an inter vivos trust created by Nell Pruyn Cunningham (Cunningham Trust). The Cunningham Trust term is measured by the lives of two of

1. Following Louis H. Whitney's death, his widow and executor, respondent Carol J. Whitney, was substituted for him in both proceedings by order entered in April 2008. The Whitney Children were simultaneously joined as respondents in the second proceeding.

Cunningham's grandnephews. In 2003, when the Cunningham accounting commenced, Mary Renz and Louis H. Whitney were each income beneficiaries and presumptive remaindermen of undivided one-sixth shares of the Cunningham Trust. The Mary Renz Share and the Louis H. Whitney Share were to pass to their living issue per stirpes upon the death of Mary Renz or Louis H. Whitney. Thus, upon Louis H. Whitney's death, the two Whitney children became the income beneficiaries and presumptive remaindermen of their father's undivided one-sixth share of the Cunningham Trust.

The two proceedings arose out of objections made to the Hyde trustees' accountings by Louis H. Whitney and the Whitney Children (the Whitneys) and objections made to the Cunningham trustees' accountings by Louis H. Whitney (and carried on by the Whitney Children and Louis H. Whitney's executor after his death). The Whitneys sought to deny the Hyde trustees and the Cunningham trustees their commissions and surcharge them on the basis of their alleged failure to diversify the Trusts' assets, among other objections.

Mary Renz and the Renz Children (the Renzes) did not participate in the Whitneys' objections to trustee conduct in either the Hyde or the Cunningham Trust accounting proceedings. Neither did any of the other income beneficiaries or remaindermen of the Cunningham Trust, aside from Louis H. Whitney (and later his executor and the Whitney Children), interpose objections to the accounting of that Trust.

In advance of the joint trial on the Whitneys' objections, the Renzes filed an acknowledgment, attesting that they were non-objectors; and thus, under the Pro Tanto Rule,² they would not be entitled to share in any surcharges that might be imposed on the Hyde or Cunningham trustees. The Renzes simultaneously filed a cross motion seeking to require that all future trustees' counsel fees be deducted exclusively from the objecting beneficiaries' shares of the Hyde Trust and Cunningham Trust assets. The Renzes' cross motion also sought to reserve the right to seek reallocation of and reimbursement of the Hyde Trust for all counsel fees that had already been advanced from the Renzes' interests in the Hyde Trust.

2. The court-made Pro Tanto Rule dictates that beneficiaries who did not file objections to a fiduciary's conduct are not entitled to share in the surcharge that accrues to the estate or trust when other beneficiaries file successful objections. The rule sought to prevent non-objecting beneficiaries from being rewarded for their quiescence while their co-beneficiaries defended the estate assets (*see Matter of Garvin*, 256 NY 518 [1931]).

Surrogate's Court dismissed all of the Whitneys' objections. As to the question of attorney's fees, the court acknowledged that the Pro Tanto Rule had applied, which meant that the non-objecting beneficiaries had not stood to gain from the success the Whitneys' objections might have had. Yet, the court stated it was constrained by *Dillon* to treat the trusts as single entities for purposes of trustee indemnification. Thus, regardless of potential unfairness to the Renz beneficiaries who abstained from the costly litigation, the Surrogate's Court ordered that the trustees' counsel fees be disbursed from the corpus of each trust generally. As a result, the Renzes' shares of the Hyde and Cunningham Trusts were held responsible for more than \$700,000 in attorney's fees incurred by the trustees.

The Appellate Division affirmed, citing the construction of SCPA 2110 articulated in *Dillon* and finding no basis to distinguish this case (61 AD3d 1018 [3d Dept 2009]).

II

SCPA 2110 (2) provides: "The court may direct payment [for legal counsel rendered a fiduciary in connection with the performance of his or her fiduciary duties] from the estate generally or from the funds in the hands of the fiduciary belonging to any legatee, devisee, distributee or person interested."³

We first construed SCPA 2110 (2) in our 1971 memorandum decision, *Matter of Dillon* (28 NY2d 597 [1971]). In *Dillon*, a legatee under a testator's will that had been admitted to probate challenged probate of a subsequent will that increased the number of legatees who would inherit and thereby reduced the original legatee's portion of the testator's estate. The Surrogate's Court refused to vacate probate and charged the

3. The present SCPA 2110 was enacted in 1966 as part of a recodification of the Surrogate's Court Act. The original Surrogate's Court Act § 231-a, adopted in 1923, stated in relevant part, "The surrogate may direct payment therefor from the estate generally or from the funds in the hands of the representative belonging to any legatee, devisee, distributee or person interested therein." (L 1923, ch 526.) SCPA 2110, like Surrogate's Court Act § 231-a before it, provides for compensation out of estate funds for a fiduciary that accrues counsel fees in the course of fulfilling its fiduciary duties to the estate. Although the fiduciary conducts the litigation and may have all the hallmarks of a party to a suit (especially when the fiduciary is defending itself in a surcharge proceeding), the estate is ordinarily obligated to indemnify the fiduciary for attorney's and litigation fees (see e.g. *Wetmore v Parker*, 52 NY 450 [1873]; cf. *Matter of Wadsworth*, 275 NY 590 [1937]). The rationale is that the actions of fiduciaries, absent misconduct, are undertaken to benefit the estate, and the estate should therefore be charged with the fiduciaries' costs.

objecting legatee's share of the estate with the executor's legal fees expended in defending probate of the later will. The legatee then appealed, asserting that legal fees should be allocated to the whole estate generally, not to the legacy of an individual party. Ultimately, this Court held that "SCPA 2110 does not authorize payment for legal services rendered a party to be charged against the share of other individual parties. Accordingly, although appellant lost in this litigation, the legal fees of the executor as her adversary were not chargeable to her personally" (*Dillon*, 28 NY2d at 599).

Although the decision in *Dillon* offers little rationale for its conclusion, the statutory interpretation requiring the corpus of the estate generally, and not the shares of individual beneficiaries, to pay for fiduciaries' counsel seems guided by the common-law American Rule. In brief, the American Rule requires all parties to a controversy—the victors and the vanquished—to pay their own "incidents of litigation" (*Chapel v Mitchell*, 84 NY2d 345, 349 [1994], quoting *Hooper Assoc. v AGS Computers*, 74 NY2d 487, 491 [1989]). Thus, the unsuccessful objectant, under the American Rule, was required to pay only its own attorney's fee, not the executor's attorney's fees as well, which were paid for by the estate.

However, the *Dillon* decision, finding that SCPA 2110 required that the whole of the estate be charged with the executor's counsel fees, in spite of the fact that actions of the objecting party did not effect a benefit to the estate and bordered on the vexatious, seems to have ignored the plain meaning of the statute and departed from the earlier jurisprudence of this Court.

In interpreting SCPA 2110, we bear in mind that it is "presumed that no unjust or unreasonable result was intended and the statute must be construed consonant with that presumption" (*Zappone v Home Ins. Co.*, 55 NY2d 131, 137 [1982], citing *Matter of Breen v New York Fire Dept. Pension Fund*, 299 NY 8, 19 [1949] and McKinney's Cons Laws of NY, Book 1, Statutes § 143). The Legislature's intentions should normally be ascertained from a careful reading of the statute itself, especially where, as here, the language is unambiguous, and the legislative history reveals nothing that would counsel an alternative interpretation (see McKinney's Cons Laws of NY, Book 1, Statutes § 92 [b]). On its face, the statute provides the trial court with discretion to disburse funds from any beneficiary's share in the estate—and not exclusively from "the estate generally."

In addition to departing from the plain meaning of the statute, *Dillon* did not focus on the considerations of fairness that guided *Matter of Ungrich* (201 NY 415 [1911]) and its progeny (e.g. *Matter of Garvin*, 256 NY 518 [1931]; *Matter of Bishop*, 277 App Div 108 [1st Dept 1950]; see also *Matter of Burns*, 126 AD2d 809 [3d Dept 1987]). In *Ungrich*, the plaintiff, a life tenant under a testamentary trust, brought an action for a trust accounting and to remove the trustees for alleged misconduct. The Surrogate's Court there had dismissed the objectant's challenges. Regarding the question of attorney's fees, we determined as a matter of common law, prior to any statute on the subject, that the court should have discretion to disburse fees from the estate generally or from individual shares, depending on the circumstances of each case. We stated that trustees should have "an opportunity to prove their expenses and the circumstances under which they were incurred," and at that point, "it would be for the court to determine on the facts of the case what part, if any, of such expenditures should be allowed to the [trustees] and charged against the life tenant and what part against the corpus of the estate" (*Ungrich*, 201 NY at 420).

[2] Because we find that this construction is more faithful to the statute, our precedents prior to *Dillon*, and fairness, we choose to restore the plain meaning of SCPA 2110 (2): to place discretion in the hands of the trial courts to allocate expenses when ordering that fiduciaries be indemnified by an estate for attorney's fees.⁴ The trial court's discretion extends to the timing and structure of deducting funds against the present and future interests of the beneficiaries.

[3] In cases where a fiduciary is to be granted counsel fees under SCPA 2110 (2), the Surrogate's Court should undertake a multi-factored assessment of the sources from which the fees are to be paid.⁵ These factors, none of which should be determinative, may include: (1) whether the objecting beneficiary acted solely in his or her own interest or in the common interest of the estate; (2) the possible benefits to individual

4. This holding does not involve or affect SCPA 2301 (4), which provides for costs and allowances that may be made payable by any party *personally*.

5. This holding does not involve or affect the Surrogate's discretion to make the underlying determination of whether or not the fiduciary is entitled to charge its counsel fees to the estate, or whether or not the amount of counsel fees is reasonable. In assessing the reasonableness of a fee award, the Surrogate should consider such factors as the extent of services provided, the amount of time spent on the matter, the level of sophistication required, and the size of the estate relative to the amount of fees.

beneficiaries from the outcome of the underlying proceeding; (3) the extent of an individual beneficiary's participation in the proceeding; (4) the good or bad faith of the objecting beneficiary; (5) whether there was justifiable doubt regarding the fiduciary's conduct; (6) the portions of interest in the estate held by the non-objecting beneficiaries relative to the objecting beneficiaries; and (7) the future interests that could be affected by reallocation of fees to individual beneficiaries instead of to the corpus of the estate generally (*see e.g. Matter of Greatsinger*, 67 NY2d 177, 183-184 [1986] [providing factors to guide courts in discretionary allocation of attorney's fees among multiple trusts in estate litigation]). Inasmuch as Surrogate's Court never exercised its discretion, we remit to allow it the opportunity to do so.

Accordingly, the order of the Appellate Division should be modified, with costs to appellants, by remitting to Surrogate's Court for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[933 NE2d 186], 906 NYS2d 788]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NATHAN J. REOME, Appellant.

Argued May 6, 2010; decided June 17, 2010

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 10, 2009. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Onondaga County Court (William D. Walsh, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree (three counts) and conspiracy in the fourth degree. The modification consisted of directing the sentences imposed to run concurrently with respect to each other. The Appellate Division affirmed the judgment as modified.

People v Reome, 64 AD3d 1201, affirmed.

HEADNOTES

Crimes — Corroboration of Accomplice Testimony — Sufficiency of Corroborative Evidence — Harmonizing Evidence

1. In the prosecution of defendant arising from his participation in a rape with three other accomplices, the testimony of one of his alleged accomplices, who was the only witness to identify defendant as a perpetrator, was sufficiently corroborated as required by CPL 60.22 (1). Although the independent evidence that may have pointed toward defendant as one of the victim's rapists was unimposing, the text of CPL 60.22 (1), requiring "corroborative evidence tending to connect the defendant with the commission of such offense," does not require that all corroboration that depends to any degree on the accomplice's testimony be ignored. Courts may consider harmonizing evidence as well as independent evidence, while giving due weight to the difference between the two. Evidence that was not independent of the accomplice's testimony, but harmonized with it, amply corroborated the accomplice's testimony and tended to connect defendant to the crime. The victim's detailed account concerning the number of attackers and the method of attack, and the DNA identifications of the three other rapists, gave strong reason to believe that the accomplice's description of events was very largely true. Although it was possible that the accomplice lied about defendant's involvement, it was for the jury to decide what weight to give that possibility. The cell phone records of one of the rapists also significantly harmonized with the accomplice's testimony.

Crimes — Corroboration of Accomplice Testimony — Harmonizing Evidence May be Considered

2. To the extent that *People v Hudson* (51 NY2d 233 [1980]) held that CPL 60.22 (1) does not permit consideration of corroborative evidence that depends "to any extent" on accomplice testimony, it is overruled. Courts may consider

harmonizing evidence as well as independent evidence, while giving due weight to the difference between the two.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 1407–1413.
CARMODY-WAIT 2d, Fundamentals of Criminal Evidence
§ 193:5; CARMODY-WAIT 2d, Testimony of Witnesses
§§ 195:54, 195:57, 195:58.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
MCKINNEY's, CPL 60.22 (1).
NY JUR 2d, Criminal Law: Procedure §§ 2254, 2255, 2257.

ANNOTATION REFERENCE

See ALR Index under Accomplices; Corroboration.

FIND SIMILAR CASES ON WESTLAW®

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Query: accomplice /s corrob! /p harmoniz! /3 evidence /p
independent!

POINTS OF COUNSEL

Frank A. Hiscock Legal Aid Society, Syracuse (*Philip Rothschild* of counsel), for appellant. I. The lower courts erred in finding accomplice corroboration as the evidence did not tend to connect appellant to the commission of the crime, was not independent, and was insufficient as a matter of law. (*People v Glasper*, 52 NY2d 970; *People v Cunningham*, 48 NY2d 938; *People v Daniels*, 37 NY2d 624; *People v Kress*, 284 NY 452; *People v Moses*, 63 NY2d 299; *People v Hudson*, 51 NY2d 233; *People v Cross*, 25 AD3d 1020; *People v Wasserman*, 46 AD2d 915; *People v Cona*, 49 NY2d 26; *People v Nitzberg*, 287 NY 183.) II. The lower court erred in denying appellant Nathan Reome severance. (*People v Snare*, 216 AD2d 674; *People v Mahboubian*, 74 NY2d 174; *People v Payne*, 35 NY2d 22; *Bruton v United States*, 391 US 123; *People v Cruz*, 66 NY2d 61.) III. The lower court's sundry errors deprived appellant of a fair trial. (*Pointer v Texas*, 380 US 400; *People v Hudy*, 73 NY2d 40; *Davis v Alaska*, 415 US 308; *Chambers v Mississippi*, 410 US 284; *Washington v Texas*, 388 US 14; *People v Gissendanner*, 48 NY2d 543; *Delaware v Fensterer*, 474 US 15; *People v Crimmins*, 36 NY2d 230; *Pavel v Hollins*, 261 F3d 210.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P.*

Maxwell of counsel), for respondent. I. The jury was presented with legally sufficient evidence corroborating the testimony of the accomplice. (*People v Allen*, 9 NY3d 1013; *People v Contes*, 60 NY2d 620; *People v Besser*, 96 NY2d 136; *People v Steinberg*, 79 NY2d 673; *People v Glasper*, 52 NY2d 970; *People v Rumble*, 45 NY2d 879; *People v Hudson*, 51 NY2d 233; *People v Cunningham*, 48 NY2d 938; *People v Breland*, 83 NY2d 286; *People v Pierce*, 303 AD2d 966.) II. The trial court properly denied defendant's motion for a separate trial. (*People v Buccina*, 62 AD3d 1252; *People v Mahboubian*, 74 NY2d 174; *People v Allaway*, 172 AD2d 617, 78 NY2d 1009; *People v Suber*, 256 AD2d 1086, 93 NY2d 979; *People v Bornholdt*, 33 NY2d 75, *cert denied sub nom. Victory v New York*, 416 US 905; *People v Melendez*, 285 AD2d 819, 97 NY2d 731; *People v Cruz*, 66 NY2d 61, 481 US 186; *People v Berg*, 59 NY2d 294; *People v Davis*, 58 NY2d 1102.) III. The rulings of the trial court did not deprive defendant of a fair trial. (*Werner v Sun Oil Co.*, 65 NY2d 839; *People v Wernick*, 89 NY2d 111; *People v Taylor*, 75 NY2d 277; *People v Carroll*, 95 NY2d 375; *People v MacDonald*, 63 AD3d 1520; *People v Buccina*, 62 AD3d 1252; *Pavel v Hollins*, 261 F3d 210; *People v Guidice*, 83 NY2d 630; *People v Moore*, 46 NY2d 1.)

OPINION OF THE COURT

SMITH, J.

Defendant was convicted of participating in a rape with three other men. One of his alleged accomplices, Andrew Hilborn, was the only witness to identify him. The issue is whether Hilborn's testimony was corroborated as CPL 60.22 (1) requires. We hold that it was.

I

The main witnesses at trial were Hilborn and the victim. Both described a rape by four men. The victim did not identify any of the four, but Hilborn said he participated in the crime with Scott MacDonald, Santino Buccina and defendant. MacDonald, Buccina and Hilborn were connected to the rape by DNA evidence, but defendant was not.

Hilborn and the victim gave detailed and very similar accounts. According to both, the victim was intoxicated and lost on the streets of Syracuse in the middle of the night when she got into a car with four men who agreed to help her. Hilborn testified that MacDonald was driving, Buccina was in the front passenger seat, and the victim sat in back with Hilborn on her

left and defendant on her right; the victim, without identifying the men, described the same seating arrangement.

According to both Hilborn and the victim, the following events then took place: The victim borrowed a cell phone from one of the men and tried unsuccessfully to call someone who might help her find her way. Later, she fell asleep. While she slept, the car drove out of town, and stopped in an isolated spot. The men took the victim out of the car, removed her pants and bound her with duct tape. After she woke up, they removed the duct tape, and the driver of the car (MacDonald in Hilborn's telling) threatened her with harm unless she submitted to sex.

Both witnesses' accounts continued: The victim got back in the car and was raped, in order, by the driver, the man who had sat on her right, the man from the front passenger seat and her left-hand neighbor (MacDonald, defendant, Buccina and Hilborn in Hilborn's testimony). One of the men then returned the victim's clothing and rings, and the car drove back to Syracuse, with everyone in the same seats as before. During the drive back, the victim's right-hand neighbor (defendant, according to Hilborn) took her driver's license and appeared to enter identifying information into his cell phone. Also during the drive back, the occupants of the car had a conversation about whether they had passed the Central Square rest stop. Finally, the rapists dropped their victim off in Syracuse, near a hotel.

In addition to the testimony of Hilborn and the victim, the People produced other testimony and documentary evidence. We will describe later in this opinion the parts of it we think most relevant.

The jury acquitted defendant of personally raping the victim, but convicted him on three counts of rape as an accomplice and one count of conspiracy. The Appellate Division affirmed, with two Justices dissenting (64 AD3d 1201 [2009]). An Appellate Division Justice granted permission to appeal to this Court (13 NY3d 751 [2009]), and we now affirm.

II

CPL 60.22 (1) says: "A defendant may not be convicted of any offense upon the testimony of an accomplice unsupported by corroborative evidence tending to connect the defendant with the commission of such offense."

The "corroborative evidence" required by this statute need not be powerful in itself. "The corroborative evidence need not

show the commission of the crime; it need not show that defendant was connected with the commission of the crime. It is enough if it tends to connect the defendant with the commission of the crime in such a way as may reasonably satisfy the jury that the accomplice is telling the truth” (*People v Dixon*, 231 NY 111, 116 [1921] [citations omitted]). “[T]he role of the additional evidence is only to connect the defendant with the commission of the crime, not to prove that he committed it. The accomplice testimony, if credited by the jury, may serve the latter purpose” (*People v Hudson*, 51 NY2d 233, 238 [1980]). Indeed, we have said that “much less evidence and of a distinctly inferior quality is sufficient to meet the slim corroborative linkage to otherwise independently probative evidence from accomplices” (*People v Breland*, 83 NY2d 286, 294 [1994]). Still, if the corroboration requirement is not met, a conviction cannot stand.

Here, as our summary above makes clear, the great bulk of Hilborn’s testimony was corroborated by the victim. But the victim did not, as defendant emphasizes, corroborate one critical detail, defendant’s identity—and therefore, defendant argues, her testimony was not evidence “tending to connect the defendant with the commission of [the] offense.” Evidence showing that, in general, the accomplice told the truth is not enough, in defendant’s view; he argues that there must be evidence independently pointing to him as the offender.

Defendant’s argument finds support in *People v Hudson*, where we said: “To meet the statutory mandate the corroborative evidence must be truly independent; reliance may not to any extent be placed on testimony of the accomplice for to do so would be to rely on a bootstrap” (51 NY2d at 238). *Hudson* would require that we consider only evidence that is “independent” in the sense that it could be viewed as connecting defendant to the crime even if the accomplice testimony did not exist.

As we will explain, the rule stated in *Hudson* is not supported by our other cases, and we do not follow it here. Nevertheless, the distinction *Hudson* makes is a useful one: Evidence that is independent of the accomplice’s testimony is generally entitled to more weight than evidence that is not. Thus we will perform the exercise that *Hudson* requires and consider what evidence would, if the accomplice’s testimony did not exist, tend to connect defendant with this offense. We will then consider the importance of other evidence, not independent in the *Hudson* sense.

Disregarding Hilborn's testimony, the evidence in the record that might, arguably, tend to connect defendant with the crime may be summarized as follows:

- Defendant was a friend of one of the known rapists, MacDonald. MacDonald's father-in-law testified that defendant had, four or five times, visited MacDonald at his home.

- Shortly before and shortly after the rape, defendant was in frequent contact with another of the rapists, Buccina. Buccina's cell phone records showed that he called defendant or defendant called him a total of 31 times on the day before the rape, the day of the rape and the day after.

- Of those 31 calls, none occurred during the time when the victim's testimony placed the four rapists together. Dozens of calls appear on Buccina's cell phone records in the hours immediately preceding and following the rape, but none of those calls was from or to defendant.

- There is some evidence, though weak, of a physical resemblance between defendant and one of the rapists. Defendant had dirty blond hair, and none of the other three alleged offenders had that feature. A statement given by the victim shortly after the rape, and brought out before the jury, said that one of the rapists had dirty blond hair. In a later statement, the victim retracted her description, saying she had given it because she felt pressured by the police to come up with identifying details. On the other hand, the victim made a cryptic remark during her testimony which may suggest that the appearance of defendant and his codefendants, MacDonald and Buccina, was like that of her attackers: "I'm sitting in a room with three people that I can tell you they sat in the car."

- Defendant had a strong emotional reaction when first contacted by the police about this case. An officer went to defendant's home and said he wanted to talk about a rape investigation. According to the officer, defendant "became extremely pale, sweaty, shaky . . . had to lean up against a railing."

[1] In sum, independent evidence that may point toward defendant as one of the victim's rapists does exist—but it must be said that the evidence is unimposing. It obviously falls far short of what would be necessary to prove defendant's guilt. Whether it meets the much less demanding standard applied to corroborative evidence under CPL 60.22 (1) is a close question. We find it unnecessary to answer the question, because we conclude

that other corroborative evidence, though not independent in the *Hudson* sense, should not be disregarded.

The text of CPL 60.22 (1), requiring “corroborative evidence tending to connect the defendant with the commission of such offense,” need not be read, as it was in *Hudson*, to require that all corroboration that depends to any degree on the accomplice’s testimony be ignored. The words “without reference to the accomplice’s testimony” are not in the statute. There can be corroborative evidence that, read with the accomplice’s testimony, makes it more likely that the defendant committed the offense, and thus tends to connect him to it.

A number of our decisions, both before and after *Hudson*, are inconsistent with the *Hudson* rule. As early as 1921, we said, in language we have repeatedly echoed since then: “Matters in themselves of seeming indifference or light trifles of the time and place of persons meeting may so *harmonize* with the accomplice’s narrative as to have a tendency to furnish the necessary connection between defendant and the crime” (*Dixon*, 231 NY at 116-117 [emphasis added]; see also, e.g., *People v Daniels*, 37 NY2d 624, 629 [1975]; *Breland*, 83 NY2d at 294; *People v Besser*, 96 NY2d 136, 143 [2001]). To consider whether accomplice testimony and other evidence “harmonize” is not to disregard the accomplice’s testimony; it is closer to the opposite. And we have held that some evidence may be considered corroborative even though it simply supports the accomplice testimony, and does not independently incriminate the defendant. Thus, in *Breland*, we relied on forensic evidence as to the location of a body and the gunshot wounds found in it that “corresponded with the details” supplied by an accomplice (83 NY2d at 293; see also *People v Bretti*, 68 NY2d 929 [1986]).

[2] In short, many of our cases are inconsistent in their language, and some in their holdings, with the *Hudson* rule that CPL 60.22 (1) does not permit consideration of corroborative evidence that depends “to any extent” on accomplice testimony. We now make clear that this aspect of *Hudson* is overruled. Courts may consider harmonizing evidence as well as independent evidence, while giving due weight to the difference between the two. Some evidence that is not independent will obviously be worthless: If an accomplice testifies that the defendant committed a crime next to a tree in Central Park, the prosecution cannot “corroborate” this testimony by proving the existence of the tree. But in other cases, as in this one, harmonizing evidence may provide a substantial basis for crediting accomplice testimony.

[1] Indeed, when we examine evidence that, though not independent of Hilborn's testimony, does harmonize with it, we find the corroboration to be ample. The victim's detailed account, and the DNA identifications of the three other rapists, give strong reason to believe that Hilborn's description of events was very largely true. It is possible, of course, that Hilborn told the truth about every other detail, and lied about defendant's involvement; but, on this record, it was for the jury to decide what weight to give that possibility. The cell phone records, too, harmonize with Hilborn's testimony in a not insignificant way: Hilborn testified that he was with defendant, Buccina and MacDonald for an extended period of time before they met the victim—and Buccina's cell phone records show that Buccina and defendant, who otherwise called each other often, placed no calls to each other for hours before the victim entered the car. If Hilborn was lying when he said that defendant was one of the men in the car, he was lucky that the cell phone records matched his testimony.

We conclude that the People produced corroborative evidence sufficient to connect defendant to the commission of the offense. Defendant's argument that he was improperly denied access to Hilborn's medical records is unpreserved, and his remaining arguments lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Defendant raises the question whether his conviction was obtained in violation of CPL 60.22 (1). Because the evidence presented to corroborate the accomplice's testimony did not meet the strictures of CPL 60.22 (1), I respectfully dissent.

The rule that requires the corroboration of an accomplice's testimony is a safeguard that recognizes the questionable reliability of the testimony of an accomplice. It requires independent support of the testimony of a person who admits that he participated in a crime along with his confederates, yet points the finger at another for his own personal benefit.¹ Accordingly, CPL 60.22 (1) requires "corroborative evidence tending to connect the defendant with the commission of such offense." I agree with the two dissenting Justices of the Appellate Division

1. The accomplice, Hilborn, received a sentence of seven years for his testimony, while the codefendants were sentenced to 25 years.

(64 AD3d 1201, 1204 [2009]) that the corroborating evidence offered by the People in this case fails to identify defendant as a perpetrator.

The majority cites a laundry list of purportedly corroborative evidence. In my view, the evidence offered up, which fails to link defendant to the crime, does not satisfy CPL 60.22 (1) or the relevant case law.

First, the People argue that because the accomplice was “correct” in three out of four of his identifications (of himself and two codefendants), which were confirmed by DNA evidence, he was “correct” when he identified defendant as a participant in the crime, even though no DNA evidence linking him to the crime was recovered from defendant. In short, the People seek to explain the *lack* of corroborating DNA evidence from defendant by relying on the accomplice who states he supplied defendant with a condom, and initially lied about certain details of his involvement.² Thus, in an interesting twist of logic, the People used the *lack* of corroborating DNA evidence from defendant, which would normally exculpate a defendant in a sex crime, to inculcate defendant here.

Further, the People argue there was a close friendship between defendant and codefendant Buccina, and evidence of telephone calls between them before and after the crime. Without any proof of the substance of these calls, no reasonable conclusion can be drawn concerning their corroborative value. These calls do not tend to identify defendant as a perpetrator of the offense. Further, an association between a defendant and the codefendants is not necessarily sufficient to establish that defendant was involved in criminal activity and cannot serve as corroborating evidence (*see People v Marmulstein*, 109 AD2d 948, 949 [3d Dept 1985]).

In addition, the People point to defendant’s nervousness when he was arrested and when he was taken for DNA testing as corroborating evidence. This Court has held that consciousness of guilt evidence (e.g., an individual’s nervousness when confronted by the police) is considered very weak evidence and does not necessarily meet the corroboration requirement of CPL 60.22 (1) (*see People v Moses*, 63 NY2d 299, 309 [1984]; *People v Reddy*, 261 NY 479, 487-488 [1933]).

2. The accomplice first stated that he used a condom. After the DNA evidence was discovered, he changed his story and said that he used a condom during part of the assault and then took it off.

Finally, the majority considers how the victim's testimony indicating the number of perpetrators and the method of attack "harmonizes" with the accomplice's details. Although the victim's testimony bolsters the accomplice's story, none of her details connect defendant with the crime. She was unable to identify any of the perpetrators after spending hours in the car with them. In any event, the fact that the victim's testimony harmonizes with the accomplice's does not connect the defendant with the crime, and is not corroborating evidence as contemplated by CPL 60.22 (1).

Contrary to the majority's position, I believe that the principles set forth in *People v Hudson* (51 NY2d 233 [1980]) and its progeny are controlling here. It is well settled that "[t]he corroboration must be independent of, and may not draw its weight and probative value from, the accomplice's testimony" (*People v Steinberg*, 79 NY2d 673, 683 [1992], citing *People v Moses*, 63 NY2d at 306; *People v Hudson*, 51 NY2d at 238).

The main cases the majority relies on, *People v Besser* (96 NY2d 136 [2001]) and *People v Breland* (83 NY2d 286 [1994]), are inapposite. In *Besser*, the indictment charged 10 defendants with one count of enterprise corruption based on 62 pattern criminal acts. Unlike here, in *Besser*, there was ample proof beyond the accomplices' testimony, including testimony from at least two nonaccomplice witnesses and documentary evidence, which sufficiently corroborated the accomplices' testimony.

In *Breland*, the defendant was charged with multiple murders and identified by many accomplices as well as independent witnesses. The majority cites an often quoted rule from *Breland*, i.e., "much less evidence and of a distinctly inferior quality is sufficient to meet the slim corroborative linkage to otherwise independently probative evidence from accomplices" (*Breland*, 83 NY2d at 294). However, this quote is incomplete as stated. The Court in *Breland* goes on to add the following: "In this case, the corroborative strands support overwhelming proof from the accomplices as to each element of all the counts beyond a reasonable doubt" (*id.* at 294 [citation omitted]).

There is no question that this was a particularly heinous crime. However, in such a case it is imperative to require the People to put forth the proper corroborating evidence. In *People v Cona* (49 NY2d 26, 37 [1979]), the Court stated, "[t]his is not a crippling requirement and serves to assure the reliability of evidence furnished by a witness who must be perceived as pos-

sibly laboring under considerable inducements to favor the prosecution.” In the instant case, the accomplice not only wanted to curry favor with the prosecution for obvious reasons but may have been easily influenced by the police as well. This accomplice was in a psychiatric unit, schizophrenic, bipolar and hearing voices at the time of trial.

People v Hudson has been settled law for 30 years and has been cited with approval in more than 100 cases. It sets forth the rationale for CPL 60.22 (1) as follows:

“[T]he purpose of the statute is to protect the defendant against the risk of a motivated fabrication, to insist on proof other than that alone which originates from a possibly unreliable or self-interested accomplice (*People v Daniels*, 37 NY2d 624). It is for this reason that the so-called corroborative evidence must stand on its own. To permit the testimony of the accomplice himself to import meaning or significance into the independent proof would furnish no assurance that the independent proof was not itself subject to the very untrustworthiness against which the statute seeks to protect” (*Hudson*, 51 NY2d at 238-239).

I disagree with the majority’s decision to overrule any portion of *Hudson*. Generally, cases are overruled when they no longer serve the underlying “ ‘ ‘nature and object of the law itself’ ’, reason and the power to advance justice” (*People v Bing*, 76 NY2d 331, 338 [1990], quoting von Moschzisker, *Stare Decisis in Courts of Last Resort*, 37 Harv L Rev 409, 414). No such purpose exists here. No party has argued that *Hudson*, or any aspect of it, should be overruled. Furthermore, neither *Besser* nor *Breland*, which as stated were relied upon by the majority, have anything to do with the major thrust of *Hudson*.

In conclusion, the case against defendant was not supported by independent corroborating evidence tending to connect him to the crime as required by CPL 60.22 (1). Accordingly, he was denied a fair trial. It is troubling to consider that a person could be convicted of such a crime with absolutely no scientific or physical evidence to connect him to the crime, no identification by the victim, and the weakest of purported corroborating evidence.

Accordingly, I dissent and would reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ
and PIGOTT concur with Judge SMITH; Judge JONES dissents and
votes to reverse in a separate opinion.

Order affirmed.

[932 NE2d 879, 906 NYS2d 523]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NAY-
SHAWN PERKINS, Appellant.

Argued June 2, 2010; decided June 29, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 14, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Joel M. Goldberg, J., at *Wade* hearing; Anne G. Feldman, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree and robbery in the first degree.

People v Perkins, 61 AD3d 780, affirmed.

HEADNOTE

Crimes — Identification of Defendant — Lineup — Refusal by Defendant to Participate in Corporeal Lineup — Admissibility of Identification Evidence from Photographic Array of Lineup Participants

In the criminal prosecution of defendant arising from a store robbery during which an employee was shot, evidence of the victim's identification of defendant as the shooter, three months after the crime, from an array of photographs of intended corporeal lineup participants taken the day the lineup was scheduled to occur was properly admitted at trial where defendant thwarted the corporeal lineup by refusing to cooperate. Criminal Procedure Law § 60.30, like Code of Criminal Procedure § 393-b from which it derives, has been interpreted to exclude the admissibility of testimony of a prior photographic identification because pictures can be readily distorted to affect identity and because a jury might infer that the police possessed a defendant's photograph by reason of a previous arrest. However, there is no indication that the Legislature intended to rule out photographic identification evidence in the event a defendant thwarts a lineup. Here, defendant, as a result of his misconduct, forfeited his right to rely on the evidentiary rules ordinarily barring admission of photographic identification evidence. The testimony of the detective in charge of the aborted lineup dispelled any notion the jurors might otherwise have harbored that the police already possessed the photograph of defendant used in the array from a prior arrest. Moreover, in determining whether or not the prosecution was prejudiced by defendant's conduct inasmuch as the victim identified defendant in a corporeal lineup conducted almost nine months after the crime, the trial judge reasonably concluded that the jurors might be more skeptical about the reliability of the later lineup.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 923, 924; AM JUR 2d, Evidence §§ 571, 573, 640.

Opinion by READ, J.

CARMODY-WAIT 2d, Eyewitness Identification Procedures §§ 174:20, 174:46; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:223, 194:225, 194:240.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 7.4.

McKINNEY's, CPL 60.30.

NY JUR 2d, Criminal Law: Procedure §§ 2070, 2078, 2080.

ANNOTATION REFERENCE

Admissibility of evidence of photographic identification as affected by allegedly suggestive identification procedures. 39 ALR3d 1000.

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Database: NY-ORCS

Query: photo! /5 identif! & line-up /5 thwart! abort!

POINTS OF COUNSEL

Joshua M. Levine, New York City, and *Lynn W.L. Fahey* for appellant. Permitting the People to elicit the complainant's identification of appellant's picture in a photographic array, based on appellant's original refusal to participate in a lineup, violated due process and the rule prohibiting photographic identification evidence at trial. (*People v Huertas*, 75 NY2d 487; *People v Caserta*, 19 NY2d 18; *People v De Martini*, 213 NY 203; *People v Jung Hing*, 212 NY 393; *People v Torres*, 184 AD2d 605; *People v Brewster*, 100 AD2d 134, 63 NY2d 419; *People v Cioffi*, 1 NY2d 70; *People v Spinello*, 303 NY 193; *People v Pleasant*, 54 NY2d 972; *People v Lindsay*, 42 NY2d 9.)

Charles J. Hynes, District Attorney, Brooklyn (*Victor Barall* and *Leonard Joblove* of counsel), for respondent. Defendant's claim that the trial court erred in admitting evidence that he had been identified in a photographic array is unpreserved for appellate review. Furthermore, the claim is meritless. In any event, any error was harmless. (*People v Reed*, 84 NY2d 945; *People v Geraci*, 85 NY2d 359; *People v Sanchez*, 65 NY2d 436; *Diaz v United States*, 223 US 442; *People v Crimmins*, 36 NY2d 230; *People v Robinson*, 88 NY2d 1001; *People v Luperon*, 85 NY2d 71; *People v Hughes*, 137 NY 29; *People v Hicks*, 6 NY3d 737; *People v Flores*, 84 NY2d 957.)

OPINION OF THE COURT

READ, J.

On October 31, 2002, four men carried out an armed robbery at a clothing store in Brooklyn, during which one of the robbers

shot a store employee in the head and chest. The victim survived. Acting on information that defendant Nayshawn Perkins might have been involved in the robbery, the police created a photographic array of six pictures, including his, and showed the array to the victim four days after the crime; the victim immediately recognized defendant as “the guy that shot me.”

On February 3, 2003, about three months after the crime, defendant was arrested. The victim was summoned to the police station the next day to view a lineup. When the detective tried to organize it, however, defendant balked: he insisted that he was not going to participate; he kicked and spat and cursed at the detective, and refused to sit still and face forward, holding a lineup number. As a result of defendant’s obstreperousness, it was impossible to carry out the lineup, but the detective managed to take defendant’s photograph (a Polaroid head shot) by persuading him that his picture was required for a “prisoner movement slip.” The detective also took head shots of the five men who were to have served as fillers in the lineup, and laid out the six photographs in a row on a table for the victim to look at. The victim pointed out defendant’s photograph, identifying him as his assailant. On July 21, 2003, 5½ months after the aborted lineup and almost nine months after the crime, the victim selected defendant again, this time in a court-ordered, double-blind lineup.

Following a *Wade* hearing, Supreme Court held that the pre-trial identification procedures undertaken by the police were not unduly suggestive, and therefore denied defendant’s motion to suppress the victim’s lineup identification of defendant in July of 2003, and to preclude his prospective in-court identification testimony. While the prosecutor also maintained that she should be permitted to introduce at trial evidence of the victim’s photographic identification of defendant in February of 2003 as well as the precipitating circumstances, the hearing court declined to rule on these issues in deference to the trial judge.

Before jury selection at defendant’s trial in May of 2005, the prosecutor renewed her request to present to the jury the victim’s photographic identification of defendant on February 4, 2003, as well as evidence as to why the police were unable to conduct a lineup that day.* The prosecutor argued that because defendant obstructed the corporeal lineup, he should not be

* By the time the case went to trial, there was additional evidence linking defendant to the robbery: 13 of the latent fingerprints lifted from plastic

(n. cont’d)

heard to complain about the admission of the victim's identification made after viewing the photographs taken of him and the fillers. The prosecutor further contended that defendant's behavior thwarting the lineup was admissible as evidence of consciousness of guilt.

The trial judge ruled that the victim's photographic identification of defendant in February of 2003 was admissible, remarking that "[c]ommon sense dictates the defendant may not sabotage efforts to see if somebody can identify him in a lineup by refusing to participate, and then the pictures can't come in because it's not a corporeal lineup. Common sense would dictate that." When defense counsel objected on the ground that the People were not prejudiced by defendant's conduct because of the victim's eventual lineup identification of him, the judge disagreed. She explained that

"the jury may very well feel a person [nine] months later is not as reliable as somebody closer to the incident. So—both of them would be admissible; and, of course, the evidence that he resisted participation in a lineup, since that is clearly a possible consciousness of guilt evidence."

The next day, defense counsel renewed his opposition to admission of the photographic identification. He reiterated that the People were not prejudiced, and also protested that counsel was not present at the station house in February of 2003. He acknowledged, however, that if he cross-examined anyone about the lengthy gap in time between the crime and the lineup in July of 2003, this would open the door to the identification testimony the People sought to introduce. The trial judge again commented, though, that the jury "might wonder how somebody could possibly recognize someone all that time later," even if not prompted by defense counsel's questioning. Accordingly, the judge adhered to her earlier ruling, adding that

"[t]he fact that [defendant] didn't have counsel present . . . that has nothing to do with what the issue is. The issue is there is testimony that [defendant] refused to cooperate in a lineup, and for that reason they used another procedure closer to the event. And I think that would be an appropriate way of doing it. Then the second lineup was conducted

garbage bags abandoned by the robbers in their haste to flee from the scene of the crime were found to match defendant's fingerprints.

sometime later, when apparently new counsel was able to persuade [defendant] to cooperate

“I think both of those should be properly before the jury, because [the prosecutor] is maintaining it was consciousness of guilt to cause him not to cooperate. I think that is a fair inference that could be drawn if the jury believes it happened.”

The jury subsequently convicted defendant of second-degree attempted murder (Penal Law §§ 110.00, 125.25) and first-degree robbery (Penal Law § 160.15). On June 14, 2005, the trial judge sentenced defendant as a second felony offender to concurrent terms of 25 and 10 years in prison for attempted murder and robbery respectively. Defendant took an appeal, arguing that the trial judge should not have permitted the People to introduce the evidence of the victim’s photographic identification of him in February 2003.

On April 14, 2009, a unanimous Appellate Division affirmed the judgment of conviction and sentence. After noting that defendant had “refused to participate” in the lineup that the police sought to conduct on February 4, 2003, the court observed that

“[i]n general, evidence regarding pretrial photographic identifications is not admissible at trial. This general prohibition is based in large part on the inference a jury may draw that possession by the police of the defendant’s photograph was the result of prior arrests. Here, however, it was the defendant himself, who, by his refusal to participate in the lineup, made resort to the photographic identification necessary. A person lawfully in custody has no right to refuse to participate in a lineup. It would thus be inappropriate to allow the defendant’s refusal to participate in a lineup to give rise to an inference by the jury that the identification testimony was suspect because the defendant was not identified in a lineup until nine months after the crime. Significantly, the jury was made aware that the defendant’s photograph was taken on the day of the photographic ‘lineup’ and was not in the possession of the police by reason of a previous arrest. Under the circumstances here, therefore, it was not improper to admit evidence of the photographic

‘lineup’ ” (61 AD3d 780, 781-782 [2d Dept 2009] [citations omitted]).

A Judge of this Court granted permission to appeal (13 NY3d 748 [2009]), and we now affirm.

At common law, a witness was barred from testifying that he had identified the defendant prior to trial, whether at a lineup or from photographs (*People v Huertas*, 75 NY2d 487, 493-494 [1990]). We have held, however, that section 393-b of the Code of Criminal Procedure carved out an exception to the common-law rule, but “only to the extent of permitting a witness to testify to a previous identification by himself of the defendant *in the flesh*” (*People v Caserta*, 19 NY2d 18, 21 [1966] [emphasis added]). We have cited two “well understood” reasons to justify excluding pretrial photographic identifications: it is “readily possible to distort pictures as affecting identity”; and a jury might infer that the police possessed a defendant’s photograph because of previous run-ins with the law (*id.* at 21; *see also* Kamins, Criminal Law and Procedure, *Photo I.D. Evidence: Is it Time for a Change?*, NYLJ, Apr. 5, 2010, at 3, col 1 [exploring history of and controversy surrounding New York’s exclusion—unique among the 50 states—of photographic identification as direct evidence in criminal trials]; *see also* *People v Woolcock*, 7 Misc 3d 203 [2005]).

Criminal Procedure Law § 60.30, like section 393-b from which it derives, has also been interpreted to apply only to the admissibility of testimony of a prior corporeal identification. But there is no indication that the Legislature intended to rule out photographic identification evidence in the event a defendant thwarts a lineup. As a result of his misconduct on February 4, 2003, defendant forfeited the right to rely on the evidentiary rules ordinarily barring the admission of photographic identification evidence, thus opening the way for the People to introduce the victim’s identification of him from pictures taken the same day as and in lieu of the aborted lineup (*see* *People v Geraci*, 85 NY2d 359, 366 [1995] [citing “the maxim that the law will not allow a person to take advantage of his own wrong,” court concluded that a witness’ grand jury testimony was properly admitted as direct evidence where the witness’ unavailability at trial was procured by defendant through violence and threats, thus creating a “forfeiture dictated by sound public policy” (internal quotation marks omitted)]). Moreover, the testimony of the detective in charge of the lineup on February 4, 2003 dispelled any notion the jurors might otherwise have

harbored that the police already possessed the photograph of defendant shown to the victim that day.

Finally, the trial judge did not abuse her discretion when she rejected defendant's claim that the People would suffer no prejudice because the victim eventually identified him in a lineup in July of 2003. When a defendant's misconduct obstructs a corporeal identification, the determination of whether the People have been prejudiced such that evidence of a photographic identification is admissible lies within the trial court's discretion. The judge here reasonably concluded that the jurors might be more skeptical about the reliability of an identification made nearly nine rather than three months after the crime.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed.

[933 NE2d 183, 906 NYS2d 785]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEX
RIVERA, Appellant.

Argued March 24, 2010; decided May 6, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 10, 2009. The Appellate Division (1) modified, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Kings County (Abraham Gerges, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (three counts), criminal possession of a weapon in the third degree, burglary in the first degree, burglary in the third degree, petit larceny and unlawful imprisonment in the second degree (three counts), and (2) remitted the matter to Supreme Court, Kings County, for resentencing. The modification consisted of vacating the sentence imposed on the count of burglary in the third degree and providing that the remaining sentences imposed run concurrently. The Appellate Division affirmed the judgment as modified.

People v Rivera, 60 AD3d 788, modified.

HEADNOTES

Crimes — Verdict — Partial Verdict — Refusal to Accept Partial Verdict Announced in Open Court Improper

1. The trial court in defendant's criminal prosecution violated the partial verdict procedure of CPL 310.70 when, upon receiving a note from the jury indicating that it had reached a verdict on some of the 11 counts submitted to it but was at a standstill as to others, the court instructed the jury to render its partial verdict in open court, in which the jury found defendant not guilty of four counts and guilty of one, then refused to accept the partial verdict and instructed the jury to continue to deliberate on all 11 counts. When a deliberating jury declares that it has reached a verdict as to some, but not all, of the counts submitted to it and there is a reasonable possibility of ultimate agreement on any of the unresolved counts, the court may either order the jury to render a partial verdict and continue deliberating upon the remaining counts, or refuse to accept the partial verdict and order the jury to continue deliberating upon the entire case (CPL 310.70 [1] [b]). A court may reject an announced verdict only where the verdict is legally defective or repugnant. Here, the partial verdict was neither legally defective nor repugnant. Thus, by refusing to accept the partial verdict after it was announced, the court erroneously took the pulse of the jury before ordering it to reconsider its decision, and signaled to the jury that the partial verdict was incorrect. The coercive effect the trial court's actions had on the jury was evidenced by the fact that the day

after the partial verdict was rendered, the jury convicted defendant of counts that it had acquitted him of the previous day.

Crimes — Right to Jury Trial — Refusal to Accept Partial Verdict Announced in Open Court

2. The trial court in defendant's criminal prosecution impinged on defendant's right to a trial by jury when, upon receiving a note from the jury indicating that it had reached a verdict on some of the 11 counts submitted to it but was at a standstill as to others, the court instructed the jury to render its partial verdict in open court, in which the jury found defendant not guilty of four counts and guilty of one, then refused to accept the partial verdict and instructed the jury to continue to deliberate on all 11 counts. Essential to a fair trial in criminal cases is the vigilant protection of the secrecy and independence of jury deliberations. When the trial court found out where the jury stood on certain counts and then ordered it to deliberate further on those counts, the court improperly inserted itself into and exerted influence over the jury deliberations, as exhibited by the fact that the day after the partial verdict was rendered, the jury convicted defendant of counts that it had acquitted him of the previous day.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 975, 977; AM JUR 2d, Trial §§ 1521, 1659.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings §§ 202:20, 202:27–202:30.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.10.

McKINNEY's, CPL 310.70.

NY JUR 2d, Criminal Law: Procedure §§ 2822, 2849, 2850, 3392.

ANNOTATION REFERENCE

See ALR Index under Jury Trials; Verdicts.

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Query: partial /2 verdict /s announc! /p delib! /4 continu!

POINTS OF COUNSEL

Lisa Napoli, New York City, and *Lynn W.L. Fahey* for appellant. The trial court violated Criminal Procedure Law § 310.70 and denied appellant due process by ordering the jury to render a partial verdict, learning that it acquitted appellant of four counts and convicted him of one, and then rejecting that partial verdict, instructing the jury to continue deliberating on all the charges, and sending the clear message that the partial verdict was incorrect. (*Duncan v Louisiana*, 391 US 145; *United States*

v Thomas, 116 F3d 606; *United States v Schwarz*, 283 F3d 76; *United States v Ianniello*, 866 F2d 540; *People v Rodriguez*, 71 NY2d 214; *People v Yut Wai Tom*, 53 NY2d 44; *People v Bouton*, 50 NY2d 130; *People v Salemmo*, 38 NY2d 357; *People v Tucker*, 55 NY2d 1; *People v Trappier*, 87 NY2d 55.)

Charles J. Hynes, District Attorney, Brooklyn (Diane R. Eisner and Leonard Joblove of counsel), for respondent. The trial court acted within its discretion, pursuant to CPL 310.70 (1) (b) (ii), when it declined to accept a partial verdict and ordered the jury to continue to deliberate on all counts. (*Matter of Theroux v Reilly*, 1 NY3d 232; *People v Jackson*, 87 NY2d 782; *Matter of Oliver v Justices of N.Y. Supreme Ct. of N.Y. County*, 36 NY2d 53; *People v Harris*, 50 AD3d 1387; *People v Aleman*, 12 NY3d 806; *People v Price*, 16 AD3d 323; *People v Gause*, 38 AD3d 999; *People v Wincelowicz*, 258 AD2d 602; *People v Phong T. Le*, 277 AD2d 1036; *People v Berg*, 59 NY2d 294.)

OPINION OF THE COURT

JONES, J.

This appeal requires us to determine whether the trial court violated Criminal Procedure Law § 310.70 when it instructed the jury to render a partial verdict, in which the jury acquitted defendant of four counts and convicted him of one, refused to accept said verdict after it was announced in open court, and then ordered the jury to continue deliberations on *all* the counts submitted to it. We conclude that the trial court violated CPL 310.70.

According to the People, at approximately 1:00 A.M. on July 28, 2001, defendant and his brother broke into the third-floor apartment shared by three Pakistani immigrants in the Bay Ridge section of Brooklyn. Over the next two to three hours, defendant and his brother terrorized the occupants, bound and gagged them with duct tape, threatened to shoot them and demanded money and jewelry. After taking money and property from the apartment, and after demanding the keys to the nearby delicatessen where one of the victims worked, defendant and his brother left the apartment. The victims then freed themselves and called the police, telling them to go to the delicatessen. A little while later, the police found defendant and his brother in a

car near the delicatessen and arrested them. Thereafter, defendant's jury trial commenced.¹

On April 7, 2003, after the presentation of evidence at defendant's jury trial, and after the jury instructions were given, the trial court submitted the following 11 counts to the jury: first-degree robbery (armed with a deadly weapon) (three counts); second-degree criminal possession of a weapon; third-degree criminal possession of a weapon; first-degree burglary (apartment); third-degree burglary (delicatessen); petit larceny; and second-degree unlawful imprisonment (three counts). The trial court informed counsel on April 10, 2003 that it had received a note from the jury informing the court that it had reached a verdict on some counts but was at a standstill as to others. The trial court determined it would bring the jury in, "take" the partial verdict if the jury had in fact reached one and "then . . . see where we go from there." On the record (in open court), the foreperson of the jury announced the jury's partial verdict, acquitting defendant of the three unlawful imprisonment counts and second-degree weapons possession, but convicting him of petit larceny. Over defendant's objection, the trial court refused to accept the partial verdict and ordered the jury to resume deliberations on the *entire* case (all 11 counts).

On the following day—April 11, 2003—the jury convicted defendant of 10 of the 11 counts submitted to the jury, acquitting him only of second-degree weapons possession. Defendant was sentenced, as a persistent violent felony offender, to three consecutive prison terms of 25 years to life for the robbery counts, to run concurrently with concurrent prison terms of 25 years to life for the third-degree weapons possession and burglary counts, and one year for the petit larceny and unlawful imprisonment counts. The Appellate Division modified the judgment, on the law and as a matter of discretion in the interest of justice, with respect to the sentences imposed (60 AD3d 788 [2d Dept 2009]). As relevant here, the Appellate Division held that "[t]he trial court did not improvidently exercise its discretion in refusing to accept a partial verdict" (*id.* at 789). A Judge of this Court granted defendant leave to appeal (12 NY3d 920 [2009]), and we now modify the order of the Appellate Division.

Under the plain language of CPL 310.70, a trial court is required to follow one of two courses when a deliberating jury

1. Prior to trial, defendant's brother pleaded guilty to one count of first-degree robbery, and was sentenced to a determinate prison term of seven years.

declares that it has reached a verdict as to some, but not all, of the counts submitted to it, *and* there is a reasonable possibility of ultimate agreement on any of the unresolved counts. The court may either (1) order the jury to render a partial verdict and continue deliberating “upon the remainder” of the counts submitted to the jury (CPL 310.70 [1] [b] [i]), or (2) “[r]efuse to accept a partial verdict” and order the jury to continue its deliberations “upon the entire case” (CPL 310.70 [1] [b] [ii]).

[1] Here, after the jury informed the court that it had reached a partial verdict as to some of the 11 counts submitted to it, the trial court ordered the jury to render its partial verdict, which the foreperson announced in open court. The trial court then refused to accept the partial verdict as requested by the defense, and ordered the jury to resume deliberations on the entire case. In so doing, the trial court took the pulse of the jury deliberations and then ordered the jury reconsider its decision. This was error.²

[2] By refusing to accept the partial verdict after it was announced, the trial court signaled to the jury that the partial verdict was incorrect. What’s more, given the full verdict rendered the day after the partial verdict was announced, in which the jury convicted defendant of counts it had acquitted defendant of the day before, one could reasonably conclude that the trial court’s actions had a coercive effect on the jury (and its deliberations after the partial verdict was announced). In short, the trial court not only violated the partial verdict procedure under CPL 310.70, it impinged on defendant’s right to a trial by jury.

The right to a trial by jury in criminal cases is “fundamental to the American scheme of justice” and essential to a fair trial (*Duncan v Louisiana*, 391 US 145, 148-149, 154 [1968]). At the heart of this right is the need to ensure that jury deliberations are conducted in secret, and not influenced or intruded upon by outside factors (*see People v Rodriguez*, 71 NY2d 214, 218 n 1

2. A trial court may reject an *announced* verdict only under two circumstances: (1) where it is legally defective, e.g., where the jury failed to follow the court’s instructions (*see People v Salemmo*, 38 NY2d 357, 360-361 [1976]), or (2) where it is repugnant (*see People v Tucker*, 55 NY2d 1, 7-8 [1981]; *People v Trappier*, 87 NY2d 55, 58 [1995] [“A verdict is inconsistent or repugnant . . . where the defendant is convicted of an offense containing an essential element that the jury has found the defendant did not commit”]). Here, the announced partial verdict was neither legally defective nor repugnant.

[1988]; *People v Bouton*, 50 NY2d 130, 138 [1980]; *United States v Thomas*, 116 F3d 606, 618 [2d Cir 1997]).

This case makes clear why the secrecy and independence of jury deliberations must be vigilantly protected. If the trial court finds out where the jury stands on a particular count and then orders the jury to deliberate further on that count, the trial court effectively, even though inadvertently, inserts itself into the jury's deliberations. The mere possibility of a trial court exerting such influence over the jury is improper and at odds with the strong public policy that jury deliberations should be confidential and free from outside interference, and has the potential to render a defendant's right to a trial by jury meaningless.

We have considered defendant's remaining arguments and they are either academic or without merit.

Accordingly, the order of the Appellate Division should be modified by dismissing the three counts of unlawful imprisonment in the second degree and remitting to Supreme Court for a new trial on the counts of the indictment charging robbery in the first degree, criminal possession of a weapon in the third degree, burglary in the first degree and burglary in the third degree, and for resentencing on defendant's conviction of petit larceny, and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order modified, etc.

[933 NE2d 705, 907 NYS2d 106]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v EDGAR
CORREA, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOAO
FERNANDEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ALLEN
MACK, Respondent.

Argued May 5, 2010; decided June 3, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 23, 2010. The Appellate Division reversed, on the law, a judgment of the Supreme Court, Bronx County (Robert G. Seewald, J.), which had convicted defendant, after a nonjury trial, of harassment in the second degree, and dismissed the misdemeanor information.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered March 9, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Esther M. Morgenstern, J.), which had convicted defendant, after a nonjury trial, of attempted aggravated harassment in the second degree (three counts).

APPEAL, in the third above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 23, 2010. The Appellate Division reversed, on the law, a judgment of the Supreme Court, Bronx County (Peter J. Benitez, J.), which had convicted defendant, after a nonjury trial, of attempted assault in the third degree and harassment in the second degree, and dismissed the misdemeanor information.

People v Correa, 70 AD3d 532, reversed.

People v Fernandez, 72 AD3d 303, affirmed.

People v Mack, 70 AD3d 555, reversed.

HEADNOTES**Appeal — Court of Appeals — Preservation of Issue for Review —
Transfer of Misdemeanor Prosecutions from Local Criminal
Courts to Supreme Court — Subject Matter Jurisdiction**

1. Notwithstanding defendants' failure to timely object in either New York City Criminal Court or Supreme Court to the transfer of their criminal prosecutions from local criminal courts to Supreme Court for trial pursuant to rules promulgated by the Chief Judge and Chief Administrative Judge that created the Bronx Criminal Division (BCD) or Integrated Domestic Violence (IDV) Parts in Supreme Court, the Court of Appeals addressed defendants' arguments on appeal that Supreme Court lacked subject matter jurisdiction over defendants' trials and that the rules violate the New York Constitution and the Criminal Procedure Law. If Supreme Court—acting through the IDV Part or the BCD—did not possess the authority to conduct these proceedings, this would be a fundamental, nonwaivable defect in the mode of proceedings that could be raised by defendants on their direct appeal despite their failure to comply with preservation requirements.

**Crimes — Removal to Superior Court — Transfer of Misdemeanor
Prosecutions from Local Criminal Courts to Supreme Court for
Trial — Legislative and Constitutional Authority**

2. Supreme Court's transfer powers under NY Constitution, article VI, § 19 (a) and the broad administrative authority vested pursuant to NY Constitution, article VI, § 28 and Judiciary Law § 211 provided the Chief Judge and the Chief Administrative Judge with the authority to promulgate rules that created the Bronx Criminal Division (BCD) and Integrated Domestic Violence (IDV) Parts in Supreme Court, which resulted in the transfer of certain misdemeanor prosecutions from local criminal courts to Supreme Court for trial. The intent of the IDV directive was to allow matters involving a single family to be resolved in one court by the same jurist, thereby eliminating fragmented judicial adjudication and relieving the parties of the burden and costs of having multiple actions pending in different courts. The BCD was created in order to permit certain cases originating in the New York City Criminal Court, Bronx County to be reassigned to the BCD for trial in order to alleviate a trial backlog that had developed in the Criminal Court. Even if statutory authorization was required before Supreme Court may transfer to itself cases arising in other courts pursuant to article VI, § 19 (a), Judiciary Law § 211 (1) (a) permits the Chief Judge to transfer cases between courts to further the efficient administration of justice and contains no language preventing the transfer of misdemeanor cases to Supreme Court.

**Crimes — Removal to Superior Court — Transfer of Misdemeanor
Prosecutions from Local Criminal Courts to Supreme Court for
Trial — Legislative and Constitutional Authority**

3. The Chief Judge and the Chief Administrative Judge did not exceed their constitutional and statutory powers in adopting directives which created the Bronx Criminal Division (BCD) and Integrated Domestic Violence (IDV) Parts to permit certain cases to be transferred from local criminal courts to Supreme Court for trial. Notwithstanding that the Legislature exercises significant control over the regulation of practice and procedure in the courts under NY Constitution, article VI, § 30, this provision does not address or purport to curtail the authority granted the Supreme Court in NY Constitution, article VI, § 19 (a) to transfer cases to itself "[a]s may be provided by law," or the administrative power vested in Unified Court System (UCS) administrators in

NY Constitution, article VI, § 28. In drafting Judiciary Law § 211, pursuant to which UCS administrators are authorized to transfer cases between courts, the Legislature made clear that it does not view the transfer of cases to be strictly a matter of practice and procedure. The Legislature’s decision to classify certain matters as administrative in the statutory delineation of the powers of UCS administrators is compelling evidence that it intended to recognize their authority over such matters. Although the creation of the BCD impacted the work of the New York City Criminal Court, Bronx County, in permitting cases commenced in the Criminal Court to be reassigned to the BCD for trial when at least one felony or misdemeanor offense was charged in order to alleviate a trial backlog that had developed in the Criminal Court, its role has not been restricted to the point that it has ceased to effectively fulfill the role assigned under the New York Constitution (*see* NY Const, art VI, § 15). Nor, in any event, did UCS administrators exceed their authority and impermissibly tread in the legislative domain when they issued the BCD or IDV directives.

Crimes — Jurisdiction of Offenses — Transfer of Misdemeanor Prosecutions from Local Criminal Courts to Supreme Court for Trial

4. Supreme Court had subject matter jurisdiction over so-called “unindicted” misdemeanors, initiated by the filing of an information, in cases that had been transferred from local criminal courts to Supreme Court for trial pursuant to rules promulgated by the Chief Judge and Chief Administrative Judge which created the Bronx Criminal Division and Integrated Domestic Violence Parts in Supreme Court. Subject to certain limitations, the New York Constitution vests Supreme Court with the power to hear any case that any other court in the Unified Court System (UCS) could hear (*see* NY Const, art VI, § 7 [a]). The Legislature has not adopted statutes that purport to oust Supreme Court of the jurisdiction to try unindicted misdemeanor cases. In its express language, the Criminal Procedure Law acknowledges that superior courts—such as Supreme Court—have subject matter jurisdiction to try misdemeanor cases (*see* CPL 10.20, 10.30 [1] [b]). Nor do the divestiture statutes in the CPL (*see* CPL 170.20, 170.25) undermine this conclusion. The divestiture statutes address the ability of the parties—the People or the defendant—to effectuate the removal of a case to a superior court such as Supreme Court. They do not address, much less revoke, the transfer powers granted to Supreme Court and UCS administrators in the Constitution and Judiciary Law § 211. Moreover, CPL 210.05, which directs that “[t]he only methods of prosecuting an offense in a superior court are by an indictment filed therewith by a grand jury or by a superior court information filed therewith by a district attorney,” is not a divestiture statute that prevents Supreme Court from exercising subject matter jurisdiction over any criminal case until there has been an indictment or defendant has agreed to waive indictment and be prosecuted by superior court information. By its terms, the statute imposes a nonjurisdictional limitation on prosecutorial power. CPL 210.05 does not preclude Supreme Court from exercising trial jurisdiction over misdemeanor cases concurrent with other UCS courts.

Constitutional Law — Equal Protection of Laws — Transfer of Misdemeanor Prosecutions from Local Criminal Courts to Supreme Court for Trial

5. The transfer of defendants’ misdemeanor prosecutions from the New York City Criminal Court, Bronx County to Supreme Court for trial pursuant to rules promulgated by the Chief Judge and Chief Administrative Judge

which created the Bronx Criminal Division did not violate defendants' rights to equal protection. Defendants failed to identify any respect in which they received less favorable treatment in Supreme Court than they would have received had their nonjury trials been conducted in the New York City Criminal Court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 823, 824, 928, 929; AM JUR 2d, Courts §§ 58, 103; AM JUR 2d, Criminal Law §§ 432, 436, 457.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:48, 2:293; CARMODY-WAIT 2d, Criminal Proceedings in General; Jurisdiction and Venue §§ 172:16, 172:18, 172:56, 172:57; CARMODY-WAIT 2d, Removal of Actions; Change of Venue §§ 183:13–183:15, 183:35.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 2.1.

McKINNEY'S, CPL 10.20, 10.30 (1) (b); 170.20, 170.25, 210.05; Judiciary Law § 211; NY Const, art VI, § 7 (a); §§ 15, 19 (a); §§ 28, 30.

NY JUR 2d, Constitutional Law §§ 339, 340; NY JUR 2d, Courts and Judges §§ 33, 43, 727, 867.5, 896; NY JUR 2d, Criminal Law: Procedure §§ 45–47, 49, 1003, 1006, 1301.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Equal Protection; Jurisdiction.

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POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Joseph N. Ferdenzi and Frances Y. Wang of counsel), for appellants in the first and third above-entitled actions. The Appellate Division erroneously decided that the Chief Judge and Chief Administrative Judge were without authority to order the transfer of defendant's case from Criminal Court to Supreme Court. (People v Cepeda, 71 AD3d 422; People v Jones, 18 Misc 3d 63, 10 NY3d 767; People v Darling, 50 AD2d 1038; Kagen v Kagen, 21 NY2d 532; Thrasher v United States Liab. Ins. Co., 19 NY2d 159; People v Turza, 193 Misc 2d 432; Matter of Malloy, 278 NY 429; Motor Veh. Mfrs. Assn. of U.S. v State of New York, 75 NY2d

175; *People v Luciano*, 10 NY3d 499; *People v Wrotten*, 14 NY3d 33.)

Legal Aid Society, Criminal Appeals Bureau, New York City (*Martin M. Lucente* and *Steven Banks* of counsel), for appellant in the second above-entitled action. Appellant's convictions must be reversed because: (1) the Supreme Court lacked jurisdiction to try and sentence him under a misdemeanor information, where CPL 210.05 provides that the Supreme Court may only acquire trial jurisdiction over criminal proceedings initiated by indictment or superior court information; and (2) the transfer of this case from Criminal Court to Supreme Court was not authorized by any other provisions of the New York Constitution or statutes. (*People v Harper*, 37 NY2d 96; *People v Wiltshire*, 23 AD3d 86; *People v Correa*, 70 AD3d 532; *People v Jones*, 18 Misc 3d 63; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Morgenthau v Roberts*, 65 NY2d 749; *Rodriguez v Myerson*, 69 AD2d 162; *Sohn v Calderon*, 78 NY2d 755; *Matter of Dalliessi v Marbach*, 56 AD2d 858; *Pulerwitz v Rand*, 141 AD2d 623.)

Legal Aid Society, Criminal Appeals Bureau, New York City (*Harold V. Ferguson, Jr.*, and *Steven Banks* of counsel), for respondents in the first and third above-entitled actions. The Appellate Division, First Department correctly determined that the Chief Judge of the Court of Appeals and the Chief Administrative Judge lacked the authority to create the Bronx Criminal Division of the Supreme Court. (*People v Harper*, 37 NY2d 96; *People v Wiltshire*, 23 AD3d 86; *People v Jones*, 18 Misc 3d 63; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Morgenthau v Roberts*, 65 NY2d 749; *Rodriguez v Myerson*, 69 AD2d 162; *Sohn v Calderon*, 78 NY2d 755; *Matter of Dalliessi v Marbach*, 56 AD2d 858; *Pulerwitz v Rand*, 141 AD2d 623; *Jiggetts v Grinker*, 75 NY2d 411.)

Charles J. Hynes, District Attorney, Brooklyn (*Jodi L. Mandel* and *Leonard Joblove* of counsel), for respondent in the second above-entitled action. The transfer of defendant's unindicted misdemeanor case from Criminal Court to the Supreme Court Integrated Domestic Violence Part comported with the State Constitution and state statutes. Moreover, the Supreme Court Integrated Domestic Violence Part properly exercised jurisdiction over defendant's case. (*People v Patterson*, 39 NY2d 288, 432 US 197; *Matter of Met Council v Crosson*, 84 NY2d 328; *Corkum v Bartlett*, 46 NY2d 424; *Matter of New York State Assn.*

of *Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *People v Urbaez*, 10 NY3d 773; *Levenson v Lippman*, 4 NY3d 280; *Matter of Dalliessi v Marbach*, 56 AD2d 858; *Pulerwitz v Rand*, 141 AD2d 623; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Kagen v Kagen*, 21 NY2d 532.)

Michael Colodner, New York City, *Marc Bloustein* and *Paul McDonnell* for Chief Administrative Judge and another, amici curiae in the first above-entitled action. The Bronx Criminal Division, sitting as a Supreme Court, has jurisdiction to hear unindicted misdemeanors transferred to the Division from the New York City Criminal Court. (*Matter of Morgenthau v Cooke*, 56 NY2d 24; *Matter of Marro v Bartlett*, 46 NY2d 674; *People v Fernandez*, 72 AD3d 303; *Matter of Met Council v Crosson*, 84 NY2d 328; *People v Robinson*, 6 Misc 3d 645; *People v Gonzalez*, 6 Misc 3d 1034[A], 2005 NY Slip Op 50291[U]; *Levenson v Lippman*, 4 NY3d 280; *People v Hickey*, 40 NY2d 761; *Matter of Molea v Marasco*, 64 NY2d 718; *Matter of Michelson v Clyne*, 84 AD2d 883.)

OPINION OF THE COURT

GRAFFEO, J.

Defendants in these three cases challenge the rules promulgated by the Chief Judge and Chief Administrative Judge that created either the Bronx Criminal Division or Integrated Domestic Violence Part in Supreme Court, which resulted in the transfer of their misdemeanor prosecutions from local criminal courts to Supreme Court for trial. Although they did not object to the transfer procedure in the trial court, they argued on appeal that Supreme Court lacked subject matter jurisdiction over their trials and that the rules violate the New York Constitution and the Criminal Procedure Law. Rejecting defendants' arguments, we hold that the administrators of the Unified Court System were empowered under our State Constitution and the Judiciary Law to adopt these rules and that Supreme Court—a court of general, concurrent jurisdiction—had the power to adjudicate these misdemeanor cases.

Integrated Domestic Violence Parts

In January 2004, after consultation with the Administrative Board and with the consent of the Court of Appeals, the Chief Judge of the State of New York promulgated part 41 of the Rules of the Chief Judge providing for the establishment of Integrated Domestic Violence (IDV) Parts in Supreme Court. The rule directed that the specialized part

“be devoted to the hearing and determination, in a single forum, of cases that are simultaneously pending in the courts if one of them is a domestic violence case in a criminal court and the other is a case in Supreme or Family Court that involves a party or witness in the domestic violence case; or if one is a case in criminal court, Family Court or Supreme Court and the other is a case in any other of these courts having a common party or in which a disposition may affect the interests of a party in the first case” (22 NYCRR 41.1 [a] [1]).

The intent of the IDV directive was to allow matters involving a single family to be resolved in one court by the same jurist, thereby eliminating fragmented judicial adjudication and relieving the parties of the burden and costs of having multiple actions pending in different courts. In addition to streamlining the litigation process for litigants and providing better access to community services for families, the new IDV Parts also increased judicial efficiency by avoiding duplication of effort by multiple courts, reducing scheduling conflicts and avoiding inconsistent outcomes.

Soon after the Chief Judge issued part 41, the Chief Administrative Judge implemented the new rule by adopting part 141 of the Rules of the Chief Administrator of the Courts, which defined those “IDV-eligible cases” subject to transfer to Supreme Court. Under part 141, cases that meet the criteria are sent to an IDV Part where, within five days, the cases are screened to determine whether transfer will promote the administration of justice. If so, a formal transfer order is issued and the case is retained by the IDV Part for disposition. If not, the case is returned to the originating court. There are currently 44 Supreme Court IDV Parts in New York State.

People v Fernandez

In January 2007, defendant Joao Fernandez was charged by misdemeanor information filed in New York City Criminal Court, Kings County, with multiple counts of aggravated harassment in the second degree after he contacted his former paramour by telephone 62 times in one evening and repeatedly threatened her with physical harm. Fernandez and the complainant had been involved in multiple prior Family Court cases regarding disputes about their two children. After his arraignment in New York City Criminal Court, the case was transferred

to the IDV Part in Kings County Supreme Court where a non-jury trial was conducted. Fernandez was convicted of three counts of attempted aggravated harassment in the second degree and sentenced to concurrent terms of one year's probation. He was also directed to participate in a variety of domestic violence accountability and other programs.

Although Fernandez raised no objection in the trial court to the transfer of his case, in his appeal to the Appellate Division, Second Department, he argued that the IDV Part—an arm of Supreme Court—lacked the authority to exercise subject matter jurisdiction over his misdemeanor case because it was prosecuted by information rather than an indictment or superior court information issued after waiver of indictment. Defendant also contended that the Chief Judge and Chief Administrative Judge exceeded the scope of their authority when they issued the IDV directives.¹ In addition, he sought reversal based on an asserted evidentiary error. The Second Department unanimously rejected defendant's arguments and affirmed his conviction (*People v Fernandez*, 72 AD3d 303 [2010]). A Justice of that court granted defendant leave to appeal (14 NY3d 807 [2010]).

The Bronx Criminal Division

About nine months after the IDV directives were issued, in consultation with the Administrative Board and with the consent of the Court of Appeals, the Chief Judge promulgated part 42 of the Rules of the Chief Judge establishing a criminal division in the Supreme Court in Bronx County. The new part—denominated the Bronx Criminal Division (BCD)—was vested with the authority to adjudicate cases commenced in the New York City Criminal Court, Bronx County, when at least one felony or misdemeanor offense was charged. The intent was to permit cases originating in the Criminal Court to be reassigned to the BCD for trial in order to alleviate a trial backlog that had developed in the Criminal Court. The Chief Administrative Judge adopted part 142 directing, with specified limitations, that certain felony and misdemeanor cases pending in Criminal Court of the City of New York in Bronx County be transferred to the BCD part of Supreme Court following arraignment, if the cases were not resolved at arraignment. By order of the Administrative Judge of Bronx County, the BCD directives were implemented on November 5, 2004.

1. Fernandez has never claimed that his case did not meet the IDV eligibility criteria set forth in the rules.

People v Correa; People v Mack

In October 2005, defendant Edgar Correa was charged in a misdemeanor information filed in New York City Criminal Court, Bronx County, with various class A misdemeanors and harassment in the second degree, a violation, resulting from an altercation with his wife. After arraignment, his case was transferred to the BCD and a nonjury trial was conducted. Correa was acquitted of the misdemeanor offenses but convicted of the harassment charge and sentenced to 15 days in jail.

Defendant Allen Mack was charged in an information with the misdemeanor offenses of obstructing governmental administration and assault in the third degree, as well as one count of harassment in the second degree, a violation, as a result of disruptive behavior during a parole hearing. Following his arraignment in New York City Criminal Court, Bronx County, Mack's case was transferred to the BCD for a nonjury trial in August 2006. He was convicted of attempted assault in the third degree and harassment for which he received 90-day and 15-day jail sentences, respectively.

Both Correa and Mack appealed and, in their initial briefs, neither defendant protested that his trial had been conducted in the BCD part of Supreme Court. However, in February 2009, the Appellate Division, First Department, sua sponte requested that the attorneys in each case brief two additional issues:

“(1) Whether the establishment of the Criminal Division of Supreme Court in Bronx County under Part 142 of the Rules of the Chief Administrator is consistent with the Constitution and statutes of the State of New York?

“(2) Whether the Supreme Court possessed jurisdiction over a criminal case absent the filing of an indictment or superior court information?”

In response to the inquiry, defense counsel filed supplemental briefs asserting that Unified Court System (UCS) administrators exceeded the authority granted them under the Constitution and relevant statutes when they issued the BCD directives and that Supreme Court lacked subject matter jurisdiction to try misdemeanor offenses prosecuted on an information. Relying on CPL 210.05, defendants contended that Supreme Court has the power to adjudicate misdemeanor offenses only when the grand jury has included them in an indictment or a defendant has waived indictment and agreed to be prosecuted by a

superior court information (SCI). The People countered that various provisions of the Constitution and the Judiciary Law expressly allowed UCS administrators to issue the rules relating to transfer of misdemeanor cases to the BCD part and, as an arm of Supreme Court, the BCD possessed the requisite jurisdiction to try defendants' "unindicted" misdemeanor cases.

In February 2010, in a divided opinion, the First Department reversed the conviction in *Correa* and dismissed the accusatory instrument, crediting defendant's jurisdictional arguments (*People v Correa*, 70 AD3d 532 [2010]). In his dissent, Justice Acosta disagreed with the majority, finding ample constitutional and statutory basis for the issuance of the BCD directives and concluding that, as a court of general, concurrent jurisdiction, Supreme Court is empowered to adjudicate misdemeanor cases, regardless of whether the charge is contained in an information, an indictment or an SCI. In a separate decision, the First Department reversed Mack's conviction and dismissed the misdemeanor information, citing the decision in *Correa* (*People v Mack*, 70 AD3d 555 [2010]). In each case, Justice Acosta granted the People leave to appeal.

Preservation

[1] Although none of the defendants in these cases timely objected either in New York City Criminal Court or Supreme Court to the transfer of their misdemeanor cases, we may consider their arguments in this Court because each defendant contends that Supreme Court lacked subject matter jurisdiction to try his case. If Supreme Court—acting through the IDV Part or the BCD—did not possess the authority to conduct these proceedings, this would be a fundamental, nonwaivable defect in the mode of proceedings that could be raised by defendants on their direct appeal despite their failure to comply with preservation requirements (*see People v Casey*, 95 NY2d 354, 365 [2000]; *see e.g. People v Nicometi*, 12 NY2d 428 [1963] [where defendant argued that a Court of Special Sessions lacked the subject matter jurisdiction to try the offense with which he was charged, claim could be raised on appeal notwithstanding defendant's failure to object in the trial court]). Accordingly, we must address defendants' jurisdictional arguments on the merits.

The Authority to Issue the IDV and BCD Directives

[2] We begin by considering the claim that the UCS administrators exceeded the power granted them in the New York

Constitution and relevant statutes when they issued the directives creating the BCD and the IDV Part. In *Correa* and *Mack*, the First Department majority concluded that the rules adopted by the Chief Judge and Chief Administrative Judge amounted to ultra vires acts because the transfer of cases to Supreme Court is a matter of “practice and procedure” that falls within the exclusive province of the Legislature. We disagree.

Article VI of the New York Constitution—the Judiciary Article—created a “unified court system for the state” (NY Const, art VI, § 1 [a]) and vested the Chief Judge with the authority to administer the system, with the assistance of the Administrative Board (composed of the Chief Judge and the Presiding Justices of each Appellate Division) (art VI, § 28). Together, they are empowered to appoint a chief administrator to “supervise the administration and operation of the unified court system” and exercise powers delegated by the Chief Judge (art VI, § 28 [a], [b]). The Chief Judge may “establish standards and administrative policies for general application throughout the state,” which shall be submitted to the Court of Appeals, together with the recommendations of the Administrative Board, and approved by the Court (art VI, § 28 [c]).

We have previously held that the constitutional requirement that the Chief Judge and Chief Administrative Judge consult with the Administrative Board and receive approval from the Court of Appeals before implementing broad-based administrative policies ensures critical “multistage, multiperson review” and is therefore an indispensable component of the constitutional scheme (see *Matter of Morgenthau v Cooke*, 56 NY2d 24, 32 [1982]). When administrative authority is exercised in conformity with the consultation and approval requirements, UCS administrators possess broad express and implied powers to take whatever actions are necessary for the proper discharge of their responsibilities (see *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512 [2001]).

The Judiciary Article also specifically addresses the reassignment of cases to and from Supreme Court. Article VI, § 19 (a) states:

“As may be provided by law, the supreme court may transfer to itself any action or proceeding originated or pending in another court within the judicial department other than the court of claims upon a finding that such a transfer will promote the administration of justice.”

The authority of UCS administrators to transfer cases to and from Supreme Court is also recognized in statute. Judiciary Law § 211 (1) (a) explicitly authorizes the Chief Judge, in consultation with the Administrative Board and with the consent of the Court of Appeals, to “establish standards and administrative policies for general application to the unified court system throughout the state, including but not limited to standards and administrative policies relating to . . . transfer of judges and causes among the courts.” Thus, the Legislature included the transfer of cases as one of the administrative actions that could be taken by the Chief Judge and Chief Administrative Judge. Based on Supreme Court’s transfer powers under article VI, § 19 (a) and the broad administrative authority vested pursuant to article VI, § 28 and Judiciary Law § 211, we conclude that UCS administrators were authorized to promulgate the IDV and BCD directives. Before the directives were issued, the Administrative Board was consulted and consent was obtained from the Court of Appeals. And although the First Department majority suggested that the BCD directives merged the Supreme Court and the New York City Criminal Court, eviscerating the latter, in reality the BCD and IDV directives accomplished only two things: they created new “parts” in Supreme Court and they provided that certain cases be transferred to those parts. Both actions were permissible under the relevant constitutional and statutory provisions.

No one has disputed the Chief Administrative Judge’s power to create new parts within existing courts—a prerogative that appears in Judiciary Law § 212 (1) (c). As for the exercise of transfer authority, there has long been a question concerning whether the drafters of article VI, § 19 (a) intended to require statutory authorization before Supreme Court may transfer to itself cases arising in other courts (*see e.g. Matter of Dalliessi v Marbach*, 56 AD2d 858 [2d Dept 1977] [concluding that section 19 (a) is not “self-executing” and that statutory authority is required]). But even assuming legislative action was necessary, the statutory predicate for the rules at issue appears in Judiciary Law § 211 (1) (a), which permits the Chief Judge to transfer cases between courts to further the efficient administration of justice. The provision contains no language preventing the transfer of misdemeanor cases to Supreme Court.

[3] In determining that the Chief Judge and Chief Administrative Judge exceeded their constitutional and statutory powers when adopting the BCD directives, the First Department majority stated that they “caus[ed] a collapse of the

constitutionally created Criminal Court of the City of New York in the Bronx” and “impinged on the Legislature’s reserved primary power to alter and regulate jurisdiction, practice and procedure under State Constitution, article VI, § 30” (*Correa*, 70 AD3d 532, 534 [2010]). Contending that the Legislature has reserved to itself the power to regulate practice and procedure, the First Department reasoned that the ability of UCS administrators to direct that certain cases be heard in Supreme Court invaded that legislative domain. Again, we disagree.

The Legislature certainly exercises significant control over the regulation of practice and procedure in the courts. But article VI, § 30 does not address or purport to curtail the transfer authority granted in article VI, § 19 (a) or the administrative power vested in UCS administrators in article VI, § 28. And in drafting Judiciary Law § 211, the Legislature made clear that it does not view the transfer of cases to be strictly a matter of practice and procedure—a conclusion that is especially appropriate given that UCS administrators may decide to reassign cases to alleviate court congestion (the impetus for the BCD directives). Section 211—entitled “[a]dministrative functions of the chief judge of the court of appeals”—includes an express reference to the transfer of cases between courts in the category of “standards and administrative policies” that the Chief Judge is directed to establish. The statute does not characterize transfer as a practice and procedure issue, much less indicate that policies relating to reassignment of cases fall within the sole province of the Legislature. As indicated in *Corkum v Bartlett* (46 NY2d 424 [1979]), the Legislature’s decision to classify certain matters as administrative in the statutory delineation of the powers of UCS administrators is compelling evidence that it intended to recognize their authority over such matters.

Given the historical context in which these provisions were adopted, it is not surprising that the drafters of the Judiciary Article expressly permitted the transfer of cases to and from Supreme Court and that, in Judiciary Law § 211, the Legislature vested UCS administrators with the authority to establish and implement transfer policies. The creation of the Unified Court System in 1962 was prompted in part by the uneven distribution of cases throughout the existing courts, resulting in some courts being “overburdened, congested and delayed” while others did not have enough work to engage the staff full-time (*see* Report of State of New York Temporary Commission on the

Courts [1955]). A statewide system of court administration was deemed necessary in order to efficiently marshal judicial resources and redirect cases to avoid the imbalances in workload and excessive delays that had plagued the prior system (*id.*). The constitutional and statutory transfer provisions fulfill this requirement, thereby facilitating the efficient administration of justice.

Although the First Department was concerned that the BCD directives rendered the New York City Criminal Court, Bronx County, a “shell of its former self” (70 AD3d at 538), it appears that the court continues to have a heavy caseload and performs important functions in the criminal court system. That court still conducts arraignments and other preliminary proceedings on all informations, including those that charge misdemeanors and felonies—a transfer occurs only if a case is not disposed of at arraignment. In 2008, 76,631 arraignments were conducted in that venue and 48.9% of those cases were resolved by plea during those proceedings. Thus, the directives did not affect roughly 50% of the court’s caseload. Of the cases that survived arraignment, only some met the transfer criteria and a significant number of those—any case involving a felony—would have been divested to Supreme Court for trial anyway, even absent the BCD directives, since local criminal courts lack trial jurisdiction over felony charges (*see* CPL 10.30).

Although the creation of the BCD certainly impacted the work of the New York City Criminal Court, we are unpersuaded that its role has been restricted to the point that it has ceased to effectively fulfill the role assigned under the New York Constitution (*see* NY Const, art VI, § 15). Nor, in any event, did UCS administrators exceed their authority and impermissibly tread in the legislative domain when they issued the BCD or IDV directives. Accordingly, we decline to set aside the rules on that basis.

Supreme Court Jurisdiction

[4] Defendants further contend that, even if UCS administrators had the power under the constitutional and statutory scheme to reassign cases (as we have concluded), that authority was exceeded when the BCD and IDV directives were adopted because cases may only be transferred to a court that possesses subject matter jurisdiction. Primarily relying on CPL 210.05, defendants claim that Supreme Court’s power to try a misdemeanor is restricted to cases in which the charge is included in

an indictment or SCI (issued upon waiver of indictment), meaning that the court lacks subject matter jurisdiction over misdemeanors charged in an information—so-called “unindicted” misdemeanors. Since none of the defendants in these cases was indicted or waived indictment and agreed to be prosecuted by SCI, they argue that their trials in Supreme Court were a nullity. This argument lacks merit.

There is no question that the Criminal Procedure Law generally contemplates that violations and misdemeanors will be tried in local criminal courts and that felonies, which may be initiated by the filing of an information or complaint but must ultimately be prosecuted by indictment or SCI, will be tried in the superior courts—County Court or Supreme Court. But the issue presented in this case is not whether misdemeanor cases are typically tried in local criminal courts or even whether, when adjudicated in Supreme Court, they are usually charged in an indictment—the answer to both of these questions is undoubtedly “yes.” This dispute concerns the extent to which Supreme Court can exercise subject matter jurisdiction over misdemeanor trials.

To determine the scope of Supreme Court’s jurisdiction, we first look to the New York Constitution, which provides: “The supreme court shall have general original jurisdiction in law and equity and the appellate jurisdiction herein provided” (NY Const, art VI, § 7 [a]). Under this provision, Supreme Court “is competent to entertain all causes of action[] unless its jurisdiction has been specifically proscribed” (*Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 166 [1967] [statutory requirement that judgment be served on insured was a substantive element of claim and not a limitation on Supreme Court’s subject matter jurisdiction]). We have recognized that, when the drafters of article VI created the UCS in 1962 and continued Supreme Court as a court of general jurisdiction, if anything its jurisdiction was enlarged to encompass claims that it might not have heard under the previous constitutional scheme (*see Kagen v Kagen*, 21 NY2d 532 [1968] [Supreme Court shares concurrent jurisdiction with Family Court over child support disputes, although it could not have heard such cases prior to 1962]).

To be sure, the jurisdiction of Supreme Court is limited elsewhere in the New York Constitution. For example, in preserving the State’s historical sovereign immunity from suit, Supreme Court cannot exercise jurisdiction over claims for money damages brought against the State, which must be

initiated and tried in the Court of Claims (*see Pollicina v Misericordia Hosp. Med. Ctr.*, 82 NY2d 332, 338 n 3 [1993]; *Kagen*, 21 NY2d at 538; *see generally* NY Const, art VI, § 9). Similarly, under the Supremacy Clause of the United States Constitution, Supreme Court may not hear cases in which exclusive jurisdiction has been conferred on the federal courts (*Pollicina*, 82 NY2d at 338 n 3; *see e.g. Financial Indus. Regulatory Auth., Inc. v Fiero*, 10 NY3d 12 [2008] [state courts lacked jurisdiction to hear action for enforcement of disciplinary penalties arising under the Securities Exchange Act]). And Supreme Court is subject to the same substantive limitations imposed on other courts.² Like every other court in New York State, Supreme Court may not convict a defendant of a felony absent compliance with the indictment and waiver of indictment provisions in article I, § 6 of the New York Constitution (*see e.g. People v Wiltshire*, 23 AD3d 86 [1st Dept 2005], *lv denied* 6 NY3d 840 [2006]).³

But, subject to the limitations discussed above, the New York Constitution vests Supreme Court with the power to hear any case that any other court in the UCS could hear, which is why we refer to Supreme Court as possessing both general and concurrent jurisdiction over all causes of actions—hence the designation “Supreme” Court. And, in contrast to article I, § 6 which requires indictment of felony charges (or waiver of indictment and agreement to be prosecuted on SCI) before any court may try a defendant for a felony, there is no provision in the Constitution that imposes any similar limitation on the power of a court, including Supreme Court, to adjudicate misdemeanor charges.

2. Until a controversy is “litigable,” it may not be heard in Supreme Court (*see Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175, 184 [1990] [once Lemon Law claim reaches a level where litigation is permissible, Supreme Court has jurisdiction to entertain it]; *see Sohn v Calderon*, 78 NY2d 755 [1991] [Supreme Court has jurisdiction over causes of action that may be pursued in UCS courts, but may not resolve in the first instance controversies the Legislature directed an administrative agency to address first under the doctrine of primary jurisdiction]).

3. When there is a fundamental defect in an accusatory instrument (*see e.g. People v Harper*, 37 NY2d 96 [1975]), a different jurisdictional issue is presented than the one we confront here. In such a case, it would be improper for any court to issue a judgment of conviction because there is a substantive deficiency in the cause of action. In this case, it is undisputed that the informations were valid and that defendants could have been tried and convicted in New York City Criminal Court. The controversy we must resolve relates to Supreme Court’s ability to exercise concurrent jurisdiction over these cases.

Defendants nonetheless assert that the Legislature has imposed statutory restrictions on Supreme Court that prevent trials of misdemeanor charges from being entertained unless they are contained in an indictment or SCI after waiver of indictment. According to defendants, although local criminal courts such as the New York City Criminal Court may try unindicted misdemeanor cases, Supreme Court lacks subject matter jurisdiction over those matters and, in this respect, its ability to exercise concurrent jurisdiction with other UCS courts has been curtailed.

If this were in fact the case, a significant constitutional issue would be presented because we have made clear in other contexts that “[t]he Legislature cannot by statute deprive [Supreme Court] of one particle of its jurisdiction, derived from the Constitution (Art. VI), although it may grant concurrent jurisdiction to some other court” (*Pollicina*, 82 NY2d at 339, quoting *Matter of Malloy*, 278 NY 429, 432 [1938]). Addressing the precise issue raised in these appeals—whether Supreme Court may try an unindicted misdemeanor—there is authority for the proposition that it does and that any effort by the Legislature to “abridge, limit or qualify” the broad jurisdiction conferred under article VI, § 7 would be “unconstitutional and void” (*People v Darling*, 50 AD2d 1038, 1038 [3d Dept 1975]).

After review of the Criminal Procedure Law provisions on which defendants rely, we conclude that the Legislature has not adopted statutes that purport to oust Supreme Court of the jurisdiction to try unindicted misdemeanor cases and we therefore need not determine whether the Legislature could take such action, had that been its intent. The CPL divides New York courts into two categories: superior courts (which include Supreme Court and County Court) and local criminal courts (which include city courts, town courts, district courts and, as relevant here, the New York City Criminal Court). It also recognizes two types of jurisdiction: “preliminary jurisdiction” and “trial jurisdiction.” Preliminary jurisdiction encompasses conducting arraignments, assigning counsel, setting bail and, in the case of a felony complaint, conducting a preliminary hearing if that right is not waived by defendant (see *Matter of Molea v Marasco*, 64 NY2d 718, 722 [1984, dissenting op]). As the title suggests, trial jurisdiction includes the authority to resolve the case on the merits by conducting a trial or accepting a guilty plea, among other actions such as conducting a suppression hearing (see *Matter of Michelson v Clyne*, 84 AD2d 883 [3d Dept 1981]). In

these appeals, we are concerned only with whether Supreme Court had trial jurisdiction because, under the BCD and IDV directives, misdemeanor cases are not transferred to Supreme Court until after the preliminary proceedings associated with arraignment have concluded.

CPL 10.20, entitled “Superior courts; jurisdiction,” states that superior courts—which include Supreme Court—“have trial jurisdiction of all offenses” and further specifies that they have exclusive trial jurisdiction of felonies and “[t]rial jurisdiction of misdemeanors concurrent with that of the local criminal courts” (CPL 10.20 [1] [a], [b]). A reciprocal provision relating to the jurisdiction of local criminal courts states that they have “[t]rial jurisdiction of misdemeanors concurrent with that of the superior courts but subject to divestiture thereof by the latter in any particular case” (CPL 10.30 [1] [b]). Neither statute conditions the power of a superior court to try misdemeanor cases on the existence of an indictment or SCI. To the contrary, both unqualifiedly state that superior courts possess subject matter jurisdiction to try all misdemeanor cases, a point that is evident from the broad language in CPL 10.30 (1) (b) recognizing that a superior court can exercise its divestiture authority “in any particular case.” In its express language, the CPL acknowledges that superior courts—such as Supreme Court—have subject matter jurisdiction to try misdemeanor cases.

Nor do the divestiture statutes found elsewhere in the CPL undermine this conclusion. CPL 170.20 requires the transfer of a case to a superior court if the People secure an indictment and CPL 170.25 permits the defendant to obtain an order from a superior court directing that a misdemeanor charge be submitted to the grand jury if the interests of justice so require. These statutes discuss only the jurisdiction of local criminal courts, which lose the power to resolve a case if divestiture occurs. The provisions neither state nor imply that a superior court lacks jurisdiction until a case is indicted (or there has been a waiver of indictment and agreement to be prosecuted on SCI).

The divestiture statutes address the ability of the parties—the People or the defendant—to effectuate the removal of a case to a superior court such as Supreme Court. They do not address, much less revoke, the transfer powers granted to Supreme Court and UCS administrators in the Constitution and Judiciary Law § 211. To the contrary, the fact that CPL 170.25 permits a defendant to apply to Supreme Court for an order requiring a misdemeanor charge that is pending in a local

criminal court to be submitted to a grand jury belies defendants' argument that Supreme Court lacks jurisdiction over such a charge until it is incorporated in an indictment—if Supreme Court could not exercise subject matter jurisdiction over unindicted misdemeanor charges, it would not be able to entertain a CPL 170.25 application.

Defendants' contention—credited by the First Department—that CPL 210.05 is a jurisdictional provision that precludes Supreme Court from trying unindicted misdemeanor cases must also be rejected. CPL 210.05 directs that “[t]he only methods of prosecuting an offense in a superior court are by an indictment filed therewith by a grand jury or by a superior court information filed therewith by a district attorney.” Defendants urge us to interpret the provision as a divestiture statute that prevents Supreme Court from exercising subject matter jurisdiction over any criminal case until there has been an indictment or defendant has agreed to waive indictment and be prosecuted by SCI. But, by its terms, the statute discusses how a case may be prosecuted, thereby imposing a limitation on prosecutorial power. It restricts the methods by which a prosecutor may pursue charges, precluding the People from seeking a trial in the superior courts (including Supreme Court) without first obtaining an indictment or a defendant's consent to waive indictment and proceed by SCI. The statute neither mentions nor purports to curtail the concurrent trial jurisdiction granted to Supreme Court elsewhere in the CPL (*see* CPL 10.20, 10.30).

Our determination that CPL 210.05 was intended to do nothing more than restrict prosecutorial authority is consistent with the legislative history of the provision, which predated the CPL. In 1941, the Legislature amended the predecessor to CPL 210.05—Code of Criminal Procedure § 222, entitled “Crimes; how prosecuted”—to contain substantially the same restriction that it includes today, directing that “[a]ll crimes prosecuted in the supreme court, or in a county court . . . must be prosecuted by indictment” (L 1941, ch 255, § 11). The purpose of the restriction was to conform the statute to our holding in *People ex rel. Battista v Christian* (249 NY 314 [1928]), a case decided at a time when article I, § 6 unqualifiedly precluded any criminal defendant from being tried on a capital or felony offense absent indictment by a grand jury (article I, § 6 was amended in 1973 to permit a defendant to waive indictment and agree to be prosecuted by SCI in certain felony cases).

In *Battista*, a defendant charged with but not yet indicted for felony burglary petitioned the court to have an information

filed charging him with that offense and he then pleaded guilty based on the information. We concluded that the conviction must be vacated, reasoning that article I, § 6 precluded any defendant from being held to answer for a felony absent indictment and that a defendant could not waive that protection because the constitutional requirement of grand jury presentment was more than a personal right but existed to protect the public from prosecutorial excess. In response to *Battista*, the Legislature amended former Code of Criminal Procedure § 222 to delete language that had purportedly allowed a defendant to waive the constitutional right to avoid felony prosecution absent indictment, thereby imposing the limitation that was carried forward in CPL 210.05 (see Mem of Comm on Crim Cts Law and Pro of Assn of Bar of City of NY, at 3, Bill Jacket, L 1941, ch 255; see also 7th Ann Rep of NY Jud Council, 1941 NY Legis Doc No. 23, at 250).

Thus, when it amended the statute in 1941, the Legislature was concerned with attempts to subvert the then-existing unqualified constitutional mandate that all felonies be prosecuted on indictment—it did not have misdemeanor prosecutions in mind. Indeed, since the New York Constitution has never included a right to prosecution by indictment in misdemeanor cases, the constitutional analysis underlying *Battista* was not applicable to misdemeanors (in the wake of the 1973 amendment to the Constitution allowing waiver of indictment in some felony cases, *Battista* is now of limited relevance in the felony context as well). There is no basis to believe that, in amending the predecessor to CPL 210.05 to reflect our decision in *Battista*, the Legislature intended to impair Supreme Court’s ability to try misdemeanors.

In light of our conclusion that CPL 210.05 can properly be read as a nonjurisdictional limitation on prosecutorial authority, defendants’ alternative interpretation would not control even if it was plausible. “Where the language of a statute is susceptible of two constructions, the courts will adopt that which avoids injustice, hardship, constitutional doubts or other objectionable results” (*Matter of Jacob*, 86 NY2d 651, 667 [1995] [citations omitted]). As explained above, the general rule is that the Legislature may not curtail the concurrent subject matter jurisdiction vested in Supreme Court in article VI, § 7. Were we to adopt defendants’ view that CPL 210.05 divests Supreme Court of its power to try unindicted misdemeanor cases—cases that the New York City Criminal Court, another UCS court, is

permitted to hear—a serious question would be raised about the constitutional validity of CPL 210.05 (*see e.g. Darling, supra*). Faced with the choice between an interpretation that is consistent with the Constitution (and the jurisdictional statutes in the CPL) and one that creates a potential constitutional infirmity, courts are to choose the former.

[4, 5] Given its language and legislative history, we reject the notion that CPL 210.05 precludes Supreme Court from exercising trial jurisdiction over misdemeanor cases concurrent with other UCS courts. To the extent defendants challenge the transfer of their cases on equal protection grounds, this contention also lacks merit because defendants have not identified any respect in which they received less favorable treatment in Supreme Court than they would have received had their non-jury trials been conducted in the New York City Criminal Court.⁴ We therefore hold that Supreme Court had subject matter jurisdiction over defendants' misdemeanor cases.

Fernandez

After he was tried in the IDV Part of Supreme Court, defendant Fernandez appealed his attempted aggravated harassment in the second degree conviction to the Second Department, arguing that Supreme Court lacked the authority to try his case and further contending that he was entitled to a new trial based on the prosecutor's elicitation of uncharged crime evidence. The Second Department considered and rejected both arguments. We have held that defendant's jurisdictional claim lacks merit and, since defendant has not briefed his claim of evidentiary error in this Court, it is deemed abandoned. An affirmance is therefore warranted.

Correa and Mack

In separate trials, defendants Correa and Mack were convicted in the BCD part of Supreme Court and, in the briefs initially filed in the First Department, they raised various arguments concerning the weight and sufficiency of the evidence presented at trial. After requesting additional submissions on the jurisdictional argument, the First Department reversed both

4. Defendants also have not argued that they were disadvantaged by the fact that their appeals were heard in the Appellate Division rather than the Appellate Term. To the contrary, defendants Correa and Mack adopted the First Department's conclusion that this procedural outcome was, if anything, a "presumed benefit" (70 AD3d at 540).

convictions based on the threshold jurisdictional claim and hence did not reach the other contentions. Having disposed of the threshold issue, we reverse the orders of the First Department and remit in each case so that the court can address the arguments that were not decided.

Accordingly, in *Correa* and *Mack*, the order of the Appellate Division should be reversed and the cases remitted for consideration of the facts and issues raised but not determined on the appeals to that court. In *Fernandez*, the order of the Appellate Division should be affirmed.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

In *People v Correa* and *People v Mack*: Order reversed, etc.

In *People v Fernandez*: Order affirmed.

[933 NE2d 721, 907 NYS2d 122]

In the Matter of PARMINDER KAUR et al., Respondents, v New York State Urban Development Corporation, Doing Business as Empire State Development Corporation, Appellant.

In the Matter of TUCK-IT-AWAY, INC., et al., Respondents, v New York State Urban Development Corporation, Doing Business as Empire State Development Corporation, Appellant.

Argued June 1, 2010; decided June 24, 2010

SUMMARY

APPEALS, on constitutional and other grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 3, 2009 in proceedings pursuant to EDPL 207. The Appellate Division, with two Justices dissenting, (1) granted the petitions to review a determination of respondent New York State Urban Development Corporation, doing business as Empire State Development Corporation, which had approved the acquisition of certain real property for the project commonly referred to as the Columbia University Educational Mixed Use Development Land Use Improvement and Civic Project; and (2) annulled the determination.

Matter of Kaur v New York State Urban Dev. Corp., 72 AD3d 1, reversed.

HEADNOTES

Eminent Domain — Judicial Review — Findings of Blight

1. In proceedings to review a determination by respondent Empire State Development Corporation (ESDC) authorizing the acquisition of petitioners' property by eminent domain for the development of a new campus for a private university (the Project), ESDC's findings of blight and determination that the condemnation of petitioners' property qualified as a "land use improvement project" within the meaning of the New York State Urban Development Corporation Act (UDC Act) (McKinney's Uncons Laws of NY § 6253 [6] [c]) were rationally based and entitled to deference. The removal of urban blight is a proper and constitutionally sanctioned predicate for the exercise of the power of eminent domain (*see* NY Const, art XVIII, § 1). Two reports prepared by ESDC consultants concluded that the area of the Project site was blighted within the meaning of the UDC Act (Uncons Laws § 6260 [c]; § 6253 [12]). On the record upon which the ESDC determination was based, it could not be said that ESDC's finding of blight was irrational or baseless. ESDC considered a wide range of factors including the physical, economic, engineering and environmental conditions at the Project site, and its decision was based on the

Project site conditions as a whole. Accordingly, since there was record support for ESDC's determination that the Project site was blighted, the Appellate Division plurality erred when it conducted a de novo review of the administrative records and concluded that the Project site was not blighted, thereby substituting its view for that of the legislatively designated agency.

Eminent Domain — Judicial Review — Findings of Blight — Objectivity of Consultant

2. In proceedings to review a determination by respondent Empire State Development Corporation (ESDC) authorizing the acquisition of petitioners' property by eminent domain for the development of a new campus for a private university (the Project), ESDC utilized objective data in determining that the Project site was blighted and did not act in bad faith or pretextually. The neighborhood conditions study conducted by the consultant hired by ESDC was not compromised simply because the consultant had separately prepared an environmental impact statement on behalf of the university. Moreover, ESDC—as a measure of caution and in response to criticism of its choice to retain the consultant—hired a second consulting firm to conduct review of the Project site and this company arrived at similar conclusions. The second consulting firm did not merely review and rubber stamp the first consultant's study, but conducted its own independent research and gathered separate data and photographs of the area before arriving at its own conclusions. Further, the second consulting firm had never previously been affiliated with or employed by the university.

Constitutional Law — Validity of Statute — Eminent Domain — Substandard or Insanitary Area

3. The statutory term “substandard or insanitary area” as used in the New York State Urban Development Corporation Act (UDC Act) (*see* McKinney's Uncons Laws of NY § 6253 [12]; § 6260 [c] [1]) is not unconstitutionally vague on its face. The UDC Act defines the term “substandard or insanitary area” as “a slum, blighted, deteriorated or deteriorating area, or an area which has a blighting influence on the surrounding area” (Uncons Law § 6253 [12]). In the context of eminent domain cases, to guard against discriminatory application of the law, it is not necessary that the degree of deterioration or precise percentage of obsolescence or mathematical measurement of other factors be arrived at with precision. Many factors and interrelationships may be significant for a blight finding. Blight is an elastic concept that does not call for an inflexible, one-size-fits-all definition. Rather, blight or “substandard or insanitary areas” must be viewed on a case-by-case basis.

Eminent Domain — Judicial Review — Finding of Blight — Deterioration in Area Prior to Acquisition of Property for Project

4. In proceedings to review a determination by respondent Empire State Development Corporation authorizing the acquisition of petitioners' property by eminent domain for the development of a new campus for a private university (the Project), the finding of the Appellate Division plurality that there was no evidence that the Project site was blighted prior to the university's acquisition of property there was belied by objective data in the record to the contrary. The plurality of the Appellate Division disregarded the blight study that was made at the request of the New York City Economic Development Corporation and was based on a survey of the Project site and surrounding neighborhood at a time when the university was only beginning to purchase property in the area. The study unequivocally concluded that there

was “ample evidence of deterioration of the building stock in the study area” and that “[s]ubstandard and unsanitary conditions were detected in the study area.” Moreover, another consultant found that the neighborhood had suffered from a long-standing lack of investment interest. Thus, since there was record support that the Project site was blighted before the university began to acquire property in the area, the issue was beyond further review by the Court of Appeals.

Eminent Domain — Public Use — Urban Development Corporation Act — Civic Project — What Constitutes

5. In authorizing the acquisition of petitioners’ property by eminent domain for the development of a new campus for a private university (the Project), respondent Empire State Development Corporation (ESDC) properly qualified the Project as a civic project within the meaning of the New York State Urban Development Corporation Act (UDC Act). The UDC Act defines a civic project as “[a] project or that portion of a multi-purpose project designed and intended for the purpose of providing facilities for educational . . . purposes” (McKinney’s Uncons. Laws of NY § 6253 [6] [d]; *see* Uncons. Laws § 6260 [d]). There is nothing in the statutory language limiting a proposed educational project to public educational institutions. Because the UDC Act encourages participation in projects by private entities, there is no reason to depart from the plain meaning of the word “education” by limiting the terms to public institutions. Moreover, consonant with the policy articulated in the UDC Act, ESDC has a history of participation in civic projects involving private entities. The purpose of the Project is to promote education and academic research while providing public benefits to the local community. The Project approved by ESDC—which provides for the expansion of the university’s educational facilities and countless public benefits to the surrounding neighborhood, including cultural, recreational and job development benefits—qualifies as a “civic project” under the UDC Act.

Records — Freedom of Information Law — Procedural Due Process — Failure to Turn Over Documents during Related Administrative Process

6. Petitioners, owners of property that respondent Empire State Development Corporation (ESDC) sought to acquire through eminent domain for the development of a new campus for a private university (the Project), were not denied procedural due process when ESDC failed to turn over certain documents during the administrative process pursuant to petitioners’ Freedom of Information Law (FOIL) request and closed the record prior to completion of related FOIL litigation. ESDC did not withhold any documents that formed part of the administrative record, and petitioners were not entitled to discovery under article 2 of the EDPL. Petitioners had an opportunity to comment on the proposed Project in a meaningful manner—both orally and through written submissions—and at a meaningful time—well before ESDC issued its findings and determination to acquire petitioners’ property by eminent domain. Although ESDC was ordered to turn over five additional documents in the separate FOIL proceedings that were litigated during and after the administrative process, a FOIL violation does not establish a due process violation even if petitioners were legally entitled to the documents under FOIL at the time of the public hearing. The due process protections embodied in the EDPL do not even allow for discovery. To establish that a FOIL violation rose to the level of a due process violation, petitioners must show that the withholding of the documents caused them prejudice. Petitioners did not meet their burden, neither explaining how they were deprived of a meaningful opportunity to be

heard during the administrative process nor demonstrating the materiality of the records sought through FOIL. Moreover, petitioners did not explain why they failed to bring a motion to vacate the automatic stay pursuant to CPLR 5519 (c) following the Appellate Division order in their favor that granted their FOIL requests.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 399, 404; AM JUR 2d, Eminent Domain §§ 42–46, 52, 57, 78, 87; AM JUR 2d, Freedom of Information Acts §§ 432, 437, 440, 555, 556, 589, 591.

CARMODY-WAIT 2d, Appeals in General § 70:269; CARMODY-WAIT 2d, Eminent Domain §§ 108:7, 108:12, 108:13, 108:15, 108:18, 108:31, 18:136, 18:139; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:631, 145:632.

McKINNEY's, CPLR 5519 (c); NY Const, art XVIII, § 1; McKinney's Unconsolidated Laws of NY § 6253 (6) (c), (d); § 6260 (c), (d).

NY JUR 2d, Appellate Review §§ 450, 452, 463; NY JUR 2d, Eminent Domain §§ 5, 24, 27, 29, 59, 62, 63, 356–358; NY JUR 2d, Records and Recording §§ 56, 58, 59.

NEW YORK REAL PROPERTY SERVICE §§ 11:4, 11:5, 11:53. SIEGEL, NY PRAC § 255.

ANNOTATION REFERENCE

What constitutes “blighted area” within urban renewal and redevelopment statutes. 45 ALR3d 1096.

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POINTS OF COUNSEL

Carter Ledyard & Milburn LLP, New York City (*John R. Casolaro*, *Joseph M. Ryan*, *Susan B. Kalib* and *Theodore Y. McDonough* of counsel), *Sive, Paget & Riesel, P.C.* (*Mark A. Chertok* and *Dan Chorost* of counsel), and *Bryan Cave LLP* (*Philip E. Karmel* of counsel) for appellant. I. The project qualifies as a land use improvement project under the New York State Urban Development Corporation Act. (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Zuckerman v City of New York*, 49 NY2d 557; *Matter of Develop Don't Destroy [Brooklyn]*

v Urban Dev. Corp., 59 AD3d 312; *Aldrich v Pattison*, 107 AD2d 258; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Jo & Wo Realty Corp. v City of New York*, 157 AD2d 205, 76 NY2d 962; *In re G. & A. Books, Inc.*, 770 F2d 288; *Matter of Haberman v City of Long Beach*, 307 AD2d 313; *Sunrise Props. v Jamestown Urban Renewal Agency*, 206 AD2d 913; *Natural Resources Defense Council, Inc. v City of New York*, 672 F2d 292.) II. The project qualifies as a civic project and will serve a public purpose. (*Russell Motor Car Co. v United States*, 261 US 514; *Garcia v United States*, 469 US 70; *Matter of Settco, LLC v New York State Urban Dev. Corp.*, 305 AD2d 1026; *Brooklyn Bridge Park Legal Defense Fund, Inc. v New York State Urban Dev. Corp.*, 14 Misc 3d 515, 50 AD3d 1029; *Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312; *Cornell Univ. v Bagnardi*, 68 NY2d 583; *Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council*, 91 NY2d 161; *Cochran v Louisiana Bd. of Ed.*, 281 US 370; *Adair v Nashville Hous. Auth.*, 388 F Supp 481, *affd sub nom. Gardner v Nashville Hous. Auth. of Metro. Govt. of Nashville & Davidson County, Tenn.*, 514 F2d 38, 423 US 928.) III. *Kelo v New London* (545 US 469 [2005]) is irrelevant to this proceeding because “economic development” is not the primary public purpose in this case. IV. The Appellate Division erred in holding that petitioners were deprived of procedural due process. (*Matter of Leichter v New York State Urban Dev. Corp.*, 154 AD2d 258; *Mathews v Eldridge*, 424 US 319; *Armstrong v Manzo*, 380 US 545; *Matter of Waldo's, Inc. v Village of Johnson City*, 74 NY2d 718; *Village Auto Body Works v Incorporated Vil. of Westbury*, 90 AD2d 502; *Goldstein v Pataki*, 488 F Supp 2d 254, 516 F3d 50; *Brody v Village of Port Chester*, 434 F3d 121; *Matter of De Vito v City of Troy*, 72 AD2d 866; *First Broadcasting Corp. v City of Syracuse*, 78 AD2d 490; *Adams v United States*, 673 F Supp 1249.) V. Empire State Development Corporation complied with the State Environmental Quality Review Act.

Norman Siegel, New York City, *Philip Van Buren*, *McLaughlin & Stern, LLP* (Steven J. Hyman and Aimee Saginaw of counsel), and *Smith & Nesoff, PLLC* (David L. Smith of counsel), for respondents. I. Empire State Development Corporation's finding of blight was made in bad faith. (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Matter of Dowling Coll. v Flacke*, 78 AD2d 551; *Saso v State of New York*, 20 Misc 2d 826; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Kaskel v Impellitteri*, 306 NY 73; *Matter*

of *Ranauro v Town of Owasco*, 289 AD2d 1089; *Matter of Faith Temple Church v Town of Brighton*, 17 AD3d 1072; *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882.) II. Empire State Development Corporation's finding of blight was palpably unreasonable and without basis in law or fact. (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Kaskel v Impellitteri*, 306 NY 73; *Matter of Fresh Meadows Assoc. v New York City Conciliation & Appeals Bd.*, 92 Misc 2d 519; *Matter of Allen v Commissioner of Social Servs. of State of N.Y.*, 116 AD2d 35; *Matter of County of Orange v Village of Kiryas Joel*, 44 AD3d 765; *Matter of Dowling Coll. v Flacke*, 78 AD2d 551; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Matter of Horoshko*, 90 AD2d 850.) III. The Columbia University project is not a "civic project" and the purported "civic purposes" are both legally insufficient to support the taking and constitute further pretext for dominant private purposes. (*Schulman v People*, 10 NY2d 249; *People v Cooney*, 194 Misc 668; *Brooklyn Bridge Park Legal Defense Fund, Inc. v New York State Urban Dev. Corp.*, 14 Misc 3d 515, 50 AD3d 1029; *Matter of Settco, LLC v New York State Urban Dev. Corp.*, 305 AD2d 1026; *Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312; *Murphy v Erie County*, 28 NY2d 80; *Strassman v State of New York*, 6 AD2d 962; *Bronx Household of Faith v Board of Educ. of City of N.Y.*, 492 F3d 89; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Berman v Parker*, 348 US 26.) IV. Respondent-appellant violated petitioners-respondents' due process and statutory rights to be heard by closing the administrative record while withholding information to which petitioners-respondents had a legal right under the Freedom of Information Law. (*Mathews v Eldridge*, 424 US 319; *Matter of Zaccaro v Cahill*, 100 NY2d 884; *Rao v Gunn*, 73 NY2d 759; *Matter of Goohya v Walsh-Tozer*, 292 AD2d 384; *Matter of Simpson v Wolansky*, 38 NY2d 391; *Matter of Waldo's, Inc. v Village of Johnson City*, 141 AD2d 194; *Brody v Village of Port Chester*, 434 F3d 121; *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882.) V. Empire State Development Corporation's proposed taking is unconstitutional because the Columbia University project did not ensue from a "carefully considered plan." (*Kelo v New London*, 545 US 469; *Matter of Fisher [New York State Urban Dev. Corp.]*, 287 AD2d 262; *Horton v California*, 496 US 128.) VI. The term "substandard and insanitary" in the New York State Development Corporation Act is unconstitutionally vague as applied and on its face. (*Montgomery v Daniels*, 38 NY2d 41; *Giaccio v*

Pennsylvania, 382 US 399; *Foss v City of Rochester*, 65 NY2d 247; *People v Stuart*, 100 NY2d 412; *People v New York Trap Rock Corp.*, 57 NY2d 371; *Lambert v California*, 355 US 225; *Kelo v New London*, 545 US 469; *People v Illardo*, 48 NY2d 408; *Papachristou v Jacksonville*, 405 US 156; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478.)

Institute for Justice (Dana Berliner, of the Virginia bar, admitted pro hac vice, Robert J. McNamara, of the Virginia bar, admitted pro hac vice, Scott Bullock, of the Virginia bar, admitted pro hac vice, and Darpana M. Sheth of counsel) for Institute for Justice, amicus curiae. I. Property owners are entitled to a meaningful opportunity to be heard before being stripped of their rights. (*Armstrong v Manzo*, 380 US 545; *Matter of Waldo's, Inc. v Village of Johnson City*, 141 AD2d 194; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Village Auto Body Works v Incorporated Vil. of Westbury*, 90 AD2d 502; *Brody v Village of Port Chester*, 434 F3d 121; *Hargett v Town of Ticonderoga*, 13 NY3d 325; *Kelo v New London*, 545 US 469.) II. This case presents a textbook example of a pretextual taking in violation of the public use requirement. (*Kelo v New London*, 545 US 469; *Hawaii Housing Authority v Midkiff*, 467 US 229; *99 Cents Only Stores v Lancaster Redevelopment Agency*, 237 F Supp 2d 1123; *Armendariz v Penman*, 75 F3d 1311; *Shanks v Dressel*, 540 F3d 1082.)

Jane E. Booth, General Counsel, Columbia University, New York City, *Wilmer Cutler Pickering Hale and Dorr LLP* (Paul A. Engelmayer of counsel), *Wilmer Cutler Pickering Hale and Dorr LLP* (Seth P. Waxman, of the District of Columbia bar, admitted pro hac vice, Paul R.Q. Wolfson, of the District of Columbia bar, admitted pro hac vice, Rachel Z. Stutz, of the District of Columbia bar, admitted pro hac vice, Micah S. Myers, of the District of Columbia bar, admitted pro hac vice, and Sue-Yun Ahn of counsel) for Columbia University, amicus curiae. I. The project is a civic project serving a public use, benefit and purpose because it is intended to provide facilities for educational and other public purposes. (*Cornell Univ. v Bagnardi*, 68 NY2d 583; *Matter of Gyrodyne Co. of Am., Inc. v State Univ. of N.Y. at Stony Brook*, 17 AD3d 675; *Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312, 13 NY3d 713; *Matter of Fisher [New York State Urban Dev. Corp.]*, 287 AD2d 262; *Matter of West 41st St. Realty v New York State Urban Dev. Corp.*, 298 AD2d 1; *Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Fallbrook Irrigation Dist. v Bradley*, 164

US 112; *Kelo v New London*, 545 US 469; *Matter of Goldstein v New York State Urban Dev. Corp.*, 64 AD3d 168, 13 NY3d 511; *Matter of Waldo's, Inc. v Village of Johnson City*, 74 NY2d 718.) II. The project provides significant public benefits. (*Matter of 49 WB, LLC v Village of Haverstraw*, 44 AD3d 226; *Hargett v Town of Ticonderoga*, 13 NY3d 325.) III. Empire State Development Corporation's plan also qualifies as a public use under the Federal Constitution. (*Hawaii Housing Authority v Midkiff*, 467 US 229; *Goldstein v Pataki*, 516 F3d 50; *Kelo v New London*, 545 US 469; *Searl v School Dist. No. 2 in Lake Cty.*, 133 US 553; *United States v 14.02 Acres of Land More or Less in Fresno County*, 547 F3d 943; *Cochran v Louisiana Bd. of Ed.*, 281 US 370; *Cornell Univ. v Bagnardi*, 68 NY2d 583.)

Feerick Lynch MacCartney PLLC, South Nyack (*J. David MacCartney, Jr.*, of counsel), and *Goldstein, Rikon & Rikon, P.C.*, New York City, for East Harlem Alliance of Responsible Merchants, amicus curiae. I. The court should hold that condemnor's claims of "blight" may not prevail when the record points to bad faith, irrationality and corruption. (*People v Artusa*, 12 Misc 3d 1196[A], 2006 NY Slip Op 51594[U]; *Kaskel v Impellitteri*, 306 NY 73; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478, 423 US 1010; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Nixon v Shrink Missouri Government PAC*, 528 US 377; *Molinari v Powers*, 82 F Supp 2d 57; *Kelo v New London*, 545 US 469.) II. The court should reject respondent-appellant's attempt to twist *Matter of Goldstein v New York State Urban Dev. Corp.* (13 NY3d 511 [2009]) into a declaration of judicial impotence and abdication. (*Kelo v New London*, 545 US 469; *Calder v Bull*, 3 Dallas [3 US] 386; *Matter of Hopper v Britt*, 203 NY 144; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478, 423 US 1010; *Matter of 49 WB, LLC v Village of Haverstraw*, 44 AD3d 226; *Matter of Dowling Coll. v Flacke*, 78 AD2d 551; *Cuglar v Power Auth. of State of N. Y.*, 4 Misc 2d 879, 4 AD2d 801, 3 NY2d 1006; *Matter of Woodfield Equities LLC v Incorporated Vil. of Patchogue*, 28 AD3d 488; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 17 AD2d 590, 12 NY2d 379, 375 US 78, 960; *Denihan Enters. v O'Dwyer*, 302 NY 451.) III. This Court should hold that private property may not be taken except for a public use. (*Chicago, B. & Q. R. Co. v Chicago*, 166 US 226; *Kelo v New London*, 545 US 469; *Wright v United States*, 302 US 583; *Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379; *Brown v Legal Foundation of Wash.*, 538 US 216; *Matter of Goldstein v New York State*

Urban Dev. Corp., 13 NY3d 511; *Brody v Village of Port Chester*, 434 F3d 121; *Matter of Syracuse Univ. v Project Orange Assoc. Servs. Corp.*, 71 AD3d 1432; *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner*, *Paul T. Rephen* and *Rochelle H. Cohen* of counsel), for City of New York, amicus curiae. I. Empire State Development Corporation's finding of blight is rational and amply supported by the record and is entitled to deference. (*Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Kaskel v Impel-litteri*, 306 NY 73; *Akpan v Koch*, 75 NY2d 561; *Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312, 13 NY3d 713; *Matter of Goldstein v New York State Urban Dev. Corp.*, 64 AD3d 168, 13 NY3d 511; *Matter of Waldo's, Inc. v Village of Johnson City*, 74 NY2d 718; *Matter of West 41st St. Realty v New York State Urban Dev. Corp.*, 298 AD2d 1; *Goldstein v Pataki*, 516 F3d 50; *Kelo v New London*, 545 US 469.) II. The project qualifies as a civic project under the New York State Urban Development Corporation Act. (*Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312; *Matter of Schachner v Perales*, 203 AD2d 21; *People v Illardo*, 48 NY2d 408.) III. Petitioners' due process rights were not violated. (*Matter of Waldo's, Inc. v Village of Johnson City*, 141 AD2d 194, 74 NY2d 718; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400.)

Denise Outram, New York City, for Bill Perkins, amicus curiae. I. The existence of a "public use" is a constitutional issue that is ultimately a matter for the courts and the plurality correctly reviewed the record for evidence of pretext and bad faith. (*Denihan Enters. v O'Dwyer*, 302 NY 451; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Marbury v Madison*, 1 Cranch [5 US] 137; *Kelo v New London*, 545 US 469; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511.) II. The definition of "substandard and insanitary" in the New York State Urban Development Corporation Act is unconstitutionally vague on its face and as applied. (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Berman v Parker*, 348 US 26; *Miller v California*, 413 US 15.) III. The burdens of blight and economic development condemnations have and will continue to fall disproportionately upon racial and ethnic minorities and the economically disadvantaged. (*Kelo v New London*, 545 US 469; *United States v Carolene*

Products Co., 304 US 144; *Berman v Parker*, 348 US 26.) IV. The determination and findings should be rejected because Empire State Development Corporation denied petitioners their right to due process by closing the record while withholding documents which were ordered to be released. (*Matter of Fink v Lefkowitz*, 47 NY2d 567.)

Ben Totushek, amicus curiae pro se. I. Columbia University has consistently acted against public opinion and withheld project information relevant to Empire State Development Corporation proceedings from the general public. II. Columbia University's current and past educational uses do not constitute a public or civic educational use and there is no basis to consider that future uses will do so. (*Kelo v New London*, 545 US 469.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are called upon to determine whether respondent's exercise of its power of eminent domain to acquire petitioners' property for the development of a new Columbia University campus was supported by a sufficient public use, benefit or purpose (*see* NY Const, art I, § 7 [a]; EDPL 207 [C] [4]). We answer this question in the affirmative and conclude, pursuant to our recent holding in *Matter of Goldstein v New York State Urban Dev. Corp.* (13 NY3d 511 [2009]), that the Empire State Development Corporation's (ESDC) findings of blight and determination that the condemnation of petitioners' property qualified as a "land use improvement project" were rationally based and entitled to deference. We also conclude that the alternative finding of "civic purpose," likewise, had a rational basis.

I.

Petitioners in this proceeding are the owners of different commercial establishments located in the West Harlem neighborhood of Manhattan. Petitioners Parminder Kaur and Amanjit Kaur own a gasoline service station located on West 125th Street. Petitioners Tuck-It-Away, Inc., Tuck-It-Away Bridgeport, Inc., Tuck-It-Away at 133rd Street, Inc., and Tuck-It-Away Associates, L.P. (collectively TIA) own storage facilities located on Broadway and on West 131st and West 125th Streets. Petitioner P.G. Singh Enterprises, LLP also owns a gasoline service station located on West 125th Street.

On December 18, 2008, respondent ESDC issued a determination pursuant to EDPL 204, concluding that it should use its

power of condemnation to purchase 17 acres of privately owned property, including petitioners', in connection with the Columbia University Educational Mixed Use Development Land Use Improvement and Civic Project (the Project). Located in the Manhattanville section of West Harlem, the Project site will extend from the south side of West 125th Street to the north side of West 133rd Street and will be bounded by Broadway and Old Broadway on the east and 12th Avenue on the west. The majority of the buildings located within the proposed Project site are commercial and it is undisputed that petitioners' property is among the property that ESDC is seeking to acquire.¹

The Project contemplates the construction of a new urban campus that would consist of 16 new state-of-the-art buildings, the adaptive reuse of an existing building and a multi-level below-grade support space. Approximating 6.8 million gross square feet in size, the Project provides for the creation of about two acres of publicly accessible open space, a retail market along 12th Avenue and widened, tree-lined sidewalks. The new buildings will house, among other things, teaching facilities, academic research centers, graduate student and faculty housing as well as an area devoted to services for the local community. Columbia University, a not-for-profit educational corporation, will exclusively underwrite the cost of this Project and not seek financial assistance from the government.²

The origins of the Project trace back to 2001 when Columbia first approached the New York City Economic Development Corporation (EDC) to redevelop the West Harlem area. Following Columbia's interest in revitalizing the neighborhood and expanding its campus, EDC commenced a general economic study of the neighborhood. It issued its report, the West Harlem Master Plan (the Plan), in August 2002, which outlined a series of strategies for the economic development of the region that would encompass three stages.³ To effectuate these stated goals, the Plan envisioned changes in zoning that would foster job

1. There are seven residential buildings located within the Project site. According to ESDC, it "will not exercise its eminent domain power to acquire these seven buildings at any time while they remain occupied by residential occupants."

2. In 2007, Columbia estimated the cost of the Project at \$6.28 billion.

3. The Plan's proposal provided for the development of West Harlem's waterfront (stage 1), improvements to both the streetscape and the public transportation system including increased access to the neighborhood (stage 2) and neighborhood economic development with the articulated goal of creating new jobs (stage 3).

growth, shopping opportunities and the general enlivening of street life. Significantly, the Plan recognized that

“[n]eighboring institutions such as Columbia’s Morningside Heights campus, the main campus of City College, and the Columbia Presbyterian Medical Center can be key catalysts in the economic development of West Harlem. Not only can these institutions provide the day-to-day presence that will enliven the area as a regional attraction, they can also act as partners in job creation.”

In 2003, EDC hired Urbitran Associates (Urbitran), an engineering, architecture and planning firm, to conduct a separate study, examining the neighborhood conditions of West Harlem. Urbitran documented and photographed the area of the Project site as well as the surrounding area and focused its analysis on four major criteria: (1) signs of deterioration, (2) substandard or unsanitary conditions, (3) adequacy of infrastructure and (4) indications of the impairment of sound growth in the surrounding community. The study, issued by EDC in August 2004, determined that the conditions in the study area merited a designation of blight. Specifically, the study revealed that several of the buildings throughout West Harlem were dilapidated.⁴ Urbitran also concluded that numerous buildings evidenced poor exterior conditions and structural degradation. According to this study, two of the blocks with the highest number of deficient buildings and lots are within the Project site.

Meanwhile, as Urbitran performed its neighborhood conditions study of West Harlem, Columbia began to purchase property located within the Project site.⁵ ESDC met with Columbia and EDC for the first time in March 2004 to discuss the proposed condemnation of petitioners’ land. As the talks between ESDC, EDC and Columbia ensued, Columbia hired the environmental planning and consulting firm Allee King Rosen & Fleming (AKRF) to assist Columbia in seeking the necessary agency approval for the Project as well as to prepare the required environmental impact statement (EIS). On July 30, 2004, ESDC and Columbia entered into an agreement, which

4. Dilapidated was defined by Urbitran as “significant evidence of aesthetic degradation (usually a combination of broken windows, peeling paint, and façade damage, among other things).”

5. By October 2003, Columbia owned 51% of the properties in the Project area.

provided that Columbia would pay ESDC's costs associated with the Project.

In September 2006, notwithstanding the results of the Urbitran study, ESDC retained AKRF to perform a neighborhood conditions report of the Project site on its behalf. ESDC chose AKRF, in part, because it was already familiar with the Project site. Moreover, ESDC had worked with AKRF before on other studies in connection with other condemnation proceedings.⁶ In turn, AKRF hired Thornton Tomasetti, an engineering firm, to inspect and evaluate the physical conditions of the structures within the Project site.

AKRF photographed and conducted detailed inspections of each of the individual lots in the Project site. It documented structural conditions, vacancy rates, site utilization, property ownership, and crime data. For each building on the Project site, it also documented the physical and structural conditions, health and safety concerns, building code violations, underutilization, and environmental hazards. AKRF said it selected these factors "because they are generally accepted indicators of disinvestment in a neighborhood. The widespread presence of one or more of these factors can also demonstrate the need for revitalization and redevelopment of an area." Based on these factors, on November 1, 2007, AKRF issued its Manhattanville Neighborhood Conditions Study. This study concluded that the Project site was "substantially unsafe, unsanitary, substandard, and deteriorated" or, in short, blighted.

As ESDC prepared to issue its "blight study" of the Project site, Columbia moved towards obtaining the necessary agency approval to realize its expansion plan. Indeed, the public process for this Project was extensive and formally began when the New York City Planning Commission (CPC) first considered whether to authorize the rezoning of about 35 acres of West Harlem, including the 17-acre Project site. The rezoning of this area, recommended in EDC's West Harlem Master Plan, triggered a thorough review according to New York City's Uniform Land Use Review Procedure (ULURP).

Consequently, on November 16, 2007, CPC, pursuant to the New York State Environmental Quality Review Act (SEQRA) and the City Environmental Quality Review (CEQR) issued a

6. Most recently, in determining that the area in downtown Brooklyn, known as the Atlantic Yards, was blighted, ESDC relied upon an AKRF neighborhood conditions study (*see Matter of Goldstein*, 13 NY3d at 518).

notice of completion for the Project's final EIS (FEIS). The FEIS evaluated nine different plans for the Project site. Since none of the other plans provided for publicly accessible open spaces and community facilities, CPC determined that the proposed alternatives were less beneficial to the public than the rezoning based on Columbia's proposal.

Ten days after it issued the notice of completion, CPC released its findings on the FEIS. In its findings, CPC noted that Columbia "is of significant importance to the City and State as a center of educational excellence and a source of economic growth, and the Academic Mixed Use Development Plan is intended to fulfill these public purposes." Thus, CPC approved the rezoning that would allow Columbia to construct "a new urban campus" that will be "integrated with the urban grid, with all streets remaining open to the public . . . and a new open space network open to University-affiliated personnel and the general public alike." CPC further recognized that the proposed Project may require the use of eminent domain, which, if necessary, "would serve a public purpose insofar as it would allow for realization of the public benefits of the Columbia proposal." Following CPC's approval of the rezoning in West Harlem, the City Council held a public hearing on this matter and on December 19, 2007, it approved the 35-acre rezoning of West Harlem.

Meanwhile, certain business groups located within the Project site, including petitioner TIA, requested documents related to the Project on several occasions pursuant to the Freedom of Information Law (FOIL). In response, ESDC turned over about 8,000 pages of documents to petitioners. Petitioner TIA and the other business groups, however, believing that they were entitled to other documents not disclosed by ESDC, filed separate CPLR article 78 petitions.

Supreme Court, after an extensive in camera review of the documents in dispute, granted the applications of petitioner TIA and the other business groups and ordered, in relevant part, the release of certain documents in ESDC's possession, including documents related to its July 2004 agreement with Columbia as well as its correspondence with AKRF (*Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 2007 NY Slip Op 34369[U]); ESDC appealed the order of Supreme Court to the Appellate Division. On July 15, 2008, the Appellate Division affirmed the portion of Supreme Court's order requiring the disclosure of documents related to ESDC's agreement with Columbia as well as its communication with AKRF (*see Matter*

of *Tuck-It-Away Assoc., L.P. v Empire State Dev. Corp.*, 54 AD3d 154, 162 [1st Dept 2008]). In its ruling, the court called into question AKRF's "tangled relationships" with both ESDC and Columbia (*Matter of Tuck-It-Away Assoc., L.P.*, 54 AD3d at 166). Following the order of the Appellate Division, ESDC disclosed its correspondence with AKRF, but otherwise appealed the order of the Appellate Division to this Court.

It is important to note that the appeal brought before us late last year concerned the disclosure of just five documents (see *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882, 884 [2009]). ESDC argued to us and the courts below that the July 2004 paperwork related to its agreement with Columbia was exempt from disclosure under Public Officers Law § 87 (2) (c) because disclosure "would impair present or imminent contract awards or collective bargaining negotiations." We concluded, however, that ESDC failed to meet its burden under FOIL of establishing that those documents were exempt from disclosure because it did not articulate a particularized reason for denying disclosure. Accordingly, we affirmed the order of the Appellate Division.

Because the courts below raised concerns about the propriety of ESDC's choice to hire AKRF to conduct a neighborhood conditions study of West Harlem, ESDC retained a second engineering and environmental consultant, Earth Tech, to separately assess the conditions of the Project site and issue an independent report. Earth Tech, which had no prior affiliation with Columbia, was specifically instructed not to provide any services to Columbia while it worked for ESDC.

Charged with the task of performing yet another "blight study" of the area, Earth Tech engineers independently photographed, inspected and assessed each of the lots on the Project site. In May 2008, Earth Tech issued its Manhattanville Neighborhood Conditions Study. In the study, Earth Tech noted certain variables including current land uses, structural conditions, health and safety issues, utilization rates, environmental contamination, building code violations and crime statistics. Earth Tech determined that since 1961, there was a dearth of new construction in the area, finding a "long-standing lack of investor interest in the neighborhood." Earth Tech also enumerated the extensive building code violations in the area and the chronic problems that the buildings had with water infiltration.

Earth Tech also found that many of the buildings in the Project site had deteriorated façades and that several of the

buildings had been sealed by the New York City Fire Department because of unsafe conditions. It also discovered widespread vermin on the streets and graffiti on the walls of the buildings and other structures. With respect to the four parcels owned by petitioner TIA, Earth Tech determined that these parcels, taken together, had more than three times the average number of building violations as the parcels acquired by Columbia over the previous several years.⁷ In sum, Earth Tech concluded that the neighborhood conditions created “a blighted and discouraging impact on the surrounding community.”

With the “blight studies” of both AKRF and Earth Tech in hand and with the knowledge that the City Council had approved the Project site for rezoning, on July 17, 2008, ESDC adopted a General Project Plan (GPP) that would enable Columbia to move forward with its plan to build an urban campus in West Harlem. Pursuant to EDPL 201 and 202, ESDC solicited public comment on the GPP, holding a duly noticed hearing on September 2 and 4, 2008. This hearing, which lasted over 13 hours, was attended by 98 members of the community, including petitioners and their counsel. The purpose of the hearing was to provide those interested with the opportunity to comment on the GPP and the public purpose of the Project. At the hearing, ESDC distributed copies of its adopted GPP as well as copies of the FEIS, and the AKRF and Earth Tech neighborhood conditions reports. These documents, made available to the public by ESDC in July 2008, along with the record of the two-day hearing, remained open for public inspection until October 30, 2008, the close of the comment period.

Petitioners, with access to all 8,000 or so documents that comprised the administrative record in this case (and turned over pursuant to FOIL requests), responded to the GPP adopted by ESDC. Indeed, petitioners submitted two legal memoranda and thousands of pages of materials in opposition to the Project during the comment period. ESDC, in turn, prepared a comprehensive 75-page document entitled “Response to Comments,” which thoroughly addressed the concerns raised by petitioners and others.

Taking into consideration the questions raised by the petitioners during the hearing and their substantial written submis-

7. In one example, Earth Tech found that petitioner TIA unlawfully used its building located at 3300 Broadway as a parking garage in violation of zoning laws and its certificate of occupancy. As a result, in 2008, the building had to be evacuated in order to avoid imminent collapse.

sions that followed, on December 18, 2008, ESDC adopted a modified GPP and authorized the issuance of its findings and determination. ESDC sponsored the Project both as a “land use improvement project” pursuant to the New York State Urban Development Corporation Act (L 1968, ch 174, § 1, as amended [UDC Act]) (McKinney’s Uncons Laws of NY § 6253 [6] [c] [UDC Act § 3 (6) (c)]) and as a “civic project” pursuant to a different paragraph of the same Act (Uncons Laws § 6253 [6] [d] [UDC Act § 3 (6) (d)]).

In so sponsoring this Project, ESDC specified the public uses, benefits and purposes of the Project pursuant to its obligations under EDPL 204 (B) (1). It found, for example, that the Project would address the city and statewide “need for educational, community, recreational, cultural and other civic facilities” and would enable New York City and the State to maintain their positions as “global center[s] for higher education and academic research.” ESDC further determined that Manhattanville “suffer[ed] from long-term poor maintenance [and] lack of development and disinvestment” and the Project would help curb the “current bleak conditions [that] are and have been inhibiting growth and preventing the site’s integration into the surrounding community.”

In eliminating the blighted conditions plaguing the area of the Project site, ESDC noted that the Project would create 14,000 jobs during the construction of the new campus as well as 6,000 permanent jobs following the Project’s completion. ESDC found that the Project would generate substantial revenue, estimating that “tax revenue derived from construction expenditures and total personal income during this period” at \$122 million for the State and \$87 million for New York City.

Moreover, ESDC indicated that another purpose of the Project was the creation of much needed public space. Specifically, it found that the Project site would create “approximately 94,000 square feet of accessible open space and maintained as such in perpetuity that will be punctuated by trees, open vistas, paths, landscaping and street furniture and an additional well-lit 28,000 square feet of space of widened sidewalks that will invite east-west pedestrian traffic.”

In addition to the open space created, ESDC highlighted that the Project made provision for infrastructure improvements—most notably to the 125th Street subway station—as well as substantial financial commitment by Columbia to the

maintenance of West Harlem Piers Park. ESDC further acknowledged that Columbia would open its facilities—including its libraries and computer centers—to students attending a new public school that Columbia is supplying the land to rent-free for 49 years. Columbia would also open its new swimming facilities to the public.

Nonetheless, on February 20, 2009, petitioners challenged ESDC's findings and determination in the Appellate Division pursuant to EDPL 207. A plurality of that court concluded that "ESDC's determination that the project has a public use, benefit or purpose is wholly unsupported by the record and precedent" (72 AD3d 1, 9 [1st Dept 2009]). One Justice, concurring in the result, opined that petitioners' "procedural due process and statutory rights were violated by ESDC's refusal to keep the record open until the conclusion of the FOIL litigation initiated by [petitioner] Tuck-It-Away" (*id.* at 28).

Two Justices of the court dissented. They concluded that "ESDC's finding that the project will serve a public purpose by providing, among other things, needed educational facilities in the area in which it is to be located is neither irrational nor baseless" and was entitled to deference (*id.* at 33). The dissenting Justices also rejected the argument that petitioners were denied procedural due process (*id.* at 35).

Respondent appealed as of right, pursuant to CPLR 5601 (a) and (b), and we now reverse.

II.

[1] Petitioners' main argument on this appeal is that the Project approved by ESDC is unconstitutional because the condemnation is not for the purpose of putting properties to "public use" within the meaning of article I, § 7 (a) of the NY Constitution, which provides that "[p]rivate property shall not be taken for public use without just compensation." First, petitioners vociferously contend that ESDC's blight findings were made in bad faith and the Project only serves the private interests of Columbia. ESDC counters that the duly approved Project qualifies as a "land use improvement project" within the meaning of the UDC Act and that the Appellate Division plurality erred as a matter of law when it conducted a *de novo* review of the administrative record and concluded that the Project site was not blighted. We agree with ESDC.

"[I]t is indisputable that the removal of urban blight

is a proper, and, indeed, constitutionally sanctioned, predicate for the exercise of the power of eminent domain. It has been deemed a ‘public use’ within the meaning of the State Constitution’s Takings Clause at least since *Matter of New York City Hous. Auth. v Muller* (270 NY 333 [1936]) and is expressly recognized by the Constitution as a ground for condemnation” (*Matter of Goldstein*, 13 NY3d at 524).⁸

In *Matter of Goldstein*, we reaffirmed the long-standing doctrine that the role of the Judiciary is limited in reviewing findings of blight in eminent domain proceedings (*see id.* at 526). Because the determinations of blight and public purpose are the province of the Legislature, and are entitled to deference by the Judiciary, we stated that

“[w]hether a matter should be the subject of a public undertaking—whether its pursuit will serve a public purpose or use—is ordinarily the province of the Legislature, not the Judiciary, and the actual specification of the uses identified by the Legislature as public has been largely left to quasi-legislative administrative agencies. It is only where there is *no room for reasonable difference of opinion* as to whether an area is blighted, that judges may substitute their views as to the adequacy with which the public purpose of blight removal has been made out for that of the legislatively designated agencies” (*id.* [emphasis added]).

Indeed, we observed that “[t]he Constitution accords government broad power to take and clear substandard and insanitary areas for redevelopment. In so doing, it commensurately deprives the Judiciary of grounds to interfere with the exercise” (*id.* at 527). These principles are based on a consistent body of law that goes back over 50 years (*see e.g. Yonkers Community Dev. Agency v Morris*, 37 NY2d 478, 484 [1975] [“extensive authority to make the initial determination that an area qualifies for renewal as ‘blighted’ has been vested in the agencies and the municipalities; courts may review their findings only upon a limited basis”]; *see also Matter of Jackson v New York*

8. Article XVIII, § 1 of the NY Constitution authorizes the Legislature to “provide in such manner, by such means and upon such terms and conditions as it may prescribe . . . for the clearance, replanning, reconstruction and rehabilitation of substandard and insanitary areas.”

State Urban Dev. Corp., 67 NY2d 400, 425 [1986]; *Kaskel v Impellitteri*, 306 NY 73, 78 [1953], *cert denied* 347 US 934 [1954]). Thus, a court may only substitute its own judgment for that of the legislative body authorizing the project when such judgment is irrational or baseless (see *Matter of Goldstein*, 13 NY3d at 527).

Applying this standard of review, as we must, we now look to the relevant statute. The UDC Act provides that, in the case of land use improvement projects, ESDC must find:

“(1) That the area in which the project is to be located is a substandard or insanitary area, or is in danger of becoming a substandard or insanitary area and tends to impair or arrest the sound growth and development of the municipality;

“(2) That the project consists of a plan or undertaking for the clearance, replanning, reconstruction and rehabilitation of such area and for recreational and other facilities incidental or appurtenant thereto;

“(3) That the plan or undertaking affords maximum opportunity for participation by private enterprise, consistent with the sound needs of the municipality as a whole” (Uncons Laws § 6260 [c] [UDC Act § 10 (c)]).

The term “substandard or insanitary area” is defined as “a slum, blighted, deteriorated or deteriorating area, or an area which has a blighting influence on the surrounding area” (Uncons Laws § 6253 [12] [UDC Act § 3 (12)]). Here, the two reports prepared by ESDC consultants—consisting of a voluminous compilation of documents and photographs of property conditions—arrive at the conclusion that the area of the Project site is blighted. Just as in *Matter of Goldstein*, “all that is at issue is a reasonable difference of opinion as to whether the area in question is in fact substandard and insanitary,” which is “not a sufficient predicate . . . to supplant [ESDC’s] determination” (13 NY3d at 528).

Thus, given our precedent, the de novo review of the record undertaken by the plurality of the Appellate Division was improper. On the “record upon which the ESDC determination was based and by which we are bound” (*id.* at 517, citing *Matter of Levine v New York State Liq. Auth.*, 23 NY2d 863, 864 [1969]), it cannot be said that ESDC’s finding of blight was

irrational or baseless. Indeed, ESDC considered a wide range of factors including the physical, economic, engineering and environmental conditions at the Project site. Its decision was not based on any one of these factors, but on the Project site conditions as a whole. Accordingly, since there is record support—“extensively documented photographically and otherwise on a lot-by-lot basis” (*id.* at 526)—for ESDC’s determination that the Project site was blighted, the Appellate Division plurality erred when it substituted its view for that of the legislatively designated agency.

III.

[2] Despite the objective data utilized by ESDC in its finding of blight, petitioners conclusorily assert that ESDC acted in “bad faith” and with pretext when it arrived at its determination (*see generally Matter of Jackson*, 67 NY2d at 425; *Kaskel*, 306 NY at 79). Petitioners and the plurality at the Appellate Division particularly take umbrage at ESDC’s decision to hire AKRF to conduct a neighborhood conditions study because Columbia had previously engaged AKRF to prepare its EIS. Here, the record does not support petitioners’ contention that the study conducted by AKRF was compromised simply because it separately prepared an EIS on behalf of Columbia.

Moreover, ESDC—as a measure of caution and in response to criticism of its choice to retain AKRF—hired a second consulting firm, Earth Tech, to conduct review of the Project site. This company arrived at conclusions similar to AKRF’s. Contrary to petitioners’ assertions, Earth Tech did not merely review and rubber-stamp AKRF’s study, but conducted its own independent research and gathered separate data and photographs of the area before arriving at its own conclusions. Further, unlike AKRF, Earth Tech had never previously been affiliated with or employed by Columbia. Simply put, petitioners’ argument that ESDC acted in “bad faith” or pretextually is unsubstantiated by the record.

IV.

[3] In addition to attacking the neighborhood blight studies and ESDC’s determination based on those studies, petitioners also challenge the constitutionality of the statutory term “substandard or insanitary area” (*see* Uncons Laws § 6253 [12]; § 6260 [c] [1] [UDC Act § 3 (12); § 10 (c) (1)]). They argue that we should find this term void for vagueness. This contention is likewise unpersuasive.

It has long been settled that “civil as well as penal statutes can be tested for vagueness under the due process clause” (*Montgomery v Daniels*, 38 NY2d 41, 58 [1975], citing *Giaccio v Pennsylvania*, 382 US 399, 402 [1966]). Due process requires that a statute be sufficiently definite “so that individuals of ordinary intelligence are not forced to guess at the meaning of statutory terms” (*Foss v City of Rochester*, 65 NY2d 247, 253 [1985]; see also *People v Stuart*, 100 NY2d 412, 420 [2003]). In the context of eminent domain cases, we have held that, to guard against discriminatory application of the law, it is not necessary that “the degree of deterioration or precise percentage of obsolescence or mathematical measurement of other factors be arrived at with precision” (*Yonkers Community Dev. Agency*, 37 NY2d at 484).

Indeed, in *Yonkers Community Dev. Agency*, we recognized that “[m]any factors and interrelationships of factors may be significant” for a blight finding and

“may include such diverse matters as irregularity of the plots, inadequacy of the streets, diversity of land ownership making assemblage of property difficult, incompatibility of the existing mixture of residential and industrial property, overcrowding, the incidence of crime, lack of sanitation, the drain an area makes on municipal services, fire hazards, traffic congestion, and pollution” (*id.* at 483).

Not only this Court, but the Supreme Court has consistently held that blight is an elastic concept that does not call for an inflexible, one-size-fits-all definition (see *Berman v Parker*, 348 US 26, 33-34 [1954]). Rather, blight or “substandard or insanitary areas,” as we held in *Matter of Goldstein* and *Yonkers Community Dev. Agency*, must be viewed on a case-by-case basis. Accordingly, because the UDC Act provides adequate meaning to the term “substandard or insanitary area,” we reject petitioners’ argument that the statute is unconstitutionally vague on its face.

V.

[4] On appeal to the Appellate Division, petitioners argued that there were no findings of blight in the Project site prior to Columbia’s acquisition of property there. Despite the objective data in the record to the contrary, the Appellate Division plurality agreed stating that there was “no evidence whatsoever that Manhattanville was blighted prior to Columbia gaining control

over the vast majority of property therein” (72 AD3d at 16). This argument is unsupported by the record.

In determining that Columbia created the blighted conditions in West Harlem, the plurality of the Appellate Division disregarded the Urbitran blight study commenced in 2003. That study, made at EDC’s request and not ESDC’s, was based on a survey of the Project site and surrounding neighborhood at a time when Columbia was only beginning to purchase property in the area. Indeed, the Urbitran study unequivocally concluded that there was “ample evidence of deterioration of the building stock in the study area” and that “[s]ubstandard and unsanitary conditions were detected in the study area.” Moreover, Earth Tech found that, since 1961, the neighborhood has suffered from a long-standing lack of investment interest. Thus, since there is record support that the Project site was blighted before Columbia began to acquire property in the area, the issue is beyond our further review.

VI.

[5] We also conclude that ESDC properly qualified this Project, in the alternative, as a “civic project” within the meaning of the UDC Act. Of course, ESDC is statutorily empowered to exercise eminent domain in furtherance of a civic project regardless of whether a project site suffers from blight. A civic project is defined as “[a] project or that portion of a multi-purpose project designed and intended for the purpose of providing facilities for *educational*, cultural, recreational, community, municipal, public service or other civic purposes” (Uncons Laws § 6253 [6] [d] [UDC Act § 3 (6) (d)] [emphasis added]). Moreover, under the UDC Act, ESDC is “empowered to undertake the acquisition, construction, reconstruction, rehabilitation or improvement of a [civic] project” if it finds:

“(1) That there exists in the area in which the project is to be located, a need for the *educational*, cultural, recreational, community, municipal, public service or other civic facility to be included in the project;

“(2) That the project shall consist of a building or buildings or other facilities which are suitable for *educational*, cultural, recreational, community, municipal, public service or other civic purposes” (Uncons Laws § 6260 [d] [UDC Act § 10 (d)] [emphasis added]).

The plurality at the Appellate Division held that the expansion of a private university does not qualify as a “civic purpose.” This conclusion does not have statutory support. Indeed, there is nothing in the statutory language limiting a proposed educational project to public educational institutions. In fact, the UDC Act encourages participation in projects by private entities (*see* Uncons Laws § 6252 [UDC Act § 2] [(i)t is further declared to be the policy of the state to promote . . . sound growth and development of our municipalities through . . . redevelopment . . . of (blighted) areas (and) . . . the undertaking of public and *private improvement programs* related thereto, including the provision of educational, recreational and cultural facilities, and the encouragement of participation in these programs by *private enterprise*” (emphasis added)]; *see also* Uncons Laws § 6260 [c] [3] [UDC Act § 10 (c) (3)]). Thus, there is no reason to depart from the plain meaning of the word “education” by limiting the term to public institutions.

Moreover, consonant with the policy articulated in the UDC Act, ESDC has a history of participation in civic projects involving private entities. The most recent example of a civic project is the Atlantic Yards project, which authorized a private entity to construct and operate an arena for the Nets professional basketball franchise (*see Matter of Develop Don’t Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312 [1st Dept 2009], *lv denied* 13 NY3d 713 [2009]). The petitioners in that case argued that the project did not qualify as a “civic project” because the arena would be used by a professional basketball team and operated by a private profit-making entity. In rejecting that argument, the Appellate Division explained “that a sports arena, even one privately operated for profit, may serve a public purpose” (*id.* at 325). Looking to the plain language of section 10 (d) of the UDC Act (*see* Uncons Laws § 6260 [d]), the court observed that “the proposed arena will serve a public purpose by providing a needed recreational venue in the area of the project” (*id.*).

The proposed Project here is at least as compelling in its civic dimension as the private development in *Matter of Develop Don’t Destroy (Brooklyn)*. Unlike the Nets basketball franchise, Columbia University, though private, operates as a nonprofit educational corporation. Thus, the concern that a private enterprise will be profiting through eminent domain is not present. Rather, the purpose of the Project is unquestionably to promote education and academic research while providing

public benefits to the local community. Indeed, the advancement of higher education is the quintessential example of a “civic purpose” (see *Cornell Univ. v Bagnardi*, 68 NY2d 583, 593 [1986] [recognizing that schools, both public and private, “serve the public’s welfare and morals”]). It is fundamental that education and the expansion of knowledge are pivotal government interests. The indisputably public purpose of education is particularly vital for New York City and the State to maintain their respective statuses as global centers of higher education and academic research. To that end, the Project plan includes the construction of facilities dedicated to research and the expansion of laboratories, libraries and student housing.

In addition to these new educational facilities, the Project will bestow numerous other significant civic benefits to the public. For example, the Project calls for the development of approximately two acres of gateless, publicly accessible park-like and landscaped space as well as an open-air market zone along 12th Avenue. Other civic benefits include upgrades in transit infrastructure and a financial commitment to West Harlem Piers Park. Moreover, this Project is projected to stimulate job growth in the local area. In addition to hiring 14,000 people for construction at the Project site, Columbia estimates that it will accommodate 6,000 permanent employees once the Project is completed. In sum, there can be no doubt that the Project approved by ESDC—which provides for the expansion of Columbia’s educational facilities and countless public benefits to the surrounding neighborhood, including cultural, recreational and job development benefits—qualifies as a “civic project” under the UDC Act.⁹

VII.

[6] Petitioners finally contend that they were denied procedural due process when ESDC both failed to turn over certain documents during the administrative process pursuant to their FOIL request and closed the record prior to completion of the FOIL litigation. Because ESDC did not withhold any documents

9. Since the constitutionality of the UDC Act pertaining to “civic projects” is not challenged by petitioners, we respectfully disagree with our concurring colleague that it should be addressed here. Moreover, we do not believe that anything in our opinion could reasonably be construed to mean that “private tennis camps or karate schools” or “private casinos or adult video stores” would qualify as a “civic project” within the meaning of the UDC Act (see concurring op at 263).

that formed part of the administrative record and because petitioners are not entitled to discovery under article 2 of the EDPL, we, too, reject this argument as lacking merit.¹⁰

It is well settled that procedural due process in the context of an agency determination requires that the agency provide an opportunity to be heard in a meaningful manner at a meaningful time (*see Mathews v Eldridge*, 424 US 319, 333 [1976]). In this case, petitioners had an opportunity to comment on the proposed Project in a meaningful manner—both orally and through written submissions—and at a meaningful time—well before ESDC issued its findings and determination to acquire petitioners' property by eminent domain.

It should be emphasized that prior to the ESDC determination, petitioners had unfettered access to over 8,000 pages of documents including, most significantly, the GPP (as initially adopted by ESDC), the FEIS, and the AKRF and Earth Tech neighborhood conditions studies. All of these documents were available to the public during the comment period pursuant to EDPL 203. Indeed, petitioners' substantial opportunity to be heard is reflected in their extensive written submissions after the completion of the two-day public hearing. As a result, ESDC

10. The procedural due process protections contained within the EDPL include the right to a public hearing and adequate notice of that hearing. With respect to notice, EDPL 202 (A) provides:

“Where a public hearing is required by this article the condemnor shall give notice to the public of the purpose, time and location of its hearing setting forth the proposed location of the public project including any proposed alternate locations, at least ten but no more than thirty days prior to such public hearing by causing such notice to be published in at least five successive issues of an official daily newspaper if there is one designated in the locality where the project will be situated and in at least five successive issues of a daily newspaper of general circulation in such locality. If the official newspaper is one of general circulation in such locality, publication therein as specified shall be deemed sufficient compliance.”

The scope of the public hearing required under the EDPL is addressed in section 203 of the statute. It states, in pertinent part:

“At the public hearing the condemnor shall outline the purpose, proposed location or alternate locations of the public project and any other information it considers pertinent, including maps and property descriptions of the property to be acquired and adjacent parcels. Thereafter, any person in attendance shall be given a *reasonable opportunity to present an oral or written statement and to submit other documents concerning the proposed public project*. A record of the hearing shall be kept, including written statements submitted” (emphasis added).

prepared 75 pages of detailed responses to petitioners' comments and duly considered their submissions before rendering its final findings and determination (see *Village Auto Body Works v Incorporated Vil. of Westbury*, 90 AD2d 502, 503 [2d Dept 1982] [where a party has an opportunity to raise claims at a public hearing, there is no denial of procedural or substantive due process]).

It is true that, in the separate FOIL proceedings that were litigated during and after this administrative process, we ultimately ruled in favor of petitioner TIA and ordered ESDC to turn over five additional documents related to ESDC's July 2004 agreement with Columbia (see *Matter of West Harlem Bus. Group*, 13 NY3d at 886). However, even if petitioners were legally entitled to the documents under FOIL at the time of the public hearing, a FOIL violation does not establish a due process violation. Indeed, the due process protections embodied in the EDPL do not even allow for discovery.¹¹ Rather, in enacting the EDPL, the Legislature clearly evinced an intent for expeditious review of agency determinations, not a trial-like hearing process, by placing, for example, original jurisdiction of these proceedings in the Appellate Division and setting a short statute of limitations (see *Matter of Jackson*, 67 NY2d at 424).¹²

To establish that a FOIL violation rose to the level of a due process violation, petitioners "must show that the withholding of the [documents] . . . caused [them] prejudice" (*Adams v United States*, 673 F Supp 1249, 1260 [SD NY 1987]). Here, petitioners have not met their burden, neither explaining how they were deprived of a meaningful opportunity to be heard during the administrative process nor demonstrating the materiality of the records sought through FOIL.

Moreover, "petitioners fail to explain why they failed to bring a motion to vacate the automatic stay" pursuant to CPLR 5519 (c)

11. See *supra* at 260 n 10.

12. Prior to enactment of the EDPL, a Commission established to evaluate our State's eminent domain law and procedures recognized the balance between judicial review and the "deleterious effects of prolonged litigation" (*Matter of Goldstein*, 13 NY3d at 534 [Read, J., concurring]). The Commission specifically noted:

"Nor should the construction of public projects be brought to a standstill, as the need for public projects in an advanced urban society is essential. In addition to the problem of a legal blockage of a project, is the fact that the resort to the courts for a review of a project's possible adverse effects results in a lengthy period of delay before ultimate [disposition]" (*id.*, quoting 1971 Rep of State Commn on Eminent Domain, Feb. 1, 1972, at 16).

following the Appellate Division order in their favor that granted their FOIL requests (72 AD3d at 35 [Tom, J., dissenting]). Indeed, the dissenting Justices at the Appellate Division below recognized that

“[a] CPLR 5519 (c) application would have afforded the Court with the opportunity to assess whether petitioners could demonstrate the likelihood of success on the merits . . . and that such documents were material to ESDC’s determination and, thus, essential to affording petitioners procedural due process” (*id.*).

We thus reject petitioners’ assertion that they were denied procedural due process.

In sum, we give deference to the findings and determination of the ESDC that the Project qualifies as both a land use improvement project and as a civic project serving a public purpose under the UDC Act. We further conclude that petitioners were not deprived of procedural due process.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petitions should be dismissed.

SMITH, J. (concurring). I concur in the result on constraint of *Matter of Goldstein v New York State Urban Dev. Corp.* (13 NY3d 511 [2009]). The finding of “blight” in this case seems to me strained and pretextual, but it is no more so than the comparable finding in *Goldstein*. Accepting *Goldstein* as I must, I agree in substance with all but section VI of the majority opinion.

Section VI is unnecessary to the result we reach. Once we have decided that the removal of urban blight provides a sufficient constitutional basis for the taking, and that the project is a “land use improvement project” within the meaning of the Urban Development Corporation (UDC) Act (L 1968, ch 174, § 1, as amended), there is no reason to consider UDC’s alternative argument that the taking may also be justified as one for a “civic project.” The majority gratuitously decides to reach this question—and then confuses matters by addressing only the statutory, not the constitutional, aspect of Empire State Development Corporation’s alternative argument.

The “civic project” issue would be significant in this case only if we rejected the idea that blight removal justifies the taking. But if we did reject the blight rationale, we would have to consider whether this taking can be characterized as being for “public use” on some other ground—an issue the majority does

not discuss. Rather, the majority discusses the statutory definition of “civic project” in a vacuum, as though there were no possible constitutional limitation on the breadth of that term. When we interpret a statute, we should at least consider whether the interpretation we adopt raises constitutional problems.

The statutory definition of “civic project” is “[a] project or that portion of a multi-purpose project designed and intended for the purpose of providing facilities for educational, cultural, recreational, community, municipal, public service or other civic purposes” (McKinney’s Uncons Laws of NY § 6253 [6] [d] [UDC Act § 3 (6) (d)]). The majority seems to read this definition as broadly as its literal language permits. It implies that any public or private activity that can fairly be called educational—or, by implication, cultural or recreational and so forth—will qualify a project as “civic.” Surely this approach will, in some imaginable cases, cause the statute to be unconstitutional as applied: would anyone seriously suggest, for example, that private tennis camps or karate schools (“educational” uses), or private casinos or adult video stores (“recreational” uses), qualify as “public” uses in the constitutional sense?

It is clear to me that attention to constitutional constraints would require a narrower reading of the term “civic project” than the one the majority adopts. Since the majority pays no attention to those constraints, I do not join section VI of its opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH concurs in result in a separate opinion.

Order reversed, etc.

[933 NE2d 738, 907 NYS2d 139]

CONTINENTAL CASUALTY COMPANY et al., Appellants, v PRICEWATERHOUSECOOPERS, LLP, Respondent.

EAGLE PARTNERS, L.P., et al., Appellants, v PRICEWATERHOUSECOOPERS, LLP, Respondent.

JEREMY M. JONES et al., Appellants, v PRICEWATERHOUSECOOPERS, LLP, Respondent.

Argued June 2, 2010; decided June 29, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 30, 2008. The Appellate Division affirmed three judgments of the Supreme Court, New York County (Karla Moskowitz, J.; *see* 2007 NY Slip Op 33619[U]), which had dismissed the complaints in the three above-entitled actions.

Continental Cas. Co. v PricewaterhouseCoopers, LLP, 57 AD3d 411, affirmed.

HEADNOTE

Fraud — Fraud in Inducement — Direct Claim by Limited Partners for Investment Made in Reliance on Fraud — Derivative Nature of Damages

The fraud cause of action brought by plaintiffs, former limited partners of a dissolved private investment hedge fund, asserting direct claims of fraud in the inducement against defendant, the auditor of the fund's annual financial statements, was properly dismissed for plaintiffs' failure to rebut defendant's showing that the damages plaintiffs claimed to have suffered were the result of the conduct of the fund and not a direct diminution of plaintiffs' initial investments. After the fund was liquidated a trustee was appointed who commenced an action against defendant for damages allegedly caused to the fund by defendant's improper audits, the very same categories of damages allegedly suffered by plaintiffs here. The presence of the overlapping claims required plaintiffs to come forward with direct, distinct date-of-investment injuries, a burden they did not meet. Plaintiffs could have, but failed to, come forward with portfolio valuations showing the amount of the claimed overvaluation of the portfolio on the day of their respective investments. The only injury they sought to establish was the diminution in value of their limited partnership interests at liquidation. However, that diminution was attributable to their pro rata share of the partnership's losses after the date of their investments, and they experienced those losses in their capacities as limited partners in common with all other limited partners. Plaintiffs could not recover their pro rata share of the partnership injury and also recover that same injury under the direct fraud actions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Accountants § 16; AM JUR 2d, Partnership §§ 898, 902.

NY JUR 2d, Business Relationships § 2052; NY JUR 2d, Malpractice §§ 9–12.

ANNOTATION REFERENCES

Right of limited partner to maintain derivative action on behalf of partnership. 26 ALR4th 264.

Liability of independent accountant to investors or shareholders. 48 ALR5th 389.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: limited /2 partner! /s fraud /s auditor

POINTS OF COUNSEL

Pachulski Stang Ziehl & Jones LLP, New York City (Steven J. Ahmuty, Jr., Ilan D. Scharf and Dean A. Ziehl of counsel), and *Susman Godfrey LLP*, Los Angeles, California (Marc M. Seltzer of counsel), for appellants. I. PricewaterhouseCoopers, LLP (PwC) owed an independent duty to plaintiffs, and plaintiffs' claims against PwC are direct and not derivative of the partnership's claims. (*Ultramares Corp. v Touche*, 255 NY 170; *State St. Trust Co. v Ernst*, 278 NY 104; *United States v Arthur Young & Co.*, 465 US 805; *Solutia Inc. v FMC Corp.*, 385 F Supp 2d 324; *Abrams v Donati*, 66 NY2d 951; *General Rubber Co. v Benedict*, 215 NY 18; *Kono v Roeth*, 237 App Div 252; *Bookout v Schine Chain Theatres*, 253 F2d 292; *Hirsch v Arthur Andersen & Co.*, 72 F3d 1085; *Glusband v Fittin Cunningham Lauzon, Inc.*, 582 F Supp 145.) II. Plaintiffs' claims are supported by the Court of Appeals' decision in *Hotaling v Leach & Co.* (247 NY 84 [1928]), which the lower courts completely failed to acknowledge and apply. (*Kaufmann v Delafield*, 224 App Div 29; *Stutman v Chemical Bank*, 95 NY2d 24; *Bernstein v Kelso & Co.*, 231 AD2d 314; *Primavera Familienstifung v Askin*, 130 F Supp 2d 450, 137 F Supp 2d 438; *Abrams v Donati*, 66 NY2d 951; *Serino v Lipper*, 47 AD3d 70; *Williamson v PricewaterhouseCoopers LLP*, 9 NY3d 1; *Wight v BankAmerica Corp.*, 219 F3d 79; *Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *Shearson Lehman Hutton, Inc. v Waggoner*, 944 F2d 114.)

Orrick, Herrington & Sutcliffe LLP, New York City (*J. Peter Coll, Jr., Steven J. Fink and Joshua M. Cutler* of counsel), and *Office of General Counsel, PricewaterhouseCoopers LLP* (*Andrew Plunkett* of counsel), for respondent. I. The lower courts correctly held that plaintiffs had failed to adduce evidence sufficient to rebut PricewaterhouseCoopers LLP's prima facie showing that they lacked a direct injury. (*Schultz v Von Voight*, 86 NY2d 865; *Abrams v Donati*, 66 NY2d 951; *Barrett v Toroyan*, 28 AD3d 331; *Sloan v Clark*, 18 NY2d 570; *Broome v ML Media Opportunity Partners*, 273 AD2d 63; *Zuckerman v City of New York*, 49 NY2d 557; *Blank v Schafrann*, 129 AD2d 830, 70 NY2d 887; *Stark v Goldberg*, 297 AD2d 203; *Ramos v Howard Indus., Inc.*, 10 NY3d 218; *Franchini v Palmieri*, 307 AD2d 1056, 1 NY3d 536.) II. *Hotaling v Leach & Co.* (247 NY 84 [1928]) does not support plaintiffs' appeal. (*Bernstein v Kelso & Co.*, 231 AD2d 314; *Kaufmann v Delafield*, 224 App Div 29; *Kono v Roeth*, 237 App Div 252; *Abrams v Donati*, 66 NY2d 951; *Primavera Familienstiftung v Askin*, 130 F Supp 2d 450; *Broome v ML Media Opportunity Partners*, 273 AD2d 63; *General Rubber Co. v Benedict*, 215 NY 18; *Solutia Inc. v FMC Corp.*, 385 F Supp 2d 324; *Reno v Bull*, 226 NY 546.) III. Public policy does not permit plaintiffs to pursue damages that duplicate the partnership's damages. (*Hartford Acc. & Indem. Co. v Chartrand*, 239 NY 36; *Haire v Bonelli*, 57 AD3d 1354; *Scribner v Summers*, 84 F3d 554; *Phelan v Local 305 of United Assn. of Journeymen, & Apprentices of Plumbing & Pipefitting Indus. of U.S. & Can.*, 973 F2d 1050; *Zarcone v Perry*, 78 AD2d 70; *Hart v General Motors Corp.*, 129 AD2d 179; *Sloan v Clark*, 18 NY2d 570; *Mitchell v New York Hosp.*, 61 NY2d 208; *Security Pac. Bus. Credit v Peat Marwick Main & Co.*, 79 NY2d 695; *Broome v ML Media Opportunity Partners*, 273 AD2d 63.)

OPINION OF THE COURT

PIGOTT, J.

In these actions, plaintiffs, former limited partners of Lipper Convertibles, LP, assert direct claims of fraud against PricewaterhouseCoopers, LLP (PwC), the auditor of Lipper Convertibles' annual financial statements for the years 1995 through 2000. Plaintiffs claim that PwC fraudulently declared the partnership's financial statements to be accurate and prepared in conformity with generally accepted accounting principles (GAAP), when in fact they were not. Plaintiffs argue that they were induced by PwC's fraud into making

their initial investments in the partnership. But because PwC showed that the damages plaintiffs claimed to have suffered were the result of the conduct of the fund and not a direct diminution of plaintiffs' initial investments, the order of the Appellate Division granting PwC's motion for summary judgment dismissing the fraud cause of action should be affirmed.

Factual Background

Lipper Convertibles (the Fund) was a private investment hedge fund managed by Lipper Holdings, LLC, a Delaware limited liability company, for the benefit of limited partners who were passive investors in the Fund. In general, pursuant to a partnership agreement, limited partners of the Fund held interests equal to their initial investment amounts plus (or minus) any gains (or losses) resulting from the partnership's investment activities. For its duties as manager, Lipper Holdings received 20% of the net profits purportedly received by the Fund. During the relevant time period, PwC was the Fund's auditor, reviewing the financial statements that detailed the Fund's performance and the value of each partner's interest.

Between 1997 and 2001, plaintiffs collectively invested more than \$120 million to purchase limited partnership interests. Plaintiffs claim that they made these investments in justifiable reliance upon the representations about the Fund's operations and performance in the financial statements audited by PwC. The financial statements and reports, which showed consistent growth in the value of the Fund's portfolio, however, fraudulently overstated the Fund's assets by many millions of dollars.

In 2002, the fraud was publicly disclosed after the Fund's portfolio manager unexpectedly resigned. Lipper Holdings, as general partner, conducted a review of its portfolio and discovered that its manager had used an improper method for valuing the Fund's securities, materially overstating the value of the holdings. The former manager was later investigated by the Securities and Exchange Commission (SEC) and criminally prosecuted, resulting in a guilty plea to securities fraud. PwC's accountant in charge of conducting the audits of the financial statements was ultimately suspended by the SEC for his failings. The SEC found that the representations by PwC—that it had conducted audits that complied with GAAP—were materially false and that its approval of the certification of the Fund's financial statements was “highly unreasonable.”

The result of the improper valuation methods was that Lipper Convertibles had, over the years, reported increasingly

inflated assets, capital and profits. In February 2002, after completing a reevaluation, Lipper Convertibles announced to its limited partners, including plaintiffs, that it had reduced its assessment of its net equity value by approximately \$400 million, a 40% “write down” in its previously reported capital. This resulted in the withdrawals of many limited partners’ investments, and the decision that Lipper Convertibles be liquidated. A proceeding to dissolve the Fund was commenced. The general partner retained an accounting firm, BDO Seidman, to determine a methodology for the distribution of the assets. The plan developed by BDO Seidman involved revaluing the assets of the Fund, on a month-by-month retrospective basis, and then recalculating the existing limited partners’ percentage interests for the purpose of the distribution.

In October 2002, a formal liquidation proceeding was commenced to allow the general partner to distribute the assets to the limited partners in accordance with the BDO Seidman plan. After some litigation not relevant here, the plan was implemented and plaintiffs collectively recovered about \$111.5 million.

In the spring of 2003, a Trustee was appointed, charged with, among other things, investigating and bringing claims against the former Fund managers, and any other culpable parties, on behalf of the limited partners who lost money as a result of the Fund’s collapse. In July 2004, the Trustee commenced an action against PwC for damages allegedly caused to the Fund by PwC’s improper audits. The Trustee alleged, among other things, that PwC was aware of the misstatements in the financial reports, but failed to bring them to the attention of the Fund’s management, instead falsely representing that the financial statements were prepared in accordance with GAAP. Based on these allegations, the Trustee asserted causes of action for accountant malpractice, fraud, breach of fiduciary duty and breach of contract.*

The Instant Actions

At the end of 2003, plaintiffs commenced these three separate actions against PwC. Each action asserted claims of fraud, aiding and abetting fraud, aiding and abetting breach of fiduciary duty, negligent misrepresentation, and negligence. For their fraud cause of action, plaintiffs allege that PwC induced them to invest in the Fund through the year-end statements, as well

* The Trustee settled with PwC in January 2010.

as monthly reports, without having employed the proper auditing methods necessary to ensure that the financial statements were accurate.

PwC moved, pursuant to CPLR 3211, to dismiss the fraud claim, arguing that plaintiffs had pleaded no injury distinct from the injury attributed to the Fund as a whole, which was the subject of the Trustee action that had been brought on behalf of, and would inure to the benefit of, all injured limited partners. PwC argued that plaintiffs' action should be dismissed because it alleged only a derivative injury or, alternatively, should be stayed pending resolution of the Trustee's action. Plaintiffs responded by asserting that their claim was distinct from the Trustee's claim because they were seeking damages predicated on fraud in the inducement—that they had been fraudulently induced to rely on PwC's audits when they made their initial investment in the Fund and thus sustained injury on the very day of their purchase. They contrasted this injury with the damages the Trustee sought to recover, which included recovery for excessive management and incentive fees the Fund had paid as a result of the overvaluation.

Supreme Court denied, in part, PwC's motion to dismiss. As relevant to this appeal, the court held that "to the extent that Plaintiffs assert direct claims, such as fraud in the inducement of their initial investment in the Partnership, they are not derivative and the court therefore declines to dismiss them." (*Jones v PricewaterhouseCoopers LLP*, 2004 NY Slip Op 51789[U], *4.)

Discovery ensued. Each party presented an expert to address the extent of any distinct, nonderivative injury plaintiffs may have suffered. At the conclusion of discovery, PwC moved for summary judgment asserting, once again, that plaintiffs could not come forward with proof that they suffered an injury distinct from that suffered by the Fund, which damages were being pursued by the Trustee on behalf of plaintiffs and all other limited partners. In support of the motion, PwC submitted the affidavit of an expert economist who opined that all of the damages articulated by plaintiffs were derivative as they consisted only of plaintiffs' pro rata share, as limited partners, of the Fund's losses arising from (1) net income loss, (2) overpayments of general partner fees, and (3) overpayments of capital to withdrawn limited partners.

In opposition, plaintiffs submitted the affidavit of their own accounting expert, who argued that because the Fund had been

overvalued at the time of the plaintiffs' investment, the damages plaintiffs suffered should be calculated as "the difference between their initial investments and the amount they actually recovered through withdrawals or distributions from the Fund, plus an appropriate amount of prejudgment interest." The expert concluded that the total shortfall among all the plaintiffs was approximately \$35 million and claimed that plaintiffs would recover far less from the Fund in the then-pending liquidation proceeding.

Supreme Court granted PwC's motion for summary judgment finding that plaintiffs failed to present evidence of a direct injury, noting that plaintiffs had shown only derivative injuries. The court held that PwC had made a prima facie showing that plaintiffs' claims "all state derivative claims that all limited partners share equally proportionate with their investments in the Funds . . . [and] none of the [plaintiffs'] claimed direct injuries are independent of any alleged injury to the Partnerships." (2007 NY Slip Op 33619[U], *5.) Addressing plaintiffs' evidence, the court held that plaintiffs failed to carry their burden to respond to PwC's prima facie showing with competent evidence:

"[D]iscovery is now closed and plaintiffs fail to produce any evidence to support their claim that they suffered a direct injury at the time of their investments that is distinct from the injury to the Partnerships . . . In short, the only loss plaintiffs can demonstrate is the diminution in value of their investment in the Partnerships, stemming from the Partnerships' overpayments and trading losses. Thus, the nature of the injury is derivative. As plaintiffs fail to rebut PWC's prima facie showing, the court is constrained to grant PWC's motions for summary judgment dismissing the complaints." (*Id.* at *6-7.)

The Appellate Division affirmed (57 AD3d 411 [2008]). This Court granted plaintiffs leave to appeal (13 NY3d 707 [2009]) and we now affirm.

Analysis

Neither party disputes that plaintiffs, as limited partners of a partnership, may assert a direct claim of fraud in the inducement. Indeed, PwC concedes that an individual investor may have a direct claim for an investment made in reliance on a

fraud. Thus, for purposes of this appeal, we assume, without deciding, that plaintiffs properly alleged such a cause of action against PwC. The dispute on this appeal then is whether plaintiffs came forward with proof to refute PwC's showing that all the damages claimed under that cause of action were plaintiffs' share of partnership losses and thus derivative in nature.

In a fraud action, a plaintiff may recover only the actual pecuniary loss sustained as a direct result of the wrong (*Reno v Bull*, 226 NY 546 [1919]). Under this rule, the actual loss sustained as a direct result of fraud that induces an investment is the "difference between the value of the bargain which a plaintiff was induced by fraud to make and the amount or value of the consideration exacted as the price of the bargain" (*Sager v Friedman*, 270 NY 472, 481 [1936]). The damages are to compensate plaintiffs for what they lost because of the fraud, not for what they might have gained (see *Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]).

Plaintiffs rely on an exception to the fraud damages rule recognized by this Court in *Hotaling v Leach & Co.* (247 NY 84 [1928]). In that case, the plaintiff was fraudulently induced into purchasing a bond for a certain sum of money (*id.* at 85-86). The trial court measured the damages by deducting from the price paid, plus interest from the date of payment, the value of the bond at the time of its sale (*id.* at 87). This Court held that this was the proper measure of damages, as plaintiff was entitled to recover from the defendants the loss proximately resulting from the fraud that induced the investment (*id.* at 87, 92-93). The Court recognized, however, that this measure of damages was an exception to the general rule that "the actual pecuniary loss sustained as a direct result of fraud which induces a purchase . . . is the difference between the amount paid and the value of the article received" (*id.* at 87-88).

Hotaling, however, differs from this case in significant ways. First, the Court in *Hotaling* rejected a measure of damages based on the market value of the bond when the plaintiff purchased it, explaining that such value could not be determined and would have left the plaintiff without any remedy (*id.* at 89-90). Here, in contrast, plaintiffs could have come forward with portfolio valuations showing the amount of the claimed overvaluation of the portfolio on the day of their respective investments. Indeed, plaintiffs' expert acknowledged that such an analysis could be undertaken, but he failed to do one, and

BDO Seidman undertook a similar calculation in relation to the liquidation proceeding. Further, there was no overlapping derivative claim in *Hotaling* that would inure to the plaintiff's benefit. Here, the Trustee has prosecuted claims seeking the very same categories of damages allegedly suffered by plaintiffs. The presence of the overlapping claims requires plaintiffs to come forward with direct, distinct date-of-investment injuries.

Plaintiffs failed to meet their burden. The only injury they seek to establish is the diminution in value of their limited partnership interests at liquidation. However, that diminution is attributable to their pro rata share of the partnership's losses after the date of their investments, and they experienced those losses in their capacities as limited partners in common with all other limited partners. Plaintiffs cannot recover their pro rata share of the partnership injury and also recover that same injury under the direct fraud action. Thus, PwC was entitled to summary judgment dismissing the fraud cause of action.

Accordingly, the order of the Appellate Division should be affirmed with costs.

READ, J. (dissenting). The issue on defendant PricewaterhouseCoopers, LLP's (PwC) motion for summary judgment is whether plaintiffs, limited partners of Lipper Convertibles, LP (the fund), suffered any injuries as a result of PwC's allegedly fraudulently inducing them to invest in the fund which were not derivative in nature—not whether plaintiffs have advanced the proper measure of damages for such direct injuries. Here, there is evidence in the record that plaintiffs suffered date-of-investment injuries unique to each of them. PwC has not shown otherwise, as it must to succeed in a motion for summary judgment to dismiss the complaint; all PwC attempted to demonstrate is that plaintiffs' proposed method of calculating damages for their date-of-investment injuries, based on plaintiffs' interpretation of our decision in *Hotaling v Leach & Co.* (247 NY 84 [1928]), encompasses after-date-of-investment losses for which the trustee in liquidation has sought recompense on behalf of the fund. Accordingly, I respectfully dissent.

First, the record is replete with evidence that the fund's investment assets were spuriously inflated during the years when plaintiffs made individual cash contributions. This overvaluation was, of course, the fraud at the heart of all the litigation that followed upon the heels of its discovery in early 2002. Indeed, the fund's principal trader ultimately pleaded

guilty to criminal violations of federal securities laws for causing the value of the fund's assets to be overstated by hundreds of millions of dollars.

Second, there is no dispute that each plaintiff's initial percentage ownership interest in the fund was calculated by taking the value of that plaintiff's cash contribution and dividing it by the total *stated* value of all existing limited partners' capital accounts. As a matter of mathematics, since the stated value of the capital accounts of the existing limited partners was artificially inflated—and, again, it is undisputed that this was generally the case throughout the relevant time period—the relative percentage ownership interest of each plaintiff's investment in the fund was necessarily understated on the day it was made. Or, as plaintiffs' expert put it, because of the overvaluation, plaintiffs

“ ‘overpaid’ for their limited partnership interests in the Fund at the time of their investment. On the date of purchase, each acquired a limited partnership interest that represented a smaller percentage of the total partners' capital in the Fund than would have been expected had the Fund's then-reported market value and value of partners' capital been stated accurately.”

In light of this evidence, to succeed in a motion for summary judgment PwC would have to have shown that the values contemporaneously reported in the fund's records were, in fact, appropriate at the specific point in time when these plaintiffs (or at least some of them) made cash contributions. PwC did not do this; therefore, PwC did not fulfill its initial burden to establish that plaintiffs could not prove unique date-of-investment injuries.

The parties concede that it is feasible for an expert to determine the true (or at least a more accurate) value for the fund's investment assets at any moment in time from the beginning of 1996 through the end of 2001. Indeed, the majority, in common with PwC, faults plaintiffs for neglecting to “show[] the amount of the claimed overvaluation of the portfolio on the day of their respective investments” (majority op at 271). I agree that plaintiffs would have to do this at trial because, as the majority implicitly holds by distinguishing *Hotaling*, the proper measure of damages in this case for fraudulent inducement, if proven, would be the difference between what plaintiffs paid for

their partnership interest when they invested and the value of what they received at that time in exchange. I cannot agree, however, that, in order to avoid summary judgment, plaintiffs had to produce evidence of the *amount* of their damages for direct injuries whose existence PwC did not refute. As plaintiffs pointed out, even if the Court rejects *Hotaling*'s measure of damages under these facts, as it has, "[s]ummary judgment does not require conclusive proof or quantification; it requires only sufficient evidence to create a genuine issue." Here, absent the kind of showing that PwC did not make, there is, at a minimum, a genuine issue as to whether plaintiffs suffered date-of-investment injuries.

Judges CIPARICK, GRAFFEO, SMITH and JONES concur with Judge PIGOTT; Judge READ dissents in a separate opinion; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[934 NE2d 310, 907 NYS2d 741]

In the Matter of ROBERT WOOLEY, Appellant, v NEW YORK STATE
DEPARTMENT OF CORRECTIONAL SERVICES, Respondent.

Argued June 2, 2010; decided July 1, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 16, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Kimberly A. O'Connor, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition seeking to annul respondent's determination denying petitioner inmate's grievance requesting certain medical treatment.

Matter of Wooley v New York State Dept. of Correctional Servs., 61 AD3d 1189, affirmed.

HEADNOTES

Prisons and Prisoners — Medical and Surgical Treatment — Unproven Hepatitis C Drug Maintenance Therapy

1. The determination by respondent Department of Correctional Services (DOCS) to deny petitioner inmate a certain drug maintenance therapy to treat his hepatitis C was not arbitrary and capricious. The use of the medication sought by petitioner was unproven in long-term studies and not yet approved by the Food and Drug Administration (FDA), and the record underscored that DOCS's determination was made after consideration of the facts, as indicated by its Chief Medical Officer's denial of the maintenance therapy on the ground that "no published studies support[ed] th[e] idea" and that it was therefore "experimental." Although there may have been some evidence in the published medical literature that the treatment was not experimental, the fact that petitioner's treating and consulting physicians recognized that the treatment was not yet proven effective was sufficient to constitute a rational basis for the determination denying treatment with a non-FDA-approved protocol.

Constitutional Law — Cruel and Unusual Punishment — "Deliberate Indifference" Standard — Denial of Drug Maintenance Therapy to Inmate

2. The determination by respondent Department of Correctional Services (DOCS) to deny petitioner inmate a certain drug maintenance therapy to treat his hepatitis C did not constitute cruel and inhuman punishment in violation of the Eighth Amendment of the United States Constitution. Under the "deliberate indifference" standard required to prove a violation of the Eighth Amendment by prison officials providing medical care to an inmate, the denial of petitioner's requested treatment did not constitute "deliberate indifference" to his serious medical needs, as the decision to withhold the specific treatment requested was neither objectively unreasonable nor made with subjective recklessness. Petitioner received two 48-week courses of the

medically-accepted treatment for his disease, several specialists who examined petitioner recognized that the maintenance treatment he sought was unproven in long-term studies and not yet approved by the Food and Drug Administration, and DOCS pledged to continue to evaluate and consider treating petitioner with any new treatment methodologies which may be developed in the future.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Penal and Correctional Institutions §§ 24, 99, 101.

NY JUR 2d, Penal and Correctional Institutions §§ 89, 168–172.

US Const 8th Amend.

ANNOTATION REFERENCE

See ALR Index under Medical Care and Treatment; Prisons and Prisoners.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: inmate prisoner /s denial /6 treatment & experimental & rational /2 basis

POINTS OF COUNSEL

Hancock & Estabrook, LLP, Syracuse (Alan J. Pierce of counsel), for appellant. The Department of Correctional Services' decision denying Robert Wooley the unanimously recommended low dose maintenance treatment for his hepatitis C disease violates his constitutional rights and is arbitrary and capricious, irrational and affected by error of law. (*Estelle v Gamble*, 429 US 97; *Matter of Domenech v Goord*, 196 Misc 2d 522, 20 AD3d 416; *Erickson v Pardus*, 551 US 89; *Johnson v Wright*, 234 F Supp 2d 352, 412 F3d 398; *De La Rosa v State of New York*, 173 Misc 2d 1007; *Matter of Lucas v Scully*, 71 NY2d 399; *Matter of Ronson v Commissioner of Correction, State of N.Y.*, 112 AD2d 488; *Brock v Wright*, 315 F3d 158; *Village of Willowbrook v Olech*, 528 US 562; *Wegman's Food Mkts. v State of New York*, 76 AD2d 95.)

Andrew M. Cuomo, Attorney General, Albany (Owen Demuth, Barbara D. Underwood, Peter H. Schiff and Nancy A. Spiegel of counsel), for respondent. The Department of Correctional Services' decision not to treat petitioner with an unproved experimental drug regimen that had not been approved by the federal

Food and Drug Administration was rational and consistent with the Eighth Amendment to the US Constitution. (*Wilson v Seiter*, 501 US 294; *Farmer v Brennan*, 511 US 825; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Hughes v Doherty*, 5 NY3d 100; *Matter of New York Assn. of Convenience Stores v Urbach*, 92 NY2d 204; *Matter of Michael B.*, 80 NY2d 299; *Forbes v Edgar*, 112 F3d 262; *Dean v Coughlin*, 804 F2d 207; *Tatta v Wright*, 616 F Supp 2d 308; *Dias v Vose*, 865 F Supp 53.)

Legal Aid Society, New York City (*Steven Banks*, *John Boston* and *Milton Zelsermyer* of counsel), and *Prisoners' Legal Services*, Albany (*Karen Murtagh-Monks* of counsel), for Legal Aid Society of the City of New York, and another, amici curiae. I. The Department of Correctional Services' denial of hepatitis C treatment was deliberately indifferent to Robert Wooley's medical needs and therefore violated his right to be free of cruel and unusual punishment. (*Estelle v Gamble*, 429 US 97; *Matter of Shomo v Zon*, 35 AD3d 1227; *Matter of Scott v Goord*, 32 AD3d 638; *Matter of Domenech v Goord*, 20 AD3d 416; *Matter of Davis v Goord*, 7 AD3d 889; *Matter of Jarvis v Pullman*, 297 AD2d 842; *Matter of Bryant v Brunelle*, 284 AD2d 936; *Matter of Smith v Alves*, 282 AD2d 844; *Matter of Allah v White*, 243 AD2d 913; *Matter of Moore v Leonardo*, 185 AD2d 489.) II. The arbitrary and capricious standard is not an appropriate standard of review for prisoners' constitutional claims of inadequate medical care but nevertheless, judged by that standard, the Department of Correctional Services' denial of maintenance therapy was arbitrary, capricious, irrational and affected by error of law. (*Cove v Sise*, 71 NY2d 910; *Matter of Curtiss v Angello*, 269 AD2d 675; *Matter of Parkinson v Columbia County Dist. Attorney*, 178 Misc 2d 52; *Matter of Patel v Fischer*, 67 AD3d 1193; *Matter of Scott v Goord*, 32 AD3d 638; *Matter of Altamore v Barrios-Paoli*, 90 NY2d 378; *Matter of Nehorayoff v Mills*, 282 AD2d 932; *Matter of Davis v Goord*, 7 AD3d 889; *Matter of Bryant v Brunelle*, 284 AD2d 936; *Matter of Amaker v Goord*, 280 AD2d 792.)

OPINION OF THE COURT

CIPARICK, J.

In this case, we must determine whether the denial of certain medical treatment to an inmate by the New York State Department of Correctional Services (DOCS) was arbitrary and capricious, or violative of the Eighth Amendment's proscription against cruel and unusual punishment. We conclude that it was neither.

I.

Petitioner Robert Wooley has been incarcerated in the custody of DOCS since the late 1980s. Sometime prior to 2001, petitioner was diagnosed with hepatitis C, a viral infection which increases the risk of liver cancer and often leads to cirrhosis of the liver, which can cause liver failure and, ultimately, death.

In 2001, petitioner's treating physician at DOCS prescribed a combination of drugs—interferon and ribavirin—for a course of treatment lasting 48 weeks. Petitioner initially responded well to the medication, which was the standard treatment protocol for hepatitis C at the time. At the end of the treatment period, petitioner's hepatitis C viral load was so low as to be undetectable.

Shortly before the treatment period was to end, petitioner contacted Dr. Lester Wright, the Chief Medical Officer for DOCS, by letter, requesting six additional months of the interferon/ribavirin combination treatment, followed by low-dose maintenance interferon therapy. Petitioner submitted medical literature in support of his request; he also contended that, because his hepatitis C fell within the “hard to treat” category, low-dose maintenance interferon therapy could be the only option for slowing the progression of his disease. According to petitioner, Dr. Wright did not respond to his request.

Several months later, in October 2002, petitioner wrote to Dr. Marc Stern, a DOCS Regional Medical Director. According to petitioner's letter and supporting medical tests, he had suffered a relapse following the cessation of treatment with interferon/ribavirin. He requested the continuation of the combination therapy, replacing standard interferon with a more effective, newly-developed pegylated interferon.¹ At the time of petitioner's request for retreatment, the Food and Drug Administration (FDA) had not approved the use of pegylated interferon for retreatment after a course of standard interferon/ribavirin, and DOCS rejected petitioner's request for such off-label² use of the drug.

1. Pegylated interferon, also called PEGASYS, is interferon with an additional side chain of polyethylene glycol. The “pegylation” gives the interferon a longer bioavailability, allowing for fewer injections.

2. The term “off-label” refers to the use of a medication or medical device other than that for which the FDA approved it (*see Buckman Co. v Plaintiffs' Legal Comm.*, 531 US 341, 350 [2001]).

Thereafter, a consulting physician examined petitioner and recommended retreatment with pegylated interferon and ribavirin. Based on the recommendation, petitioner's treating physician again sought approval from Dr. Wright to re-treat with a 48-week course of pegylated interferon/ribavirin combination therapy. After consulting with "[his] expert," Dr. Wright decided to "approve re[-]treatment with pegylated interferon and ribavirin for up to 48 weeks."

As petitioner neared completion of re-treatment, his treating physician examined him again, and opined that he would benefit if he continued on low-dose maintenance pegylated interferon. In correspondence to a different staff physician, Dr. Wright rejected the use of maintenance therapy, observing that the recommended treatment was not supported by published studies, but that a "large study [was] ongoing to determine whether it is of value." Dr. Wright also noted: "Any such use would be experimental . . . If there is something particular about this patient and he should be enrolled into an FDA[-]approved clinical trial in the community[,] that could be considered."

In July 2004, a second consulting physician noted that "[b]ecause of mortal consequences of progression of cirrhosis[,] maintenance therapy was proposed." Seven months later, the same physician noted that petitioner's blood test revealed an increased viral load, and he noted at the time that a "[m]aintenance dose of peg[ylated interferon] would be a reasonable strategy to stave off progression to . . . cirrhosis . . . This is an approach that has support in literature though [is] by no means proved." In 2005, a new liver biopsy revealed mild inflammation and fibrosis in petitioner's liver, but no cirrhosis.

In April 2006, an infectious disease specialist examined petitioner and suggested that consideration should be given to maintenance therapy with pegylated interferon, noting that "[t]here is evidence in published literature for this approach although [it is] not FDA approved or proven in long[-]term studies yet." In all, five doctors examined petitioner and recommended that he receive low-dose maintenance pegylated interferon. Dr. Wright again denied the request to place petitioner on low-dose therapy, prompting petitioner to file a grievance, which DOCS denied.

After exhausting his administrative remedies, petitioner commenced this CPLR article 78 proceeding to annul the determi-

nation denying his grievance, alleging that the denial of his requested treatment was arbitrary and capricious and violated his Eighth Amendment right to be free of cruel and unusual punishment. Supreme Court denied the petition and dismissed the proceeding, reasoning that DOCS's determination to deny the requested treatment was rational and did not constitute deliberate indifference to petitioner's condition in violation of the Eighth Amendment.

The Appellate Division affirmed (61 AD3d 1189 [2009]). We granted petitioner leave to appeal (13 NY3d 705 [2009]), and now affirm.

II.

Petitioner contends that DOCS's denial of his requested medical treatment was arbitrary and capricious. We disagree. Generally, in a CPLR article 78 proceeding, we examine whether the action taken by the agency has a rational basis (*see e.g. Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]). We may overturn administrative action where it is "taken without sound basis in reason" or "regard to the facts" (*id.*, citing *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). If we conclude "that the determination is supported by a rational basis, [we] must sustain the determination even if [this C]ourt concludes that it would have reached a different result than the one reached by the agency" (*id.*, citing *Matter of Pell*, 34 NY2d at 231).

[1] Here, a rational basis exists for DOCS's determination denying petitioner's requested maintenance therapy. The use of the medication sought by petitioner was unproven in long-term studies and not yet approved by the FDA, as even those doctors who suggested the maintenance treatment recognized. It simply cannot be said that DOCS's determination to deny the treatment lacked a rational basis. Significantly, the record underscores that the determination was made after consideration of the facts of the case, as indicated by Dr. Wright's denial of the maintenance therapy on the ground that "no published studies support[ed] th[e] idea" and that it was therefore "experimen-

tal.”³ Accordingly, petitioner’s complaint that the determination was a reflexive application of DOCS policy⁴ is misplaced.

To the extent that petitioner suggests that the treatment would not be experimental, we decline to weigh the varying studies available in the medical literature. It is sufficient for our purposes that petitioner’s treating and consulting physicians recognized that the treatment was not yet proven effective, and we conclude that such recognition of the lack of documented success of maintenance levels of pegylated interferon constitutes a rational basis for the DOCS determination denying treatment with a non-FDA-approved protocol.

III.

Petitioner also contends that DOCS’s denial of the requested treatment constitutes cruel and unusual punishment, as prohibited by the Eighth Amendment of the United States Constitution. Again, we disagree. Prison inmates

“rely on prison authorities to treat [their] medical needs; if the authorities fail to do so, those needs will not be met. In the worst cases, such a failure may actually produce physical ‘torture or a lingering death,’ the evils of most immediate concern to the drafters of the Amendment” (*Estelle v Gamble*, 429 US 97, 103 [1976] [citation omitted]).

In less serious cases, the “denial of medical care may result in pain and suffering which . . . serve [no] penological purpose” (*id.*). The United States Supreme Court has explained that the Eighth Amendment requires that prison officials provide “adequate” medical care to inmates (*see Farmer v Brennan*, 511 US

3. The dissent observes that “the treatment [requested by petitioner] offers at least some possibility of protecting petitioner against a life-threatening illness” (dissenting op at 283). The dissent also complains that nothing in the record indicates that the requested treatment would “subject [petitioner] to any medical risk that would outweigh its *possible benefits*” (*id.* [emphasis added]). This ignores the fact that petitioner’s examining doctors and the ultimate decision maker, Dr. Wright, unanimously agreed that the treatment was unproven and thus had no known benefits. Despite the dissent’s apparent belief to the contrary, DOCS is hardly required to furnish any and all medical treatment requested by an inmate that might prove even marginally beneficial.

4. DOCS Research Directive No. 0403 prohibits “non-therapeutic medical experimentation [on inmates], including the use of unestablished drugs and unapproved medical techniques.” (Available at <http://www.docs.state.ny.us/Directives/0403.pdf>.)

825, 832 [1994]). A violation of the Eighth Amendment can be proven only if an inmate can demonstrate that prison officials have acted with “deliberate indifference to [his or her] serious medical needs” (*Estelle*, 429 US at 104 [citation omitted]).

This “deliberate indifference” standard is comprised of an objective component and a subjective component (*see e.g. Salahuddin v Goord*, 467 F3d 263, 279-280 [2d Cir 2006]). The objective component of the test examines whether the deprivation of medical care was “sufficiently serious” (*Farmer*, 511 US at 832; *see also Salahuddin*, 467 F3d at 279). This objective component in turn requires the examination of two factors: First, “whether the prisoner was actually deprived of adequate medical care” (*Salahuddin*, 467 F3d at 279), and second, “whether the inadequacy in medical care is sufficiently serious” (*id.* at 280). Thus, the objective component of the standard is essentially a reasonableness inquiry. In other words, the question is whether the response of prison officials to the inmate’s medical needs was objectively reasonable under the circumstances (*see id.* at 279-280).

The subjective component of the deliberate indifference standard inquires whether “the charged official . . . act[ed] with a sufficiently culpable state of mind” (*id.* at 280, citing *Wilson v Seiter*, 501 US 294, 300 [1991]). The Second Circuit has explained this subjective requirement as follows:

“In medical-treatment cases not arising from emergency situations, the official’s state of mind need not reach the level of knowing and purposeful infliction of harm; it suffices if the plaintiff proves that the official acted with deliberate indifference to inmate health. Deliberate indifference is a mental state equivalent to subjective recklessness, as the term is used in criminal law. This mental state requires that the charged official act or fail to act while actually aware of a substantial risk that serious inmate harm will result” (*id.* [citations omitted]).

When the medical determination made by a prison official was in accordance with a prison policy, the question is whether “*following* the policy resulted in deliberate indifference to [the inmate’s] medical needs” (*Brock v Wright*, 315 F3d 158, 166 [2d Cir 2003] [emphasis added]; *Johnson v Wright*, 412 F3d 398, 404 [2d Cir 2005]).

[2] Under the circumstances presented here, it cannot be said that the denial of petitioner’s requested treatment constituted

“deliberate indifference” to his serious medical needs, as the decision to withhold the specific treatment requested was neither objectively unreasonable nor made with subjective recklessness. Although it is true that hepatitis C is a serious medical condition which can ultimately lead to liver failure and death, petitioner here received not one but two 48-week courses of the medically-accepted treatment for his disease. Petitioner was referred to and examined by several specialists. The maintenance treatment petitioner sought was recognized by most if not all of these specialists to be unproven in long-term studies and not yet approved by the FDA. Finally, DOCS pledged that it will continue to evaluate and consider treating petitioner with any new treatment methodologies which may be developed in the future. Although petitioner did not receive the precise treatment he desired, under these facts, the medical treatment provided was constitutionally adequate.

In sum, the determination by DOCS denying petitioner further maintenance therapy after the completion of two 48-week courses of treatment was not arbitrary or capricious, nor was it deliberately indifferent to his medical needs in violation of the Eighth Amendment. Accordingly, the order of the Appellate Division should be affirmed, without costs.

SMITH, J. (dissenting). I see no rational basis for DOCS’s decision, and would hold it to be arbitrary and capricious. I would not reach the constitutional question.

Petitioner seeks a course of treatment which, it is undisputed, he may lawfully have. The FDA classifies it as “experimental,” but does not forbid doctors from prescribing it for their patients. Every doctor who examined petitioner—five in all—agreed that the treatment was medically indicated.

DOCS nevertheless refused to make the treatment available. Its reasons are not clear to me, either from DOCS’s submissions or from the majority opinion’s interpretation of them. Indeed, it is unclear to me whether DOCS claims to be, or the majority thinks it is, acting in petitioner’s interest or its own.

If only petitioner’s interests are considered, I see no possible defense of DOCS’s denial. It is undisputed, on this record, that the treatment offers at least some possibility of protecting petitioner against a life-threatening illness. Nothing in the record suggests that the course of treatment he seeks would endanger him, or subject him to any medical risk that would outweigh its possible benefits.

DOCS has sought to justify its position by reference to its own policy statement, which says: “Medical or cosmetic experimentation and pharmaceutical testing may not be conducted on inmates.” (DOCS Research Directive No. 0403, available at <http://www.docs.state.ny.us/Directives/0403.pdf>.) The purpose of this policy is self-evident: to prevent inmates from being used as guinea pigs in scientific research. The policy has no rational application here. No pharmaceutical company or research laboratory is trying to use petitioner to test an unproven product. Petitioner, supported by five physicians familiar with his case, is trying to get for his own use a course of treatment that the FDA has called “experimental.” It does not make sense to deny him that treatment in order to protect him from being experimented on.

I can conceive no rational basis for DOCS’s decision to withhold treatment unless it is to avoid the cost. I do not suggest that consideration of cost, even when it comes to treatment of dangerous illnesses, is irrational. There is surely some point at which the cost of treatment is so high, and the likelihood of benefit to the patient so low, that DOCS could reasonably decide that an expenditure of public funds is unjustified.

Perhaps that is the case here. But DOCS has not said so. It has not tried to justify its decision on cost-benefit grounds; it has not even disclosed what it thinks the treatment petitioner is asking for would cost. Under the circumstances, I cannot avoid the conclusion that DOCS has advanced no rational basis for the decision it made.

Judges GRAFFEO, READ and PIGOTT concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order affirmed, without costs.

[933 NE2d 744, 907 NYS2d 145]

HOWARD HOFFMAN, Respondent, v PARADE PUBLICATIONS et al.,
Appellants.

Argued June 2, 2010; decided July 1, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 7, 2009. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Martin Shulman, J.; *see* 2008 NY Slip Op 31892[U]), which had dismissed the complaint and (2) reinstated the complaint. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the judgment of the Supreme Court, properly made?”

Hoffman v Parade Publs., 65 AD3d 48, reversed.

HEADNOTES

Civil Rights — Discrimination in Employment — New York City Human Rights Law — Subject Matter Jurisdiction — Impact Requirement

1. In an age discrimination action by plaintiff, who resided and worked in Georgia, alleging that defendant publishing companies improperly terminated his employment pursuant to a decision made and executed in New York City, plaintiff's claim under the New York City Human Rights Law (NYCHRL) (*see* Administrative Code of City of NY § 8-107 [1] [a]) was properly dismissed for lack of subject matter jurisdiction. A nonresident plaintiff seeking to invoke the protections of the NYCHRL must plead and prove that the alleged discriminatory conduct had an impact within the City of New York. The protections of the NYCHRL are afforded only to those who inhabit or are “persons in” the City of New York (*see* Administrative Code §§ 8-101, 8-104 [1]; § 8-105 [1]). In contrast to a rule allowing a nonresident plaintiff to show only that the discriminatory decision was made in New York City, the impact requirement is relatively simple for courts to apply and litigants to follow, leads to predictable results, and confines the protections of the NYCHRL to persons who are meant to be protected, i.e., those who work in the city. Here, plaintiff's allegations that he attended quarterly meetings in New York City, and that his office was managed from and all corporate contracts were negotiated through the New York City office pleaded only that his employment had a tangential connection to the city; there were no allegations that plaintiff's termination had any impact in New York City.

Civil Rights — Discrimination in Employment — New York State Human Rights Law — Subject Matter Jurisdiction — Impact Requirement

2. In an age discrimination action by plaintiff, who resided and worked in Georgia, alleging that defendant publishing companies improperly terminated his employment pursuant to a decision made and executed in New York City,

plaintiff's claim under the New York State Human Rights Law (*see* Executive Law § 296 [1] [a]) was properly dismissed for lack of subject matter jurisdiction. A nonresident plaintiff seeking to invoke the protections of the New York State Human Rights Law must plead and prove that the alleged discriminatory conduct had an impact within the State of New York. The State Human Rights Law was intended to protect inhabitants and persons within the State of New York (Executive Law § 290 [2], [3]). In addition, while an amendment to the State Human Rights Law expanded the law so as to permit New York residents to bring a claim against New York residents and corporations who commit an "unlawful discriminatory practice" outside the state (Executive Law § 298-a), the protections were not extended to nonresidents unable to demonstrate that the impact of the discriminatory practice was felt inside New York State. Here, plaintiff's allegations that he attended quarterly meetings in New York City, and that his office was managed from and all corporate contracts were negotiated through the New York City office pleaded only that his employment had a tangential connection to the state; there were no allegations that plaintiff's termination had any impact in New York State.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Rights §§ 12-14; AM JUR 2d, Job Discrimination §§ 160, 164.

McKINNEY's, Executive Law § 290 (2), (3); § 296 (1) (a); § 298-a.

NY JUR 2d, Civil Rights §§ 8-16, 74, 75, 201.

ANNOTATION REFERENCE

Application of state law to age discrimination in employment. 51 ALR5th 1.

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POINTS OF COUNSEL

Proskauer Rose LLP, New York City (*Elise M. Bloom* and *Alychia L. Buchan* of counsel), for appellants. I. The First Department decision erroneously expands the application of the New York City Human Rights Law and rejects the impact requirement in this context. (*Carney v Philippone*, 1 NY3d 333; *Matter of Antine v City of New York*, 14 Misc 3d 161; *Matter of Auditore v City of New York*, 14 Misc 3d 175; *Morrison v Budget Rent A Car Sys.*, 230 AD2d 253; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Finley*, 10 NY3d 647; *Foley Bros., Inc. v Filardo*, 336 US 281; *Small v United States*, 544

US 385; *Shah v Wilco Sys., Inc.*, 27 AD3d 169; *Matter of Midland Ins. Co.*, 20 Misc 3d 488.) II. The First Department decision also erroneously expands the application of the New York State Human Rights Law and rejects the impact requirements in this context. (*Pearce v Manhattan Ensemble Theater, Inc.*, 528 F Supp 2d 175; *Iwankow v Mobil Corp.*, 150 AD2d 272.) III. Howard Hoffman's complaint fails to meet the necessary impact requirement; therefore, the trial court's decision dismissing his New York City Human Rights Law and New York State Human Rights Law claims should be reinstated. (*Pearce v Manhattan Ensemble Theater, Inc.*, 528 F Supp 2d 175; *Wahlstrom v Metro-North Commuter R.R. Co.*, 89 F Supp 2d 506; *Shah v Wilco Sys., Inc.*, 27 AD3d 169.)

Cohen, Weiss and Simon LLP, New York City (*James L. Lindsey* and *Evan Hudson-Plush* of counsel), for respondent. I. The First Department correctly held that the trial court has subject matter jurisdiction to hear Howard Hoffman's State and City Human Rights Laws claims. (*Matter of Cahill v Rosa*, 89 NY2d 14; *Matter of United States Power Squadrons v State Human Rights Appeal Bd.*, 59 NY2d 401; *City of Schenectady v State Div. of Human Rights*, 37 NY2d 421; *New York Inst. of Tech. v State Div. of Human Rights*, 40 NY2d 316; *Matter of Walston & Co. v New York City Commn. on Human Rights*, 41 AD2d 238; *Rylott-Rooney v Alitalia-Linee Aeree Italiane-Societa Per Azioni*, 549 F Supp 2d 549; *Torrico v International Bus. Machs. Corp.*, 319 F Supp 2d 390; *Launer v Buena Vista Winery, Inc.*, 916 F Supp 204; *Shah v Wilco Sys., Inc.*, 27 AD3d 169; *Iwankow v Mobil Corp.*, 150 AD2d 272.) II. In any event, even if the court were to impose an "impact" requirement, Howard Hoffman felt the impact of his termination in New York City and State.

Ritz Clark & Ben-Asher LLP, New York City (*Miriam F. Clark* of counsel), *Melvin Radowitz*, Washington, D.C., *Laurie McCann*, *Asian American Legal Defense and Education Fund*, New York City (*Kenneth Kimerling* of counsel), *Disability Rights Education and Defense Fund, Inc.*, Berkeley, California (*Linda D. Kilb* of counsel), *Lambda Legal Defense and Education Fund*, New York City (*Natalie Chin* of counsel), and *National Women's Law Center*, Washington, D.C. (*Dina Lassow* of counsel), for National Employment Lawyers Association/New York and others, amici curiae. I. The Court should reject appellants' claim that nonresidents and noninhabitants of New York are barred from bringing claims under the State and City Human Rights Laws. (*Robins v Max Mara, U.S.A., Inc.*, 923 F Supp 460.) II. The

Court should affirm the lower court's rejection of the impact requirement. (*Lightfoot v Union Carbide Corp.*, 110 F3d 898; *Shah v Wilco Sys., Inc.*, 27 AD3d 169; *Schuler v PricewaterhouseCoopers, LLP*, 595 F3d 370; *Schuler v PricewaterhouseCoopers, LLP*, 514 F3d 1365; *Torricon v International Bus. Machs. Corp.*, 319 F Supp 2d 390.) III. The State and City Human Rights Laws should apply in cases both where a discriminatory decision is made in New York and where the impact of such a decision is felt in New York. (*Rylott-Rooney v Alitalia-Linee Aeree Italiane-Societa Per Azioni*, 549 F Supp 2d 549; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Ferrante v American Lung Assn.*, 90 NY2d 623.)

OPINION OF THE COURT

FIGOTT, J.

Defendant Parade Publications is the publisher of a nationally syndicated general interest magazine that is distributed in hundreds of American newspapers. Between 2002 and January 1, 2008, plaintiff Howard Hoffman—a resident of Georgia who worked with his assistant at Parade's office in Atlanta—served as a managing director for Parade's Newspaper Relations Group (NRG). His duties included developing and overseeing accounts relative to the inclusion of Parade in newspapers in 10 states primarily located in the south and southwest. Hoffman did not service any accounts in New York.

In October 2007, Randy Siegel, president and publisher of Parade, called Hoffman in Atlanta from Parade's New York City headquarters and advised Hoffman that the Atlanta office would be closed by year's end and that his employment was being terminated. Hoffman thereafter commenced this age discrimination action against defendants Parade Publications, Condé Nast Publications and Advance Publications, Inc., asserting that his termination violated the New York City Human Rights Law (NYCHRL) (*see* Administrative Code of City of NY § 8-101 *et seq.*) and the New York State Human Rights Law (*see* Executive Law § 290 *et seq.*).

Defendants moved to dismiss the complaint for, among other things, lack of subject matter jurisdiction. Hoffman opposed the motion, asserting that he attended quarterly meetings in New York City, that the NRG was managed from—and all corporate contracts were negotiated through—the New York City office, and that defendants' decision to terminate him was made and executed in New York City.

Supreme Court dismissed the complaint for want of subject matter jurisdiction, holding that neither the City nor State Human Rights Law applied to a plaintiff who does not reside in New York because the “impact” of defendants’ alleged discriminatory conduct was not felt within those boundaries (*see* 2008 NY Slip Op 31892[U]). The Appellate Division reversed and reinstated the complaint, holding that an “out-of-jurisdiction” employee’s allegation that a discriminatory decision to terminate was made in New York City, if established, is sufficient to demonstrate that New York has subject matter jurisdiction over the claims (65 AD3d 48, 56-57 [1st Dept 2009]). The Appellate Division certified to this Court the question whether its order reversing the judgment of Supreme Court was properly made. We answer the certified question in the negative and reverse.

Both the City and the State Human Rights Laws deem it an “unlawful discriminatory practice” for an employer to discharge an employee because of age (*see* Administrative Code of City of NY § 8-107 [1] [a]; Executive Law § 296 [1] [a]). The question raised on this appeal is whether nonresidents of the city and state must plead and prove that the alleged discriminatory conduct had an impact within those respective boundaries. We hold that the policies underpinning those laws require that they must.

Addressing Hoffman’s City Human Rights Law claim first, it is clear from the statute’s language that its protections are afforded only to those who inhabit or are “persons in” the City of New York. The law declares, among other things, that “prejudice, intolerance, bigotry, and discrimination . . . threaten the rights and proper privileges of [the city’s] *inhabitants*,” and that “[i]n the city of New York . . . there is no greater danger to the health, morals, safety and welfare of the city *and its inhabitants* than the existence of groups prejudiced against one another . . . because of their actual or perceived differences, including those based on . . . age . . .” (Administrative Code of City of NY § 8-101 [emphasis supplied].) To combat these prejudices, the law created the City Commission on Human Rights to, among other things, “foster mutual understanding and respect among all persons *in the city of New York*” (Administrative Code § 8-104 [1] [emphasis supplied]). In addition to investigating complaints of discrimination (*see* Administrative Code § 8-105 [4] [a]), the commission is also charged with working with other municipal agencies in “developing courses of instruction . . . on

techniques for achieving harmonious intergroup relations within the city of New York” (Administrative Code § 8-105 [1]).

There is disagreement among state and federal courts concerning the territorial reach of the City Human Rights Law in circumstances where the alleged discriminatory conduct is against a nonresident who does not work in New York City. Some courts have concluded that a nonresident plaintiff may invoke the protections of the NYCHRL by merely alleging and proving that the discriminatory decision to terminate was made in the city (*see Hoffman v Parade Publs.*, 65 AD3d at 50; *Rohn Padmore, Inc. v LC Play Inc.*, 679 F Supp 2d 454, 465 [SD NY 2010] [nonresident plaintiff working in California need only show that the alleged discriminatory decision to terminate occurred in the city]).

Other courts have taken the view that the nonresident plaintiff must demonstrate that the alleged discriminatory conduct had an “impact” within the city (*see Shah v Wilco Sys., Inc.*, 27 AD3d 169, 176 [1st Dept 2005] [even if termination decision was made in the city, its impact on the plaintiff was felt outside the city]; *Pearce v Manhattan Ensemble Theater, Inc.*, 528 F Supp 2d 175, 184-185 [SD NY 2007] [same]; *Wahlstrom v Metro-North Commuter R.R. Co.*, 89 F Supp 2d 506, 527-528 [SD NY 2000]; *Duffy v Drake Beam Morin*, 1998 WL 252063, *11, 1998 US Dist LEXIS 7215, *32-33 [SD NY 1998]). Courts adopting the impact requirement have done so out of concern that merely focusing the inquiry on where the termination decision is made—as opposed to where the impact of that decision is felt—results in the expansion of the NYCHRL to cover any plaintiff who is terminated pursuant to a decision made by an employer from its New York City headquarters regardless of where the plaintiff works (*see Wahlstrom*, 89 F Supp 2d at 527-528, citing *Duffy*, 1998 WL 252063, *12, 1998 US Dist LEXIS 7215, *36).

[1] We hold that the impact requirement is appropriate where a nonresident plaintiff invokes the protection of the City Human Rights Law. Contrary to Hoffman’s contention, the application of the impact requirement does not exclude all nonresidents from its protection; rather, it expands those protections to nonresidents who work in the city, while concomitantly narrowing the class of nonresident plaintiffs who may invoke its protection.

The Appellate Division’s rule that a plaintiff need only plead and prove that the employer’s decision to terminate was made

in the city is impractical, would lead to inconsistent and arbitrary results, and expands NYCHRL protections to nonresidents who have, at most, tangential contacts with the city. Indeed, the permutations of such a rule are endless, and, although the locus of the decision to terminate may be a factor to consider, the success or failure of an NYCHRL claim should not be solely dependent on something as arbitrary as where the termination decision was made. In contrast, the impact requirement is relatively simple for courts to apply and litigants to follow, leads to predictable results, and confines the protections of the NYCHRL to those who are meant to be protected—those who work in the city (*see* Administrative Code of City of NY § 2-201 [defining the territory of the city as constituting the five boroughs, and declaring that the “jurisdictions and powers of the city are for all purposes of local administration and government . . . co-extensive with the territory . . . described”])).

[2] For similar reasons, Hoffman’s State Human Rights Law claim should also be dismissed. The Legislature enacted that law through its invocation of “the police power of [New York State] for the protection of the public welfare, health and peace *of the people of this state*” (Executive Law § 290 [2] [emphasis supplied]). The law declares that the State of New York “has the responsibility to act to assure that every individual *within* [New York State] is afforded an equal opportunity to enjoy a full and productive life,” and that failure to afford equal opportunity “threatens the peace, order, health, safety and general welfare of the state and its *inhabitants*” (Executive Law § 290 [3] [emphasis supplied]).

The obvious intent of the State Human Rights Law is to protect “inhabitants” and persons “within” the state, meaning that those who work in New York fall within the class of persons who may bring discrimination claims in New York. Application of the “impact” requirement to State Human Rights Law claims achieves the same ends as is the case with its City counterpart, because it permits those who work in the state to invoke its protections. Therefore, we conclude that a nonresident must plead and prove that the alleged discriminatory conduct had an impact in New York (*see e.g. Pearce*, 528 F Supp 2d at 185; *Lucas v Pathfinder’s Personnel, Inc.*, 2002 WL 986641, *2, 2002 US Dist LEXIS 8529, *4 [SD NY 2002]; *Duffy*, 1998 WL 252063, *12, 1998 US Dist LEXIS 7215, *36).

The State Human Rights Law’s “extraterritorial” provision underscores defendants’ argument that the law does not protect

a nonresident like Hoffman. Enacted in 1975, this amendment called for the application of the State Human Rights Law “to certain acts committed outside” New York (Executive Law § 298-a). The thrust of section 298-a is to “outlaw[] certain discriminatory practices committed outside New York State against New York residents and businesses” (Sponsor’s Mem, Bill Jacket, L 1975, ch 662, at 9). Specifically, it protects New York residents, domestic corporations, and corporations doing business in New York from discriminatory acts committed outside the state (*see* Executive Law § 298-a [1]), and subjects New York residents and domestic corporations who commit an “unlawful discriminatory practice” against New York residents outside the state to almost all of the provisions of the law (Executive Law § 298-a [2] [excepting the application of the penal provisions]; *see* Mem of Exec Director of Law Rev Commn, Bill Jacket, L 1975, ch 662, at 22-23; *see also* Budget Rep on Bills, Bill Jacket, L 1975, ch 662, at 16). Under this statutory scheme, while New York residents may bring a claim against New York residents and corporations who commit “unlawful discriminatory practices” outside the state, the Legislature plainly has not extended such protections to nonresidents like Hoffman, who are unable to demonstrate that the impact of the discriminatory act was felt inside the state.

According to the complaint, Hoffman was neither a resident of, nor employed in, the City or State of New York. Nor does Hoffman state a claim that the alleged discriminatory conduct had any impact in either of those locations. At most, Hoffman pleaded that his employment had a tangential connection to the city and state. Therefore, Supreme Court properly dismissed Hoffman’s age discrimination claims for want of subject matter jurisdiction.

Accordingly, the order of the Appellate Division should be reversed, with costs, the judgment of Supreme Court reinstated, and the certified question answered in the negative.

JONES, J. (dissenting). At issue is whether New York courts have subject matter jurisdiction over a nonresident plaintiff’s claims against a New York employer for an alleged unlawful discriminatory practice that occurred in New York City. Plaintiff Howard Hoffman, a resident of Georgia, commenced this action under the New York City Human Rights Law (NYCHRL) and New York State Human Rights Law (NYSHRL) against his New York City employer, defendant Parade Publications, and others,

alleging that Parade terminated his employment because of his age. The complaint states the following. Hoffman maintained the company's Atlanta office—staffed by himself and an assistant. In performing his duties of developing and maintaining Parade's accounts in southern and southwestern states, Hoffman maintained constant communications with the New York City office, including personal visits to Parade's management in New York City. His supervisor and Parade's president and publisher were based in the New York City office. Additionally, the decision to discharge him was made and communicated to him from the New York City office. Because the alleged unlawful discriminatory act occurred in New York City by a New York City employer, I believe Supreme Court has subject matter jurisdiction over Hoffman's NYCHRL and NYSHRL claims of age discrimination. Accordingly, I respectfully dissent.

In promulgating the State's Human Rights Law, the Legislature

“declare[d] that the state has the responsibility to act to assure that every individual within this state is afforded an equal opportunity to enjoy a full and productive life and that the failure to provide such equal opportunity, whether because of discrimination, prejudice [or] intolerance . . . not only threatens the rights and proper privileges of its inhabitants but menaces the institutions and foundation of a free democratic state and threatens the peace, order, health, safety and general welfare of the state and its inhabitants” (Executive Law § 290 [3]).

The purpose of the act is broad and appears to be threefold: to prevent discrimination against individuals within this state; to protect the inhabitants of this state from discrimination; and to protect the general welfare of this state by curbing unlawful discriminatory practices within the state. Section 297 (9) of the Executive Law provides that “[a]ny person claiming to be aggrieved by an unlawful discriminatory practice shall have a cause of action in any court of appropriate jurisdiction for damages.” Similarly, the NYCHRL (Administrative Code of City of NY § 8-101) states that “the existence of groups prejudiced against one another” based on, among other things, age, endangers “the health, morals, safety and welfare of the city and its inhabitants.” Discrimination “menace[s] the institutions and foundation of a free democratic state” (*id.*). Under both Human Rights Laws, the discharge of an employee by an

employer because of his or her age is an “unlawful discriminatory practice” (see Executive Law § 296 [1] [a]; Administrative Code of City of NY § 8-107 [1] [a]).

Although neither act has a residency requirement to assert a claim, some New York State and federal courts have adopted a jurisdictional limitation applicable to nonresidents asserting NYCHRL and NYSHRL actions, requiring that the discriminatory act take place within the jurisdiction in question and the impact of such discriminatory conduct be felt within that jurisdiction (see *Pearce v Manhattan Ensemble Theater, Inc.*, 528 F Supp 2d 175, 184-185 [SD NY 2007]). However, these cases, upon which the majority relies, are wholly distinguishable from the case at bar. For example, in *Pearce*, the plaintiff, a resident of Idaho, alleged that New York defendants rescinded their oral agreement for her to act in a national tour. The District Court dismissed the plaintiff’s NYCHRL and NYSHRL claims of disability discrimination. It noted that the complaint did “not specify whether any performances were expected to take place in New York State” and concluded that the plaintiff “failed to make the requisite allegation that the decision had an impact in New York City and State” (*id.* at 184). In *Wahlstrom v Metro-North Commuter R.R. Co.* (89 F Supp 2d 506, 527-528 [SD NY 2000]), the plaintiff’s NYCHRL claim involved a sexual harassment allegation regarding an act that occurred in White Plains, New York. The court, characterizing White Plains as “well outside the borders of New York City,” concluded that the act had no impact in New York City (*id.* at 527).

In *Duffy v Drake Beam Morin* (1998 WL 252063, 1998 US Dist LEXIS 7215 [SD NY 1998]), two plaintiffs asserted NYCHRL claims against their employer, alleging that the decision to fire them occurred in New York City. The plaintiffs worked in Melville, New York and Parsippany, New Jersey, respectively. Their immediate supervisors worked in those offices as well. There, the District Court concluded that an allegation that the decision to fire them occurred in the city “is insufficient to establish a violation of the [NYCHRL] when the employees affected by that decision did not work in New York City . . . [and were not] subject to any discriminatory conduct in New York City” (1998 WL 252063 at *12, 1998 US Dist LEXIS 7215 at *35-36). Also, in *Shah v Wilco Sys., Inc.* (27 AD3d 169 [1st Dept 2005]), the plaintiff, a resident of New Jersey, worked as a programmer for a New York City defendant, but was assigned to work on a project in Jersey City, New Jersey.

For several months, she worked only in Jersey City, and was fired at the client's office in Jersey City. Plaintiff commenced a NYCHRL action against the defendant. The Appellate Division, citing *Wahlstrom*, concluded that "the NYCHRL would not apply since its impact on her occurred in New Jersey" (*id.* at 176).

On the other hand, in *Tebbenhoff v Electronic Data Sys. Corp.* (2005 WL 3182952, 2005 US Dist LEXIS 29874 [SD NY 2005]), the plaintiff, a New Jersey resident, asserted NYCHRL and NYSHRL claims against his former employer. In that case, the plaintiff traveled through the Mid-Atlantic region as a salesperson, and worked from home for convenience. The plaintiff alleged to have maintained a "presence" in the New York City office. The District Court held that the "plaintiff's action [fell] within the jurisdictional bounds of the NYSHRL" because the decision to terminate and the termination occurred in New York (2005 WL 3182952 at *5, 2005 US Dist LEXIS 29874 at *14). As to the NYCHRL claim, the court took note of cases applying an impact rule, but permitted the plaintiff to proceed in his NYCHRL claim, reasoning, because the discriminatory act was committed within New York City, "his termination cannot be said to have had no impact within New York City" (2005 WL 3182952 at *6, 2005 US Dist LEXIS 29874 at *15).

Subsequently, in *Rylott-Rooney v Alitalia-Linee Aeree Italiane-Societa Per Azioni* (549 F Supp 2d 549 [SD NY 2008]), the plaintiff, a resident of Minnesota working out of the defendant's Minneapolis office, commenced NYCHRL and NYSHRL claims against her employer, alleging age discrimination. The complaint alleged that the plaintiff reported to the defendant's New York City office by phone and occasionally in person; attended work-related meetings in the New York office; and the decision to discharge her was made in New York and communicated to her while in New York. The District Court reviewed *Shah*, *Tebbenhoff* and other conflicting federal authority, as well as New York's long-arm jurisdiction over tortfeasors, and held that the Human Rights Laws should "apply *either* when the initial discriminatory act (for example, a termination) occurs in New York or when the original experience of injury, which occurs at the employee's workplace, is in New York" (*id.* at 554). It concluded that, because the termination occurred in New York, plaintiff "establish[ed] discrimination 'within' New York, even if . . . [plaintiff] felt the effects of this termination at her workplace in Minnesota" (*id.* at 554).

New York State and federal courts have, until now, tailored jurisdictional limitations to permit nonresident plaintiffs to

maintain NYCHRL and NYSHRL claims against employers and have reached reasonable results, despite the lack of clarity as to the appropriate rule. While the majority correctly asserts that a disagreement exists among state and federal courts concerning the jurisdictional parameters of the Human Rights Laws, the cases upon which it relies to impose the so-called “impact” rule involve plaintiffs alleging few, if any, instances of unlawful discriminatory practices occurring within New York City or State. Here, Hoffman asserts that he was managed from New York, the decision to terminate his position occurred in New York and he was informed of that decision via a telephone call from New York City. Hoffman additionally asserted that he went to New York City to negotiate retaining his employment with the president and publisher of Parade. He asserts age discrimination as the cause of his discharge, which is unlawful conduct in New York City and New York State. The Appellate Division below observed, and I agree, “that it would be contrary to the purpose of both statutes to leave it to the courts of other jurisdictions to appropriately respond to acts of discrimination that occurred here” (65 AD3d 48, 57 [2009]). In short, the “impact” rule—a rule that appears nowhere in the text of the Human Rights Laws—unnecessarily precludes New York courts from protecting individuals from discrimination within the city and state and handicaps the city and state from curbing such practices.

Accordingly, I would affirm the order of the Appellate Division and answer the certified question in the affirmative.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge JONES dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

Order reversed, etc.

[934 NE2d 304, 907 NYS2d 735]

BRANDY B., Individually and as Mother and Natural Guardian of
BRENNA B., an Infant, Appellant, v EDEN CENTRAL SCHOOL
DISTRICT et al., Respondents, et al., Defendant. (And a
Third-Party Action.)

Argued April 27, 2010; decided June 10, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 5, 2009. The Appellate Division affirmed an order of the Supreme Court, Erie County (Kevin M. Dillon, J.), which had granted the motions of defendants Eden Central School District, Eden Central School District Board of Education and Child and Family Services of Erie County for summary judgment and dismissed the complaint as against those defendants.

Brandy B. v Eden Cent. School Dist., 63 AD3d 1583, affirmed.

HEADNOTES

Schools — Students — Injury to Student — Liability for Negligent Supervision — Unforeseeable Third-Party Acts

1. In a negligent supervision action against defendant school district and its board of education seeking damages for injuries resulting from the alleged sexual assault committed by an 11-year-old student upon the five-year-old infant plaintiff while the children sat together on a school bus, defendants were properly granted summary judgment, as they proved as a matter of law that they did not have sufficiently specific knowledge or notice of the injury-causing conduct so that they could have reasonably anticipated the child offender's act. While schools have a duty to adequately supervise their students, and are liable for foreseeable injuries proximately related to the absence of adequate supervision, unanticipated third-party acts causing injury upon a fellow student generally do not give rise to a school's liability in negligence absent actual or constructive notice of prior similar conduct. The child offender's history demonstrated that he had severe behavioral issues that had not manifested themselves for more than two years. More significantly, his prior history did not include any sexually aggressive behavior. Nor did the plaintiff parent's statement to the bus driver that she did not want the two children sitting together provide defendants with notice, as she did not name the boy or attribute any misbehavior to him. Moreover, the boy's past conduct without any subsequent incident of aggression was far too removed to require that defendants provide him an aide.

Social Services — Foster Care — Duty to Warn of Child's Past Conduct

2. In an action seeking damages for injuries resulting from the alleged sexual assault committed by an 11-year-old foster child upon the five-year-old

infant plaintiff while the children sat together on a school bus, defendant social services agency was properly granted summary judgment dismissing the complaint, as plaintiff failed to set forth a prima facie claim against it based on a duty to warn the child offender's foster parents and others of the need to closely supervise him. The child offender's history demonstrated that he had severe behavioral issues that had not manifested themselves for more than two years. More significantly, his prior history did not include any sexually aggressive behavior. His past conduct was far too removed to require that defendant warn others of his past.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 501, 502, 504, 506, 508, 535, 542, 570, 571; AM JUR 2d, Negligence §§ 73-79, 124, 125, 129.
 NY JUR 2d, Government Tort Liability §§ 230, 231, 233, 239; NY JUR 2d, Negligence §§ 17-19, 22, 36; NY JUR 2d, Schools, Colleges, and Universities § 857.

ANNOTATION REFERENCES

Tort liability of public schools and institutions of higher learning for injuries resulting from lack or insufficiency of supervision. 38 ALR3d 830.

Liability of university, college, or other school for failure to protect student from crime. 1 ALR4th 1099.

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POINTS OF COUNSEL

Lipsitz Green Scime Cambria LLP, Buffalo (*John A. Collins* of counsel), for appellant. I. The Appellate Division incorrectly applied this Court's opinion in *Mirand v City of New York* (84 NY2d 44 [1994]). (*Hoose v Drumm*, 281 NY 54; *Lawes v Board of Educ. of City of N.Y.*, 16 NY2d 302; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Kush v City of Buffalo*, 59 NY2d 26.) II. The Appellate Division erred in implicitly holding that Eden Central School District had not been negligent in disregarding plaintiff's request to keep Brenna B. and Robert F. separated. (*Hoose v Drumm*, 281 NY 54; *Lawes v Board of Educ. of City of N.Y.*, 16 NY2d 302; *Sadowski v Long Is. R.R. Co.*, 292 NY 448; *Levine v City of New York*, 309 NY 88; *Mirand v City of New York*, 190 AD2d 282; *Murray v Research Found. of State Univ.*

of N.Y., 283 AD2d 995, 96 NY2d 719; *Mary KK. v Jack LL.*, 203 AD2d 840; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Kush v City of Buffalo*, 59 NY2d 26.) III. The Appellate Division erred in holding that, as a matter of law, Child and Family Services lacked notice of the danger that Robert F. posed to Brenna B. and others. (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.)

Goldberg Segalla LLP, Buffalo (*Julie Pasquariello Apter* of counsel), for Eden Central School District and others, respondents. I. The Appellate Division's decision was based on *Milbrand v Kenmore-Town of Tonawanda Union Free School Dist.* (49 AD3d 1341 [2008]) not *Mirand v City of New York* (84 NY2d 44 [1994]). II. The principles of *Mirand v City of New York* (84 NY2d 44 [1994]) are consistent with the principles stated in *Milbrand v Kenmore-Town of Tonawanda Union Free School Dist.* (49 AD3d 1341 [2008]). (*Murray v Research Found. of State Univ. of N.Y.*, 184 Misc 2d 453, 283 AD2d 995; *Doe v Board of Educ. of Morris Cent. School*, 9 AD3d 588; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.) III. Plaintiff-appellant has failed to submit proof that she requested that her daughter be separated from third-party defendant Robert F. (*David XX. v Saint Catherine's Ctr. for Children*, 267 AD2d 813; *Mirand v City of New York*, 84 NY2d 44; *Milbrand v Kenmore-Town of Tonawanda Union Free School Dist.*, 49 AD3d 1341; *Kozakiewicz v Frontier Middle School*, 37 AD3d 1138.)

Damon Morey LLP, Buffalo (*Michael J. Willett* of counsel), for Child and Family Services of Erie County, respondent. I. Child and Family Services was entitled to summary judgment because it established that it did not have specific knowledge or notice of a propensity on the part of Robert F. to engage in conduct of the type alleged in the complaint. (*Mirand v City of New York*, 84 NY2d 44; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Hoose v Drumm*, 281 NY 54; *Waldon v Little Flower Children's Serv.*, 1 NY3d 612; *Liang v Rosedale Group Home*, 19 AD3d 654; *DiCarlo v City of New York*, 286 AD2d 363; *Lawes v Board of Educ. of City of N.Y.*, 16 NY2d 302; *LaTorre v Genesee Mgt.*, 90 NY2d 576; *Rios v Smith*, 95 NY2d 647.) II. Child and Family Services had no duty to protect the infant plaintiff from harm which occurred when the foster child was in the physical custody and control of Eden Central School District. (*Howard v Parsons' Child & Family Ctr.*, 306 AD2d 725; *Cappello v St. Christopher's, Jennie Clarkson Child Care Servs.*, 282 AD2d 566; *Pratt v Robinson*, 39 NY2d 554; *Bertrand v Board of Educ. of City of N.Y.*,

272 AD2d 355, 95 NY2d 760; *Purdy v Public Adm'r of County of Westchester*, 72 NY2d 1.)

OPINION OF THE COURT

JONES, J.

In this action against defendants Eden Central School District and Child and Family Services of Erie County (CFS) for damages resulting from an alleged sexual assault committed by an 11-year-old student upon a five-year-old student, the issues are whether (1) the school district had sufficiently specific knowledge or notice of the dangerous conduct which caused the injury so that the third-party act could have been reasonably anticipated and (2) CFS had a duty to warn the child offender's foster parents and others of the need to closely supervise him. We hold that the school district proved as a matter of law that it did not have sufficiently specific knowledge or notice of the injury-causing conduct. As to CFS, plaintiff did not set forth a prima facie claim against it.

Robert F., born October 1991, has a troubling history. Based upon records from multiple sources, he was removed from his parents' home at age three due to neglect and possible physical abuse. After living in foster care for several years, he resided with his father, stepmother and several siblings until he was hospitalized at age nine because he displayed severe aggression in the home.

In October 2000, Robert was admitted to Western New York Children's Psychiatric Center, where he resided until his placement at Crestwood Children's Center in January 2001. Crestwood's assessment of Robert, dated September 2001, noted his risk behavior involved: "verbal aggression, aggression towards himself and others, threats with weapons, fire setting, hyperactivity, impulsivity, auditory hallucinations, history of stealing, temper tantrums, poor peer relations, academic problems, and history of suicidal injurious ideations." The assessment further stated that he had not "presented any of his referral symptoms since admission." Crestwood also recommended that Robert receive "a lower level of care in [the] form of community residence," noting that he "has been free from self-harm as well as not harming or threatening others."

In January 2002, Robert entered the Lee Randall Jones Community Residence. At the same time, he was enrolled at the Stanley G. Falk School. A Counseling Individualized Education Plan (IEP) Summary Review conducted by the Falk School in

February 2002 indicated that Robert was “a pleasant boy who appears to be adapting well to his structured school environment . . . [who] displays appropriate social skills in his interactions with others including, greetings, eye contact, taking turns, and sharing.” The review considered behavior concerns for Robert, which included restless and distractive behavior, and concluded that the Falk School was “appropriate in the least restrictive environment to meet his varied needs.” In August 2002, Samantha Heise, Robert’s case coordinator at the community residence, wrote that “Robert ha[d] not had one incident of physical aggression towards others or himself since admission.” She noted that he had positive peer interaction. A subsequent psychological evaluation provided by the Falk School and the community residence’s “Admission Committee Meeting Case Presentation” summarized Robert’s prior acts, including behaviors detailed herein, as well as exposing himself and masturbating in public. It appears that Robert’s stated history predates his hospitalization.

Sometime in 2002, Robert began residing with foster parents. In September 2002, he was transferred to the Eden Central School District to attend fifth grade. Robert’s December 2002 IEP prepared by the school’s committee recommended that he be placed in general education classes for science and social studies. In an undated, 2002-2003 Eden Central School District progress report, it was noted that “Robert has a friendly personality. He was very polite with his peers and teachers. He will continue to need support for social and emotional development next year.” Regarding his social and emotional development, his 2002-2003 IEP stated that he was immature for his age, seeking physical hugs and attention from adults, but that he did not need escorts or restraints. He was also assigned individual counseling and group counseling once a week throughout the school year.

In September 2002, Brenna B., who lived in the same neighborhood as Robert, started kindergarten with the Eden Central School District. Brenna and Robert rode the same school bus. It was there that the alleged sexual assault occurred in March 2003. Brenna’s mother, Brandy B., had received some notice from Brenna of inappropriate interactions between the two children, namely, that Robert called Brenna his girlfriend; she spoke to the bus driver and requested that the two children not sit together. Thereafter, Brenna told her mother that Robert had exposed himself to her while sitting together on the school bus, and forced her to touch him.

Brandy commenced this action against the school district for injuries resulting from the alleged sexual assault based upon inadequate supervision of the children and against CFS for failing to warn the foster parents of the need to closely supervise Robert. Supreme Court granted defendants summary judgment dismissing the complaint. The Appellate Division affirmed (63 AD3d 1583 [2009]). Plaintiff appeals by leave of this Court (13 NY3d 703 [2009]). We now affirm.

It is well-settled that schools have a duty to adequately supervise their students, and “will be held liable for foreseeable injuries proximately related to the absence of adequate supervision” (*Mirand v City of New York*, 84 NY2d 44, 49 [1994], citing *Lawes v Board of Educ. of City of N.Y.*, 16 NY2d 302, 306 [1965] and *Decker v Dundee Cent. School Dist.*, 4 NY2d 462, 464 [1958]). However, unanticipated third-party acts causing injury upon a fellow student will generally not give rise to a school’s liability in negligence absent actual or constructive notice of prior similar conduct (*see id.*). “[I]t must be established that school authorities had sufficiently specific knowledge or notice of the dangerous conduct which caused injury; that is, that the third-party acts could reasonably have been anticipated” (*id.*, citing *Bertola v Board of Educ. of City of N.Y.*, 1 AD2d 973 [2d Dept 1956]). Summary judgment must be granted if the proponent makes “a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact,” and the opponent fails to rebut that showing (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]).

[1] Here, the alleged sexual assault against Brenna was an unforeseeable act that, without sufficiently specific knowledge or notice, could not have been reasonably anticipated by the school district. Robert’s history demonstrates that he had severe behavioral issues that had not manifested themselves for more than two years. Since his initial hospitalization in 2000, each program noted that he had not displayed any aggression towards anyone, and, because of his behavioral improvements, he was approved for less restrictive programs. More significantly, his prior history did not include *any* sexually aggressive behavior. Thus, without evidence of any prior conduct similar to the unanticipated injury-causing act, this claim for negligent supervision must fail.

[2] Additionally, Brandy’s reliance upon her statement to the bus driver—that she did not want the two children sitting

together—and Robert’s behavioral history as notice is unavailing. Brandy’s statement did not name Robert or attribute any misbehavior to the unidentified boy that Brandy wanted to separate from her daughter. Moreover, his past conduct without any subsequent incident of aggression was far too removed to require that the school district provide Robert an aide or that CFS warn others of Robert’s past. Therefore, because defendants demonstrated that they had no specific knowledge or notice of any similar conduct which caused the injury and plaintiff presented no triable issue of fact, the courts below properly granted them summary judgment.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting in part). Because I believe a reasonable jury could find that sufficient notice was given to Eden Central School District and Eden Central School District Board of Education (collectively, the school defendants) and that the sexual assault here was a “foreseeable injur[y] proximately related to the absence of adequate supervision” (*Mirand v City of New York*, 84 NY2d 44, 49 [1994]), I respectfully dissent from the majority’s holding as it relates to the school defendants.

A plaintiff attempting to hold a school district liable for harm to one student caused by another must satisfy a two-part test (see *Mirand*, 84 NY2d at 49-50). First, to show that the school negligently breached its duty to supervise, a plaintiff must establish “that school authorities had sufficiently specific knowledge or notice of the dangerous conduct which caused [the] injury; that is, that the third-party acts could reasonably have been anticipated” (*id.* at 49). Second, this breach must have been the proximate cause of the injury, i.e. “under all the circumstances the chain of events that followed the negligent act or omission was a normal or foreseeable consequence of the situation created by the school’s negligence” (*id.* at 50, citing *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308, 315 [1980]). Here, a reasonable jury could find both prongs of the test satisfied.

The overarching question, as we emphasized in *Mirand*, is whether circumstances would have put a “reasonable person on notice to protect against the injury-causing act” (*Mirand*, 84 NY2d at 49). This notice may come either from prior, similarly dangerous conduct or from other circumstances that render the injury foreseeable (see e.g. *id.* at 49-51 [affirming liability where school knew of threats to plaintiff and “(t)he jury needed little more than its own common experience to conclude” that there

should have been greater supervision (*id.* at 51)). Thus, the Appellate Divisions have found circumstances in which the absence of supervision, without any more specific notice, is so egregious as to give rise to liability (see *Doe v Fulton School Dist.*, 35 AD3d 1194, 1195 [4th Dept 2006]). In *Fulton School Dist.*, for example, the Fourth Department held that “a jury could find that [the alleged sexual assault] was a reasonably foreseeable consequence of the District’s failure to provide adequate supervision . . . even in the absence of notice of a prior sexual assault” (*id.* at 1195). Similarly, the Third Department has found that circumstances may be sufficient “to put defendants on notice of a potentially harmful situation” where a 12-year-old student repeatedly sexually assaulted a six-year-old student because “the instances of inappropriate touching occurred on multiple occasions in two different locations over a period of time” (*Doe v Board of Educ. of Morris Cent. School*, 9 AD3d 588, 591 [2004]). Here, a reasonable jury could find that circumstances were sufficient to put the school defendants on notice that closer supervision was appropriate.

While Robert’s history of mental illness alone might not “put a reasonable person on notice” that he would sexually assault a fellow student (see *Mirand*, 84 NY2d at 49), this history must be read in conjunction with the school’s actual knowledge that he was frequently interacting closely with a kindergartner on the school bus. As the school defendants indisputably knew, Robert has a history of sometimes violent behavior as well as inappropriate sexual behavior, including exposing himself and masturbating in public. Although he has made remarkable progress, a jury could find that the mother’s communications with the bus driver put the school defendants on notice that something unusual was going on between Robert, an 11 year old with a history of serious mental illness, and Brenna, a five year old who regularly sat with him. According to the mother’s deposition testimony, she told the driver that “Brenna, who was in kindergarten, seems to be interacting with this twelve-year-old [*sic*].” She allegedly followed up with two letters to the driver, one requesting that her two children sit together and a second requesting that the driver call her to discuss the situation. These communications between the mother and the driver, considered along with Robert’s history, are enough to allow a reasonable jury to find that the school defendants had sufficient notice of a dangerous situation and could have anticipated the sexual assault.

With respect to proximate cause, the second prong of the *Mirand* test, a reasonable jury could find that the absence of adequate supervision on the bus was a proximate cause of Brenna's injury. As we noted in *Mirand*, "[p]roximate cause is a question of fact for the jury where varying inferences are possible" (84 NY2d at 51).

Although I would permit the negligent supervision action to go forward against the school defendants, I agree with the majority that the action against Child and Family Services of Erie County (CFS) was properly dismissed. The complaint alleges that CFS failed to warn the school and foster family that Robert needed close supervision at all times, but there is no evidence that it withheld any information or could have anticipated that Robert would sexually assault a fellow student.

Therefore, I would modify by affirming the Appellate Division's grant of summary judgment to CFS and reversing its order granting summary judgment to the school defendants, and I would reinstate the amended complaint as to the school defendants.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Judge CIPARICK dissents in part and votes to modify in a separate opinion in which Chief Judge LIPPMAN concurs.

Order affirmed, with costs.

[933 NE2d 718, 907 NYS2d 119]

ESTATE OF SAUL SCHNEIDER, Deceased, Appellant, v VICTOR M.
FINMANN et al., Respondents, et al., Defendant.

Argued May 4, 2010; decided June 17, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 24, 2009. The Appellate Division affirmed an order of the Supreme Court, Nassau County (Michele M. Woodard, J.), which had granted that branch of a motion by defendants Victor M. Finmann and Victor M. Finmann, P.C. which was to dismiss the complaint as against them for failure to state a cause of action.

Estate of Schneider v Finmann, 60 AD3d 892, reversed.

HEADNOTE

Attorney and Client — Malpractice — Liability to Nonclient Third Party — Privity between Personal Representative of Estate and Estate Planning Attorney

The personal representative of decedent's estate had the capacity to maintain a malpractice action against the attorney who allegedly negligently caused the estate to incur enhanced estate tax liability. Inasmuch as a decedent's estate essentially stands in the shoes of the decedent, privity, or a relationship sufficiently approaching privity, exists between the personal representative of an estate and the estate planning attorney. A finding of privity in such cases comports with EPTL 11-3.2 (b), which generally permits the personal representative of a decedent to maintain an action for "injury to person or property" after that person's death, and provides an estate with recourse against an attorney who caused harm to the estate. However, to prevent uncertainty and limitless liability, strict privity remains a bar against malpractice claims by beneficiaries and other third parties absent fraud, collusion, malicious acts or other special circumstances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 216, 238; AM JUR 2d, Executors and Administrators § 1126.

CARMODY-WAIT 2d, Actions by and Against Fiduciaries § 129:86.

McKINNEY's, EPTL 11-3.2 (b).

NY JUR 2d, Actions § 118; NY JUR 2d, Decedents' Estates § 1550; NY JUR 2d, Malpractice §§ 39, 57, 73.

ANNOTATION REFERENCE

Attorney's negligence in connection with estate, will, or succession matters. 55 ALR3d 977.

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estate /3 tax & privity

POINTS OF COUNSEL

Nicholas J. Damadeo, P.C., Huntington (*Nicholas J. Damadeo* of counsel), for appellant. I. A decedent's claim for legal malpractice that occurred during his lifetime survives his death and includes a claim for increased estate tax liability. (*Nembach v Giaimo & Vreeburg*, 209 AD2d 222; *Estate of Nevelson v Carro*, *Spanbock, Kaster & Cuiffo*, 259 AD2d 282; *Deeb v Johnson*, 170 AD2d 865; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Kerbein v Hutchison*, 30 AD3d 730; *Iser v Kerrigan*, 37 AD3d 662; *Pratt v Spalty Sons*, 135 Misc 2d 588; *Matter of Pascale*, 168 Misc 2d 891; *Estate of Spivey v Pulley*, 138 AD2d 563.) II. New York's strict privity rule should be modified in estate planning malpractice cases. (*Savings Bank v Ward*, 100 US 195; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 80 NY2d 377; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *BDG Oceanside, LLC v RAD Term. Corp.*, 14 AD3d 472.)

Cullen and Dykman LLP, Garden City (*Peter J. Mastaglio* and *Justin F. Capuano* of counsel), for respondents. I. Since decedent, while alive, had no claim against his attorney for malpractice arising from increased estate tax liability, that claim never passed to his estate. (*Grosso v Estate of Gershenson*, 33 AD3d 587; *Viscardi v Lerner*, 125 AD2d 662; *Estate of Spivey v Pulley*, 138 AD2d 563; *Mali v De Forest & Duer*, 160 AD2d 297; *Deeb v Johnson*, 170 AD2d 865; *Harder v Arthur F. McGinn, Jr., P. C.*, 89 AD2d 732, 58 NY2d 663; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582; *Nembach v Giaimo & Vreeburg*, 209 AD2d 222; *Matter of Pascale*, 168 Misc 2d 891; *Estate of Nevelson v Carro*, *Spanbock, Kaster & Cuiffo*, 259 AD2d 282.) II. The cause of action to recover damages resulting from the alleged negligent tax advice did not accrue until decedent died. (*Kronos, Inc. v AVX Corp.*, 81 NY2d 90; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Kerbein v Hutchison*, 30 AD3d 730; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525.) III. There is no need to further modify New York's privity rule in estate planning malpractice cases. (*Savings Bank v Ward*, 100 US 195; *Ultramares Corp. v Touche*, 255 NY 170; *Glanzer v Shepard*, 233 NY 236; *White v Guarente*, 43 NY2d 356; *Credit*

Alliance Corp. v Arthur Andersen & Co., 65 NY2d 536; *Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 73 NY2d 417; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 80 NY2d 377; *State of Cal. Pub. Employees' Retirement Sys. v Shearman & Sterling*, 95 NY2d 427; *Breen v Law Off. of Bruce A. Barket, P.C.*, 52 AD3d 635; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582.)

OPINION OF THE COURT

JONES, J.

At issue in this appeal is whether an attorney may be held liable for damages resulting from negligent representation in estate tax planning that causes enhanced estate tax liability. We hold that a personal representative of an estate may maintain a legal malpractice claim for such pecuniary losses to the estate.

The complaint alleges the following facts. Defendants represented decedent Saul Schneider from at least April 2000 to his death in October 2006. In April 2000, decedent purchased a \$1 million life insurance policy. Over several years, he transferred ownership of that property from himself to an entity of which he was principal owner, then to another entity of which he was principal owner and then, in 2005, back to himself. At his death in October 2006, the proceeds of the insurance policy were included as part of his gross taxable estate. Decedent's estate commenced this malpractice action in 2007, alleging that defendants negligently advised decedent to transfer, or failed to advise decedent not to transfer, the policy which resulted in an increased estate tax liability.

Supreme Court granted defendants' motion to dismiss the complaint for failure to state a cause of action. The Appellate Division affirmed (60 AD3d 892 [2009]), holding that, in the absence of privity, an estate may not maintain an action for legal malpractice. We now reverse and reinstate plaintiff's claim.

Strict privity, as applied in the context of estate planning malpractice actions, is a minority rule in the United States.¹ In New York, a third party, without privity, cannot maintain a

1. Now only a handful of jurisdictions apply strict privity to malpractice actions commenced by beneficiaries against estate planning attorneys (see *Robinson v Benton*, 842 So 2d 631, 637 [Ala 2002]; *Nevin v Union Trust Co.*, 726 A2d 694, 701 [Me 1999]; *Noble v Bruce*, 349 Md 730, 752, 709 A2d 1264, 1275 [1998]; *Simon v Zipperstein*, 32 Ohio St 3d 74, 512 NE2d 636 [1987]; *Lilyhorn v Dier*, 214 Neb 728, 335 NW2d 554 [1983]). Numerous jurisdictions

(n. cont'd)

claim against an attorney in professional negligence, “absent fraud, collusion, malicious acts or other special circumstances” (*Estate of Spivey v Pulley*, 138 AD2d 563, 564 [2d Dept 1988]). Some Appellate Division decisions, on which the Appellate Division here relied, have applied strict privity to estate planning malpractice lawsuits commenced by the estate’s personal representative and beneficiaries alike (*Deeb v Johnson*, 170 AD2d 865 [3d Dept 1991]; *Spivey*, 138 AD2d at 564; *Viscardi v Lerner*, 125 AD2d 662, 663-664 [2d Dept 1986]; *Rossi v Boehner*, 116 AD2d 636 [2d Dept 1986]). This rule effectively protects attorneys from legal malpractice suits by indeterminate classes of plaintiffs whose interests may be at odds with the interests of the client-decedent. However, it also leaves the estate with no recourse against an attorney who planned the estate negligently.

We now hold that privity, or a relationship sufficiently approaching privity, exists between the personal representative of an estate and the estate planning attorney. We agree with the Texas Supreme Court that the estate essentially “‘stands in the shoes’ of a decedent” and, therefore, “has the capacity to maintain the malpractice claim on the estate’s behalf” (*Belt v Oppenheimer, Blend, Harrison & Tate, Inc.*, 192 SW3d 780, 787 [Tex 2006]). The personal representative of an estate should not be prevented from raising a negligent estate planning claim against the attorney who caused harm to the estate. The attorney estate planner surely knows that minimizing the tax burden of the estate is one of the central tasks entrusted to the

have either relaxed the principle of privity or have granted standing to beneficiaries or estates (see *Stanley L. & Carolyn M. Watkins Trust v Lacosta*, 321 Mont 432, 438, 92 P3d 620, 625-626 [2004] [an estate has standing to bring a legal malpractice action]; *Blair v Ing*, 95 Haw 247, 259, 21 P3d 452, 464 [2001] [nonclient may bring a legal malpractice suit]; *Simpson v Calivas*, 139 NH 1, 5, 650 A2d 318, 321 [1994] [named beneficiaries have standing to bring claims in negligence against an estate planning attorney]; *Espinosa v Sparber, Shevin, Shapo, Rosen & Heilbronner*, 612 So 2d 1378, 1380 [Fla 1993] [estate stands in the shoes of the testator and satisfies the privity requirement]; *Schreiner v Scoville*, 410 NW2d 679, 681 [Iowa 1987] [intended beneficiaries may maintain a malpractice action against the decedent’s attorney despite the absence of privity]). The *Schreiner* court cited to numerous jurisdictions that had a similar rule in place (see *id.* at 681-682). Texas treats the malpractice claims brought by beneficiaries and personal representatives of decedent’s estates differently (see *Barcelo v Elliott*, 923 SW2d 575, 579 [Tex 1996] [non-client beneficiaries cannot maintain malpractice suits against estate planning attorneys because they lack privity]; cf. *Belt v Oppenheimer, Blend, Harrison & Tate, Inc.*, 192 SW3d 780, 784-786 [Tex 2006] [departed from the *Barcelo* rule in suits brought by the personal representative of the decedent’s estate and held that privity existed between the parties]).

professional. Moreover, such a result comports with EPTL 11-3.2 (b),² which generally permits the personal representative of a decedent to maintain an action for “injury to person or property” after that person’s death.

Despite the holding in this case, strict privity remains a bar against beneficiaries’ and other third-party individuals’ estate planning malpractice claims absent fraud or other circumstances. Relaxing privity to permit third parties to commence professional negligence actions against estate planning attorneys would produce undesirable results—uncertainty and limitless liability. These concerns, however, are not present in the case of an estate planning malpractice action commenced by the estate’s personal representative.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants’ motion to dismiss the complaint denied.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

2. “No cause of action for injury to person or property is lost because of the death of the person in whose favor the cause of action existed. For any injury an action may be brought or continued by the personal representative of the decedent” (EPTL 11-3.2 [b]).

[937 NE2d 524, 910 NYS2d 767]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON-
ALD MCKINNON, Appellant.

Argued September 16, 2010; decided October 14, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 2, 2009. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment of the Supreme Court, Bronx County (Richard L. Price, J.), as had convicted defendant, upon a jury verdict, of assault in the first degree.

People v McKinnon, 63 AD3d 426, reversed.

HEADNOTES

Crimes — Assault — Serious Disfigurement — Sufficiency of Evidence

1. In the prosecution of defendant arising from his attack on the victim, during which he bit the victim twice on the inner forearm, the evidence was insufficient to support defendant's conviction of first degree assault because it did not show that the bite marks left on the victim's inner forearm constituted serious disfigurement under Penal Law § 120.10 (2). A person is "seriously" disfigured when a reasonable observer would find the victim's altered appearance distressing or objectionable. The standard is an objective one, and the injury must be viewed in context, considering its location on the body and any relevant aspects of the victim's overall physical appearance. Here, the record contained a photograph of the victim's bite marks that was taken on the day of the crime, which showed two ovals with reddish discoloration, and hospital records indicated that one bite mark measured 3.5 by 3 centimeters and the other 3 by 3 centimeters. However, there was no later photograph of the wounds, and the record as to what they looked like after they had time to heal was not precise. The mere existence of two scars of moderate size on the victim's inner forearm, considering their location, would not have made her appearance distressing or objectionable to a reasonable person observing her. The scars might have constituted serious disfigurement if they were unusually disturbing, but the prosecution failed to provide a photograph or a detailed description of the scars as they appeared at the time they were shown to the jury, and there was no other evidence to support an inference that what the jury saw amounted to serious disfigurement.

Crimes — Assault — Serious Physical Injury — Sufficiency of Evidence

2. In the prosecution of defendant arising from his attack on the victim, during which he bit the victim twice on the inner forearm, the count in the indictment that charged defendant with second degree assault based on serious physical injury (*see* Penal Law § 120.05 [1]) was dismissed. The record was insufficient to support a finding of serious disfigurement, showing no more

than that the victim had two scars of moderate size on her inner forearm. Without a “serious disfigurement” there was no evidence of “serious physical injury” as the Penal Law defines it (*see* Penal Law § 10.00 [10]).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review § 627; AM JUR 2d, Assault and Battery §§ 33, 61, 63.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 27.5.

McKINNEY’S, Penal Law § 10.00 (10); § 120.05 (1); § 120.10 (2).

NY JUR 2d, Criminal Law: Procedure § 3602; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 15, 395, 396, 419, 441, 442.

ANNOTATION REFERENCE

Sufficiency of bodily injury to support charge of aggravated assault. 5 ALR5th 243.

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Query: convict! /6 assault /p insufficient /4 evidence /p serious! /3 disfigure!

POINTS OF COUNSEL

Hogan Lovells US LLP, New York City (*Nathaniel S. Boyer* of counsel), and *Benjamin N. Cardozo School of Law, Criminal Appeals Clinic* (*Stanley Neustadter* and *Jeremy Gutman* of counsel), for appellant. I. The evidence of “serious and permanent disfigurement” was insufficient to sustain a conviction for first degree assault. (*People v McLaughlin*, 8 AD3d 146; *People v Schulz*, 4 NY3d 521; *Jackson v Virginia*, 443 US 307; *People v Calabria*, 3 NY3d 80; *People v Jackson*, 65 NY2d 265; *People v Bailey*, 13 NY3d 67; *People v Danielson*, 9 NY3d 342; *People v Damiano*, 87 NY2d 477; *People v Carroll*, 95 NY2d 375; *People v Wong*, 81 NY2d 600.) II. The evidence of “specific intent to achieve the mayhem result” was insufficient to sustain a conviction for first degree assault. (*People v McLaughlin*, 8 AD3d 146; *People v Tran*, 188 Misc 2d 717, 308 AD2d 497; *People v Truesdale*, 186 AD2d 496; *Sandstrom v Montana*, 442 US 510; *People v Steinberg*, 79 NY2d 673; *Matter of Sean T.*, 224 AD2d 341; *People v Cornish*, 211 AD2d 639; *People v Danielson*, 9 NY3d 342; *People v Damiano*, 87 NY2d 477.) III.

Imposition of consecutive sentences was unauthorized because the commission of attempted kidnapping was a “material element” of felony assault. (*People v Day*, 73 NY2d 208; *People v Laverpool*, 267 AD2d 93; *People v Ahedo*, 229 AD2d 588; *People v Medina*, 152 AD2d 602; *People v Smiley*, 121 AD2d 274.)

Robert T. Johnson, District Attorney, Bronx (Jason S. Whitehead, Joseph N. Ferdenzi and Nancy J. Killian of counsel), for respondent. I. Defendant’s challenge to the legal sufficiency of the evidence is unpreserved and, in any event, meritless. (*People v Gray*, 86 NY2d 10; *People v Lane*, 7 NY3d 888; *People v Hines*, 97 NY2d 56; *People v Carncross*, 14 NY3d 319; *People v Tarsia*, 50 NY2d 1; *People v Padro*, 75 NY2d 820; *People v Iannelli*, 69 NY2d 684; *People v Mateo*, 2 NY3d 383; *People v Bleakley*, 69 NY2d 490; *People v Marin*, 65 NY2d 741.) II. If this Court finds that the evidence was legally insufficient to sustain defendant’s conviction for assault in the first degree, this Court cannot reduce defendant’s first degree assault conviction to second degree felony assault since it is not a lesser included offense of first degree assault. The proper remedy would be to remand the case for a new trial on the remaining assault counts in the indictment since those counts were never considered by the jury in its deliberations. (*People v Glover*, 57 NY2d 61; *People v Van Norstrand*, 85 NY2d 131; *People v Scarborough*, 49 NY2d 364; *People v Martin*, 59 NY2d 704; *People v Green*, 56 NY2d 427; *People v Charles*, 78 NY2d 1044; *People v Green*, 96 NY2d 195; *People v Salcedo*, 92 NY2d 1019; *People v Ramirez*, 89 NY2d 444; *People v Laureano*, 87 NY2d 640.)

OPINION OF THE COURT

SMITH, J.

We hold that the evidence was insufficient to support defendant’s conviction for first degree assault, because it did not show that the victim of the assault was “seriously” disfigured.

I

The victim was an inspector for the New York City Department of Health and Mental Hygiene. On the day in question, she went to inspect a summer camp at a Bronx storefront church. When she arrived, the camp was not yet open, but defendant, who lived in the building, let her in and began to chat with her. A few minutes later, defendant put an arm around the victim’s neck and choked her. She lost consciousness briefly. When she revived, defendant again choked her with one arm,

while holding a knife in his other hand; he tried to drag her into a hallway. Defendant put the knife down on a stool, and the victim grabbed it and began to stab him over her shoulder. Defendant responded by biting the victim twice on the inner forearm, leaving marks that we describe in detail below. The victim escaped into the street, and defendant ran away, taking the victim's cell phone with him. He was arrested later that day.

Defendant was charged with various crimes in a 12-count indictment. Our main concern is count 5, charging first degree assault in that defendant "[w]ith intent to disfigure another person seriously and permanently . . . caused such injury" (see Penal Law § 120.10 [2]). Defendant was also indicted on two counts of second degree assault, alleging that he caused physical injury "[i]n the course of and in furtherance of the commission or attempted commission of a felony . . . or immediate flight therefrom" (count 7; see Penal Law § 120.05 [6]) and that he intentionally caused "serious physical injury" (count 10; see Penal Law § 120.05 [1]). All three assault counts, and a lesser included charge, were submitted to the jury, but the jury was instructed not to consider the lower-level assault charges if it convicted defendant of first degree assault.

Defendant was convicted of attempted kidnapping, criminal possession of stolen property and assault in the first degree. The Appellate Division affirmed (63 AD3d 426 [2009]), and a Judge of this Court granted leave to appeal (13 NY3d 747 [2009]). Defendant challenges only his first degree assault conviction in this Court, and we now reverse the Appellate Division's order insofar as it is appealed from.

II

Under Penal Law § 120.10 (2), a person is guilty of assault in the first degree when: "With intent to disfigure another person seriously and permanently, or to destroy, amputate or disable permanently a member or organ of his body, he causes such injury to such person or to a third person."

The decisive issue in this case is whether the evidence was sufficient to support a finding, beyond reasonable doubt, that the victim was disfigured "seriously." We do not reach the question of whether she was disfigured "permanently," or whether defendant intended serious and permanent disfigurement.

Neither "disfigure" nor "disfigure seriously" is defined in the Penal Law, and we have never addressed the meaning of those

terms as they are used in that statute. But in *Fleming v Graham* (10 NY3d 296 [2008]), we considered the meaning of “severe facial disfigurement” as used in Workers’ Compensation Law § 11. There, we approved the following definition of “disfigurement”: “that which impairs or injures the beauty, symmetry or appearance of a person or thing; that which renders unsightly, misshapen or imperfect or deforms in some manner” (*id.* at 301, quoting *Pilato v Nigel Enters., Inc.*, 48 AD3d 1133, 1135-1136 [4th Dept 2008]). In explaining when a disfigurement is “severe,” we acknowledged that “no conceivable standard” could perfectly identify all cases, but said: “A disfigurement is severe if a reasonable person viewing the plaintiff’s face in its altered state would regard the condition as abhorrently distressing, highly objectionable, shocking or extremely unsightly” (*id.*).

Fleming’s definition of “disfigurement” seems no less apt in the context of the Penal Law: a person is disfigured when her natural beauty, symmetry or appearance is detrimentally altered—i.e., when she is rendered less attractive. To say when she is “seriously” disfigured is more difficult. An injury can be “serious” without being “severe,” and thus a serious disfigurement need not meet the stringent *Fleming* test—it need not be “abhorrently distressing, highly objectionable, shocking or extremely unsightly” to a reasonable person. But “to disfigure . . . seriously” must be to inflict some harm substantially greater than the minimum required for “disfigurement.” Apart from disfigurement, the conduct that warrants a first degree assault conviction under section 120.10 (2) is “to destroy, amputate or disable permanently a member or organ of [the] body.” It is fair to infer that the words “to disfigure . . . seriously and permanently” were intended to describe an injury of comparable importance.

[1] We conclude that serious disfigurement may be defined with a less strongly-worded version of *Fleming*’s definition of “severe” disfigurement. A person is “seriously” disfigured when a reasonable observer would find her altered appearance distressing or objectionable. The standard is an objective one, but we do not imply that the only relevant factor is the nature of the injury; the injury must be viewed in context, considering its location on the body and any relevant aspects of the victim’s overall physical appearance. To apply the standard to this case, we examine what the evidence shows about the marks that defendant created by biting the victim’s inner forearm.

The record contains a picture of the bite marks, taken on the day of the crime. It shows two ovals with reddish discoloration,

one located at and above the midpoint between the wrist and the elbow, the other closer to, but still several inches above, the wrist. According to hospital records, one bite mark measured 3.5 by 3 centimeters, the other 3 by 3 centimeters. Police officers who saw the victim's injuries on the day she suffered them described them as "severe" and "deep." Hospital records show that the victim's flesh was torn but that there was no "exudation" (oozing of fluid from blood vessels). The wounds did not require any stitches. The victim was told to follow up with a plastic surgeon for "optimal" cosmetic results, but there is no evidence that she did so.

There is no later photograph of the wounds, and the record as to what they looked like after they had time to heal is not precise. The victim displayed her arm to the jury at trial, but there is no contemporaneous description of what the jury saw. Later in the trial, both counsel described the wounds briefly: the prosecutor referred to "two large brown bite wounds," the defense lawyer to "scars, little black and blues right now."

This limited record is not sufficient to support a finding of serious disfigurement. It shows no more than that the victim had two scars of moderate size on her inner forearm. This is certainly a disfigurement, but no basis appears in the record for finding it a serious one, as we have defined the term. The mere existence of such scars, considering their location, would not make the victim's appearance distressing or objectionable to a reasonable person observing her. The case might be different if there were something unusually disturbing about the scars, but if there was the prosecution failed to make a record of it, in the form of either a photograph or a detailed description. We decline the prosecution's invitation to infer, in effect, that whatever the jury saw must have supported its verdict; a court reviewing the sufficiency of the evidence cannot rely on facts of which no record is made. A contemporaneous photograph or description is not necessary in every case where a victim's wound is shown to a jury—but it is necessary where, as here, there is no other evidence in the record supporting an inference that what the jury saw amounted to serious disfigurement.

We do not minimize the injury done to the victim by defendant's vicious assault. Perhaps no disfigurement is ever trivial; certainly this victim's is not. And no doubt more important is the way in which her wounds were inflicted—in a horrifying experience that might well leave serious and permanent emotional scars. Scars of that kind, however, cannot support a conviction

for first degree assault as the statute is written, and we must therefore reverse defendant's conviction of that crime and order count 5 of the indictment dismissed.

[2] Count 10, alleging second degree assault based on "serious physical injury," must also be dismissed, because without a "serious . . . disfigurement" there is no evidence in this record of "serious physical injury" as the Penal Law defines it (*see* Penal Law § 10.00 [10]). Defendant may be retried, however, on count 7, alleging that he committed second degree assault by causing physical injury in the course of and in furtherance of a felony or immediate flight therefrom.

Accordingly, the order of the Appellate Division, to the extent appealed from, should be reversed and the case remitted to Supreme Court for further proceedings consistent with this opinion.

PIGOTT, J. (dissenting). I respectfully dissent and would affirm the order of the Appellate Division. The majority states that it will not infer "that whatever the jury saw must have supported its verdict" because when conducting a review of the sufficiency of the evidence, this Court "cannot rely on facts of which no record is made" (majority op at 316). But that only underscores the critical flaw in the majority's holding, namely, that it is the burden of defendant—the objecting party—and not the People, to develop an adequate record for appellate review (*see People v Johnson*, 205 AD2d 309 [1st Dept 1994], *lv denied* 84 NY2d 827 [1994], citing *People v Olivo*, 52 NY2d 309, 320 [1981]).

Here, defense counsel failed to make an adequate record, as was his burden, that the People's evidence as to the count of assault in the first degree was legally insufficient. He could have easily demanded that a contemporaneous description of the victim's arm be placed on the record, or asked that a photograph depicting the victim's arm on the day of the trial be admitted in evidence. He did neither. The record reflects that the jury was shown color photographs of the victim's arm, which were taken on the day of the attack, and that the victim displayed her arm to the jury at trial 20 months later. This, in my view, was sufficient to support the jury's factual determination that the scars fell within the parameters of the assault in the first degree statute under which defendant was convicted as well as the court's ruling that the evidence was sufficient to sustain that charge (*see People v Coon*, 34 AD3d 869, 870-871 [3d Dept 2006],

lv denied 10 NY3d 763 [2008] [rejecting defendant's claim of insufficiency of proof of element of serious physical injury, deferring to County Court's assessment because it heard the testimony concerning the cuts and also had the opportunity to observe the resultant scars]; *People v Irwin*, 5 AD3d 1122, 1123 [4th Dept 2004], *lv denied* 3 NY3d 642 [2004] [victim's wounds required surgery and, although she did not testify, photographs depicting her sutured wounds to the arm and hand were admitted in evidence and jury could have reasonably inferred that the wounds resulted in permanent scars]). The majority's conclusion, in my view, is nothing more than a factual determination disguised as a sufficiency argument that this Court lacks the authority to make.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge SMITH; Judge PIGOTT dissents and votes to affirm in a separate opinion.

Order, insofar as appealed from, reversed and case remitted to Supreme Court, Bronx County, for further proceedings in accordance with the opinion herein.

[937 NE2d 74, 910 NYS2d 410]

NOCENZO CUSUMANO et al., Respondents, v CITY OF NEW YORK,
Appellant.

Argued September 16, 2010; decided October 14, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 7, 2009. The Appellate Division (1) modified, on the law, the facts and in the exercise of discretion, a judgment of the Supreme Court, Queens County (Patricia P. Satterfield, J.), which had awarded plaintiffs damages against defendant in the principal sum of \$1,700,000; and (2) modified an order of that court which had denied defendant's motion pursuant to CPLR 4404 (a) to set aside the jury verdict. The modifications consisted of (1) deleting the provision of the judgment awarding plaintiff Nocenzo Cusumano damages in the sum of \$1,200,000 for past pain and suffering, and (2) granting that branch of defendant's motion pursuant to CPLR 4404 (a) which was to set aside the verdict with respect to damages for past pain and suffering as excessive, and ordering a new trial as to damages for past pain and suffering unless, within 30 days after service upon plaintiff Nocenzo Cusumano of a copy of the opinion and order, plaintiff Nocenzo Cusumano served and filed in the office of the Clerk of the Supreme Court, Queens County, a written stipulation consenting to decrease the verdict as to damages for past pain and suffering from the sum of \$1,200,000 to the sum of \$755,000, and to the entry of an appropriate amended judgment accordingly. The Appellate Division affirmed the judgment and order as modified. Plaintiff Nocenzo Cusumano so stipulated and an amended judgment was entered. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated April 7, 2009, properly made?"

Cusumano v City of New York, 63 AD3d 5, reversed.

HEADNOTES

Negligence — Injuries to Firefighters — Handrails on Interior Stairs

1. In an action to recover damages for injuries sustained by plaintiff New York City firefighter when he fell down a flight of stairs in a building owned by defendant City of New York, plaintiff's General Municipal Law § 205-a claim should have been dismissed to the extent it was premised on the City's

alleged violation of Administrative Code of the City of New York § 27-375 (f). General Municipal Law § 205-a establishes a statutory cause of action for firefighters who sustain a line of duty injury as a result of negligent noncompliance with governmental requirements. Section 27-375 (f), which mandates that interior stair “[h]andrails shall provide a finger clearance of one and one-half inches,” was inapplicable. Interior stairs are defined as “stair[s] within a building, that serve[] as a required exit” (Administrative Code § 27-232). The stairs from where plaintiff fell did not serve as an “exit” as defined by the Administrative Code, but rather as a means of walking from the first floor to the basement.

**Trial — New Trial — Inability to Discern Basis of Jury’s Verdict —
Erroneous Submission of Statutory Requirement to Jury**

2. In an action to recover damages for injuries sustained by plaintiff New York City firefighter when he fell down a flight of stairs in a building owned by defendant City of New York, a new trial was required due to Supreme Court’s error in denying the City’s motion to dismiss plaintiff’s General Municipal Law § 205-a claim to the extent it was premised on the City’s alleged violation of Administrative Code of the City of New York § 27-375 (f). General Municipal Law § 205-a establishes a statutory cause of action for firefighters who sustain a line of duty injury as a result of negligent noncompliance with governmental requirements. Section 27-375 (f), which provides handrail requirements for “interior stairs,” defined as “stair[s] within a building, that serve[] as a required exit” (Administrative Code § 27-232), was inapplicable because the stairs from where plaintiff fell did not serve as an “exit,” but rather as a means of walking from the first floor to the basement. The effects of Supreme Court’s error were not limited to the claim based on section 27-375 (f) because it could not be assumed that the jury viewed plaintiffs’ experts’ handrail testimony in a vacuum. Two experts for the plaintiff testified that the handrail clearance requirements were governed by section 27-375 (f) and that the City violated those requirements. Further conflating the distinction among the Administrative Code sections was testimony that the City violated sections 27-127 and 27-128 *because* it violated section 27-375 (f). Supreme Court’s erroneous submission of section 27-375 (f) to the jury, coupled with the expert testimony, rendered it impossible to discern the basis of the jury’s verdict.

Appeal — Court of Appeals — Preservation of Issue for Review

3. In an action to recover damages for injuries sustained by plaintiff New York City firefighter when he fell down a flight of stairs in a building owned by defendant City of New York, the Court of Appeals declined to address the issue of whether the general provisions contained in Administrative Code of the City of New York §§ 27-127 and 27-128 form a sufficient independent predicate to support a General Municipal Law § 205-a claim. There was no record evidence that the City contested plaintiff’s argument that those sections provided an independent predicate, as the record indicated that the City objected to the applicability of those sections only to the extent that they were interwoven with Administrative Code § 27-375 (f), which provides specific guidelines for interior stair handrails.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 646; AM JUR 2d,

Fires §§ 50–52; AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 147, 255; AM JUR 2d, Negligence § 748; AM JUR 2d, Premises Liability §§ 49, 50, 420, 425–427.

CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:112, 71:157.

McKINNEY's, General Municipal Law § 205–a.

NY JUR 2d, Appellate Review §§ 563, 604, 623; NY JUR 2d, Government Tort Liability § 95; NY JUR 2d, Negligence §§ 76, 77; NY JUR 2d, Premises Liability §§ 263, 265.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:29.

PROSSER AND KEETON, TORTS (5th ed) §§ 36, 60, 68.

SIEGEL, NY PRAC § 530.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; New Trial; Stairs and Passageways.

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Database: NY-ORCS

Query: firefighter /s f*ll! /6 stair! & regulation

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Elizabeth S. Natrella and Pamela Seider Dolgow of counsel), for appellant. I. This Court should direct dismissal of this action in its entirety for failure to establish a prima facie case under General Municipal Law § 205-a, for the reasons stated in the Appellate Division dissenting opinion. Because the handrail requirements of Administrative Code of the City of New York § 27-375 (f) were inapplicable, plaintiff's reliance on that provision to establish a violation of Administrative Code §§ 27-127 and 27-128 was legally barred, and plaintiff's only other evidence was either conclusory or inapplicable as a matter of law. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Zanghi v Niagara Frontier Transp. Commn.*, 85 NY2d 423; *Galapo v City of New York*, 95 NY2d 568; *Desmond v City of New York*, 88 NY2d 455; *Williams v City of New York*, 2 NY3d 352; *Hotaling v City of New York*, 55 AD3d 396, 12 NY3d 862; *Dooley v Vornado Realty Trust*, 39 AD3d 460; *Weiss v City of New York*, 16 AD3d 680; *Walker v 127 W. 22nd St. Assoc.*, 281 AD2d 539.) II. Solely in the alternative, a new trial should be granted. (*Feblot v New York Times Co.*, 32 NY2d

486; *Bernstein v City of New York*, 69 NY2d 1020; *Marquart v Yeshiva Machezikel Torah D'Chasidel Belz of N.Y.*, 53 AD2d 688; *Franco v Jay Cee of N.Y. Corp.*, 36 AD3d 445; *People v Duncan*, 46 NY2d 74; *Cooter & Gell v Hartmarx Corp.*, 496 US 384; *Pullman-Standard v Swint*, 456 US 273.)

Miller & Eisenman, LLP, New York City (*Michael P. Eisenman* of counsel), for respondents. I. Administrative Code of the City of New York §§ 27-127 and 27-128 provide independent predicates upon which liability may be imposed under General Municipal Law § 205-a. (*Williams v City of New York*, 2 NY3d 352; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Terranova v New York City Tr. Auth.*, 49 AD3d 10; *Brennan v New York City Hous. Auth.*, 302 AD2d 483; *Lustenring v 98-100 Realty*, 1 AD3d 574; *Rabinowitz v City of New York*, 286 AD2d 724; *Hart v DiPiazza*, 262 AD2d 283.) II. Sufficient evidence was introduced at trial to rationally lead the jury to conclude that defendant violated Administrative Code of the City of New York §§ 27-127 and 27-128.) (*Cohen v Hallmark Cards*, 45 NY2d 493; *Munoz v City of New York*, 55 AD3d 697.) III. Once defendant elected to install a handrail in the main stairwell between the basement and the first floor, it had a duty to act reasonably and carefully. (*Glanzer v Shepard*, 233 NY 236; *Marks v Nambil Realty Co.*, 245 NY 256; *Melodee Lane Lingerie Co. v American Dist. Tel. Co.*, 18 NY2d 57; *Frazer v Bader*, 263 App Div 838; *Bucek v Merritt*, 37 AD2d 905; *Parker v Jenkins*, 135 Misc 666; *Decorato v Cozzoli Bros., LLC*, 16 Misc 3d 1108[A], 2007 NY Slip Op 51347[U]; *Steelworkers v Rawson*, 495 US 362.)

OPINION OF THE COURT

PIGOTT, J.

On December 22, 1999, plaintiff Nocenzo Cusumano, a firefighter in the New York City Fire Department attending a first responders training session, fell down a flight of stairs that ran from the first floor to the basement of a building owned by defendant City of New York. Plaintiff commenced this action against the City pursuant to General Municipal Law § 205-a, asserting a statutory cause of action for firefighters who sustain a line of duty injury “as a result of any neglect, omission, willful or culpable negligence of any person or persons in failing to comply with the requirements of any of the statutes, ordinances, rules, orders and requirements of the . . . city governments” (General Municipal Law § 205-a [1]). To recover under that section, however, a firefighter “must demonstrate injury resulting

from negligent noncompliance with a requirement found in a well-developed body of law and regulation that imposes clear duties” (*Williams v City of New York*, 2 NY3d 352, 364 [2004] [discussing General Municipal Law § 205-e, the sister provision of section 205-a] [internal quotation marks and citations omitted]).

Plaintiff contended at the liability trial that he slipped on debris at the top of the stairs and, due to a poorly constructed handrail, he was unable to grasp the handrail to prevent his fall. He relied on three provisions of the Administrative Code of the City of New York as predicates for his section 205-a claim, namely, sections 27-127, 27-128 and 27-375 (f). The first two are general provisions that require that “[a]ll buildings and all parts thereof . . . be maintained in a safe condition,” that “[a]ll service equipment, . . . devices, and safeguards that are required in a building . . . be maintained in good working order” and that “[t]he owner shall be responsible at all times for the safe maintenance of the building and its facilities.”* Section 27-375, entitled “Interior stairs,” mandates, among other things, that interior stair “[h]andrails shall provide a finger clearance of one and one-half inches” (Administrative Code § 27-375 [f]).

Two experts testified for the plaintiff that the handrail violated section 27-375 (f) and was therefore unsafe. After the parties rested, the City argued at the charge conference that section 27-375 (f) was inapplicable because the stairs constituted “access stairs” pursuant to Administrative Code § 27-232, as opposed to “interior stairs” which must provide egress to the outside. Supreme Court held as a matter of law that the stairs constituted “interior stairs” and prohibited the City from arguing the inapplicability of section 27-375 (f) during summation. Plaintiff’s counsel, on the other hand, argued to the jury that the City violated section 27-375 (f)’s height and clearance requirements, and Supreme Court issued a jury charge relative to sections 27-127, 27-128 and 27-375 (f).

In response to separate interrogatories, the jury found that the City violated Administrative Code §§ 27-127 and 27-375 (f); the court did not submit an interrogatory relative to section 27-128. Following a separate damages trial, the City moved to set aside the verdict. As to the liability portion of the motion, the

* Both Administrative Code §§ 27-127 and 27-128 were repealed effective July 1, 2008 and replaced by section 28-301.1.

City reiterated its argument that section 27-375 (f) was inapplicable because the stairs at issue constituted “access stairs,” not “interior stairs.” It further argued that the jury’s finding of liability under section 27-127 was unsustainable because the evidentiary basis for the jury’s finding was the City’s noncompliance with the inapplicable section 27-375 (f). Supreme Court denied the motion, holding that the City should have pleaded as an “affirmative defense” the inapplicability of section 27-375 (f) (2006 NY Slip Op 30626[U], *3 [2006]).

The Appellate Division, with one Justice dissenting, modified the jury’s damages award to the extent of ordering plaintiff to stipulate to a reduction thereof or face a new trial on that issue (63 AD3d 5, 12 [2d Dept 2009]). It unanimously held, however, that section 27-375 (f) did not apply to the underlying facts because the stairs did not constitute “interior stairs” as defined by the Administrative Code, and that Supreme Court improperly shifted the burden to the City of demonstrating the inapplicability of section 27-375 (f) (*id.* at 8-9, 14). However, the majority and the dissent parted company as to whether plaintiff presented sufficient evidence independent of the section 27-375 (f) violation to establish that the City violated sections 27-127 and 27-128, with the majority concluding that he had (*see id.* at 9-10), and the dissent arguing that those sections did not provide a sufficient predicate for liability under General Municipal Law § 205-a (*see id.* at 17).

[1] The Appellate Division properly concluded that section 27-325 (f) is inapplicable. That code provision applies to “interior stairs,” which are defined as “stair[s] within a building, that serve[] as a required exit” (Administrative Code § 27-232). By all accounts, the stairs from where plaintiff fell did not serve as an “exit” as defined by the Administrative Code (*see id.*), but rather as a means of walking from the first floor to the basement. Therefore, Supreme Court erred in denying the City’s motion to dismiss the section 205-a claim to the extent it was premised on the City’s alleged violation of section 27-375 (f).

[2] The effects of this error are not limited to the claim based on that provision, however, because it cannot be assumed that the jury viewed plaintiffs’ experts’ handrail testimony in a vacuum. Both experts testified that the handrail clearance requirements were governed by section 27-375 (f) and that the City violated those requirements. Further conflating the distinction among the Administrative Code sections was testimony that the City violated sections 27-127 and 27-128 *because* it violated

section 27-375 (f). Supreme Court's erroneous submission of section 27-375 (f) to the jury, coupled with the expert testimony, renders it impossible to discern the basis of the jury's verdict.

[3] We decline the City's invitation to address the issue of whether sections 27-127 and 27-128 form a sufficient independent predicate to support a General Municipal Law § 205-a claim. There is no record evidence that the City contested plaintiffs' argument that those sections provided an independent predicate, as the record indicates that the City objected to the applicability of those sections only to the extent that they were interwoven with section 27-375 (f).

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge LIPPMAN (concurring). I agree with the majority that the trial was tainted by testimony regarding New York City Administrative Code § 27-375, and therefore, a new trial is necessary to determine whether plaintiff is entitled to recovery under General Municipal Law § 205-a. Nonetheless, I disagree with the assertion that defendant-appellant City of New York did not preserve the argument that New York City Administrative Code § 27-127 is an insufficient independent predicate for section 205-a liability. The argument was made at the charge conference of the liability trial and again on the motion to set aside the verdict. Accordingly, I believe we are obliged to reach this question on the merits.

For a claim brought under General Municipal Law § 205-a to survive, a plaintiff must demonstrate a line-of-duty injury, which “occurs *directly or indirectly* as a result of any neglect, omission, willful or culpable negligence of any person or persons in failing to comply with the requirements of *any* of the statutes, ordinances, rules, orders and requirements of the federal, state, county, village, town or city governments” (General Municipal Law § 205-a [1] [emphasis added]). Section 205-a liability therefore does not stand alone but must be predicated on a violation of a separate legal requirement.

The language “directly or indirectly” in section 205-a (1) has been accorded broad application by the courts, “in light of the clear legislative intent to offer firefighters greater protections” (*Giuffrida v Citibank Corp.*, 100 NY2d 72, 80 [2003]). Still, we have established some clear limits on the possible predicates for

section 205-a recovery. As we explained in *Williams v City of New York* (2 NY3d 352, 364 [2004]):

“[A]s a prerequisite to recovery, a [plaintiff] must demonstrate injury resulting from *negligent non-compliance with a requirement found in a well-developed body of law and regulation that imposes clear duties*. At the same time, a series of amendments . . . teaches us that we should apply this provision *expansively* so as to favor recovery . . . whenever possible” (emphasis added; internal quotation marks and citations omitted).*

At issue here is whether section 27-127 of the Administrative Code is part of a sufficiently “well-developed body of law” that imposes clear duties on a building owner, such that noncompliance with this code section may be the basis for section 205-a recovery. Section 27-127 provides:

“All buildings and all parts thereof shall be maintained in a safe condition. All service equipment, means of egress, devices, and safeguards that are required in a building by the provisions of this code or other applicable laws or regulations, or that were required by law when the building was erected, altered, or repaired, shall be maintained in good working order.”

In concluding that section 27-127 is a proper statutory predicate for plaintiff’s section 205-a recovery here, the Second Department properly relied on ample Appellate Division case law (see *Terranova v New York City Tr. Auth.*, 49 AD3d 10, 17 [2d Dept 2007], *lv denied* 11 NY3d 708 [2008]; see also *Pirraglia v CCC Realty NY Corp.*, 35 AD3d 234, 235 [1st Dept 2006]; *Lynch v City of New York*, 14 AD3d 347, 348-349 [1st Dept 2005]; *Kelly v City of New York*, 6 AD3d 188 [1st Dept 2004]). Further, although this Court has not had a case granting section 205-a recovery through section 27-127, the writings in some of our foundational section 205-a and section 205-e cases assume that such recovery is possible (see *Giuffrida*, 100 NY2d at 79 n 4; see also *Williams*, 2 NY3d at 368 [rejecting plaintiff’s General Municipal Law § 205-e recovery predicated on section 27-127 because plaintiff did not allege concretely that the building was

* *Williams* involved General Municipal Law § 205-e—the counterpart to section 205-a that applies to police officers. The two statutes have been interpreted interchangeably.

maintained in an unsafe manner, not because section 27-127 was an insufficient predicate for recovery)).

Moreover, we have stated before that the series of legislative amendments in response to narrow Appellate Division decisions have led us to “apply this provision [i.e., section 205-a] expansively so as to favor recovery by [firefighters] whenever possible” (*Williams*, 2 NY3d at 364 [internal quotation marks omitted]). The arguments against basing section 205-a recovery on a section 27-127 violation ignore the legislative intent of broad protection of firefighters and also our statement in *Giuffrida* that “a plaintiff need only establish a ‘practical or reasonable connection’ between the statutory or regulatory violation and the claimed injury” (*Giuffrida*, 100 NY2d at 81, quoting *Mullen v Zoebe, Inc.*, 86 NY2d 135, 140 [1995]).

Still, the Appellate Division dissent insists that section 27-127 does not impose clear duties or particular mandates that are parts of well-developed bodies of law and regulation, simply because the “safe maintenance” language of section 27-127 does not specifically address handrails or finger clearance in stairwells. It is not contested that a violation of section 27-127 is usually found where a “specific structural or design defect” exists in the building (*see Beck v Woodward Affiliates*, 226 AD2d 328, 330 [2d Dept 1996]; *see also Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559, 566 [1987] [property owner had “both a general responsibility for safe maintenance of the building and its facilities and specific obligations pertaining to minimum handrail clearance” (citations omitted)]).

However, no additional statute is necessary to permit a conclusion in the present case that “two pieces of wood nailed to each other and nailed to the wall” (63 AD3d 5, 10 [2d Dept 2009] [internal quotation marks omitted]), passing for a handrail, constitutes a specific design defect. Instead, a violation of section 27-127 may be proved to a jury with evidence such as Fire Code specifications, architectural standards, and other “industry-wide standards or accepted practices in the field” (*Burke v Canyon Rd. Rest.*, 60 AD3d 558, 559 [1st Dept 2009]; *see also Jones v City of New York*, 32 AD3d 706, 706-707 [1st Dept 2006] [requiring evidence of a “particular professional or industry standard” to substantiate assertions about the alleged safety practice of anchoring garbage receptacles to sidewalks]).

If this Court were to accept the assertion that plaintiff could not recover in the absence of a statute specifically concerned

with the space between a handrail and a wall, the purpose of section 27-127 would be eviscerated. As the Second Department perceptively notes, if this view of section 27-127 were to prevail, the code section would be “render[ed] . . . inapplicable to all but the most commonplace conditions” (63 AD3d at 10). A trial court would be unable to rule on the existence of a hazardous condition that any casual observer could discern and unanimous expert testimony could confirm, unless an additional statute dictated the precise geometric dimensions of all features of a safe stairwell.

In conclusion, a rejection of section 27-127 as a predicate for plaintiff firefighter’s recovery is at odds with the Legislature’s intent in the revision of section 205-a: to expand the avenues of recovery for injuries in the line of duty. I would therefore confirm that section 27-127 may indeed constitute a proper, independent predicate for section 205-a recovery.

Judges GRAFFEO, READ, SMITH and JONES concur with Judge FIGOTT; Chief Judge LIPPMAN concurs in result in a separate opinion in which Judge CIPARICK concurs.

Order reversed, etc.

[937 NE2d 528, 910 NYS2d 771]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANA
R. BRADFORD, Appellant.

Argued September 15, 2010; decided October 19, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 24, 2009. The Appellate Division modified, as a matter of discretion in the interest of justice and on the law, a judgment of the Monroe County Court (Richard A. Keenan, J.), which had convicted defendant, upon a jury verdict, of rape in the third degree (four counts) and endangering the welfare of a child (six counts). The modification consisted of amending orders of protection that had been issued and remitting the matter to Monroe County Court to determine the jail time credit to which defendant was entitled and to specify in each order of protection an expiration date in accordance with CPL 530.13 (former [4]). The Appellate Division affirmed the judgment as modified.

People v Bradford, 61 AD3d 1419, affirmed.

HEADNOTE

Crimes — Confession — Attenuation Doctrine

In a prosecution for rape and related charges, the exclusionary rule did not require the suppression of the defendant's confession because there was a basis in the record for the Appellate Division's determination that the confession was sufficiently attenuated from defendant's initial detention by the police. After defendant was initially detained and given *Miranda* warnings, he waived his *Miranda* rights and offered to talk to the police, but interrogation did not begin until some 2½ hours later. In the interim, the police secured statements from the two teenaged victims, which clearly established probable cause for defendant's arrest. Because those statements were obtained independently of defendant's detention, they were not subject to suppression. The fact that defendant gave a confession after being confronted with the statements constituted a significant attenuating factor that reasonably could be deemed a precipitating cause of his admissions. In addition, there was no demonstrable proof in the record that the initial detention of defendant was motivated by bad faith or a nefarious police purpose. The police had a fair basis for approaching and detaining defendant since they knew that he was a registered sex offender in the company of the two victims, who had been reported as missing by their mother; that they were at defendant's apartment complex; and that defendant's car had been observed in close proximity to the girls' residence on the last occasion that they had been seen.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 914; AM JUR 2d, Evidence §§ 600, 643, 651.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination § 176:100; CARMODY-WAIT 2d, Particular Types of Evidence § 194:285.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.1, 6.2, 10.1, 10.3.

NY JUR 2d, Criminal Law: Procedure §§ 570, 627, 1618.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Exclusion and Suppression of Evidence; Miranda Warnings.

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Query: confession /s miranda & attenuation /s question issue

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Kimberly F. Duguay of counsel), for appellant. The Appellate Division misapplied the law of attenuation when: (1) it failed to consider the factors of attenuation in light of the investigatory purpose for the illegal arrest; and (2) it required the presence of egregious police misconduct for application of the exclusionary rule. (*People v Morales*, 42 NY2d 129; *People v Bigelow*, 66 NY2d 417; *People v Borges*, 69 NY2d 1031; *People v Centano*, 76 NY2d 837; *People v Hicks*, 68 NY2d 234; *People v Yukl*, 25 NY2d 585; *People v Ryan*, 12 NY3d 28; *People v Battaglia*, 82 AD2d 389, 56 NY2d 558; *People v Brnja*, 50 NY2d 366; *Brown v Illinois*, 422 US 590.)

Michael C. Green, District Attorney, Rochester (Geoffrey Kaeuper of counsel), for respondent. The Appellate Division applied the correct legal standard for attenuation and its determination had record support. (*People v Rogers*, 52 NY2d 527, 454 US 898; *United States v Crews*, 445 US 463; *Silverthorne Lumber Co. v United States*, 251 US 385; *People v Russell*, 269 AD2d 771; *People v Boodle*, 47 NY2d 398, 444 US 969; *People v Martinez*, 37 NY2d 662; *People v Stith*, 69 NY2d 313; *People v Jones*, 2 NY3d 235; *People v Burr*, 70 NY2d 354, 485 US 989; *People v Conyers*, 68 NY2d 982.)

OPINION OF THE COURT

GRAFFEO, J.

This appeal requires us to consider whether there is record support for the Appellate Division’s conclusion that the exclusionary rule does not require the suppression of defendant’s confession. Because there is a basis in the record for the Appellate Division’s determination that the confession was sufficiently attenuated from defendant’s initial detention by the police, we affirm.

In November 2003, defendant began a relationship with a young woman he met on a telephone “chat line.” He was a 37-year-old registered sex offender; she was a 16 year old who had been adjudicated a “person in need of supervision” under article 7 of the Family Court Act.* In order to visit with Jane, defendant would pick her up near her mother’s house in Ontario County, drive her to his apartment in Monroe County (a 30 to 45 minute trip each way) and then return her home later in the day. During these visits, defendant usually supplied Jane with alcoholic beverages and he engaged in sexual intercourse with her on several occasions.

Defendant and Jane eventually made plans to celebrate New Year’s Eve. On the afternoon of December 31, 2003, Jane and her 15-year-old sister (also adjudicated a “person in need of supervision”) were preparing to leave their house when their mother’s boyfriend overheard Jane on the telephone telling someone that she was going out in 10 minutes. When the mother’s boyfriend left for work shortly thereafter, he noticed a grey Mitsubishi parked around the corner from the house, with a man in the driver’s seat speaking on a cell phone. Because he did not recognize the car or the driver, he jotted down the vehicle’s license plate number before continuing to his workplace.

At around 5:00 P.M. that evening, Jane’s mother left her job, went food shopping and then drove to her boyfriend’s place of employment to bring him dinner. He told her what he had observed earlier that day and provided her with the vehicle’s license plate number. On her way home, she decided to stop at the State Police barracks to give them information about her daughters and the vehicle that her boyfriend had observed. Supplied with this information, the trooper undertook a search of

* Because the girl’s identity must remain confidential (*see* Civil Rights Law § 50-b), in this opinion we refer to her as “Jane.”

vehicle registration records and learned that the grey Mitsubishi belonged to defendant. The computer search also revealed defendant's status as a registered sex offender and his home address in Rochester.

When Jane's mother arrived home at approximately 9:30 P.M., she discovered that neither girl was present, despite their 8:30 P.M. curfew. She telephoned the trooper that she had spoken to earlier and he issued a "file 6" bulletin, which notified police agencies to be on the lookout for two young women suspected as runaways. A short time later, a trooper patrolling in the vicinity of defendant's residence received a police radio transmission directing him to defendant's address, where he located the grey Mitsubishi with the identified license plate in the parking lot. The trooper saw defendant exiting the apartment building with two females who matched the description of Jane and her sister. As defendant walked to the parking lot, he noticed the State Police vehicle and changed direction. The trooper immediately approached defendant, confirmed his name, handcuffed him and placed him in the police vehicle. After conferring with Jane and her sister, the trooper called for another police car to transport the girls.

Upon arriving at the State Police barracks at about 11:00 P.M., defendant was taken to a room and issued *Miranda* warnings. He indicated that he was willing to speak to the trooper but the officer did not engage in further conversation at that point. Jane and her sister were placed in a different room and interviewed. Jane told the police that defendant was her boyfriend and that they had engaged in sexual intercourse on a number of occasions at his apartment. Her sister provided some corroborating information and both young women acknowledged that defendant had supplied them with alcohol.

Defendant was confronted with these statements at approximately 1:00 A.M. He then admitted to the police that he gave Jane alcohol and had intercourse with her once, though he claimed that Jane had represented that she was 17 years old. Defendant eventually revised his story, admitting that he had sex with Jane three times and that both girls had consumed alcohol in his presence. After an investigator prepared his typewritten confession, defendant again waived his *Miranda* rights and signed the document shortly before 4:00 A.M.

As a result of the admissions he provided and the statements of the sisters, defendant was charged with multiple counts of

rape in the third degree (*see* Penal Law § 130.25 [2]) and endangering the welfare of a child (*see* Penal Law § 260.10 [1]). Defendant moved to suppress his statements to the police, claiming that his arrest in the parking lot of his apartment building lacked probable cause. County Court denied the motion, concluding that it was proper to detain defendant to conduct a preliminary investigation and that the statements from Jane and her sister justified the arrest. Following a jury trial, defendant was convicted of four counts of statutory rape in the third degree and six counts of endangering the welfare of a child. Defendant was sentenced as a second felony offender to an aggregate 4½-to-9-year term of imprisonment and orders of protection were issued relating to Jane and her sister.

The Appellate Division modified by amending the length of time that the orders of protection would remain in force, but otherwise affirmed (61 AD3d 1419 [4th Dept 2009]). The court determined that defendant had been arrested without probable cause, but that his inculpatory statements were admissible because they were sufficiently attenuated from the arrest. A Judge of this Court granted leave to appeal (13 NY3d 794 [2009]).

Evidence that is obtained through illegal police action is not automatically subject to the exclusionary rule (*see e.g. People v Jones*, 2 NY3d 235, 241-242 [2004]; *People v Young*, 55 NY2d 419, 425 [1982], *cert denied* 459 US 848 [1982]). For example, a confession that is made after an arrest without probable cause is not subject to suppression if the People adequately demonstrate that the inculpatory admission was “attenuated” from the improper detention; in other words, it was “acquired by means sufficiently distinguishable from the arrest to be purged of the illegality” (*People v Conyers*, 68 NY2d 982, 983 [1986]). The attenuation doctrine requires a court to consider “the temporal proximity of the arrest and the confession, the presence of intervening circumstances and, particularly, the purpose and flagrancy of the official misconduct” (*id.*; *see Brown v Illinois*, 422 US 590, 603-604 [1975]). Because application of the attenuation doctrine is a mixed question of law and fact (*see e.g. People v Ryan*, 12 NY3d 28, 31 [2009]; *People v Divine*, 6 NY3d 790, 791 [2006]), our review is limited and the determination of the Appellate Division may be disturbed only if there is no evidence in the record to support it (*see People v Paulman*, 5 NY3d 122, 129 [2005]).

We hold that the proof in this case is sufficient to support the finding of attenuation. After defendant was initially detained

around 10:30 P.M., he was taken to a police barracks and given *Miranda* warnings about 30 minutes later (see *People v Conyers*, 68 NY2d at 983 [post-arrest *Miranda* warnings are an “important” attenuation factor]; *Brown v Illinois*, 422 US at 603). Defendant proceeded to waive his *Miranda* rights and offered to talk to the police. But he was not questioned at that time; rather, his interrogation did not begin until 1:00 A.M.—about 2½ hours after defendant was first handcuffed (see generally *People v Rogers*, 52 NY2d 527, 532 [1981] [three hours], *cert denied* 454 US 898 [1981]).

In the interim, the police secured statements from Jane and her younger sister, which clearly established probable cause for defendant’s arrest. Because those statements were obtained independent of defendant’s detention, they were not subject to suppression. The fact that defendant gave a confession after being confronted with the statements constitutes a “significant attenuating factor” that reasonably could be deemed a “precipitating cause” of his admissions (*id.* at 534). Defendant was also not subjected to any pre-*Miranda* interrogation, nor was he mistreated while in police custody (see *id.*). Thus, it was reasonable for the Appellate Division to conclude that defendant’s confession was the product of the independently obtained statements from Jane and her sister, along with his willingness to speak to the police—not the result of the initial detention in the parking lot.

In addition, there is no demonstrable proof in the record that the initial detention of defendant was motivated by bad faith or a nefarious police purpose (see e.g. *People v Borges*, 69 NY2d 1031, 1033 [1987]; *People v Boodle*, 47 NY2d 398, 404 [1979], *cert denied* 444 US 969 [1979]; *People v Martinez*, 37 NY2d 662, 670 [1975]). Although the Appellate Division decided that probable cause was lacking when defendant was apprehended—an issue we do not reach—the trooper nevertheless had a “fair basis” (*People v Martinez*, 37 NY2d at 671) for approaching and detaining defendant: he knew that defendant was a registered sex offender in the company of two teenage girls who had been reported as missing by their mother; that they were at defendant’s apartment complex at approximately 10:30 P.M.; and that defendant’s car had been observed in close proximity to the girls’ residence on the last occasion that they had been seen. While reasonable minds may differ as to the precise level of objective suspicion that was present at that moment and whether the actual extent of police interference was justified,

the trooper undoubtedly had a good faith basis for the intervention. Simply put, this is not the type of situation that the exclusionary rule's deterrence principle was designed to address.

In sum, there is record support for the Appellate Division's application of the attenuation doctrine in this case and we therefore lack the power to disturb its determination.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[938 NE2d 917, 912 NYS2d 484]

RONALD GERACI, Respondent, v THOMAS PROBST, Individually
and Doing Business as HENDRICKSON TRUCK CENTER, et al.,
Appellants.

Argued September 13, 2010; decided October 14, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 14, 2009. The Appellate Division affirmed so much of a judgment of the Supreme Court, Nassau County (Joseph A. DeMaro, J.) as had awarded plaintiff the principal sums of \$750,000 in compensatory damages against defendants jointly and severally and \$50,000 in punitive damages against defendant Thomas Probst individually. The judgment was entered upon a jury verdict in favor of plaintiff awarding plaintiff the principal sums of \$2,450,000 in compensatory damages against defendants jointly and severally and \$500,000 in punitive damages against defendant Thomas Probst individually; an order of that Supreme Court granting defendant's motion for a new trial to the extent of ordering a new trial on the issue of damages only unless plaintiff consented to a reduced award of the principal sums of \$750,000 in compensatory damages against defendants jointly and severally and \$50,000 in punitive damages against defendant Thomas Probst individually; and plaintiff's consent to so reduce the verdict as to damages.

Geraci v Probst, 61 AD3d 717, modified.

HEADNOTES

Appeal — Preservation of Issue for Review — Issue Preserved by Parties' Discussion of Issue with Court

1. In a libel action, defendants' argument that the trial court erred when it admitted into evidence a newspaper article which republished the individual defendant's allegedly defamatory statement about plaintiff municipal officer was preserved for appellate review. The parties discussed the issue with the court on more than one occasion and, although defendants did not expressly frame their argument in terms of republication, plaintiff did, and the issue was placed squarely before the court. The arguments were sufficient to alert the court to the relevant question and sufficiently preserved the legal issue for appellate review.

Libel and Slander — Publication — Republication of Allegedly Defamatory Statement — Republication Made without Defendant's Knowledge or Participation Not Admissible

2. In a libel action to recover for damages incurred by plaintiff fire district commissioner as a result of an allegedly defamatory statement made by the

individual defendant, plaintiff's former business partner, in a letter defendant wrote to the board of fire commissioners, the trial court's admission into evidence of a newspaper article in which defendant's allegedly defamatory statement was republished constituted error warranting a new trial as to damages only. Plaintiff failed to demonstrate that defendant had any connection whatsoever with the newspaper article, which was published more than three years after defendant wrote his letter falsely accusing plaintiff of having shared in a commission from the sale of a rescue vehicle to the fire district. There was no evidence that defendant contacted anyone at the newspaper in order to induce them to print his allegations or that anyone at the newspaper contacted defendant regarding the story. Nor was there any indication that defendant had any control over whether or not the newspaper published the article. Absent a showing that defendant approved or participated in some other manner in the activities of the newspaper, there was no basis for allowing the jury to consider the article as a measure of plaintiff's damages attributable to defendants.

Libel and Slander — Publication — Republication of Allegedly Defamatory Statement — Liability of Originator of Statement

3. Defendants were not liable for the damages caused by a newspaper article which republished the individual defendant's allegedly defamatory statement accusing plaintiff fire district commissioner of misconduct, as defendant had no knowledge of and played no role in the republication or its implementation. Even if the foreseeability standard were applied, under which the originator of a defamatory statement may be liable for a republication if he or she had reason to expect that the defamatory statement would be repeated, defendant had no reason to expect that his allegedly defamatory statement would be republished. He never made any statements to the newspaper's reporters, and he did not widely disseminate his allegations concerning plaintiff.

Libel and Slander — Libel Per Se — Statement Charging Municipal Officer with Illegally Profiting from His or Her Office

4. In a libel action, the trial court properly instructed the jury that defendant's statement falsely accusing plaintiff fire district commissioner of having shared in a commission from the sale of a rescue vehicle to the fire district was defamatory per se. Damages are presumed for statements that charge a person with committing a serious crime or that would tend to cause injury to a person's profession or business. Here, defendant's statement alleged that plaintiff committed acts constituting a misdemeanor in violation of the General Municipal Law (*see* General Municipal Law § 801 [1]; § 805), and could likewise be considered an allegation that would damage plaintiff's professional reputation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 703, 759; AM JUR 2d, Libel and Slander §§ 241, 244, 493, 494.
CARMODY-WAIT 2d, Appeals in General § 70:327; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:112.
McKINNEY's, General Municipal Law § 801 (1); § 805.
NY JUR 2d, Appellate Review §§ 601–604, 848, 852; NY JUR 2d, Defamation and Privacy §§ 4, 85, 86, 91, 242, 247.
PROSSER AND KEETON, TORTS (5th ed) §§ 111–113.

SIEGEL, NY PRAC § 543.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Instructions to Jury; Libel and Slander; New Trial.

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POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Evan H. Krinick* and *Harris J. Zakarin* of counsel), for appellants. I. Admission into evidence of the Newsday article constituted reversible error warranting a new trial. (*Persky v Bank of Am. N.A.*, 261 NY 212; *Board of Mgrs. of 195 Hudson St. Condominium v 195 Hudson St. Assoc., LLC*, 63 AD3d 523; *Firth v State of New York*, 98 NY2d 365; *Rinaldi v Viking Penguin*, 52 NY2d 422; *Schoepflin v Coffey*, 162 NY 12; *Macy v New York World-Tel. Corp.*, 2 NY2d 416; *Karaduman v Newsday, Inc.*, 51 NY2d 531; *Khan v New York Times Co.*, 269 AD2d 74; *Jee v New York Post Co.*, 176 Misc 2d 253, 260 AD2d 215, 93 NY2d 817; *Hoffman v Landers*, 146 AD2d 744.) II. Supreme Court improperly determined, as a matter of law, that the June 4, 2002 letter was defamatory per se, thereby removing that ultimate determination from the jury. (*Lieberman v Gelstein*, 80 NY2d 429.) III. Numerous other evidentiary errors, considered either singularly or cumulatively, constitute reversible error, thereby warranting a new trial. (*Macy v New York World-Tel. Corp.*, 2 NY2d 416; *Hill v Hayes*, 18 AD2d 485, 15 NY2d 986; *Reed v State of New York*, 78 NY2d 1; *Nucci v Proper*, 95 NY2d 597; *People v Romero*, 78 NY2d 355; *Neils v Darmochwal*, 6 AD3d 589; *Mazurek v Home Depot U.S.A.*, 303 AD2d 960; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiteria Assoc.]*, 5 NY3d 514; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Brill v City of New York*, 2 NY3d 648.)

Hopkins & Kopilow, Garden City (*Michael T. Hopkins*, *Nicholas F. Miraglia* and *William Geraci* of counsel), for respondent. I. Defendant is liable for article-related damage. (*Garrison v Sun Print. & Publ. Assn.*, 207 NY 1; *Jones v State of New York*, 96 AD2d 105; *Karaduman v Newsday, Inc.*, 51 NY2d 531; *Macy v New York World-Tel. Corp.*, 2 NY2d 416; *Schoepflin v Coffey*, 162 NY 12; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235;

Armstrong v Simon & Schuster, 85 NY2d 373; *Firth v State of New York*, 98 NY2d 365; *Hoffman v Landers*, 146 AD2d 744; *Jee v New York Post Co.*, 176 Misc 2d 253.) II. Defendant did not preserve the “republishing liability cutoff” argument he has pursued on appeal. (*Karaduman v Newsday, Inc.*, 51 NY2d 531; *Macy v New York World-Tel. Corp.*, 2 NY2d 416; *Schoepflin v Coffey*, 162 NY 12; *Bassell v Elmore*, 48 NY 561; *Bloodgood v Lynch*, 293 NY 308; *People v Kozlowski*, 11 NY3d 223; *Martin v City of Cohoes*, 37 NY2d 162.) III. Defendant’s statement “Mr. Geraci shared in that commission” is matter of law defamatory per se. (*Liberman v Gelstein*, 80 NY2d 429; *Garrison v Louisiana*, 379 US 64; *Matovcik v Times Beacon Record Newspapers*, 46 AD3d 636; *Kotowski v Hadley*, 38 AD3d 499; *Gjonlekaj v Sot*, 308 AD2d 471; *Wasserman v Haller*, 216 AD2d 289; *Gatz v Otis Ford*, 262 AD2d 280; *Four Star Stage Light. v Merrick*, 56 AD2d 767; *Moore v Francis*, 121 NY 199; *Crane v New York World Tel. Corp.*, 308 NY 470.) IV. The contemplated curative charge “cured” an “ill” related only to falsity, a fact established as a matter of law, obviating need for a charge. (*Macy v New York World-Tel. Corp.*, 2 NY2d 416.) V. The record includes evidence sufficient to render letter-investigation causation a jury-submissible question of fact. (*Garrison v Sun Print. & Publ. Assn.*, 207 NY 1; *Cohen v Hallmark Cards*, 45 NY2d 493; *Dominguez v Manhattan & Bronx Surface Tr. Operating Auth.*, 46 NY2d 528; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Macy v New York World-Tel. Corp.*, 2 NY2d 416; *Spett v President Monroe Bldg. & Mfg. Corp.*, 19 NY2d 203.) VI. Andrew Buglione’s testimony regarding out-of-court statements is—regardless of those statements’ truth—relevant proof of damage to plaintiff’s reputation, and was used only for this nonhearsay purpose. (*People v Yazum*, 13 NY2d 302; *People v Caviness*, 38 NY2d 227.) VII. The court was within its discretion to allow testimony from a witness disclosed, with no apparent prejudice, 74 days before trial. (*Diamantstein v Friedman*, 199 AD2d 458; *Overeem v Neuhoff*, 254 AD2d 398; *Stark v Semeran*, 244 AD2d 894; *Beck v Albany Med. Ctr. Hosp.*, 191 AD2d 854; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiterria Assoc.]*, 5 NY3d 514; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Brill v City of New York*, 2 NY3d 648; *Neils v Darmochwal*, 6 AD3d 589; *Mazurek v Home Depot U.S.A.*, 303 AD2d 960; *Delaney v Philhern Realty Holding Corp.*, 280 NY 461.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by this libel action is whether it was error to admit into evidence a republication of defendant Thomas Probst's defamatory statement, made years later without his knowledge or participation. We find that it was error and we therefore modify to vacate the damage award.

Plaintiff Geraci and defendant Probst¹ are former business associates who had been partners in an enterprise engaged in selling fire trucks to fire districts on Long Island. Geraci was also a commissioner of the Syosset Fire District. In March 2002, after the business relationship soured, Geraci sent a letter to the Board of Fire Commissioners stating, among other things, that he "ha[d] not nor [would he] ever profit from any sales related to the Syosset Fire District."

In response, Probst wrote a letter to the Board of Fire Commissioners disputing Geraci's representation. Probst wrote that "[t]o be charitable," plaintiff's statement was "inaccurate." Probst stated that he was including a commission statement from the manufacturer showing that their business had received a commission from the sale of a Syosset rescue vehicle. Probst further represented that "Mr. Geraci shared in that commission." It is undisputed that the accusation that Geraci had received any commission relating to sales of Syosset vehicles was false.

Plaintiff commenced this defamation action in March 2003 to recover for damages incurred as a result of Probst's statement. During the trial, plaintiff sought to introduce into evidence portions of an article that had appeared in *Newsday* on November 19, 2005—more than 2½ years after plaintiff brought suit and more than three years after Probst wrote his letter. The article, as redacted, stated that the Nassau County District Attorney's office was investigating certain transactions involving the sale of fire apparatus to the Syosset Fire District and that a former business partner had alleged that one of the deals "included a hidden commission for Geraci, even though he had told his fellow commissioners that he'd make nothing from it." The article further stated that "an estranged business partner" had alleged that Geraci had taken a \$16,000 commission on one of the truck

1. Plaintiff brought suit against Thomas Probst, individually and doing business as Hendrickson Truck Center, Hendrickson Enterprises, Inc., Hendrickson Transport, Inc., and Hendrickson Truck Parts, Inc.

sales and that, although Geraci denied same, a senior official with the truck manufacturer confirmed that the price of the truck included a \$16,000 commission. A large color photograph of Geraci also appeared with the article.

When the parties first discussed the issue of whether the article should be admitted, defense counsel noted the long delay between Probst's letter and the *Newsday* article and argued that Probst had nothing to do with the article—he had not contacted *Newsday* and was not interviewed for the article—and that it would be inflammatory and prejudicial to his client. The court reserved decision, but indicated that it was “not crazy about some further investigative report down the road apiece.” When the parties subsequently revisited the issue, plaintiff's counsel argued that the article was not being offered as a republication, but on the issue of damages to show how far the allegations had circulated. Plaintiff's counsel also argued that, even if it could be considered republication, Probst would still be responsible for it because he should have reasonably anticipated that it would be newsworthy. Defense counsel repeated his earlier arguments and noted that plaintiff could have sued *Newsday* directly. The court ultimately admitted the article.

The court instructed the jury that Probst's statement was defamatory per se because it alleged that plaintiff had committed a crime—a violation of the General Municipal Law related to the exercise of his public office—and that the statement was false. The sole question left for the jury on the issue of liability was whether plaintiff had proven by clear and convincing evidence that Probst made the statement with actual malice.²

The jury found in plaintiff's favor and awarded him \$2,950,000 in present and future damages, including \$500,000 in punitive damages. Supreme Court granted defendants' motion to set aside the jury verdict, finding it excessive, and granted defendants a new trial unless plaintiff consented to a reduced award of \$800,000, including \$50,000 in punitive damages. Plaintiff consented to the reduced award and both parties appealed.

2. The jury answered the following interrogatory in the affirmative: “Did the plaintiff, Ronald Geraci, prove by clear and convincing evidence that when defendant, Thomas Probst, made the statement the defendant knew the statement was false? or the defendant had serious doubts as to the truth of the statement? or the defendant made the statement with a high degree of awareness that the statement was probably false?”

The Appellate Division affirmed the judgment and dismissed plaintiff's cross appeal for lack of aggrievement (61 AD3d 717 [2d Dept 2009]). The Court found defendants' argument that the trial court erred by allowing evidence of the republication of Probst's defamatory statements in the Newsday article unpreserved for review. The Court also rejected defendants' remaining arguments, including the argument that Supreme Court erred by instructing the jury that Probst's statement was defamatory per se. This Court granted defendants leave to appeal (13 NY3d 709 [2009]) and we now modify.

[1] As a threshold matter, we disagree with the Appellate Division that defendants' republication argument is unpreserved for review. As noted above, the parties discussed the issue with the court on more than one occasion and, although defendants did not expressly frame their argument in terms of republication, plaintiff did, and the issue was placed squarely before the court. The arguments were sufficient to alert Supreme Court to the relevant question and sufficiently preserved the legal issue for appellate review.

Our republication liability standard has been consistent for more than one hundred years.³

"It is too well settled to be now questioned that one who utters a slander, or prints and publishes a libel, is not responsible for its voluntary and unjustifiable repetition, without his authority or request, by others over whom he has no control and who thereby make themselves liable to the person injured, and that such repetition cannot be considered in law a necessary, natural and probable consequence of the original slander or libel" (*Schoepflin v Coffey*, 162 NY 12, 17 [1900]).

The rationale behind this rule is that each person who repeats the defamatory statement is responsible for the resulting damages (*see Schoepflin*, 162 NY at 18). The risk of admitting such evidence is that the jury may "charge against defendant a separate, distinct libel (not pleaded in [the] complaint) by someone else, contrary to the rule that '[t]he original publisher of a libel is not responsible for its subsequent publication by others' " (*Macy v New York World-Tel. Corp.*, 2 NY2d 416, 422 [1957]).

3. Notably, in a recent case involving the use of electronic media we stated that "[r]epublication . . . occurs upon a separate aggregate publication from the original, on a different occasion, which is not merely 'a delayed circulation of the original edition' " (*Firth v State of New York*, 98 NY2d 365, 371 [2002] [citation omitted]).

[2] Applying this standard, we find that the defendants are not responsible for any harm plaintiff may have suffered from the 2005 Newsday article and that the article should not have been admitted into evidence. Plaintiff failed to demonstrate that Probst had any connection whatsoever with the Newsday article. Notably, the article was published more than three years after Probst wrote the letter to the Board. There is no evidence that Probst contacted anyone at Newsday in order to induce them to print his allegations. Nor is there evidence that anyone at Newsday contacted Probst regarding the story. Finally, there is no indication that Probst had any control over whether or not Newsday published the article. “[A]bsent a showing that [defendant] approved or participated in some other manner in the activities of the third-party republisher” (*Karaduman v Newsday, Inc.*, 51 NY2d 531, 540 [1980]), there is no basis for allowing the jury to consider the article containing the republished statement as a measure of plaintiff’s damages attributable to defendants.

Plaintiff asserts that defendants should be liable for the damages caused by the Newsday article because republication was to be reasonably expected. Specifically, plaintiff argues that when allegations of this type of misconduct are made against a public official, it is reasonable as a matter of law to expect that those allegations will be newsworthy and that it would then be a matter for the factfinder as to whether it would be objectively reasonable to expect republication in the media under the facts of a particular case.

It is true that in dicta in *Karaduman* we left open the possibility that three reporters could have been held legally responsible for the republication of their article in book form “had plaintiff been able to demonstrate that they participated in the original publication with knowledge or a reasonable expectation that republication was likely” (51 NY2d at 541 n 2). This standard also appears in the Restatement (*see* Restatement [Second] of Torts § 576 [c] [“The publication of a libel or slander is a legal cause of any special harm resulting from its repetition by a third person if, but only if, . . . the repetition was reasonably to be expected”]).

[3] But the Restatement “foreseeability” standard is not nearly as broad as plaintiff or the dissent suggest. Comment *d* explains that a republication may be foreseeable “[i]f the defamation is repeated by a person to whom it is published” if the originator of the statement “had reason to expect that it would

be so repeated.” The obvious example is when a person makes a defamatory statement to a newspaper reporter who, in turn, repeats it in a newspaper article—the fact pattern in *Campo v Paar* (18 AD2d 364 [1st Dept 1963]), a case we cited in a footnote in *Karaduman*. The second example in comment *d* occurs when the originator of a statement “widely disseminated the defamation and thus intimated to those who heard it that he [or she] is not unwilling to have it known to a large number of people.” Neither of these circumstances is present here: Probst never made any statements to Newsday reporters (and Newsday apparently did not contact him before publishing the story), nor did Probst “widely disseminate” the allegations concerning plaintiff. Thus, even if we were to adopt the Restatement’s foreseeability standard, it would not lead us to the conclusion urged by plaintiff.

That we did not endorse such a broad standard of foreseeability in *Karaduman* is evident from our decision the following year in *Rinaldi v Viking Penguin* (52 NY2d 422 [1981]), where we held that the authors of a book published in hardcover form could not be held liable for republication when the book was reissued as a softcover a year later, even though the author’s rights in the event of such a republication had been addressed in the original publishing contract. We rested our decision—as we do today—on the fact that the authors “had no knowledge of and played no role in” the republication or its implementation (see *Rinaldi*, 52 NY2d at 435).

Defendants also argue that it was error for the trial court to instruct the jury that Probst’s statement was defamatory per se. Whether particular statements are considered defamatory per se is a question of law (see *Golub v Enquirer/Star Group*, 89 NY2d 1074, 1076 [1997]). “Generally, a written statement may be defamatory ‘if it tends to expose a person to hatred, contempt or aversion, or to induce an evil or unsavory opinion of him in the minds of a substantial number of the community’ ” (*Golub*, 89 NY2d at 1076, quoting *Mencher v Chesley*, 297 NY 94, 100 [1947]). Damages will likewise be presumed for statements that charge a person with committing a serious crime or that would tend to cause injury to a person’s profession or business (see *Lieberman v Gelstein*, 80 NY2d 429, 435 [1992]).

[4] Probst’s statement alleged that plaintiff committed acts constituting a misdemeanor in violation of the General Municipal Law (see General Municipal Law § 801 [1] [“no municipal officer or employee shall have an interest in any contract with

the municipality of which he is an officer or employee, when such officer or employee, individually or as a member of a board, has the power or duty to . . . negotiate, prepare, authorize or approve the contract or authorize or approve payment thereunder”]; § 805). The statement could likewise be considered an allegation that would damage plaintiff’s professional reputation. As such, there was no error in Supreme Court’s charge to the jury concerning defamation per se.

Defendants’ remaining arguments are without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting the matter to Supreme Court for a new trial as to damages only and, as so modified, affirmed.

SMITH, J. (dissenting). Under ordinary principles of tort law, Probst’s libel of plaintiff could be found by the jury to be a “legal cause” of the harm plaintiff suffered from the repetition of that libel in the *Newsday* article. The Restatement says: “The publication of a libel or slander is a legal cause of any special harm resulting from its repetition by a third person if . . . the repetition was reasonably to be expected” (Restatement [Second] of Torts § 576 [c]). We seemed to adopt the Restatement rule in *Karaduman v Newsday, Inc.* (51 NY2d 531, 541 n 2 [1980]), where we strongly implied that the original publishers of a libel could be “found legally responsible for the republication” if they had “participated in the original publication with . . . a reasonable expectation that republication was likely.” But today the majority rejects this rule in favor of one followed in two older cases, *Schoepflin v Coffey* (162 NY 12 [1900]) and *Macy v New York World-Tel. Corp.* (2 NY2d 416 [1957]): that one who defames another is not liable for repetition of the defamation without his consent by persons he does not control. The rule the majority adopts was devised for a different world of defamation law, and the justification for it has ceased to exist.

As the majority says, “[t]he rationale behind this rule is that each person who repeats the defamatory statement is responsible for the resulting damages” (majority op at 342, citing *Schoepflin*, 162 NY at 18). When *Schoepflin* and *Macy* were decided, that rationale made sense: then, one whose reputation was damaged by a newspaper story had a reasonable chance of recovering damages from the newspaper, even if the newspaper had innocently repeated an earlier slander or libel. That era ended, at

least for public-official plaintiffs like the one in this case, with *New York Times Co. v Sullivan* (376 US 254, 279-280 [1964]), which held that the First Amendment prohibits a public official from recovering damages for defamation related to his official conduct, unless he proves that the defamatory statement was made “with knowledge that it was false or with reckless disregard of whether it was false or not.” Under *Times v Sullivan*, plaintiff here never had a realistic hope of recovering from Newsday. The damage that plaintiff suffered from the dissemination of a false accusation of corruption to Newsday’s readers must either be paid by defendants or go uncompensated.

No post-*Times v Sullivan* case in our Court adopts the *Schoepflin/Macy* rule. *Rinaldi v Viking Penguin* (52 NY2d 422 [1981]), discussed by the majority (majority op at 344), is not an exception. The issue in *Rinaldi* was whether a republication was “sufficient to start the . . . Statute of Limitations running anew” (*id.* at 427). That is not the question we have here. I do not suggest that Newsday’s republication of Probst’s libel was a new tort that would start a new statute of limitations period; I do suggest that the republication was a reasonably foreseeable consequence of the original tort.

The accusation that Probst made against plaintiff is a serious one; a jury has found, on sufficient evidence, that he made it either knowing it to be false or with serious doubt of its truth; and there was sufficient evidence to support a finding that Newsday’s republication of it was reasonably to be expected. I see no good reason why the jury should not have been allowed to award damages based on the republication.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion.

Order modified, without costs, by remitting the case to Supreme Court, Nassau County, for a new trial as to damages only and, as so modified, affirmed.

[938 NE2d 931, 912 NYS2d 498]

In the Matter of OSCAR CINTRON, Appellant, v JUDITH A. CALOGERO, as Commissioner of the Division of Housing and Community Renewal of the State of New York, Respondent.

Argued September 13, 2010; decided October 19, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 26, 2009. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Sallie Manzanet, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition and dismissed the proceeding seeking, among other things, to annul a final order of respondent Division of Housing and Community Renewal insofar as it limited the rent overcharges recoverable by petitioner to the four years prior to the filing of the overcharge complaint, and limited treble damages to the two years prior to the filing of that complaint. The following question was certified by the Appellate Division: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?”

Matter of Cintron v Calogero, 59 AD3d 345, reversed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Calculation of Rent Overcharge — Rent Reduction Orders Issued Prior to Four-Year Limitations Period and in Effect during That Period

The Division of Housing and Community Renewal (DHCR) should, in calculating any rent overcharge, honor rent reduction orders that were issued prior to the four-year limitations period preceding the filing of the overcharge claim but remained in effect during that period. A rent overcharge claim is subject to a four-year statute of limitations (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a] [2]; CPLR 213-a), pursuant to which examination of the rental history of housing accommodations is limited to the four-year period preceding the filing of an overcharge complaint. Pursuant to Rent Stabilization Law § 26-514, DHCR rent reduction orders place a continuing obligation upon an owner to reduce rent until the required services are restored or repairs are made. DHCR’s rent reduction orders, if still in effect during the four-year period, are in fact part of the rental history which DHCR must consider. Accordingly, in considering petitioner tenant’s 2003 rent overcharge complaint, DHCR should have calculated the amount of petitioner’s rent overcharge by reference to 1987 and 1989 rent reduction orders, which remained in effect during the four-year limitations period and were part of the rental history that the Rent Stabilization Law permits DHCR to consider.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 909, 914.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:129, 13:143.
MCKINNEY's, CPLR 213-a.
NY JUR 2d, Landlord and Tenant §§ 395, 506, 507; NY JUR
2d, Limitations and Laches § 158.
NEW YORK REAL PROPERTY SERVICE §§ 74:162, 74:166.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Limitation of
Actions; Rent.

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POINTS OF COUNSEL

BAS Legal Advocacy Program, Inc., Bronx (*Randolph Petsche* of counsel), for appellant. I. The existence of a rent reduction order issued pursuant to Rent Stabilization Law (Administrative Code of City of NY) § 26-514 more than four years prior to the filing of a rent overcharge complaint—where the owner had knowledge of the rent reduction order and failed to observe it—creates an exception to the four-year statute of limitations otherwise imposed for the purpose of determining rent overcharge complaints and freezes the rent at the time the order was first issued. (*Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169, 13 NY3d 855; *Matter of Condo Units v New York State Div. of Hous. & Community Renewal*, 4 AD3d 424; *Thornton v Baron*, 5 NY3d 175; *Matter of 72A Realty Assoc. v State of N.Y. Div. of Hous. & Community Renewal*, 298 AD2d 276; *Thelma Realty Co. v Harvey*, 190 Misc 2d 303; *Crimmins v Handler & Co.*, 249 AD2d 89; *Matter of Ador Realty, LLC v Division of Hous. & Community Renewal*, 25 AD3d 128; *Matter of Zumo Mgt. v State of N.Y. Div. of Hous. & Community Renewal*, 183 Misc 2d 107; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227.) II. The decision of the Appellate Division is in direct conflict with the decision of the Appellate Division, Second Department, in *Jenkins v Fieldbridge Assoc., LLC* (65 AD3d 169 [2009]); the Court should adopt the findings of *Jenkins* and freeze appellant's rent from the issuance of the rent reduction order through the statutory four-year period. (*Matter of*

Highlawn Assoc. v Division of Hous. & Community Renewal, 309 AD2d 750; *Matter of Ador Realty, LLC v Division of Hous. & Community Renewal*, 25 AD3d 128; *Matter of Condo Units v New York State Div. of Hous. & Community Renewal*, 4 AD3d 424; *Thelma Realty Co. v Harvey*, 190 Misc 2d 303; *Matter of Hyde Park Assoc. v Higgins*, 191 AD2d 440.)

Gary R. Connor, General Counsel, New York State Division of Housing and Community Renewal, New York City (Martin B. Schneider of counsel), for respondent. The Division of Housing and Community Renewal's final order, finding the base rent date to be December 11, 1999, and establishing the tenant's legal base rent as the amount paid on that date and freezing same until February 1, 2004 during a period when rent reduction orders were extant, and directing the owner to refund overcharges collected from the base date to February 1, 2004, inclusive of treble damages, is supported by a rational basis in the record. (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Thornton v Baron*, 5 NY3d 175; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Zafra v Pilkes*, 245 AD2d 218; *Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859; *Matter of Hawco v State of N.Y. Div. of Hous. & Community Renewal*, 281 AD2d 294; *Matter of Silver v Lynch*, 283 AD2d 213; *Matter of Sessler v New York State Div. of Hous. & Community Renewal*, 282 AD2d 262; *Matter of Anderson v Lynch*, 292 AD2d 603.)

South Brooklyn Legal Services, Brooklyn (John C. Gray, Edward Josephson and Pavita Krishnaswamy of counsel) and Queens Legal Services, Jamaica (Heejung Kook of counsel), for Pratt Area Community Council and others, amici curiae. I. The Appellate Division wrongly held that the four-year statute of limitations precluded the Division of Housing and Community Renewal (DHCR) from giving full effect to the continuing rent reduction order of DHCR. (*Matter of ANF Co. v Division of Hous. & Community Renewal*, 176 AD2d 518; *Matter of Hyde Park Assoc. v Higgins*, 149 Misc 2d 682; *Crimmins v Handler & Co.*, 249 AD2d 89; *Matter of Condo Units v New York State Div. of Hous. & Community Renewal*, 4 AD3d 424; *Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169; *Thelma Realty Co. v Harvey*, 190 Misc 2d 303; *Hollis Realty Co. v Glover*, 179 Misc 2d 522; *Matter of Grossman v Rankin*, 43 NY2d 493; *Roberts v Tishman*

Speyer Props., L.P., 13 NY3d 270; *Thornton v Baron*, 5 NY3d 175.) II. The Division of Housing and Community Renewal's finding that a four-year statute of limitations applied in this instance was erroneous and is not entitled to deference by this Court because the underlying issue is one of pure statutory interpretation best reserved for this Court to resolve. (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of ATM One v Landaverde*, 2 NY3d 472.) III. The rule articulated by the First Department in the instant case, if upheld, will have devastating consequences for tenants who are unaware of the legal rent on their rent-stabilized apartments. (*Matter of Rockaway One Co., LLC v Wiggins*, 35 AD3d 36; *Curry v Battistotti*, 5 Misc 3d 1012[A], 2004 NY Slip Op 51355[U], 12 Misc 3d 129[A], 2006 NY Slip Op 51030[U]; *446 Realty Co. v Higbie*, 196 Misc 2d 109; *Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169; *Matter of Lyndonville Props. Mgt. v Division of Hous. & Community Renewal*, 291 AD2d 311; *Hollis Realty Co. v Glover*, 179 Misc 2d 522; *Thelma Realty Co. v Harvey*, 190 Misc 2d 303.)

Legal Aid Society, Brooklyn (Steven Banks, Patrick J. Langhenry, Stephen Myers and Jamila Wideman of counsel), for Met Council, Inc., amicus curiae. I. Harmonizing the relevant sections of the Rent Stabilization Law and Rent Stabilization Code requires a holding that rent reduction orders are continuing orders which are not subject to the four-year look-back rule. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Sanders v Winship*, 57 NY2d 391; *Matter of ANF Co. v Division of Hous. & Community Renewal*, 176 AD2d 518; *Matter of Hyde Park Assoc. v Higgins*, 149 Misc 2d 682, 191 AD2d 440; *Matter of Hyde Park Gardens v State of N.Y., Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 140 AD2d 351, 73 NY2d 998; *Matter of Empress Manor Apts. v New York State Div. of Hous. & Community Renewal*, 147 AD2d 642; *Thornton v Baron*, 5 NY3d 175; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144.) II. Since a rent registration that ignores a rent reduction order is a nullity, the existence of a rent overcharge may not be determined by examining the rent registration history. (*Thornton v Baron*, 5 NY3d 175; *People v Rice*, 44 AD3d

247, 9 NY3d 992; *People v Schonfeld*, 74 NY2d 324; *Matter of Vlachos v New York City Loft Bd.*, 118 AD2d 378; *Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169.) III. The Appellate Division's decision should be reversed because it undermines the rent stabilization system and encourages fraud. (*Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; *390 W. End Assoc. v Harel*, 298 AD2d 11; *Thornton v Baron*, 5 NY3d 175; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 68 AD3d 29; *Matter of ANF Co. v Division of Hous. & Community Renewal*, 176 AD2d 518; *Matter of Hyde Park Gardens v State of N.Y., Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 140 AD2d 351, 73 NY2d 998; *Matter of Empress Manor Apts. v New York State Div. of Hous. & Community Renewal*, 147 AD2d 642.) IV. A landlord who has raised the rent notwithstanding a rent reduction order and filed fraudulent rent registrations should be estopped from asserting the four-year look-back rule as a defense. (*Thornton v Baron*, 5 NY3d 175; *Drucker v Mauro*, 30 AD3d 37; *390 W. End Assoc. v Harel*, 298 AD2d 11; *Simcusi v Saeli*, 44 NY2d 442.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we are asked to interpret the Rent Stabilization Law to ascertain the consequences on a current rent overcharge claim of two rent reduction orders issued prior to, but in effect during, the four-year period preceding the filing of an overcharge claim. We conclude that the Division of Housing and Community Renewal (DHCR) should, in calculating any rent overcharge, honor rent reduction orders that, while issued prior to the four-year limitations period, remained in effect during that period.

I.

In 1986, petitioner Oscar Cintron became a tenant of 2975 Decatur Avenue, apartment 5C, in the Bronx, at an initial stabilized rent of \$348.91 per month. The following year, petitioner filed a complaint with DHCR against the building's then owner, alleging a decrease in services related to, among other things, the apartment's refrigerator, door lock and fire escape window. As a result of the complaint, DHCR issued an order reducing petitioner's rent "by the percentage of the most recent guidelines adjustment for the tenant's lease which commenced before the effective date of th[e] rent reduction [order]," and providing that the owner could not collect any rent

increase until a rent restoration order was issued. The rent reduction order did not set a particular level of rent. According to petitioner, the 1987 rent reduction order should have resulted in a reduction of his rent to \$326.23 per month.

In 1989, petitioner filed another complaint with DHCR, alleging a roach infestation of the apartment's stove. DHCR issued another rent reduction order. Despite the 1987 and 1989 rent reduction orders, however, the owner failed to make any repairs and continued to charge petitioner the unreduced rent.

In 1991, when the current owner purchased the building, petitioner allegedly advised him of the rent reduction orders. Although the current owner apparently also failed to make any repairs, petitioner continued to pay the unreduced rent and entered into a series of leases requiring him to pay greater rents.

On December 11, 2003, petitioner filed a complaint alleging that the rent of \$579.99 charged in the lease then in effect constituted an overcharge based on the current and prior owners' failure to comply with the 1987 and 1989 rent reduction orders. A DHCR Rent Administrator determined that the base date to be used was the date four years prior to the filing of the overcharge complaint—December 11, 1999—and established that the legal regulated rent on the base date was \$508.99, which was the rent charged by the current owner and paid by petitioner on that date. Although taking notice of the 1987 and 1989 rent reduction orders, the Rent Administrator in establishing the legal stabilized rent calculated the overcharge using the base date of December 11, 1999. The Rent Administrator awarded petitioner a rent refund of \$1,008.77, which included interest but did not include treble damages, and prospectively froze the rent at the base date level from December 11, 1999 until February 1, 2004. Effective February 1, 2004, the Rent Administrator removed the 1987 and 1989 rent reduction orders and restored the rent to the full amount of \$579.99, which included rent increases.

Petitioner sought administrative review of the Rent Administrator's order. DHCR granted the petition for administrative review to the extent of modifying the order by (1) reversing the portion of the order that denied treble damages and (2) awarding treble damages beginning two years prior to the filing of the overcharge complaint. DHCR denied the remainder of petitioner's challenges, concluding that the Rent Administrator properly limited recovery to the four years preceding the overcharge

complaint and correctly used the base date rent—\$508.99 as of December 11, 1999—rather than the rent established by the 1987 and 1989 rent reduction orders in calculating the overcharge.

Petitioner commenced this CPLR article 78 proceeding seeking to annul DHCR's order. Supreme Court denied the petition and dismissed the proceeding, concluding that DHCR's determination was not arbitrary or capricious and had a rational basis.

On petitioner's appeal, the Appellate Division affirmed, holding:

“The order, finding the base rent date to be December 11, 1999 (four years prior to the filing of the overcharge complaint), establishing the legal base rent as the amount paid on that date, freezing that rent until February 1, 2004, during which time rent reduction orders were extant, and directing the owner to refund overcharges collected from the base rent date inclusive of treble damages, was not arbitrary and capricious, and had a rational basis” (*Matter of Cintron v Calogero*, 59 AD3d 345, 346 [1st Dept 2009] [citations omitted]).¹

Petitioner appealed to this Court by permission of the Appellate Division, which certified the following question: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?” Because the Appellate Division order is final, we need not answer the certified question.

II.

Regardless of the forum in which it is commenced, a rent overcharge claim is subject to a four-year statute of limitations (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a] [2] [hereinafter Rent Stabilization Law]; CPLR 213-a).² The Rent Regulation Reform Act of 1997 “clarified and reinforced the four-year statute of limitations

1. The Appellate Division further held that “DHCR appropriately limited the amount of rent overcharges recoverable to the four years prior to the filing of the overcharge complaint” (59 AD3d at 346). This is not an issue on this appeal as petitioner has abandoned his claim for rent overcharges in excess of four years prior to the filing of his rent overcharge claim with DHCR. Petitioner is merely seeking to have the base rent date set at an earlier time.

2. Rent Stabilization Law § 26-516 (a) (2) states:

“[A] complaint under this subdivision shall be filed with [DHCR] within four years of the first overcharge alleged and no determi-

(n. cont'd)

applicable to rent overcharge claims . . . by limiting examination of the rental history of housing accommodations prior to the four-year period preceding the filing of an overcharge complaint” (*Thornton v Baron*, 5 NY3d 175, 180 [2005], citing *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]; see also *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358 [2010] [decided today]). Notably, the term “rental history” is not defined in the relevant statutes or in DHCR regulations and we need not attempt to define it here. As we have previously explained, the purpose of the four-year limitations or look-back period is to “alleviate the burden on honest landlords to retain rent records indefinitely” (*Thornton*, 5 NY3d at 181, citing *Matter of Gilman*, 99 NY2d at 149; see also *Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169, 174 [2d Dept 2009], *appeal dismissed* 13 NY3d 855 [2009]).

Moreover, Rent Stabilization Law § 26-514, which addresses rent reduction orders, states:

“[A]ny tenant may apply to [DHCR] for a reduction in the rent to the level in effect prior to its most recent adjustment and for an order requiring services to be maintained as provided in this section, and [DHCR] shall so reduce the rent if it is found that the owner has failed to maintain such services. *The owner shall also be barred from applying for or collecting any further rent increases.* The restoration of such services shall result in the prospective elimination of such sanctions” (emphasis added).

Rent reduction orders thus place a “continuing obligation”

nation of an overcharge and no award or calculation of an award of the amount of an overcharge may be based upon an overcharge having occurred more than four years before the complaint is filed . . . This paragraph shall preclude examination of the rental history of the housing accommodation prior to the four-year period preceding the filing of a complaint pursuant to this subdivision,”

and CPLR 213-a states:

“An action on a residential rent overcharge shall be commenced within four years of the first overcharge alleged and no determination of an overcharge and no award or calculation of an award of the amount of any overcharge may be based upon an overcharge having occurred more than four years before the action is commenced. This section shall preclude examination of the rental history of the housing accommodation prior to the four-year period immediately preceding the commencement of the action.”

upon an owner to reduce rent until the required services are restored or repairs are made (*Thelma Realty Co. v Harvey*, 190 Misc 2d 303, 305-306 [App Term, 2d Dept 2001]; see also *Matter of Condo Units v New York State Div. of Hous. & Community Renewal*, 4 AD3d 424, 425 [2d Dept 2004], *lv denied* 5 NY3d 705 [2005]; *Crimmins v Handler & Co.*, 249 AD2d 89, 91 [1st Dept 1998]). Here, it is alleged that the landlord failed to fulfill his continuing obligation by willfully flouting DHCR rent reduction orders.

The Rent Stabilization Law and Code are unfortunately silent as to the effect that a rent reduction order, issued prior to the four-year limitations period but still in effect during that period, as is the case here, has on a subsequent overcharge complaint based on that order. Petitioner argues that DHCR rent reduction orders must be considered by DHCR in establishing the legal stabilized rent for an apartment for the purposes of an overcharge complaint and that, because the rent reduction orders here remained in effect—and imposed a continuing duty on the landlord to reduce rent—during the relevant four-year period, the four-year look-back rule is no bar to considering those orders for the purposes of calculating the amount by which petitioner was overcharged (see *Thornton*, 5 NY3d at 180; see also *Matter of 508 Realty Assoc., LLC v New York State Div. of Hous. & Community Renewal*, 61 AD3d 753, 755-756 [2d Dept 2009]; *Jenkins*, 65 AD3d at 173). DHCR, on the other hand, argues that its determination is supported by a rational basis and is consistent with the statute as the Legislature intended the four-year limitations/look-back period to be absolute, prohibiting the consideration of earlier rent records for the purpose of calculating a rent overcharge.

In this matter of statutory construction, where deference to an agency's interpretation is not required (see e.g. *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285 [2009]), we find petitioner's argument more persuasive as it best reconciles and harmonizes the legislative aims of both the four-year limitations/look-back period as set forth in Rent Stabilization Law § 26-516 (a) (2) and CPLR 213-a and the "continuing obligation" of a landlord to reduce rent and make repairs as per Rent Stabilization Law § 26-514 (see McKinney's Cons Laws of NY, Book 1, Statutes §§ 95, 96 [in interpreting statutes, the goal is to further the intent, spirit and purpose of a statute, to harmonize all parts of a statute to give effect and meaning to every part]).

Certainly, DHCR can take notice of its own orders and the rent registrations it maintains to ascertain the rent established

by a rent reduction order without imposing onerous obligations on landlords. Moreover, refusing to give effect to a rent reduction order's direction to roll back rent in cases where the order remained in effect during the statutory four-year period would countenance the landlord's failure to restore required services and thwart the goals of the Legislature in enacting Rent Stabilization Law § 26-514, namely, to "motivate owners of rent-stabilized housing accommodations to provide required services, compensate tenants deprived of those services, and preserve and maintain the housing stock in New York City" (*Jenkins*, 65 AD3d at 173, citing *Matter of Hyde Park Assoc. v Higgins*, 191 AD2d 440, 442 [1st Dept 1993]). In short, rent reduction orders impose a continuing obligation on a landlord and, if still in effect during the four-year period, are in fact part of the rental history which DHCR must consider.

We conclude that the purposes of the relevant statutes are best served here if DHCR calculates the amount of rent overcharge by reference to the 1987 and 1989 rent reduction orders, which remained in effect during the four-year limitations period and, accordingly, were part of the rental history that the Rent Stabilization Law permits DHCR to consider.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court with directions to remand to respondent DHCR for further proceedings in accordance with this opinion. The certified question should not be answered upon the ground that it is unnecessary.

SMITH, J. (dissenting). The relevant provisions of the Rent Regulation Reform Act of 1997 seem as clear to me as they did when I dissented in *Thornton v Baron* (5 NY3d 175 [2005]).

"[N]o determination of an overcharge and no award or calculation of an award of the amount of an overcharge may be based upon an overcharge having occurred more than four years before the complaint is filed. . . . This paragraph shall preclude examination of the rental history of the housing accommodation prior to the four-year period preceding the filing of a complaint pursuant to this subdivision" (Rent Stabilization Law [RSL] of 1969 [Administrative Code of City of NY] § 26-516 [a] [2]; *see also id.* § 26-516 [a] ["Where the amount of rent set forth in the annual rent registration statement filed four years prior to the most recent registration state-

ment is not challenged within four years of its filing, neither such rent nor service of any registration shall be subject to challenge at any time thereafter”]; Rent Stabilization Code [9 NYCRR] § 2526.1 [a] [2]).

In *Thornton*, this Court, unjustifiably I thought, wrote an exception into the statute, and in this case it writes another one, which I also think unjustified.

I grant that there is some tension between the command of the 1997 Reform Act that rental history going back more than four years may not be considered and the provision of RSL § 26-514 that rent reduction orders based on a failure to provide required services remain in effect until the deficiency in services is cured. There is not such a stark conflict, however, as to justify the majority’s choice to let one statute nullify the other. DHCR has, it seems to me, found a fair solution by ordering that, where the noncompliance goes on for more than four years, the rent is in effect frozen for a rolling four-year period—so that the tenant cannot get the advantage of a rent level more than four years old, but the landlord is never free from the reduction order’s effect. This works no undue hardship on the tenant, who need only file a complaint within four years of being overcharged to avoid any time bar.

It is thus unnecessary to resort to the fiction embraced by the majority that a rent level existing more than four years earlier is transformed by the rent reduction order into a “part of the [more recent] rental history which DHCR must consider” (majority op at 356). I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[938 NE2d 924, 912 NYS2d 491]

In the Matter of SYLVIE GRIMM, Respondent, v STATE OF NEW YORK DIVISION OF HOUSING AND COMMUNITY RENEWAL OFFICE OF RENT ADMINISTRATION, Appellant. 151 OWNERS CORP., Intervenor-Appellant.

Argued September 13, 2010; decided October 19, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 24, 2009. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 2007 NY Slip Op 34184[U]), entered in a proceeding pursuant to CPLR article 78, which had (1) vacated a determination of respondent State of New York Division of Housing and Community Renewal Office of Rent Administration (DHCR) denying petitioner's rent overcharge complaint, and (2) remanded the matter to DHCR to consider whether the registration statement for petitioner's apartment on the base date was reliable. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin., 68 AD3d 29, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Ascertaining Base Date Rent Where Fraud Alleged

In determining the base rent in an overcharge proceeding involving a rent-stabilized apartment, the Division of Housing and Community Renewal had an obligation to ascertain whether the rent on the base date was a lawful rent, notwithstanding the statute of limitations generally applicable to rent overcharge claims, where substantial indicia of fraud existed on the record. Although rent overcharge claims are generally subject to a four-year statute of limitations precluding examination of rental history prior to the four-year period preceding the filing of an overcharge complaint (Administrative Code of City of NY § 26-516 [a]), the rental history may be examined for the limited purpose of determining if a fraudulent scheme to destabilize the apartment tainted the reliability of the rent on the base date. Petitioner alleged that the tenants immediately preceding her paid significantly more than the previously registered rent, that they were not given a rent-stabilized lease rider, that almost simultaneously with the substantial increase in the rent for the affected unit, the owner ceased filing annual registration statements and later filed several years' registration statements retroactively after receiving

petitioner's overcharge complaint, and that petitioner's initial lease did not contain a rent-stabilized rider. The combination of those factors should have led the Division to investigate the legality of the base date rent, rather than blindly using the rent charged on the date four years prior to the filing of the rent overcharge claim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 911–914.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 2:40.
NY JUR 2d, Landlord and Tenant §§ 439–442, 495, 506, 507, 515; NY JUR 2d, Limitations and Laches § 158.
NEW YORK REAL PROPERTY SERVICE §§ 74:63, 74:169–74:171, 74:176.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Gary R. Connor, General Counsel, New York State Division of Housing and Community Renewal, New York City (Martin B. Schneider of counsel), for appellant. The Division of Housing and Community Renewal's order determining that there was no rent overcharge is supported by a rational basis in the record and the law and is fully entitled to judicial affirmance. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of Hatanaka v Lynch*, 304 AD2d 325; *Matter of Silver v Lynch*, 283 AD2d 213; *Rovito v Melendez*, 175 Misc 2d 279; *Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859; *Thornton v Baron*, 5 NY3d 175; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Hawco v State of N.Y. Div. of Hous. & Community Renewal*, 281 AD2d 294.)

Belkin Burden Wenig & Goldman, LLP, New York City

(*Magda L. Cruz, Sherwin Belkin and Alexa Englander* of counsel), for intervenor-appellant. I. There was no legal basis to disturb the Division of Housing and Community Renewal's order denying tenant's overcharge complaint. (*Catlin v Sobol*, 77 NY2d 552; *Matter of Purdy v Kreisberg*, 47 NY2d 354; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Mid-State Mgt. Corp. v New York City Conciliation & Appeals Bd.*, 112 AD2d 72, 66 NY2d 1032; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *NLRB v Hearst Publications, Inc.*, 322 US 111; *Matter of Salvati v Eimicke*, 72 NY2d 784; *Matter of Chinitz v New York State Div. of Hous. & Community Renewal*, 191 AD2d 222.) II. The four-year rule bars examination of the apartment's rental history preceding the base date. (*Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Zafra v Pilkes*, 245 AD2d 218; *Matter of Hawco v State of N.Y. Div. of Hous. & Community Renewal*, 281 AD2d 294; *Matter of Payne v New York State Div. of Hous. & Community Renewal*, 287 AD2d 415; *Matter of Anderson v Lynch*, 292 AD2d 603; *Myers v Frankel*, 292 AD2d 575; *Theoharidou v Newgarden*, 176 Misc 2d 97; *Rovito v Melendez*, 175 Misc 2d 279; *Matter of Brinckerhoff v New York State Div. of Hous. & Community Renewal*, 275 AD2d 622; *Matter of Silver v Lynch*, 283 AD2d 213.) III. The cases relied on by the courts below are inapplicable to the facts at bar. (*Thornton v Baron*, 5 NY3d 175; *Levinson v 390 W. End Assoc., L.L.C.*, 22 AD3d 397; *Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; *Matter of Gomez v New York State Div. of Hous. & Community Renewal*, 23 Misc 3d 1107[A], 2009 NY Slip Op 50613[U]; *Oxford Towers Co., LLC v Wagner*, 58 AD3d 422; *Stecher v 85th Estates Co.*, 43 AD3d 732; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Jensen v General Elec. Co.*, 82 NY2d 77; *Matter of King v Carey*, 57 NY2d 505.) IV. Tenant's "fraud" allegations were not meritorious. (*Matter of Peckham v Calogero*, 12 NY3d 424; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Persky v Bank of Am. N.A.*, 261 NY 212; *Matter of Muller v New York State Div. of Hous. & Community Renewal*, 263 AD2d 296; *Matter of McCarthy v New York State Div. of Hous. & Community Renewal*, 290 AD2d 313; *Matter of Orin Mgt. Corp. v New York State Div. of Hous. & Community Renewal*, 275 AD2d 126, 97 NY2d 630; *Newgarden v Theoharidou*, 247 AD2d 367; *Matter of Giffuni Bros. v New York State Div. of Hous. & Community Renewal*, 211 AD2d 545; *Otto Roth & Co. v Gourmet Pasta*, 277 AD2d 293; *Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403.)

Legal Services NYC, Brooklyn (*Edward Josephson* of counsel), for respondent. I. The Appellate Division properly applied this Court's holding in *Thornton v Baron* (5 NY3d 175 [2005]) to the proceeding below. (*Myers v Frankel*, 184 Misc 2d 608, 292 AD2d 575; *Cecilia v Irizarry*, 292 AD2d 557; *Levinson v 390 W. End Assoc., L.L.C.*, 22 AD3d 397; *Matter of Mangano v New York State Div. of Hous. & Community Renewal*, 30 AD3d 267; *Ruradan Corp. v Natiello*, 21 Misc 2d 1129[A], 2008 NY Slip Op 52279[U]; *Jazilek v Abart Holdings LLC*, 10 NY3d 943; *Drucker v Mauro*, 30 AD3d 37; *Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859; *Matter of Ador Realty, LLC v Division of Hous. & Community Renewal*, 25 AD3d 128; *Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103.) II. The Appellate Division properly remanded this proceeding to the Division of Housing and Community Renewal based on substantial indicia of fraud in the record. (*Jazilek v Abart Holdings LLC*, 10 NY3d 943; *Drucker v Mauro*, 30 AD3d 37.) III. The Division of Housing and Community Renewal's interpretation of the Rent Stabilization Law of 1969 is not entitled to special deference. (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of ATM One v Landaverde*, 2 NY3d 472.)

Rosenberg & Estis, P.C., New York City (*Jeffrey Turkel* of counsel), for Rent Stabilization Association of NYC, Inc., amicus curiae. The legislative history of Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (a) establishes that the Division of Housing and Community Renewal, in its challenged order, correctly interpreted and applied the statute by refusing to examine rental events occurring outside the four-year period of limitations. (*Pultz v Economakis*, 10 NY3d 542; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Matter of Sutka v Conners*, 73 NY2d 395; *Myers v Frankel*, 184 Misc 2d 608, 292 AD2d 575; *Matter of Round Hill Mgt. Co. v Higgins*, 177 AD2d 256; *Zafra v Pilkes*, 245 AD2d 218; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Thornton v Baron*, 5 NY3d 175; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286.)

Horing Welikson & Rosen, P.C., Williston Park (*Niles C. Welikson* of counsel), for Community Housing Improvement

Program, amicus curiae. I. The Appellate Division's holding in this matter is contrary to its own prior decisions and erroneously adds an exception to statutory criteria. (*Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Orin Mgt. Corp. v New York State Div. of Hous. & Community Renewal*, 275 AD2d 126; *Matter of Mengoni v New York State Div. of Hous. & Community Renewal*, 97 NY2d 630; *Matter of H.O. Realty Corp. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 103; *Zafra v Pilkes*, 245 AD2d 218; *Matter of Muller v New York State Div. of Hous. & Community Renewal*, 263 AD2d 296; *East W. Renovating Co. v New York State Div. of Hous. & Community Renewal*, 16 AD3d 166; *Thornton v Baron*, 5 NY3d 175.) II. The Appellate Division's determination constitutes impermissible judicial legislation as well as an erroneous shifting of the burden of proof where a claim of fraud is involved. (*Prego v City of New York*, 147 AD2d 165; *Matter of Daniel C.*, 99 AD2d 35, 63 NY2d 927; *Nathan v Equitable Trust Co.*, 222 App Div 389; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Matter of Muller v New York State Div. of Hous. & Community Renewal*, 263 AD2d 296.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we are asked to determine whether the rationale employed in *Thornton v Baron* (5 NY3d 175 [2005]), which allowed the parties to look back farther than four years, applies in a situation where it is alleged that the standard base date rent is tainted by fraudulent conduct on the part of a landlord. We conclude that it does, and that such base date rent may not be used as a basis for calculating subsequent regulated rent if fraud is indeed present.

I.

In 1999, prior to the tenancy of petitioner Sylvie Grimm, the rent-stabilized apartment at issue here was registered with the Division of Housing and Community Renewal (DHCR) at a monthly rent of \$578.86. In 2000, upon a vacancy in the apartment, rather than using the required rent-setting formula to determine the rent that it could legally charge the next tenants of the apartment, the owner notified prospective tenants that the rent for the subject apartment was \$2,000 per month. However, the owner informed the prospective tenants that, if they agreed to make certain repairs and improvements to the apartment at their own expense, the rent would be reduced to

\$1,450. Both sums were unlawful because of the rent-stabilized status of the apartment. The tenants accepted the offer, and signed a written lease agreement without a rent-stabilized lease rider. The owner apparently did not provide those tenants with a statement showing the apartment was registered with DHCR.

In 2004, petitioner moved into the apartment, agreeing to the rental rate of \$1,450. Her initial lease did not specify that the apartment was rent stabilized. Thereafter, in July 2005, petitioner filed a rent overcharge complaint with DHCR. The landlord, intervenor 151 Owners Corp., soon after receiving the overcharge complaint, sent petitioner revised versions of her 2004 and 2005 leases which advised that the apartment was subject to rent stabilization. In its answer to the overcharge complaint, 151 Owners Corp. admitted that the apartment had not been registered with DHCR since 1999. At the same time it filed the answer to the overcharge complaint, 151 Owners Corp. filed registration statements with DHCR for the years 2001 through 2005.

In an order dated June 21, 2006, the DHCR Rent Administrator denied petitioner's overcharge complaint on the ground that the rent on the "base date"—i.e., the date four years prior to the filing of the complaint—was \$1,450, and the rent adjustments subsequent to the base date had been lawful. The Rent Administrator did not address the issue whether the registration statement in effect on the base date was reliable or set forth a lawful rent. DHCR denied petitioner's request for administrative review of the Rent Administrator's determination, and denied her request for reconsideration.

Petitioner thereafter commenced this CPLR article 78 proceeding challenging DHCR's determination denying administrative review. The petition sought (1) a declaration that she was the legal rent-stabilized tenant of the apartment and (2) remand to DHCR "with the direction that the rent for the subject apartment should be frozen at the 1999 amount, because the owner failed to register the subject apartment for 2000, and computing the rent overcharge amount."

Supreme Court granted the petition, vacated DHCR's determination and "remanded [the matter] . . . for reconsideration in accordance with [the court's] decision" (2007 NY Slip Op 34184[U], *5). Supreme Court noted that DHCR's determination simply calculated the rent by assuming, without actually determining, that the registration in effect on the base date was

reliable. The court also noted that DHCR did not specifically reject petitioner's allegations of fraud. The court reasoned, under *Thornton v Baron* (5 NY3d 175, 181 [2005]), that DHCR's failure to consider petitioner's allegations of fraud and the reliability of the rent charged on the base date warranted remand to the agency for de novo review of the overcharge complaint.

DHCR and 151 Owners Corp. separately appealed. The Appellate Division affirmed, with two Justices dissenting (*Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 68 AD3d 29 [1st Dept 2009]). The court reasoned:

“Given the specific facts of this case, DHCR should not be allowed to turn a blind eye to what could be fraud and an attempt by the landlord to circumvent the Rent Stabilization Law . . .

“[W]here, as here, there is an indication of possible fraud that would render the rent records unreliable, it is an abuse of discretion for DHCR not to investigate it” (*id.* at 33).

The two dissenting Justices voted to reverse and “would [have found] that [DHCR] acted rationally in complying with the legislative intent expressed in the statute of limitations set forth in CPLR 213-a and [the] Rent Stabilization Law” (*id.* at 34 [Buckley, J., dissenting]).

DHCR and 151 Owners Corp. appealed by permission of the Appellate Division, which certified the following question: “Was the order of Supreme Court, as affirmed by this Court, properly made?” We now affirm and answer the certified question in the affirmative.

II.

As we have previously explained, rent overcharge claims are generally subject to a four-year statute of limitations. Specifically, Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-516 (hereinafter Rent Stabilization Law), as amended by the Rent Regulation Reform Act (RRRA) of 1997, states:

“[A] complaint under this subdivision shall be filed with [DHCR] within four years of the first overcharge alleged and no determination of an

overcharge and no award or calculation of an award of the amount of an overcharge may be based upon an overcharge having occurred more than four years before the complaint is filed . . . This paragraph shall preclude examination of the rental history of the housing accommodation prior to the four-year period preceding the filing of a complaint pursuant to this subdivision” (Rent Stabilization Law § 26-516 [a] [2]; *see also* CPLR 213-a).

The RRRRA “clarified and reinforced the four-year statute of limitations applicable to rent overcharge claims . . . by limiting examination of the rental history of housing accommodations prior to the four-year period preceding the filing of an overcharge complaint” (*Thornton*, 5 NY3d at 180, citing *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]; *see also Matter of Cintron v Calogero*, 15 NY3d 347 [2010] [decided today]; Governor’s Approval Mem, Bill Jacket, L 1997, ch 116). To effectuate the purpose of the four-year limitations period, in rent overcharge cases DHCR regulations, as relevant here, set the “legal regulated rent” as the rent charged on the “base date,” which is the “date four years prior to the date of the filing of [the overcharge] complaint” plus any subsequent lawful increases (9 NYCRR 2520.6 [e], [f] [1]; 2526.1 [a] [3] [i]).

The four-year limitations period was explained in our decision in *Thornton* (5 NY3d 175 [2005]), where we held that a lease provision purporting to exempt an apartment from the Rent Stabilization Law in exchange for an agreement not to use the apartment as a primary residence was void as against public policy (*see id.* at 179-180). Our ruling was made in connection with a scheme between a landlord and an illusory tenant to agree that an apartment would not be used as the named tenant’s primary residence, resulting in the elimination of the rent-stabilized status of the apartment. Acknowledging that the apartment’s prior rental history could not be examined, and that the stabilized rent before the fraudulent scheme was of no relevance, we nonetheless rejected the owner’s contention that “the legal regulated rent should be established by simple reference to the rental history” on the date four years prior to the commencement of the overcharge action (*id.* at 180-181). We explained that the lease was “void at its inception” because its “circumvent[ion of] the Rent Stabilization Law” violated public policy (*id.* at 181). As a result, the rent registration statement in effect on the base date “listing this illegal rent was also a

nullity” (*id.*). Rather than using the registration statement to ascertain the rent on the base date, we instructed DHCR to use the so-called default formula to calculate the rent on the base date, as it does when no reliable records are available (*see id.*; *see also Levinson v 390 W. End Assoc., L.L.C.*, 22 AD3d 397, 400-401 [1st Dept 2005]).¹

DHCR contends that our holding in *Thornton* should be constrained to the narrow set of circumstances described in that case and that we should limit its application to cases involving illusory tenancies. We disagree and conclude that, where the overcharge complaint alleges fraud, as here, DHCR has an obligation to ascertain whether the rent on the base date is a lawful rent. Accordingly, here, as the Appellate Division concluded, DHCR acted arbitrarily and capriciously in failing to meet that obligation where there existed substantial indicia of fraud on the record.

In particular, here it is alleged that the tenants immediately preceding petitioner paid significantly more than the previously registered rent, and were not given a rent-stabilized lease rider.² Moreover those tenants were informed that their rent would be higher but for their performance of upgrades and improvements at their own expense. Almost simultaneously with the substantial increase in the rent for the affected unit, the owner ceased filing annual registration statements (*see* Rent Stabilization Code [9 NYCRR] § 2528.3 [a] [requiring annual registration statements be filed with DHCR]) and later filed several years’ registration statements retroactively after receiving petitioner’s overcharge complaint. Finally, petitioner’s initial lease did not contain a rent-stabilized rider. The combination of these factors should have led DHCR to investigate the legality of the base date rent, rather than blindly using the rent charged on the date four years prior to the filing of the rent overcharge claim.

Our holding should not be construed as concluding that fraud exists, or that the default formula should be used in this case.

1. The default formula “uses the lowest rent charged for a rent-stabilized apartment with the same number of rooms in the same building on the relevant base date” (*Thornton*, 5 NY3d at 180 n 1; *Levinson*, 22 AD3d at 400-401).

2. The Rent Stabilization Code requires that, for each vacancy or renewal lease for premises subject to the Rent Stabilization Code, the landlord “shall furnish to each tenant signing a vacancy or renewal lease, a rider in a form promulgated or approved by the DHCR, in larger type than the lease, describing the rights and duties of owners and tenants as provided for under” the Rent Stabilization Law (Rent Stabilization Code [9 NYCRR] § 2522.5 [c] [1]).

Rather, we merely conclude that DHCR acted arbitrarily in disregarding the nature of petitioner's allegations and in using a base date without, at a minimum, examining its own records to ascertain the reliability and the legality of the rent charged on that date.

DHCR also argues that, under the Appellate Division's holding, any "bump" in an apartment's rent—even those authorized without prior DHCR approval, such as rent increases upon installation of improvements to an apartment (*see* Rent Stabilization Law § 26-511 [c] [13])—will establish a colorable claim of fraud requiring DHCR investigation. Again, we disagree. Generally, an increase in the rent alone will not be sufficient to establish a "colorable claim of fraud," and a mere allegation of fraud alone, without more, will not be sufficient to require DHCR to inquire further. What is required is evidence of a landlord's fraudulent deregulation scheme to remove an apartment from the protections of rent stabilization. As in *Thornton*, the rental history may be examined for the limited purpose of determining whether a fraudulent scheme to destabilize the apartment tainted the reliability of the rent on the base date.

In sum, the Appellate Division correctly applied *Thornton* to this rent overcharge proceeding and properly concluded that DHCR has an obligation to ascertain whether petitioner's allegations of fraud warrant the use of the default formula when calculating any rent overcharge that may have occurred. Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). In *Thornton v Baron* (5 NY3d 175 [2005]) and *Matter of Cintron v Calogero* (15 NY3d 347 [2010] [decided today]), the Court carved out exceptions to the command of the Rent Regulation Reform Act of 1997 that a rent charged more than four years before a tenant complains may not be considered in deciding an overcharge claim. But in this case, the majority goes far beyond making an exception. The majority has, in substance, largely repealed the statute—or, perhaps, has turned it into a source of endlessly complex litigation. I am not sure which it has done, and I am not sure which is worse.

The statute and the regulations implementing it are unequivocal.

“[N]o determination of an overcharge and no award or calculation of an award of the amount of an overcharge may be based upon an overcharge having occurred more than four years before the complaint is filed This paragraph shall preclude examination of the rental history of the housing accommodation prior to the four-year period preceding the filing of a complaint pursuant to this subdivision” (Rent Stabilization Law [RSL] of 1969 [Administrative Code of City of NY] § 26-516 [a] [2]; *see also id.* § 26-516 [a] [“Where the amount of rent set forth in the annual rent registration statement filed four years prior to the most recent registration statement is not challenged within four years of its filing, neither such rent nor service of any registration shall be subject to challenge at any time thereafter”]; Rent Stabilization Code [9 NYCRR] § 2526.1 [a] [2]).

Thornton and *Cintron* presented special situations in which, for understandable reasons, a majority of the Court decided that this language should not be taken literally. *Thornton* involved an elaborate fraudulent scheme, in which illusory leases containing false representations were created, collusive lawsuits brought and a court misled into entering orders that made it possible to collect illegal rents; the Court held that such an extreme form of misconduct should not be protected by the four-year time bar. *Cintron* presented the problem of how to reconcile the four-year limitation with another section of the statute providing for rent reduction orders of indefinite duration.

But this is a garden-variety overcharge case—perhaps the paradigm of the situation for which the four-year limitation was intended. The landlord charged an illegal rent, and the illegality went undetected for more than four years. The statute says plainly that in such a case, the rent charged four years previously shall not be subject to challenge. But the majority holds that a challenge is allowed.

The majority’s justification for this result is that “the overcharge complaint alleges fraud” and that there are “indicia of fraud”—consisting essentially of allegations that the landlord lied to previous tenants about what the legal maximum rent was (majority op at 366). In other words, the majority seems to equate “fraud” with a wilful overcharge—as though the

four-year limit were applicable only to landlords who overcharge by mistake. In fact, the statute contains its own remedy for wilful overcharges: treble damages (RSL § 26-516 [a]). It does not make the four-year limitation inapplicable in wilful overcharge cases—cases which, as the Legislature certainly knew, are a large number of the cases to which the limitation on its face applies.

The majority seemingly tries to temper its holding by saying that “an increase in the rent alone will not be sufficient to establish a ‘colorable claim of fraud’ ” and that “a mere allegation of fraud alone, without more, will not be sufficient to require DHCR to inquire further” (majority op at 367). But obviously it does not take much “more” than an allegation of fraud—there is practically nothing more in this case. The majority adds that what DHCR is supposed to “inquire” about is whether there was a “fraudulent scheme to destabilize the apartment” (*id.*). It does not say what it takes to prove such a “fraudulent scheme.” Simply a wilful overcharge? A wilful overcharge coupled with the hope that the overcharge will eventually result in the apartment’s escape from rent stabilization?

If the majority opinion does not simply nullify the four-year limit in every case where the overcharge was not a good faith error, it requires DHCR to undertake an inquiry that the majority leaves wholly undefined. And what if DHCR’s inquiry shows that, though there was a wilful overcharge, there was no “fraudulent scheme”? Does this mean that, if the landlord has been charging an illegal rent for more than four years, it may continue to do so?

The majority opinion can be read to mean either that the four-year limitation has largely ceased to exist, or that any case to which the limit applies on its face must lead to a mini-litigation, in which DHCR tries to figure out whether the overcharge was “fraudulent” enough to escape the time limit. If the former, the majority has simply tossed aside the Legislature’s command. If the latter, I do not envy DHCR its task.

Chief Judge LIPPMAN and Judges PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion in which Judges GRAFFEO and READ concur.

Order affirmed, etc.

[938 NE2d 325, 912 NYS2d 172]

JAMES SYKES et al., Appellants, v RFD THIRD AVENUE 1 ASSOCIATES, LLC, et al., Defendants, and COSENTINI ASSOCIATES, LLP, Respondent.

Argued September 14, 2010; decided October 19, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 8, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Richard F. Braun, J.; op 2007 NY Slip Op 34431[U]), as had denied the motion of defendant Cosentini Associates, LLP to dismiss so much of plaintiff's third cause of action as was predicated on negligent misrepresentation; (2) granted the motion; and (3) dismissed the cause of action for negligent misrepresentation.

Sykes v RFD Third Ave. 1 Assoc., LLC, 67 AD3d 162, affirmed.

HEADNOTES

Negligence — Negligent Misrepresentation — Engineer — Privity

1. Plaintiffs, purchasers of an apartment in a condominium building, failed to state a claim for negligent misrepresentation against defendant, the mechanical engineering firm that designed the heating, ventilation and air conditioning systems for the condominium. Plaintiffs' claim was based on statements made in the offering plan, given to plaintiffs before they purchased their apartment, regarding the heating and air conditioning systems' capability to maintain certain indoor temperatures in hot and cold weather. Although defendant knew in general that prospective purchasers would rely on the offering plan, there was no indication that defendant knew that plaintiffs would be among the prospective purchasers, or that defendant knew or had the means of knowing of plaintiffs' existence when it made the statements.

Negligence — Negligent Misrepresentation — Engineer — Privity

2. *Credit Alliance Corp. v Arthur Andersen & Co.* (65 NY2d 536, 551 [1985]) lists the prerequisites that must be satisfied to find the existence of a relationship so close as to approach privity which will support a cause of action for negligent misrepresentation. *Board of Mgrs. of Astor Terrace Condominium v Schuman, Lichtenstein, Claman & Efron* (183 AD2d 488 [1st Dept 1992]) is inconsistent with *Credit Alliance* and the Court of Appeals cases applying it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 128–131, 290–294.

NY JUR 2d, Fraud and Deceit §§ 130, 131, 133.

PROSSER AND KEETON, TORTS (5th ed) §§ 105, 107.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit; Privity.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: negligent /2 misrep! & engineer! /s condo! & privity

POINTS OF COUNSEL

Adam Leitman Bailey, P.C., New York City (*Jeffrey R. Metz, Adam Leitman Bailey, John M. Desiderio and Donald B. Mitchell* of counsel), for appellants. Appellants sufficiently pleaded a cause of action for negligent misrepresentation against Cosentini Associates, LLP. (*Leon v Martinez*, 84 NY2d 83; *Guggenheimer v Ginzburg*, 43 NY2d 268; *Barr v Wackman*, 36 NY2d 371; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood*, 80 NY2d 377; *Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 73 NY2d 417; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Parrott v Coopers & Lybrand*, 263 AD2d 316; *Board of Mgrs. of Astor Terrace Condominium v Schuman, Lichtenstein, Claman & Efron*, 183 AD2d 488; *Briden Constr. Co., Inc. v Kapell & Kostow Architects, P.C.*, 56 AD3d 355.)

Wilson Elser Moskowitz Edelman & Dicker LLP, New York City (*Richard E. Lerner and Judy C. Selmecki* of counsel), for respondent. I. James and Ellen Sykes are not alleged to have been and were not “known” to Cosentini Associates, LLP at the time of its contract with RFD Third Avenue 1 Associates, LLC. (*Briden Constr. Co., Inc. v Kapell & Kostow Architects, P.C.*, 56 AD3d 355; *Securities Inv. Protection Corp. v BDO Seidman*, 95 NY2d 702.) II. James and Ellen Sykes’ complaint fails to allege a relationship of or approaching privity. Absent such a relationship, the cause of action for negligent misrepresentation fails. (*Parrott v Coopers & Lybrand*, 95 NY2d 479; *Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 73 NY2d 417; *Board of Mgrs. of Astor Terrace Condominium v Schuman, Lichtenstein, Claman & Efron*, 183 AD2d 488.) III. James and Ellen Sykes failed to allege what statement made by Cosentini Associates, LLP contained a misrepresentation. (*Carle Place Union Free School Dist. v Bat-Jac Constr., Inc.*, 28 AD3d 596.)

IV. James and Ellen Sykes' action is time-barred. (*Yoshiharu Igarashi v Shohaku Higashi*, 289 AD2d 128.)

OPINION OF THE COURT

SMITH, J.

We hold that an action for negligent misrepresentation must be dismissed where the complaint does not allege that the misrepresentations were made with knowledge that plaintiffs would rely on them.

Cosentini Associates, a mechanical engineering firm, was hired to design the heating, ventilation and air conditioning systems for a Manhattan condominium. Plaintiffs, who bought an apartment in the building, claim that Cosentini designed the systems negligently, with the result that their apartment was too cold in winter and too hot in summer. They brought claims against Cosentini for breach of contract, professional malpractice, fraud and negligent misrepresentation. It is now undisputed that the first two of those claims are barred by the statute of limitations, and that plaintiffs have not pleaded a valid fraud claim. Only the claim for negligent misrepresentation is now before us.

That claim is based on statements made in the offering plan given to plaintiffs before they purchased their apartment. The plan contained descriptions of the heating and air conditioning systems, saying among other things that they were capable of maintaining certain indoor temperatures in hot and cold weather. Plaintiffs allege that these statements can be attributed to Cosentini; that Cosentini was negligent in making them; that the statements were false; and that plaintiffs relied on them in purchasing their apartment.

Supreme Court denied Cosentini's motion to dismiss the claim (2007 NY Slip Op 34431[U]). The Appellate Division, with two Justices dissenting, reversed, holding that plaintiffs had failed to allege a relationship between themselves and Cosentini of the kind that is necessary in a negligent misrepresentation case (67 AD3d 162 [2009]). Plaintiffs appeal to this Court as of right, pursuant to CPLR 5601 (a), and we now affirm.

It has long been the law in New York that a plaintiff in an action for negligent misrepresentation must show either privity of contract between the plaintiff and the defendant or a relationship "so close as to approach that of privity" (*Ultramares Corp. v Touche*, 255 NY 170, 182-183 [1931, Cardozo, Ch. J.]; see

Glanzer v Shepard, 233 NY 236 [1922, Cardozo, J.]. In *Credit Alliance Corp. v Arthur Andersen & Co.* (65 NY2d 536, 551 [1985]), an action against a firm of accountants, we listed “certain prerequisites” that “must be satisfied” before the necessary relationship will be found to exist:

“(1) the accountants must have been aware that the financial reports were to be used for a particular purpose or purposes; (2) in the furtherance of which a known party or parties was intended to rely; and (3) there must have been some conduct on the part of the accountants linking them to that party or parties, which evinces the accountants’ understanding of that party or parties’ reliance.”

We have made clear since *Credit Alliance* that these requirements do not apply to accountants only—indeed, we have applied them in an action against engineering firms (*Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 73 NY2d 417, 424 [1989]).

[1] Plaintiffs’ claim here fails the second branch of the *Credit Alliance* test: plaintiffs have not sufficiently alleged that they were a “known party or parties,” as *Credit Alliance* requires. While Cosentini obviously knew in general that prospective purchasers of apartments would rely on the offering plan, there is no indication that it knew these plaintiffs would be among them, or indeed that Cosentini knew or had the means of knowing of plaintiffs’ existence when it made the statements for which it is being sued.

The words “known party or parties” in the *Credit Alliance* test mean what they say. That is confirmed by *Westpac Banking Corp. v Deschamps* (66 NY2d 16 [1985]), decided a few months after *Credit Alliance*. There the plaintiff, Westpac, had made a bridge loan to a borrower, Turnkey, that was unable to repay it. Westpac sued an accounting firm, Seidman, for negligently certifying Turnkey’s financial statements. Westpac alleged that, when Seidman made the certification, it knew that a bridge lender would rely on it, and that it knew or could have known that Westpac was a possible bridge lender. We held that this was not enough:

“Westpac claims only that it was one of a class of ‘potential bridge lenders,’ to which class as a whole Seidman owed a duty, and that it should be considered a ‘known party’ because it was as of the date of

the certification a substantial lender to Turnkey, and ‘thus a prime candidate for a bridge loan.’ This is not, however, the equivalent of knowledge of ‘the identity of the specific nonprivity party who would be relying upon the audit reports’ (*Credit Alliance Corp. v Andersen & Co.*, 65 NY2d, at p 554, *supra*).” (*Id.* at 19.)

[2] *Westpac* was, if anything, a stronger case for the plaintiff than this one. Here, it is not even alleged that Cosentini knew or had the means of knowing that plaintiffs were possible purchasers of an apartment. Since Cosentini did not know “the identity of the specific nonprivity party who would be relying,” the complaint falls short of satisfying the *Credit Alliance* test. *Board of Mgrs. of Astor Terrace Condominium v Schuman, Lichtenstein, Claman & Efron* (183 AD2d 488 [1st Dept 1992]), relied on by the Appellate Division dissenters, is, as the Appellate Division majority pointed out, inconsistent with *Credit Alliance* and our cases applying it.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed, with costs.

[938 NE2d 937, 912 NYS2d 504]

JON FLEMMING, Individually and as the Administrator of the Estate of ELIZABETH LAGAI, Deceased, on Behalf of Himself and All Others Similarly Situated, Respondent, v BARNWELL NURSING HOME AND HEALTH FACILITIES, INC., Defendant. CAROLINE AHLFORS MOURIS, Appellant; PAUL MACARI, Respondent.

Argued September 13, 2010; decided October 21, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Columbia County (Christian F. Hummel, J.), dated August 25, 2009. The Supreme Court (1) granted the motion of the settlement administrator for an order approving his fees and disbursements; (2) directed that the settlement administrator be paid a fee of \$48,990, along with reimbursements of \$9,463.02 in expenses, out of the class action settlement fund; (3) with respect to objectant Caroline Ahlfors Mouris's cross motion for (a) an order setting aside the sum of \$45,000 to \$50,000—pending objectant's appeal of an order of the Appellate Division, Third Department—to award her counsel attorneys' fees based on his time spent in preparing and presenting her objections; (b) an order determining that objectant had filed a proper claim form; and (c) an order determining that objectant had standing to object to the fees and disbursements requested by the settlement administrator, treated the cross motion, in the exercise of its discretion, as an application for an extension of time to file a claim solely for the purpose of an award to her from the pro rata disbursements of the class action settlement; (4) granted the cross motion to the extent of determining that objectant had filed a proper claim form and should be entitled to a proportional distribution from the net distributable settlement fund; (5) denied that portion of the cross motion seeking an order determining that objectant had standing to object to the fees and disbursements requested by the settlement administrator; and (6) denied that portion of the cross motion seeking an order setting aside the sum of \$45,000 to \$50,000. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 16, 2008. The Appellate Division had (1) modified, on the law and the facts, an order of that Supreme Court (Mary O. Donohue, J.), which had (a) granted plaintiff's motion for judicial approval of the terms of

the class action settlement; (b) directed the payment, out of the settlement fund, of a certain sum to plaintiff's attorneys, an incentive award to the named plaintiff, and a certain sum to the settlement administrator, with the balance of the settlement fund to be distributed to the class members; and (c) denied objectant's cross motion for an order awarding her counsel attorneys' fees based on his time spent in preparing and presenting her objections to the proposed class action settlement and in applying for his fees; and (2) remitted the matter to the Supreme Court for further proceedings to determine the settlement administrator's fees and expenses. The modification consisted of reducing the award of counsel fees and expenses to the class counsel, eliminating the incentive award to the named plaintiff, and reversing the fee award to the settlement administrator.

Flemming v Barnwell Nursing Home & Health Facilities, Inc., 56 AD3d 162, affirmed.

HEADNOTE

Attorney and Client — Compensation — Class Action Settlement — Award to Counsel Other than Class Counsel Not Permitted

A class action member who filed objections to the proposed award of fees to class counsel, the compensation established for the settlement administrator and the incentive award to the class representative was not entitled to an award of counsel fees and expenses she incurred in preparing and presenting her objections. CPLR 909, the statutory codification of the common-law rule that attorneys' fees may be paid out of a fund created for the benefit of the class by the litigation, permits attorney fee awards only to "the representatives of the class," and does not authorize an award of counsel fees to any party, individual or counsel, other than class counsel. Although a class may at times benefit from an objectant's actions, the Legislature did not provide recompense for those efforts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Parties §§ 122, 123.
CARMODY-WAIT 2d, Parties § 19:341.
MCKINNEY's, CPLR 909.
NY JUR 2d, Parties §§ 302, 303.
SIEGEL, NY PRAC § 147.

ANNOTATION REFERENCE

Attorneys' fees in class actions. 38 ALR3d 1384.

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POINTS OF COUNSEL

Michael S. Gruen, New York City, for appellant. I. Fees are awardable to objectant's counsel for services resulting in actual benefit to the class. (*Frankenstein v McCrory Corp.*, 425 F Supp 762; *In re Horizon/CMS Healthcare Corp. Sec. Litig.*, 3 F Supp 2d 1208; *Matter of Attorney-General v Northern Am. Life Ins. Co.*, 91 NY 57; *Klein v Robert's Am. Gourmet Food, Inc.*, 28 AD3d 63; *White v Auerbach*, 500 F2d 822; *Winkelman v General Motors Corp.*, 44 F Supp 960, 48 F Supp 504, *affd sub nom. Singer v General Motors Corp.*, 136 F2d 905; *In re Prudential Ins. Co. of Am. Sales Practices Litig.*, 962 F Supp 450, 148 F3d 283, *cert denied sub nom. Krell v Prudential Ins. Co. of Am.*, 525 US 1114; *Bowling v Pfizer, Inc.*, 927 F Supp 1036, 103 F3d 128, *cert denied sub nom. Ridgeway v Pfizer, Inc.*, 522 US 906; *Duhaime v John Hancock Mut. Life Ins. Co.*, 2 F Supp 2d 175; *In re General Motors Corp. Pick-Up Truck Fuel Tank Prods. Liab. Litig.*, 55 F3d 768.) II. The same guidelines that govern fees to class counsel should govern fees to counsel for objectant. (*Wininger v SI Mgt. L.P.*, 301 F3d 1115; *Frankenstein v McCrory Corp.*, 425 F Supp 762; *Gottlieb v Barry*, 43 F3d 474; *In re Horizon/CMS Healthcare Corp. Sec. Litig.*, 3 F Supp 2d 1208; *Hensley v Eckerhart*, 461 US 424; *Matter of Rahmey v Blum*, 95 AD2d 294; *Washington Fed. Sav. & Loan Assn. v Village Mall Townhouses*, 90 Misc 2d 227; *Sternberg v Citicorp Credit Servs.*, 110 Misc 2d 804; *Duhaime v John Hancock Mut. Life Ins. Co.*, 2 F Supp 2d 175; *Roberts v Texaco, Inc.*, 979 F Supp 185.)

DeGraff, Foy & Kunz, LLP, Albany (*George J. Szary, David F. Kunz* and *Aaron F. Carbone* of counsel), for respondent. I. The clear and unambiguous language of CPLR article 9 does not provide for fees to an objectant's counsel. (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Alyeska Pipeline Service Co. v Wilderness Society*, 421 US 240; *#1 Funding Ctr., Inc. v H & G Operating Corp.*, 48 AD3d 908; *Moore v Metropolitan Life Ins. Co.*, 75 Misc 2d 168, 41 AD2d 601, 33 NY2d 304; *People v Finnegan*, 85 NY2d 53; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Matter of Attorney-General v Northern Am. Life Ins. Co.*, 91 NY 57; *Gerzof v Sweeney*, 22 NY2d 297; *Matter of Loomis*, 273 NY 76.) II. An objectant's counsel is entitled only to an award of fees where counsel's actions conferred an actual benefit on the class. (*White v Auerbach*, 500 F2d 822.)

OPINION OF THE COURT

PIGOTT, J.

On this appeal, we are asked to consider whether New York law permits an award of counsel fees and expenses to an objectant in a class action. We hold that it does not.

This class action lawsuit was brought on behalf of 242 individuals, who were residents at defendant Barnwell Nursing Home and Health Facilities, Inc. at any time from January 1, 1999 through January 31, 2000. The class claim, brought pursuant to Public Health Law § 2801-d, alleged that the nursing home failed to comply with state-imposed standards of patient care.

After nearly six years of litigation, the parties reached a compromise and a motion for approval pursuant to CPLR 908 was made to Supreme Court. Caroline Ahlfors Mouris, on behalf of her mother's estate, filed objections to the proposed award of fees to class counsel, the compensation established for the settlement administrator, and the incentive award to the class representative. She did not object to the overall settlement amount. Mouris also cross-moved for an award of counsel fees she incurred in preparing and presenting her objections.

Supreme Court approved the proposed settlement, and directed that certain monies be awarded to class counsel for fees and expenses, to the originator of the claim as an incentive award, and to the administrator for past and future services—the remainder to be distributed among the class members in accordance with the approved distribution formula. The court denied Mouris's objections, as well as her cross motion for counsel fees, noting that her objections had neither assisted the court nor benefitted the class.

The Appellate Division modified by reducing or eliminating each category of Supreme Court's award (56 AD3d 162 [2008]). As relevant to this appeal, the court held that Mouris was not entitled to an award of counsel fees because CPLR 909 "does not provide for the payment of counsel fees to any . . . party or individual" other than class counsel (*id.* at 168). The court remitted the matter to Supreme Court to determine the administrator's fees and expenses. Thereafter, Supreme Court issued a judgment determining such fees and expenses.

This Court granted Mouris leave to appeal from the judgment of Supreme Court to bring up for review the prior nonfinal Appellate Division order. We now affirm.

Under the general rule in New York, attorneys' fees are deemed incidental to litigation and may not be recovered unless supported by statute, court rule or written agreement of the parties (*Hooper Assoc. v AGS Computers*, 74 NY2d 487, 491 [1989]). An attorney is not entitled to legal fees from persons other than his or her client merely because such other persons were benefitted by his or her services (*Matter of Loomis*, 273 NY 76 [1937]). There are certain exceptions to the general rule, including an award of counsel fees for class actions brought on behalf of all members of a class.

Such an award is embodied in CPLR 909, which provides:

"If a judgment in an action maintained as a class action is rendered in favor of the class, the court in its discretion may award attorneys' fees to the *representatives of the class* based on the reasonable value of legal services rendered and if justice requires, allow recovery of the amount awarded from the opponent of the class" (emphasis added).

Enacted in 1975, this provision was part of a comprehensive reform of the laws relating to class actions in New York:

"The bill codifies *the usual rule* that the *attorneys for a class* that has been successful (through judgment or settlement) are awarded a reasonable attorney's fee; historically, the prospect of obtaining substantial counsel fees has been an important factor in encouraging the private bar to undertake the class action representation of persons with moderate or modest resources" (Mem to Counsel to Governor from State Consumer Protection Bd, Bill Jacket, L 1975, ch 207 [emphasis added]).

The statute codifies the common-law rule that attorneys' fees may be paid out of a fund created for the benefit of the class by the litigation. It further empowers the court to order the fees to be paid by the class opponent "if justice requires."

The language of CPLR 909 permits attorney fee awards only to "the representatives of the class," and does not authorize an award of counsel fees to any party, individual or counsel, other than class counsel. Had the Legislature intended any party to recover attorney fees it could have expressly said so, as it has in other contexts (*see e.g.* SCPA 2302 [6] ["In a proceeding to construe a will or after appeal in such a proceeding, pursuant to the direction of the appellate court the court may award to a fi-

duciary or any party to the proceeding such sum as it deems reasonable for his, her or its counsel fees and other expenses necessarily incurred in the proceeding or on the appeal” (emphasis added)]. Although federal courts have awarded counsel fees to objectors in certain situations under Federal Rules of Civil Procedure rule 23 (h), New York’s statute is only in part modeled on that federal provision (*Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185, 194 [1991] [noting that CPLR 901-909 have “much in common” with Federal rule 23]).

Mouris argues, and the dissent agrees, that a basis for an award of fees may be recognized under the “common fund” doctrine. However, no modern New York court has applied such rule to authorize an objector’s counsel fee award in a class action lawsuit. The dissent cogently argues that section 909, being in derogation of our common law, should not be read so broadly as to totally eliminate the “common fund” doctrine. However, the Legislature having comprehensively revised CPLR article 9, it is not for this Court to assume a provision it could have easily provided and recognize a doctrine that has not been invoked in the last century. Simply put, although a class may at times benefit from an objectant’s actions, the Legislature did not provide recompense for those efforts.

Accordingly, the judgment of Supreme Court appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

SMITH, J. (dissenting). A class action lawyer who recovers money for the class is, of course, entitled to apply to the court for a fee to be paid out of the class’s recovery. But the majority today holds that a class member’s lawyer who opposes the fee application, even if he does so successfully, must work for free or be paid entirely from the resources of the person who hired him. This result is bad policy; it is contrary to New York’s common law; and it is not required by any statute. I therefore dissent.

Whatever the faults and virtues of the class action device, no one disputes the need to control class counsel’s fees—and nothing furnishes so effective a check on those fees as an objecting lawyer. Even in the many cases where no objection to the fee application is ever filed, the possibility of an objection is one of the few restraints on class counsel’s ambitions. And usually, class counsel can be sure that no one will object to a fee application if a class member does not. The party opposing the class

has no incentive to object to a payment that will come out of pockets other than its own; indeed, in the vast majority of class actions that are settled, the party that has settled with the class will be anxious to see the settlement approved without a hitch.

It is true that courts have the duty to scrutinize class counsel's fee applications, whether objected to or not, but it is hard for them to do so effectively without the help of a lawyer who has an incentive to point out the application's flaws. Objectors, of course, cannot replace the court or diminish its role. It is the court that must authorize both class counsel's fee and a successful objector's; it must do so only where the lawyers have conferred an actual benefit on the class, and then only in proportion to the benefit. But courts that hear an advocate for only one side of the issue are handicapped in making their judgments. Class counsel who submit unopposed fee applications, like most lawyers without adversaries, often get what they ask for.

Today's decision greatly lessens the likelihood that fee applications submitted by class counsel will ever be opposed. Opposition will be filed only where a lawyer or client is willing to act from philanthropic motives, or in the few cases where a member of the class has a large enough interest in the size of the fee to justify bearing the expense of objecting to it. The problem of excessive fees in these cases is well known (*see e.g. Coffee, Class Wars: The Dilemma of the Mass Tort Class Action*, 95 Colum L Rev 1343, 1348 [1995]; Hensler, *The Globalization of Class Actions: An Overview*, 622 Annals of Am Acad of Pol & Soc Sci [No. 1] 7, 19 [2009]). Today's decision makes it more difficult to cure that problem.

Not only are there excellent reasons to permit fee awards to lawyers who have successfully objected to class counsel's fees; such awards are supported by the same common-law principles on which class counsel's applications are based. The common fund rule, going back at least to *Trustees v Greenough* (105 US 527, 536 [1882]), permits "those who have instituted proceedings for the benefit of a general fund" to receive "proper allowances," including attorneys' fees, out of the fund. We adopted this rule in *Woodruff v New York, Lake Erie & W. R.R. Co.* (129 NY 27, 30-31 [1891]), saying "that one who successfully conducts a litigation . . . for the benefit of a fund, shall be protected in the distribution of such fund for the expenses necessarily incurred by him in the performance of his duty."

It has long been commonly understood that fees may be awarded both to a class counsel who benefits a class by winning

or settling a lawsuit and to an objector's counsel who benefits the class by reducing the amount of class counsel's fee. That is a simple corollary of the common fund rule. In each case, those who benefit from the lawyer's efforts should bear the cost. While there seems to be no New York case directly in point, federal cases decided before the adoption of rule 23 (h) of the Federal Rules of Civil Procedure in 2003 assumed that counsel fees could be awarded to objectors to class action settlements under common fund principles (*Frankenstein v McCrory Corp.*, 425 F Supp 762, 767 [SD NY 1977] ["where the objections filed produced a beneficial effect upon the progress of the litigation, an award of fees is appropriate"]; *In re Anchor Sec. Litig.*, 1991 WL 53651, *1, 1991 US Dist LEXIS 4573, *2 [ED NY 1991] ["attorney's fees are available to counsel for objectors who make the proper showing"]).

The majority holds, in effect, that New York's class action statute, adopted in 1975, changed the common law by limiting the scope of the common fund doctrine. The relevant statute is CPLR 909, which says:

"If a judgment in an action maintained as a class action is rendered in favor of the class, the court in its discretion may award attorneys' fees to the representatives of the class based on the reasonable value of legal services rendered and if justice requires, allow recovery of the amount awarded from the opponent of the class."

The majority reads "representatives of the class" to mean the named plaintiffs in a class action, an interpretation I assume is correct. It also reads the statute to forbid the awarding of attorneys' fees to all those who are not "representatives of the class," an interpretation I think is incorrect.

The majority's interpretation would be defensible if the Legislature had enacted a systematic codification of the common fund doctrine as it related to class actions, and left objectors' fees out of that codification. But I see no evidence that the Legislature did anything of the kind. CPLR 909 consists of one sentence. The first half of it does reflect the common fund doctrine in saying that "the court . . . may award attorneys' fees to the representatives of the class"—no doubt meaning, though it does not say, that it may award them out of the class's recovery; the thrust of the statute, however, is to extend the court's power beyond what the common fund doctrine would

permit, authorizing “recovery of the amount awarded from the opponent of the class.” I think the authors of the statute would have been surprised at the suggestion that, by briefly restating one conspicuous aspect of the common fund doctrine, they were abolishing the rest of it in the class action context. I see nothing in the background of the statute or its legislative history to suggest an intention to make any such change in the law. And I can think of no reason why the Legislature would have wanted to make that change.

Thus, the majority opinion gives to CPLR 909 the unintended consequence of partially repealing the common fund doctrine and discourages class members from monitoring the inflation of attorneys’ fees. I would not follow that course. I would reverse the Appellate Division’s order and direct Supreme Court to consider the objector’s fee application.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion in which Chief Judge LIPPMAN concurs.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[938 NE2d 980, 912 NYS2d 547]

JOSEPH MORAY, Appellant, v KOVEN & KRAUSE, Esqs., Respondent.

Argued September 16, 2010; decided October 26, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 12, 2009. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Mary H. Smith, J.), which had granted defendant's motion pursuant to CPLR 3012 (b) to dismiss the action and dismissed the action.

Moray v Koven & Krause, Esqs., 62 AD3d 765, reversed.

HEADNOTES

Actions — Stay — Death, Removal or Disability of Attorney

1. Plaintiff's action for legal malpractice, breach of contract and professional negligence was automatically stayed by operation of CPLR 321 (c) on the date when plaintiff's attorney was suspended from the practice of law, and should not have been dismissed by Supreme Court pursuant to CPLR 3012 (b) for failure to serve a complaint. Defendant never acted to lift the stay by serving a notice upon plaintiff to appoint new counsel within 30 days. Although CPLR 321 (c) permits further proceedings by "leave of the court," a provision designed to allow the court to vary the 30-day rule in cases where the stay of proceedings would produce undue hardship to the opposing party, the Supreme Court here did not mention CPLR 321 (c) when it dismissed the action, much less articulate a basis for exercising its discretion to relax the 30-day notice requirement.

Appeal — Raising Issue for First Time on Appeal — Applicability of Automatic Stay upon Death, Removal or Disability of Attorney

2. In an action for legal malpractice, breach of contract and professional negligence dismissed by Supreme Court pursuant to CPLR 3012 (b) for failure to serve a complaint, plaintiff was not foreclosed from invoking the automatic stay provisions of CPLR 321 (c) for the first time on appeal. The action, commenced shortly before plaintiff's attorney was suspended from the practice of law, was automatically stayed by operation of CPLR 321 (c) on the date when plaintiff's attorney was suspended, and defendant never acted to lift the stay by serving a notice upon plaintiff to appoint new counsel within 30 days. Although cases on appeal are generally not resolved on grounds not raised in the trial court, the context here was unusual in that this case dealt with a statute intended to protect litigants faced with the unexpected loss of legal representation. As a general rule, unrepresented litigants should not be penalized for failing to alert a trial court to the existence of an automatic stay created for the very purpose of safeguarding them against adverse consequences while they are unrepresented.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Actions §§ 68, 69; AM JUR 2d, Appellate Review §§ 576, 618, 619; AM JUR 2d, Attorneys at Law §§ 37, 184; AM JUR 2d, Dismissal, Discontinuance, and Nonsuit §§ 61–63; AM JUR 2d, Pleading § 905; AM JUR 2d, Process §§ 121, 122.
CARMODY-WAIT 2d, Officers of Court § 3:361; CARMODY-WAIT 2d, Stays § 22:6; CARMODY-WAIT 2d, Service of Pleadings §§ 33:10, 33:13, 33:16, 33:18.
McKINNEY's, CPLR 321 (c); 3012 (b).
NY JUR 2d, Actions §§ 26–28; NY JUR 2d, Appellate Review §§ 597, 605; NY JUR 2d, Attorneys at Law §§ 87–89; NY JUR 2d, Pleading §§ 72, 79–83.
SIEGEL, NY PRAC §§ 115, 231, 543.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Discipline and Disciplinary Actions; Pleadings; Stay of Action or Proceeding.

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POINTS OF COUNSEL

Kathy M. Lynch & Associates, New York City (*Ronald Cohen* of counsel), for appellant. I. The statutory stay under CPLR 321 (c) barred ruling on Koven's motion. (*Carder v Ramos*, 163 AD2d 732; *Firemen's Fund Ins. Co. v Dietz*, 110 AD2d 1083; *Elmhurst Iron Works v Alfieri Gen. Contr. Co.*, 45 AD2d 971; *Wisniewski v Wisniewski*, 149 AD2d 965; *Maldonado v Law Off. of Mary A. Bjork*, 64 AD3d 425; *Marte v Graber*, 58 AD3d 1.) II. Koven's failure to serve the notice and demand and the notice of motion failed to invoke the court's jurisdiction. (*Mathews v Eldridge*, 424 US 319; *Matter of Quinton A.*, 49 NY2d 328; *Matter of MRC Receivables Corp. v Taylor*, 57 AD3d 1000; *Matter of Gauthier*, 59 AD3d 148; *Schuck v 7309 Corp.*, 90 AD2d 828; *Marte v Graber*, 58 AD3d 1.)

Steinberg & Cavaliere, LLP, White Plains (*Ronald W. Weiner* of counsel), for respondent. I. The Appellate Division correctly held that the trial court providently exercised its discretion in

granting defendant's motion to dismiss the action. (*Brown v Hannaford Bros. Co.*, 27 AD3d 815; *Rodriguez v MC Bldrs., Inc.*, 18 AD3d 262; *Balgley v Cammarata*, 299 AD2d 432; *Amodeo v Gellert & Quartararo, P.C.*, 26 AD3d 705; *Stout v Heyer*, 40 AD3d 743; *Manhattan King David Rest. v Nathanson*, 269 AD2d 297; *Kel Mgt. Corp. v Rogers & Wells*, 64 NY2d 904; *A & J Concrete Corp. v Arker*, 54 NY2d 870.) II. The Appellate Division properly held that plaintiff's arguments under CPLR 321 (c) were raised for the first time on appeal and not before that court. (*Misicki v Caradonna*, 12 NY3d 511; *Nationwide Ins. Co. v New York Lighter Co., Inc.*, 68 AD3d 950; *Honique Accessories, Ltd. v S.J. Stile Assoc., Ltd.*, 67 AD3d 481; *Lowe's Home Ctrs., Inc. v Beachy's Equip. Co., Inc.*, 49 AD3d 1213; *Small Bus. Admin. v Mills*, 203 AD2d 654; *Telmark, Inc. v Mills*, 199 AD2d 579.) III. The trial court was not divested of jurisdiction upon the suspension of plaintiff's attorney. (*Lacks v Lacks*, 41 NY2d 71; *Copeland v Salomon*, 56 NY2d 222; *Nuernberger v State of New York*, 41 NY2d 111; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Matter of Adam S.*, 285 AD2d 175; *Freccia v Carullo*, 93 AD2d 281.) IV. The trial court did not improvidently exercise its discretion when it heard and granted defendant's motion to dismiss following the suspension of plaintiff's attorney. (*Buckeye Retirement Co., LLC, Ltd. v Quattrocchi*, 67 AD3d 848; *Marte v Graber*, 58 AD3d 1; *Matter of MRC Receivables Corp. v Taylor*, 57 AD3d 1000; *Sangiacomo v County of Albany*, 302 AD2d 769; *Schuck v 7309 Corp.*, 90 AD2d 828; *Hendry v Hilton*, 283 App Div 168; *Franklin Natl. Bank v Lake Credit Corp.*, 58 Misc 2d 981; *Comptroller of State of N.Y. v Avon Assoc.*, 58 AD2d 752; *Amari v Molloy*, 180 Misc 2d 664.)

OPINION OF THE COURT

READ, J.

On December 31, 2007, plaintiff Joseph Moray commenced this action for legal malpractice, breach of contract and professional negligence against defendant Koven & Krause, Esqs. by filing a summons with notice, which identified Warren Goodman, Esq. as plaintiff's attorney. The summons with notice was apparently served on defendant on February 5, 2008.

On February 25, 2008, defendant served Goodman with a notice of appearance and a demand for a complaint. When the demand did not prompt a response, defendant on April 22, 2008 moved to dismiss the action pursuant to CPLR 3012 (b).

By letter dated May 6, 2008, attorney Preston Leschins informed defendant's professional liability insurance carrier

that his office had been “consulted” by plaintiff “in connection with” plaintiff’s claim “with a view towards substituting for” Goodman. The letter characterized Goodman as plaintiff’s “former counsel” who was “no longer practicing law.” Leschins asked for “the opportunity to speak with” the carrier about “resolution [of the matter] in an amicable fashion,” and at the carrier’s “earliest convenience.” Plaintiff was copied on this letter.

On May 23, 2008—the motion’s return date—defendant’s counsel had a conversation with Goodman, “who advised that he had been suspended from the practice of law months earlier”; at Goodman’s request, defendant’s counsel agreed to adjourn the motion to dismiss until June 13, 2008. Later that day, he spoke to Leschins, “who confirmed that he had consulted with plaintiff weeks earlier,” but “refused to state whether he would be appearing as attorney for plaintiff” in the lawsuit.

On or near the adjourned return date, Goodman—indicating that he was mindful that his license had been “suspended on or about January 24, 2008” and was therefore “being careful not to practice law”—submitted a “factual” affidavit in opposition to the motion to dismiss. Styling himself as plaintiff’s “former attorney,” Goodman stated that he had “advised [his] former client in writing of [his] situation and told him to get new counsel”; however, he did not say when he did this. Goodman further represented that he “[understood] that [plaintiff had] been diligently pursuing new counsel,” but had “not yet retained a new attorney” and was “still continuing to look for a new lawyer.”

Goodman explained that the summons with notice was served after his suspension because it had been given to the process server beforehand; he annexed to his affidavit a draft complaint that he claimed to have prepared prior to his suspension. The draft complaint alleged that defendant’s predecessor law firm had represented plaintiff “in a lawsuit involving [his] efforts to purchase real property in Yonkers, NY,” which was dismissed pursuant to CPLR 3216 for want of prosecution. Goodman asked the court to deny defendant’s motion “in the interests of justice,” and to grant plaintiff 30 days to finalize the complaint with a new attorney.

On June 19, 2008, Supreme Court granted the motion and dismissed the action for nonservice of the complaint, observing that plaintiff had neither demonstrated a meritorious cause of

action nor proffered a reasonable excuse for his default, as was required in order to forestall dismissal under CPLR 3012 (b). The judge noted that plaintiff had neglected to submit an affidavit of merits; further, although plaintiff had “learned from Mr. Goodman on or about the end of January, 2008 of Mr. Goodman’s suspension and plaintiff’s need to retain new counsel,” he did not make “any efforts to retain new counsel before the lapsing of the statutory period during which [he] was required to serve his complaint.” Finally, Supreme Court declined to allow plaintiff a brief period of time to retain new counsel on the ground he had already enjoyed a grace period of “approximately five months after his first having been [apprised] by Mr. Goodman of his need to do [this].”¹

On appeal, plaintiff was represented by counsel. His new attorney invoked CPLR 321 (c), which mandates that

“[i]f an attorney dies, becomes physically or mentally incapacitated, or is removed, suspended or otherwise becomes disabled at any time before judgment, no further proceeding shall be taken in the action against the party for whom he appeared, without leave of the court, until thirty days after notice to appoint another attorney has been served upon that party either personally or in such manner as the court directs.”

On May 12, 2009, the Appellate Division affirmed Supreme Court’s order, concluding that the trial court “did not improvise its discretion in granting the defendant’s motion to dismiss the action” (62 AD3d 765, 765 [2d Dept 2009]). The court observed that because “plaintiff’s contention that the action was stayed pursuant to CPLR 321 (c) [was] raised for the first time on appeal,” it “[was] not properly before [the Appellate Division].” (*Id.*) We subsequently granted plaintiff permission to appeal, and now reverse.

The command of CPLR 321 (c) is straightforward: if an attorney becomes disabled, “*no further proceeding* shall be taken in the action against the party for whom he appeared, without leave of the court, until thirty days after notice to appoint another attorney has been served upon that party either

1. As noted previously, the record reveals that Goodman was suspended from the practice of law in late January 2008, but not the date when Goodman advised plaintiff of the suspension, or whether or when plaintiff may have otherwise learned about Goodman’s disability.

personally or in such manner as the court directs” (emphasis added). As the Practice Commentaries explain, CPLR 321 (c) brings about “an automatic stay of the action,” which “goes into effect with respect to the party for whom the [disabled] attorney appeared” (Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C321:3, at 183).² As a result,

“[d]uring the stay imposed by CPLR 321(c), no proceedings against the party will have any adverse effect. It lies within the power of the other side to bring the stay to an end by serving a notice on the affected party to appoint new counsel within 30 days . . . If, at the end of the period, the party has failed to obtain new counsel (or elected to proceed pro se), the proceedings may continue against the party” (*id.*).

The stay is meant to “afford a litigant, who has, through no act or fault of his own, been deprived of the services of his counsel, a reasonable opportunity to obtain new counsel before further proceedings are taken against him in the action” (*Hendry v Hilton*, 283 App Div 168, 171 [2d Dept 1953] [discussing Civil Practice Act § 240, the predecessor statute to CPLR 321 (c)]).

[1] This lawsuit was automatically stayed by operation of CPLR 321 (c) on January 24, 2008, the date when plaintiff’s attorney was suspended from the practice of law. Defendant never acted to lift the stay by serving a notice upon plaintiff to appoint new counsel within 30 days. Thus, Supreme Court’s order dismissing the action must be vacated (*see e.g. Galletta v Siu-Mei Yip*, 271 AD2d 486, 486 [2d Dept 2000] [“Since the judgment entered upon the defendants’ default in appearing at trial was obtained without the plaintiff’s compliance with CPLR 321 (c), it must be vacated”]; *McGregor v McGregor*, 212 AD2d 955, 956 [3d Dept 1995] [“The record reveals no compliance with the leave or notice requirements of CPLR 321 (c). The appropriate remedy for a violation of CPLR 321 (c) is vacatur of the judgment”]).

Defendant resists this outcome on two grounds. First, he points out that CPLR 321 (c) permits further proceedings by “leave of the court.” Defendant contends that Supreme Court exercised this “express statutory authority to hear and grant

2. Plaintiff suggests that Supreme Court “lost jurisdiction” upon Goodman’s suspension; however, the statute says that the disability of a party’s attorney creates an automatic stay—not that it divests the court of jurisdiction.

defendant's motion to dismiss after [Goodman] was suspended from the practice of law." The drafter's notes on CPLR 321 (c), however, state that the words "without leave of the court" were "designed to allow the court to vary the [30-day] rule in cases where the stay of proceedings would produce undue hardship to the opposing party, as where the time to take an appeal or other action would run or where a provisional remedy is sought and speed is essential" (4th Preliminary Rep of Advisory Comm on Prac and Pro, 1960 NY Legis Doc No. 20, at 191). No remotely comparable situation existed at the time Supreme Court dismissed this action. Moreover, Supreme Court did not mention CPLR 321 (c), much less articulate a basis for exercising its discretion to relax the 30-day notice requirement.

[2] Second, defendant argues that plaintiff is foreclosed from bringing up CPLR 321 (c) for the first time on appeal, as the Appellate Division concluded. While we do not as a general rule resolve cases on grounds not raised in the trial court, the context here is unusual. We are dealing with a statute intended to protect litigants faced with the unexpected loss of legal representation. And there is no indication in this record that plaintiff sought to raise CPLR 321 (c) only after having conducted his lawsuit pro se for some period of time after his attorney became disabled (*cf. Telmark, Inc. v Mills*, 199 AD2d 579, 580-581 [3d Dept 1993]). As a general rule, unrepresented litigants should not be penalized for failing to alert a trial court to the existence of an automatic stay created for the very purpose of safeguarding them against adverse consequences while they are unrepresented. And as the Practice Commentaries point out, all it takes to end the automatic stay is service of a 30-day notice on the affected party.

Accordingly, the order of the Appellate Division should be reversed, with costs, the complaint reinstated, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[938 NE2d 910, 912 NYS2d 477]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
NATHANIEL SYVILLE, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TONY
COUNCIL, Appellant.

Argued September 14, 2010; decided October 14, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 26, 2009. The Appellate Division denied defendant's application for a writ of error coram nobis to vacate an order of that Court entered July 13, 2006 (2006 NY Slip Op 71954[U]), which had denied defendant an extension of time within which to file a notice of appeal from a judgment of the Supreme Court, New York County (William A. Wetzel, J.), convicting defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 26, 2009. The Appellate Division denied defendant's application for a writ of error coram nobis and for permission to perfect his appeal with respect to a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon a jury verdict, of conspiracy in the second degree and criminal sale of a controlled substance in the first degree (two counts).

People v Syville, 2009 NY Slip Op 73324(U), reversed.

People v Council, 2009 NY Slip Op 73325(U), reversed.

HEADNOTES

Crimes — Appeal — Extension of Time for Taking Appeal — Exception to One-Year Time Limit

1. The one-year time limit contained in CPL 460.30 (1) for the filing of a motion for leave to file a late notice of appeal does not categorically bar an appellate court from considering an application to pursue an untimely appeal made by a defendant whose attorney failed to comply with the defendant's timely request for the filing of a notice of appeal and who alleges that the omission could not reasonably have been discovered within the one-year period. For purposes of invoking this exception to the general bar on seeking

relief after the expiration of the statutory grace period, the common-law writ of error coram nobis is the appropriate avenue for relief. Since the adoption of the CPL, the writ continues to be available to alleviate a constitutional wrong when a defendant has no other procedural recourse. Here, each defendant, in seeking coram nobis relief, claimed that his right to appeal was lost because his attorney failed to comply with the timely request to file a notice of appeal. Those alleged constitutional errors did not appear on the trial record and defendants could not have brought those errors to the attention of the trial courts since the omissions did not occur until after the judgments of conviction. Furthermore, the coram nobis proceedings brought by defendants sought only the right to pursue an appeal—they were not a substitute for a new trial, appeal or other statutory remedy. The only statutory recourse for defendants, CPL 460.30, was unavailable because the one-year time limit had expired.

Appeal — Court of Appeals — Preservation of Issue for Review

2. In separate coram nobis proceedings brought by defendants who claimed that their respective attorneys failed to comply with their timely requests for the filing of a notice of appeal and that the omissions could not reasonably have been discovered within the one-year time limit contained in CPL 460.30 (1) for seeking leave to file a late notice of appeal, the People's argument that each defendant should be required to show that he acted with due diligence to protect his appellate rights and that he reasonably failed to discover the error within one year was not properly before the Court of Appeals. At the Appellate Division, the People did not argue that a due diligence standard should be employed, did not oppose either defendant's application, and never suggested that the loss of appellate rights was attributable to anything other than deficient performance by trial counsel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 252, 279, 284, 618; AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 196, 200, 201, 217–220.
CARMODY-WAIT 2d, Habeas Corpus § 139:22; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:90–207:93, 207:169.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.3, 27.5.
MCKINNEY's, CPL 460.30.
NY JUR 2d, Criminal Law: Procedure §§ 3467, 3535–3539, 3637.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Coram Nobis.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: coram /2 nobis /p timely /5 appeal & late /4 notice

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Abigail Everett* and *Robert S. Dean* of counsel), for appellant in the first

above-entitled action. The Appellate Division erred when it denied appellant's coram nobis petition despite conceded facts showing, as a matter of law, that defense counsel's failure to file a timely notice of appeal fell below constitutional standards. (*Evitts v Lucey*, 469 US 387; *People v Bachert*, 69 NY2d 593; *Penson v Ohio*, 488 US 75; *People v O'Bryan*, 26 NY2d 95; *People v Montgomery*, 24 NY2d 130; *People v West*, 100 NY2d 23; *Roe v Flores-Ortega*, 528 US 470; *Restrepo v Kelly*, 178 F3d 634; *Castellanos v United States*, 26 F3d 717; *Strickland v Washington*, 466 US 668.)

Cyrus R. Vance, Jr., District Attorney, New York City (Alan Gadlin and Patrick J. Hynes of counsel), for respondent in the first above-entitled action. Under the unusual circumstances of this case, coram nobis relief should be available to defendant so that he can file a late notice of appeal. (*Roe v Flores-Ortega*, 528 US 470; *Evitts v Lucey*, 469 US 387; *People v Bachert*, 69 NY2d 593; *People v West*, 100 NY2d 23; *People v Montgomery*, 24 NY2d 130; *People v O'Bryan*, 26 NY2d 95; *Rodriguez v United States*, 395 US 327; *Canales v Roe*, 151 F3d 1226; *People v Torres*, 179 AD2d 358; *People v Harris*, 79 NY2d 909.)

Law Offices of Joel B. Rudin, New York City (Benjamin C. Fishman and Joel B. Rudin of counsel), for appellant in the second above-entitled action. The Appellate Division erred in denying coram nobis relief, to which the People consented, for ineffective assistance of appellate counsel, based upon appellant's undisputed showing that his trial attorney promised, but failed, to file a notice of appeal, and then compounded his negligence by failing to move for an extension of time to file the notice under CPL 460.30. (*Penson v Ohio*, 488 US 75; *Evitts v Lucey*, 469 US 387; *Griffin v Illinois*, 351 US 12; *People v Bachert*, 69 NY2d 593; *People v Casiano*, 67 NY2d 906; *People v Gonzalez*, 47 NY2d 606; *Roe v Flores-Ortega*, 528 US 470; *Rodriguez v United States*, 395 US 327; *Peguero v United States*, 526 US 23; *People v O'Bryan*, 26 NY2d 95.)

Cyrus R. Vance, Jr., District Attorney, New York City (Alan Gadlin and Patrick J. Hynes of counsel), for respondent in the second above-entitled action. The statutory requirement that defendant act with due diligence in moving to file a late notice of appeal is entirely consistent with due process, and a defendant cannot avoid the requirement by seeking relief pursuant to coram nobis. Accordingly, this proceeding should be remanded for the First Department to consider whether defendant acted

with due diligence in seeking relief from trial counsel's failure to file a notice of appeal. (*Roe v Flores-Ortega*, 528 US 470; *Evitts v Lucey*, 469 US 387; *People v Bachert*, 69 NY2d 593; *People v West*, 100 NY2d 23; *People v Montgomery*, 24 NY2d 130; *People v O'Bryan*, 26 NY2d 95; *Rodriguez v United States*, 395 US 327; *People v Lampkins*, 21 NY2d 138; *People v Corso*, 40 NY2d 578; *People v Callaway*, 24 NY2d 127.)

OPINION OF THE COURT

GRAFFEO, J.

CPL 460.30 permits the Appellate Division to excuse a defendant's failure to file a timely notice of appeal from a criminal conviction if the application is made within one year of the date the notice was due. In these cases, we are asked whether the coram nobis procedure is available to afford further relief to defendants who did not move within the one-year grace period because they were unaware during that year that their attorneys had not complied with their requests to file notices of appeal.

People v Nathaniel Syville

Nathaniel Syville was tried three times for charges arising from a January 2001 drug transaction that culminated in a shooting incident involving multiple victims. The first trial ended in a mistrial when the jury deadlocked on all charges. At the second trial, Syville was convicted of criminal possession of a weapon in the second degree, acquitted of attempted murder relating to one victim and the jury hung on the remaining attempted murder and assault counts, resulting in a second mistrial as to those offenses. Syville was sentenced on the weapon possession conviction in November 2004 but execution of his sentence was stayed pending resolution of the remaining charges. The third trial again culminated in a mistrial in January 2006 and, the following month, the unresolved charges were dismissed when the People announced that they would not seek a fourth trial. Syville's attorney filed a notice of appeal relating to the November 2004 conviction in March 2006.

In July 2006, Syville filed a pro se motion for poor person status and other relief, at which time he discovered that the notice of appeal filed by his trial attorney had not been timely under CPL 460.10 (1) (a). That statute required that a notice of appeal be filed within 30 days of the November 2004 sentencing proceeding. CPL 460.30 permits a defendant to seek leave to file a late notice of appeal provided that the application is made

within one year of the date the notice should have been filed. In this case, however, the one-year grace period had already elapsed by the time Syville discovered his attorney's error. Once he learned of the untimely filing, Syville pursued several applications for relief under CPL 460.30 but those requests were denied by the Appellate Division.

Syville subsequently applied for a writ of error coram nobis in the Appellate Division, again seeking permission to file a late notice of appeal. The petition included affidavits from Syville and his former attorney stating that, upon being convicted of the weapon possession offense, Syville had requested that his attorney file a notice of appeal on his behalf. Indeed, the record reflects that Syville's counsel announced at the sentencing proceeding that he intended to file such a notice. In his affidavit, the attorney explained that he did not file a notice of appeal within 30 days of the November 2004 judgment of conviction under the mistaken belief that it would have been premature to file the notice of appeal while some of the charges remained pending. Furthermore, he had erroneously believed that when the sentencing court stayed the sentence, the 30-day period for filing a notice of appeal was also stayed. Syville contended that he had reasonably relied on his counsel's advice concerning the proper time for filing a notice of appeal and the failure to timely pursue an appeal was entirely a product of lawyer error.

In the coram nobis application, Syville argued that he should not be penalized for his attorney's mistake because he had not—and could not reasonably have—discovered the error within the one-year grace period, particularly since he continued to be represented by the same lawyer throughout the relevant time period. Contending that his attorney's lapse amounted to unconstitutional ineffective assistance of counsel, defendant claimed that it would offend the Due Process Clause to apply the one-year statutory time limit to preclude his pursuit of an appeal. The People consented to coram nobis relief. Noting these unusual circumstances, the People reasoned that Syville should be allowed to perfect his direct appeal in that his failure either to meet the 30-day filing deadline or request relief within the CPL 460.30 (1) one-year grace period stemmed solely from defense counsel's legal error. Notwithstanding the People's concession, the Appellate Division denied Syville's application for coram nobis relief. A Judge of this Court granted Syville leave to appeal (13 NY3d 911 [2009]).

People v Tony Council

After a jury convicted him of conspiracy in the second degree and two counts of criminal sale of a controlled substance in the first degree, Tony Council was sentenced in February 2007, thereby triggering the 30-day period for filing a notice of appeal. Council's trial attorney did not file a notice of appeal within 30 days of the judgment of conviction.

More than two years later, when Council retained a different lawyer to represent him on appeal, he filed a coram nobis application in the Appellate Division seeking leave to file a late notice of appeal and a reasonable extension of time to perfect the appeal. The application was supported by affidavits from Council, his mother, his trial attorney and his appellate lawyer. Those affidavits revealed that, at the time of his conviction, Council had asked his trial attorney to file a notice of appeal. In fact, Council maintained that his attorney demanded and received payment of \$2,000 prior to filing the notice.¹ His trial attorney, who was not retained to perfect the appeal, averred that he had neglected to file the notice of appeal as a result of "law office failure."

Council remained unrepresented for the next two years. He asserted that he was distracted by health problems and that he had relied on his mother to raise the funds necessary to hire a lawyer to perfect the appeal. During this time, Council claimed that he periodically asked his mother to expedite her efforts out of concern that the time to file an appellate brief might expire. But it appears from the record that Council never contacted the Appellate Division to ascertain the deadline for perfecting his appeal nor pursued poor person relief or assignment of counsel in that court.

In the course of interviewing a prospective appellate attorney in January 2009, Council's mother discovered that trial counsel had not filed a notice of appeal. At this point in time, both the 30-day period for filing a timely notice of appeal and the CPL 460.30 one-year grace period had long since expired. Eventually, Council hired an appellate lawyer, who filed an application for coram nobis relief in April 2009. In response to that application and the affidavits detailed above, the People submitted a two-paragraph affirmation asserting that, given the trial attorney's

1. The record does not reveal whether this sum represented an unpaid balance relating to the trial representation or a fee associated solely with preparation and filing of the notice of appeal.

acknowledgment that defendant had timely requested that he file a notice of appeal and that his failure to do so was the result of law office failure, the People did not oppose Council's request for relief. Despite the People's lack of opposition, the Appellate Division denied Council coram nobis relief in a brief memorandum opinion, citing CPL 460.30. After Council's subsequent request for rehearing and reconsideration was denied, a Judge of this Court granted Council leave to appeal (13 NY3d 859 [2009]).

Analysis

The primary issue on appeal is whether a defendant who discovers after the expiration of the CPL 460.30 grace period that a notice of appeal was not timely filed due to ineffective assistance of counsel has recourse through a coram nobis application. Recognizing that the Due Process Clause of the Federal Constitution requires that some avenue for relief be provided in such a circumstance, we conclude that coram nobis is the appropriate procedural course in New York.

We begin with the recognition that there is no federal constitutional mandate that requires states to grant criminal defendants an appeal as of right for review of trial errors (*Evitts v Lucey*, 469 US 387, 393 [1985]). Thus, "[t]he right to appeal is a statutory right that must be affirmatively exercised and timely asserted" (*People v West*, 100 NY2d 23, 26 [2003], *cert denied* 540 US 1019 [2003]). But that being said, where a state has granted a criminal defendant a direct appeal as of right (as does New York), it must "make that appeal more than a meaningless ritual" by affording a right to counsel on appeal (*Evitts* at 394 [internal quotation marks and citation omitted]). It follows that "[a] first appeal as of right . . . is not adjudicated in accord with due process of law if the appellant does not have the effective assistance of an attorney" (*id.* at 396).

When defense counsel disregards a client's timely request to file a notice of appeal, the attorney "acts in a manner that is professionally unreasonable" (*Roe v Flores-Ortega*, 528 US 470, 477 [2000]). In such a situation, a defendant justifiably relies on the lawyer to carry out the purely ministerial task of taking the first step to preserve the right to appellate review (*id.*). When counsel's omission causes a defendant to lose the right to perfect or obtain merits consideration of an appeal, the deficient performance amounts to ineffective assistance of counsel in violation of the Due Process Clause (*see Evitts*, 469 US 387 [1985];

see also Roe, 528 US 470 [2000]). The Due Process Clause prohibits a defendant from being denied the right to appeal as a consequence of the violation of another constitutional right—the right to the effective assistance of counsel on direct appeal (*see Evitts*, 469 US at 400). Hence, to establish a constitutional violation in this context, a defendant need not identify potentially meritorious issues that would be raised on appeal; the defendant need only demonstrate that, as a result of counsel’s deficient performance, appellate rights were extinguished (*Roe* at 484-485).

Based on this precedent, we conclude that a defendant must be provided with an opportunity to assert a claim that the right to appeal has been lost due solely to the unconstitutionally deficient performance of counsel in failing to file a timely notice of appeal. The question then becomes what procedural vehicle is available in New York for a defendant to raise this distinct type of ineffective assistance of counsel argument? To resolve this inquiry, we must review the historical use of the writ of error coram nobis, the impact of CPL 460.30 on the common-law writ and our precedent interpreting that statute.

Even before the United States Supreme Court articulated a constitutional right to effective assistance of counsel on direct appeal, this Court had recognized that a defendant whose right to appeal is lost through his attorney’s deficient performance should have a remedy. Before CPL 460.30 was enacted in 1970, such a claim could be pursued by the filing of an application for a writ of error coram nobis (*see People v Callaway*, 24 NY2d 127 [1969]; *People v Montgomery*, 24 NY2d 130 [1969]). This type of application, known as a *Montgomery* claim, prompted a hearing in the trial court to determine whether the defendant had been reasonably induced to allow the time to take an appeal to expire by reason of an attorney’s misrepresentation that defendant’s appellate rights would be protected. A defendant who prevailed at the hearing was “resentenced” nunc pro tunc—a procedure that restarted the 30-day period for filing a notice of appeal—thereby permitting an appeal on the merits.

The *Montgomery* claim procedure was largely superceded when the Legislature adopted the modern Criminal Procedure Law in 1970. As we recognized in *People v Corso* (40 NY2d 578 [1976]), most of the grounds for coram nobis relief previously authorized under the common law were codified in CPL 440.10, a provision that does not encompass *Montgomery* relief. “CPL 440.10 is designed and delineates the grounds for vacating a

judgment of conviction while, on a *Montgomery* claim, the defendant essentially seeks an extension of time for taking an appeal” (*Corso* at 580). In limited circumstances, a modified form of *Montgomery* relief was authorized in CPL 460.30, which allows a defendant whose notice of appeal was not timely filed to apply to the Appellate Division to extend the time for pursuing an appeal. Such relief may be granted if

“the failure to so file or make application in timely fashion resulted from (a) improper conduct of a public servant or improper conduct, death or disability of the defendant’s attorney, or (b) inability of the defendant and his attorney to have communicated, in person or by mail, concerning whether an appeal should be taken” (CPL 460.30 [1]).

The motion “must be made with due diligence after the time for the taking of such appeal has expired, *and in any case not more than one year thereafter*” (CPL 460.30 [1] [emphasis added]). CPL 460.30 eliminated the need for resentencing as a basis to extend the time for timely filing a notice of appeal, which is consistent with a provision elsewhere in the CPL that precludes a party from challenging the underlying conviction in an appeal from a resentencing (*see* CPL 450.30 [3], [4]).

In *Corso*, we noted that CPL 460.30 (1) contains a significant restriction as it imposes a one-year limit for the filing of a motion for leave to file a late notice of appeal. Characterizing the one-year period as jurisdictional in *People v Thomas* (47 NY2d 37 [1979]), we have previously identified only one exception to the general bar on seeking relief after the expiration of the statutory grace period. We have authorized an appeal despite noncompliance with the CPL 460.30 time limit when, through action or unjustifiable inaction by a prosecutor, defendant’s diligent and good faith efforts to exercise his appellate rights within the one-year time frame were thwarted (*id.* at 43; *People v Johnson*, 69 NY2d 339 [1987]).

[1] Today, consistent with the due process mandate, we recognize the need for a second exception. Where an attorney has failed to comply with a timely request for the filing of a notice of appeal and the defendant alleges that the omission could not reasonably have been discovered within the one-year period, the time limit imposed in CPL 460.30 should not categorically bar an appellate court from considering that defendant’s application

to pursue an untimely appeal.² Turning to the procedure to be used in invoking the exception, we conclude that the common-law writ of error coram nobis affords the appropriate avenue for relief. Since the adoption of the CPL, we have acknowledged that the writ continues to be available to alleviate a constitutional wrong when a defendant has no other procedural recourse (*People v Bachert*, 69 NY2d 593 [1987]).

“In its modern context a motion for a writ presupposes a violation of the defendant’s constitutional rights not appearing on the record, no negligence which could be attributed to the defendant for failure to have brought the alleged error to the attention of the court at the time of the trial, and further, that the current proceeding is not a substitute for a new trial, appeal or other statutory remedy” (*id.* at 598 [internal quotation marks and citations omitted]).

Here, each defendant claims that his right to appeal was lost because his attorney failed to comply with the timely request to file a notice of appeal. These alleged constitutional errors do not appear on the trial record and defendants could not have brought these errors to the attention of the trial courts since the omissions did not occur until after the judgments of conviction. Furthermore, the coram nobis proceedings seek only the right to pursue an appeal—they are not a substitute for a new trial, appeal or other statutory remedy. As to the latter, the only statutory recourse appears in CPL 460.30—and that remedy is unavailable because the one-year time limit has expired.³ Accordingly, a defendant seeking relief under the exception we

2. We expect that it will be the rare case where this exception must be utilized. As defendants here acknowledge, in most cases strict enforcement of the CPL 460.30 time limit is constitutionally permissible because attorneys usually accede to their clients’ requests to file notices of appeal and, when they fail to do so, most defendants are in a position to discover the omission within the statutory grace period.

3. As we observed in *Corso*, CPL 440.10 provides no statutory avenue for relief for this category of ineffective assistance of counsel claims because it allows defendants to challenge the validity of judgments of conviction—not circumstances that occur post-conviction. If the relief a defendant is seeking is a direct appeal, that relief is not within the cadre of remedies a trial-level court may grant under CPL 440.10. That is not to say that CPL 440.10 is of no utility in this situation because a defendant might secure significant underlying relief in a CPL 440.10 motion. Although a CPL 440.10 motion cannot result in permission to file a late notice of appeal, a defendant can secure the same relief as could be achieved through a successful appeal if the challenge to the

(n. cont’d)

recognize today may use a coram nobis application filed in the Appellate Division.

We now turn to the specific claims before us. The parties are in agreement that coram nobis provides the appropriate procedural avenue for relief for this category of ineffective assistance of counsel claims. But the People urge us to further hold that, consistent with the requirements of CPL 460.30, defendants who wish to invoke the exception should be required to show that they acted with due diligence to protect their appellate rights, along with demonstrating that they reasonably failed to discover within the one-year grace period that a notice of appeal had not been timely filed.⁴ In essence, the People argue that a defendant should be required to establish that his attorney's omission was the cause of the delay in pursuing relief—in other words, that the delay was not a consequence of the defendant's unjustifiable failure to timely pursue an appeal. In these cases, the People contend that Syville has established due diligence as a matter of law and is entitled to coram nobis relief but that Council's application should be remitted to the Appellate Division because resolution of that due diligence inquiry would present a mixed question of law and fact.

[2] Despite the importance of this issue, the People's due diligence argument is not properly before this Court for review. At the Appellate Division, the People neither asserted that such a standard should be employed nor opposed either defendant's request for coram nobis relief. And the People never suggested that the loss of appellate rights in these cases was attributable to anything other than deficient performance by trial counsel.

conviction fits within one of the permissible claims in CPL 440.10. A defendant is therefore barred from raising a claim in a CPL 440.10 proceeding that could have been raised on direct appeal only if there was an "unjustifiable failure" to raise the issue on direct appeal (see *People v Cuadrado*, 9 NY3d 362, 365 [2007]). If a defendant was prevented from pursuing his direct appeal solely due to his attorney's noncompliance with a request to file a notice of appeal, the failure to raise the issue in question on direct appeal would be justifiable (see e.g. *People v Lard*, 45 AD3d 1331 [4th Dept 2007]).

4. The People also urge that, in the absence of a due diligence requirement, a defendant would be free to turn his attorney's error into an undue appellate advantage by postponing the coram nobis application and subsequent perfection of the appeal, thereby detrimentally affecting the People's ability to retry the charges in the event of a reversal. For example, if a defendant learned of his attorney's error one month after the CPL 460.30 grace period had elapsed but then waited five years to seek coram nobis relief, the People maintain that the Appellate Division should have the discretion to deny the application if defendant failed to proffer a reasonable excuse for the delay.

As a consequence, we have no occasion to address whether a defendant in this circumstance may be denied relief based on a lack of due diligence in pursuing appellate rights.

In these appeals, the Appellate Division appears to have based its decisions denying relief exclusively on CPL 460.30, suggesting the court believed that the one-year statutory limit barred defendants from pursuing their appeals. Since we now reject that conclusion, and the People failed to preserve for review any other basis for denying relief, both defendants' coram nobis applications should be granted. We therefore remit each case to the Appellate Division so that defendants may pursue their direct appeals on the merits.

Accordingly, the orders of the Appellate Division should be reversed, defendants' coram nobis applications should be granted and the cases remitted to the Appellate Division for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

In each case: Order reversed, etc.

[940 NE2d 522, 914 NYS2d 696]

In the Matter of NEW YORK CHARTER SCHOOL ASSOCIATION et al., Respondents, v M. PATRICIA SMITH, as Commissioner of Labor, Appellant.

In the Matter of FOUNDATION FOR A GREATER OPPORTUNITY et al., Respondents, v M. PATRICIA SMITH, as Commissioner of Labor, et al., Appellants.

Argued September 13, 2010; decided October 19, 2010

SUMMARY

APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 2, 2009. The Appellate Division (1) reversed, on the law, (a) a judgment of the Supreme Court, Albany County (Michael C. Lynch, J.), entered in the first above-entitled combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had denied a petition to review a determination of respondent M. Patricia Smith, as Commissioner of Labor, that any work performed on the construction, repair or maintenance of a charter school is subject to the prevailing wage law, and (b) a judgment of that Court (op 20 Misc 3d 453), entered in the second above-entitled combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had denied a petition to review respondent's determination and declared that Labor Law article 8 is applicable to the construction, renovation, repair, and maintenance of charter schools established pursuant to Education Law article 56; (2) granted the petitions; and (3) declared that petitioners are not subject to the prevailing wage laws of Labor Law article 8.

Matter of New York Charter School Assn. v Smith, 61 AD3d 1091, affirmed.

HEADNOTE

Labor — Prevailing Rate of Wages — Applicability of Prevailing Wage Laws to Charter School Projects

The Commissioner of Labor erred in ruling that the prevailing wage law mandate of Labor Law § 220 applied to all charter school projects. Two conditions must be met in order for the prevailing wage laws to apply: a specified public agency must be a party to a contract involving the employment of laborers, workmen, or mechanics, and the contract must concern a public works project. The first prong of that test was not met with respect to the projects undertaken by petitioners, charter schools and related entities, as a

charter agreement is not a contract for public work involving the hiring of laborers, workers, or mechanics within the meaning of Labor Law § 220, and charter schools are not one of the public entities specifically identified under Labor Law § 220 (2). Nor did the projects fall within the ambit of the recent amendment to Labor Law § 220 (2), which sought to enforce prevailing wage laws on jobs in which private parties are carrying out public work projects on behalf of public owners. Although the prevailing wage laws might apply to a facilities contract where a charter school is acting in place of, on behalf of and for the benefit of a public entity, the facilities contracts contemplated here involved projects in which the foundation or the charter school owned the building and all construction, renovation, repair and maintenance of the building were the responsibility of the charter school.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 218, 228; AM
JUR 2d, Schools §§ 3, 11, 14.

McKINNEY's, Labor Law art 8; 220.

NY JUR 2d, Public Works and Contracts §§ 94, 95; NY JUR
2d, Schools, Universities, and Colleges § 629.

ANNOTATION REFERENCE

What entities or projects are "public" for purposes of state statutes requiring payment of prevailing wages on public works projects. 5 ALR5th 470.

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Database: NY-ORCS

Query: charter /2 school /s prevailing /2 wage

POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, Albany (Zainab A. Chaudhry, Barbara D. Underwood and Andrew D. Bing of counsel), for appellants. Charter school facility projects satisfy the contract prong of the *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983], *affd for reasons stated below* 63 NY2d 810 [1984]) prevailing wage law test. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor*, 223 AD2d 285; *United Bhd. of Carpenters & Joiners, Local 747 v New York State Dept. of Labor*, 291 AD2d 781; *Matter of Orens v Novello*, 99 NY2d 180; *ELRAC, Inc. v Masara*, 96 NY2d 847; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *United States v Craft*, 535 US 274; *Matter of Oswald N.*, 87 NY2d 98; *Matter of Stephens & Rankin v*

Hartnett, 160 AD2d 1201; *Matter of Sierra Telcom Servs. v Hartnett*, 174 AD2d 279.)

Couch White, LLP, Albany (*James J. Barriere, Michael T. Wallender* and *Nathan R. Sabourin* of counsel), for New York Charter School Association and others, respondents. Charter school facility projects do not satisfy the *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983], *affd* for reasons stated below 63 NY2d 810 [1984]) prevailing wage test. (*Bucci v Village of Port Chester*, 22 NY2d 195; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Fineway Supermarkets v State Liq. Auth.*, 48 NY2d 464; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Brukhman v Giuliani*, 94 NY2d 387; *Varsity Tr. v Saporita*, 71 AD2d 643; *Matter of Pinkwater v Joseph*, 275 App Div 757, 300 NY 729; *Matter of Twin State CCS Corp. v Roberts*, 72 NY2d 897; *Maybee v State of New York*, 4 NY3d 415; *United Bhd. of Carpenters & Joiners, Local 747 v New York State Dept. of Labor*, 291 AD2d 781.)

Sonnenschein Nath & Rosenthal LLP, New York City (*Richard M. Zuckerman, Peter D. Wolfson* and *Oscar N. Pinkas* of counsel), for Foundation for a Greater Opportunity and others, respondents. The prevailing wage laws do not apply to construction, renovation, repair and maintenance of the facilities of charter schools. (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Jones v Bill*, 10 NY3d 550; *Matter of Lantry v State of New York*, 6 NY3d 49; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Davidson Pipe Supply Co. v Wyoming County Indus. Dev. Agency*, 85 NY2d 281; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Matter of Stephens & Rankin v Hartnett*, 160 AD2d 1201; *Matter of Sierra Telcom Servs. v Hartnett*, 174 AD2d 279, 79 NY2d 1039, 507 US 972.)

Rivera Driscoll & Carey, LLP, Albany (*Patrick E. Brown, Justin E. Driscoll* and *Gilbert L. Carey* of counsel), for New York State Building & Construction Trades Council, AFL-CIO, amicus curiae. I. Article I, § 17 of the New York State Constitution requires prevailing wages to be paid for construction work on buildings paid for, at least in part, with public funds, and which provide essential public functions. (*Brukhman v Giuliani*, 94 NY2d 387; *Campbell v City of New York*, 244 NY 317;

Long Is. R.R. Co. v Department of Labor of State of N.Y., 138 Misc 612, 256 NY 498; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *People v Crane*, 214 NY 154.) II. The Appellate Division erroneously held that the prevailing wage requirements of article 8 of the Labor Law are not applicable to the construction, reconstruction, renovation, repair and maintenance of charter schools. (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127; *Austin v City of New York*, 258 NY 113; *Long Is. R.R. Co. v Department of Labor*, 256 NY 498; *Bucci v Village of Port Chester*, 22 NY2d 195.)

James R. Sandner, Latham, and *Deborah A. Milham* for New York State United Teachers, amicus curiae. Charter schools are public entities for purposes of the prevailing wage law under the first prong of the *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983], *affd for reasons stated below* 63 NY2d 810 [1984]) test. (*Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Matter of New York State United Teachers v Brighter Choice Charter School*, 64 AD3d 1130, 13 NY3d 712; *Matter of Stephens & Rankin v Hartnett*, 160 AD2d 1201; *Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney*, 89 NY2d 395; *Bucci v Village of Port Chester*, 22 NY2d 195; *Matter of Cocchiarella v Joseph*, 286 App Div 1076; *Matter of Smith v Joseph*, 275 App Div 201, 300 NY 516; *Matter of Gaston v Taylor*, 274 NY 359; *Austin v City of New York*, 258 NY 113.)

Gibson, Dunn & Crutcher LLP, New York City (*Jennifer H. Rearden*, *Michelle M. Craven* and *Netra Sreeprakash* of counsel), for New York City Charter School Center, amicus curiae. I. Charter schools are not “public agencies.” (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532.) II. Contracts for the construction, renovation, repair and maintenance of charter schools are not “public works.” (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532; *Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d 205, 76 NY2d 993; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127; *Matter of Hart v Holtzman*, 215 AD2d 175.)

OPINION OF THE COURT

PIGOTT, J.

Our State Constitution provides that laborers, workers and mechanics engaged in “any public work” cannot “be paid less

than the rate of wages prevailing in the same trade or occupation in the locality within the state where such public work is to be situated, erected or used” (NY Const, art I, § 17). Labor Law § 220 implements this constitutional requirement, providing in pertinent part:

“Each contract to which the state or a public benefit corporation or a municipal corporation or a commission appointed pursuant to law is a party, and any contract for public work entered into by a third party acting in place of, on behalf of and for the benefit of such public entity pursuant to any lease, permit or other agreement between such third party and the public entity, and which may involve the employment of laborers, workers or mechanics shall contain a stipulation that no laborer, worker or mechanic in the employ of the contractor, subcontractor or other person doing or contracting to do the whole or a part of the work contemplated by the contract shall be permitted or required to work more than eight hours in any one calendar day or more than five days in any one week except in cases of extraordinary emergency including fire, flood or danger to life or property” (Labor Law § 220 [2]).

This litigation was sparked by an opinion letter dated August 31, 2007, wherein the New York State Department of Labor declared that the prevailing wage law mandate of Labor Law § 220 applied to all charter school projects. Two weeks later, on September 11, 2007, the Commissioner notified the Charter Schools Institute and the Commissioner of the State Education Department that it would begin to enforce prevailing wage laws on all charter school projects for which the advertising of bids occurred on or after September 20, 2007.

This determination was in stark contrast to the position taken by the Department in the previous seven years. In an opinion letter dated June 29, 2000, the Department then reasoned that,

“generally speaking, a Charter School is not a public entity. Therefore, Charter Schools cannot, as a class, be deemed to be Departments of Jurisdiction as defined under Labor Law Article 8, Section 220. And, in the absence of a contract with a public entity, the requirement to pay prevailing hourly

wages and supplements to workers, laborers, and mechanics employed on a project does not arise.”

In response to this change of opinion, petitioners, two foundations that support the creation of New York charter schools, the New York Charter School Association and three charter schools, commenced the instant proceedings, seeking a judgment declaring that the Commissioner’s new position was taken in excess of her jurisdiction, that the prevailing wage laws do not apply to charter schools and an order enjoining the Commissioner from imposing the prevailing wage laws on them.

Supreme Court denied the petitions holding that the charter agreement between the school and the chartering entity is itself a contract between a public entity and a third party that may involve the employment of laborers, workers or mechanics (*Matter of Foundation for a Greater Opportunity v Smith*, 20 Misc 3d 453, 464 [Sup Ct, Albany County 2008]). Therefore, the court reasoned, the construction, renovation, repair and maintenance of charter schools facilities constitute projects for public works (*id.* at 467).

The Appellate Division reversed, granted the petitions and declared that “petitioners are not subject to the prevailing wage laws of Labor Law article 8” (*Matter of New York Charter School Assn. v Smith*, 61 AD3d 1091, 1095 [3d Dept 2009]). The court found that charter schools are not public entities and, further, that charter agreements are not contracts involving the employment of laborers, workers or mechanics (*id.* at 1094).

This Court granted leave and we now affirm.

I.

In *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983], *affd for reasons stated below* 63 NY2d 810 [1984]), we held that two conditions must be met for the prevailing wage law to apply: “(1) the public agency must be a party to a contract involving the employment of laborers, workmen, or mechanics, and (2) the contract must concern a public works project” (*id.* at 537).

In order for the prevailing wage laws to apply to charter schools, both prongs of the *Erie County* test must be met.

The Commissioner argues that the first prong, the contract requirement, is met for three independent reasons. First, taking the position of Supreme Court, the charter agreement governing the operation of a charter school is itself a contract with a

public entity that contemplates the employment of workers on facility projects. Second, the charter school should be regarded as a public entity for purposes of the prevailing wage law. Finally, the charter school may be regarded as a third-party intermediary when it enters into a charter school facility contract on behalf of or in place of the chartering entity (usually a school district), pursuant to the charter that created it. Taking each of these arguments in order, we hold that the projects undertaken by charter schools contemplated by this litigation do not meet the contract prong of the *Erie County* test.

II.

The Commissioner's first argument is easily disposed of. Labor Law § 220 (2), by its terms, requires that the contract be particular to the "work contemplated" by the parties. In other words, construction or renovation work must be involved (*see e.g. Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d 205 [3d Dept 1990] [lease agreement between county and limited partnership providing financing for the construction project]; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127 [3d Dept 1991] [financing and implementation agreements for the construction]). A charter agreement is not such a document. It is an authorizing agreement under which an agency has determined that an applicant school is competent to be licensed as an education corporation and nothing more (*see* Education Law § 2852 [2]). Although the charter agreement must contain certain information, such as the location of the proposed charter school (*see* Education Law § 2851 [2] [j]), it is not a contract for public work involving the hiring of laborers, workers, or mechanics within the meaning of section 220.

III.

As to the Commissioner's second argument, that charter schools are public entities within the meaning of the prevailing wage law, we disagree. Only four public entities are specifically identified under Labor Law § 220 (2): the State, a public benefit corporation, a municipal corporation or a commission appointed pursuant to law. By its terms, the statute does not expressly apply to education corporations, and that includes charter schools (*see* Education Law § 216-a [1] [a]; § 2853 [1]).

We recognize that charter schools possess some characteristics similar to a public entity. The Legislature created charter schools as "independent and autonomous *public* school[s]" and

granted them powers that “constitute the performance of essential public purposes and governmental purposes of this [S]tate” (Education Law § 2853 [1] [c], [d] [emphasis added]). At the same time, however, charter schools are not governed by appointees of the government, but by a self-selecting board of trustees that has “final authority for policy and operational decisions of the school” (Education Law § 2853 [1] [f]). Further, the Legislature made clear that charter schools are exempt from all other state and local laws, rules, regulations or policies governing public schools (*see* Education Law § 2854 [1] [b]). When the Legislature intended charter schools to be subject to particular laws governing public entities, it has said so (*see e.g.* Education Law § 2584 [1] [e]). Thus, the status of charter schools has often been difficult to define because they may not be easily identified as either a purely private or public entity (*see e.g. Matter of New York Charter Schools Assn., Inc. v Di-Napoli*, 13 NY3d 120 [2009] [holding that charter schools are not political subdivisions of the State, and the task of auditing charter schools was not incidental to audits of public school districts]). While charter schools are a hybrid of sorts and operate on different models, they are significantly less “public” than the entities in those four categories, and thus, it is clear that these charter schools do not fall within any of the four categories to which the prevailing wage law applies.

IV.

Finally, the Commissioner argues that based on a recent amendment to Labor Law § 220, charter schools now fall within its ambit. The argument goes that when the charter schools contract for renovation work, they are contracting in place of, on behalf of and for the benefit of the State or Board of Regents.

In 2007, Labor Law § 220 (2) was amended to close what the bill’s sponsor called a “loophole” (Senate Introducer’s Mem in Support, Bill Jacket, L 2007, ch 678, at 27, 2007 McKinney’s Session Laws of NY, at 2162) in the prevailing wage laws that led to the decision in *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor* (223 AD2d 285 [3d Dept 1996]). In *Pyramid*, a private contractor, acting under a State Department of Transportation (DOT) permit, built a public road on state land to provide access to Interstate Highway 81 (*id.* at 286). The court found that, although the highway project was a “public works project,” prevailing wage laws did not apply because “DOT was not a party to any contract involving the construction of the project” (*id.* at 287).

The purpose of this amendment was to enforce prevailing wage laws on jobs, like the one in *Pyramid*, in which private parties are carrying out public work projects on behalf of public owners. Neither the amendment nor any of the supporting legislative history suggest that the prevailing wage laws would therefore extend to charter schools.

Indeed, the Charter Schools Act itself provides to the contrary: “[n]either the local school district, the charter entity nor the state shall be liable for the debts or financial obligations of a charter school or any person or corporate entity who operates a charter school” (Education Law § 2853 [1] [g]).

A charter school must secure and maintain, on its own, the facilities where it conducts its educational mission—whether by raising private funds to build a school, renting existing facilities, arranging to have a donor provide facilities or other appropriate means. When an education corporation enters into a facilities contract for a charter school, it typically does so on its own behalf, in its own name, and at its own risk. Thus, unlike in *Pyramid*, where the private entity was clearly acting to benefit the State, a renovation contract by a charter school is only for the benefit of the charter school itself.

Our holding today should not be read to mean that every facilities contract in which a charter school is a party is exempt from the prevailing wage laws. There may be contracts where a charter school is acting in place of, on behalf of and for the benefit of a public entity, where the prevailing wage law may apply. We need not address the application of section 220 to those situations because the facilities contracts contemplated by this litigation involve projects in which the foundation or the charter school owns the building and all construction, renovation, repair and maintenance of the building are the responsibility of the charter school.

V.

In sum, we hold that the first prong of the *Erie County* test, the contract requirement, has not been met in these cases. Thus, the blanket ruling of the Commissioner, based on the arguments set forth, is in error. In light of our holding, we need not consider whether charter school projects are public works under the second prong of the prevailing wage law test.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). Charter schools provide alternative educational opportunities in our communities. With the use of innovative teaching techniques and environments, these schools are designed to improve the quality of our children's education. However, charter schools are, in essence, public schools performing a vital public service and should be treated as such for purposes of the prevailing wage rate requirement. Accordingly, I respectfully dissent.

The State Constitution provides that the "[l]abor of human beings is not a commodity nor an article of commerce and shall never be so considered or construed" (NY Const, art I, § 17). To that end, the Constitution states that

"[n]o laborer, worker or mechanic, in the employ of a contractor or sub-contractor engaged in the performance of any public work . . . [shall] be paid less than the rate of wages prevailing in the same trade or occupation in the locality within the state where such public work is to be situated, erected or used" (NY Const, art I, § 17).

These requirements are implemented by article 8 of the Labor Law. Labor Law § 220 sets limitations on the number of hours and the length of the work week for workers on public works contracts, and requires payment of the prevailing wage rate for

"[e]ach contract to which the state or a public benefit corporation or a municipal corporation or a commission appointed pursuant to law is a party, and any contract for public work entered into by a third party acting in place of, on behalf of and for the benefit of such public entity pursuant to any lease, permit or other agreement between such third party and the public entity, and which may involve the employment of laborers, workers or mechanics" (Labor Law § 220 [2], [3] [a]).

This Court has held that Labor Law § 220

"must be construed with the liberality needed to carry out its beneficent purposes . . . [The] statute is an attempt by the State to hold its territorial subdivisions to a standard of social justice in their dealings with laborers, workmen and mechanics. It is to be interpreted with the degree of liberality essential to the attainment of the end in view" (*Bucci v Village of Port Chester*, 22 NY2d 195, 201 [1968] [internal quotation marks omitted]).

The long-standing test for determining whether the prevailing wage rate is applicable to a given project is found in *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [4th Dept 1983], *affd* 63 NY2d 810 [1984]). The Court developed a two-part test that needed to be satisfied before the prevailing wage rate requirement had to be observed: “(1) the public agency must be a party to a contract involving the employment of laborers, workmen, or mechanics, and (2) the contract must concern a public works project” (*Erie County*, 94 AD2d at 537). The Appellate Division based its determination that the prevailing wage rate does not apply to charter schools only on the first prong—the contract prong—of the *Erie County* test.

As noted above, Labor Law § 220 (2) contains a clause allowing a contract entered into by a third party on behalf of a public entity to qualify as a “contract” within the meaning of the statute. That provision was added in 2007, in response to the decision in *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor* (223 AD2d 285 [3d Dept 1996]). In *Pyramid*, the owner of a mall obtained highway work permits from the Department of Transportation (DOT), allowing roads to be constructed on state land, connecting the mall to the nearby interstate highway. The mall owner then contracted with a third party to perform the work. The Court found it clear that the project would qualify as a “public works project,” but found that the contract requirement was not satisfied, in part because DOT was not a party to any contract—the sole contract being between the mall owner and the third party (*see Pyramid*, 223 AD2d at 287-288). The Court therefore found that the project was not subject to the prevailing wage law.

The legislative history demonstrates that the 2007 amendments were intended to overrule the holding in *Pyramid*. “The narrow court interpretations of the term ‘agreement’ created an unwarranted loophole that has prevented the application of prevailing wage rules to public work projects that should be subject to those rules, and this bill properly closes that loophole in the law” (Governor’s Approval Mem, Bill Jacket, L 2007, ch 678, at 5, 2007 NY Legis Ann, at 426). In addition, the amendment was intended to enforce the prevailing wage rate “where the involvement of a third party obviates the existence of a direct contractual relationship between the public owner and the contractor performing the work” (Senate Introducer’s Mem in Support, Bill Jacket, L 2007, ch 678, at 27, 2007 NY Legis Ann, at 27, 2007 McKinney’s Session Laws of NY, at 2162). The legislative history does not explicitly mention charter schools.

In order to determine whether charter schools are subject to prevailing wage rates, some background information is helpful. An application to establish a charter school must be submitted to a “charter entity” for approval (*see* Education Law § 2851 [3]). Charter entities include the board of regents, the board of trustees of SUNY or the board of education of the local school district (or chancellor of the city school district) (*see* Education Law § 2851 [3]). The charter application must contain a variety of information, including “[i]nformation regarding the facilities to be used by the school, including the location of the school, if known” (Education Law § 2851 [2] [j]). The schools can be located in existing public school buildings or other public buildings, private work sites or other suitable locations (*see* Education Law § 2853 [3] [a]). Upon closure or dissolution, the assets of the charter school are given either to the local school district or to another charter school within the district (Education Law § 2851 [2] [t]).

Once the board of regents approves the charter school, it is incorporated as an education corporation. “A charter school shall be deemed an independent and autonomous public school, except as otherwise provided in this article. The charter entity and the board of regents shall be deemed to be the public agents authorized to supervise and oversee the charter school” (Education Law § 2853 [1] [c]). Moreover, “[t]he powers granted to a charter school under this article constitute the performance of essential public purposes and governmental purposes of this state” (Education Law § 2853 [1] [d]).*

Given the role that charter schools play, it is apparent that the present situation is precisely the type of scenario the third party amendment to section 220 was designed to address. It is clear that if a private school were constructing its own facility, the public wage rate would not, and should not, apply. If, on the other hand, the chartering entity had contracted for such work on its own, that work would undoubtedly be subject to the prevailing wage requirement (*see e.g. Brian Hoxie’s Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207 [1990]).

* Charter schools are treated as public schools for certain purposes, but not for others. For example, charter schools are required to “meet the same health and safety, civil rights, and student assessment requirements applicable to other public schools, except as otherwise specifically provided in this article” (Education Law § 2854 [1] [b]). However, they are generally exempt from other state and local laws pertaining to public and private schools (*see* Education Law § 2854 [1] [b]).

The charter school, performing an essential public and governmental service pursuant to Education Law § 2853 (1) (d), as authorized by the chartering entity, should be subject to the prevailing wage rate. In this context, the charter school essentially acts as a stand-in for the chartering entity.

The majority opinion rejects the applicability of the third party amendment, in part, on the basis of a statutory debt provision (*see* majority op at 411). That provision makes clear that only a charter school will be liable for its financial obligations, but has nothing to do with the issue of whether prevailing wages must be paid to workers. Where the money comes from for a construction or renovation project—whether that source be public or private—is not dispositive of the prevailing wage question. The statute makes clear that it pertains to third parties “acting in place of . . . and for the benefit of” public entities (Labor Law § 220 [2]). Finally, it is simply not the case that a contract for the renovation of a charter school inures solely to the benefit of the charter school itself. Such facilities provide benefits for students and the public similar to those provided by public school facilities. Given the State’s strong public policy in favor of adequate wages on public works projects and that Labor Law § 220 is subject to liberal construction, the Department of Labor’s interpretation of the statute finding charter schools subject to the prevailing wage rate should be upheld.

In addition, the charter agreement itself can be considered the contract to which a public entity is a party, without resort to the third party amendment. The majority finds that the charter is not a contract involving the employment of laborers because the charter determines “nothing more” than that the applicant can be licensed as an education corporation (majority op at 409). However, the language of the statute itself requires only that the contract “may involve the employment of laborers” (Labor Law § 220 [2]). The *Erie County* test likewise characterizes the contract as “involving” such employment (94 AD2d at 537). Since the contract itself does not need to be strictly a construction contract, the charter, having the chartering entity as a party and contemplating that construction or renovation work will be necessary in order to obtain adequate facilities, would satisfy this contract requirement.

Although making charter schools adhere to prevailing wage requirements may impose additional costs in providing their valuable public service, the State’s public policy and statutory framework, as well as the essentially public nature of charter

schools make clear that the prevailing wage rate applies to the construction and renovation of charter schools. Accordingly, I would reverse the order of the Appellate Division.

Judges GRAFFEO, READ, SMITH and JONES concur with Judge FIGOTT; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, with costs.

[938 NE2d 970, 912 NYS2d 537]

In the Matter of JIMMY D., a Person Alleged to be a Juvenile Delinquent, Appellant. PRESENTMENT AGENCY, Respondent.

Argued September 15, 2010; decided October 26, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 2, 2009. The Appellate Division modified, on the law and as a matter of discretion, an order of disposition of the Family Court, Queens County (Fran L. Lubow, J.), which had adjudicated appellant a juvenile delinquent upon a fact-finding determination that he had committed acts which, if committed by an adult, would constitute the crimes of criminal sexual act in the first degree, criminal sexual act in the third degree, sexual misconduct, unlawful imprisonment in the second degree (two counts), course of sexual conduct against a child in the second degree, attempted sexual abuse in the first degree and attempted sexual abuse in the third degree. The modification consisted of (1) vacating the provisions of the order of disposition adjudicating appellant a juvenile delinquent based upon the finding that he had committed acts which, if committed by an adult, would constitute the crimes of unlawful imprisonment in the second degree (two counts) and sexual misconduct, and substituting therefor provisions dismissing those counts of the petition, and (2) modifying the fact-finding order accordingly. The Appellate Division affirmed the order of disposition as modified.

Matter of Jimmy D., 63 AD3d 737, affirmed.

HEADNOTE

Infants — Juvenile Delinquents — Voluntariness of Inculpatory Statement

In a juvenile delinquency proceeding, evidence in the record supported the findings of the lower courts that the presentment agency met its burden of proving the voluntariness of appellant's inculpatory statement beyond a reasonable doubt. When a parent is present at the location in which a child under the age of 16 is being held in custody, the parent must not be denied an opportunity to attend the custodial interrogation (*see* Family Ct Act § 305.2). The parent of the child has the right to attend the child's interrogation by a police officer, and should not be discouraged, directly or indirectly, from doing so. However, it does not follow as a matter of law that a child's confession obtained in the absence of a parent is not voluntary. Neither the Family Court Act nor precedent interpreting that statute give a child under 16 years the

absolute right to the presence of a parent during interrogation. Here, appellant and his mother were not so isolated from one another at the child advocacy center where they were taken as to affect the likelihood that appellant's confession was voluntary. Appellant and his mother had an opportunity to talk at the center and appellant's mother was present during the waiver of his *Miranda* rights. Both appellant and his mother agreed to his being questioned outside his mother's presence, and there was no evidence that appellant asked for her during the questioning; nor were appellant's whereabouts concealed from his mother. The detective's promise of "help" did not give rise to any substantial risk that appellant might falsely incriminate himself. Further, inasmuch as appellant's *Miranda* rights were validly waived and never reinvoiced, the issue was the voluntariness of appellant's statement, not whether appellant's waiver was vitiated by police misconduct that occurred *after* the waiver.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 112, 114, 131.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:249, 119A:250, 119A:331, 119A:333, 119A:388; CARMODY-WAIT 2d, Juvenile and Youthful Offenders §§ 206:24, 206:27–206:29.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.5, 6.8–6.10.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 11:14, 11:15, 11:66.

McKINNEY'S, Family Ct Act § 305.2.

NY JUR 2d, Domestic Relations §§ 1385–1388, 1459–1461.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Juvenile Courts and Delinquent Children; *Miranda* Warnings.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Raymond E. Rogers*, *Steven Banks* and *Tamara A. Steckler* of counsel), for appellant. Under state law and the State and Federal Constitutions, the prosecution failed to prove beyond a reasonable doubt that the 13-year-old appellant's statement was voluntary and not a false

confession where (1) the questioning took place late at night, (2) the police detective asked appellant's mother to leave the room so the detective could interrogate him alone, (3) the detective promised to obtain "help" for appellant if he confessed, and (4) appellant's brief written statement lacked any indicia of reliability because it contained no facts other than those supplied to him by the detective in relaying the complainant's allegations. (*People v Anderson*, 42 NY2d 35; *People v Valerius*, 31 NY2d 51; *People v Huntley*, 15 NY2d 72; *People v Mitchell*, 2 NY3d 272; *Matter of Omar L.*, 192 Misc 2d 519; *Matter of Lance BB*, 14 Misc 3d 359; *People v Hall*, 125 AD2d 698; *Matter of Michelet P.*, 70 AD2d 68; *People v Ward*, 95 AD2d 351; *Matter of Benjamin L.*, 92 NY2d 660.)

Michael A. Cardozo, Corporation Counsel, New York City (*Susan B. Eisner, Stephen J. McGrath* and *Norman Corenthal* of counsel), for respondent. Appellant's motion to suppress the inculpatory statement he gave to Detective Figueroa was properly denied. Appellant and his mother knowingly and intelligently waived appellant's *Miranda* rights, and the mother freely consented to allow Detective Figueroa to speak with appellant alone while the mother waited nearby. (*People v Bebeck*, 258 AD2d 660, 93 NY2d 897; *People v Williams*, 62 NY2d 285; *People v Vasquez*, 66 NY2d 968; *People v Sepulveda*, 52 AD3d 539; *People v Rogers*, 34 AD3d 504; *Matter of Chaka B.*, 33 AD3d 440; *Matter of Javier L.*, 272 AD2d 474; *Matter of James W.*, 130 AD2d 753; *People v Ward*, 95 AD2d 351; *Miranda v Arizona*, 384 US 436.)

OPINION OF THE COURT

FIGOTT, J.

Appellant, Jimmy D., was 13 years old when his nine-year-old cousin reported to family members that Jimmy had sexually abused her. Jimmy's mother took both children to a hospital, where the police were called. A detective from the special victims' squad arrived and arranged for Jimmy, his mother, his cousin, and the cousin's mother to be taken to a child advocacy center.

After initially being placed in separate rooms, Jimmy and his mother sat together in a closed-door waiting room while the detective interviewed the cousin and her mother. The girl described an incident of sexual abuse that had occurred earlier that evening. She added that she was afraid of Jimmy because he had sexually abused her one afternoon four months earlier.

The detective took Jimmy and his mother to a juvenile interview room, where she explained the allegations against him and read *Miranda* warnings to Jimmy in English and to his mother in Spanish, according to their preferences. The version of the *Miranda* warnings that the detective read to Jimmy, designed for use with juveniles, explains each of the rights in simple language. Each time one of the rights was stated, Jimmy responded, without hesitation, that he understood the right; the same was true of his mother. Jimmy's mother also reread the warnings herself and both Jimmy and his mother signed the *Miranda* waivers.

The detective asked Jimmy's mother, in Spanish, for permission to speak with him alone, adding that children sometimes do not feel comfortable talking to a detective in front of a parent. The mother did not respond immediately, but after Jimmy consented to talk with the detective alone, the mother agreed, and left the juvenile interview room.

The detective told Jimmy that he should tell her exactly what had happened, adding that, if he did so, he would get "some help," if he needed it. As the detective later recalled the conversation, she indicated that he would be able to get psychiatric or counseling help, if necessary.* Faced with his cousin's accusations regarding the earlier incident, Jimmy admitted to sexual contact with his cousin. The detective told Jimmy to write what he had done in his own words, gave him pen and paper, and left the room. In a handwritten statement, which he composed while alone in the interview room, Jimmy admitted to a series of sexual contacts with his nine-year-old cousin.

Jimmy and his mother were reunited, and he read his confession to her. At this point, according to Jimmy's mother, she understood her son to say that the detective had told him that she would help him only if he wrote a statement admitting to sexual conduct. The mother and the detective exchanged words, with the detective insisting that she had simply told Jimmy to write down in his own words exactly what he had done. Jimmy was then arrested.

A juvenile delinquency petition was filed in Family Court, supported by a sworn statement of Jimmy's cousin. When the

* It is true, as the dissent points out, that her testimony also contains confusing references to a "lawyer," but there is no basis in the record for inferring that Jimmy was led to believe that he would have to confess if he wanted to be represented by counsel; he had just been told, in unequivocal terms, that he could have a lawyer without charge if he wanted one.

presentment agency gave notice that it intended to introduce his confession, Jimmy moved to suppress the statement. Following a suppression hearing, Family Court denied the motion.

Following a fact-finding hearing, Family Court ruled that Jimmy had committed acts that, if committed by an adult, would have constituted the crimes of first-degree criminal sexual act, third-degree criminal sexual act, sexual misconduct, second-degree unlawful imprisonment, second-degree course of sexual conduct against a child, attempted first-degree sexual abuse, and attempted third-degree sexual abuse. Family Court adjudicated Jimmy a juvenile delinquent and placed him on probation for 18 months, conditioned on cooperation with sex offender counseling.

At the Appellate Division, Jimmy argued, among other things, that the presentment agency had not met its burden of proving the voluntariness of his confession. The Appellate Division modified Family Court's order by dismissing the sexual misconduct and unlawful imprisonment counts, but otherwise affirmed, rejecting Jimmy's voluntariness challenge (63 AD3d 737 [2009]). We granted Jimmy leave to appeal (13 NY3d 843 [2009]) and now affirm.

When a police officer takes a child under the age of 16 into custody for juvenile delinquency, the officer must "immediately notify the parent or other person legally responsible for the child's care, or if such legally responsible person is unavailable the person with whom the child resides, that the child has been taken into custody" (Family Ct Act § 305.2 [3]). The child must be advised of his *Miranda* rights and, if the parent or other person in loco parentis who was notified of the arrest (henceforward "parent") is present, that person must be similarly apprised (Family Ct Act § 305.2 [7]).

Recognizing that special care must be taken to protect the rights of minors in the criminal justice system, New York courts carefully scrutinize confessions by youthful suspects who are separated from their parents while being interviewed. In *People v Bevilacqua*, we held that the "continuous, unusual, and deliberate isolation" of an 18 year old from potential avenues of assistance from his family or other supportive adults required suppression, as a denial of the right to counsel (45 NY2d 508, 514-515 [1978]; see also *People v Kern*, 149 AD2d 187, 217 [2d Dept 1989]; *People v Ventiquattro*, 138 AD2d 925, 929 [4th Dept 1988]). Similarly, in *People v Townsend*, we ruled that a confes-

sion must be suppressed if it was obtained from a child under the age of 18 after the police ensured by means of deception and trickery that the child's parents would not take steps to retain a lawyer (33 NY2d 37, 41-42 [1973]).

In light of these statutory and common-law principles, we reiterate that, when a parent is present at the location in which a child under the age of 16 is being held in custody, the parent must not be denied "an opportunity to attend [the] custodial interrogation" (*People v Mitchell*, 2 NY3d 272, 275 n 11 [2004] [emphasis added]). In practical terms, this means that the parent of the child has the right to attend the child's interrogation by a police officer, and should not be discouraged, directly or indirectly, from doing so. The better practice for the interviewing officer or detective is to inform the parent that the parent may attend the interview if he or she wishes. Of course, a parent may choose not to be present when a child is being interviewed, but the police should always ensure that the parent is aware of the right of access to his or her child during questioning. If a parent is asked to leave, the parent should be made aware that he or she is not required to leave.

The advantages of having a parent present during custodial interrogations are many. A parent may help a child understand the *Miranda* warnings, so that the child can consciously and voluntarily choose whether to waive or to exercise his constitutional rights to remain silent, to have an attorney present at his questioning, and to have an attorney provided for him without charge if he is indigent. As we have noted, juveniles charged with delinquency may not fully "understand the scope of their rights and how to protect their own interests. They may not appreciate the ramifications of their decisions or realize all the implications of the importance of counsel" (*Mitchell*, 2 NY3d at 275). If the child chooses to waive his rights under *Miranda v Arizona* (384 US 436 [1966]), the parent who is present at questioning is able to monitor the interrogation lest the police engage in coercive tactics. In short, "[t]he emotional and intellectual immaturity of a juvenile creates an obvious need for the advice of a guardian . . . at an interrogation from which charges of juvenile delinquency may ensue" (*Matter of Michelet P*, 70 AD2d 68, 71 [2d Dept 1979]).

However, it does not follow as a matter of law that a child's confession obtained in the absence of a parent is not voluntary. Neither the Family Court Act nor our precedent interpreting that statute give a child under 16 years the absolute right to the

presence of a parent during interrogation. In fact, the Family Court Act expressly contemplates the possibility that the police may be unable to contact the parent of a child in custody, despite “every reasonable effort” (Family Ct Act § 305.2 [4]), or that a notified parent may be unable or unwilling to be present at the location of custody (*see* Family Ct Act § 305.2 [7]). Moreover, whether a confession was, beyond a reasonable doubt, voluntary is a mixed question of law and fact (*see e.g. People v Scott*, 86 NY2d 864, 865 [1995]), and is to be determined from the “totality of circumstances” (*People v Tankleff*, 84 NY2d 992, 994 [1994], quoting *People v Williams*, 62 NY2d 285, 289 [1984]).

Because voluntariness is a mixed question of law and fact, our review is limited to deciding whether the Appellate Division’s finding is supported by evidence in the record. In the present case, Jimmy and his mother were not so isolated from one another at the child advocacy center as to affect the likelihood that his confession was voluntary. Jimmy’s mother accompanied him to the center, and mother and son had an opportunity to talk there, when they were waiting together alone in the closed-door waiting room. Jimmy’s mother was present during the waiver of his *Miranda* rights. Both Jimmy and his mother agreed to his being questioned outside his mother’s presence, and there is no evidence that Jimmy asked for her during the questioning; nor were Jimmy’s whereabouts concealed from his mother.

The detective took care to read a version of the *Miranda* warnings that explains the rights in simple language. Both Jimmy and his mother responded unhesitatingly when asked whether they understood each right waived. Although Jimmy was doubtless tired, there is no evidence that he asked for food or water and was denied it. Finally, nothing in Jimmy’s handwritten confession suggests that it does not express his own recollections.

The detective’s promise of “help” did not give rise to any “substantial risk that [Jimmy] might falsely incriminate himself” (Family Ct Act § 344.2 [2] [b] [i]). There is no evidence in the record that the detective’s promise would have deceived Jimmy into thinking that if he confessed he would escape unprosecuted or unpunished (*cf. People v Holland*, 48 NY2d 861, 863 [1979]). Rather, there is evidence in the record that the detective told Jimmy that if he was truthful and told everything that had happened, he would receive psychiatric help or

counseling if needed. Jimmy was not offered an incentive to lie; there is no attraction in making a false confession and receiving psychiatric assistance relating to a crime one did not commit.

The dissent, while acknowledging the validity of Jimmy's initial waiver (dissenting op at 427), relies on a novel theory: that the validity of the waiver was vitiated by police misconduct that occurred *after* the waiver (*id.* at 428 ["any representation in the course of the interrogation tending to impair the interrogee's understanding of the consequences of his or her continuing waiver must be deemed to invalidate the waiver and render the product of consequent interrogation inadmissible"]). The dissent does not suggest that Jimmy was tricked or coerced into his initial waiver, or that Jimmy later invoked his rights and failed to waive them a second time. Nor does the dissent adopt the theory actually advanced by Jimmy—that misconduct following the valid waiver rendered his subsequent confession involuntary. Rather, the dissent suggests that, due to misconduct by the police, Jimmy stopped understanding his rights and thereby unwaived them.

The two cases that the dissent cites in support of this theory, *Moran v Burbine* (475 US 412 [1986]) and *United States v Anderson* (929 F2d 96 [2d Cir 1991]), actually contradict it. In *Moran*, the defendant argued that police misconduct following his valid *Miranda* waiver—lying to an attorney who sought to intervene in defendant's interrogation—retroactively vitiated that waiver. But the Supreme Court found that idea "untenable as a matter of both logic and precedent" (475 US at 422). Similarly, in *Anderson*, the District Court found that postwaiver "trickery" retroactively undermined a *Miranda* waiver, making it impossible to find that defendant voluntarily waived his rights, but the Second Circuit held otherwise: "Though the 'trickery' premise is correct, the district court's conclusion respecting the 'impossibility of a waiver' is not" (929 F2d at 98). The Second Circuit then appropriately addressed whether the postwaiver "trickery" had rendered defendant's confession involuntary (*id.* at 100-102). In accordance with *Moran* and *Anderson*, we hold that, since Jimmy's *Miranda* rights were validly waived and never reinvoiced, the issue is voluntariness, not waiver.

We conclude that there is evidence in the record supporting the findings of the lower courts that the presentment agency met its burden of proving the voluntariness of Jimmy's inculpatory statement beyond a reasonable doubt. This mixed question of law and fact is therefore beyond our further review.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN (dissenting). The majority has set forth with commendable clarity what the law of this State requires when a parent of a child under the age of 16 is available for and wishes to be present at the child's interrogation by a police officer: "the parent . . . has the right to attend the child's interrogation . . . and should not be discouraged, directly or indirectly, from doing so" (majority op at 422). And, with equally commendable clarity, the majority has explained why such attendance is advantageous to the child and ultimately to the sound administration of justice: the parent can help the child understand the *Miranda* warnings and monitor any subsequent interrogation to deter and, if necessary, bear witness to any official overreaching. As the majority notes, we have previously recognized that juveniles "lack an adult's knowledge of the probable cause of their acts or omissions and are least likely to understand the scope of their rights and how to protect their own interests" (*People v Mitchell*, 2 NY3d 272, 275 [2004]); and, in view of the acknowledged "emotional and intellectual immaturity of [juveniles]," the majority now appropriately reiterates that there is an "obvious need for the advice of a guardian . . . at an interrogation from which charges of juvenile delinquency may ensue" (majority op at 422, quoting *Matter of Michelet P.*, 70 AD2d 68, 71 [2d Dept 1979] [internal quotation marks omitted]).

It is not disputed that respondent Jimmy D.'s mother was available and wished to be present during her son's interrogation, and it is clear that her exclusion was not in accord with what the Family Court Act requires in such circumstances. The majority, however, declines to suppress Jimmy's confession on this ground. While I agree that the exclusion of a parent from the interrogation room should not invariably dictate the suppression of a subsequently obtained juvenile confession, I cannot agree that the exclusion of the parent in this case, when viewed in the context of the ensuing interrogation, should be deemed benign. Indeed, the tactic employed by the detective once the mother had been excluded cannot be viewed except as having vitiated the waiver of rights essential to the admissibility of Jimmy's confession.

Although presented practically as an afterthought by the majority, it would appear crucial to the decision of the respondent's suppression motion that, after the mother complied with the

detective's request to leave the room, the detective, upon encountering resistance from Jimmy, represented to him that he could be helped if he confessed. The detective testified: "I told him he needs to tell me exactly what happened and this way if he needed some help, we would try to get him some help." When pressed as to what sort of "help" she had been referring to, the detective elaborated, "I explained to him that he would have to come to court and the lawyer that he would get [t]here would try to get him help." When asked whether she meant that Jimmy could get help from a lawyer if he made a statement, the detective replied "[t]he help I was telling him was if the lawyer can help him out, get him some help. In other words, if he needed to see someone, you know, whether it was a psychologist or counseling with regards to what he had done." Upon being requested to clarify whether she had suggested to Jimmy that if he confessed, he would get help from a lawyer in court, the detective said, "I told him to write what he did in his way, in his own words and I says maybe they can get you some help." When she was again requested to state whether she had indicated that the availability of a lawyer depended upon Jimmy giving a confession, she answered "I'm not sure if I said lawyer. I could have said it. I'm not sure." Shortly after these representations were made, Jimmy made an admission. He was then told that "he would have to write everything that he said he did on paper because it wasn't right what he did." Jimmy complied, delivering a written statement to the detective at 12:35 A.M. The 13 year old had by then not eaten, or been offered food, in over seven hours and had been without sleep since the early morning of the previous day.

The threshold issue in judging the admissibility of Jimmy's custodial confession in this post-*Miranda* era is not, as it would have been before *Miranda*, whether under the totality of the circumstances the confession itself was voluntary in the sense of being uncoerced, or whether it was elicited by means of representations raising a substantial risk of false incrimination in contravention of Family Court Act § 344.2 (2) (b) (i), but whether the confession was obtained in pursuance of a valid waiver of rights. Since *Miranda v Arizona* (384 US 436 [1966]), of course, the admissibility of a custodial confession depends upon the government's proof of an antecedent waiver of the right against self-incrimination and, relatedly, the right to the assistance of counsel during interrogation: "If the interrogation continues without the presence of an attorney and a statement

is taken, a heavy burden rests on the government to demonstrate that the defendant knowingly and intelligently waived his privilege against self-incrimination and his right to retained or appointed counsel” (*id.* at 475). Consistent with, indeed practically entailed by, the Court’s requirement of proof of a knowing and intelligent waiver was its dictum that “any evidence that the accused was threatened, tricked, or cajoled into a waiver will, of course, show that the defendant did not voluntarily waive his privilege” (*id.* at 476).

Since *Miranda*, the nature of the judicial inquiry it requires, focusing on the validity of the precedent waiver rather than on the voluntariness of the ensuing confession, has been repeatedly reaffirmed. In *Moran v Burbine* (475 US 412, 421 [1986]), for example, the Court observed

“Echoing the standard first articulated in *Johnson v. Zerbst*, 304 U. S. 458, 464 (1938), *Miranda* holds that ‘[t]he defendant may waive effectuation’ of the rights conveyed in the warnings ‘provided the waiver is made voluntarily, knowingly and intelligently.’ 384 U. S., at 444, 475. The inquiry has two distinct dimensions. *Edwards v. Arizona*, *supra*, at 482; *Brewer v. Williams*, 430 U. S. 387, 404 (1977). First, the relinquishment of the right must have been voluntary in the sense that it was the product of a free and deliberate choice rather than intimidation, coercion, or deception. Second, the waiver must have been made with a full awareness of both the nature of the right being abandoned and the consequences of the decision to abandon it. Only if the ‘totality of the circumstances surrounding the interrogation’ reveals both an uncoerced choice and the requisite level of comprehension may a court properly conclude that the *Miranda* rights have been waived. *Fare v. Michael C.*, 442 U. S. 707, 725 (1979). See also *North Carolina v. Butler*, 441 U. S. 369, 374-375 (1979).”

Although the *Miranda* warnings initially given to Jimmy and his mother appear to have been adequate and the immediately ensuing waiver of rights valid, those circumstances are not on this record conclusive of the validity of the waiver when Jimmy’s confession was given. It is basic, and evident from the mandated warnings themselves, that a person subject to custodial interrogation may, his or her initial waiver

notwithstanding, at any juncture in the questioning reassert his or her right to remain silent and to consult an attorney. It follows that any representation in the course of the interrogation tending to impair the interogee's understanding of the consequences of his or her continuing waiver must be deemed to invalidate the waiver and render the product of consequent interrogation inadmissible, unless the representations are conclusively shown not to have clouded the interogee's comprehension of the basic risks entailed by continued participation in the interrogation (see *Moran v Burbine*, *supra*; see e.g. *United States v Anderson*, 929 F2d 96 [2d Cir 1991]).

Although the majority finds this theory "novel," it is as old as *Miranda* itself, which plainly conditions the validity of an interogee's continuing waiver of rights upon the absence of "any evidence that the accused was threatened, tricked, or cajoled into [the] waiver" (384 US at 476 [emphasis supplied]). The majority's evident insistence that subsequent to the initial waiver, the question of whether the waiver remains valid is supplanted by an inquiry into the voluntariness of any ensuing confession, is simply not compatible with the basic waiver theory upon which *Miranda* rests. As Professor Berger has observed:

"[W]aiver is [and] should remain an issue distinct from the question of compulsion under the fifth amendment. *Miranda* created a system of warnings and waiver to protect against the inherently coercive environment of custodial interrogation. Its predecessor, the voluntariness test, had proven to be ineffective in regulating police interrogation practices. The *Miranda* Court clearly did not intend to replace the voluntariness test under the fourteenth amendment with the compulsion standard of the fifth amendment, without any substantive change in the analysis. This would only have made voluntariness and compulsion the flip sides of the same coin. Voluntary confessions would be those obtained without compulsion, while compelled statements would be considered involuntary. Instead, *Miranda* rejected this rather meaningless exchange of constitutional language in favor of a substantive reworking of admissibility criteria . . . Under *Miranda*, waivers must be voluntary, intelligent and knowing, not just obtained in an atmosphere

free of compulsion” (Berger, *Compromise and Continuity: Miranda Waivers, Confession Admissibility, and the Retention of Interrogation Protections*, 49 U Pitt L Rev 1007, 1053 [1988]).

Contrary to the majority’s view, the continuing validity of a *Miranda* waiver is not a nonissue after the waiver has first been made, even in the absence of the waiver’s retraction. Logically, every response made during a custodial interrogation is a reaffirmation of the original waiver (see Dix, *Promises, Confessions, and Wayne LaFave’s Bright Line Rule Analysis*, 1993 U Ill L Rev 207, 255-256 [“(A) suspect has the right after initially waiving counsel to change his mind and invoke the right. A suspect’s failure to do this during interrogation is a continuing reaffirmation of his earlier waiver. In a very real sense, a promise made after an initial waiver of counsel may effectively influence a suspect to ‘reaffirm’ that waiver by failing to demand the right to consult with an attorney before matters go further”]). If the terms of the waiver have by the time of the reaffirmation been misleadingly altered, as they were here, the waiver is no longer valid; the burden cannot be upon the misled interrogee to reassert rights the nature and dimensions of which have, since the initial waiver, been inaccurately or confusingly portrayed. Of course, nothing in either *Moran* or *Anderson* can be understood to impose such a manifestly unfair burden.

Here, it would appear clear, even from the detective’s less than transparent account of what she told Jimmy, that when she spoke to Jimmy alone, she made representations significantly at odds with those upon which his waiver had, in his mother’s presence, been permissibly based. The detective made repeated offers of “help,” but at the same time advised Jimmy that he would have to provide a written statement before “help” could be afforded. The child had been warned only minutes before that “[a]nything you say can and will be used against you in a Court of Law. That means what you say or write can be used to prove [w]hat you may have done.” Now, however, he was told something dramatically different—that an admission could be helpful to him and, indeed, that help was contingent upon an admission. When pressed as to what she meant by “help,” the detective indicated psychological counseling or legal assistance. But, neither was contingent upon a confession. Jimmy was absolutely entitled to an attorney; it was a gross distortion, again fundamentally at odds with the rights just recited, to intimate that legal assistance in any way depended

upon the giving of a statement; and it is obvious, except perhaps to a child, that a confession to criminal wrongdoing is not a condition of access to psychological counseling.

Although courts, despite *Miranda*'s apparently categorical injunction against threats, trickery and cajolement (384 US at 476), have held that misrepresentations not bearing directly upon the basis of the required waiver will not necessarily invalidate it,¹ "there is an absolute prohibition upon any trickery which misleads the suspect as to the existence or dimensions of any of the applicable rights or as to whether the waiver really is a waiver of those rights" (2 LaFave et al., *Criminal Procedure* § 6.9 [c], at 827-828 [3d ed] [collected cases omitted]).²

Perhaps an experienced adult would not have been misled by representations such as those made by the detective to Jimmy³—but we deal here with a child, and to all appearances a very unsophisticated one with no prior involvement with the juvenile justice system, improperly deprived of parental support and guidance at a time when it would have been crucial to the protection of his interests. Upon the undisputed facts of this record, I see no way of concluding that the presentment agency met its "heavy" burden to demonstrate that Jimmy had "knowingly and intelligently waived his privilege against self-incrimination and his right to retained or appointed counsel" (*Miranda*, 384 US at 475) when he made his confession. The facts before us simply do not permit the properly dispositive legal conclusion that this child, at the time he confessed, had

1. In *Moran*, for example, the misrepresentations alleged to vitiate the *Miranda* waiver were not made to the defendant and, thus, could not have affected his decision to relinquish his rights (475 US at 422).

2. It is true that in *United States v Anderson* (*supra*), the court, although acknowledging that postwaiver trickery could affect the continuing validity of a waiver—the proposition for which the case is above cited—declined to adopt a per se rule that any trickery would vitiate a waiver, as had the District Court. However, upon de novo review, the Second Circuit went on to hold, as a matter of law, that the misrepresentations there at issue were materially misleading and thus that Anderson's waiver had been fatally compromised, rendering his subsequently obtained statements involuntary. Although the holding is couched in terms of voluntariness, it is clear that the focus of the court's analysis was upon whether the defendant's waiver of rights had been voluntary under the standard enunciated in *Miranda* and *Moran* (see 929 F2d at 100-101).

3. It is noted, however, that even highly experienced adults can be materially misled subsequent to an initial valid waiver. In *Anderson*, for example, the defendant had, by the time of the interrogation there at issue, been arrested 12 times and entered 11 guilty pleas (929 F2d at 99).

the “requisite level of comprehension” “both [of] the nature of the right being abandoned and the consequences of the decision to abandon it” (*Moran*, 475 US at 421).

While the truth or falsity of Jimmy’s confession appears unascertainable, it does seem clear that the circumstances attending its exaction—i.e., a tired and hungry child isolated with an experienced interrogator in the middle of the night and offered illusory inducements to confess to specifically described allegations of wrongdoing—are precisely the sort that do produce false confessions, particularly in the young teen age group.⁴ If an “incentive to lie” (majority op at 424) were necessary to explain a 13 year old’s decision to confess falsely, there certainly was one in this case; the child believed, as he had been encouraged to in his mother’s absence, that making the sought confession was the only way he could extricate himself from the extraordinarily aversive situation in which he found himself. Children do resort to falsehood to alleviate discomfort and satisfy the expectations of those in authority, and, in so doing, often neglect to consider the serious and lasting consequences of their election. There are developmental reasons for this behavior which we ignore at the peril of the truth-seeking process.

So long as juveniles cannot be altogether preserved from rigors of police interrogation, it would behoove us not to minimize the now well-documented potential for false confessions when suggestible and often impulsive and impaired children are ushered into the police interview room. Recognition of the distinct hazard presented by that inherently enormously coercive scenario renders it imperative not only that we clarify, as we have, what the Family Court Act requires with respect to parental involvement at juvenile interrogations, but that, where children are concerned, we scrupulously adhere to *Miranda*’s requirement that there be a demonstrably valid waiver of rights, unaffected by threats, trickery, or cajolement, to support the admission of a custodial confession.

4. Indeed, research has shown a pronounced willingness to confess falsely among young teenage boys and one study has documented false confession rates of 78% in boys respondent’s age (see Saul M. Kassin and Gisli H. Gudjonsson, *The Psychology of Confessions: A Review of the Literature & Issues*, 5 Psychol Sci in Pub Int 33, 52-53 [Nov. 2004]).

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT;
Chief Judge LIPPMAN dissents in a separate opinion in which
Judges CIPARICK and JONES concur.

Order affirmed, without costs.

[938 NE2d 984, 912 NYS2d 551]

In the Matter of EMPIRE STATE TOWING AND RECOVERY ASSOCIATION, INC., Appellant. COMMISSIONER OF LABOR, Respondent.

Argued September 15, 2010; decided October 26, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 14, 2009. The Appellate Division affirmed a decision of the Unemployment Insurance Appeal Board which had affirmed a decision of an administrative law judge sustaining the Commissioner of Labor's determination that Peter O'Connell was an employee of Empire State Towing and Recovery Association, Inc. and that Empire State Towing and Recovery Association, Inc. was therefore liable for certain additional unemployment insurance contributions.

Matter of Empire State Towing & Recovery Assn., Inc. (Commissioner of Labor), 62 AD3d 1129, reversed.

HEADNOTE

Unemployment Insurance — Employee or Independent Contractor — “Overall Control” Test

The Unemployment Insurance Appeal Board's finding of an employer-employee relationship between appellant, an association that represents members in the tow truck operating business, and the attorney who performed administrative services as appellant's executive director in addition to legal and lobbying services was not supported by substantial evidence. An employer-employee relationship exists when the evidence shows that the employer exercises control over the results produced or the means used to achieve the results, or, under the “overall control” test typically applied in the context of professionals such as physicians and attorneys, when there is substantial evidence of control over important aspects of the services performed other than results or means. Here, under either test, substantial evidence did not exist to support the determination that the attorney was appellant's employee. Although the record extensively detailed the attorney's duties, it lacked substantial evidence of any control exercised over him by appellant. The requirement that appellant's treasurer had to approve and co-sign on checks for over \$500 was a form of incidental control over results that was a necessarily wise business decision, and did not support a finding that the attorney was an employee. Moreover, the fact that the attorney had to submit periodic reports and attend meetings was a condition just as readily required of an independent contractor as of an employee and not conclusive as to either.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Unemployment Compensation §§ 31, 45, 46.

NY JUR 2d, Unemployment Insurance §§ 37–39, 276, 284, 285, 287.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Labor and Employment; Unemployment Compensation.

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POINTS OF COUNSEL

Peter B. O'Connell, Albany, for appellant. I. The decisions of the Appellate Division and Unemployment Insurance Appeal Board are not supported by substantial evidence. (*Matter of Hertz Corp. [Commissioner of Labor]*, 2 NY3d 733; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725; *Matter of Werner [CBA Indus.—Hudacs]*, 210 AD2d 526; *Matter of Monti Moving & Stor. [Sweeney]*, 241 AD2d 734; *Matter of Cromer [Transworld Sys.—Sweeney]*, 248 AD2d 773; *Matter of Securities Research Servs. [Roberts]*, 122 AD2d 504; *Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d 734; *Matter of Bedin [Trussardi (USA)—Commissioner of Labor]*, 257 AD2d 809; 300 Gramatan Ave. Assoc. v State Div. of Human Rights, 45 NY2d 176.) II. The Unemployment Insurance Appeal Board and Appellate Division failed to base their decisions upon an examination of the record as a whole. (*Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d 734; 300 Gramatan Ave. Assoc. v State Div. of Human Rights, 45 NY2d 176; *Matter of Rodriguez [2020 Video Voice Data, Ltd.—Commissioner of Labor]*, 58 AD3d 929; *Matter of Cortland-Clinton, Inc. v New York State Dept. of Health*, 59 AD2d 228; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725; *Matter of Spinnell [Commissioner of Labor]*, 300 AD2d 770; *Matter of Cromer [Transworld Sys.—Sweeney]*, 248 AD2d 773; *Matter of International Student Exch. [Commissioner of Labor]*, 302 AD2d 834.) III. It was improper for the Unemployment Insurance Appeal Board to treat services that Peter O'Connell provided to appellant as an association manager differently than other services that he provided to appellant under identical circumstances. IV. It was improper for the Unemployment Insurance Appeal Board to consider whether Peter O'Connell's services were an "integral part" of appellant's business. (*Matter of Bedin [Trussardi (USA)—Commissioner of*

Labor], 257 AD2d 809; *Matter of Barone* [Commissioner of Labor], 257 AD2d 950; *Matter of Williams* [Commissioner of Labor], 268 AD2d 621; *Matter of Ted Is Back Corp.* [Roberts], 64 NY2d 725; *Matter of Concourse Ophthalmology Assoc.* [Roberts], 60 NY2d 734; *Matter of 12 Cornelia St.* [Ross], 56 NY2d 895.)

Andrew M. Cuomo, Attorney General, New York City (Richard O. Jackson, Barbara D. Underwood and Richard Dearing of counsel), for respondent. Substantial evidence supports the Unemployment Insurance Appeal Board's factual finding that Peter O'Connell was Empire State Towing and Recovery Association, Inc.'s employee. (*Matter of Concourse Ophthalmology Assoc.* [Roberts], 60 NY2d 734; *Matter of Villa Maria Inst. of Music* [Ross], 54 NY2d 691; *Matter of Eastern Suffolk School of Music* [Roberts], 91 AD2d 1123; *Matter of Salamanca Nursing Home* [Roberts], 68 NY2d 901; *Matter of Reich* [Posner & Gaier—Commissioner of Labor], 55 AD3d 1077; *Matter of Tri-Reme Realty Corp.* [Corsi], 269 App Div 872, 296 NY 566; *Matter of Imperial Inv. Corp.* [Catherwood], 30 AD2d 750; *Matter of Dybdal* [Johnson Constr. Co.—Corsi], 274 App Div 1084; *Matter of Regan & Regan* [Commissioner of Labor], 256 AD2d 829; *Matter of Van Waes & Assoc. Realty* [Ross], 76 AD2d 1016.)

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether there is substantial evidence in the record to support the Unemployment Insurance Appeal Board's finding of an employer-employee relationship. We hold there is not.

Peter O'Connell maintains a law practice in Albany that focuses on government relations and lobbying. Appellant Empire State Towing and Recovery Association, Inc., an association that represents members in the tow truck operating business, retained O'Connell for legal and lobbying services. In 1997, Empire State Towing and O'Connell entered into a written agreement in which O'Connell would perform administrative services as the executive director, in addition to his legal and lobbying services.

Pursuant to the written agreement, O'Connell maintained a telephone and computer database in the name of the association, mailed dues and membership materials, mailed periodic financial statements to board members, and coordinated publication of a journal. He also attended board meetings, maintained a bank account, and had check writing authority up to \$500.

For greater monetary amounts, O'Connell had to submit documentation accounting for the required amount and obtain the signature of Empire State Towing's treasurer. O'Connell performed all these services from his own law office, was free to set his own schedule, and was not working exclusively for the association.

In 2004, a part-time assistant was hired to help O'Connell in his duties as executive director. It is conceded that the part-time assistant was an employee of the association. In 2006, O'Connell relinquished his duties as executive director.

The Commissioner of Labor determined through an audit of Empire State Towing, for the period of January 1, 2004 through December 31, 2005, that O'Connell was its employee and assessed \$617.53 in additional unemployment insurance payments. Empire State Towing disputed the finding on the ground that O'Connell was an independent contractor, and a hearing was held before an administrative law judge. The administrative law judge sustained the determination of the Commissioner on the basis that the evidence showed an exercise of control by Empire State Towing over O'Connell's duties as executive director.

An appeal was taken to the Unemployment Insurance Appeal Board which affirmed the determination of the administrative law judge. The Appeal Board found that there was "credible evidence" that the employer "exercised or reserved the right to exercise sufficient supervision, direction, and/or control to establish" an employer-employee relationship. Consequently, Empire State Towing filed a notice of appeal with the Appellate Division.

The Appellate Division affirmed the prior determination on the grounds that the Appeal Board's decision was based on substantial evidence, specifically referring to the fact that the association (1) furnished office space and equipment, (2) reimbursed O'Connell's expenses, and (3) required O'Connell to submit reports and attend meetings (62 AD3d 1129 [3d Dept 2009]). This Court granted appellant Empire State Towing's motion for leave to appeal (13 NY3d 712 [2009]), and we now reverse.

Empire State Towing argues that O'Connell is an independent contractor and that the earlier determinations have incorrectly focused on his administrative duties and the end results rather than on the exercise of control over the means used to

achieve those results. The Commissioner contends that there is substantial evidence of control in the record to support the earlier findings, such as the association's required approval for checks over \$500. Furthermore, the Commissioner asks this Court to apply the "overall control" test because O'Connell enjoyed autonomy and discretion as executive director of the association.

It is well-settled that

"[w]hether an employment relationship exists within the meaning of the unemployment insurance law is a question of fact, no one factor is determinative and the determination of the appeal board, if supported by substantial evidence on the record as a whole, is beyond further judicial review even though there is evidence in the record that would have supported a contrary decision" (*Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d 734, 736 [1983]; *Matter of King's Brass Ceremonial [Commissioner of Labor]*, 75 AD3d 712 [3d Dept 2010]; *Matter of Rosen [Vidicom, Inc.—Commissioner of Labor]*, 73 AD3d 1352 [3d Dept 2010]).

An employer-employee relationship exists when the evidence shows that the employer exercises control over the results produced or the means used to achieve the results (*see Matter of 12 Cornelia St. [Ross]*, 56 NY2d 895, 897 [1982]). However, "control over the means is the more important factor to be considered" (*Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d 725, 726 [1984]; *see Matter of Bedin [Trussardi (USA)—Commissioner of Labor]*, 257 AD2d 809 [3d Dept 1999]). "Incidental control over the results produced—without further evidence of control over the means employed to achieve the results—will not constitute substantial evidence of an employer-employee relationship" (*Matter of Hertz Corp. [Commissioner of Labor]*, 2 NY3d 733, 735 [2004]; *Matter of Ted Is Back Corp. [Roberts]*, 64 NY2d at 726; *Matter of Cromer [Transworld Sys.—Sweeney]*, 248 AD2d 773 [3d Dept 1998]).

In some cases, this Court has applied the "overall control" test where "substantial evidence of control over important aspects of the services performed other than results or means" is sufficient to establish an employer-employee relationship (*Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d at 736). This test is applicable to services where the details of the work performed are difficult to control because

of considerations such as professional and ethical responsibilities (see *Matter of Salamanca Nursing Home [Roberts]*, 68 NY2d 901 [1986]; *Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d 734 [1983]). This analysis has been typically applied in the context of professionals such as physicians and attorneys (see *Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d at 736; *Matter of Salamanca Nursing Home [Roberts]*, 68 NY2d 901 [1986]; *Matter of Parisi [Commissioner of Labor]*, 54 AD3d 456 [3d Dept 2008]; *Matter of Rosen [Vidicom, Inc.—Commissioner of Labor]*, 73 AD3d 1352 [2010]).

Here, under either test, substantial evidence does not exist in the record to support the Unemployment Insurance Appeal Board's determination that O'Connell was an employee of the association. Although the record before us extensively details O'Connell's duties, it lacks substantial evidence of any control exercised by the association over O'Connell.

The requirement that the association's treasurer had to approve and co-sign on checks for over \$500 does not support a finding that O'Connell was an employee. The check approval authority was a form of incidental control over results that is "a necessarily wise business decision" (*Matter of Ted Is Back Corp.*, 64 NY2d at 726). Moreover, the fact that O'Connell had to submit periodic reports and attend meetings "is a condition just as readily required of an independent contractor as of an employee and not conclusive as to either" (*Matter of Hertz Corp.*, 2 NY3d at 735).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to the Appellate Division, with directions that the matter be remanded to the Unemployment Insurance Appeal Board for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[939 NE2d 1202, 914 NYS2d 72]

In the Matter of JAZMIN A., a Person Alleged to be a Juvenile
Delinquent, Respondent. PRESENTMENT AGENCY, Appellant.

Argued October 12, 2010; decided November 17, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 19, 2009. The Appellate Division (1) reversed, on the law, an order of the Family Court, Bronx County (Monica Drinane, J.), which had remanded respondent juvenile delinquent to the Commissioner of Juvenile Justice for open detention, to be detained pending further proceedings, and (2) vacated the order of Family Court. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Family Court, properly made?”

Matter of Jazmin A., 62 AD3d 526, affirmed.

HEADNOTES

Infants — Juvenile Delinquents — Authority of Family Court to Order Detention at Probation Monitoring Hearing — Violation of Probation Petition Required

1. In the absence of a violation of probation (VOP) petition filed by the Department of Probation, Family Court, which had adjudicated respondent a juvenile delinquent and issued an order of disposition placing her on probation, lacked statutory authority at a probation monitoring hearing to remand respondent to detention based upon her failure to comply with the conditions of her probation. Family Court Act article 3 spells out specific junctures in a delinquency proceeding when Family Court may remand a juvenile to detention, including after a VOP petition is filed (Family Ct Act § 360.3 [2] [b]). Because the Legislature did not similarly empower Family Court to order detention of a juvenile probationer before the filing of a VOP petition, such authority could not be implied. Indeed, if Family Court possesses inherent authority to order detention at any time during the period of probation, Family Ct Act § 360.3 (2) (b) would seem to be unnecessary. Moreover, while Family Court retains jurisdiction over a juvenile probationer until probation ends, continuing jurisdiction does not vest Family Court with the power to take actions not authorized by Family Court Act article 3.

Infants — Juvenile Delinquents — Detention Based on Violation of Probation — Violation of Probation Petition Required — Waiver

2. Respondent, who was adjudicated a juvenile delinquent by Family Court and placed on probation pursuant to an order of disposition, did not consent to a subsequent order of detention by acknowledging at the dispositional hearing that she understood the court’s statement that a poor probation report meant that she would “quickly find [her]self in detention.” Family Court has

the authority to remand a juvenile to detention after a violation of probation (VOP) petition is filed (Family Ct Act § 360.3 [2] [b]). However, the brief exchange between the court and respondent at the dispositional hearing did not amount to a waiver of a VOP petition, assuming that such a waiver could be obtained from a minor in respondent's situation.

Infants — Juvenile Delinquents — When Family Court May Order Detention — Probation Monitoring Hearing

3. While Family Court is authorized to remand a juvenile to detention at the “initial appearance” after a petition has been filed and “any adjournments thereof” (Family Ct Act § 320.4 [2]; § 320.1), a probation monitoring hearing, to determine compliance with probation, could not be an “adjournment” of the “initial appearance” on the underlying juvenile delinquency petition once a dispositional order had been entered.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 846, 852; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 40, 60–62, 96, 116, 117, 119, 127.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:228, 119A:299, 119A:303, 119A:304, 119A:410, 119A:430, 119A:431, 119A:437–119A:443.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 11:28–11:30, 11:38, 11:40, 11:42, 11:115.

McKINNEY's, Family Ct Act art 3; §§ 320.1, 320.4 (2); § 360.3 (2) (b).

NY JUR 2d, Domestic Relations §§ 1369, 1420, 1422, 1519, 1521, 1522, 1524–1528.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent Children; Parole, Probation, and Pardon.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Norman Corenthal and Kristin M. Helmers of counsel), for appellant. I. The remand order was properly issued. (*Green v Montgomery*, 95 NY2d 693; *Matter of Quinton A.*, 49 NY2d 328; *Matter of Carmelo E.*, 57 NY2d 431; *Matter of Robert J.*, 2 NY3d

339; *Matter of Jose R.*, 83 NY2d 388; *Matter of Benjamin L.*, 92 NY2d 660; *People v Letterlough*, 86 NY2d 259; *Matter of Markim Q.*, 7 NY3d 405; *Matter of Alphea M.*, 168 AD2d 208; *Matter of Amanda RR.*, 230 AD2d 451.) II. The mootness doctrine does not preclude consideration of the issue of the propriety of the remand. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Chenier v Richard W.*, 82 NY2d 830; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500.)

Legal Aid Society, New York City (*Claire V. Merline*, *Steven Banks* and *Tamara A. Steckler* of counsel), for respondent. The Family Court acted without statutory authority and in violation of due process when it remanded to detention a juvenile probationer without a violation of probation petition having been filed. (*Matter of Albano v Kirby*, 36 NY2d 526; *State of New York v Patricia II.*, 6 NY3d 160; *People v Finnegan*, 85 NY2d 53; *Pajak v Pajak*, 56 NY2d 394; *People v Assi*, 63 AD3d 19, 14 NY3d 335; *Eastern Paralyzed Veterans Assn. v Metropolitan Transp. Auth.*, 79 AD2d 516; *Matter of Waldeck v New York City Employees' Retirement Sys.*, 81 NY2d 804; *Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 208 AD2d 91, 87 NY2d 199; *Matter of Markim Q.*, 7 NY3d 405; *Matter of Silver v Silver*, 36 NY2d 324.)

OPINION OF THE COURT

READ, J.

On February 18, 2008, 14-year-old Jazmin A. returned home after a four-day absence, whereupon she promptly announced that she was leaving again. When her mother objected and attempted to block the door, Jazmin grabbed a kitchen knife with a six-inch blade, and threatened that “[n]o one is going to touch me.” As Jazmin tried to fight her way past her mother, her stepfather intervened. Before he succeeded in wresting the knife away from her, though, Jazmin grazed his shoulder with the blade; she also bit her stepfather’s arm and chest, causing him to bleed. He was taken by ambulance to a hospital, where his bite wounds were treated.

On February 25, 2008, the presentment agency filed a petition asserting that Jazmin’s acts, described above as recounted in her stepfather’s supporting affidavit, would, if committed by an adult, constitute various assault and weapons and menacing offenses. On February 29, 2008, Family Court adjudicated Jazmin delinquent upon her admission that she committed an act constituting unlawful possession of a weapon by a person under the age of 16, in violation of Penal Law § 265.05.

During the dispositional hearing on March 26, 2008, the judge asked Jazmin's mother whether she was willing for Jazmin to remain in her home. The mother answered that she was so long as Jazmin attended school and did not "stay or sleep out of the house."

The following colloquy ensued between the judge and Jazmin:

"THE COURT: Jazmin, do you understand that if I put you on probation, I'm going to keep a very tight [rein] on this case?

"[JAZMIN]: I understand that, ma'am.

"THE COURT: I'm going to have you come in to court for reports. If I get a report that you are not cooperating with the probation, that you're not keeping your curfew, that you are staying out overnight, or that you're not going to school, you're going to quickly find yourself in detention and on your way to a placement [upstate]. Do you understand that?

"[JAZMIN]: Yes, I understand that, ma'am."

Family Court placed Jazmin in the Bronx Juvenile Accountability Court (JAC) program for a 12-month period of probation. While in existence, JAC matched troubled youths with an array of supportive services, such as counseling, tutoring and drug treatment, as an alternative to residential placement. Unlike regular probation, JAC participants appeared regularly in Family Court for the judge to check on their progress. The order and conditions of probation imposed by Family Court required that Jazmin report to and cooperate with her probation officer; obey the lawful commands of her parents; observe curfew; attend school regularly; submit to drug and alcohol testing; and comply with the recommendations of a mental health assessment.

Jazmin arrived late to Family Court on April 16, 2008 for her first monitoring hearing. The Department of Probation's report was not favorable. Of the 13 school days since her probation began, Jazmin missed eight and was late twice. According to her mother, Jazmin "stay[ed] out all night without permission and [might] come home once or twice a week." At the conclusion of the hearing, Family Court remanded Jazmin to the custody of the Commissioner of Juvenile Justice because she "was choosing not to comply with the conditions of her

probation.” Jazmin’s law guardian objected to the remand on the ground that the Department of Probation had not filed a violation of probation (VOP) petition. The judge scheduled another hearing to be held nine days later, on April 25, 2008, “for probation to take whatever further steps they believe[d] [to be] appropriate.” Jazmin appealed.

On May 19, 2009, the Appellate Division unanimously reversed and vacated Family Court’s April 16, 2008 order of detention. The court held that “[h]aving issued an order of disposition placing [Jazmin] on probation, the Family Court lacked authority to remand her to detention in the absence of a violation of probation petition” (62 AD3d 526, 527 [1st Dept 2009]). By the time the Appellate Division handed down its decision, the Department of Probation had long since pursued a VOP petition, resulting in a new order of disposition on June 6, 2008, which placed Jazmin on 12 months of probation under the auspices of the Administration for Children’s Services’ Juvenile Justice Initiative, another community-based alternative to residential placement. The court noted that it nonetheless decided Jazmin’s appeal because, although moot, the issue presented was “substantial and novel” and “likely to recur and evade review” (*id.*).*

The Appellate Division subsequently granted the presentment agency leave to appeal to us, certifying the following question: “Was the order of this Court, which reversed the order of

* The Appellate Division explicitly declined to decide

“the hypothetical questions of whether [a properly made] motion under Family Court Act § 355.1 to stay, modify or terminate an order of probation based on change of circumstances would provide an [alternative] means of initiating proceedings to revoke probation, and whether detention would be authorized pending resolution of such a motion” (62 AD3d at 527), presumably because Family Court did not purport to act pursuant to this provision and the issue was not properly presented for appellate review.

Section 355.1 (1) (b) specifies that

“[u]pon a showing of a substantial change of circumstances, the court may on its own motion *or* on motion of the respondent *or* his parent *or* person responsible for his care: . . . stay execution of, set aside, modify, terminate or vacate any order issued in the course of a proceeding under this article” (emphasis added).

Section 355.1 (3) further provides that “[i]f the court issues a new order of disposition under this section the date such order expires shall not be later than the expiration date of the original order.” Finally, a motion for relief under section 355.1 must be pursued in accordance with the procedures specified in section 355.2.

the Family Court, properly made?” After sua sponte examining our subject matter jurisdiction, we invoke the exception to the mootness doctrine for the same reasons cited by the Appellate Division and retain jurisdiction. We now answer the certified question in the affirmative.

[1] Article 3 of the Family Court Act spells out specific junctures in a delinquency proceeding when Family Court may remand a juvenile to detention—i.e., after a prepetition hearing is held in anticipation of the filing of a juvenile delinquency petition (Family Ct Act § 307.4 [4] [c]); at the “initial appearance” after a petition has been filed and “any adjournments thereof” (Family Ct Act § 320.1; *see also* Family Ct Act § 320.4 [2] [specifying what the court shall determine at the initial appearance]); after a probable cause hearing is held (Family Ct Act § 325.3 [3]); and after a VOP petition is filed (Family Ct Act § 360.3 [2] [b]). Because the Legislature did not similarly empower Family Court to order detention of a juvenile probationer before the filing of a VOP petition, we are unwilling to imply such authority in the absence of a statutory peg, as the presentment agency asks us to do. As Jazmin points out, “it is odd to suggest . . . that the Legislature intended to permit detention before a [VOP] petition has been filed when it enacted an express provision [i.e., section 360.3 (2) (b)] providing [for] a juvenile [to] be detained after a [VOP] petition is filed.” Indeed, if Family Court possesses inherent authority to order detention at any time during the period of probation, section 360.3 (2) (b) would seem to be unnecessary. Moreover, while the presentment agency correctly points out that Family Court retains jurisdiction over a juvenile probationer until probation ends (*see* Family Ct Act § 360.1; *Matter of Markim Q.*, 7 NY3d 405 [2006]), continuing jurisdiction does not vest Family Court with the power to take actions not authorized by article 3.

[2] The presentment agency also seems to suggest that Jazmin consented to detention, pointing to Family Court’s statement at the dispositional hearing that a poor probation report meant that she would “quickly find [her]self in detention,” followed by Jazmin’s acknowledgment that she understood. This brief exchange does not amount to a waiver of a VOP petition, assuming that such a waiver could be obtained from a minor in Jazmin’s situation.

[3] Finally, the presentment agency argues that the monitoring hearing in this case was an “adjournment” of the “initial appearance” within the meaning of Family Court Act § 320.1,

which states that “[w]hen used in this article [3,] ‘initial appearance’ means the proceeding on the date the respondent first appears before the court after a petition has been filed and any adjournments thereof, for the purposes specified in section 320.4.” As the Appellate Division correctly noted, however, a court appearance for checking up on compliance with probation cannot be an “adjournment” of the “initial appearance” on the underlying juvenile delinquency petition once a dispositional order has been entered.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[938 NE2d 941, 912 NYS2d 508]

MARC S. KIRSCHNER, as Trustee of the REFCO LITIGATION TRUST,
Appellant, v KPMG LLP et al., Respondents, et al., Defendants.

TEACHERS' RETIREMENT SYSTEM OF LOUISIANA et al., Derivatively
on Behalf of Nominal Defendant AMERICAN INTERNATIONAL
GROUP, INC., Appellants, v PRICEWATERHOUSECOOPERS LLP,
Respondent.

Argued September 14, 2010; decided October 21, 2010

SUMMARY

PROCEEDING, in the first above-entitled action, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) the over-arching question whether the allegations of the complaint in this case satisfy the ‘adverse interest’ exception to the *Wagoner* rule of imputing insiders’ misconduct to their corporation, and the following subsidiary questions subsumed within that ultimate question: (2) whether the adverse interest exception is satisfied by showing that the insiders intended to benefit themselves by their misconduct; (3) whether the exception is available only where the insiders’ misconduct has harmed the corporation; (4) if harm is required, whether the analysis of such harm may include any detriment to a corporation resulting from the eventual unmasking of the misconduct; (5) if harm is required, whether such harm may be determined by considering a corporation and its related corporations as a single enterprise; (6) if harm is required and is to be determined with respect to separate though related corporations, whether the allegations of the complaint adequately allege such harm; (7) whether the exception is precluded where the misconduct conferred some benefit upon the corporation; and (8) if the adverse interest exception were otherwise available, would it be precluded by the ‘sole actor’ rule? If the Court of Appeals is disinclined to answer or at least discuss all of these questions, we hope it will focus its attention on questions (2) and (3).”

PROCEEDING, in the second above-entitled action, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to

the New York State Court of Appeals by the Supreme Court of Delaware. The following question was certified by the Supreme Court of Delaware and accepted by the New York State Court of Appeals: “Would the doctrine of *in pari delicto* bar a derivative claim under New York law where a corporation sues its outside auditor for professional malpractice or negligence based on the auditor’s failure to detect fraud committed by the corporation; and, the outside auditor did not knowingly participate in the corporation’s fraud, but instead, failed to satisfy professional standards in its audits of the corporation’s financial statements?”

HEADNOTES

Equity — Unclean Hands — In Pari Delicto

1. The doctrine of *in pari delicto*, which mandates that the courts will not intercede to resolve a dispute between two wrongdoers, serves important public policy purposes. First, denying judicial relief to an admitted wrongdoer deters illegality. Second, *in pari delicto* also avoids entangling courts in disputes between wrongdoers.

Principal and Agent — Liability of Principal for Act of Agent — Imputation of Agent’s Acts to Principal

2. The fundamental agency principle that the acts of agents and the knowledge they acquire while acting within the scope of their authority are presumptively imputed to their principals plays an important role in an *in pari delicto* analysis. The acts of corporate agents—including fraudulent ones—are presumptively imputed to their principals. Imputation fosters an incentive for a principal to select honest agents and delegate duties with care.

Principal and Agent — Liability of Principal for Act of Agent — Imputation of Agent’s Acts to Principal — Adverse Interest Exception

3. To come within the adverse interest exception to the principle that the acts of corporate agents and the knowledge they acquire while acting within the scope of their authority are presumptively imputed to their principals, the agent must have totally abandoned his or her principal’s interests and be acting entirely for the benefit of the agent or a third party. Because the exception requires adversity, it cannot apply unless the scheme that benefitted the insider operated at the corporation’s expense. When insiders defraud third parties *for* the corporation, the adverse interest exception is not pertinent. So long as the corporate wrongdoer’s fraudulent conduct enables the business to survive—to attract investors and customers and raise funds for corporate purposes—the adversity test is not met. The mere fact that a corporation is forced to file for bankruptcy does not determine whether its agents’ conduct was, at the time it was committed, adverse to the company. Any harm from the discovery of the fraud—rather than from the fraud itself—does not bear on whether the adverse interest exception applies.

Corporations — Officers and Directors — Liability of Third Parties for Fraud of Corporate Management — In Pari Delicto — Imputation of Agent’s Acts to Principal — Adverse Interest Exception

4. In cases involving corporate fraud that was allegedly either assisted or not detected at all or soon enough by the corporations’ outside professional

advisers, the doctrine of in pari delicto and the adverse interest exception to agency imputation principles should not be revised by adopting a rule focusing on corporate insiders' subjective intent and illusory benefits to the company. Such a revision to traditional imputation principles would make the availability of the adverse interest exception depend upon whether corporate insiders intended to benefit themselves at the company's expense, to be alleged and proved by showing that the corrupt insiders intended to benefit themselves personally and actually received personal benefits and/or that the company received only short term benefits but suffered long term harm. To recast the adverse interest exception in this fashion would turn the exception into a nearly impermeable rule barring imputation in every case because it would encompass every corporate fraud prompting litigation.

Corporations — Officers and Directors — Liability of Third Parties for Fraud of Corporate Management — In Pari Delicto — Imputation of Agent's Acts to Principal — Adverse Interest Exception

5. In actions to recover damages on behalf of creditors and shareholders of corporations whose management engaged in financial fraud that was allegedly either assisted or not detected at all or soon enough by the corporations' outside professional advisers, the Court of Appeals declined to fashion carve-outs from traditional agency law in cases of corporate fraud so as to deny the in pari delicto defense to negligent or otherwise culpable outside auditors and collusive outside professionals.

Corporations — Officers and Directors — Liability of Third Parties for Fraud of Corporate Management — In Pari Delicto — Comparative Negligence

6. In actions to recover damages on behalf of creditors and shareholders of corporations whose management engaged in financial fraud that was allegedly either assisted or not detected at all or soon enough by the corporations' outside professional advisers, the Court of Appeals declined to reinterpret the doctrine of in pari delicto so that it would not bar recovery, but would serve as a basis for apportioning fault and damages between the advisors and the company under CPLR 1411. CPLR 1411 did not abolish common-law defenses based on intentional conduct, such as in pari delicto, and permitting apportionment of fault and damages would be to marginalize the adverse interest exception to agency imputation principles. Comparative fault contradicts the public policy purposes at the heart of in pari delicto—deterrence and the unseemliness of the judiciary serving as paymaster of the wages of crime.

Corporations — Officers and Directors — Liability of Third Parties for Fraud of Corporate Management — In Pari Delicto — Imputation of Agent's Acts to Principal — Adverse Interest Exception

7. In actions to recover damages on behalf of creditors and shareholders of corporations whose management engaged in financial fraud that was allegedly either assisted or not detected at all or soon enough by the corporations' outside professional advisers, the Court of Appeals declined to reinterpret the doctrine of in pari delicto or the adverse interest exception to agency imputation principles as a matter of public policy in order to compensate the innocent and deter third-party professional misconduct and negligence. Public policy does not require that the interests of innocent stakeholders of corporate fraudsters trump those of innocent stakeholders of the defendant outside professionals. Furthermore, expanding the adverse interest exception or

loosening imputation principles under New York law would not necessarily result in any greater disincentive for professional malfeasance or negligence than already exists.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Agency §§ 273–281, 284; AM JUR 2d, Corporations §§ 1944, 1954, 1955; AM JUR 2d, Fraud and Deceit §§ 297–299.

McKINNEY'S, CPLR 1411.

NY JUR 2d, Agency and Independent Contractors §§ 298, 303, 307, 309–313, 318, 319; NY JUR 2d, Business Relationships §§ 1193, 1194; NY JUR 2d, Creditors' Rights and Remedies §§ 398, 401, 402; NY JUR 2d, Fraud and Deceit §§ 184–186.

ANNOTATION REFERENCE

See ALR Index under Agents and Agency; Corporate Stock and Stockholders; Fraud and Deceit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: pari /2 delicto /s willful! & fraud! /s corporation

POINTS OF COUNSEL

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (Kathleen M. Sullivan, Richard I. Werder, Jr., Sascha N. Rand, Sanford I. Weisburst, K. McKenzie Anderson, Sarah Rubin and Simona Gory of counsel), for appellant in the first above-entitled action. I. Insider misconduct is not relevant to a corporate successor's standing to sue, but at most provides an affirmative defense on the merits. (*Shearson Lehman Hutton, Inc. v Wagoner*, 944 F2d 114; *Barnes v Hirsch*, 215 App Div 10, *affd sub nom. Barnes v Schatzkin*, 242 NY 555; *In re Petroleum Corp. of Am.*, 417 F2d 929; *Caplin v Marine Midland Grace Trust Co.*, 406 US 416; *In re Senior Cottages of Am., LLC*, 482 F3d 997; *Baena v KPMG LLP*, 453 F3d 1; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *Symbol Tech., Inc. v Deloitte & Touche, LLP*, 69 AD3d 191; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663; *Buechner v Avery*, 38 AD3d 443.) II. The trustee plausibly alleged that the corrupt insiders' misconduct should not be imputed to the trustee at the pleading stage because they acted adversely to Refco's interests. (*Center v Hampton Affiliates*, 66 NY2d 782; *Cenco Inc. v Seidman &*

Seidman, 686 F2d 449; *In re Crazy Eddie Sec. Litig.*, 802 F Supp 804; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96; *Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Farr v Newman*, 14 NY2d 183; *Henry v Allen*, 151 NY 1; *In re Phar-Mor, Inc. Sec. Litig.*, 900 F Supp 784; *In re Investors Funding Corp. of N.Y. Sec. Litig.*, 523 F Supp 533.) III. Defendants who knowingly participate or acquiesce in company misconduct or professional defendants who act negligently may not invoke company misconduct as a defense, and in any event such a defense is not a total defense. (*Battalla v State of New York*, 10 NY2d 237; *Ehrgott v Mayor of City of N.Y.*, 96 NY 264; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Duval v Wellman*, 124 NY 156; *Irwin v Curie*, 171 NY 409; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Cenco Inc. v Seidman & Seidman*, 686 F2d 449; *Schacht v Brown*, 711 F2d 1343; *Talmage v Pell*, 7 NY 328; *Scholes v Lehmann*, 56 F3d 750.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Philip D. Anker*, *Anne K. Small* and *Jeremy S. Winer* of counsel), *Winston & Strawn LLP*, Chicago, Illinois (*Linda T. Coberly* and *Bruce R. Braun* of counsel), *Wilmer Cutler Pickering Hale and Dorr LLP*, Washington, D.C. (*Paul R.Q. Wolfson* and *Daniel P. Kearney, Jr.*, of counsel), *Clifford Chance US LLP*, New York City (*Anthony Candido* of counsel), *Davis Polk & Wardwell LLP* (*Robert F. Wise, Jr.*, and *Paul Spagnoletti* of counsel), *King & Spalding LLP* (*James J. Capra, Jr.*, and *James P. Cusick* of counsel), *King & Spalding LLP*, Washington, D.C. (*Kenneth Y. Turnbull* of counsel), *Marino, Tortorella & Boyle, P.C.*, Chatham, New Jersey (*Kevin H. Marino* and *John D. Tortorella* of counsel), *Williams & Connolly LLP*, Washington, D.C. (*John K. Villa*, *George A. Borden* and *Craig D. Singer* of counsel), and *Howrey LLP*, New York City (*Kevin A. Burke*, *Gary F. Bendinger* and *Sarah D. Abeles* of counsel), for respondents in the first above-entitled action. I. The adverse interest exception applies only if the agent totally abandoned the principal's interests. (*Henry v Allen*, 151 NY 1; *Cragie v Hadley*, 99 NY 131; *Center v Hampton Affiliates*, 66 NY2d 782; *Ruggles v American Cent. Ins. Co. of St. Louis*, 114 NY 415; *Andre Romanelli, Inc. v Citibank, N.A.*, 60 AD3d 428; *Price v Keyes*, 62 NY 378; *Reynolds v Snow*, 10 AD2d 101, 8 NY2d 899; *Wight v BankAmerica Corp.*, 219 F3d 79; *Baena v KPMG LLP*, 453 F3d 1; *Fehribach v Ernst & Young LLP*, 493 F3d 905.) II. The adverse interest exception does not apply when the insiders who engaged in the fraud were

the corporation's owners and decisionmakers. (*Wight v Bank-America Corp.*, 219 F3d 79; 546-552 W. 146th St. LLC v Arfa, 54 AD3d 543; *Morgado Family Partners, LP v Lipper*, 6 Misc 3d 1014[A], 2004 NY Slip Op 51791[U], 19 AD3d 262; *In re Mediators, Inc.*, 105 F3d 822; *In re Parmalat Sec. Litig.*, 477 F Supp 2d 602; *American Tissue, Inc. v Donaldson, Lufkin & Jenrette Sec. Corp.*, 351 F Supp 2d 79; *American Tissue, Inc. v Arthur Andersen, L.L.P.*, 275 F Supp 2d 398; *First Natl. Bank of Cicero v Lewco Sec. Corp.*, 860 F2d 1407; *In re Bennett Funding Group, Inc.*, 336 F3d 94; *Ash v Georgia-Pacific Corp.*, 957 F2d 432.) III. The Court should decline the trustee's request to impose dramatic and improvident legal change through issues that the trustee did not preserve and that the Second Circuit Court of Appeals did not certify. (*Shearson Lehman Hutton, Inc. v Wagoner*, 944 F2d 114; *Singleton v Wulff*, 428 US 106; *Noonan v Staples, Inc.*, 561 F3d 4; *Shady Grove Orthopedic Assoc., P.A. v Allstate Ins. Co.*, 549 F3d 137; *Tunick v Safir*, 94 NY2d 709; *Mary Lincoln Candies, Inc. v Department of Labor*, 289 NY 262; *Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *Hearst v Shea*, 156 NY 169; *Rufino v United States of Am.*, 69 NY2d 310; 390 W. End Ave. Assoc. v Youngstein, 221 AD2d 292.)

Cohen & Gresser LLP, New York City (Lawrence T. Gresser, Nathaniel P.T. Read and Lawrence J. Lee of counsel), for William Wilson Bratton and others, amici curiae in the first above-entitled action. I. Imputation provides a bridge to consideration of affirmative defenses and is not a standing doctrine. (*Benedict v Arnoux*, 154 NY 715; *Green v des Garets*, 210 NY 79; *News Am. Mktg., Inc. v Lepage Bakeries, Inc.*, 16 AD3d 146; *Chubb & Son v Consoli*, 283 AD2d 297; *Bertran Packing v Transworld Fabricators*, 50 AD2d 542; *Ash v Georgia-Pacific Corp.*, 957 F2d 432; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley*, 146 AD2d 190, 75 NY2d 702; *Smith v John Hancock Mut. Life Ins. Co.*, 260 App Div 990; *Eastern Trading Co. v Refco, Inc.*, 229 F3d 617; *Henry v Allen*, 151 NY 1.) II. The motive with which an agent acts determines whether the agent acts adversely to the principal for purposes of imputing the agent's knowledge to the principal. (*Center v Hampton Affiliates*, 66 NY2d 782; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663; *In re CBI Holding Co., Inc.*, 529 F3d 432; *Chemical Bank v Affiliated FM Ins. Co.*, 196 F3d 373; *Ash v Georgia-Pacific Corp.*, 957 F2d 432.)

Paduano & Weintraub LLP, New York City (Leonard Weintraub and Kathryn L. Bedke of counsel), for Anthony Paduano,

amicus curiae in the first above-entitled action. I. Third parties who assist corporate insiders in harming a corporation should be required to affirmatively prove imputation under in pari delicto. (*Federal Deposit Ins. Corp. v O'Melveny & Myers*, 61 F3d 17; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Pittsburg Carbon Co. [Ltd.] v McMillin*, 119 NY 46; *Irwin v Curie*, 171 NY 409; *Furlong v Johnston*, 209 App Div 198, 239 NY 141.) II. The adverse interest exception is satisfied by a showing that insiders intended to benefit themselves by their misconduct. (*Center v Hampton Affiliates*, 66 NY2d 782; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *In re CBI Holding Co., Inc.*, 529 F3d 432; *In re Phar-Mor, Inc. Sec. Litig.*, 900 F Supp 784; *In re Crazy Eddie Sec. Litig.*, 802 F Supp 804.) III. There should be no imputation when there are innocent insiders who could have stopped the wrongdoing. (*Symbol Tech., Inc. v Deloitte & Touche, LLP*, 69 AD3d 191.) IV. Public policy dictates that a receiver or trustee trying to recover monies for innocent investors and creditors should be allowed to sue malfeasant third parties, such as attorneys and accountants who assist corporate misconduct. (*Smith v John Hancock Mut. Life Ins. Co.*, 260 App Div 990; *Scholes v Lehmann*, 56 F3d 750, *cert denied sub nom. African Enter., Inc. v Scholes*, 516 US 1028; *In re Leasing Consultants, Inc.*, 592 F2d 103; *Federal Deposit Ins. Corp. v O'Melveny & Myers*, 61 F3d 17.)

Goldberg Segalla LLP, Albany (*Matthew S. Lerner* of counsel), for DRI—The Voice of the Defense Bar, amicus curiae in the first above-entitled action. I. Courts should continue to interpret the adverse interest exception narrowly pursuant to this Court's well-settled agency jurisprudence. (*Center v Hampton Affiliates*, 66 NY2d 782; *Farr v Newman*, 14 NY2d 183; *Henry v Allen*, 151 NY 1; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *546-552 W. 146th St. LLC v Arfa*, 54 AD3d 543, 12 NY3d 840; *Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *People v Damiano*, 87 NY2d 477.) II. The trustee's proposed rule would have a dramatic and negative impact on lawyers and the relationship between lawyer and client. (*Maxwell v KPMG LLP*, 520 F3d 713; *Stoneridge Investment Partners, LLC v ScientificAtlanta, Inc.*, 552 US 148; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Center v Hampton Affiliates*, 66 NY2d 782.) III. This Court should not transform lawyers and law firms into public gatekeepers.

Strook & Strook & Lavan LLP, New York City (*James L. Ber-*

nard, Elizabeth H. Cronise, David M. Cheifetz and Hannah Yu of counsel), for M. Todd Henderson, amicus curiae in the first above-entitled action. This case involves the application of long-standing basic principles of New York corporate law which should not be modified by creating novel exceptions. (*Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Buechner v Avery*, 38 AD3d 443; *Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *Popielawski v Gimbel*, 235 App Div 198; *Ford v Henry*, 155 Misc 2d 192; *Donovan v Rothman*, 302 AD2d 238; *Henry v Allen*, 151 NY 1; *Sturgis v Boyer*, 24 How [65 US] 110; *Philadelphia & Reading R. Co. v Derby*, 14 How [55 US] 468.)

Skadden Arps Slate Meagher & Flom LLP, New York City (*Scott D. Musoff and Christos Ravanides* of counsel), *Ira D. Hammerman*, Washington, D.C., and *Kevin Carroll* for Securities Industry and Financial Markets Association, amicus curiae in the first above-entitled action. I. Securities firms already face massive liability risk, apart from actions brought on behalf of principal wrongdoers. II. The in pari delicto defense disables a primary corporate wrongdoer, or a trustee succeeding to that wrongdoer's claims, from recovering from equally or less culpable third parties. (*Stone v Freeman*, 298 NY 268; *Riggs v Palmer*, 115 NY 506; *Saratoga County Bank v King*, 44 NY 87; *Stecher v 85th Estates Co.*, 43 AD3d 732; *Ernst v Crosby*, 140 NY 364; *Diversified Group v Sahn*, 259 AD2d 47.) III. The narrow exception that applies when an insider "totally abandons" the corporation's interests does not apply when the insider's conduct confers substantial benefits on the corporation. (*Center v Hampton Affiliates*, 66 NY2d 782; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164.) IV. The in pari delicto defense does not depend on psychoanalyzing the insider's subjective motivation. (*Virginia Bankshares, Inc. v Sandberg*, 501 US 1083; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Stedman v Storer*, 308 F Supp 881; *Biesenbach v Guenther*, 588 F2d 400.) V. The creditors have their own direct causes of action and should not recover by standing in the shoes of the principal corporate wrongdoer. (*Caplin v Marine Midland Grace Trust Co.*, 406 US 416.) VI. A broad application of the in pari delicto defense will not encourage misconduct. VII. The Court should not address issues well outside the scope of the certification request.

Pachulski Stang Ziehl & Jones LLP, New York City (*Dean A. Ziehl, Harry D. Hochman and Maria A. Bove* of counsel), for

National Association of Bankruptcy Trustees, amicus curiae in the first above-entitled action. I. As a matter of public policy, bankruptcy trustees should be permitted to prosecute claims against a corporation's gatekeepers. (*United States v Arthur Young & Co.*, 465 US 805.) II. A trustee is the appropriate party to assert claims against complicit gatekeepers. (*Chartschlaa v Nationwide Mut. Ins. Co.*, 538 F3d 116; *Hirsch v Arthur Andersen & Co.*, 72 F3d 1085; *Vincel v White Motor Corp.*, 521 F2d 1113; *St. Paul Fire & Mar. Ins. Co. v PepsiCo, Inc.*, 884 F2d 688; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *State of Cal. Pub. Employees' Retirement Sys. v Shearman & Sterling*, 95 NY2d 427.) III. The de facto immunity rule of *Shearson Lehman Hutton, Inc. v Wagoner* (944 F2d 114 [1991]) is not the law of New York State. (*In re Peaslee*, 547 F3d 177; *Rivkin v Century 21 Teran Realty LLC*, 10 NY3d 344; *Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409; *Guardian Life Ins. Co. of Am. v Chemical Bank*, 94 NY2d 418; *Symbol Tech., Inc. v Deloitte & Touche, LLP*, 69 AD3d 191; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663; *Buechner v Avery*, 38 AD3d 443; *Barnes v Hirsch*, 215 App Div 10, *affd sub nom. Barnes v Schatzkin*, 242 NY 555, 273 US 709; *Caplin v Marine Midland Grace Trust Co.*, 406 US 416.) IV. No law requires and no public policy supports affording complicit gatekeepers an in pari delicto defense against a trustee. (*O'Melveny & Myers v FDIC*, 512 US 79; *Talmage v Pell*, 7 NY 328; *Schacht v Brown*, 711 F2d 1343; *Scholes v Lehmann*, 56 F3d 750; *National Sur. Corp. v Lybrand*, 256 App Div 226.) V. The Court should rule that imputation/in pari delicto is not available to those who do not deal "materially in good faith" with the company or who knowingly participate or acquiesce in misconduct. VI. The Court should reject defendants' artificially narrow interpretation of the adverse interest exception. (*In re CBI Holding Co., Inc.*, 529 F3d 432; *Doran v Salem Inn, Inc.*, 422 US 922; *Pershing Park Villas Homeowners Assn. v United Pac. Ins. Co.*, 219 F3d 895.)

Grant & Eisenhofer P.A., New York City (*Stuart M. Grant* of counsel), *Megan D. McIntyre*, Wilmington, Delaware, *John C. Kairis*, *Christine M. Mackintosh* and *Wolf Haldenstein Adler Freeman & Herz LLP*, New York City (*Daniel W. Krasner*, *Eric B. Levine*, *Peter C. Harrar*, *Alan A.B. McDowell* and *Kate M. McGuire* of counsel), for appellants in the second above-entitled action. I. As a matter of substantive tort law, wholly apart from the question of agency, in pari delicto does not bar this action. (*Tracy v Talmage*, 14 NY 162; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Pinter v Dahl*, 486 US 622; *City of*

New York v Keene Corp., 304 AD2d 119; *In re Parmalat Sec. Litig.*, 659 F Supp 2d 504; *Manion v Pan Am. World Airways*, 55 NY2d 398; *Andrews v Empire City Racing Assn.*, 170 Misc 338; *Quintal v Fidelity & Deposit Co.*, 142 Misc 657; *Baldwin v Lev*, 163 Misc 929; *Irwin v Curie*, 171 NY 409.) II. Even if in pari delicto has any relevance here, American International Group, Inc. should not be deemed culpable because of the acts of its corrupt officers. (*Center v Hampton Affiliates*, 66 NY2d 782; *Defer LP v Raymond James Fin., Inc.*, 654 F Supp 2d 204; *Seward Park Hous. Corp. v Cohen*, 287 AD2d 157; *Smalls v Reliable Auto Serv.*, 205 AD2d 523; *Araya v Viacom Outdoor Inc.*, 22 Misc 3d 1131[A], 2009 NY Slip Op 50384[U]; *Smith v John Hancock Mut. Life Ins. Co.*, 260 App Div 990; *Mutual Life Ins. Co. of N. Y. v Hilton-Green*, 241 US 613; *McCormack v Security Mut. Life Ins. Co.*, 220 NY 447; *Fireman's Fund Ins. Cos. v Meenan Oil Co.*, 755 F Supp 547; *Thabault v Chait*, 541 F3d 512.) III. Public policy and the gatekeeping role of auditors of public corporations militate against invocation of the in pari delicto doctrine here. (*Tannebaum v Provident Mut. Life Ins. Co. of Phila.*, 41 NY2d 1087; *In re Leasing Consultants, Inc.*, 592 F2d 103; *Furlong v Johnston*, 209 App Div 198; *United States v Arthur Young & Co.*, 465 US 805; *United States v Benjamin*, 328 F2d 854; *Scholes v Lehmann*, 56 F3d 750; *In re Personal & Bus. Ins. Agency*, 334 F3d 239; *Morgado Family Partners, LP v Lipper*, 19 AD3d 262; *Federal Deposit Ins. Corp. v O'Melveny & Myers*, 61 F3d 17; *Matter of Comverse Tech., Inc. Derivative Litig.*, 56 AD3d 49.)

King & Spalding LLP (Paul D. Clement, of the District of Columbia bar, admitted pro hac vice, of counsel), *Cravath, Swaine & Moore LLP*, New York City (Thomas G. Rafferty, Antony L. Ryan and Samira Shah of counsel), and *Connolly Bove Lodge & Hutz LLP*, Wilmington, Delaware (Henry E. Gallagher, Jr., of counsel), for respondent in the second above-entitled action. I. The in pari delicto doctrine bars claims brought by or on behalf of a corporation based on the corporation's own fraud. (*Thomas v Richmond*, 12 Wall [79 US] 349; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Peck v Burr*, 10 NY 294; *Haynes v Rudd*, 102 NY 372; *Union Exch. Natl. Bank of N.Y. v Joseph*, 231 NY 250; *Trainor v John Hancock Mut. Life Ins. Co.*, 54 NY2d 213; *Buechner v Avery*, 38 AD3d 443; *Sabia v Mattituck Inlet Mar. & Shipyard, Inc.*, 24 AD3d 178; 390 W. End Ave. Assoc. v Youngstein, 221 AD2d 292; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663.) II. New York law requires imputation of an agent's fraud to his principal. (*Matter of Stan-*

dard Fruit & S. S. Co. v Waterfront Commn. of N.Y. Harbor, 43 NY2d 11; *Oliner v Mid-Town Promoters*, 2 NY2d 63; *Prudential-Bache Sec. v Citibank*, 73 NY2d 263; *Ingalls v Morgan*, 10 NY 178; *Center v Hampton Affiliates*, 66 NY2d 782; *Henry v Allen*, 151 NY 1; *Fishkill Sav. Inst. v National Bank of Fishkill*, 80 NY 162; *Cragie v Hadley*, 99 NY 131; *Griswold v Haven*, 25 NY 595; *Clark v Hyatt*, 118 NY 563.) III. There is no public policy justification for creating a special exception to the in pari delicto doctrine and the rule of imputation. (*Saratoga County Bank v King*, 44 NY 87; *Tannebaum v Provident Mut. Life Ins. Co. of Phila.*, 41 NY2d 1087; *Trainor v John Hancock Mut. Life Ins. Co.*, 54 NY2d 213; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *In re Leasing Consultants, Inc.*, 592 F2d 103; *Furlong v Johnston*, 209 App Div 198; *Tracy v Talmage*, 14 NY 162; *Ross v Bernhard*, 396 US 531; *Koster v [American] Lumbermens Mut. Casualty Co.*, 330 US 518; *Potter v Walker*, 276 NY 15.)

Willkie Farr & Gallagher LLP, New York City (*Kelly M. Hnatt* and *Derek M. Schoenmann* of counsel), *Richard I. Miller*, General Counsel, American Institute of Certified Public Accountants, and *Bradley M. Pryba* for American Institute of Certified Public Accountants and another, amici curiae in the first and second above-entitled actions. I. The in pari delicto defense should remain available to auditors who are alleged to have acted wrongfully. (*Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Prudential-Bache Sec. v Citibank*, 73 NY2d 263; *Shearson Lehman Hutton, Inc. v Wagoner*, 944 F2d 114; *Center v Hampton Affiliates*, 66 NY2d 782; *Symbol Tech., Inc. v Deloitte & Touche, LLP*, 69 AD3d 191; *546-552 W. 146th St. LLC v Arfa*, 54 AD3d 543; *Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663; *Baena v KPMG LLP*, 453 F3d 1; *Cenco Inc. v Seidman & Seidman*, 686 F2d 449.) II. The questions before the Court have serious policy implications for the profession. (*Baena v KPMG LLP*, 453 F3d 1; *In re Worlds of Wonder Sec. Litig.*, 35 F3d 1407; *Maxwell v KPMG LLP*, 520 F3d 713.)

Gibson, Dunn & Crutcher LLP, Washington, D.C. (*Douglas R. Cox*, *Michael J. Scanlon*, *Jason J. Mendro* and *Dace A. Caldwell* of counsel), for Center for Audit Quality, amicus curiae in the first and second above-entitled actions. I. Under settled law, a company may not sue its auditor for claims arising from the company's wrongdoing. (*Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667; *Shearson Lehman Hutton, Inc. v Wagoner*, 944

F2d 114; *Buechner v Avery*, 38 AD3d 443; *Maxwell v KPMG LLP*, 520 F3d 713; *Barker v Kallash*, 63 NY2d 19; *Riggs v Palmer*, 115 NY 506; *Alami v Volkswagen of Am.*, 97 NY2d 281; *Peltz v SHB Commodities, Inc.*, 115 F3d 1082; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *In re Dublin Sec., Inc.*, 133 F3d 377.) II. Appellants' efforts to craft novel exceptions to imputation are unsupported by law and contrary to the public interest. (*McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *Matter of Herle*, 165 Misc 46; *People v Taylor*, 9 NY3d 129; *Payne v Tennessee*, 501 US 808; *Matter of Higby v Mahoney*, 48 NY2d 15; *Barker v Kallash*, 63 NY2d 19; *Cenco Inc. v Seidman & Seidman*, 686 F2d 449; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *DiLeo v Ernst & Young*, 901 F2d 624; *In re Worlds of Wonder Sec. Litig.*, 35 F3d 1407.)

OPINION OF THE COURT

READ, J.

In these two appeals, plaintiffs ask us, in effect, to reinterpret New York law so as to broaden the remedies available to creditors or shareholders of a corporation whose management engaged in financial fraud that was allegedly either assisted or not detected at all or soon enough by the corporation's outside professional advisers, such as auditors, investment bankers, financial advisers and lawyers. For the reasons that follow, we decline to alter our precedent relating to *in pari delicto*, and imputation and the adverse interest exception, as we would have to do to bring about the expansion of third-party liability sought by plaintiffs here.

I.

Kirschner

This lawsuit was triggered by the collapse of Refco, once a leading provider of brokerage and clearing services in the derivatives, currency and futures markets. After a leveraged buyout in August 2004, Refco became a public company in August 2005 by way of an initial public offering.¹ In October 2005, Refco disclosed that its president and chief executive officer had orchestrated a succession of loans, apparently beginning as far

1. As used in this opinion, the term "Refco," unless specified otherwise, does not distinguish between Refco, Inc., the publicly traded company formed by the IPO, and Refco Group Ltd., LLC, the entity through which Refco, Inc.'s business was primarily conducted prior to the IPO, or Refco Group Ltd.'s direct and indirect subsidiaries, such as Refco Capital Markets, Ltd. (RCM).

back as 1998, which hid hundreds of millions of dollars of the company's uncollectible debt from the public and regulators. These maneuvers created a falsely positive picture of Refco's financial condition.² In short order, this revelation caused Refco's stock to plummet and RCM, Refco's brokerage arm, to experience a "run" on customer accounts, forcing Refco to file for bankruptcy protection.

In December 2006, the United States Bankruptcy Court for the Southern District of New York confirmed Refco's chapter 11 bankruptcy plan, which became effective soon thereafter. Under the plan, secured lenders, who were owed \$717 million, were paid in full; Refco's bondholders and the securities customers and unsecured creditors of RCM were due to receive 83.4 cents, 85.6 cents and 37.6 cents on the dollar, respectively; and Refco's general creditors with unsecured claims could expect from 23 cents to 37.6 cents on the dollar (*see One Chapter of Refco Saga Closed*, 47 Bankr Ct Decisions Wkly News & Comment [No. 13], Jan. 16, 2007, at 2; *Refco Exits Bankruptcy Protection*, New York Times, Dec. 27, 2006, section C, at 3).

The plan also established a Litigation Trust, which authorized plaintiff Marc S. Kirschner, as Litigation Trustee, to pursue claims and causes of action possessed by Refco prior to its bankruptcy filing. The Litigation Trust's beneficiaries are the holders of allowed general unsecured claims against Refco. Any recoveries are to be allocated, after repayment of up to \$25 million drawn from certain Refco assets to administer the Trust, on the basis of the beneficiaries' allowed claims under the confirmed plan.

In August 2007, the Litigation Trustee filed a complaint in Illinois state court asserting fraud, breach of fiduciary duty and malpractice against Refco's president and CEO and other owners and senior managers (collectively, the Refco insiders); investment banks that served as underwriters for the LBO and/or the

2. Refco's fraudulent financial schemes are explained in several of numerous opinions issued by the United States District Court for the Southern District of New York, which has handled the flood of civil litigation in the aftermath of Refco's bankruptcy (*see In re Refco, Inc. Sec. Litig.*, 503 F Supp 2d 611, 618-620 [SD NY 2007] [describing the so-called round-trip loans that concealed Refco's uncollectible receivables]; *Thomas H. Lee Equity Fund V, L.P. v Grant Thornton LLP*, 586 F Supp 2d 119, 122-123 [SD NY 2008] [same]; *In re Refco Capital Mkts., Ltd. Brokerage Customer Sec. Litig.*, 2007 WL 2694469, *4, 2007 US Dist LEXIS 68082, *12-15 [SD NY 2007] [describing how RCM allegedly diverted customer assets and improperly used the proceeds to make loans and fund the business operations of other Refco affiliates]).

IPO; Refco's law firm; accounting firms that had provided services to Refco; and several customers that participated in the allegedly deceptive loans. According to the Trustee, these defendants all aided and abetted the Refco insiders in carrying out the fraud, or were negligent in neglecting to discover it. A year later, the Litigation Trustee filed a complaint in Massachusetts state court, asserting similar claims against the accounting firm KPMG LLP. Both lawsuits were removed to federal court and transferred to the Southern District of New York for coordinated or consolidated proceedings.

Defendants subsequently moved to dismiss the Litigation Trustee's claims pursuant to rule 12 (b) (1) and (6) of the Federal Rules of Civil Procedure, and the District Court granted the motions on April 14, 2009. Because the Trustee acknowledged that the Refco insiders masterminded Refco's fraud, the judge identified as the threshold issue whether the claims were subject to dismissal by virtue of the Second Circuit's *Wagoner* rule (see *Shearson Lehman Hutton, Inc. v Wagoner*, 944 F2d 114, 118 [2d Cir 1991] [bankruptcy trustee does not possess standing to seek recovery from third parties alleged to have joined with the debtor corporation in defrauding creditors]).³ Further, since "[a]ll parties agree[d] that if the *Wagoner* rule applie[d], the Litigation Trustee lack[ed] standing to assert any of Refco's claims against the defendants," the judge observed that "the parties' dispute focus[ed] solely on whether the narrow exception to the *Wagoner* rule—the 'adverse-interest' exception—applie[d]" (*Kirschner v Grant Thornton LLP*, 2009 WL 1286326, *5, 2009 US Dist LEXIS 32581, *19-20 [2009]).

Citing Second Circuit cases handed down after our decision in *Center v Hampton Affiliates* (66 NY2d 782 [1985]), the District Court noted that, in order for the adverse interest exception to

3. Although the District Court broadly characterized the *Wagoner* rule as "an application of the substantive law of New York" (*Kirschner v Grant Thornton LLP*, 2009 WL 1286326, *1 n 4, 2009 US Dist LEXIS 32581, *3 n 4 [SD NY 2009]; *Kirschner v KPMG LLP*, 2009 WL 1010060, *1 n 2, 2009 US Dist LEXIS 32539, *2 n 2 [SD NY 2009]), this rule derives in significant part from federal bankruptcy law, and is a prudential limitation on standing under federal law (see *Baena v KPMG LLP*, 453 F3d 1, 5 [1st Cir 2006]). Thus, the *Wagoner* rule is not part of New York law except as it reflects the in pari delicto principle, and in New York, in pari delicto is an affirmative defense, not a matter of standing. Even so—and although the Litigation Trustee may be understood to imply otherwise—in pari delicto may be resolved on the pleadings in a state court action in an appropriate case (see e.g. *Donovan v Rothman*, 302 AD2d 238, 239 [1st Dept 2003] [affirming dismissal of contract claim on ground of in pari delicto]).

apply, “the [corporate officer] must have totally abandoned [the corporation’s] interests and be acting entirely for his own or another’s purposes . . . because where an officer acts entirely in his own interests and adversely to the interests of the corporation, that misconduct cannot be imputed to the corporation” (2009 WL 1286326, *5, 2009 US Dist LEXIS 32581, *20 [citations and internal quotation marks omitted]). Further, “[i]n determining whether an agent’s actions were indeed adverse to the corporation, courts have identified ‘[t]he relevant issue [as being the] short term benefit or detriment to the corporation, not any detriment to the corporation resulting from the unmasking of the fraud’ ” (2009 WL 1286326, *6, 2009 US Dist LEXIS 32581, *21, quoting *In re Wedtech Corp.*, 81 BR 240, 242 [SD NY 1987]).

The District Court concluded that “[t]his line of precedent foreclose[d] the Trustee’s claims” because the complaint was “saturated by allegations that Refco received substantial benefits from the [Refco] insiders’ alleged wrongdoing” (2009 WL 1286326, *6, 2009 US Dist LEXIS 32581, *22). Thus, under the Trustee’s own allegations the Refco insiders stole *for* Refco, not *from* it—i.e., “the burden of the [Refco] insiders’ fraud was not borne by Refco or its then-current shareholders who were themselves the [Refco] insiders—but rather by outside parties, including Refco’s customers, creditors, and third parties who acquired shares through the IPO” (2009 WL 1286326, *6, 2009 US Dist LEXIS 32581, *24).

In reaching his decision, the judge rejected as “without merit” the Litigation Trustee’s “industrious” interpretation of the Second Circuit’s decision in *In re CBI Holding Co., Inc.* (529 F3d 432 [2d Cir 2008]), a case where the court held that a bankruptcy court’s finding that the adverse interest exception applied was not clearly erroneous. The judge declined to read a solely “intent-based” standard into *CBI* because

“deferring to a finder-of-fact’s choice as to which evidence to credit after a trial, or acknowledging that facts related to intent could contribute to the explication of how a fraud worked and to whose benefit it accrued, does not make the participants’ intent the ‘touchstone’ of the analysis such that it precludes dismissal on the pleadings” (2009 WL 1286326, *7, 2009 US Dist LEXIS 32581, *26).

“To hold otherwise,” he reasoned, “would be to explode the

adverse-interest exception, transforming it from a ‘narrow’ exception . . . into a new, and nearly impermeable rule barring imputation” (2009 WL 1286326, *7 n 14, 2009 US Dist LEXIS 32581, *27 n 14). The standard could not depend exclusively on the Refco insiders’ subjective motivation, the judge explained, because “[w]henEVER insiders conduct a corporate fraud they are doing so, at least in part, to promote their own advantage” (2009 WL 1286326, *7 n 14, 2009 US Dist LEXIS 32581, *28 n 14).

Having declined the Litigation Trustee’s invitation to read *CBI* to inquire solely into insiders’ claimed motivations, without regard to the nature and effect of their misconduct, the District Court revisited the fraud’s impact on Refco. He again emphasized that the Trustee’s allegations did not establish injury to Refco, because the Refco insiders did not embezzle or steal assets from Refco, but instead sold their holdings in Refco to third parties at fraudulently inflated prices—i.e., the Refco insiders’ benefit came at the expense of the new purchasers of Refco securities, not Refco itself. Critically, “the Trustee must allege, not that the [Refco] insiders intended to, or to some extent did, benefit from their scheme, but that the corporation was *harm*ed by the scheme, rather than being one of its beneficiaries” (2009 WL 1286326, *7, 2009 US Dist LEXIS 32581, *27).

Plaintiff appealed to the Second Circuit Court of Appeals. After presenting a comprehensive account of the Litigation Trustee’s factual allegations and the District Court’s decision, the court remarked that the parties seemingly did not dispute several propositions in the lower court’s decision, which “appear[ed] to correctly reflect New York law concerning the adverse interest exception” (*Kirschner v KPMG LLP*, 590 F3d 186, 191 [2d Cir 2009]); specifically, that the adverse interest exception was “a narrow one and that the guilty manager must have totally abandoned his corporation’s interests for [the exception] to apply”; and that “whether the agent’s actions were adverse to the corporation turns on the short term benefit or detriment to the corporation, not any detriment to the corporation resulting from the unmasking of the fraud” (*id.* [internal quotation marks omitted] [quoting the District Court’s opinion]). Nonetheless, the court observed, “[a]s [the District Court judge] applied these propositions to the Trustee’s allegations, . . . he interpreted New York law in ways that [brought] the parties into sharp dispute concerning certain aspects of the adverse interest exception”; namely, “the state of mind of the [Refco] insiders and the harm to their corporation” (*id.*).

The Second Circuit noted that “New York cases seem[ed] to support” the District Court’s conclusion that an insider’s subjective intent was not the “touchstone” of adverse interest analysis; however, the court added, “other New York cases may be read to make intent more significant” (*id.* at 191-192 n 3). In light of the parties’ “differing uses of New York cases, coupled with the somewhat divergent language used by the District Court in the pending case and by [the Second Circuit] in *CBI*, both endeavoring to interpret New York law,” the court sought our guidance as to the scope of New York’s adverse interest exception (*id.* at 194). Accordingly, on December 23, 2009 the Second Circuit certified eight questions, inviting us to “focus [our] attention on questions (2) and (3)” (*id.* at 195), which are “whether the adverse interest exception is satisfied by showing that the insiders intended to benefit themselves by their misconduct”; and “whether the exception is available only where the insiders’ misconduct has harmed the corporation,” respectively (*id.* at 194-195).

Teachers’ Retirement System of Louisiana and City of New Orleans Employees’ Retirement System

This lawsuit is a derivative action brought on behalf of American International Group, Inc. (AIG) by the Teachers’ Retirement System of Louisiana and the City of New Orleans Employees’ Retirement System (derivative plaintiffs). According to the complaint, senior officers of AIG set up a fraudulent scheme to misstate AIG’s financial performance in order to deceive investors into believing that the company was more prosperous and secure than it really was. The complaint further accuses these officers of causing the corporation to avoid taxes by falsely claiming that workers’ compensation policies were other types of insurance, and of engaging in “covered calls” to recognize investment gains without paying capital gains taxes. It is also claimed that AIG conspired with other companies to rig markets to subvert supposedly competitive auctions, and that the senior officers exploited their familiarity with improper financial machinations by selling the company’s “expertise” in balance sheet manipulation. Specifically, AIG is alleged to have sold to other companies insurance policies that did not involve the actual transfer of insurable risk, with the improper purpose of helping those companies report better financial results; and to have created special purpose entities for other companies without observing the required accounting rules for the similarly improper purpose of helping those companies hide

impaired assets. These financial tricks eventually came to light, resulting in serious harm to AIG. Stockholder equity was reduced by \$3.5 billion, and AIG was saddled with litigation and regulatory proceedings requiring it to pay over \$1.6 billion in fines and other costs.

Derivative plaintiffs do not allege that defendant PricewaterhouseCoopers LLP (PwC) conspired with AIG or its agents to commit accounting fraud. Rather, they contend that, as AIG's independent auditor, PwC did not perform its auditing responsibilities in accordance with professional standards of conduct, and so failed to detect or report the fraud perpetrated by AIG's senior officers. Had it done so, derivative plaintiffs argue, the fraudulent accounting schemes at AIG would have been timely discovered and rectified.

PwC moved to dismiss the action. On February 10, 2009, the Delaware Court of Chancery granted the motion, concluding that New York law applied to the claims and that, under New York law, the claims were barred (*In re American Intl. Group, Inc.*, 965 A2d 763 [Del Ch 2009]). Consistent with the way in which the District Court handled the same issues two months later in *Kirschner*, the vice-chancellor decided that, under New York's law of agency, the wrongdoing of AIG's senior officers was imputed to AIG and that, based on the allegations in the complaint, AIG's senior officers did not totally abandon AIG's interests such that the adverse interest exception to imputation would apply. Once the wrongdoing was imputed to AIG, the Court of Chancery decided that AIG's claims against PwC were barred by New York's *in pari delicto* doctrine and the *Wagoner* rule governing standing.

Derivative plaintiffs appealed. Determining that the appeal's resolution depended on significant and unsettled questions of New York law, on March 3, 2010, the Delaware Supreme Court issued a decision certifying the following question to us:

“Would the doctrine of *in pari delicto* bar a derivative claim under New York law where a corporation sues its outside auditor for professional malpractice or negligence based on the auditor's failure to detect fraud committed by the corporation; and, the outside auditor did not knowingly participate in the corporation's fraud, but instead, failed to satisfy professional standards in its audits of the corporation's financial statements?” (*Teachers' Retirement*

Sys. of La. v PricewaterhouseCoopers LLP, 998 A2d 280, 282-283 [Del 2010].)

II.

In Pari Delicto

[1] The doctrine of in pari delicto⁴ mandates that the courts will not intercede to resolve a dispute between two wrongdoers. This principle has been wrought in the inmost texture of our common law for at least two centuries (*see e.g. Woodworth v Janes*, 2 Johns Cas 417, 423 [NY 1800] [parties in equal fault have no rights in equity]; *Sebring v Rathbun*, 1 Johns Cas 331, 332 [NY 1800] [where both parties are equally culpable, courts will not “interpose in favour of either”]). The doctrine survives because it serves important public policy purposes. First, denying judicial relief to an admitted wrongdoer deters illegality. Second, in pari delicto avoids entangling courts in disputes between wrongdoers. As Judge Desmond so eloquently put it more than 60 years ago,

“[N]o court should be required to serve as paymaster of the wages of crime, or referee between thieves. Therefore, the law will not extend its aid to either of the parties or listen to their complaints against each other, but will leave them where their own acts have placed them” (*Stone v Freeman*, 298 NY 268, 271 [1948] [internal quotation marks omitted]).

The justice of the in pari delicto rule is most obvious where a willful wrongdoer is suing someone who is alleged to be merely negligent. A criminal who is injured committing a crime cannot sue the police officer or security guard who failed to stop him; the arsonist who is singed cannot sue the fire department. But, as the cases we have cited show, the principle also applies where both parties acted willfully. Indeed, the principle that a wrongdoer should not profit from his own misconduct is so strong in New York that we have said the defense applies even in difficult cases and should not be “weakened by exceptions” (*McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465, 470 [1960] [“We are not working here with narrow questions of technical law. We are applying fundamental concepts of morality and fair dealing *not to be weakened by exceptions*” (emphasis added)]; *see also Saratoga County Bank v King*, 44 NY 87, 94 [1870] [characterizing the doctrine as “inflexible”]).

4. The doctrine’s full name is in pari delicto potior est conditio defendentis, meaning “[i]n a case of equal or mutual fault, the position of the [defending party] is the better one” (*Baena*, 453 F3d at 6 n 5 [internal quotation marks omitted]).

Imputation

[2] Traditional agency principles play an important role in an in pari delicto analysis. Of particular importance is a fundamental principle that has informed the law of agency and corporations for centuries; namely, the acts of agents, and the knowledge they acquire while acting within the scope of their authority are presumptively imputed to their principals (see *Henry v Allen*, 151 NY 1, 9 [1896] [imputation is “general rule”]; see also *Cragie v Hadley*, 99 NY 131 [1885]; accord *Center*, 66 NY2d at 784). Corporations are not natural persons. “[O]f necessity, [they] must act solely through the instrumentality of their officers or other duly authorized agents” (*Lee v Pittsburgh Coal & Min. Co.*, 56 How Prac 373, 375 [Super Ct 1877], *affd* 75 NY 601 [1878]). A corporation must, therefore, be responsible for the acts of its authorized agents even if particular acts were unauthorized (see *Ruggles v American Cent. Ins. Co. of St. Louis*, 114 NY 415, 421 [1889]). “The risk of loss from the unauthorized acts of a dishonest agent falls on the principal that selected the agent” (see *Andre Romanelli, Inc. v Citibank, N.A.*, 60 AD3d 428, 429 [1st Dept 2009]). After all, the principal is generally better suited than a third party to control the agent’s conduct, which at least in part explains why the common law has traditionally placed the risk on the principal.

Agency law presumes imputation even where the agent acts less than admirably, exhibits poor business judgment, or commits fraud (see e.g. *Price v Keyes*, 62 NY 378, 384-385 [1875] [critical issue is whether agent was acting in furtherance of his duties, regardless of his “selfish motive”]). As we explained long ago, a corporation “is represented by its officers and agents, and their fraud in the course of the corporate dealings[] is in law the fraud of the corporation” (*Cragie*, 99 NY at 134; accord *Reynolds v Snow*, 10 AD2d 101, 109 [1st Dept 1960], *affd* 8 NY2d 899 [1960]). Like a natural person, a corporation must bear the consequences when it commits fraud (see e.g. *Wight v BankAmerica Corp.*, 219 F3d 79, 86-87 [2d Cir 2000] [under “fundamental principle(s) of agency,” managers’ misconduct within the scope of their employment is imputed and “bars a trustee from suing to recover for a wrong that he himself essentially took part in”]).

When corporate officers carry out the everyday activities central to any company’s operation and well-being—such as issuing financial statements, accessing capital markets, handling customer accounts, moving assets between corporate entities,

and entering into contracts—their conduct falls within the scope of their corporate authority (*see e.g. Baena*, 453 F3d at 7 [“The approval and oversight of (financial) statements is an ordinary function of management that is done on the company’s behalf, which is typically enough to attribute management’s actions to the company itself”]). And where conduct falls within the scope of the agents’ authority, everything they know or do is imputed to their principals.

Next, the presumption that agents communicate information to their principals does not depend on a case-by-case assessment of whether this is likely to happen. Instead, it is a legal presumption that governs in every case, except where the corporation is actually the agent’s intended victim (*see Center*, 66 NY2d at 784 [“when an agent is engaged in a scheme to defraud his principal . . . he cannot be presumed to have disclosed that which would expose and defeat his fraudulent purpose”]). Where the agent is defrauding someone else on the corporation’s behalf, the presumption of full communication remains in full force and effect (*see* 3 Thompson and Thompson, Commentaries on the Law of Corporations § 1778, at 347 [3d ed 1927] [“However applicable the dictum that an agent about to commit a fraud will not announce his intention may be in the case of fraud by an agent upon his own principal, it has no application when the agent, acting in behalf of his principal, or ostensibly so, commits a fraud upon a third person”]).

In sum, we have held for over a century that all corporate acts—including fraudulent ones—are subject to the presumption of imputation (*Cragie*, 99 NY at 134). And, as with in pari delicto, there are strong considerations of public policy underlying this precedent: imputation fosters an incentive for a principal to select honest agents and delegate duties with care.

Adverse Interest Exception to Imputation

[3] We articulated the adverse interest exception in *Center* as follows: “To come within the exception, the agent must have *totally abandoned* his principal’s interests and be acting *entirely* for his own or another’s purposes. It cannot be invoked merely because he has a conflict of interest or because he is not acting primarily for his principal” (*Center*, 66 NY2d at 784-785 [emphasis added]). This rule avoids ambiguity where there is a benefit to both the insider and the corporation, and reserves this most narrow of exceptions for those cases—outright theft or looting or embezzlement—where the insider’s misconduct

benefits only himself or a third party; i.e., where the fraud is committed *against* a corporation rather than on its behalf.

The rationale for the adverse interest exception illustrates its narrow scope. As already discussed, the presumption that an agent will communicate all material information to the principal operates except in the narrow circumstance where the corporation is actually the victim of a scheme undertaken by the agent to benefit himself or a third party personally, which is therefore entirely opposed (i.e., “adverse”) to the corporation’s own interests (see *Center*, 66 NY2d at 784). Where the agent is perpetrating a fraud that will benefit his principal, this rationale does not make sense.

A fraud that by its nature will benefit the corporation is not “adverse” to the corporation’s interests, even if it was actually motivated by the agent’s desire for personal gain (*Price*, 62 NY at 384). Thus, “[s]hould the ‘agent act[] both for himself and for the principal,’ . . . application of the exception would be precluded” (*Capital Wireless Corp. v Deloitte & Touche*, 216 AD2d 663, 666 [3d Dept 1995], quoting *In re Crazy Eddie Sec. Litig.*, 802 F Supp 804, 817 [ED NY 1992]; see also *Center*, 66 NY2d at 785 [the adverse interest exception “cannot be invoked merely because . . . (the agent) is not acting primarily for his principal”]).

New York law thus articulates the adverse interest exception in a way that is consistent with fundamental principles of agency. To allow a corporation to avoid the consequences of corporate acts simply because an employee performed them with his personal profit in mind would enable the corporation to disclaim, at its convenience, virtually every act its officers undertake. “[C]orporate officers, even in the most upright enterprises, can always be said, in some meaningful sense, to act for their own interests” (*Grede v McGladrey & Pullen LLP*, 421 BR 879, 886 [ND Ill 2009]). A corporate insider’s personal interests—as an officer, employee, or shareholder of the company—are often deliberately aligned with the corporation’s interests by way of, for example, stock options or bonuses, the value of which depends upon the corporation’s financial performance.

Again, because the exception requires adversity, it cannot apply unless the scheme that benefitted the insider operated at the corporation’s expense. The crucial distinction is between conduct that defrauds the corporation and conduct that defrauds

others for the corporation's benefit. "Fraud on behalf of a corporation is not the same thing as fraud against it" (*Cenco Inc. v Seidman & Seidman*, 686 F2d 449, 456 [7th Cir 1982]), and when insiders defraud third parties *for* the corporation, the adverse interest exception is not pertinent. Thus, as we emphasized in *Center*, for the adverse interest exception to apply, the agent "must have *totally abandoned* his principal's interests and be acting *entirely* for his own or another's purposes," not the corporation's (*Center*, 66 NY2d at 784-785 [emphasis added]). So long as the corporate wrongdoer's fraudulent conduct enables the business to survive—to attract investors and customers and raise funds for corporate purposes—this test is not met (*Baena*, 453 F3d at 7 ["A fraud by top management to overstate earnings, and so facilitate stock sales or acquisitions, is not in the long-term interest of the company; but, like price-fixing, it profits the company in the first instance"]).

The Litigation Trustee suggests that, to the extent that the adverse interest exception requires harm, "bankruptcy is harm enough" and that, whenever the corporation is bankrupt, "it is fair to assume at the pleading stage" that the adverse interest exception applies. But the mere fact that a corporation is forced to file for bankruptcy does not determine whether its agents' conduct was, at the time it was committed, adverse to the company (see e.g. *Barnes v Hirsch*, 215 App Div 10, 11 [1st Dept 1925] [trustee's claim dismissed where it sought to recover for agents' fraud "practiced on these customers" of debtor rather than debtor itself], *affd* 242 NY 555 [1926]). Even where the insiders' fraud can be said to have caused the company's ultimate bankruptcy, it does not follow that the insiders "totally abandoned" the company. As we have held when considering whether an agent's acts were a fraud on the principal prompted by "selfish" motives, it "is immaterial that it has turned out that it would have been better" for the agent to have acted differently (*Price*, 62 NY at 385; see also Restatement [Third] of Agency § 5.04, Comment c ["the fact that an action taken by an agent has unfavorable results for the principal does not establish that the agent acted adversely"]).

Critically, the presumption of imputation reflects the recognition that principals, rather than third parties, are best suited to police their chosen agents and to make sure they do not take actions that ultimately do more harm than good (see *Cenco*, 686 F2d at 455 ["if the owners of the corrupt enterprise are allowed

to shift the costs of its wrongdoing entirely to the auditor, their incentives to hire honest managers and monitor their behavior will be reduced”]; *see also* Restatement [Third] of Agency § 5.03, Comment *b* [“Imputation creates incentives for a principal to choose agents carefully and to use care in delegating functions to them”]).

Consistent with these principles, any harm from the discovery of the fraud—rather than from the fraud itself—does not bear on whether the adverse interest exception applies. The disclosure of corporate fraud nearly always injures the corporation. If that harm could be taken into account, a corporation would be able to invoke the adverse interest exception and disclaim virtually every corporate fraud—even a fraud undertaken for the corporation’s benefit—as soon as it was discovered and no longer helping the company.

Finally, to focus on harm from the exposure of the fraud would be a step away from the requirement of adversity. Generally, a fraud will suit the interests of both a company and its insiders for as long as it remains a secret (sometimes a considerable number of years, as was the case with Refco), and leads to negative consequences for both when disclosed.

III.

The Litigation Trustee and the derivative plaintiffs encourage us to broaden the adverse interest exception or revise New York precedents relating to *in pari delicto* or imputation for reasons of public policy—specifically, as they put it, to recompense the innocent and make outside professionals (especially accountants) responsible for their negligence and misconduct in cases of corporate fraud. Although they do not stress the point, their proposals to revise imputation rules are limited to *in pari delicto* cases. No one disputes that traditional imputation principles, including a narrowly confined adverse interest exception, should remain unchanged—indeed, are essential—in other contexts. For example, in a suit against Refco or AIG by an innocent victim of the frauds, no one would suggest that the wrongful acts of the corporate insiders could not be attributed to their principals. Instead, the Litigation Trustee and the derivative plaintiffs advance various ways for us to reformulate New York law where *in pari delicto* is in issue. All their proposals push the adverse interest exception up to, if not beyond, the point of extinction. We next explore these proposals and consider whether our precedent remains anchored in sound public policy and workable.

Subjective Intent and Illusory Benefits

First, the Litigation Trustee advocates that we “adopt the rule of *CBI*, under which the insiders’ intent is the touchstone and a short term, illusory benefit to the company does not defeat the adverse interest exception.” The derivative plaintiffs similarly argue that analysis of the adverse interest exception should focus on the agent’s overall intent.

As an initial matter, it is not entirely clear that *CBI* stands for any such far-reaching “rule.” *CBI* held that plaintiff Bankruptcy Services, Inc. (BSI), *CBI*’s successor under its bankruptcy plan, possessed standing by virtue of the adverse interest exception to assert claims against its outside accountants arising from their performance of pre-bankruptcy audits of *CBI*. This was so because “[t]he bankruptcy court’s finding that *CBI*’s management ‘was acting for its own interest and not that of *CBI*’ [was] not clearly erroneous and constitute[d] the ‘total abandonment’ of [the] corporation’s interests necessary to satisfy the adverse interest exception” (*CBI*, 529 F3d 432, 438 [2008]). In particular, the bankruptcy court found as a matter of fact that “the fraud was perpetrated for the purpose of obtaining a bigger bonus for [*CBI*’s president and CEO and principal shareholder], and to preserve [his] personal control over the company” (*id.* at 449). Further, the bankruptcy court found as a matter of fact that *CBI* would have sold for almost \$28 million as late as October 1993, about 10 months before it declared bankruptcy (*id.* at 453). The ongoing plundering practiced by its president, and not flagged by the accountants as early as the bankruptcy court determined it should have been, deprived the company of this opportunity to sell equity for value.

[4] Giving a broad reading to the Second Circuit’s opinion in *CBI*, the Litigation Trustee asks us to make availability of the adverse interest exception depend upon whether “corrupt insiders intend to benefit themselves at the company’s expense” to be “alleged and proved by showing that the corrupt insiders intended to benefit themselves personally *and* actually received personal benefits *and/or* that the company received only short term benefits but suffered long term harm” (emphasis added). To recast the adverse interest exception in this fashion, as the District Court pointed out, would “explode” the exception, turning it into a “nearly impermeable rule barring imputation” in every case (*Kirschner v Grant Thornton LLP*, 2009 WL 1286326, *7 n 14, 2009 US Dist LEXIS 32581, *27-28 n 14 [2009]). This is so because fraudsters are presumably not, as a general rule,

motivated by charitable impulses, and a company victimized by fraud is always likely to suffer long-term harm once the fraud becomes known. The Trustee's proposed rule would limit imputation to fraudsters so inept they gain no personal benefit and unexposed frauds, which is another way of saying the adverse interest exception would become a dead letter because it would encompass every corporate fraud prompting litigation.

The NCP and AHERF Rules

[5] Alternatively, the Litigation Trustee urges us to take the approach to in pari delicto and imputation adopted by the New Jersey Supreme Court in 2006 (*NCP Litig. Trust v KPMG LLP*, 187 NJ 353, 901 A2d 871 [2006]) (supported by the derivative plaintiffs as well), or the Pennsylvania Supreme Court earlier this year (*Official Comm. of Unsecured Creditors of Allegheny Health Educ. & Research Found. v PricewaterhouseCoopers, LLP*, 989 A2d 313 [Pa 2010] [hereinafter *AHERF*]). Our sister states fashioned carve-outs from traditional agency law in cases of corporate fraud so as to deny the in pari delicto defense to negligent or otherwise culpable outside auditors (New Jersey) and collusive outside professionals (Pennsylvania). Thus, the adverse interest exception, while not abolished, is again rendered beside the point.

In the *NCP* case, two corporate officers of Physician Computer Network, Inc. (PCN), a publicly traded company that developed and marketed health care-related software, intentionally misrepresented PCN's financial status to investors and to the company's accounting firm, KPMG. After KPMG uncovered the fraud by spotting and reporting certain accounting irregularities, PCN's fortunes quickly sank, leading to bankruptcy and significant investor losses. Various shareholder groups filed lawsuits against PCN and the two corporate wrongdoers, and garnered cash settlements.

In addition, the NCP Litigation Trust was set up pursuant to PCN's confirmed bankruptcy plan for the purpose of pursuing causes of action for the benefit of corporate shareholders. The Trust filed suit against KPMG, alleging as follows: "KPMG negligently failed to exercise due professional care in the performance of its audits and in the preparation of the financial statements and audit reports. Had KPMG not performed negligently, and had it instead exercised due care, it would have detected PCN's fraud and prevented the losses PCN suffered" (187 NJ at 363, 901 A2d at 876-877).

When KPMG raised the affirmative defense of *in pari delicto*, the New Jersey Supreme Court held that “when an auditor is negligent within the scope of its engagement, the imputation doctrine does not prevent corporate shareholders from seeking to recover” (187 NJ at 384, 901 A2d at 890). These corporate shareholders must be “innocent,” though: an auditor may still assert the “imputation defense” against those shareholders who engaged in the fraud; or who, by way of their role in the company, should have been aware of the fraud; or who owned large blocks of stock and therefore arguably possessed some ability to oversee the company’s operations (187 NJ at 377-378, 901 A2d at 885-886). Thus, the New Jersey rule calls for the relative faults of the company/shareholders and auditors to be sorted out by the factfinder as matters of comparative negligence and apportionment.

The *AHERF* case involved a nonprofit operator of health care facilities, which embarked upon an aggressive campaign to acquire hospitals, medical schools and physicians’ practices in pursuit of an integrated health care delivery system. This business model did not produce the anticipated cost savings and income streams, though, and by 1996 AHERF was losing money. AHERF’s chief executive and financial officers allegedly knowingly misstated AHERF’s finances in figures they provided to the organization’s outside auditor, Coopers and Lybrand (now PwC) in 1996 and 1997 to hide the corporation’s substantial operating losses.

AHERF filed for bankruptcy in July 1998, and a committee of unsecured creditors, acting on the debtor’s behalf, then brought claims against AHERF’s insiders as well as PwC in federal district court. The claims against PwC alleged professional negligence, breach of contract, and aiding and abetting the breach of fiduciary duty by the AHERF officers. The committee’s theory was that PwC’s audits in 1996 and 1997 should have brought management’s misstatements to light, but rather than issuing an adverse opinion as generally accepted accounting principles (GAAP) and generally accepted accounting standards (GAAS) required, PwC knowingly assisted in the corporate insiders’ misconduct by issuing “clean” opinions. As a result, the committee contended, AHERF’s board of trustees was under the false impression that AHERF was in relatively good financial shape and so did not call a halt to the CEO’s acquisition binge until it was too late to save the corporation.

The District Court granted PwC’s motion for summary judgment, finding no material issue of fact excepting the wrongdo-

ing of AHERF's senior management from imputation to AHERF, and no factual or equitable bar to application of the doctrine of in pari delicto (*Official Comm. of Unsecured Creditors of Allegheny Health, Educ. & Research Found. v PricewaterhouseCoopers, LLP*, 2007 WL 141059, *15, 2007 US Dist LEXIS 3331, *48-49 [WD Pa 2007]). The committee appealed, arguing that imputation was inapplicable because the auditors were alleged to have wrongfully colluded with AHERF's insiders in misstating the corporation's finances. Concluding that the appeal presented issues of first impression under Pennsylvania law, the Third Circuit Court of Appeals certified questions to the Pennsylvania Supreme Court seeking clarification of "the appropriate test under Pennsylvania law for deciding whether imputation [was] appropriate when the party invoking that doctrine [was] not conceded to be an innocent third party, but an alleged co-conspirator in the agent's fraud" (*Official Comm. of Unsecured Creditors of Allegheny Health, Educ. & Research Found. v PricewaterhouseCoopers, LLP*, 2008 WL 3895559, *4, 2008 US App LEXIS 18823, *13-14 [3d Cir 2008]).

The Pennsylvania Supreme Court first rejected the approach taken by New Jersey, concluding that "the best course . . . for Pennsylvania common law [was] to continue to recognize the availability of the *in pari delicto* defense . . . , via the necessary imputation, in the negligent-auditor context" where the plaintiff's culpability was equal to or greater than the defendant's (*AHERF*, 989 A2d at 335). But as to the issue of auditor collusion presented by the Third Circuit's certification, the court took a different view, holding that imputation (and therefore the in pari delicto defense) was unavailable where an auditor had not proceeded in material good faith (*id.* at 336-338).⁵ In light of the Pennsylvania Supreme Court's clarifying opinion,

5. Although the Pennsylvania rule (unlike the New Jersey rule) permits in pari delicto to be asserted as a basis for a pretrial motion to dismiss in negligent-auditor cases, any benefit to defendants may prove more speculative than real, depending upon Pennsylvania's pleading rules. Savvy plaintiffs might allege auditor participation and knowing involvement in the illegal activities of corporate management in every case in order to try to dodge dismissal. And

"[w]hile there will no doubt be cases in which the 'innocence' of the auditors is apparent from the face of the complaint, many other cases will be far from clear. For example, if the audit team questions management about certain revenue recognition practices and then 'passes' audit exceptions to those items as immaterial, is the plaintiff entitled to the favorable inference of 'knowing participation' by the auditor in response to a motion to

(n. cont'd)

the Third Circuit subsequently held that when a third party, such as an auditor, colludes with agents to defraud their principal, “Pennsylvania law requires an inquiry into whether the third party dealt with the principal in good faith,” and remanded to the District Court to conduct such an inquiry (*Official Comm. of Unsecured Creditors of Allegheny Health, Educ. & Research Found. v PricewaterhouseCoopers, LLP*, 607 F3d 346, 348 [3d Cir 2010]).

The *NCP* and *AHERF* decisions were both animated by considerations of equity—the notion that although the plaintiffs stood in the shoes of the principal malefactors, any recovery they achieved from the defendant accounting firms—which were alleged to have been either negligent or complicit—would, in fact, only benefit innocent shareholders or unsecured creditors and so should not be barred by *in pari delicto*. The Pennsylvania Supreme Court reflected this sentiment when it said that it would be “ill-advised, if not perverse” to “apply[] imputation as against *AHERF*” because that “would result in the corporation being charged with knowledge as against a third party whose agents actively and intentionally prevented those in *AHERF*’s governing structure who were non-participants in the fraud from acquiring such knowledge” (*AHERF*, 989 A2d at 336).

Comparative Negligence

[6] Finally, the Litigation Trustee suggests that any *in pari delicto* defense “should not be a total bar to recovery, but at most a basis for apportionment of fault and damages as between the defendant and the company’s successor trustee” under CPLR 1411. The derivative plaintiffs go even further, claiming that *in pari delicto* was abolished when the Legislature enacted CPLR 1411 in 1975. As PwC points out, though, there is no reason to suppose that the *statute* did away with common-law defenses based on intentional conduct, such as *in pari delicto*, although we could presumably reinterpret New York common law in this area to provide for comparative fault, as New Jersey has done. The effect again would be to marginalize the adverse interest exception. And, of course, comparative fault contradicts the public policy purposes at the heart of *in pari delicto*—deterrence and the unseemliness of the judiciary “serv-

dismiss?” (See Gentile, *AHERF Ruling: Limitation of Imputation for Auditors*, <http://www.law360.com/printarticle/175825> [June 18, 2010].)

[ing] as paymaster of the wages of crime” (*Stone*, 298 NY at 271).

Public Policy

This case reduces down to whether, and under what circumstances, we choose to reinterpret New York common law to permit corporations to shift responsibility for their own agents’ misconduct to third parties. The Litigation Trustee and the derivative plaintiffs, with whom the dissent agrees, ask us to do this as a matter of public policy in order to compensate the innocent and deter third-party professional (and, in particular, auditor) misconduct and negligence.

[7] On the first point, the Litigation Trustee and the derivative plaintiffs urge us to consider that, although they both stand in the shoes of corporate malefactors, any recovery they achieve will, in fact, benefit blameless unsecured creditors (in the Refco case) and shareholders (in the AIG case) at the expense of defendants who allegedly assisted the fraud or were negligent. They ask us to broaden the adverse interest exception and create exceptions to imputation along the lines adopted by the courts in *NCP* and *AHERF*, and endorsed by the dissent, in the interests of fairness. We are not persuaded, however, that the equities are quite so obvious. In particular, why should the interests of innocent stakeholders of corporate fraudsters trump those of innocent stakeholders of the outside professionals who are the defendants in these cases? The costs of litigation and any settlements or judgments would have to be borne, in the first instance, by the defendants’ blameless stakeholders; in the second instance, by the public (*see Securities & Exch. Commn. v Tambone*, 597 F3d 436, 452-453 [1st Cir 2010, Boudin, J., concurring] [“No one sophisticated about markets believes that multiplying liability is free of cost. And the cost, initially borne by those who raise capital or provide audit or other services to companies, gets passed along to the public”]).

In a sense, plaintiffs’ proposals may be viewed as creating a double standard whereby the innocent stakeholders of the corporation’s outside professionals are held responsible for the sins of their errant agents while the innocent stakeholders of the corporation itself are not charged with knowledge of their wrongdoing agents. And, of course, the corporation’s agents would almost invariably play the dominant role in the fraud and therefore would be more culpable than the outside professional’s agents who allegedly aided and abetted the insiders or

did not detect the fraud at all or soon enough. The owners and creditors of KPMG and PwC may be said to be at least as “innocent” as Refco’s unsecured creditors and AIG’s stockholders.

We are also not convinced that altering our precedent to expand remedies for these or similarly situated plaintiffs would produce a meaningful additional deterrent to professional misconduct or malpractice. The derivative plaintiffs caution against dealing accounting firms a “get-out-of-jail-free” card. But as any former partner at Arthur Andersen LLP—once one of the “Big Five” accounting firms—could attest, an outside professional (and especially an auditor) whose corporate client experiences a rapid or disastrous decline in fortune precipitated by insider fraud does not skate away unscathed. In short, outside professionals—underwriters, law firms and especially accounting firms—already are at risk for large settlements and judgments in the litigation that inevitably follows the collapse of an Enron, or a Worldcom or a Refco or an AIG-type scandal. Indeed, in the Refco securities fraud litigation, the IPO’s underwriters, including the three underwriter defendants in this action, have agreed to settlements totaling \$53 million (www.refcosecuritieslitigation.com). In the AIG securities fraud litigation, PwC settled with shareholder plaintiffs last year for \$97.5 million (www.aigsecuritieslitigationpwcsettlement.com). It is not evident that expanding the adverse interest exception or loosening imputation principles under New York law would result in any greater disincentive for professional malfeasance or negligence than already exists.⁶ Yet the approach advocated by the Litigation Trustee and the derivative plaintiffs would allow the creditors and shareholders of the company that employs

6. As a result of Congress’s passage of the Sarbanes-Oxley Act of 2002 and the Securities and Exchange Commission’s subsequent adoption of implementing rules, external auditors of public companies are also now subject to more rigorous regulatory standards than was the case at the inception of the frauds at Refco and AIG. In other words, carving out exceptions from traditional common-law principles, as the dissent would have us do, is not the only or necessarily the optimal way to address “gatekeeper failure.” Indeed, Professor Coffee, whose article the dissent twice cites (*see* dissenting op at 481 n 2, 482) suggests an “essentially regulatory” approach, whereby the auditor-gatekeeper would be

“convert[ed] . . . into the functional equivalent of an insurer, who would back its auditor’s certification with an insurance policy that was capped at a realistic level. As a result, the gatekeeper’s liability would be divorced from any showing of fault, but it would also be limited to a level that achieves adequate deterrence without causing the market for gatekeeping services to unravel” (Coffee, *Gatekeeper Failure and Reform: The Chal-*

(n. cont’d)

miscreant agents to enjoy the benefit of their misconduct without suffering the harm.

The principles of in pari delicto and imputation, with its narrow adverse interest exception, which are embedded in New York law, remain sound. The speculative public policy benefits advanced by the Litigation Trustee and the derivative plaintiffs to vindicate the changes they seek do not, in our view, outweigh the important public policies that undergird our precedents in this area or the importance of maintaining the “stability and fair measure of certainty which are prime requisites in any body of law” (Loughran, *Some Reflections on the Role of Judicial Precedent*, 22 Fordham L Rev 1, 3 [1953]). We are simply not presented here with the rare case where, in the words of former Chief Judge Loughran, “the justification and need” for departure from carefully developed legal principles are “clear and cogent” (*id.*). Finally, to the extent our law had become ambiguous, today’s decision should remove any lingering confusion.

Accordingly, the certified questions in *Kirschner v KPMG LLP* and *Teachers’ Retirement Sys. of La. v PricewaterhouseCoopers LLP* should be answered in accordance with this opinion, including in *Kirschner* that certified question (2) should be answered “No” and certified question (3) should be answered “Yes”; and that in *Teachers’ Retirement Sys. of La.*, the certified question should be answered “Yes,” assuming the adverse interest exception does not apply.

CIPARICK, J. (dissenting). The majority opinion effectively precludes litigation by derivative corporate plaintiffs or litigation trustees to recover against negligent or complicit outside actors—even where the outside actor, hired to perform essential gatekeeping and monitoring functions, actively colludes with corrupt corporate insiders. In my view, the agency law principles upon which the majority rests its conclusions ignore complex assumptions and public policy that compel different conclusions than those reached by the majority. Accordingly, I respectfully dissent.

As an important threshold matter, the majority acknowledges that under New York law, in pari delicto is an affirmative defense, not a matter of standing (*see* majority op at 459 n 3).

The confusion regarding the nature of this doctrine stems from the Second Circuit's *Wagoner* case and its progeny (see *Shearson Lehman Hutton, Inc. v Wagoner*, 944 F2d 114, 118 [2d Cir 1991]; see also *In re CBI Holding Co., Inc.*, 529 F3d 432, 447-448 [2d Cir 2008]; *Wight v BankAmerica Corp.*, 219 F3d 79, 86 [2d Cir 2000]; *Hirsch v Arthur Andersen & Co.*, 72 F3d 1085, 1093 [2d Cir 1995]; cf. *Bullmore v Ernst & Young Cayman Is.*, 20 Misc 3d 667, 670 [Sup Ct, NY County 2008] [distinguishing between the "equitable defense" of in pari delicto and the *Wagoner* "standing doctrine"]), which incorrectly characterize New York's version of in pari delicto as a limitation on standing. The application of in pari delicto as an affirmative defense versus its application as a standing rule is more than merely semantics. Viewing in pari delicto as a matter of standing places the burden of pleading and proof on the plaintiff, while treating the doctrine as an affirmative defense places the burden of pleading and proof on the defendant (see e.g. *Woods v Rondout Val. Cent. School Dist. Bd. of Educ.*, 466 F3d 232, 237 [2d Cir 2006]).¹

To be sure, even an affirmative defense can, as the majority observes, be decided on the basis of the facts as alleged in the complaint (see e.g. *Donovan v Rothman*, 302 AD2d 238, 239 [1st Dept 2003] [holding Supreme Court properly dismissed plaintiffs' claim on the basis of in pari delicto]). However, to the extent that the majority opinion can be read to suggest that this is the preferable result, or that a pre-answer motion alleging in pari delicto should always result in a dismissal, I respectfully disagree. On a pre-answer motion to dismiss, a court must take as true the allegations of the complaint and give the plaintiff the benefit of every favorable inference that may be drawn from the complaint or from submissions in opposition to the motion (see *Matter of Graziano v County of Albany*, 3 NY3d 475, 481 [2004]; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 152 [2002]; *Prudential-Bache Sec. v Citibank*, 73 NY2d 263, 266 [1989]). Where complex, fact-based issues abound, pre-answer dismissal should be an exception, not the rule (see e.g. *Morgado Family Partners, LP v Lipper*, 19 AD3d 262, 263 [1st Dept 2005]; see also *In re Adelphia Communica-*

1. Significantly, the majority gives the so-called *Wagoner* rule continuing validity, at least in part, by characterizing it as a "prudential limitation on standing" derived from "federal bankruptcy law" (majority op at 459 n 3). In pari delicto, as an affirmative defense, does not bear on a plaintiff's *standing* to assert a claim, only on the relative merits or ultimate success of such a claim. Accordingly, to the extent that *Wagoner* implies that in pari delicto is a matter of standing, I would expressly disapprove of that case and its progeny.

tions Corp., 365 BR 24, 33 [Bankr SD NY 2007] [“issue is not whether a (claim) will ultimately prevail but whether the claimant is entitled to offer evidence to support the claims”]; *Stahl v Chemical Bank*, 237 AD2d 231, 231 [1st Dept 1997] [defense of “unclean hands (which is doctrinally similar to in pari delicto) . . . raises issues that require factual exploration”]. The majority, however, is willing to allow dismissal of the complaints at this early stage of litigation based on agency principles and public policy, effectively creating a per se rule that fraudulent insider conduct bars any actions against outside professionals by derivative plaintiffs or litigation trustees for complicitous assistance to the corrupt insider or negligent failure to detect the wrongdoing. The principles underlying this doctrine do not support such a hard-line stance.

In pari delicto is a long-established tenet of law that instructs courts to refrain from intervening in a dispute between two parties at equal fault (see e.g. *Woodworth v Janes*, 2 Johns Cas 417, 423 [Sup Ct 1800]; *Stone v Freeman*, 298 NY 268, 271 [1948]; see also *Baena v KPMG LLP*, 453 F3d 1, 6 [1st Cir 2006] [in pari delicto “prevent(s) a deliberate wrongdoer from recovering from a co-conspirator or accomplice”]; see also *id.* at 6 n 5). The majority, quoting *McConnell v Commonwealth Pictures Corp.* (7 NY2d 465, 470 [1960]), opines that the doctrine of in pari delicto should apply “even in difficult cases” and “should not be ‘weakened by exceptions’ ” (majority op at 464). However, those decisions that have characterized the principle as “inflexible” (see *Saratoga County Bank v King*, 44 NY 87, 94 [1870]) or “not to be weakened” (*McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465, 470 [1960]) have recognized that the doctrine is premised on concepts of morality, fair dealing and justice (see *McConnell*, 7 NY2d at 470; *Saratoga*, 44 NY at 94; see also *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299, 306-307 [1985] [under the “classic formulation” of in pari delicto “(t)here may be on the part of the court itself a necessity of supporting the public interests or public policy in many cases, however reprehensible the acts of the parties may be”]). It is therefore clear that the concept of in pari delicto is not a rigid concept, incapable of shaping itself to the particulars of an individual case.

Before the in pari delicto doctrine can be applied to circumstances such as those presented here, the actions of the corrupt insider/agent must be found to be attributable to the corporate entity/principal. As the majority observes, the agency law rule

of imputation generally presumes that a principal knows and approves of the acts of, and shares the knowledge of, its agent (see generally *Center v Hampton Affiliates*, 66 NY2d 782, 784 [1985]). This “general rule” is undergirded by the “presumption that an agent has discharged his duty to disclose to his principal ‘all the material facts coming to his knowledge with reference to the subject of his agency’” (*id.*, quoting *Henry v Allen*, 151 NY 1, 9 [1896]).

An agent’s actions and knowledge cannot be imputed to the principal, however, if the “agent is engaged in a scheme to defraud his principal, either for his own benefit or that of a third person” (*id.*). In such circumstances, “the presumption that knowledge held by the agent was disclosed to the principal fails because he cannot be presumed to have disclosed that which would expose and defeat his fraudulent purpose” (*id.*). This adverse interest exception can apply in circumstances where a corrupt corporate insider acts for its own benefit, rather than for the benefit of its principal. The majority rejects the premise that the adverse interest exception should depend on a “case-by-case assessment of whether” an agent is likely to communicate information to its principal (majority op at 466). Rather, the majority observes that considerations of public policy—including incentivizing the selection of honest agents and careful delegation of duties—require strict imputation. Moreover, the majority reasons that a limited application of the adverse interest exception—where virtually any benefit to the corporation/principal will defeat the exception—serves the same purposes (see majority op at 468-469), and rejects plaintiffs’ arguments that an agent’s intent is relevant to the adverse interest analysis. The majority also concludes that the adverse interest exception requires a showing of harm, and rejects plaintiffs’ argument that benefits to the principal which are merely illusory do not defeat the exception.

It is axiomatic that the adverse interest exception requires a showing of harm to the principal, but the premise that even an illusory benefit to a principal can serve to defeat the adverse interest exception to imputation misses the point. As the Second Circuit noted in *CBI Holding*, a “corporation is not a biological entity for which it can be presumed that any act which extends its existence is beneficial to it” (529 F3d at 453, quoting *In re Investors Funding Corp. of N.Y. Sec. Litig.*, 523 F Supp 533, 541 [SD NY 1980]). Indeed, “[p]rolonging a corporation’s existence in the face of ever increasing insolvency may be ‘doing no more

than keeping the enterprise perched at the brink of disaster' ” (*id.*, quoting *In re Maxwell Newspapers, Inc.*, 164 BR 858, 869 [Bankr SD NY 1994]). As was borne out here, in the case of Refco, insider fraud that merely gives the corporation life longer than it would naturally have is not a true benefit to the corporation but can be considered a harm. The majority's assertion that any corporate insider fraud that “enables the business to survive” defeats the adverse interest exception (majority op at 468) would, as alleged here, condone the actions of the defendants.

Moreover, in the corporate context where the fraud committed by corrupt insiders is either enabled by, joined in, or goes unnoticed by outside “gatekeeper” professionals,² the use of these simple agency principles in such a manner has been rightfully criticized (*see NCP Litig. Trust v KPMG LLP*, 187 NJ 353, 368, 901 A2d 871, 880 [2006], quoting Morris, *Clarifying the Imputation Doctrine: Charging Audit Clients with Responsibility for Unauthorized Audit Interference*, 2001 Colum Bus L Rev 339, 353 [2001]). One commentator has observed that the results seemingly required by imputation and in *pari delicto* are “severe and unmodulated by concern for the specifics of individual cases” (DeMott, *When is a Principal Charged with an Agent's Knowledge?*, 13 Duke J Comp & Intl L 291, 319 [2003]). Indeed, these simplistic agency principles as applied by the majority serve to effectively immunize auditors and other outside professionals from liability wherever any corporate insider engages in fraud.

Important policy concerns militate against the strict application of these agency principles. There can be little doubt that the role played by auditors and other gatekeepers serves the public as well as the corporations that contract for such services. Investors rely heavily on information prepared by or approved by auditors, accountants, and other gatekeeper professionals. Corporate financial statements, examined by ostensibly independent auditors, “are one of the primary sources of information available to guide the decisions of the investing public” (*United States v Arthur Young & Co.*, 465 US 805, 810-811 [1984]). It is, therefore, in the public's best interest to maximize diligence and thwart malfeasance on the part of gatekeeper

2. Obvious examples of what are sometimes referred to as “gatekeepers” include auditors, accountants, and law firms (*see generally* Coffee, *Gatekeeper Failure and Reform: The Challenge of Fashioning Relevant Reforms*, 84 BU L Rev 301, 308-309 [2004]).

professionals (*see generally* Coffee, *Gatekeeper Failure and Reform*, 84 BU L Rev at 345-346 [“public policy must seek to minimize the perverse incentives that induce the gatekeeper not to investigate too closely”]; Shapiro, *Who Pays the Auditor Calls the Tune?: Auditing Regulation and Clients’ Incentives*, 35 Seton Hall L Rev 1029, 1034 [2005] [the purpose of audits is to “provide some independent assurance that those entrusted with resources are made accountable to those who have provided the resources”])).

Moreover, it is unclear how immunizing gatekeeper professionals, as the majority has effectively done, actually incentivizes corporate principals to better monitor insider agents. Indeed, it seems that strict imputation rules merely invite gatekeeper professionals “to neglect their duty to ferret out fraud by corporate insiders because even if they are negligent, there will be no damages assessed against them for their malfeasance” (Pritchard, *O’Melveny Meyers v FDIC: Imputation of Fraud and Optimal Monitoring*, 4 Sup Ct Econ Rev 179, 192 [1995]).

For these and other reasons, our sister courts in New Jersey and Pennsylvania have carved out exceptions or limitations to the imputation and in pari delicto rules. In *NCP Litig. Trust v KPMG LLP* (187 NJ 353, 901 A2d 871 [2006]), the Supreme Court of New Jersey held that “when an auditor is negligent within the scope of its engagement, the imputation doctrine does not prevent corporate shareholders from seeking to recover” (187 NJ at 384, 901 A2d at 890). That court explained its rationale for adopting such a rule as follows: “A limited imputation defense will properly compensate the victims of corporate fraud without indemnifying wrongdoers for their fraudulent activities. To the extent that shareholders are innocent of corporate wrongdoing, our holding provides just compensation to those plaintiffs” (*id.*).

In explaining its newly-drawn good faith exception or limitation on the rules of imputation and in pari delicto, the Supreme Court of Pennsylvania observed that

“the appropriate approach to benefit and self-interest [as those concepts inform the decision whether to impute an insider’s conduct to the corporate entity] is best related back to the underlying purpose of imputation, which is fair risk-allocation, including the affordance of appropriate protection to those who transact business with

corporations” (*Official Comm. of Unsecured Creditors of Allegheny Health Educ. & Research Found. v PricewaterhouseCoopers, LLP*, 989 A2d 313, 335 [2010] [hereinafter *AHERF*]).

Accordingly, that court drew a “sharp distinction between those who deal in good faith with the principal-corporation in material matters and those who do not” (*id.*). Ultimately, the court continued to “recognize the availability of the *in pari delicto* defense (upon appropriate and sufficient pleadings and proffers), via the necessary imputation, in the negligent-auditor context” (*id.*). As to auditor collusion, however, the Pennsylvania Supreme Court explained that “the ordinary rationale supporting imputation breaks down completely in scenarios involving secretive, collusive conduct between corporate agents and third parties . . . because imputation rules justly operate to protect third parties on account of their reliance on an agent’s actual or apparent authority” (*id.* at 336).³ Accordingly, the court held that imputation—and therefore *in pari delicto*—“do[es] not (and should not) apply in circumstances in which the agent’s authority is neither actual nor apparent, as where both the agent and the third party know very well that the agent’s conduct goes unsanctioned by one or more of the tiers of corporate governance” (*id.*).

In conclusion, I do not quarrel with the majority’s statements of the applicable principles of agency law. Rather, my departure is from the majority’s rigid application of those principles to cases by litigation trustees and derivative plaintiffs against gatekeeper professionals for enabling corporate insider fraud by colluding in or failing to detect such fraud. I agree with the litigation trustee and the derivative plaintiffs that no equitable basis exists for holding that litigation trustees or derivative plaintiffs are *in pari delicto* with culpable outside professionals. Indeed, in my view, the weight of the equities favors allowing

3. Bearing on the underlying premises supporting imputation, agency law generally holds a principal responsible for the actions of an agent that are taken with actual or apparent authority (*see generally Standard Funding Corp. v Lewitt*, 89 NY2d 546, 549 [1997]; *Hallock v State of New York*, 64 NY2d 224, 231 [1984]). Whether apparent authority exists is a fact-based determination requiring inquiry into the conduct of the principal. In other words, apparent authority may exist if the principal’s conduct has given rise “to the appearance and belief that the agent possesses authority to” act with respect to the third party (*Hallock*, 64 NY2d at 231). Notably, a third party with whom the agent deals may only rely on an appearance of authority to the extent that such reliance is reasonable (*see id.*, citing *Wen Kroy Realty Co. v Public Natl. Bank & Trust Co.*, 260 NY 84, 92-93 [1932]).

suits such as these to go forward to deter active wrongdoing or negligence by auditors and similar professionals (*see generally O'Melveny & Myers v FDIC*, 512 US 79, 90 [1994, Stevens, J., concurring]). Moreover, I am persuaded by the sound rationales employed by our sister state courts in the *AHERF* case and the *NCP Litig. Trust* case that a more reasonable approach is to recognize a carve-out or exception to the *in pari delicto* doctrine for cases involving corporate insider fraud enabled by complicit or negligent outside gatekeeper professionals.

Accordingly, I would answer the certified questions from both the Second Circuit and the Delaware Supreme Court in accordance with this writing.

Judges GRAFFEO, SMITH and JONES concur with Judge READ; Judge CIPARICK dissents in a separate opinion in which Chief Judge LIPPMAN and Judge PIGOTT concur.

In *Kirschner v KPMG LLP*: Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

In *Teachers' Retirement Sys. of La. v PricewaterhouseCoopers LLP*: Following certification of a question by the Supreme Court of Delaware and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in accordance with the opinion herein.

[940 NE2d 530, 914 NYS2d 704]

In the Matter of KESE INDUSTRIES et al., Respondents, v ROSLYN
TORAH FOUNDATION et al., Appellants, et al., Respondents.

Argued October 13, 2010; decided November 17, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 19, 2009. The Appellate Division affirmed so much of an order and judgment (one paper) of the Supreme Court, Nassau County (William R. LaMarca, J.; op 2007 NY Slip Op 34121[U]), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, as had (1) granted a petition to void a certain tax deed issued by the Treasurer of Nassau County to respondent Thomas Gillen, as trustee of the Gillen Living Trust, (2) vacated the tax deed and a subsequently executed quitclaim deed from Gillen to respondent Siat Foundation, (3) denied a motion by Gillen to dismiss the petition, and (4) denied an application by petitioners for a tax exemption on the subject property.

Matter of Kese Indus. v Roslyn Torah Found., 62 AD3d 880, reversed.

HEADNOTES

Taxation — Tax Liens, Tax Sales and Tax Titles — Mortgagee’s Attorney Not “Legal Representative” Entitled to Notice of Issuance of Tax Deed

1. A mortgagee’s attorney in a pending foreclosure action concerning the same property was not a “legal representative” entitled to notice within the meaning of section 5-51.0 (a) of the Nassau County Administrative Code. Section 5-51.0 (a) requires a tax lien purchaser to provide notice to the affected property’s “occupant, owner in fee, trustee, mortgagee, judgment creditor or purchaser . . . and the heirs, legal representatives and assigns of any or either of them” that a tax deed will be issued unless the right to redeem the lien is exercised. A legal representative is, in the ordinary sense, one who manages the legal affairs of another because of incapacity or death. Whereas an attorney of record is an agent of a party of interest, a legal representative is not an agent, but a principal who has been assigned the rights and obligations of the party. Guided by the canon of construction that ambiguous words are ordinarily interpreted in relation to the meanings of adjacent words, the term “legal representatives,” defined as “executors and administrators,” fits logically between “heirs” and “assigns.” By contrast, defined as attorneys of record, the term “legal representatives” shares little in common with “heirs” and “assigns.” Moreover, the county legislature could have specified “attorneys” and not “legal representatives” in section 5-51.0 if notice to an attorney/agent were intended.

Parties — Necessary Parties — Referee in Foreclosure Action Not Interested Party Entitled to Notice of Issuance of Tax Deed

2. A court-appointed referee in a foreclosure action was not an interested party entitled to notice under section 5-51.0 (a) of the Nassau County Administrative Code. Section 5-51.0 (a) requires a tax lien purchaser to provide notice to “any other person having a lien, claim or Interest appearing of record on the premises affected” that a tax deed will be issued unless the right to redeem the lien is exercised. A referee is an agent of the court who performs ministerial duties in place of a judge, and has no greater legal interest in the property than the judge for whom he or she acts. Although the referee is obligated to pay taxes on the property, that duty derives only from the referee’s ministerial role as a conduit for the transfer of ownership of the property and not from the referee’s own pecuniary or proprietary interest. Accordingly, a notice to redeem a tax lien was properly served notwithstanding the failure to serve the referee.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, State and Local Taxation §§ 798, 799.

BOWMAR, MORTGAGE LIENS IN NEW YORK, ch 24, Omitted Owners and Lienors.

NY JUR 2d, Mortgages and Deeds of Trust § 724; NY JUR 2d, Taxation and Assessment §§ 643, 662, 670, 671, 713.

ANNOTATION REFERENCE

See ALR Index under Mortgages; Taxes.

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POINTS OF COUNSEL

Kenneth Cooperstein, Centerport, for appellants. I. This Court should overrule *Matter of Hua Nan Commercial Bank v Albicocco* (270 AD2d 265 [2000]) because its construction of “legal representative” to mean attorneys of record is manifestly unreasonable. (*Facchin v Pekich*, 232 AD2d 447; *Etterle v Excelsior Ins. Co. of N.Y.*, 74 AD2d 436; *Briggs v Walker*, 171 US 466; *Sulz v Mutual Reserve Fund Life Assn.*, 145 NY 563; *Matthews v American Cent. Ins. Co.*, 154 NY 449; *Geoffroy v Gilbert*, 5 App Div 98, 154 NY 741; *Shiya v Erickson*, 156 Misc 738; *Kem Mfg. Corp. v Wilder*, 817 F2d 1517; *Western Steel Erection Co. v United States*, 424 F2d 737; *Mobay Chem. Co. v Hudson Foam Plastics Corp.*, 277 F Supp 413.) II. Notice to redeem from a tax lien given pursuant to Nassau County Administrative Code § 5-51.0 (a) need not be given to attorneys of record for parties in

interest and the referee in an unrelated foreclosure action concerning the subject premises where judgment of foreclosure has been entered, the notice of pendency expired 18 months earlier, and the foreclosure judgment has not been recorded in the block index—especially where the clients are sui juris and have received actual notice. (*Matter of Sakow*, 97 NY2d 436; *Horowitz v Griggs*, 2 AD3d 404; *Matter of Hua Nan Commercial Bank v Albicocco*, 270 AD2d 265; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Jones v Flowers*, 547 US 220; *Long Is. City Sav. & Loan Assn. v Suggs*, 78 Misc 2d 16; *Morgan v Ellenville Sav. Bank*, 55 AD2d 178; *Crisona v Macaluso*, 33 AD2d 569.) III. The issues are novel and they are important because the order of the Appellate Division will have an adverse impact on the public fisc in Nassau County.

Pryor & Mandelup, L.L.P., Westbury (*John H. Hall, Jr.*, of counsel), for respondents. I. This Court should not overrule *Matter of Hua Nan Commercial Bank v Albicocco* (270 AD2d 265 [2000]) because the decision is consistent with the teachings of this Court, is a logical reading of the Nassau County Administrative Code, and is now precedent. (*Matter of McCann v Scaduto*, 71 NY2d 164; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Jones v Flowers*, 547 US 220; *Matter of Wing v Ryan*, 255 App Div 163; *Briggs v Walker*, 171 US 466; *Etterle v Excelsior Ins. Co. of N.Y.*, 74 AD2d 436; *People v Hobson*, 39 NY2d 479; *Matter of Higby v Mahoney*, 48 NY2d 15.) II. The Court should uphold Justice LaMarca’s decision that a referee should be provided with notice. (*Segal v Jackson*, 183 Misc 460; *Constellation Bank v Binghamton Plaza*, 236 AD2d 698.) III. The fact that a notice of pendency has expired has no effect upon the tax lienor’s duty to provide notice to the mortgagee’s foreclosure attorneys. (*Walter v State Bank of Albany*, 73 AD2d 406; *Matter of Sakow*, 97 NY2d 436; *Horowitz v Griggs*, 2 AD3d 404.) IV. Whether or not the foreclosure attorney can be found on the block index is irrelevant. V. Appellants’ attempts to limit the notice requirement of the Nassau County Administrative Code are against public policy.

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal requires us to interpret whether the term “legal representative,” which ordinarily denotes the executor or administrator of an estate, may encompass a party’s retained legal counsel in a pending action. This question comes to us in

the context of Nassau County Administrative Code § 5-51.0, which sets out the duty of a tax lien purchaser to provide notice that a tax deed will be issued unless the right to redeem the lien is exercised. We conclude that the mortgagee's attorney in a pending foreclosure action concerning the same property is not a "legal representative" within the meaning of section 5-51.0, and that the court-appointed referee in a foreclosure action is not an interested party entitled to notice under section 5-51.0.

Roslyn Torah Foundation (RTF), a not-for-profit corporation that operates an orthodox synagogue and high school, purchased property in Roslyn, Nassau County, from the Theodore Roosevelt Council of the Boy Scouts of America (the Boy Scouts) in January 1998. At the time, RTF and the Boy Scouts executed a purchase money mortgage on the property for the principal amount of \$1.2 million. RTF maintained a synagogue and high school on part of the parcel and the rest remained undeveloped. Three years later, RTF defaulted on its mortgage payments, causing the Boy Scouts to commence a foreclosure action in May 2002. At the time, notice of pendency was filed on the property, which expired no later than May 2005 and was not renewed. In October 2002, the Boy Scouts assigned the note and mortgage to respondent Kese Industries (Kese). Kese retained a foreclosure attorney to prosecute the foreclosure action begun by the Boy Scouts. Supreme Court entered a judgment of foreclosure and sale against RTF in March 2005 and appointed a referee to conduct the foreclosure sale. The sale was thereafter delayed by RTF's bankruptcy filings, which were ultimately dismissed by federal court.

In December 2003, RTF transferred all its property except for the lot that housed the synagogue and school to Roslyn Gate Corporation (Roslyn Gate). RTF failed to make any additional mortgage payments to Kese for several years and also defaulted on property taxes for the 2003-2004 school year and 2004 general tax year, when it neglected to file for tax exempt status.

In response to the default on property taxes, in February 2005, Nassau County issued a tax lien to appellant Gillen Living Trust, doing business as Jumbo Investments, for \$67,596.67. Because of a delay in recording the prior subdivision and sale of part of RTF's property to Roslyn Gate, the tax lien was on the entire parcel of land. That is, both RTF's and Roslyn Gate's lots were subject to the tax lien.

Thomas Gillen, as trustee of the Gillen Living Trust, served a notice to redeem the tax lien on Kese, Roslyn Gate, RTF and

others in November 2006. However, it is uncontested that Gillen did not serve either Kese's foreclosure attorney or the foreclosure referee. Neither Kese nor Roslyn Gate exercised their right to redeem the property from the tax lien. Consequently, Nassau County issued a tax deed to Gillen, who then transferred ownership of the entire parcel of land to Siat Foundation by quitclaim deed for \$444,000. Siat Foundation is a charitable organization affiliated with RTF that allowed RTF to continue operating its school and synagogue.

Kese and Roslyn Gate commenced this hybrid action/CPLR article 78 proceeding in June 2007 seeking an order (1) enjoining Siat from transferring the tax deed, (2) declaring the conveyance of the tax deed void, (3) declaring the tax deed void because Gillen did not adhere to the notice requirements of the Nassau County Administrative Code, (4) declaring the tax deed void because no taxes were due, (5) declaring that any real estate taxes owed be allocated to each of the lots separately and not as a single parcel, (6) declaring the sale of the original tax lien void, (7) directing the Nassau County Treasurer to rescind the tax deed, and (8) directing the Nassau County Treasurer to allow petitioners to redeem the tax lien.

Finding for Kese and Roslyn Gate, Supreme Court (1) voided and vacated the tax deed issued to Gillen, (2) vacated the quitclaim deed Gillen transferred to Siat because the notice to redeem was defective, (3) denied Gillen's motion seeking to dismiss the petition, (4) denied Kese's application for a tax exemption and other tax relief on the subject property because the time to apply for this relief had expired, and (5) held that Kese or Roslyn Gate or both might redeem the tax liens by paying any or all taxes determined to be due. (2007 NY Slip Op 34121[U] [2007].)

Supreme Court relied on Second Department precedent holding that section 5-51.0 of the Nassau County Administrative Code requires notice to be served on "legal representatives," which include a mortgagee's foreclosure attorney (*see Matter of Hua Nan Commercial Bank v Albicocco*, 270 AD2d 265 [2000]). The tax lien was found to be void inasmuch as Gillen did not serve Kese's attorney. The Appellate Division affirmed, finding the case controlled by *Hua Nan*. Accordingly, the Court ruled that "the law firm was a legal representative of a party entitled to notice" (62 AD3d 880, 881 [2d Dept 2009]). The Court did not reach the question of whether Gillen had complied with the other requirements of the notice provision, specifically whether

Gillen was also obligated to serve the court-appointed referee in the foreclosure action.

Although the Second Department adhered to its own recent precedent in *Hua Nan*, the outcome is predicated on a flawed construction of Nassau County Administrative Code § 5-51.0 (a), which provides:

“The holder of any tax lien which is not satisfied, shall give notice to the occupant, owner in fee, trustee, mortgagee, judgment creditor or purchaser at any other county tax sale of a tax lien affecting the same property, and the heirs, *legal representatives* and assigns of any or either of them . . . and any other person having a lien, claim or Interest appearing of record on the premises affected by such sale. The words ‘appearing on record’ shall be construed to refer to any person on whom a notice is hereby required to be served, the nature and degree of whose Interest appears from the records kept by the County Clerk, County Treasurer, Surrogate of the County and receiver of taxes for the town or city in which the property is located” (emphasis added).

A legal representative is, in the ordinary sense, one “who manages the legal affairs of another because of incapacity or death” (see Black’s Law Dictionary 1416-1417 [9th ed 2009]). Whereas an attorney of record is an agent of a party of interest, a legal representative is not an agent, but a principal who has been assigned the rights and obligations of the party.

Consistent with this definition, this Court, going back to the late 1800s, has held “the words ‘legal representatives’ mean ordinarily executors or administrators, and that meaning will be attributed to them in any instance unless there be facts existing which show that the words were not used in their ordinary sense, but to denote some other and different idea” (*Sulz v Mutual Reserve Fund Life Assn.*, 145 NY 563, 574 [1895]; see also *Griswold v Sawyer*, 125 NY 411, 413 [1891]; *Matthews v American Cent. Ins. Co.*, 154 NY 449, 462-463 [1897]). Even in the rare instances where the term has been found to signify something other than “executors or administrators,” the meaning has not extended to a party’s attorneys (see e.g. *Greenwood v Holbrook*, 111 NY 465, 471 [1888] [holding that in a certain agreement, “the phrase ‘legal representatives’ relates to children or descendants, and not executors or administrators”]).

This definition of “legal representative” corresponds with the case law of virtually every other state and federal court that has defined the term (*see e.g. Briggs v Walker*, 171 US 466, 471 [1898]; *Commissioner of Corps. & Taxation v Second Natl. Bank of Boston*, 308 Mass 1, 8, 30 NE2d 889, 894 [1941]; *Warnecke v Lembca*, 71 Ill 91, 92 [1873]; *McMahan v Greenwood*, 108 SW3d 467, 487 [Tex Ct App 2003]). The phrase “legal representatives” also appears in the Federal Rules of Civil Procedure. In that context, the federal courts have consistently interpreted the meaning to exclude attorneys qua attorneys (*see e.g. Western Steel Erection Co. v United States*, 424 F2d 737, 739 [10th Cir 1970] [holding that “an attorney does not have standing to move under (Federal Rules of Civil Procedure) rule 60(b) as a ‘legal representative’ ” because “(a) ‘legal representative’ under the rule is one who by operation of law is tantamount to a party in relationship to the matter involved in the principal action”]; *see also Rende v Kay*, 415 F2d 983, 985 [DC Cir 1969] [“Although the attorney for the defendant was retained to ‘represent’ the deceased as his counsel, he is not a person who could be made a party, and is not a ‘representative of the deceased party’ in the sense contemplated by (Federal Rules of Civil Procedure rule) 25(a)(1)”]). Indeed, the only case other than *Hua Nan* that sustains the position that a legal representative may be a party’s attorney suggests that attorney is not the ordinary meaning of the term (*see Regents of Univ. of New Mexico v Lacey*, 107 NM 742, 744, 764 P2d 873, 875 [1988] [“In considering the ordinary and usual meaning of the words used in this statute, an interpretation that an attorney may be a legal representative is not unreasonable”]).

Moreover, the structure of the Nassau County Administrative Code itself compels the conclusion that the term “legal representatives” does not comprehend a foreclosure attorney. Section 5-51.0 (a) requires that notice be given to “the occupant, owner in fee, trustee, mortgagee, judgment creditor or purchaser . . . and the *heirs, legal representatives and assigns* of any or either of them.” Guided by the familiar canon of construction of *noscitur a sociis*, we ordinarily interpret the meaning of an ambiguous word in relation to the meanings of adjacent words (*see McKinney’s Cons Laws of NY*, Book 1, Statutes § 239 [“words employed in a statute are construed in connection with, and their meaning is ascertained by reference to the words and phrases with which they are associated”]; *see e.g. Aikin v Wasson*, 24 NY 482, 484 [1862]). So construed, the term “legal repre-

sentatives,” defined as “executors and administrators,” fits logically between “heirs” and “assigns,” insofar as all three groups have been assigned the rights and duties of the property owner and all are associated with Surrogate’s Court practice. By contrast, defined as attorneys of record, the term “legal representatives” shares little in common with “heirs” and “assigns.”

[1] Finally, the presence of the term “attorney” in other related sections of the Nassau County Administrative Code suggests that the county legislature would have specified “attorneys” and not “legal representatives” in section 5-51.0 (a) if notice upon the attorney/agent were intended (*see e.g.* Nassau County Administrative Code § 5-51.0 [e] [“The County Treasurer, upon receiving a copy of such notice, together with an affidavit by the holder or his *attorney* or agent that service has been properly made” (emphasis added)]). We therefore conclude that the tax deed should not have been voided on the basis of the tax lien purchaser’s failure to serve the mortgagee’s foreclosure attorney with notice of redemption.

[2] Petitioners-respondents also contend that the court-assigned referee in a foreclosure proceeding is a party of interest entitled to notice. As relevant, section 5-51.0 (a) requires that notice be served upon “any other person having a lien, claim or Interest appearing of record on the premises affected by such sale.” Respondents claim that Gillen’s failure to serve the assigned referee voided Gillen’s tax deed. We reject this interpretation. As described in CPLR 4301, a “referee to determine an issue or to perform an act shall have all the powers of a court in performing a like function.” In other words, the referee is an agent of the court who performs ministerial duties in place of a judge. The referee has no greater a legal interest in the property than the judge for whom he or she acts. Although the referee is obligated to pay taxes on the property, this duty derives only from the referee’s ministerial role as a conduit for the transfer of ownership of the property and not from the referee’s own pecuniary or proprietary interest.

Notwithstanding the earlier Appellate Division precedent to the contrary, case law and statutory analysis counsel that the legislative purpose of requiring service upon a “legal representative” is to ensure that personal representatives, namely executors or administrators of an estate, are notified of a risk of divestiture of title to their property. Because appellant Thomas Gillen, trustee of Gillen Living Trust, complied with section

5-51.0 of the Nassau County Administrative Code, we find the notice to redeem properly served and remit for further proceedings, including the resolution of the status of the tax deed.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[938 NE2d 989, 912 NYS2d 556]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DRAGAN
BOSCIC, Respondent.

Argued October 14, 2010; decided November 17, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Sullivan County Court (Frank J. LaBuda, J.), entered July 30, 2009. The County Court (1) reversed a judgment of the Justice Court of the Town of Bethel (Howard Block, J.), which had convicted defendant, after a non-jury trial, of driving while ability impaired by the consumption of alcohol, and (2) dismissed the accusatory instrument.

People v Boscic, 24 Misc 3d 1227(A), 2009 NY Slip Op 51649(U), reversed.

HEADNOTE

Motor Vehicles — Chemical Tests — Standard for Admissibility of Breath-Alcohol Device Test Results

In a prosecution for driving while ability impaired by the consumption of alcohol in violation of Vehicle and Traffic Law § 1192 (1), defendant's breath-alcohol test results were properly admitted as evidence at trial, notwithstanding that the breath-alcohol testing device used to test defendant was last calibrated approximately six months and three weeks before the test was administered. Breath-alcohol test result evidence is admissible if the People establish an adequate evidentiary foundation, which includes demonstrating that the breath-alcohol detection device was in proper working order at the time the test was administered. The ruling in *People v Todd* (38 NY2d 755 [1975]) did not explicitly articulate a requirement of proof that the testing device was calibrated within six months prior to administration of the test. Given the technological advances that have occurred and will continue to evolve, paired with the proliferation of available breath-alcohol detection devices approved for use (*see* 10 NYCRR 59.4), a court-imposed calibration timing rule for all current technologies would not be helpful in providing the fact-finder a basis to determine whether the particular instrument produced reliable results in a specific instance. However, nothing prevents an accused from seeking to introduce relevant evidence that may affect other foundational issues or the weight that should be given to the results generated by a particular device. Here, the certificate attesting to the device's calibration was a sufficient predicate as part of the proper foundation for admission into evidence of defendant's breath-alcohol test results because it adequately assured that the instrument was capable of producing accurate information when defendant was tested.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 348, 988,
993.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:59, 194:60.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.3–10.5, 24.4.
MCKINNEY'S, Vehicle and Traffic Law § 1192 (1).
10 NYCRR 59.4.
NY JUR 2d, Automobiles and Other Vehicles §§ 895, 910, 922, 924.

ANNOTATION REFERENCE

Necessity and sufficiency of proof that tests of blood alcohol concentration were conducted in conformance with prescribed methods. 96 ALR3d 745.

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POINTS OF COUNSEL

James R. Farrell, District Attorney, Monticello (Bonnie M. Mitzner, Scott Russell and Meagan Galligan of counsel), for appellant. I. County Court erred in holding that the breath result was not admissible, which resulted in a reversal of the trial court's decision. (*People v Todd*, 38 NY2d 755; *People v Corley*, 124 AD2d 390; *People v Freeland*, 68 NY2d 699; *People v Dargento*, 302 AD2d 924; *People v English*, 103 AD2d 979; *People v Mickel*, 187 Misc 2d 718; *People v Pompilio*, 137 Misc 2d 997; *People v Manino*, 147 AD2d 926; *People v Hampe*, 181 AD2d 238, 80 NY2d 930.) II. County Court improperly considered material not part of the trial court's record on appeal when reversing the trial court's decision. (*People v Hampe*, 181 AD2d 238, 80 NY2d 930; *People v English*, 103 AD2d 979; *People v Todd*, 38 NY2d 755; *Broida v Bancroft*, 103 AD2d 88; *People v Gomez*, 255 AD2d 246, 93 NY2d 873; *People ex rel. Martinez v Walters*, 99 AD2d 476, 63 NY2d 727; *People v Hoppe*, 239 AD2d 777, 91 NY2d 973.)

Joel M. Proyect, Parksville, for respondent. I. The trial court erred in admitting the breath test result. (*People v Todd*, 38 NY2d 755; *People v English*, 103 AD2d 979; *People v Dargento*, 302 AD2d 924; *Chiasson v New York City Dept. of Consumer Affairs*, 138 Misc 2d 394; *Peasley v State of New York*, 102 Misc 2d 982; *People v Palumbo*, 79 AD2d 518.) II. If this Court did not establish the "six-month rule" in *People v Todd* (38 NY2d 755

[1975]), it should do so now. (*People v English*, 103 AD2d 979; *People v Dargento*, 302 AD2d 924.) III. The trial court erred in accepting the breathalyzer reading as .07% beyond a reasonable doubt. IV. The People did not meet their burden of proof by the use of the testimony of Constable McCarthy alone.

Gerstenzang, O'Hern, Hickey, Sills & Gerstenzang, Albany (Eric H. Sills of counsel), for New York State Defenders Association, amicus curiae. The Court should adhere to its prior decision in *People v Todd* (38 NY2d 755 [1975]). (*People v Free-land*, 68 NY2d 699; *People v Meikrantz*, 77 Misc 2d 892; *People v Todd*, 79 Misc 2d 630; *People v Mertz*, 68 NY2d 136; *People v Dargento*, 302 AD2d 924; *People v Sawinski*, 148 AD2d 888; *People v Manino*, 147 AD2d 926; *People v English*, 103 AD2d 979; *People v Pompilio*, 137 Misc 2d 997; *People v DeMarasse*, 85 NY2d 842.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we consider whether our decision in *People v Todd* (38 NY2d 755 [1975]) adopted a standard requiring that breath-alcohol detection devices must be calibrated at least every six months in order for the test results to be admissible at trial. We hold that there is no per se, six-month rule and that the People must instead lay a foundation demonstrating that the particular device used was in proper working order when the test was administered.

On November 3, 2007, Constable McCarthy of the Town of Bethel police force observed a minivan parked on the side of a road directly underneath a “no standing” sign. A few minutes later, McCarthy saw defendant Dragan Boscic walk from a nearby convenience store and get into the minivan. As defendant started to drive the minivan forward, McCarthy pulled the police car in front of it and exited the vehicle.

According to McCarthy, when he approached the minivan, he smelled alcohol on defendant’s breath, saw that his eyes were glassy and bloodshot, and noticed that his speech was slightly slurred. McCarthy asked defendant if he had consumed alcohol and defendant admitted to drinking three beers. McCarthy then requested that defendant perform five field sobriety tests. After defendant’s poor performance on some of these tests, he was arrested for suspicion of drunk driving. Later, at the Sullivan County Sheriff’s Office, McCarthy used a breath-alcohol machine—the BAC DataMaster—to test defendant. The device

issued a reading indicating that defendant's blood alcohol level was .07%. Defendant was charged with violating Vehicle and Traffic Law § 1192 (1)—driving while ability impaired by the consumption of alcohol.

During the bench trial in Bethel Justice Court, the People sought to introduce, through the testimony of Constable McCarthy, the results of the breath-alcohol test. As part of the foundation presented in support of the admissibility of the test results, the People offered a police record certifying that the DataMaster had been calibrated (i.e., checked and adjusted by a trained technician) by an employee of the State Division of Criminal Justice Services on April 6, 2007—approximately six months and three weeks before the test was administered to defendant. Defense counsel argued against admission of the test results on the basis that the People failed to lay an adequate foundation, asserting that *People v Todd* (38 NY2d 755 [1975]) required that breathalyzer machines must be calibrated at least every six months and the calibration in this case was untimely. Justice Court rejected that contention and concluded that the People demonstrated that the DataMaster device was working properly at the time defendant was tested. Defendant was found guilty as charged.

On appeal, Sullivan County Court reversed and dismissed the accusatory instrument (24 Misc 3d 1227[A], 2009 NY Slip Op 51649[U] [2009]). The court interpreted *Todd* as creating a six-month calibration rule and therefore held that the DataMaster results were inadmissible because the device had not been calibrated within six months of defendant's arrest. County Court also ruled that, without the breath-alcohol test results, McCarthy's trial testimony was insufficient as a matter of law to prove defendant's guilt beyond a reasonable doubt. A Judge of this Court granted the People leave to appeal (13 NY3d 937 [2010]) and we now reverse.

Breath-alcohol detection machines have long been considered scientifically reliable, but it remains necessary for the proponent of breath-alcohol test evidence to establish an adequate evidentiary foundation for the admission into evidence of the results of the test (see e.g. *People v Mertz*, 68 NY2d 136, 148 [1986]). The issue here is whether, as a predicate to the admissibility of this evidence, there needed to be proof that the instrument used to test defendant had been calibrated during the past six months. Defendant claims that *People v Todd* (38 NY2d 755

[1975]) established a six-month calibration requirement that was not met here. Although *Todd* is susceptible to such an interpretation, we do not read it in such a rigid manner.

The trial evidence in *Todd* indicated that the breathalyzer machine “was constantly left on at the [state police] barracks and never turned off,” and had been calibrated more than six months before it was utilized to test the defendant (79 Misc 2d 630, 633 [County Ct, Delaware County 1974]). The intermediate appellate court believed that those “two factors taken together raise[d] a reasonable doubt . . . as to the reliability of that particular machine” (*id.*). We agreed in a memorandum decision, explaining that “[t]he People failed to establish that the breathalyzer apparatus had been timely calibrated” and that “[i]t was incumbent upon the District Attorney to show that the machine was in proper working order” (38 NY2d at 756). Our decision was necessarily premised on both of these inter-related circumstances—a breathalyzer device that had never been deactivated and, in light of its continuous operation, had not been recently calibrated. Thus, *Todd* did not explicitly articulate a six-month standard or allude to a specific calibration time frame.

We have not relied on a six-month, bright-line rule in subsequent cases that dealt with the foundation requirements for breath-alcohol evidence. Rather than applying a specific temporal limitation, our post-*Todd* decisions have repeatedly emphasized that the applicable principle is whether the detection instrument was in “proper working order” at the time a test was administered (*People v Gower*, 42 NY2d 117, 120 [1977]; *People v Freeland*, 68 NY2d 699, 700 [1986]; *People v Kinne*, 71 NY2d 879, 880 [1988]; see *People v Alvarez*, 70 NY2d 375, 380 [1987]; *People v Mertz*, 68 NY2d at 148). The Third and Fourth Departments have interpreted our precedent similarly and rejected the notion that it is impossible for a breath-alcohol device to function properly simply because it has not been calibrated for six months (see e.g. *People v Dargento*, 302 AD2d 924 [4th Dept 2003]; *People v Manino*, 147 AD2d 926 [4th Dept 1989]; *People v English*, 103 AD2d 979, 980 n * [3d Dept 1984]). We concur with that view and therefore hold that such evidence is admissible if the People demonstrate that the machine was in proper working order at the time it issued the test results in question.

Todd was decided almost 35 years ago and in the ensuing decades, scientific knowledge has advanced dramatically, leading

to significant technological changes in breath-alcohol detection devices. The scientific methods incorporated in modern-day breath testing instruments are substantially different from the earlier generations of these devices. For instance, in 1975 when *Todd* was decided, the prevalent scientific process for breath-alcohol analysis involved chemical oxidation, wherein a breath sample was passed through an ampule containing a chemical mixture (usually potassium dichromate in sulfuric acid). The degree of ethanol content in the breath stimulated changes in the absorption abilities of the solution that could be detected by transmitting light through the sample. Results were then compared with an unreacted sample of the solution to achieve a blood-alcohol concentration reading (see Faigman et al., 5 Modern Scientific Evidence: The Law and Science of Expert Testimony § 41:55; 2 Giannelli and Imwinkelried, Scientific Evidence § 22.03 [b], at 380 [4th ed]). More recent technology relies on infrared absorption spectrometry. This technology—which is used in the BAC DataMaster—calculates blood-alcohol concentration by passing infrared light through a chamber holding the breath sample to gauge the absorption rate of “infrared radiation at specific wavelengths” (Faigman et al., 5 Modern Scientific Evidence: The Law and Science of Expert Testimony § 41:52; see 2 Giannelli and Imwinkelried, Scientific Evidence § 22.03 [b], at 389 [4th ed]; Rose, New York Vehicle and Traffic Law § 35:21 [2d ed]). Given the technological advances that have occurred and will continue to evolve, paired with the proliferation of available breath-alcohol detection devices approved for use by the New York State Department of Health (DOH) (see 10 NYCRR 59.4),* we do not believe that a court-imposed calibration timing rule for all current technologies would be helpful in achieving the primary objective, which is to provide the factfinder a basis to determine whether the particular instrument used produced reliable results in a specific instance. Even if we had articulated a bright-line calibration rule more than three decades ago, the changes in scientific testing methods would have provided reason to revisit it.

It further bears noting that both parties to this litigation recognize that DOH has been charged by the Legislature to evaluate and approve specific models of breath-alcohol testing machines (see Vehicle and Traffic Law § 1194 [4] [c]). In its

* DOH currently lists about 100 different models of breath-alcohol testing devices (including the DataMaster) that are approved for use by law enforcement agencies (see 10 NYCRR 59.4 [b]).

regulatory capacity, DOH has determined that such instruments must be calibrated “at a frequency as recommended by the device manufacturer” but not less than once a year (10 NYCRR 59.4 [c] [eff Apr. 23, 2010, as amended July 22, 2010]). The promulgation of these regulations will, for arrests occurring after the effective date of the regulations, provide courts with information regarding recommended calibration intervals, not to exceed one year, when assessing the adequacy of foundation requirements for the admissibility of breath-alcohol test results. But here, there is no question that section 59.4 (c) of the regulations—the provision addressing calibration standards—was not effective at the time of defendant’s arrest, and the People do not assert that this regulation supplies the applicable standard in this case.

We therefore rely on our holding that there has been no strict six-month calibration rule pronounced by this Court for breath testing evidence. Our conclusion does not mean that appropriate and adequate calibration procedures can be disregarded by law enforcement. Rather, the admissibility of breath-alcohol analysis results remains premised on the People’s ability to demonstrate, among other requirements, that the device was in “proper working order” when it was used to test an accused (*People v Freeland*, 68 NY2d at 700). And nothing prevents an accused from seeking to introduce relevant evidence that may affect other foundational issues or the weight that should be given to results generated by a particular device, as defendant attempted during his trial. In this case, the certificate in evidence attesting that the last calibration occurred slightly more than six months prior to defendant’s arrest was a sufficient predicate as part of the proper foundation to receive the DataMaster results in evidence because it adequately assured that the instrument was capable of producing accurate information when defendant was tested. Consequently, Justice Court did not err as a matter of law in concluding that the DataMaster results could be considered during the trial. We therefore remit to County Court for consideration of whether the trial evidence, including the DataMaster results, was legally sufficient and, if necessary, whether the weight of the evidence supported the conviction.

Accordingly, the order of County Court should be reversed and the case remitted to that court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH,
PIGOTT and JONES concur.

Order reversed, etc.

[940 NE2d 551, 914 NYS2d 725]

JUDITH NOSTROM, Individually and as Personal Representative of the Estate of DONALD NOSTROM, Deceased, Appellant, v A.W. CHESTERTON COMPANY et al., Defendants, and CENTRAL HUDSON GAS & ELECTRIC CORPORATION et al., Respondents.

Argued October 12, 2010; decided November 18, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 3, 2009. The Appellate Division order, insofar as appealed from, affirmed three orders of the Supreme Court, New York County (Helen E. Freedman, J.; ops 2008 NY Slip Op 33616[U], 2008 NY Slip Op 33617[U], 2008 NY Slip Op 33618[U]), to the extent they had (1) granted the motions of defendants Central Hudson Gas & Electric Corporation, Orange & Rockland Utilities, Inc. and Sequoia Ventures, Inc. for summary judgment dismissing plaintiff's Labor Law § 241 (6) claims based on 12 NYCRR 12-1.4 (b) (3), (4) and 12-1.6 (a); and (2) dismissed the claims as against those defendants.

Nostrom v A.W. Chesterton Co., 59 AD3d 159, affirmed.

HEADNOTE

Labor — Safe Place to Work — Exposure to Toxic Substances — Dangerous Air Contaminants — Vicarious Liability of Owners and Contractors

In an action arising out of injuries sustained by plaintiff's decedent from alleged exposure to asbestos through airborne dust and other material while working as a boilermaker for subcontractors on construction projects at various energy facilities, two owners of energy facilities at which decedent worked and the general contractor for two of the projects were not vicariously liable for decedent's injuries under Labor Law § 241 (6) where liability was predicated solely upon violations of regulations pertaining to the control of air contaminants in the workplace contained in Industrial Code (12 NYCRR) part 12. Unlike part 23 of the Industrial Code, which governs the protection of workers in construction, demolition and excavation operations and expressly states that its rules apply to "owners, contractors and their agents obligated by the Labor Law to provide such persons with safe working conditions and safe places to work" (12 NYCRR 23-1.3), the "Application" section of part 12 does not specify that its rules apply to owners, contractors and their agents (12 NYCRR 12-1.2). The absence of such wording suggests that part 12 was not created to give effect to the provisions of section 241 (6) and indicates an intent not to impose vicarious liability in connection with part 12 regulations. Moreover, the language of 12 NYCRR 23-1.7 (g), which makes any "unventilated confined area" where dangerous air contaminants might be present

subject to the provisions of part 12, confirms that part 12 regulations, by themselves, were not intended to serve as a predicate for liability under Labor Law § 241 (6). Thus, a plaintiff may bring a section 241 (6) claim based on a violation of a part 12 rule only to the extent that particular regulations are specifically incorporated into part 23, i.e., where the injury occurred in an un-ventilated confined area. This is consistent with the regulatory history underlying the two parts and avoids an interpretation that would render section 23-1.7 (g) superfluous.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Building and Construction Contracts § 138; AM
JUR 2d, Employment Relationship §§ 207, 267, 268; AM
JUR 2d, Negligence §§ 753, 754, 758, 1096, 1106, 1110.
McKINNEY's, Labor Law § 241 (6).
12 NYCRR part 12, part 23, 23-1.3, 23-1.7 (g).
NY JUR 2d, Employment Relations §§ 282, 285, 316, 317,
376, 380; NY JUR 2d, Negligence § 77; NY JUR 2d,
Premises Liability §§ 281-283.
PROSSER AND KEETON, TORTS (5th ed) §§ 36, 69, 80.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Building and Construction Contracts and Work; Occupational Safety and Health; Vicarious Liability.

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POINTS OF COUNSEL

Weitz & Luxenberg, P.C., New York City (*Alani Golanski* of counsel), for appellant. Industrial Code (12 NYCRR) part 12, like part 23, contains specific and concrete construction-related provisions, the violation of which triggers Labor Law § 241 (6) accountability. (*Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Misicki v Caradonna*, 12 NY3d 511; *Ferreira v Village of Kings Point*, 68 AD3d 1048; *Cammon v City of New York*, 21 AD3d 196; *Husak v 45th Ave. Hous. Co.*, 52 AD3d 782; *Osorio v Kenart Realty, Inc.*, 35 AD3d 561; *Piazza v Frank L. Ciminelli Constr. Co., Inc.*, 2 AD3d 1345; *Rivera v Ambassador Fuel & Oil Burner Corp.*, 45 AD3d 275; *Creamer v Amsterdam High School*, 241 AD2d 589; *Long v Forest-Fehlhaber*, 55 NY2d 154.)

Landman Corsi Ballaine & Ford, P.C., New York City (*William G. Ballaine* and *Erin Glover-Frey* of counsel), for Sequoia Ventures, Inc., respondent. I. The Industrial Code (12 NYCRR) part 12 regulations were not promulgated pursuant to Labor Law § 241 (6) and cannot, standing alone, support plaintiff's section 241 (6) vicarious liability claim against Bechtel Corporation, as a nonemployer general contractor. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Rufo v Orlando*, 309 NY 345; *Komar v Dun & Bradstreet Co., Inc.*, 284 App Div 538; *Campuzano v Board of Educ. of City of N.Y.*, 54 AD3d 268; *Akins v Baker*, 247 AD2d 562; *Rothschild v Faber Homes*, 247 AD2d 889; *Colucci v Equitable Life Assur. Socy. of U.S.*, 218 AD2d 513; *Rosen v McGuire & Bennett*, 189 AD2d 966; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Affri v Basch*, 13 NY3d 592.) II. The Industrial Code (12 NYCRR) part 12 regulations relied upon by plaintiffs are not sufficiently specific and concrete to support plaintiff's Labor Law § 241 (6) vicarious liability claim against Bechtel Corporation, as a nonemployer general contractor. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Misicki v Caradonna*, 12 NY3d 511; *Piazza v Frank L. Ciminelli Constr. Co., Inc.*, 2 AD3d 1345; *Osorio v Kenart Realty, Inc.*, 35 AD3d 561.)

Davis Polk & Wardwell LLP, New York City (*Guy Miller Struve* and *Lesley Bark* of counsel), and *Richard W. Babinecz*, *Andrew J. Czerepak* and *Timothy M. McCann* for Orange & Rockland Utilities, Inc., respondent. I. Except insofar as it is expressly incorporated by part 23 of the Industrial Code (12 NYCRR), part 12 of the Industrial Code does not impose liability upon owners and general contractors pursuant to section 241 (6) of the Labor Law. (*Matter of ATM One v Landaverde*, 2 NY3d 472; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Tompkins v Hunter*, 149 NY 117; *City Bank Farmers Trust Co. v Ardlea Incorporation*, 267 NY 224; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Morales v County of Nassau*, 94 NY2d 218; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *Conte v Large Scale Dev. Corp.*, 10 NY2d 20; *Matter of Thomas v Bethlehem Steel Corp.*, 63 NY2d 150.) II. In the alternative, on the facts of this case, the provisions of part 12 of the Industrial Code (12 NYCRR) relied upon by plaintiff are insufficiently specific to support a cause of action under Labor Law § 241 (6). (*Misicki v Caradonna*, 12 NY3d 511; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Piazza v Frank L. Ciminelli Constr. Co., Inc.*, 2 AD3d 1345.)

Thompson Hine LLP, New York City (*Joseph B. Koczko*, *Robert T. Barnard* and *Ruthe A. Nepf* of counsel), for Central Hudson Gas & Electric Corp., respondent. I. The court below correctly ruled that a cause of action under section 241 (6) of the Labor Law must allege a violation of the implementing regulations contained in part 23 of the Industrial Code (12 NYCRR). (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Naso v Wates & Co.*, 21 AD2d 679, 15 NY2d 667; *Wallach v United States*, 291 F2d 69; *Rivera v Ambassador Fuel & Oil Burner Corp.*, 45 AD3d 275; *Mazzocchi v International Bus. Machs.*, 294 AD2d 151; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Misicki v Caradonna*, 12 NY3d 511; *Rangolan v County of Nassau*, 96 NY2d 42; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Matter of Garzilli v Mills*, 250 AD2d 131.) II. The case law provides scant support for plaintiff's theories. (*Creamer v Amsterdam High School*, 241 AD2d 589; *Kaczmarek v Bethlehem Steel Corp.*, 884 F Supp 768; *Vernieri v Empire Realty Co.*, 219 AD2d 593; *Rothschild v Faber Homes*, 247 AD2d 889; *Mazzocchi v International Bus. Machs.*, 294 AD2d 151; *Colucci v Equitable Life Assur. Socy. of U.S.*, 218 AD2d 513; *Piazza v Frank L. Ciminelli Constr. Co., Inc.*, 2 AD3d 1345; *Pellescki v City of Rochester*, 198 AD2d 762; *DaBolt v Bethlehem Steel Corp.*, 92 AD2d 70.) III. The Industrial Code (12 NYCRR) part 12 regulations upon which plaintiff relies are not sufficiently specific to support a Labor Law § 241 (6) cause of action. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Desharnais v Jefferson Concrete Co., Inc.*, 35 AD3d 1059.)

OPINION OF THE COURT

GRAFFEO, J.

The issue before us is whether vicarious liability under Labor Law § 241 (6) may be predicated solely on a violation of regulations contained in part 12 of the Industrial Code. We conclude that it may not.

During the 1970s and 1980s, decedent Donald Nostrom worked as a boilermaker for subcontractors on construction projects at various energy facilities, including those owned by defendants Orange & Rockland Utilities, Inc. (O&R) and Central Hudson Gas & Electric Corp. According to Nostrom, defendant Sequoia Ventures, Inc., formerly known as Bechtel Corporation, served as the general contractor for two of the projects. While working at these power plants, Nostrom was allegedly exposed to asbestos through airborne dust and contact with asbestos-containing materials. He subsequently contracted mesothelioma.

Nostrom and his wife, suing derivatively, commenced this action against more than 60 defendants, including O&R, Central Hudson and Sequoia.¹ As relevant here, Nostrom asserted a Labor Law § 200 claim against Central Hudson and a violation of Labor Law § 241 (6) against each of the three defendants involved in this appeal. The section 241 (6) claim was premised on violations of Industrial Code (12 NYCRR) part 12 regulations, which require the prevention of air contamination (12 NYCRR 12-1.4 [b] [3], [4]) and the removal of dangerous air contaminants (12 NYCRR 12-1.6 [a]). After discovery, defendants separately moved for summary judgment dismissing the complaint.²

Supreme Court granted the motions and dismissed the complaint insofar as asserted against defendants. Nostrom appealed the dismissal of the Labor Law § 241 (6) cause of action and the Appellate Division affirmed, reasoning that a violation of regulations from part 12 of the Industrial Code cannot sustain a section 241 (6) claim (59 AD3d 159 [1st Dept 2009]). Alternatively, the Appellate Division concluded that the two regulations invoked by Nostrom were not “sufficiently specific to support a section 241 (6) claim for asbestos-related injury” (*id.* at 160). We granted Nostrom leave to appeal (13 NY3d 880 [2009]).³

Because defendants did not direct or control decedent’s work, they can be liable only if Labor Law § 241 (6) applies, imposing vicarious liability on owners and contractors for the conduct of others. Section 241 (6) provides:

“All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places. The commissioner may make rules to carry into effect the provisions of this subdivision, and

1. The other defendants include asbestos manufacturers and distributors. The claims against them are not before us.

2. Donald Nostrom died during the pendency of this litigation. His wife, Judith Nostrom, pursues this action as the personal representative of his estate.

3. We dismissed the motion for leave to appeal insofar as it sought leave to appeal against Consolidated Edison Company of New York, Inc. upon the basis that as to that party, the order did not finally determine the action within the meaning of the Constitution.

the owners and contractors and their agents for such work, except owners of one and two-family dwellings who contract for but do not direct or control the work, shall comply therewith.”

The second sentence of this provision, requiring owners and contractors to comply with the Commissioner of Labor’s rules, creates a nondelegable duty “where the regulation in question contains a specific, positive command” (*Morris v Pavarini Constr.*, 9 NY3d 47, 50 [2007] [internal quotation marks and citation omitted]). At issue is whether the section 241 (6) claim in this case may be based on the violation of Industrial Code part 12 regulations pertaining to the control of air contaminants in the workplace.

Nostrom argues that sufficiently specific regulations are set forth in part 12 of the Industrial Code and, like those found in part 23, these may be invoked to impose vicarious liability under Labor Law § 241 (6). Consequently, she asserts that O&R and Central Hudson, as owners, and Sequoia, as a general contractor, may be held liable for the alleged failures of various subcontractors to comply with sections 12-1.4 (b) and 12-1.6 (a) of the Code. Defendants respond that the Appellate Division correctly held that the relevant language and history underlying these regulations demonstrate that part 12 cannot support vicarious liability except to the extent that part 12 regulations are specifically incorporated into part 23.

In matters of statutory and regulatory interpretation, “legislative intent is the great and controlling principle, and the proper judicial function is to discern and apply the will of the [enactors]” (*Matter of ATM One v Landaverde*, 2 NY3d 472, 477 [2004] [internal quotation marks and citation omitted]). As we have noted, the text of a provision is the clearest indicator of the enactors’ intent, “and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of Daimler-Chrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Additionally, inquiry should be made into “the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*Landaverde*, 2 NY3d at 477 [internal quotation marks and citation omitted]).

Part 23 of the Industrial Code governs the protection of workers in construction, demolition and excavation operations. Its “Application” provision expressly states that the rules in part 23 apply to “owners, contractors and their agents obligated by the Labor Law to provide such persons with safe working

conditions and safe places to work” (12 NYCRR 23-1.3). Hence, it is clear that part 23 was promulgated pursuant to the authority granted by Labor Law § 241 (6) and that owners and contractors may be vicariously liable based on violations of part 23 regulations.⁴ In contrast, the “Application” section of part 12 does not specify that its rules apply to owners, contractors and their agents (12 NYCRR 12-1.2). The absence of such wording suggests that part 12 was not created to give effect to the provisions of section 241 (6) and indicates an intent not to impose vicarious liability in connection with part 12 regulations.

Furthermore, the language of 12 NYCRR 23-1.7 (g) confirms that part 12 regulations, by themselves, were not intended to serve as a predicate for liability under Labor Law § 241 (6). Section 23-1.7 (g) makes any “unventilated confined area” where dangerous air contaminants may be present subject to the provisions of part 12. By incorporating the requirements of part 12 into this narrow subset of work sites governed by part 23—unventilated confined areas—it is evident that the intent was to impose a nondelegable duty on owners and contractors in these limited circumstances. Consequently, a plaintiff may bring a section 241 (6) claim based on a violation of a part 12 rule only where the injury occurred in an unventilated confined area, thereby triggering section 23-1.7 (g)’s “pass-through” provision (*see Rivera v Ambassador Fuel & Oil Burner Corp.*, 45 AD3d 275 [1st Dept 2007]).⁵ Accepting Nostrom’s position that vicarious liability may be grounded on a part 12 violation regardless of the location of the exposure would render section 23-1.7 (g) superfluous. And a construction that “renders one part meaningless should be avoided” (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 515 [1991]).

Our conclusion that part 12 does not impose liability on owners and contractors under Labor Law § 241 (6), except insofar as it is expressly incorporated into part 23, is consistent with

4. Every Labor Law § 241 (6) case resolved by this Court in recent history has involved a part 23 regulation (*see e.g. Misicki v Caradonna*, 12 NY3d 511 [2009] [12 NYCRR 23-9.2 (a)]; *Morris v Pavarini Constr.*, 9 NY3d 47 [2007] [12 NYCRR 23-2.2 (a)]; *Nagel v D & R Realty Corp.*, 99 NY2d 98 [2002] [12 NYCRR 23-1.7 (d)]; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343 [1998] [12 NYCRR 23-1.7 (d)]; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494 [1993] [12 NYCRR 23-1.25 (d)]; *Long v Forest-Fehlhaber*, 55 NY2d 154 [1982], *reargued denied* 56 NY2d 805 [1982] [12 NYCRR 23-1.30]).

5. Nostrom does not rely on 12 NYCRR 23-1.7 (g), presumably because decedent was not working in unventilated confined areas when he was exposed to asbestos.

the regulatory history underlying the two parts. Industrial Code Bulletin No. 23, part 23's predecessor, was adopted by the State Industrial Commission in 1920. In 1941, the Board of Standards and Appeals replaced the original regulations with a new rule 23, specifically referencing the rule-making authority vested in the Board by Labor Law § 241. The Board again invoked section 241 when it amended part 23 in 1963. Although the Board did not refer to section 241 when it completed its most recent substantive changes to part 23 in 1972, it is clear that part 23 continues to implement the authority granted by the Legislature under section 241 (6) because it explicitly applies to owners, contractors and their agents (*see* 12 NYCRR 23-1.3). On the other hand, although part 12's predecessor was redesignated as part 12 in 1954 and was thereafter substantially revised in 1956, 1961 and 1971, the Board did not cite section 241 as a basis for these enactments.

In short, the language and history of the relevant provisions establish that part 12 regulations do not provide a basis for liability under Labor Law § 241 (6) except to the extent that particular regulations are specifically incorporated into part 23. As a result, the Appellate Division correctly affirmed the dismissal of Nostrom's section 241 (6) claim, which was predicated solely on alleged violations of 12 NYCRR 12-1.4 (b) and 12-1.6 (a). We therefore need not reach the Appellate Division's alternative holding that the regulations in question are not specific enough to permit recovery under section 241 (6) for an asbestos-related injury.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Judges CIPARICK, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN and Judge READ taking no part.

Order, insofar as appealed from, affirmed, with costs.

[940 NE2d 547, 914 NYS2d 721]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
MORDEKHAY LEVY, Appellant.

Argued October 19, 2010; decided November 18, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 8, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Arthur J. Cooperman, J.), which had convicted defendant, upon a jury verdict, of trademark counterfeiting in the second degree (two counts).

People v Levy, 65 AD3d 1057, affirmed.

HEADNOTES**Crimes — Trademark Counterfeiting — Identity-of-Goods**

1. In a prosecution for trademark counterfeiting in the second degree (Penal Law § 165.72), the evidence was sufficient to sustain defendant's conviction notwithstanding that the allegedly counterfeited goods were not protected by a mark that was in use and registered and that identified a good. Although federal law reaches only those instances in which a counterfeit mark is used in connection with the same goods or services as those for which the mark is registered, New York's statute is not so restricted on its face. Had the Legislature intended to incorporate the federal identity-of-goods requirement, it could have done so. Rather, the Legislature's decision not to parrot federal law in this regard and enact an identity-of-goods requirement may reflect the understanding that the consumer relies on the mark itself and is not in a position to know or determine the precise product for which the mark is registered.

Crimes — Instructions — Trademark Counterfeiting

2. In a prosecution for trademark counterfeiting in the second degree, the trial court did not err in declining to instruct the jury that an "intent to evade a lawful restriction" on the sale of goods under Penal Law § 165.72 required knowledge that the parts were counterfeit since it would be impossible to intend to evade a lawful restriction on the sale or distribution of goods without knowing that those goods were fake. Jurors are presumed to have sufficient intelligence to make elementary logical inferences presupposed by the language of a charge, and defendants are therefore not entitled to select the phraseology to illustrate such inferences. Here, the evidence could lead a rational juror to find beyond a reasonable doubt that defendant intended to evade a lawful restriction on the sale of goods: his warehouse was searched three times for counterfeit parts; representatives of the manufacturer of the genuine parts visited on two other occasions to inventory counterfeit parts; and defendant agreed to the terms of a preliminary injunction prohibiting the sale and distribution of counterfeit parts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 736; AM JUR 2d, Trademarks and Tradenames §§ 165, 166; AM JUR 2d, Trial §§ 951, 953.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.6, 24.8, 27.5.

McKINNEY'S, Penal Law § 165.72.

NY JUR 2d, Criminal Law: Procedure §§ 2719, 3644; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1105, 1106, 1108.

ANNOTATION REFERENCE

Validity and construction of state statutes penalizing criminal simulation of goods or merchandise. 72 ALR4th 107.

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POINTS OF COUNSEL

Stillman, Friedman & Shechtman, P.C., New York City (Nathaniel Z. Marmur and Paul Shechtman of counsel), for appellant. I. The trademark registration must cover the goods offered for sale. (*People v Dione*, 25 Misc 3d 127[A], 2009 NY Slip Op 52056[U]; *People v Guo Zhang*, 14 Misc 3d 82; *People v Reyes*, 9 Misc 3d 136[A], 2005 NY Slip Op 51699[U]; *People v Lynch*, 8 Misc 3d 126[A], 2005 NY Slip Op 50894[U]; *People v Yue Lin*, 11 Misc 3d 1091[A], 2006 NY Slip Op 50821[U]; *People v Thiam*, 189 Misc 2d 810; *People v Jobe*, 20 Misc 3d 1114[A], 2008 NY Slip Op 51346[U]; *Torres v Cantine Torresella S.r.l.*, 808 F2d 46; *People v Wangdu*, 20 Misc 3d 1132[A], 2008 NY Slip Op 51709[U]; *United States v Giles*, 213 F3d 1247.) II. The trial court did not properly instruct the jury. (*U.S. Structures, Inc. v J.P. Structures, Inc.*, 130 F3d 1185; *People v Flynn*, 79 NY2d 879; *People v Ford*, 11 NY3d 875; *People v Brown*, 278 AD2d 177; *People v Daly*, 244 NY 278; *People v Watts*, 57 NY2d 299; *People v Haddock*, 48 AD3d 969.)

Richard A. Brown, District Attorney, Kew Gardens (*Edward D. Saslaw* and *John M. Castellano* of counsel), for respondent. The evidence supporting defendant's conviction was legally

sufficient under the trademark counterfeiting statute, and the court properly instructed the jury as to the elements of that crime. (*S.C. Johnson & Son v Johnson*, 175 F2d 176; *Steele v Bulova Watch Co.*, 344 US 280; *Two Pesos, Inc. v Taco Cabana, Inc.*, 505 US 763; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v Ford*, 66 NY2d 428; *People v Cona*, 49 NY2d 26; *People v Smith*, 79 NY2d 309; *People v Finley*, 10 NY3d 647.)

OPINION OF THE COURT

READ, J.

In October 2004, police executed a search warrant against Black & Yellow Major Auto Parts, a business owned by defendant Mordekhay Levy, to find and seize counterfeit parts for Ford vehicles. The search, which was conducted by a detective and a brand-protection employee from Ford, turned up a variety of allegedly counterfeit parts, which were immediately seized.

Roughly at the same time, Ford filed suit against Levy for trademark infringement arising from the sale of counterfeit parts, and the court issued a temporary restraining order. In November 2004, at the invitation of Levy's attorney, the brand-protection employee and Ford's trademark attorneys visited Black & Yellow's warehouse on a Friday and the following Tuesday to identify parts that were not genuine Ford parts. Following these visits, Levy entered into a stipulated preliminary injunction that prohibited him and his business from

“manufacturing, advertising, offering for sale, selling or distributing automotive parts or any related products or services having or bearing any trademark of Ford, Ford Motor, Ford Motor Company, Ford blue oval, racing car, speeding car design, Motorcraft, Lincoln Star, or Lincoln certified or any Ford part number or any other mark or design that's likely to cause confusion with any marks that are specifically listed in this order.”¹

Subsequent search warrants were issued and executed in October 2005 and July 2006, both of which resulted in the confiscation of allegedly counterfeit parts from Black & Yellow's warehouse. As a consequence, Levy was eventually indicted and

1. This is the description of the preliminary injunction given by Ford's outside trademark attorney at Levy's trial for trademark counterfeiting. The injunction was admitted into evidence, but was not included in the record on appeal.

tried before a jury for second-degree trademark counterfeiting (Penal Law § 165.72). A person is guilty of this crime

“when, with the intent to deceive or defraud some other person or *with the intent to evade a lawful restriction* on the sale, resale, offering for sale, or distribution of goods, he or she manufactures, distributes, sells, or offers for sale goods which bear a counterfeit trademark, or possesses a trademark knowing it to be counterfeit for the purpose of affixing it to any goods, and the retail value of all such goods bearing counterfeit trademarks exceeds one thousand dollars” (*id.* [emphasis added]).

The People’s trial witnesses identified parts seized in the 2005 and 2006 raids as counterfeit in several ways. In some cases, the products were not manufactured by Ford (or its aftermarket brand, Motorcraft), but nevertheless bore a Ford product number; in other cases, the products bore a Ford trademark (e.g., the familiar “Ford oval”), but were tagged as fake because of their packaging. There was evidence presented to show that Levy had purchased and sold the purportedly genuine parts at less than the cost to a Ford dealer. Additionally, Ford’s chief trademark counsel testified that the trademarks alleged to be counterfeit were registered and in use. Through him, the People introduced evidence regarding 34 trademarks claimed to be in full force and effect.

After the People rested, Levy moved to dismiss on the ground that a majority of the parts—7 of the 12 parts charged in count one, and both of the parts charged in count two of the indictment—were not covered by the trademark registration certificates introduced into evidence and therefore were not “counterfeit” within the meaning of Penal Law § 165.70. The trial judge reserved decision, and Levy called three witnesses in his defense.

The first witness handled shipping and receiving for Levy’s warehouse. He testified about how he separated genuine parts from their aftermarket or off-brand counterparts. The second witness, the co-owner of a wholesale auto parts business, described the genuine “Crown Victoria” tail lights he purchased from Ford and then resold to Levy. The third witness was the former parts manager at a Lincoln-Mercury dealership authorized to sell Ford parts. He testified that Levy was his “top” customer, and that he offered him discounts “[b]ecause of the volume of parts [Levy] bought.”

After the close of evidence, Levy asked the trial judge to instruct the jury that an “intent to evade a lawful restriction” on the sale of goods under Penal Law § 165.72 required knowledge that the parts were counterfeit. The trial judge declined this request and elected to “follow the CJI”; he also denied Levy’s motion to dismiss. After charging the jury, the trial judge again considered and turned down a request from Levy for what the defense styled a “knowledge charge,” explaining that

“[t]he second element [necessarily] provides for the knowledge because you can’t intend to evade a lawful restriction without knowing what it’s all about. The knowing is part and parcel of the intention because if you didn’t know it, you couldn’t intend to evade a lawful restriction.”

He added that “the overall purpose of criminal jury instruction is to provide the law as basic and as simple as possible containing all the necessary elements.”

The jury convicted Levy of two counts of second-degree trademark counterfeiting. Levy moved to set aside the verdict on the ground that he could not be convicted for trademark counterfeiting if the trademarks in evidence did not cover the specific products allegedly counterfeited. The trial court denied the motion, and Levy was sentenced to a conditional discharge and a \$10,000 fine.

The Appellate Division unanimously affirmed. The court concluded that the jury charge was proper as it closely tracked the CJI instruction and “properly conveyed to the jury the correct principles to be applied in evaluating the evidence before it” (65 AD3d 1057, 1058 [2d Dept 2009]). The Appellate Division also held that the evidence was legally sufficient to establish Levy’s guilt of trademark counterfeiting. A Judge of this Court granted leave to appeal (13 NY3d 908 [2009]), and we now affirm.

The Penal Law defines a trademark as a mark that is “registered” and “in use” which identifies and distinguishes goods from those manufactured by others (Penal Law § 165.70 [1] [a]). A “counterfeit” mark is simply a “spurious” or “imitation” mark that is used in the trafficking, sale or distribution of goods that are “identical with or substantially indistinguishable from” the genuine article (Penal Law § 165.70 [2]); and “goods” are defined as “products, services, objects, materials, devices or

substances which are identified by the use of a trademark” (Penal Law § 165.70 [4]).²

Levy contends that the evidence was insufficient to sustain his conviction because allegedly counterfeited goods seized from his warehouse—a hubcap cover bearing the “Lincoln Star,” for example—were not protected by a mark that was in use and registered, and which identified a good. Levy reasons that there would be no crime, for example, if someone affixed the “Ford oval” to a baseball bat: the bat is not “identical with or substantially indistinguishable from a trademark” because Ford does not use the “Ford oval” on baseball bats, and it therefore cannot be “counterfeit” within the meaning of the trademark counterfeiting statute. By parity of reasoning, the hubcap cover bearing the “Lincoln Star” cannot be counterfeit because that particular mark covers cars, structural parts, wheels, and wheel covers, but not hubcaps.

[1] Levy’s argument is unpersuasive. As the People observe, statutory interpretation always begins with the words of the statute, and New York’s trademark counterfeiting statute is simply not on its face restricted in the way that Levy advocates. By contrast, the definition of “counterfeit” under the federal Trademark Counterfeiting Act does, in fact, reach only those instances in which the counterfeit mark is used in connection with the same goods or services as those for which the mark is registered on the Principal Register at the United States Patent and Trademark Office, and is in use (*see* 18 USC § 2320 [e] [1])

2. The full text of Penal Law § 165.70, as relevant to this appeal, defines these terms as follows:

“1. The term ‘trademark’ means (a) any word, name, symbol, or device, or any combination thereof adopted and used by a person to identify goods made by a person and which distinguish them from those manufactured or sold by others which is in use and which is registered, filed or recorded under the laws of this state or of any other state or is registered in the principal register of the United States patent and trademark office . . .

“2. The term ‘counterfeit trademark’ means a spurious trademark or an imitation of a trademark that is:

“(a) used in connection with trafficking in goods; and

“(b) used in connection with the sale, offering for sale or distribution of goods that are identical with or substantially indistinguishable from a trademark as defined in subdivision one of this section . . .

“4. The term ‘goods’ means any products, services, objects, materials, devices or substances which are identified by the use of a trademark.”

[A] [i]-[iii] [defining “counterfeit mark” as a spurious mark “used in connection with trafficking in any goods (or) services” and “that is identical with, or substantially indistinguishable from, a mark registered . . . and in use” and “*that is applied to or used in connection with the goods or services for which the mark is registered*” (emphasis added)]). But the federal act was adopted in 1984 to create a criminal sanction for trademark infringement, which itself requires that the accused infringer use the mark on the same goods as those for which the mark is registered.

Nonetheless, Levy takes the position that because “[p]ortions of the definitions [in New York’s statute] were taken from then-existing federal law” (Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 165.70, at 312-313), we should interpret the state statute as incorporating the federal act’s identity-of-goods requirement. But if our Legislature had intended to impose such a limitation, it could have done so easily enough by enacting the relevant language of the federal act in toto. New York’s legislators obviously did not make that choice, and we decline to make it for them.

As the People point out, the Legislature’s decision not to parrot federal law in this regard and enact an identity-of-goods requirement may “reflect[] the understanding that the consumer relies on the mark itself and is not in a position to know or determine the precise product for which the mark is registered.” For example, assume that Ford makes brake pads for all of its cars, but that it expressly does not place the familiar “Ford oval” on those pads, and therefore does not register the “Ford oval” trademark for that purpose. If a counterfeiter places the “Ford oval” on brake pads, the use of that mark nevertheless “identifies” the good as a genuine Ford product; in fact, the *lack* of registration for that purpose would seem to be *prima facie* evidence that the product is, in fact, a counterfeit since Ford never made or even intended to make that product bearing that mark. This is precisely the kind of product that would deceive a consumer because the mark “identifies” the product as a genuine Ford part when it is not.

Moreover, Levy’s example of the “Ford oval” appearing on a baseball bat presumes that a buyer would not consider the baseball bat to be a genuine Ford product. With respect to automotive parts, however, the average purchaser expects *any parts* bearing the “Ford oval” to be genuine even if Ford never placed or intended to place that mark on that particular good.

[2] Finally, Levy objects to the instructions given by the trial judge because there was no “knowledge charge.” As the judge observed, however, it would be impossible to “intend to evade a lawful restriction” on the sale or distribution of goods without knowing that those goods were fake. It was not error for the judge to decline to instruct the jury further on mens rea (*see* Greenberg et al., New York Criminal Law § 15:29, at 792-793 [6 West’s NY Prac Series 3d ed 2007] [noting that trademark counterfeiting requires criminal intent, but that knowledge that a good is counterfeit is only required for simple possession]). Jurors are presumed to have sufficient intelligence to make elementary logical inferences presupposed by the language of a charge, and defendants are therefore not “entitled to select the phraseology” to illustrate such inferences (*People v Samuels*, 99 NY2d 20, 25-26 [2002]). Here, the evidence could lead a rational juror to find beyond a reasonable doubt that Levy intended to evade a lawful restriction on the sale of goods: the Black & Yellow warehouse was searched three times for counterfeit Ford parts; Ford representatives visited on two other occasions to inventory counterfeit Ford parts; and Levy agreed to the terms of a preliminary injunction prohibiting the sale and distribution of counterfeit Ford parts.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed.

[939 NE2d 1206, 914 NYS2d 76]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GREGORY TAYLOR, Appellant.

Argued October 13, 2010; decided November 18, 2010

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 28, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Michael A. Gross, J.), which had convicted defendant, upon a jury verdict, of depraved indifference murder in the second degree.

People v Taylor, 62 AD3d 605, reversed.

HEADNOTES**Crimes — Appeal — Preservation of Issue for Review**

1. Defendant, having moved at the close of trial to dismiss the depraved indifference murder charge against him based upon the legal insufficiency of the evidence, citing *People v Suarez* (6 NY3d 202 [2005]) and arguing that his actions in connection with the death of the victim in a one-on-one killing did not fall within the ambit of depraved indifference murder as detailed in *Suarez* and prior cases where depravity was found, sufficiently preserved for appellate review his legal sufficiency challenge to his depraved indifference murder conviction. The Appellate Division determined that the issue had not been preserved, inasmuch as defendant's trial motion to dismiss was based on *Suarez* and his appeal was based on *People v Feingold* (7 NY3d 288 [2006]), a case decided after defendant's conviction. An argument under *Suarez*, however, is not fundamentally different from one based on *Feingold*, as *Feingold* did not reject, but extended, *Suarez*'s reasoning. Under both *Suarez* and *Feingold*, the decisive question was whether defendant acted with the state of mind required by the depraved indifference murder statute, which is an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not.

Crimes — Murder — Depraved Indifference Murder

2. The evidence at trial was legally insufficient to establish that defendant, who struck the victim on her head, went to sleep, and, after he awoke, knotted a plastic bag over the victim's head and dumped her body on the roof of his building, committed depraved indifference murder. The People did not establish torture or a brutal, prolonged course of conduct. The facts did not fall within the limited nature of a depraved indifference murder, which requires utter depravity, uncommon brutality and inhuman cruelty, and indifference to the victim's plight.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Homicide §§ 40, 44, 88, 424, 465, 499, 560.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:34, 207:149, 207:169, 207:172.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 3455, 3456, 3644;

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 512, 514, 515, 597.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting “depraved indifference.” 25 ALR4th 311.

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POINTS OF COUNSEL

Benjamin N. Cardozo School of Law Criminal Appeals Clinic, New York City (Jonathan H. Oberman and Stanley Neustadter of counsel), for appellant. I. The evidence is insufficient to establish a brutal, prolonged course of conduct against a particularly vulnerable victim where the fatal act was not so uncommonly brutal as to reflect evil, it occurred abruptly, and it did not prolong the suffering of the victim, who the evidence could not prove was alive when the defendant covered her head with a plastic bag. (*People v Suarez*, 6 NY3d 202; *People v Kibbe*, 35 NY2d 407; *People v Mills*, 1 NY3d 269; *People v Poplis*, 30 NY2d 85; *People v Best*, 202 AD2d 1015, 85 NY2d 826; *People v Mancini*, 7 NY3d 767; *People v Bowman*, 48 AD3d 178; *People v Boyce*, 36 AD3d 711; *People v LaGasse*, 56 AD3d 1151; *People v Georgiou*, 38 AD3d 155.) II. The evidence is insufficient to prove that the defendant, though impaired by crack, was utterly indifferent to human life when he administered the fatal act in the heat of a violent altercation or later when he believed the victim was already dead after he failed to detect breathing or a heartbeat. (*People v Feingold*, 7 NY3d 288; *People v Jean-Baptiste*, 11 NY3d 539; *People v Suarez*, 6 NY3d 202; *People v Jernatowski*, 238 NY 188; *People v Roe*, 74 NY2d 20; *People v Wells*, 53 AD3d 181; *People v Coon*, 34 AD3d 869.) III. The evidence is consistent only with intentional conduct and therefore cannot be depraved indifference murder where the court endorsed the People’s view that the defendant had animosity toward the victim, a motive to kill her, total control over her

while she was isolated, contemplated killing her, and knew she was alive when he tightly tied a plastic bag over her head. (*People v Suarez*, 6 NY3d 202; *People v Payne*, 3 NY3d 266; *People v Hafeez*, 100 NY2d 253; *People v Gonzalez*, 1 NY3d 464; *People v Poplis*, 30 NY2d 85; *People v Best*, 202 AD2d 1015; *People v Bowman*, 48 AD3d 178; *People v Atkinson*, 21 AD3d 145, 7 NY3d 765; *People v Roe*, 74 NY2d 20.) IV. The foregoing arguments are preserved for this Court's review. (*People v Feingold*, 7 NY3d 288; *People v Jean-Baptiste*, 11 NY3d 539; *People v Hawkins*, 11 NY3d 484; *Matter of Santucci v Kohn*, 138 AD2d 603; *People v Payne*, 3 NY3d 266.)

Robert T. Johnson, District Attorney, Bronx (*Frances Y. Wang* and *Peter D. Coddington* of counsel), for respondent. Defendant's challenge to the legal sufficiency of the evidence is unpreserved and meritless. (*People v Suarez*, 6 NY3d 202; *People v Feingold*, 7 NY3d 288; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Gomez*, 65 NY2d 9; *People v Jean-Baptiste*, 11 NY3d 539; *People v Gonzalez*, 1 NY3d 464; *People v Payne*, 3 NY3d 266; *People v Hafeez*, 100 NY2d 253; *People v Dekle*, 56 NY2d 835; *People v Sala*, 95 NY2d 254.)

OPINION OF THE COURT

JONES, J.

On this appeal, we are called upon to determine whether defendant preserved a legal sufficiency challenge to his depraved indifference murder conviction and, if preserved, whether his conviction should be affirmed. Because defendant sufficiently preserved that challenge and the conviction is not in accord with this Court's precedents regarding depraved indifference murder, we reverse the Appellate Division order.

On May 11, 2004, a female victim was found dead on the roof of an apartment building located in the Bronx. She was found partially clothed and barefooted with a black plastic bag covering her head. The plastic bag was knotted tightly around her neck. An autopsy performed on the victim's body revealed a one-half-inch laceration above her right eyebrow, abrasions on her cheek and neck, and purple discoloration of her face. The medical examiner found hemorrhaging at the site of the abrasions and listed the cause of death as "blunt impact of [the] head and compression of [the] neck and chest."

Defendant was a resident at the building where the victim was found. That building was equipped with two video cameras on each floor. Videos from May 5th and May 6th

showed defendant approaching the victim and entering his apartment with her at night, stepping back into the hallway several hours later, and carrying her body to the roof in the morning. Days later, a search of his apartment revealed beads matching the victim's broken necklace scattered throughout defendant's apartment and bloodstains on the bedroom wall and door. Defendant was later taken into custody where he made a series of statements.

According to defendant, he and the victim smoked crack cocaine on the night of May 5th. Sometime later, she attacked him, and he hit her to protect himself. She then became quiet and he went to sleep. Defendant gave conflicting statements as to whether the victim was dead or alive when he awoke in the morning, but admitted covering her head with a plastic bag to stop the blood from spreading and placing her on the roof of his building.

A grand jury indicted defendant for second-degree depraved indifference murder and first-degree manslaughter. At the close of trial, defendant moved to dismiss the depraved indifference murder charge based upon the legal insufficiency of the evidence, citing *People v Suarez* (6 NY3d 202 [2005]). Defendant argued that his actions did not fall within the ambit of depraved indifference murder as detailed in *Suarez* and prior cases where depravity was found, citing *People v Best* (85 NY2d 826 [1995]) and *People v Poplis* (30 NY2d 85 [1972]). He further argued that the evidence adduced by the People was illustrative of intentional acts and reasoned that such acts are "not the theory of depraved indifference murder." Supreme Court denied the motion, stating that it was "a question of fact ultimately for the finder of fact."

The jury convicted defendant of depraved indifference murder. The Appellate Division, with one dissenting Justice, affirmed (62 AD3d 605 [2009]). The court concluded (*id.* at 608) that "defendant's appellate challenge to the legal sufficiency of the evidence ha[d] not been preserved inasmuch as his trial motion to dismiss was based on" *Suarez* and his appeal was based on *People v Feingold* (7 NY3d 288 [2006]).* The dissent, however, concluded that defendant's argument was preserved and that his conviction was not supported by legally sufficient evidence. A Justice of the Appellate Division granted defendant leave to appeal. We now reverse.

* This Court decided *Feingold* months after Supreme Court rendered defendant's judgment of conviction in this case.

[1] In *Suarez*, a majority of the Court explained the limited circumstances in which a defendant may be convicted of depraved indifference murder where only a single victim has been endangered (6 NY3d at 212-213). Because defendant moved to dismiss the depraved indifference murder charge for legal insufficiency pursuant to *Suarez*, he properly preserved the issue for appellate review. As we explain below, it is incorrect to suggest that an argument under *Suarez* is fundamentally different from one based on *Feingold*.

To support a depraved indifference conviction, the People must demonstrate that defendant, “[u]nder circumstances evincing a depraved indifference to human life, . . . recklessly engage[d] in conduct which create[d] a grave risk of death to another person, and thereby cause[d] the death of another person” (Penal Law § 125.25 [2]). This Court has cautioned that depraved indifference murder should rarely be charged in a one-on-one killing (*Suarez*, 6 NY3d at 210). Most killings “are suitably punished by statutes defining intentional murder or manslaughter in the first or second degree or criminally negligent homicide” (*id.* at 211). Thus, those killings do not satisfy the depraved indifference standard (*id.*). In the limited cases where depraved indifference is applicable, “intent to [harm or] kill is absent,” but “acts . . . marked by uncommon brutality . . . coupled . . . with depraved indifference to the victim’s plight” are present (*id.* [internal quotation marks omitted]). The Court has made clear that “where defendant’s conscious objective was to ‘intentionally injur(e)’ the victim,” there can be “‘no valid line of reasoning that could support a jury’s conclusion that defendant possessed the mental culpability required for depraved indifference murder’ ” (*id.* at 209, quoting *People v Hafeez*, 100 NY2d 253, 259 [2003]).

The *Suarez* Court explained two fact patterns in which a one-on-one killing could result in a depraved indifference conviction. While we noted that “other extraordinary cases” had arisen in which such convictions were upheld (*id.* at 213), we said that these two fact patterns “have recurred” (*id.* at 212). The first is “when the defendant intends neither to seriously injure, nor to kill, but nevertheless abandons a helpless and vulnerable victim in circumstances where the victim is highly likely to die” (*id.*; see *People v Mills*, 1 NY3d 269 [2003] [defendant prevented others from aiding and abandoned a drowning boy who died after defendant pushed him into the water; the boy did not resurface either because he accidentally struck his head or had an

epileptic seizure]; *People v Kibbe*, 35 NY2d 407 [1974] [defendants robbed an intoxicated victim and stranded him on a dark, remote, snowy road, partially clothed and barefoot; the victim was struck by a passing truck and killed]). The second is when the “defendant—acting with a conscious objective not to kill but to harm—engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim” (6 NY3d at 212; see *Best*, 85 NY2d 826 [1995] [defendant repeatedly beat his nine-year-old son, inflicting large open wounds through which bacteria entered and eventually caused his death]; *Poplis*, 30 NY2d 85 [1972] [defendant caused the death of a 3½-year-old child by repeatedly beating her over a course of several days]).

Feingold, decided after defendant’s conviction here, did not reject, but extended, *Suarez*’s reasoning. *Suarez* and *Feingold* were the last of the series of cases in which our view of depraved indifference murder “gradually and perceptibly changed” (*Pollicano v Herbert*, 7 NY3d 588, 602 [2006]) from that expressed in *People v Register* (60 NY2d 270 [1983]), which had held that “depraved indifference to human life” was not a mental state but referred to an objectively-determined degree of risk. In *Feingold*, we said “explicitly” for the first time that “depraved indifference to human life is a culpable mental state” (7 NY3d at 294). The two fact patterns discussed in *Suarez* exemplify that mental state. Under both *Suarez* and *Feingold*, the decisive question is whether defendant acted with the state of mind required by the depraved indifference murder statute—“an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not” (*Suarez*, 6 NY3d at 214).

[2] Here, the evidence was legally insufficient to establish depraved indifference murder. In this case, defendant struck the victim on her head and went to sleep. After he awoke, defendant knotted a plastic bag over the victim’s head and dumped her body on the roof of his building. As the dissent below noted, the People did not establish “torture or a brutal, prolonged” course of conduct (62 AD3d at 609). These facts do not fall within the limited nature of a depraved indifference murder set forth by this Court, which requires “utter depravity, uncommon brutality and inhuman cruelty” and “indifference to the victim’s plight” (*Suarez*, 6 NY3d at 211, 216).

Accordingly, the Appellate Division order should be reversed, the first count of the indictment dismissed and a new trial

ordered on the second count of the indictment charging manslaughter in the first degree.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[940 NE2d 557, 914 NYS2d 731]

LINDSAY GROBMAN, Respondent, v RHONDA CHERNOFF et al., Defendants, and RHONDA GLOBMAN, Also Known as RHONDA GROBMAN, et al., Appellants.

Argued October 21, 2010; decided November 30, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 9, 2009. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Nassau County (Daniel Palmieri, J.; op 2008 NY Slip Op 33619[U]), as had confirmed an arbitration award and granted that branch of the cross motion of defendants Rhonda Globman, also known as Rhonda Grobman, and Adam J. Chernoff effectively disallowing plaintiff pre-arbitration award interest on her award. The modification consisted of deleting that provision of the order granting the cross motion effectively disallowing pre-arbitration award interest, and substituting therefor a provision denying that branch of the cross motion. The Appellate Division affirmed the order as modified and remitted the matter for entry of a judgment awarding plaintiff interest from the date of a jury verdict in her favor on the issue of liability.

Grobman v Chernoff, 63 AD3d 786, affirmed.

HEADNOTE

Interest — Interest on Award — Prejudgment Interest

In a personal injury action in which the issue of damages was submitted to an arbitrator after plaintiff recovered a jury verdict on the issue of liability, plaintiff was entitled to interest on the arbitration award computed from the date the jury found defendants liable notwithstanding that the arbitrator's decision did not mention interest. While the parties were free to submit the issue of prejudgment interest to the arbitrator, they did not do so as their arbitration agreement said merely "AT ISSUE: Damages." However, damages and prejudgment interest are not the same thing. Damages compensate plaintiffs in money for their losses, while prejudgment interest is simply the cost of having the use of another person's money for a specified period. There was no necessity to negotiate whether plaintiff was entitled to interest as a part of the arbitration agreement because she already possessed that right as a matter of law as of the date of her liability verdict. Moreover, there was no indication that plaintiff gave up that right when she agreed to arbitrate damages.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 177, 178, 183, 189; AM JUR 2d, Interest and Usury §§ 39, 69.

CARMODY-WAIT 2d, Judgments §§ 63:85, 63:88, 63:104;
CARMODY-WAIT 2d, Arbitration §§ 141:30, 141:200,
141:204.

NY JUR 2d, Arbitration and Award §§ 182, 187; NY JUR 2d,
Interest and Usury §§ 16, 17, 35.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Judgments,
Orders, and Decrees.

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POINTS OF COUNSEL

Law Office of Andrea G. Sawyers, Melville (Dominic P. Zafonte of counsel), for appellants. I. Courts are powerless to grant pre-award interest from an arbitration award when the arbitrator was empowered to award interest but did not do so. (*Matter of Spindler [New York Cent. Mut. Fire Ins. Co.]*, 283 AD2d 762; *Matter of Weinrott [Carp]*, 32 NY2d 190; *Matter of Meisels v Uhr*, 79 NY2d 526; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341; *Matter of West Side Lofts [Sentry Contr.]*, 300 AD2d 130; *Matter of Excelsior 57th Corp. [Kern]*, 283 AD2d 209; *Matter of Yates Lansing, Inc. [Town of Niskayuna]*, 202 AD2d 916; *Matter of State Farm Mut. Auto. Ins. Co. v Cordes*, 242 AD2d 635; *Matter of Aetna Cas. & Sur. Co. v Rosen*, 233 AD2d 499.) II. The Second Department erred in finding interest awardable under CPLR 5002, an exception to the broad arbitration rule, and created inconsistency in the law. (*Love v State of New York*, 78 NY2d 540; *Van Nostrand v Froehlich*, 44 AD3d 54; *Ajoudanpour v Globman*, 2 AD3d 373; *Matter of Rothermel [Fidelity & Guar. Ins. Underwriters]*, 280 AD2d 862; *Matter of Penco Fabrics [Louis Bogopulsky, Inc.]*, 1 AD2d 659; *Matter of Burke*, 191 NY 437; *Matter of Gruberg [Cortell Group]*, 143 AD2d 39; *Matter of Rosenblum [Aetna Cas. & Sur. Co.]*, 81 AD2d 731, 54 NY2d 607; *Nicoletti v E.F. Hutton & Co., Inc.*, 761 F Supp 312; *Matter of Levin & Glasser, P.C. v Kenmore Prop., LLC*, 70 AD3d 443.) III. The Second Department's decision adversely impacts litigants' ability to contract for arbitration following a finding of liability and violates public policy favoring finality in arbitrations. (*Merrill Lynch, Pierce, Fenner & Smith v Benjamin*, 1 AD3d 39; *Matter of Falzone [New York Cent. Mut. Fire*

Ins. Co.], 64 AD3d 1149; *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91.)

Roura & Melamed, New York City (Alexander J. Wulwick of counsel), for respondent. Plaintiff is entitled to interest on the damages award in this personal injury action from the date of the jury's liability verdict to the date of tender of payment. (*Matter of Burke*, 191 NY 437; *Matter of Rothmel [Fidelity & Guar. Ins. Underwriters]*, 280 AD2d 862; *Ajoudanpour v Globman*, 2 AD3d 373; *Love v State of New York*, 78 NY2d 540; *Pay v State of New York*, 87 NY2d 1011; *Van Nostrand v Froehlich*, 44 AD3d 54, 10 NY3d 837; *O'Brien v Barretta*, 44 AD3d 731; *Gillespie v Great Atl. & Pac. Tea Co.*, 26 AD2d 953, 21 NY2d 823; *Culpepper v Allstate Ins. Co.*, 31 AD3d 490; *Matter of Kavares [Motor Veh. Acc. Indem. Corp.]*, 29 AD2d 68, *affd sub nom. McEntee [Motor Vehicle Acc. Indem. Corp.]*, 28 NY2d 939.)

OPINION OF THE COURT

READ, J.

In August 1996, plaintiff Lindsay Grobman was injured in a car accident; at the time, she was traveling as a passenger in a car driven by defendant Adam J. Chernoff and owned by defendant Rhonda Globman (also known as Rhonda Grobman). A bifurcated trial was held in plaintiff's ensuing lawsuit. In June 2000, a jury found defendants 100% at fault in the happening of the accident. The next month, a jury found that plaintiff had suffered a serious injury; namely, "permanent consequential limitation of use of a body organ or member" (*see* Insurance Law § 5102 [d]), and awarded her damages for future medical expenses, but not for future pain and suffering. Supreme Court entered judgment for plaintiff in the amount of \$10,000 in August 2001. This sum included \$1,100 for past pain and suffering and \$8,900 for future medical expenses.

Plaintiff appealed. The Appellate Division concluded that the jury's "failure to award any damages for future pain and suffering [could not] be reconciled with the finding of permanent injury," and remitted the matter to Supreme Court for a new trial on the issue of damages (*Ajoudanpour v Globman*, 2 AD3d 373 [2d Dept 2003]).

On remand, Supreme Court granted defendants' motion to compel arbitration on all issues, including the threshold issue as to whether plaintiff suffered serious injury. Plaintiff appealed again, and the Appellate Division reversed. The court concluded that the jury's determination that plaintiff had sustained

serious injury within the meaning of New York's no-fault statute, which neither party challenged in the first appeal, was a final and binding determination that could not be relitigated in arbitration (*Grobman v Chernoff*, 35 AD3d 658, 659 [2d Dept 2006]).

The case then returned to arbitration solely on the issue of damages. The parties agreed to high/low parameters of \$150,000 and \$10,000; that "any and all pending litigation arising from this action shall be discontinued with prejudice upon the determination of this matter"; and that damages were at issue. After a hearing, the arbitrator awarded plaintiff a "net amount award" of \$125,000. The arbitrator's decision did not mention interest.

Plaintiff subsequently moved and defendants cross-moved to confirm the arbitration award and enter judgment. While these motions were pending, defendants' insurance carrier tendered a check for \$125,000 as "full and final settlement." Plaintiff retained this check, but did not cash it.

In a decision in August 2008 disposing of the motions, Supreme Court noted that the "principal issue" contested by the parties was "whether plaintiff [was] entitled to interest on the arbitration award computed from the date of the jury verdict in her favor on the issue of liability," or, alternatively, "from the date of the arbitration award." (2008 NY Slip Op 33619[U], *2.) The judge added that "[t]he decision of the arbitrator does not allude to the subject and neither side contends that the question was presented to the arbitrator." (*Id.*)

Supreme Court confirmed the award in the amount of \$125,000, "with interest . . . at the judgment rate from the date of the award with credit to be given to defendants for the payment that was tendered, computed from the date of receipt of the check." (*Id.* at *6.) The judge acknowledged that "[i]n general," where a plaintiff has obtained a favorable jury verdict on liability, "interest on a judgment ultimately entered in a motor vehicle accident case begins to run from the date of . . . the jury's verdict"; however, he added, the usual rule did not govern this case "because the parties agreed to submit the entire dispute to arbitration." (*Id.* at *3.)

Plaintiff appealed to the Appellate Division for a third time. As relevant here, the court held that plaintiff was entitled to interest on the damages award from the date the jury found defendants liable, citing our decision in *Love v State of New York*

(78 NY2d 540 [1991]) (63 AD3d 786 [2d Dept 2009]). We granted defendants' motion for leave to appeal (13 NY3d 714), and now affirm.

Defendants argue that the parties' arbitration agreement includes a "broad arbitration clause," which empowered the arbitrator to decide the entire controversy, including the amount of any prejudgment interest. While the parties in this case were free to submit the issue of prejudgment interest to the arbitrator, we do not read their arbitration agreement as having done this. As relevant, the agreement says merely "AT ISSUE: Damages" and, as we pointed out in *Love*, damages and prejudgment interest are not the same thing. Damages compensate plaintiffs in money for their losses, while prejudgment interest "is simply the cost of having the use of another person's money for a specified period" (*Love*, 78 NY2d at 544, citing Siegel, NY Prac § 411, at 623 [2d ed]). Further, as plaintiff observes, there was "no necessity to negotiate whether plaintiff was entitled to interest" as a part of the arbitration agreement because "she already possessed that right as a matter of law as of the date of her liability verdict." Finally, there are no circumstances in this case indicating that plaintiff gave up that right when she agreed to arbitrate damages (*cf. Rice v Valentine*, 75 AD3d 631 [2d Dept 2010]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[939 NE2d 1197, 914 NYS2d 67]

In the Matter of the Arbitration between CARMEN I. FALZONE, Now Known as CARMEN I. CORDERO, Appellant, and NEW YORK CENTRAL MUTUAL FIRE INSURANCE COMPANY, Respondent.

Argued September 16, 2010; decided October 21, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 2, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Erie County (Christopher J. Burns, J.), entered in a proceeding pursuant to CPLR article 75, which had granted a motion by petitioner to vacate an arbitration award, vacated the award, and directed that a new arbitration be scheduled, (2) denied the motion to vacate, and (3) confirmed the arbitration award.

Matter of Falzone (New York Cent. Mut. Fire Ins. Co.), 64 AD3d 1149, affirmed.

HEADNOTE

Arbitration — Confirming or Vacating Award — Arbitrator's Failure to Give Preclusive Effect to Prior Award between Same Parties

A supplementary uninsured/underinsured motorist (SUM) arbitration award ruling in respondent insurer's favor on the issue of whether petitioner's injury was caused by a vehicular accident was not subject to judicial review, despite the arbitrator's failure to give preclusive effect to a prior no-fault arbitration award in petitioner's favor involving the same parties, the same accident, the same injuries, and resolution of the same causation issue, since the SUM arbitration award was not patently irrational or so egregious as to violate public policy. An arbitrator's rulings, unlike a trial court's, are largely unreviewable and petitioner's claim—that the arbitrator erred in failing to apply collateral estoppel to preclude litigation of the causation issue in the SUM arbitration—fell squarely within the category of claims of legal error courts generally cannot review. If an arbitrator errs in not applying collateral estoppel, the general limitation on judicial review of arbitral awards precludes a court from disturbing the decision unless the resulting award violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator's power.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 169, 189–191, 194, 222–224, 226.

CARMODY-WAIT 2d, Arbitration §§ 141:109, 141:164, 141:165, 141:215, 141:227, 141:254–141:256.

NY JUR 2d, Arbitration and Award §§ 144, 194, 197, 211,
212, 222.

SIEGEL, NY PRAC §§ 596, 600, 602.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Collateral
Estoppel.

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Database: NY-ORCS

Query: arbitrator /s exceed! /s authority & collateral /2
estoppel & appeal

POINTS OF COUNSEL

Gross, Shuman, Brizdle & Gilfillan, P.C., Buffalo (*Hugh C. Carlin* and *David H. Elibol* of counsel), for appellant. I. The arbitrator exceeded his authority in redetermining the previously determined issue of causal relation despite the fact there were no factual disputes regarding issues or parties involved. (*Matter of Ranni [Ross]*, 58 NY2d 715; *Clemens v Apple*, 102 AD2d 236, 65 NY2d 746; *Casey v Country-Wide Ins. Co.*, 240 AD2d 232; *Matter of Pinnacle Envt. Sys. [Cannon Bldg. of Troy Assoc.]*, 305 AD2d 897; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Motor Veh. Acc. Indem. Corp. v Travelers Ins. Co.*, 246 AD2d 420; *Matter of New York City Tr. Auth. v Transport Workers' Union of Am.*, *Local 100, AFL-CIO*, 6 NY3d 332; *Matter of Medina Power Co. [Small Power Producers]*, 241 AD2d 915; *Matter of American Honda Motor Co. v Dennis*, 259 AD2d 613; *Matter of Ulster Elec. Supply Co. v Local 1430, Intl. Bhd. of Elec. Workers*, 253 AD2d 765.) II. The SUM arbitration award should be vacated on the grounds it violates strong public policy favoring finality and the resolution of disputes and arbitrability of such disputes. (*Merrill Lynch, Pierce, Fenner & Smith v Benjamin*, 1 AD3d 39; *Matter of Reilly v Reid*, 45 NY2d 24; *Xiao Yang Chen v Fischer*, 6 NY3d 94; *Motor Veh. Acc. Indem. Corp. v Travelers Ins. Co.*, 246 AD2d 420; *Casey v Country-Wide Ins. Co.*, 240 AD2d 232; *Matter of Maye [Bluestein]*, 40 NY2d 113; *Matter of Mole [Queen Ins. Co. of Am.]*, 14 AD2d 1; *Clemens v Apple*, 65 NY2d 746.) III. The SUM arbitrator's award is wholly irrational and unsupported by the evidence. (*Matter of Town of Callicoon [Civil Serv. Empls. Assn., Town of Callicoon Unit]*, 70 NY2d 907; *Rudolph's Women's Apparel of Mt. Kisco v Chiappinelli*, 167 AD2d 379; *Matter of Aetna Cas. & Sur. Co. v Bonilla*, 219 AD2d 708; *Maddison v Furneaux*, 8 Misc 3d 1012[A], 2005 NY Slip Op 51059[U].)

Brown & Kelly, LLP, Buffalo (*H. Ward Hamlin, Jr.*, of counsel), for respondent. I. The question of collateral estoppel or issue preclusion is solely within the province of the arbitrator, who is free to redetermine an issue based on new evidence or a different burden of proof. (*Bronx Radiology, P.C. v New York Cent. Mut. Fire Ins. Co.*, 17 Misc 3d 97; *Matter of Allen [New York State]*, 53 NY2d 694; *Matter of New York City Tr. Auth. v Transport Workers' Union of Am., Local 100, AFL-CIO*, 6 NY3d 332; *Matter of Mays-Carr [State Farm Ins. Co.]*, 43 AD3d 1439; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Board of Educ. of Patchogue-Medford Union Free School Dist. v Patchogue-Medford Congress of Teachers*, 48 NY2d 812; *Matter of Port Auth. of N.Y. & N.J. v Office of Contract Arbitrator*, 254 AD2d 194, 93 NY2d 913; *Clemens v Apple*, 102 AD2d 236, 65 NY2d 746.) II. The Appellate Division applied the applicable standard for review of an arbitrator's award. (*Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *New York Cent. Mut. Fire Ins. Co. v Nichols*, 192 AD2d 1131; *Matter of New York Cent. Mut. Fire Ins. Co. v Drasgow*, 12 AD3d 1038, 4 NY3d 841; *Matter of Singleton [Fireman's Fund Ins. Co.]*, 247 AD2d 868.) III. The subject arbitration award was not imperfectly executed or irrational and had an evidentiary basis. (*Matter of Town of Callicoon [Civil Serv. Empls. Assn., Town of Callicoon Unit]*, 70 NY2d 907; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214.)

OPINION OF THE COURT

JONES, J.

In this CPLR article 75 proceeding arising from respondent's determination denying petitioner's claim for supplementary uninsured/underinsured motorist (SUM) benefits, the primary issue before this Court is whether the SUM arbitrator exceeded the scope of his authority by not giving preclusive effect to a prior arbitration award involving the same parties and accident.

On May 15, 2004, petitioner was involved in a two-car collision. Subsequently, she filed a claim for no-fault benefits with respondent insurer, alleging she had injured her shoulder. When respondent denied petitioner's no-fault claim on the ground that her shoulder injury was not related to the accident, petitioner challenged the denial in arbitration. Disagreeing with respondent's denial, the no-fault arbitrator, in May 2008, ruled

that respondent's denial based on lack of relatedness was inappropriate and awarded petitioner \$4,354.56 in no-fault benefits.

After petitioner settled her lawsuit against the driver of the other vehicle for that driver's \$25,000 policy limit, she sought SUM benefits in the amount of \$75,000 from respondent insurer. Citing the prior denial of no-fault benefits as being unrelated to the accident, respondent denied the claim for SUM benefits. On February 28, 2008, during the pendency of the no-fault arbitration, petitioner sought to challenge the denial of SUM benefits in a separate arbitration proceeding.

At the hearing in the SUM arbitration, held about two months after the decision in the no-fault arbitration, respondent again argued that the injury was unrelated to the accident, while petitioner countered that the SUM arbitrator was bound by the prior determination of the no-fault arbitrator under the doctrine of collateral estoppel. After the hearing, in August 2008, the SUM arbitrator issued an award in favor of respondent denying SUM benefits. In a finding directly opposite that of the no-fault arbitrator, the SUM arbitrator concluded that petitioner's injury was not caused by the accident, and also found that her recovery from the other driver was more than adequate compensation for any injuries sustained in the accident.

Thereafter, petitioner commenced this CPLR article 75 proceeding to set aside the SUM arbitration award in respondent's favor. Petitioner argued that respondent was collaterally estopped from relitigating the causation issue. Respondent sought confirmation of the award.

Supreme Court vacated the SUM arbitration award and ordered that a new arbitration be scheduled before a different arbitrator. The court concluded that although it is within an arbitrator's discretion to determine the preclusive effect of a prior arbitration award, here, there was nothing in the SUM arbitrator's decision to indicate whether petitioner's collateral estoppel argument was even considered.

By a 3-2 vote, the Appellate Division reversed Supreme Court's order and confirmed the SUM arbitration award (64 AD3d 1149 [4th Dept 2009]). The majority concluded that (1) "[t]he fact that a prior arbitration award is inconsistent with a subsequent award" is not a ground, pursuant to CPLR 7511, for vacating an arbitration award, (2) it is within the arbitrator's sole discretion to determine the preclusive effect of a prior award, and (3) "the SUM arbitrator was not required to state

that he had considered” the collateral estoppel argument raised before him. (64 AD3d at 1150.) The dissenting Justices countered that the SUM arbitrator exceeded his power by disregarding the preclusive effect of the prior no-fault arbitration award, which involved the same parties and was based on the same facts. Petitioner appeals as of right pursuant to CPLR 5601 (a); we now affirm.

It is well settled that a court may vacate an arbitration award only if it violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator’s power (see *Matter of New York City Tr. Auth. v Transport Workers’ Union of Am., Local 100, AFL-CIO*, 6 NY3d 332, 336 [2005]; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 79 [2003]; CPLR 7511 [b] [1] [iii]). Even where an arbitrator has made an error of law or fact, courts generally may not disturb the arbitrator’s decision (see *Transport Workers’ Union of Am., Local 100, AFL-CIO*, 6 NY3d at 336 [“(C)ourts are obligated to give deference to the decision of the arbitrator. This is true even if the arbitrator misapplied the substantive law in the area of the contract” (citations omitted)]). Here, petitioner’s claim—that the arbitrator erred in failing to apply collateral estoppel to preclude litigation of the causation issue in the SUM arbitration—falls squarely within the category of claims of legal error courts generally cannot review.

In this appeal, we are merely applying this State’s well-established rule that an arbitrator’s rulings, unlike a trial court’s, are largely unreviewable (see *Board of Educ. of Patchogue-Medford Union Free School Dist. v Patchogue-Medford Congress of Teachers*, 48 NY2d 812, 813 [1979] [this Court, addressing the doctrine of res judicata, held that if a grievance is within the scope of the arbitration agreement and would do no harm to the State’s public policy in favor of arbitration, further judicial inquiry into arbitrability is foreclosed and “any remaining questions, including whether a prior award constitutes a bar to the relief sought, are within the exclusive province of the arbitrator to resolve” (citations omitted)]; *Matter of City School Dist. of City of Tonawanda v Tonawanda Educ. Assn.*, 63 NY2d 846, 848 [1984] [“The effect, if any, to be given to an earlier arbitration award in subsequent arbitration proceedings is a matter for determination in that forum”]; compare with *Clemens v Apple*, 65 NY2d 746 [1985], and *Matter of American Ins. Co. [Messinger—Aetna Cas. & Sur. Co.]*, 43

NY2d 184, 191 [1977] [holding that if an issue between identical parties is resolved in an arbitration proceeding, the determination as to that issue may be binding on subsequent *court proceedings* under the doctrine of collateral estoppel where the parties have had a full and fair opportunity to litigate the issue]). Thus, if a court makes an error and fails to properly apply collateral estoppel, the issue can be reviewed and corrected on appeal. By contrast, if an arbitrator erred in not applying collateral estoppel, the general limitation on judicial review of arbitral awards precludes a court from disturbing the decision unless the resulting arbitral award violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator's power.

Here, the prior (no-fault) arbitration award involved the same parties, the same accident, the same injuries, and resolution of the same issue (causation) as the subsequent (SUM) arbitration award. Respondent insurer, a party to the prior arbitration, lost on the causation issue. Petitioner, the prevailing party on that issue in the prior arbitration, reasonably argued that collateral estoppel should apply to bar relitigation of the causation issue in the subsequent SUM arbitration. The SUM arbitrator rejected petitioner's argument, had the parties relitigate the causation issue and, contrary to the no-fault arbitrator's determination, found in respondent insurer's favor on the causation issue.

It is not for us to decide whether the SUM arbitrator erred in not applying collateral estoppel (i.e., not giving preclusive effect to the no-fault arbitrator's determination on the issue of causation). Because the SUM arbitration award was not patently irrational or so egregious as to violate public policy, the instant SUM arbitration award (and whether the SUM arbitrator erred or exceeded his authority) is beyond this Court's review powers.

Since the instant claim involves the doctrine of collateral estoppel, not *res judicata*, petitioner's reliance on Appellate Division decisions barring subsequent arbitrations on *res judicata* grounds is misplaced.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent. In my view, the SUM arbitrator exceeded his authority in disregarding the no-fault arbitrator's finding on the issue of causation and substituting his own, when the identical parties had previously litigated the identical issue.

Insurance Law § 5106, titled “Fair claims settlement,” was designed for its titled purpose: to provide a forum where persons sustaining injuries in auto accidents could quickly adjudicate whether or not their no-fault carriers would pay their claims (see *Roggio v Nationwide Mut. Ins. Co.*, 66 NY2d 260, 264 [1985]). Here, petitioner applied for no-fault benefits and the insurer denied those benefits because its physician concluded that the shoulder injury was not related to the accident. Petitioner sought arbitration of that decision, taking a significant risk that a negative outcome on the causation issue would preclude her from bringing a civil suit to recover against her tortfeasor and, subsequently, her SUM carrier, for her shoulder injury (see *Clemens v Apple*, 65 NY2d 746, 748-749 [1985]).

Petitioner submitted her own medical evidence to counter the insurer’s, and prevailed at the no-fault arbitration. The arbitrator concluded that petitioner’s shoulder injury was causally related to the accident and awarded her approximately \$4,300. The insurer did not move to vacate or modify the award even though Insurance Law § 5106 (c) provides that “[a]n award by an arbitrator *shall be binding* except where vacated or modified by a master arbitrator in accordance with simplified procedures to be promulgated or approved by the superintendent” (emphasis supplied).

Having lost at the no-fault arbitration and paying, in full, the sum awarded to petitioner for her shoulder injury, the insurer thereafter consented to petitioner’s settlement with the tortfeasor’s insurer for the face amount of the tortfeasor’s policy. However, the insurer again challenged causation relative to petitioner’s shoulder injury, this time during the SUM arbitration and over petitioner’s objection.

Apparently, what is sauce for the goose is no longer sauce for the gander. Had the arbitrator during the original no-fault arbitration found against the petitioner, any direct action against the tortfeasor would have been met with the defense of issue preclusion, with the tortfeasor relying on the no-fault arbitrator’s finding of no causation (see *Clemens*, 65 NY2d 746 [1985]). That, in turn, would have precluded petitioner from even bringing a SUM claim against her carrier, as it would have been impossible for her to succeed on such a claim without first exhausting the tortfeasor’s policy limits.

When a claim is initially denied, a no-fault claimant is faced with making the difficult choice: either (1) potentially losing at the no-fault arbitration and being precluded from bringing a

civil suit, or (2) not seeking arbitration of the no-fault carrier's denial of benefits so that the claimant can preserve his or her ability to bring a civil suit at a later date against the tortfeasor, thereby transferring the cost of the claimant's medical care to his or her private insurance carrier, public insurance, or delaying payment.

These results, however, contradict the primary legislative purpose behind the no-fault law, namely, to ensure “ ‘that every auto accident victim will be compensated for substantially all of his economic loss promptly and without regard to fault,’ ” such that the insurer has nothing to lose and everything to gain from denying no-fault claims (Norman H. Dachs and Jonathan A. Dachs, *Time to Reconsider ‘Clemens v. Apple’?*, NYLJ, Nov. 14, 1995, at 3, col 1, quoting Rep of Joint Legislative Comm on Insurance Rates, Regulation and Recodification of the Insurance Law, 1973 NY Legis Doc No. 18, at 7; Norman H. Dachs and Jonathan A. Dachs, *Collateral Estoppel and Res Judicata in Arbitration*, NYLJ, Feb. 13, 1990, at 3, col 1). Simply put, under the majority holding there is a great deal of incentive for a no-fault carrier to deny claims because even if it loses at arbitration, it can revisit the issue in a later SUM proceeding.

In my view, petitioner should be permitted to rely on the no-fault arbitration causation findings in support of any subsequent arbitration involving the same issue against the same party, just as the tortfeasor and insurer would have been able to rely on that initial finding had petitioner been unsuccessful and instituted a civil suit. It cannot be reasonably argued that the insurer did not have a full and fair opportunity to litigate causation in the no-fault proceeding. After all, it submitted medical proof from its own physician after he conducted an examination that petitioner was contractually obligated to attend.

Moreover, the majority's holding directly contradicts the dictates of Insurance Law § 5106 (c) that arbitration awards are binding unless vacated or modified by a master arbitrator because it allows an unsuccessful insurer to do an end run around that statute to the extent that it effectively nullifies the findings of the no-fault arbitrator. By accepting the SUM arbitrator's “discretion” to disregard the findings of an arbitrator on an identical issue between the same parties, this Court grants the arbitrator more authority than a trial court, appellate court, or this Court, none of which are accorded the power to review the arbitrator's rejection of petitioner's issue preclusion argument.

All of the cases cited by the majority involve arbitrations arising from the invocation of arbitration provisions contained in either collective bargaining agreements or inter-company insurance arbitration agreements—parties of equal size and nature who together agree to submit to the resolution of their claims in a non-judicial forum. Petitioner, like so many motorists, is forced by a sophisticated insurer to choose between arbitration and engaging, at her own expense, in the costly litigation that is itself discouraged by the statute. Having done so, she finds herself in a hall of mirrors where winning in arbitration is only the beginning, not the end of her travail.

Finally, I note that the mere finding of a causal relation between the accident and petitioner's shoulder injury at the no-fault arbitration stage would not have necessarily resulted in a finding that petitioner was entitled to recover damages for non-economic loss in the SUM arbitration. Petitioner would still be required to prove that her damages exceeded the amount of any policy of insurance that covered the original tortfeasor (*see Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196, 205 [2007]). Indeed, that was the issue before the SUM arbitrator in this case, yet he never reached the "serious injury" threshold issue, opting instead to revisit the previously-determined causation finding and reach a different conclusion. Based on the foregoing, it is my view that the SUM arbitrator exceeded his authority by not granting the no-fault arbitrator's causation finding preclusive effect, and I would therefore reverse.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[940 NE2d 535, 914 NYS2d 709]

ALICE KRAMER, Respondent, v PHOENIX LIFE INSURANCE Co. et al., Defendants. LIFEMARK S.A., Intervenor-Appellant. (And Third-Party Actions.)

Argued October 12, 2010; decided November 17, 2010

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does New York Insurance Law §§ 3205 (b)(1) and (b)(2) prohibit an insured from procuring a policy on his own life and immediately transferring the policy to a person without an insurable interest in the insured’s life, if the insured did not ever intend to provide insurance protection for a person with an insurable interest in the insured’s life?”

HEADNOTE

Insurance — Life Insurance — Assignment of Policy Obtained by Insured to One without Insurable Interest

New York law permits a person to procure an insurance policy on his or her own life and immediately transfer it to one without an insurable interest in that life, even where the policy was obtained for just such a purpose. The common-law insurable interest requirement, applicable only where a policy was obtained by one person for his or her own benefit upon the life of another, is codified in Insurance Law § 3205 (b). Section 3205 (b) (1) addresses individuals obtaining life insurance on their own lives, and section 3205 (b) (2) addresses a person’s ability to obtain insurance on another’s life with the requirement that, in that circumstance, the policy beneficiary be either the insured or someone with an insurable interest in the insured’s life. Section 3205 (b) (1) contains no requirement that an individual who procures insurance on his or her own life with the intent of immediately assigning the policy to one without an insurable interest be subject to the insurable interest requirement articulated in section 3205 (b) (2). Section 3205 (b) (1) explicitly allows for “immediate transfer or assignment,” a phrase that anticipates that an insured might obtain a policy with the intent of assigning it. The mandate of section 3205 (b) (1) that a policy must be obtained on an insured’s “own initiative,” without more, does not prohibit an insured from obtaining a policy pursuant to a noncoercive arrangement with an investor. To the extent there is any conflict between Insurance Law § 3205 (b) and the common-law requirement that an insured cannot obtain a life insurance policy with the intent of circumventing the insurable interest rule by immediately assigning it to a third party, the common law has been modified by unambiguous statutory language.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 978–980, 998–1001.
COUCH ON INSURANCE (3d ed) §§ 36:77–36:81.
MCKINNEY's, Insurance Law § 3205 (b).
NY JUR 2d, Insurance §§ 1030, 1031.

ANNOTATION REFERENCE

See ALR Index under Life Insurance.

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/p insurable /2 interest

POINTS OF COUNSEL

Mayer Brown LLP (John J. Tharp, Jr., of the Illinois bar, admitted pro hac vice, Lawrence R. Hamilton, Katherine E. Agonis, Robert T. Howell and J. Bishop Grewell of counsel) and *Mayer Brown LLP*, New York City (Hector Gonzalez of counsel), for intervenor-appellant. I. Insurance Law § 3205 (b) allows an insured to freely transfer a policy procured on his own life and on his own initiative. (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *2004 Stuart Moldaw Trust v XE L.I.F.E., LLC*, 642 F Supp 2d 226; *Matter of Medical Socy. of State of N.Y. v State of N.Y. Dept. of Health*, 83 NY2d 447; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Pajak v Pajak*, 56 NY2d 394; *Scott v Massachusetts Mut. Life Ins. Co.*, 86 NY2d 429; *Grigsby v Russell*, 222 US 149; *Steinback v Diepenbrock*, 158 NY 24.) II. Public policy weighs against reading a “good faith” requirement into Insurance Law § 3205 (b). (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Carter v Continental Life Ins. Co.*, 115 F2d 947; *Matter of Orens v Novello*, 99 NY2d 180; *Klostermann v Cuomo*, 61 NY2d 525; *People v Nicholas*, 97 NY2d 24; *Rocchigiani v World Boxing Council, Inc.*, 131 F Supp 2d 527.)

Dorsey & Whitney LLP, New York City (Patrick J. Feeley, Christopher G. Karagheuzoff, Joshua Colangelo-Bryan and Stephen M. Raab of counsel), for Phoenix Life Insurance Company, defendant. I. Insurance Law § 3205 prohibits stranger-originated

life insurance (STOLI) schemes. (*Colavito v New York Organ Donor Network, Inc.*, 8 NY3d 43; *Retail Software Servs. v Lashlee*, 71 NY2d 788; *Fuentes v Board of Educ. of City of N.Y.*, 12 NY3d 309; *Israel v Chabra*, 12 NY3d 158; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Hota v Camaj*, 299 AD2d 453; *People v Aarons*, 2 NY3d 547; *People v Montanez*, 90 NY2d 690; *People v Cardona*, 41 NY2d 333; *Nixon v Federated Dept. Stores*, 170 AD2d 659.) II. The Court should clarify that *New England Mut. Life Ins. Co. v Caruso* (73 NY2d 74 [1989]) does not shield stranger-originated life insurance (STOLI) schemes. (*Yamaha Motor Corp., US A. v Calhoun*, 516 US 199; *City of New York v Beretta U.S.A. Corp.*, 524 F3d 384; *Policano v Herbert*, 7 NY3d 588; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *People v Bing*, 76 NY2d 331; *Paul Revere Life Ins. Co. v Fima*, 105 F3d 490; *Kentucky Cent. Life Ins. Co. v McNabb*, 825 F Supp 269; *Riggs v Palmer*, 115 NY 506; *Grigsby v Russell*, 222 US 149.)

Drinker Biddle & Reath LLP (Michael J. Miller, of the Pennsylvania bar, admitted pro hac vice, Stephen C. Baker, of the Pennsylvania bar, admitted pro hac vice, Charles J. Vinicombe, of the Pennsylvania bar, admitted pro hac vice, and Katherine L. Villanueva of counsel) for Lincoln Life & Annuity Company of New York, defendant. I. *New England Mut. Life Ins. Co. v Caruso* (73 NY2d 74 [1989]) and New York law do not support a result that rewards wrongdoers. (*Spear v Guardian Life Ins. Co. of Am.*, 112 AD2d 904; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Columbian Natl. Life Ins. Co. v Hirsch*, 267 NY 605; *Ilyaich v Bankers Life Ins. Co. of N.Y.*, 47 AD3d 614; *Reliastar Life Ins. Co. of N.Y. v Leopold*, 192 Misc 2d 385; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *Coppell v Hall*, 74 US 542; *McMullen v Hoffman*, 174 US 639; *Riggs v Palmer*, 115 NY 506; *Szerdahelyi v Harris*, 67 NY2d 42.) II. The Lincoln Life & Annuity Company of New York policy was procured in violation of New York insurable interest law. (*Ma-jewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Robert C. Herd & Co. v Krawill Machinery Corp.*, 359 US 297; *Matter of Statewide Roofing v Eastern Suffolk Bd. of Coop. Educ. Servs., First Supervisory Dist. of Suffolk County*, 173 Misc 2d 514; *Matter of New York Pub. Interest Research Group Strap-hangers Campaign v Reuter*, 293 AD2d 160; *St. Vincent's Med. Ctr. of Richmond v Vincent E. Iorio, Inc.*, 78 Misc 2d 968; *Matter of 121-129 Broadway Realty v New York State Div. of Human*

Rights, 43 AD2d 754; *Holmes v Nationwide Mut. Ins. Co.*, 40 Misc 2d 894, 19 AD2d 947; *Herman v Provident Mut. Life Ins. Co. of Phila.*, 886 F2d 529.)

Friedman & Wittenstein, New York City (Andrew A. Wittenstein, Stuart I. Friedman and Rajeev E. Ananda of counsel), for Alice Kramer, respondent. I. A “good faith” standard has been an integral part of the insurable interest rule for over a century. (*Warnock v Davis*, 104 US 775; *Olmsted v Keyes*, 85 NY 593; *Steinback v Diepenbrock*, 158 NY 24; *Grigsby v Russell*, 222 US 149; *Finne v Walker*, 257 F 698; *Travelers Ins. Co. v Reiziz*, 13 F Supp 819; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *Herman v Provident Mut. Life Ins. Co. of Phila.*, 886 F2d 529.) II. The rules of statutory interpretation require that all parts of a statute be read together and that the intent of the Legislature is paramount. (*People v Mobil Oil Corp.*, 48 NY2d 192; *Abood v Hospital Ambulance Serv.*, 30 NY2d 295; *People ex rel. City of New York v Hoar*, 191 Misc 292; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *Matter of Hogan v Culkin*, 18 NY2d 330; *Park W. Vil. Assoc. v Chiyoko Nishoika*, 187 Misc 2d 243; *Long v State of New York*, 7 NY3d 269; *People v Santi*, 3 NY3d 234; *Williams v Williams*, 23 NY2d 592; *Matter of Allstate Ins. Co. v Libow*, 106 AD2d 110.) III. The legislative history of Insurance Law § 3205 does not reflect a desire to abolish the “good faith” standard. (*Olmsted v Keyes*, 85 NY 593; *Steinback v Diepenbrock*, 158 NY 24; *Grigsby v Russell*, 222 US 149; *Finne v Walker*, 257 F 698; *Travelers Ins. Co. v Reiziz*, 13 F Supp 819; *Iannotti v Consolidated Rail Corp.*, 74 NY2d 39; *Warnock v Davis*, 104 US 775; *Seligman v Friedlander*, 199 NY 373; *Matter of Michaelson*, 162 Misc 847; *People v Giordano*, 87 NY2d 441.) IV. Lifemark S.A.’s public policy argument against the “good faith” standard should be rejected. (*2004 Stuart Moldaw Trust v XE L.I.F.E., LLC*, 642 F Supp 2d 226; *Hota v Camaj*, 299 AD2d 453; *Corder v Prudential Ins. Co.*, 42 Misc 2d 423; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Kelly v New York City Ry. Co.*, 119 App Div 223.) V. The opinions of the New York State Insurance Department demonstrate that Lifemark S.A.’s position is without merit. (*Matter of Howard v Wyman*, 28 NY2d 434; *Hota v Camaj*, 299 AD2d 453.)

Hanley Conroy Bierstein Sheridan Fisher & Hayes, LLP, New York City (Andrea B. Bierstein of counsel), *Susman Godfrey LLP* (Rebecca S. Tinio and Arun S. Subramanian of counsel) and *Fein & Jakab* (Peter Jakab of counsel) for Jonathan S. Berck and another, respondents.

Phillips Lytle LLP, New York City (*Edward S. Bloomberg* and *Patricia A. Mancabelli* of counsel), for T.D. Bank, N.A., respondent. I. The Court should not expand the certified question to include reconsideration of *New England Mut. Life Ins. Co. v Caruso* (73 NY2d 74 [1989]), which refused to find a public policy fraud exception to the two-year incontestability clause statutorily required in New York life insurance policies by Insurance Law § 3203 (a) (3). (*New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Berkshire Life Ins. Co. v Fernandez*, 71 NY2d 874; *Killian v Metropolitan Life Ins. Co.*, 251 NY 44; *Wright v Mutual Benefit Life Assn. of Am.*, 118 NY 237; *Simpson v Phoenix Mut. Life Ins. Co.*, 24 NY2d 262; *Matter of Metropolitan Life Ins. Co. v Conway*, 252 NY 449; *Berkshire Life Ins. Co. v Weinig*, 290 NY 6; *Columbian Natl. Life Ins. Co. v Hirsch*, 267 NY 605; *Ilyaich v Bankers Life Ins. Co. of N.Y.*, 47 AD3d 614; *Reliastar Life Ins. Co. of N.Y. v Leopold*, 192 Misc 2d 385.) II. If the Court overrules *New England Mut. Life Ins. Co. v Caruso* (73 NY2d 74 [1989]), or creates a public policy fraud exception to Insurance Law § 3203 (a) (3), the Court should apply the decision prospectively only to new life insurance policies. (*Gager v White*, 53 NY2d 475; *People v Hill*, 85 NY2d 256; *People v Pepper*, 53 NY2d 213; *Banque Worms v BankAmerica Intl.*, 77 NY2d 362; *Rocchigiani v World Boxing Council, Inc.*, 131 F Supp 2d 527; *Atlantic Cement Co. v Fidelity & Cas. Co. of N.Y.*, 91 AD2d 412, 63 NY2d 798; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Matter of King v Cuomo*, 81 NY2d 247; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of O'Shea v Board of Assessors of Nassau County*, 8 NY3d 249.)

Rosenfeld & Kaplan, LLP, New York City (*Tab K. Rosenfeld* and *Steven M. Kaplan* of counsel), for intervenor-respondents. I. Section 3205 (b) of the Insurance Law must be construed consistent with its express terms which allow the unfettered transfer of a life insurance policy procured by an insured on his or her own life. (*American Tr. Ins. Co. v Sartor*, 3 NY3d 71; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *2004 Stuart Moldaw Trust v XE L.I.F.E., LLC*, 642 F Supp 2d 226; *Hota v Camaj*, 299 AD2d 453; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687.) II. The rights of an insured procuring a life insurance policy on his or her own life pursuant to Insurance Law § 3205 (b) (1) are not limited by the insurable interest requirements of section 3205 (b) (2). (*Levine v Bornstein*, 4 NY2d 241; *Matter of Westchester County Dept. of Social Servs. v Robert W.R.*, 25 AD3d 62; *Canal Carting, Inc. v City of N.Y. Bus.*

Integrity Commn., 66 AD3d 609; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) III. Public policy mandates against the grafting of a subjective “good faith” requirement onto Insurance Law § 3205 (b) (1). (*People v Litto*, 8 NY3d 692; *Matter of Orens v Novello*, 99 NY2d 180.)

Proskauer Rose LLP, New York City (*John E. Failla*, *William C. Komaroff* and *Nathan R. Lander* of counsel), for Institutional Life Markets Association, amicus curiae. I. The certified question should be answered “no.” (*Corder v Prudential Ins. Co.*, 42 Misc 2d 423; *Gibson v Travelers Ins. Co.*, 183 Misc 678; *Matter of Stein*, 174 Misc 465; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Schinasi*, 277 NY 252; *Hota v Camaj*, 299 AD2d 453; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *Matter of Medical Socy. of State of N.Y. v State of N.Y. Dept. of Health*, 83 NY2d 447; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382.) II. New York’s well-settled contestability rule should not be modified. (*Wright v Mutual Benefit Life Assn. of Am.*, 118 NY 237; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Matter of Schinasi*, 277 NY 252; *Klostermann v Cuomo*, 61 NY2d 525.)

Bracewell & Giuliani LLP, Houston, Texas (*J. Brett Busby* of counsel), and *Edison, McDowell & Hetherington, LLP* (*David T. McDowell* of counsel) for American Council of Life Insurers and another, amici curiae. I. Stranger-originated life insurance (STOLI) transactions conceal a lack of insurable interest and create serious public policy problems. (*Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *American Gen. Life Ins. Co. v Schoenthal Family, LLC*, 555 F3d 1331; *Wuliger v Manufacturers Life Ins. Co.*, 567 F3d 787; *Lincoln Natl. Life Ins. Co. v Calhoun*, 596 F Supp 2d 882; *Warnock v Davis*, 104 US 775.) II. Section 3205 (b) (1) and (2) of the Insurance Law prohibit investors from procuring insurance on a stranger’s life. III. New York law should not reward those who purposely conceal from an insurer a policy’s lack of insurable interest. (*Connecticut Mut. Life Ins. Co. v Schaefer*, 94 US 457; *Grigsby v Russell*, 222 US 149; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646; *Fowler v New York Indem. Ins. Co.*, 26 NY 422; *Ruse v Mutual Benefit Life Ins. Co.*, 23 NY 516; *Reed v Provident Sav. Life Assur. Socy.*, 190 NY 111; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Paul Revere Life Ins. Co. v Fima*, 105 F3d 490; *Kentucky Cent. Life Ins. Co. v McNabb*, 825 F Supp 269; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465.)

Arent Fox LLP, New York City (*Julius A. Rousseau, III*, and *Eric A. Biderman* of counsel), for Life Insurance Settlement Association, amicus curiae. I. New York law does not impose an unwritten intent standard in Insurance Law § 3205. (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74.) II. The Court should not limit the rule of *New England Mut. Life Ins. Co. v Caruso* (73 NY2d 74 [1989]) or reconsider public policy concerns that the New York Legislature decided to not address. (*Wright v Mutual Benefit Life Assn. of Am.*, 118 NY 237; *Life Prod. Clearing, LLC v Angel*, 530 F Supp 2d 646.)

OPINION OF THE COURT

CIPARICK, J.

The United States Court of Appeals for the Second Circuit has certified the following question for our consideration:

“Does New York Insurance Law §§ 3205 (b)(1) and (b)(2) prohibit an insured from procuring a policy on his own life and immediately transferring the policy to a person without an insurable interest in the insured’s life, if the insured did not ever intend to provide insurance protection for a person with an insurable interest in the insured’s life?”

We now answer in the negative and hold that New York law permits a person to procure an insurance policy on his or her own life and immediately transfer it to one without an insurable interest in that life, even where the policy was obtained for just such a purpose.

This litigation involves several insurance policies obtained by decedent Arthur Kramer, a prominent New York attorney, on his own life, allegedly with the intent of immediately assigning the beneficial interests to investors who lacked an insurable interest in his life. In May 2008, Arthur’s widow, plaintiff Alice Kramer, as personal representative of her husband’s estate, filed an amended complaint in the United States District Court for the Southern District of New York seeking to have the death benefits from these insurance policies paid to her. She alleges that these policies, which collectively provide some \$56,200,000 in coverage, violate New York’s insurable interest rule because her husband obtained them without the intent of providing insurance for himself or anyone with an insurable interest in his life.

As alleged in the plaintiff’s complaint, defendant Steven Lockwood, the principal of Lockwood Pension Services, Inc.

(Lockwood Pension), approached Arthur, presumably a sophisticated investor, about participating in a “stranger-owned life insurance” (SOLI or STOLI) scheme as early as 2003.¹ They commenced such a scheme in June 2005, when Arthur established the first of two insurance trusts (the June trust) and named two of his adult children, Andrew and Rebecca Kramer, as beneficiaries. A present Lockwood Pension employee was named as trustee, succeeded by defendant Jonathan Berck. In June and July 2005, defendant Transamerica Occidental Life Insurance Co. funded the trust with one or more insurance policies with a total death benefit of approximately \$18,200,000. Andrew and Rebecca then assigned their beneficial interests in the trust to a stranger investor, defendant Tall Tree Advisors, Inc. (Tall Tree). In 2007, Berck, as trustee, sold the ownership interests in the policies to a nonparty purchaser.

Arthur established a second trust in August 2005 (the August trust) and named a third adult child, Liza Kramer, as beneficiary. Hudson United Bank (Hudson) was named trustee,² also succeeded by Berck. In July 2005, defendant Phoenix Life Insurance Co. (Phoenix) issued three insurance policies to fund the August trust, with a total death benefit of \$28,000,000, and Liza likewise assigned her interest to Tall Tree. In November 2005, defendant Lincoln Life & Annuity Co. of New York (Lincoln) also issued a policy to the August trust with a death benefit of \$10,000,000, and Liza assigned her interest to another stranger investor, defendant Life Products Clearing, LLC (Life Products). Intervenor Lifemark alleges that it purchased a Phoenix policy from the August trust in August 2007, just over two years after its issuance. Allegedly both trust agreements were prepared by counsel for Lockwood Pension, neither Arthur Kramer nor his children ever paid premiums on the policies, and the Kramer children were never “true beneficiaries” of the trusts after the policies were issued. Phoenix and Lincoln allege that Lockwood served as broker pursuant to an “Independent Producer Contract” he had with Phoenix and a “Broker Agreement” he had with Lincoln.

Following Arthur’s death in January 2008, Alice refused to turn over copies of the death certificate to investors holding

1. All facts here are drawn from allegations in the parties’ complaints, and are discussed in greater detail in the District Court opinion (*see Kramer v Lockwood Pension Servs., Inc.*, 653 F Supp 2d 354 [SD NY 2009]).

2. Lincoln Life & Annuity Co. of New York alleges that, in January 2006, Hudson was acquired by and merged with TD Bank, N.A.

beneficial interests in the policies. She filed this action alleging that these policies violated New York's insurable interest rule and so should be paid to her, as the representative of the decedent's estate. Defendants are the insurance companies that issued the policies, trustees, and various insurance brokers/investors. They filed counterclaims, cross claims, and third-party complaints. As relevant here, Berck, as trustee, and Life Products filed nearly identical answers seeking to have the proceeds of the Lincoln policy awarded to them. Intervenor Lifemark, claiming to be a good faith purchaser for value, seeks to have the Phoenix policy proceeds paid to it. Phoenix and Lincoln brought claims against Lockwood for breach of contract and also seek a declaratory judgment declaring that the policies are void and that they are not required to pay policy proceeds to anyone.

District Court granted motions to dismiss many of the parties' claims, but denied Lockwood's motion to dismiss the insurers' claims against him. Relying primarily on District Court precedent, the court stated that, according to the alleged facts:

"Lockwood breached provisions of the New York Insurance Law in that he caused to be procured directly or through assignment or other means, a contract of insurance upon the life of the decedent [Kramer] for the benefit of strangers who did not have an insurable interest in his life at the time the policy was obtained" (*Kramer*, 653 F Supp 2d at 388 [internal quotation marks omitted]).

The court also permitted Alice, Life Products, and Berck's declaratory judgment claims, counterclaims, and cross claims to go forward.³

District Court certified its order to allow for an interlocutory appeal to the Second Circuit pursuant to 28 USC § 1292 (b), noting that "there is indeed substantial ground for difference of

3. Other claims that survived the District Court order include Life Products and Berck's counterclaims against Alice, in the alternative, for misrepresentation/breach of warranty; Life Products' third-party claims against Liza for breach of express warranty and breach of contract; and Life Products and Berck's cross claims against Lincoln for breach of contract.

Notably, District Court determined that the insurers could not attempt to void the policies, as they had been issued over two years earlier and so are incontestible (*see* Insurance Law § 3203 [a] [3]; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74 [1989]). As a result, it dismissed the insurers' counterclaims and cross claims for, among other things, fraud, fraudulent concealment, aiding and/or abetting fraud, and for a declaratory judgment.

opinion on the application of New York Insurance Law to SOLI arrangements of this type” (653 F Supp 2d at 398), and that “[n]umerous claims in this suit, including but not limited to the initial Declaratory Judgment action by Plaintiff, turn on the interpretation of” Insurance Law § 3205 (*id.*). The Second Circuit granted Lifemark’s petition for leave to appeal District Court’s interlocutory order, and certified the question at issue to us.⁴

New York’s insurable interest requirement is codified in Insurance Law § 3205 (b). Section 3205 (b) (1) addresses individuals obtaining life insurance on their own lives:

“Any person of lawful age may on his own initiative procure or effect a contract of insurance upon his own person for the benefit of any person, firm, association or corporation. Nothing herein shall be deemed to prohibit the immediate transfer or assignment of a contract so procured or effectuated.”

Section 3205 (b) (2) addresses a person’s ability to obtain insurance on another’s life and requires, in that circumstance, that the policy beneficiary be either the insured himself or someone with an insurable interest in his life:

“No person shall procure or cause to be procured, directly or by assignment or otherwise any contract of insurance upon the person of another unless the benefits under such contract are payable to the person insured or his personal representatives, or to a person having, at the time when such contract is made, an insurable interest in the person insured.”

An insurable interest is defined as, “in the case of persons closely related by blood or by law, a substantial interest engendered by love and affection” or, for others, a “lawful and substantial economic interest in the continued life, health or

4. The Second Circuit denied Phoenix and Lincoln’s petitions seeking to appeal District Court’s order “because an immediate appeal concerning the issues presented therein is unwarranted.” Nonetheless, the insurers urge us to expand the scope of the certified question and consider whether District Court properly dismissed their claims.

We have considered Phoenix and Lincoln’s arguments relating to the incontestability issue, but decline their request to expand the scope of the certified question. Thus, we are denying Alice and Lifemark’s motions in this Court to strike the portions of the insurers’ briefs addressing whether the incontestability rule should apply here (15 NY3d 901 [2010] [decided today]).

bodily safety of the person insured” (Insurance Law § 3205 [a] [1] [A], [B]).⁵

The insurable interest requirement at common law was designed to distinguish an insurance contract from a wager on someone’s life (*see Ruse v Mutual Benefit Life Ins. Co.*, 23 NY 516, 523 [1861] [“A policy, obtained by a party who has no interest in the subject of insurance, is a mere wager policy”]). From the first, an insurable interest was required only where a policy was “obtained by one person for his own benefit upon the life of another” (*id.*). This basic distinction between policies obtained on the life of another and those obtained on one’s own life is reflected in the twin provisions of section 3205 (b) (1) and (2). As we have explained:

“When one insures his or her own life, the wagering aspect is overridden by the recognized social utility of the contract as an investment to benefit others. When a third party insures another’s life, however, the contract does not have the same manifest utility and assumes more speculative characteristics which may subject it to the same general condemnation as wagers” (*Caruso*, 73 NY2d at 77-78).

Plaintiff and the insurers urge us to find that an individual who procures insurance on his own life with the intent of immediately assigning the policy to one without an insurable interest is subject to the insurable interest requirement articulated

5. In 2009, the Legislature added several new provisions to the Insurance Law regulating permissible “life settlement contracts,” i.e. agreements by which compensation is paid for

“the assignment, transfer, sale, release, devise or bequest of any portion of:

“(A) the death benefit;

“(B) the ownership of the policy; or

“(C) any beneficial interest in the policy, or in a trust . . . that owns the policy” (*see* Insurance Law § 7802 [k] [1]).

In addition to regulating the life settlement industry (*see* Insurance Law art 78), this new law prohibits “stranger-originated life insurance,” defined as

“any act, practice or arrangement, at or prior to policy issuance, to initiate or facilitate the issuance of a policy for the intended benefit of a person who, at the time of policy origination, has no insurable interest in the life of the insured under the laws of this state” (Insurance Law § 7815 [a]).

It also prohibits anyone from entering into a valid life settlement contract for two years following the issuance of a policy, with some exceptions (*see* Insurance Law § 7813 [j] [1]). Because these provisions did not go into effect until May 18, 2010, they do not govern this appeal.

in section 3205 (b) (2), despite the fact that section 3205 (b) (1) contains no such requirement. They make three basic arguments: (1) that a policy obtained with the intent to assign it to a party lacking an insurable interest violates section 3205 (b) (2); (2) that this scenario is precluded by a common-law rule that an insured could only assign a policy to one without an insurable interest if the policy was obtained “in good faith” compliance with the insurable interest rule, not as a means of circumventing it; and (3) that one who obtains insurance on one’s own life in accordance with a prior arrangement with a third party, as alleged here, does not act “on his own initiative” within the meaning of the statute. In response, Lifemark, Life Products, Berck, Lockwood, and Lockwood Pension argue that the language of section 3205 (b) (1) confers great freedom on an insured in assigning life insurance benefits, including the freedom to obtain insurance for any reason and to immediately assign a policy to an investor with no insurable interest, and that this freedom cannot be reconciled with any older common-law “good faith” limitation.

The “starting point” for discerning statutory meaning is, of course, the language of the statute itself (*see Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009]). “[W]here the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223, 229 [2009] [internal quotation marks omitted]).

Here, section 3205 (b) (1) clearly provides that, so long as the insured is “of lawful age” and acts “on his own initiative,” he can “procure or effect a contract of insurance upon his own person for the benefit of any person, firm, association or corporation.” This language is unambiguous and not limited by the statutory text. It thus codifies the common-law rule that an insured has total discretion in naming a policy beneficiary (*see Olmsted v Keyes*, 85 NY 593 [1881]). Our lower courts have long held that, under section 3205 (b), “[w]here the deceased effects the insurance upon her own life, it is well-established law that she can designate any beneficiary she desires without regard to relationship or consanguinity” (*Corder v Prudential Ins. Co.*, 42 Misc 2d 423, 424 [Sup Ct, Erie County 1964]; *see also Gibson v Travelers Ins. Co.*, 183 Misc 678 [Sup Ct, NY County 1944]).

It is equally plain that a contract “so procured or effectuated” may be “immediate[ly] transfer[red] or assign[ed]” (Insurance Law § 3205 [b] [1]). The provision does not require the

assignee to have an insurable interest and, given the insured's power to name any beneficiary, such restriction on assignment would serve no purpose. This freedom of assignment is not limited by section 3205 (b) (2), which addresses procurement of an insurance policy on another's life, either "directly or by assignment," because section 3205 (b) (2) requires an insurable interest only "at the time when such contract is made," that is, when such insurance is initially procured. The statute therefore incorporates the common-law rule that a policy valid at the time of procurement may be assigned to one without an insurable interest in the insured's life and, relatedly, no insurable interest is required when one holds a policy on another's life, so long as the policy was "valid in its inception" (*Olmsted*, 85 NY at 598). As one appellate court has summarized, "Insurance Law § 3205 (b) (1) permits any person of lawful age who has procured a contract of insurance upon his or her own life to immediately transfer or assign the contract, and does not require the assignee to have an insurable interest" (*Hota v Camaj*, 299 AD2d 453, 453 [2d Dept 2002]).

There is simply no support in the statute for plaintiff and the insurers' argument that a policy obtained by the insured with the intent of immediate assignment to a stranger is invalid. The statutory text contains no intent requirement; it does not attempt to prescribe the insured's motivations. To the contrary, it explicitly allows for "immediate transfer or assignment" (Insurance Law § 3205 [b] [1]). This phrase evidently anticipates that an insured might obtain a policy with the intent of assigning it, since one who "immediately" assigns a policy likely intends to assign it at the time of procurement.

The statutory mandate that a policy must be obtained on an insured's "own initiative" requires that the decision to obtain life insurance be knowing, voluntary, and actually initiated by the insured. In common parlance, to act on "one's own initiative" means to act "at one's own discretion: independently of outside influence or control" (Merriam-Webster's Collegiate Dictionary 602 [10th ed 1996]). The key point is that the policy must be obtained at the insured's discretion. As the dissent acknowledges, common sense dictates that some outside influence is acceptable—advice from a broker or pension planner, for example. The notion of obtaining insurance and the details of the insurance contract need not spring exclusively from the mind of the insured. Rather, the insured's decision must be free from nefarious influence or coercion.

Contrary to the dissent's view, the initiative requirement, without more, does not prohibit an insured from obtaining a policy pursuant to a noncoercive arrangement with an investor (*see* dissenting op at 558). Under the dissent's interpretation, a sophisticated party who approaches an investor about such an arrangement, drafts necessary documents, procures insurance on his own life, and assigns it for compensation is not acting "on his own initiative." The language of the statute simply does not support such a reading.

Further, the insurable interest requirement of section 3205 (b) (2) does not alter our reading of section 3205 (b) (1) because it does not apply when an insured freely obtains insurance on his own life. Rather, it requires that when a person "procure[s] or cause[s] to be procured, directly or by assignment or otherwise," an insurance policy on another's life, the policy benefits must run, "at the time when such contract is made," to the insured or one with an insurable interest in the insured's life (Insurance Law § 3205 [b] [2]). Where an insured, "on his own initiative," obtains insurance on his or her own life, the validity of the policy at its inception is instead governed by section 3205 (b) (1).

Our reading of the statutory language is buttressed by the legislative history of section 3205 (b). A forerunner to the current provision appeared in the 1939 recodification of the Insurance Law as a single paragraph (L 1939, ch 882, adding Insurance Law, art VII, § 146 [1]),⁶ and a 1984 recodification broke that single paragraph into the two provisions we have today. The sentence "[n]othing herein shall be deemed to prohibit the immediate transfer or assignment of a contract so procured or effectuated," however, was not added until 1991. It was prompted by a United States Internal Revenue Service private letter ruling suggesting that if a person obtained an insurance policy with the intent of transferring it to a charitable organiza-

6. The 1939 statute read:

"Any person of lawful age may on his own initiative procure or effect a contract of insurance upon his own person for the benefit of any person, firm, association or corporation, but no person shall procure or cause to be procured, directly or by assignment or otherwise any contract of insurance upon the person of another unless the benefits under such contract are payable to the person insured or . . . to a person having, at the time when such contract is made, an insurable interest in the person insured" (L 1939, ch 882, adding Insurance Law § 146 [1]).

tion lacking an insurable interest in his life, the transaction would violate section 3205 (b) (2) (*see* Mem of Assemblyman Lasher, Bill Jacket, L 1991, ch 334, at 6, reprinted in 1991 NY Legis Ann, at 179; IRS Private Letter Ruling [PLR] 9110016 [Mar. 8, 1991]). The legislative aim was to “correct [this] erroneous interpretation” (Mem of Assemblyman Lasher, Bill Jacket, L 1991, ch 334, at 6). Thus, it not only added, in terms not limited to charitable organizations, that a policy may be “immediate[ly] transfer[red] or assign[ed]” (Insurance Law § 3205 [b] [1]), but it did so to clarify the legislative understanding that a policy might be assigned regardless of the insured’s intent in procuring it.

In light of the overwhelming textual and historical evidence that the Legislature intended to allow the immediate assignment of a policy by an insured to one lacking an insurable interest, we are not persuaded by plaintiff and the insurers’ argument that section 3205 (b) is limited by the common-law requirement that an insured cannot obtain a life insurance policy with the intent of circumventing the insurable interest rule by immediately assigning it to a third party (*see Steinback v Diepenbrock*, 158 NY 24, 30-31 [1899]). To the extent that there is any conflict, the common law has been modified by unambiguous statutory language. We note further that if our Legislature had intended to impose such a limitation, it could easily have done so. The Legislature has been very active in this area, most recently in its redrafting of article 78 of the Insurance Law.

Finally, we recognize the importance of the insurable interest doctrine in differentiating between insurance policies and mere wagers (*see Caruso*, 73 NY2d at 77-78), and that there is some tension between the law’s distaste for wager policies and its sanctioning an insured’s procurement of a policy on his or her own life for the purpose of selling it. It is not our role, however, to engraft an intent or good faith requirement onto a statute that so manifestly permits an insured to immediately and freely assign such a policy.

Accordingly, the certified question should be answered in the negative.

SMITH, J. (dissenting). I would answer the certified question with a qualified yes: My view of New York law is that where, as in this case, an insured purchases a policy on his own life for no other purpose than to facilitate a wager by someone with no insurable interest, the transaction is unlawful.

I

“Stranger-originated life insurance” is a new name for an old idea. Transactions not basically different from the one before us have been known, and condemned, by courts for more than a hundred years.

In 1872, a young man named Henry Crosser took out a policy on his own life. On the same day, Crosser entered a contract with something called the Scioto Trust Association, in which Crosser agreed to assign the policy to Scioto, and Scioto agreed to pay the premiums on it. It was agreed that at Crosser’s death, Scioto would get 90% of the insurance proceeds. When Crosser died the following year, his administrator sued Scioto, claiming all the proceeds, and the United States Supreme Court, applying pre-*Erie* federal common law (see *Erie R. Co. v Tompkins*, 304 US 64 [1938]), held the Crosser-Scioto contract invalid. The Court said that what it called “wager policies” were “independently of any statute on the subject, condemned, as being against public policy” (*Warnock v Davis*, 104 US 775, 779 [1882]).

Warnock also stated a broader rule: “The assignment of a policy to a party not having an insurable interest is as objectionable as the taking out of a policy in his name” (104 US at 779). That rule was too broad. New York, as the *Warnock* court recognized, had already rejected it (see *id.* at 781-782, citing *Saint John v American Mut. Life Ins. Co.*, 13 NY 31 [1855]), and a few decades later the United States Supreme Court rejected it also (*Grigsby v Russell*, 222 US 149 [1911]). In *Grigsby*, Justice Holmes explained that a contract taken out by a third party with no insurable interest in the insured’s life is generally more problematic than an assignment by the insured to such a person:

“A contract of insurance upon a life in which the insured has no interest is a pure wager that gives the insured a sinister counter interest in having the life come to an end. . . .

“But when the question arises upon an assignment, it is assumed that the objection to the insurance as a wager is out of the case. . . . The danger that might arise from a general license to all to insure whom they like does not exist. Obviously it is a very different thing from granting such a general license,

to allow the holder of a valid insurance upon his own life to transfer it to one whom he, the party most concerned, is not afraid to trust” (222 US at 154-155).

Grigsby thus established the general rule, consistent with the New York common law of that day and with our current statutory law (Insurance Law § 3205 [b]), that while a third party without an insurable interest may not purchase a life insurance policy, an insured may do so and assign it to the third party, whether the third party has an insurable interest or not. That is the rule the majority applies here.

But this rule of free assignability has always had an exception—an exception for cases like *Warnock*, and like this case, where the insured, at the moment he acquires the policy, is in substance acting for a third party who wants to bet on the insured’s death. Justice Holmes explained the exception in *Grigsby*, and thus distinguished *Warnock*, but did not overrule its narrow holding:

“[C]ases in which a person having an interest lends himself to one without any, as a cloak to what is, in its inception, a wager, have no similarity to those where an honest contract is sold in good faith . . .

“[*Warnock v Davis*] was one of the type just referred to, the policy having been taken out for the purpose of allowing a stranger association to pay the premiums and receive the greater part of the benefit, and having been assigned to it at once.” (222 US at 156.)

There are good reasons why the common law, as reflected in both *Warnock* and *Grigsby*, invalidated stranger-originated life insurance. Even if we ignore the possibility that the owner of the policy will be tempted to murder the insured, this kind of “insurance” has nothing to be said for it. It exists only to enable a bettor with superior knowledge of the insured’s health to pick an insurance company’s pocket.

In a sense, of course, all insurance is a bet, but for most of us who buy life insurance it is a bet we are happy to lose. We recognize that the insurance company is more likely than not to make a profit on the policy, receiving more in premiums than it will ever pay out in proceeds, and that is the result we hope for; we pay the premiums in order to protect against the risk that we will die sooner than expected. But stranger-originated life insurance does not protect against a risk; it does not make sense

for the purchaser if it is expected to be profitable for the insurance company. The only reason to buy such a policy is a belief that the insured's life expectancy is less than what the insurance company thinks it is. Thus, we may be confident that the Scioto Trust Association, which acquired a policy on the life of 27-year-old Henry Crosser, was not surprised when Crosser died before he was 30. And we may be equally confident that the purchasers in this case thought, probably with good reason, that they knew something about Arthur Kramer's health that the insurance companies did not know.

When *Grigsby* was decided, New York common law had anticipated the federal common law, adopting not only the rule of *Grigsby*—that life insurance policies are, in general, freely assignable—but also the exception recognized in *Grigsby*—that the assignment cannot be used as a “cloak to what is, in its inception, a wager.” In *Steinback v Diepenbrock* (158 NY 24, 31 [1899]), answering an objection to the rule of free assignability, we observed:

“[I]t is said that if the payee of a policy be allowed to assign it, a safe and convenient method is provided by which a wagering contract can be safely made. The insured, instead of taking out a policy payable to a person having no insurable interest in his life, can take it out to himself and at once assign it to such person. But such an attempt would not prove successful, for a policy issued and assigned, under such circumstances, would be none the less a wagering policy because of the form of it. The intention of the parties procuring the policy would determine its character, which the courts would unhesitatingly declare in accordance with the facts, reading the policy and the assignment together, as forming part of one transaction.”

Under New York common law, therefore, the purchasers of stranger-originated life insurance could not prevail in a case like this: the law would look through the form of the transaction, and “[t]he intention of the parties procuring the policy would determine its character.” It hardly seems open to doubt, on the facts before us, that the intention of the purchasers here was to bet on Arthur Kramer's death, and that Kramer's intention was to be compensated for helping them do so.

II

The majority holds, in effect, that Insurance Law § 3205 (b) has displaced the common law, and eliminated the exception recognized in *Grigsby* and *Steinback* to the rule of free assignability. I think this is an incorrect reading of the statute. I see no reason to believe the Legislature ever intended to abolish the anti-wagering rule.

While statutes relating to the insurable interest requirement in New York date at least to 1892 (L 1892, ch 690, adding Insurance Law § 55), it is enough for present purposes to go back to 1984, when Insurance Law § 3205 (very similar to a predecessor statute, Insurance Law § 146) was enacted, containing the following language:

“(b) (1) Any person of lawful age may on his own initiative procure or effect a contract of insurance upon his own person for the benefit of any person, firm, association or corporation.

“(2) No person shall procure or cause to be procured, directly or by assignment or otherwise any contract of insurance upon the person of another unless the benefits under such contract are payable to the person insured or his personal representatives, or to a person having, at the time when such contract is made, an insurable interest in the person insured.”

Thus the 1984 version of the statute protected the insured’s right to buy a policy and name any beneficiary he or she liked, but otherwise prohibited life insurance where the beneficiary had no insurable interest. It did not specifically address the question of an assignment by the insured to a person lacking an insurable interest; it did not restate the long-standing common-law rule that, in general, life insurance contracts were freely assignable, even to such assignees.

This omission became a problem in 1991, when the United States Internal Revenue Service ruled that a plan to procure a policy on one’s life with the intent to transfer the policy immediately to a charity would violate section 3205 (b) (2), so that any such assignment could not be treated as a charitable gift for tax purposes (*see* IRS Private Letter Ruling [PLR] 9110016 [Mar. 8, 1991]). The Legislature acted promptly to correct this “erroneous interpretation” of the New York Insurance Law (Mem of Assemblyman Lasher in Support of NY Assembly Bill A8586, Bill Jacket, L 1991, ch 334, at 6, reprinted in 1991 NY

Legis Ann, at 179). It added a second sentence to Insurance Law § 3205 (b) (1), so that that paragraph now reads:

“Any person of lawful age may on his own initiative procure or effect a contract of insurance upon his own person for the benefit of any person, firm, association or corporation. Nothing herein shall be deemed to prohibit the immediate transfer or assignment of a contract so procured or effectuated.”

The 1991 amendment gave statutory form to the long-established New York rule that life insurance contracts may be freely assigned, even to someone without an insurable interest. But there was also, as I have explained, a long-established exception to the rule: Assignability could not be used to cloak a third-party wagering transaction. I see no reason to think that the Legislature, in codifying the general rule, meant to abolish the exception. The majority opinion offers neither any reason for the Legislature to consider abolishing it, nor any evidence that the Legislature thought it was doing so. Indeed, nothing in the history of the statute suggests that the Legislature intended to alter the common law of insurable interest in any way: the sponsor’s memorandum says its purpose was to “restate and clarify” it (*id.*).

As I read the 1991 amendment, it codified not only the free assignability rule, but also the anti-wagering exception to it—although I admit it could have expressed the exception much more clearly. The new second sentence of Insurance Law § 3205 (b) (1) refers, in the words “so procured or effectuated,” to the words of the first sentence, which says that a person “may on his own initiative procure or effect a contract of insurance.” “On his own initiative” is a rather mysterious phrase, which can hardly be taken literally. Life insurance does not become invalid because its purchase was initiated (in the sense of being proposed or suggested) by the insured’s spouse or an insurance agent. Rather, I see in the words “on his own initiative” an echo of the rule recognized in *Steinback* and *Grigsby*—that an insured may not, in procuring a policy, act as an agent for a third-party gambler without an insurable interest. So read, Insurance Law § 3205 (b) (1) is completely consistent with the preexisting common law of New York, and with the wise public policy underlying the common law.

The majority today rejects this analysis, and holds in substance that Insurance Law § 3205 (b) enacts the general rule

of free assignability, while abolishing the “cloak for a wager” exception. For the reasons I have explained, I think this holding is unnecessary and unfortunate. I agree with the majority that there may be cases where a policy can be valid, even though the insured bought the policy intending to assign it to someone (perhaps a charity, or the insured’s domestic partner) without an insurable interest in the insured’s life. Thus, I would not answer with an unqualified yes the Second Circuit’s question whether an insured must have intended to “provide insurance protection for a person with an insurable interest.” But I think the answer should be yes when the question is limited to a case, like this one, in which the parties attempted the kind of wagering transaction forbidden by the common law.

The majority’s negative answer to the Second Circuit’s question, though I think it is wrong, may be of limited importance. Any harm done may have already been repaired by the 2009 enactment of a statutory prohibition on stranger-originated life insurance (*see* majority *op* at 549 n 5). The new statute may create its own problems; insurable interest rules, as our opinions in this case surely demonstrate, are tricky to handle. But I view the new statute as an attempt to implement what I think has always been the public policy of New York to condemn wagers on the early death of an insured.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion in which Judge PIGOTT concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[940 NE2d 899, 915 NYS2d 194]

In the Matter of NEW YORK STATE UNITED TEACHERS, Respondent, v BRIGHTER CHOICE CHARTER SCHOOL et al., Appellants.

Argued October 13, 2010; decided November 18, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 30, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Roger D. McDonough, J.), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, which had (1) granted the petition to the extent of adjudging that petitioner was entitled, pursuant to the Freedom of Information Law (FOIL), to disclosure of payroll records and directory records including the names, titles and salary of teachers, instructors and faculty employed by the respondent charter schools, and (2) directed respondents to comply with petitioner's FOIL requests that were the subject of this proceeding/action to the extent of disclosing the full name, title and salary of any teachers, instructors or faculty employed by the respondent charter schools.

Matter of New York State United Teachers v Brighter Choice Charter School, 64 AD3d 1130, reversed.

HEADNOTE

Records — Freedom of Information Law — Privacy Exemption — Names of Charter School Teachers

Respondent charter schools were not required to disclose the full names of their teachers in response to requests submitted by petitioner employee organization under the Freedom of Information Law (FOIL) since the records fell within FOIL's personal privacy exemption. Charter schools are subject to FOIL which requires maintenance of "a record setting forth the name, public office address, title and salary of every officer or employee" (Public Officers Law § 87 [3] [b]). However under Public Officers Law § 89 (2), an entity subject to FOIL may deny access to records that "if disclosed would constitute an unwarranted invasion of personal privacy" (Public Officers Law § 87 [2] [b]), which includes the "sale or release of lists of names and addresses if such lists would be used for commercial or fund-raising purposes" (Public Officers Law § 89 [2] [b] [iii]). Giving the term "fund-raising" its natural and most obvious meaning, it was evident that petitioner's intent in requesting the teacher names was to expand its membership and, by extension, obtain membership dues. In addition, ordering disclosure of the names would not have furthered the policies of FOIL where there was no indication that petitioner intended to use the names to serve a governmental purpose. Al-

though petitioner was seeking personal information about public citizens, FOIL's personal privacy exemption is blind to the distinction between the privacy of public employees and private citizens. Rather, it is the purpose for which the information was sought that drives the analysis. Merely because charter schools are required to afford employee organizations access to school employees under the Education Law, and required to maintain certain employee records under Public Officers Law § 87 (3) (b), does not mean that they must disclose records which fall within a denoted FOIL exemption. Nor did petitioner demonstrate its entitlement to disclosure because it dropped its request for both names and addresses and sought only names.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 229–231, 242, 244, 252, 253, 258.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:634.

McKINNEY's, Public Officers Law § 87 (2) (b); (3) (b); § 89 (2) (b) (iii).

NY JUR 2d, Records and Recording §§ 38, 40–42, 51, 59, 62.

ANNOTATION REFERENCE

What constitutes personal matter exempt from disclosure by invasion of privacy exemption under state freedom of information act. 26 ALR4th 666.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foil /p charter /2 school & privacy /s exempt!

POINTS OF COUNSEL

Bond, Schoeneck & King, PLLC, Albany (*Nicholas J. D'Ambrosio, Jr.*, and *Joanmarie M. Dowling* of counsel), for appellants. I. The commercial or fund-raising purposes exception applies to public and charter school employees. (*Matter of New York State Rifle & Pistol Assn., Inc. v Kelly*, 55 AD3d 222; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294.) II. An unwarranted invasion of personal privacy exists when the requester seeks information that can be used to obtain names and addresses for commercial or fund-raising purposes. (*Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of New York State Rifle & Pistol Assn., Inc. v Kelly*, 55 AD3d 222; *Matter of Siegel*,

Fenchel & Peddy v Central Pine Barrens Joint Planning & Policy Commn., 251 AD2d 670; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Property Tax Reduction Consultants, Inc. v Township of Islip*, 21 AD3d 376; *Matter of Comps, Inc. v Town of Huntington*, 269 AD2d 446.)

Marilyn Raskin-Ortiz, Latham, and *James R. Sandner* for respondent. I. Public Officers Law § 89 (2) (b) does not apply where compliance with the Freedom of Information Law request would not disclose information about the personal activities of persons in their private lives. (*Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of New York State Rifle & Pistol Assn., Inc. v Kelly*, 55 AD3d 222; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Goodstein v Shaw*, 119 Misc 2d 400; *Kwasnik v City of New York*, 262 AD2d 171.) II. Appellants have failed to establish that New York State United Teachers' Freedom of Information Law request for the names of their employees falls squarely within the ambit of the fund-raising exemption of Public Officers Law § 89 (2) (b) (iii). (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Empire Realty Corp. v New York State Div. of Lottery*, 230 AD2d 270; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.*, 71 AD2d 250; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *Direen Operating Corp. v State Tax Commn.*, 46 AD2d 191.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner New York State United Teachers (NYSUT) submitted requests under the Freedom of Information Law (FOIL) to the six respondent Charter Schools¹ seeking, among other things, payroll records showing the full names, titles, corresponding salaries, and home addresses of all persons employed as teachers, instructors and faculty (collectively referred to

1. Those charter schools are Brighter Choice, Henry Johnson, KIPP: Tech Valley, Albany Community, Albany Preparatory and Achievement Academy. None of the Charters Schools' teachers are members of a labor union.

hereafter as teachers). The Charter Schools partially denied the request, stating that full compliance would constitute an unwarranted invasion of personal privacy under Public Officers Law § 89 (2) (b).²

After its unsuccessful administrative appeals, NYSUT commenced these now-consolidated hybrid CPLR article 78/declaratory judgment actions against the Charter Schools and their administrative officials seeking the teachers' names, titles and salaries, claiming that non-disclosure of such information was arbitrary, capricious and in violation of law. As relevant to this appeal, the Charter Schools asserted in their answers that they withheld portions of the requested information based on the commercial and fund-raising exemption of Public Officers Law § 89 (2) (b) (iii).

The parties agreed that the only remaining issue before Supreme Court was disclosure of the teachers' full names, the Charter Schools having agreed to provide the title and salary information. Supreme Court ordered the Charter Schools to disclose the names of their teachers and the Appellate Division unanimously affirmed, noting that although the Charter Schools submitted proof from which it could be inferred that NYSUT's intent was to solicit members, the Charter Schools were required to disclose the names for two reasons, first, because NYSUT dropped its request for home address information, and second, because the Charter Schools were required to keep basic employee information pursuant to Public Officers Law § 87 (3) (b) (64 AD3d 1130, 1131-1132 [3d Dept 2009]). We now reverse.

Charter schools are clearly subject to FOIL (*see* Education Law § 2854 [1] [e]), meaning that they must maintain "a record setting forth the name, public office address, title and salary of every officer or employee" (Public Officers Law § 87 [3] [b]). There is a presumption that such records must be made "available for public inspection and copying" (Public Officers Law § 87 [2]). There is an exception, however. Under Public Officers Law § 89 (2), an entity subject to FOIL may deny access to records that "if disclosed would constitute an unwarranted

2. The dissent erroneously relies on *Matter of West Harlem Bus. Group v Empire State Dev. Corp.* (13 NY3d 882 [2009]) in claiming that the Charter Schools did not articulate a particularized and specific justification for denying NYSUT access to the names (dissenting op at 568-569). Although, in a statement that can be considered only dicta, this Court in *West Harlem* criticized the records access officer for not complying with that standard, the Court upheld disclosure of the documents on a different ground (*see* 13 NY3d at 885).

invasion of personal privacy” (Public Officers Law § 87 [2] [b]), which, as relevant here, includes the “sale or release of lists of names and addresses if such lists would be used for commercial^[3] or fund-raising purposes” (Public Officers Law § 89 [2] [b] [iii]).

In *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.* (73 NY2d 92 [1989]), an organization requested the names and addresses of rifle and shotgun permit holders so it could mail them circulars describing its organization, its pursuits and the services it performed on behalf of its members, along with information concerning the organization’s annual membership dues (*see id.* at 96). The organization did not dispute that its main reason for conducting the mailings was to obtain membership dues to support its activities, meaning that the purpose of the mailings was to raise funds. We rejected the organization’s assertion that solicitation of funds to support an organization was distinctly different from a direct solicitation of contributions, noting that

“[i]t is the purpose of the solicitation which matters, not what it is called, the manner or form in which it is presented to the solicitees, or the incidental benefits available to those who make a payment . . . If . . . dues received are intended to support the general activities of the organization and to further its over-all objectives, the solicitation activity is ‘fund-raising’ ” (*id.* at 96-97).

Giving the term “fund-raising” its “natural and most obvious meaning” (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 251 [1987]), it is evident that NYSUT’s intent in requesting the teacher names is to expand its membership and, by extension, obtain membership dues. Counsel for NYSUT conceded as much during oral argument before Supreme Court.

We further note that ordering disclosure of the names would do nothing to further the policies of FOIL, which are to assist the public in formulating “intelligent, informed choices with respect to both the direction and scope of governmental activities” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). If anything, “it is precisely *because* no governmental purpose is

3. This is the wording of the exemption at the time NYSUT made its FOIL requests. However, by the time the parties argued before Supreme Court, a statutory amendment had gone into effect and the word “commercial” had been replaced by the word “solicitation” (*see* L 2008, ch 223, § 4 [eff Aug. 6, 2008]). The parties do not contend that the amended language controls.

served by public disclosure” of this information that section 87 (2) (b)’s privacy exemption falls squarely within FOIL’s statutory scheme (*Matter of Federation of N.Y. State Rifle & Pistol Clubs*, 73 NY2d at 97). There is no indication that NYSUT intends to use the names to, for example, expose governmental abuses or evaluate governmental activities. It appears, instead, that NYSUT seeks the teachers’ names as a convenient mechanism for contacting prospective members. Although NYSUT certainly possesses a right to seek dues-paying members, it may not rely on FOIL to achieve that end.

The dissent notes the difference between *Federation* and this case, pointing out that the organization in *Federation* sought personal information about private citizens—as opposed to personal information about public citizens. But the exemption is blind to the distinction between the privacy of public employees and private citizens. Rather, it is the purpose for which the information is sought that drives the analysis.

The dissent’s reliance on Education Law § 2854 (3) (c-1) (i)⁴ is similarly misplaced (dissenting op at 568); the issue before us is whether the Charter Schools must disclose the teachers’ names pursuant to FOIL, not whether the Charter Schools are denying NYSUT access to school employees. Merely because charter schools must afford employee organizations access under the Education Law, it does not follow that the employee organizations may circumvent the FOIL exemptions in achieving those ends. Nor, as the dissent suggests, does Public Officers Law § 89 (7) mandate presumptive disclosure of employee records (dissenting op at 569); that provision permits disclosure of *names* if “otherwise available under [FOIL].”

Contrary to the holding of the Appellate Division, the fact that the Charter Schools must comply with the mandates of section 87 (3) (b) does not imply that they must, ipso facto, disclose that information without first considering whether it falls within a denoted exemption; FOIL clearly states that an agency must make records (or portions thereof) available for public inspection and copying unless the disclosure would constitute an unwarranted invasion of personal privacy under section 89 (2) (*see* Public Officers Law § 87 [2]). Simply because the record

4. Education Law § 2854 (3) (c-1) (i) states: “If employees of the charter school are not represented, any charter school chartered pursuant to this article [article 56: ‘Charter Schools’] must afford reasonable access to any employee organization during the reasonable proximate period before any representation question is raised.”

is required to be *maintained* under section 87 (3) (b) does not mean that it must be *disclosed*, particularly in circumstances where an exemption applies.

Nor is there merit to NYSUT's contention that it is entitled to the teachers' names because it dropped its request for "names *and* addresses" and seeks only the names. Section 89 (2) (b) (iii) would have little meaning if entities could circumvent the fund-raising exemption by gaining access to only the names and then linking them to a home address. The policy concerns underlying the personal privacy exemption are no less implicated under that scenario.

Accordingly, the order of the Appellate Division should be reversed, with costs, and that part of the petition seeking disclosure of the names of the teachers employed by the Charter Schools should be denied.

CIPARICK, J. (dissenting). Because I believe the information requested by New York State United Teachers (NYSUT) was required to be disclosed by the Freedom of Information Law (FOIL), I respectfully dissent.

When it enacted the Charter Schools Act in 1998, the Legislature specifically subjected charter schools to FOIL (*see* Education Law § 2854 [1] [e] ["charter school(s) shall be subject to the provisions of articles six (FOIL) and seven (Open Meetings Law) of the public officers law"]). Thus, for FOIL purposes, a charter school is equivalent to any public agency or public school.

FOIL "provides the public with broad access to the records of government" (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007] [internal quotation marks and citation omitted]). An agency must make available for public inspection and copying all records unless the agency can establish that a particular request falls squarely within one of FOIL's specifically enumerated categories of materials exempted from disclosure (*see id.*; *see also Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294, 296-297 [1985]). Although FOIL generally does not require that an agency subject thereto create records other than those generated in the normal course of agency business (Public Officers Law § 87 [3]), it does require that each agency maintain "a record setting forth the name, public office address, title and salary of every officer or employee of the agency" (Public Officers Law § 87 [3] [b]).

To effectuate FOIL's overriding policy—which is that “the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]; see also Public Officers Law § 84)—the enumerated list of records exempt from FOIL disclosure is interpreted narrowly (see *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690, 697 [1993]). Moreover, the burden for establishing the applicability of an exemption rests on the agency, which must “articulat[e] a particularized and specific justification for denying access” to the requested documents (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]; see also *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882, 885 [2009]).

As relevant here, FOIL exempts from disclosure “records or portions thereof that . . . if disclosed would constitute an unwarranted invasion of personal privacy under the provisions of subdivision two of section eighty-nine of this article” (Public Officers Law § 87 [2] [b]). Section 89 states that “[a]n unwarranted invasion of personal privacy includes” the “sale or release of lists of names and addresses if such lists would be used for commercial¹ or fund-raising purposes” (Public Officers Law § 89 [2] [b] [iii]).

The majority, relying on *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.* (73 NY2d 92 [1989]), concludes that “NYSUT’s intent in requesting the teacher names [was] to expand its membership and, by extension, obtain membership dues” and, therefore, the release of teacher names requested by NYSUT was justifiably denied as an unwarranted invasion of personal privacy (majority op at 564). I disagree.

In the *Federation* case, as the majority explains, an organization sought the names and addresses of citizens holding rifle and shotgun permits (see 73 NY2d at 94). The purpose of the request was to send those permit holders information on the organization, including information about the organization’s annual membership rates (see *id.* at 96). Because the organization did not dispute that the purpose of its mailings was to solicit new members and thereby receive funding, we concluded that

* As the majority notes, the statute has been amended to replace “commercial” with “solicitation”; the older version of the statute is at issue here (see majority op at 564 n 3).

the FOIL request for permit holders' names and addresses was properly denied under the fund-raising exemption (*see id.* at 96-97). Specifically, we observed that "direct-mail membership solicitation [as] proposed [by the Federation] would constitute 'fund-raising' if that term is given its natural and most obvious meaning" (*id.* at 96).

However, we also noted in the *Federation* case: "It is precisely *because* no governmental purpose is served by public disclosure of certain *personal information about private citizens* that the privacy exemption of section 87 (2) (b) fits comfortably within FOIL's statutory scheme" (*id.* at 97 [some emphasis added]). Two important points follow from this statement, which distinguish *Federation* from this case. First, here, the public disclosure of personal information is not about private citizens, but about public employees—employees for whom charter schools are specifically required by FOIL to maintain certain information (*see* Public Officers Law § 87 [3] [b]; *see also* Education Law § 2854 [1] [e]).

Second, there is unquestionably a public purpose served by permitting NYSUT to obtain the names of charter school teachers: there is a strong public policy, embodied in the Taylor Law (Civil Service Law art 14), in favor of organization and collective bargaining by public employees (*see also* NY Const, art I, § 17 ["Employees shall have the right to organize and to bargain collectively through representatives of their own choosing"]). Rather than negating that public policy in the creation of charter schools, the Legislature reinforced it (*see* Education Law § 2854 [3] [c-1] [i] ["If employees of the charter school are not represented, any charter school chartered pursuant to this article must afford *reasonable access* to any employee organization during the reasonable proximate period before any representation question is raised" (emphasis added)]; *see also* Education Law § 2854 [3] [c-2] [subjecting charter schools to the employer neutrality provisions of the Civil Service Law]). For these reasons, *Federation* is distinguishable from this case and the majority's reliance on it is misplaced.

Additionally, the charter schools failed to carry their burden to "articulat[e] a particularized and specific justification for denying access" to the requested documents (*Matter of Capital Newspapers*, 67 NY2d at 566; *West Harlem*, 13 NY3d at 885; *see also Data Tree*, 9 NY3d at 462-463). In *West Harlem*, the records access officer for the Empire State Development Corporation (ESDC) relied on the statutory language of Public Officers

Law § 87 (2) (c) as the basis for denying the West Harlem Business Group's (WHBG) request for certain records, and ESDC's appeals officer "merely parroted the same language" in a letter denying the appeal (13 NY3d at 884). We concluded that this, without more, constituted a failure by ESDC to "fully explain in writing" to WHBG the reasons for further denial as required by FOIL (*id.* at 885, quoting Public Officers Law § 89 [4] [a]). We ultimately held that ESDC had "failed to meet its burden of proof relative to the exemptions" it sought to invoke to deny disclosure, thereby justifying Supreme Court's decision to order the documents released (*id.* at 886). Here, as in *West Harlem*, the charter schools initially denied NYSUT's request by invoking the statutory language of Public Officers Law § 89 (2) (b), stating that the disclosure of the information sought "would constitute an unwarranted invasion of personal privacy." Each of the schools used identical language in denying the initial FOIL request. Moreover, the record reflects that, to the extent the charter schools responded to NYSUT's appeal of the initial denials, they "merely parroted the same language" in their response. The charter schools first invoked the specific exemption for fund-raising during the course of this CPLR article 78 proceeding, in response to NYSUT's petition. It is unclear why the majority excuses this failure by the charter schools when we did not excuse the failure of ESDC in *West Harlem* on virtually identical facts.

In short, the majority's reliance on *Federation* is misplaced and, in any event, the charter schools' failure to articulate a specific reason for the denial of NYSUT's request constituted a sufficient basis for the courts below to conclude that the requested information was not exempt under the personal privacy/fund-raising exemption. Aside from ignoring that the charter schools failed to meet their burden of justifying their decision to withhold information, the majority has, in effect, created a rule that unions and other organizations that rely on membership dues can never obtain the names of public employees, because such organizations may, at some future time, seek dues-paying members. This is particularly troublesome in a case, such as this, where a union, which should be afforded "reasonable access" to public employee records (Education Law § 2854 [3] [c-1] [i]; Public Officers Law § 89 [7]), is denied such access under the guise of the fund-raising exemption. For these reasons, I respectfully dissent.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT;
Judge CIPARICK dissents in a separate opinion in which Chief
Judge LIPPMAN and Judge JONES concur.

Order reversed, etc.

[940 NE2d 905, 915 NYS2d 200]

In the Matter of VIOLA DICKINSON, Appellant, v RICHARD F.
DAINES, M.D., Commissioner, New York State Department
of Health, et al., Respondents.

Argued October 21, 2010; decided November 23, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment (denominated order and judgment) of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), entered in a proceeding pursuant to CPLR article 78, which had (a) granted the petition to annul an amended decision after fair hearing of respondent Commissioner of Health dated April 4, 2008 denying petitioner's application for Medicaid coverage, (b) reinstated the December 21, 2007 decision after fair hearing determining petitioner was eligible for Medicaid benefits, and (c) directed the Onondaga County Department of Social Services to comply with the December 21, 2007 decision after fair hearing; and (2) dismissed the petition.

Matter of Dickinson v Daines, 68 AD3d 1646, affirmed.

HEADNOTE

Social Services — Medical Assistance — Violation of Regulatory Deadline for Rendering Decision after Fair Hearing Does Not Nullify Decision

Respondent Commissioner of Health's failure to review a fair hearing decision favorable to petitioner within the time limits imposed by 18 NYCRR 358-6.4 (a), which provides that "definitive and final administrative action" must be taken within 90 days from the request for a fair hearing, did not warrant nullifying the Commissioner's amended decision upholding the County Department of Social Services' initial denial of Medicaid benefits to petitioner. The deadline in 18 NYCRR 358-6.4 (a) is not a requirement imposed by statute; the unqualified 90-day limit in the regulation is one that the Department of Health imposes on itself. It would be unusual, if not impossible, for an administrative agency to deprive itself of power that the Legislature conferred upon it. Although violation of the time limit does not render invalid the action taken by the Commissioner, that does not mean that a violation has no consequences. The time limit may be enforced by a lawsuit to compel the issuance of a decision and the federal government may cut off the State's Medicaid funds if the state program is not administered in accordance with federal requirements. Finally, a petitioner may obtain relief even under a merely directory procedural requirement if substantial prejudice is shown. Here, however, petitioner did not show prejudice where she was not, and never was, entitled to Medicaid benefits.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law § 371; AM JUR 2d, Welfare Laws §§ 34, 36, 92, 95.
McKINNEY's, Social Services Law § 22 (1).
18 NYCRR 358-6.4 (a).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 414, 421, 425, 430, 432.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Medicaid.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: medicaid /s decision /p deadline delay! & prejudic!

POINTS OF COUNSEL

Woods Oviatt Gilman LLP, Rochester (*René H. Reixach* of counsel), and *Stephen T. McMahon*, Camillus, for appellant. I. The amended decision after fair hearing should have been nullified because it was issued nearly seven months beyond the 90-day time limit for definitive and final action. (*Goldberg v Kelly*, 397 US 254; *Matter of Aliessa v Novello*, 96 NY2d 418; *Massachusetts Assn. of Older Ams. v Sharp*, 700 F2d 749; *Becker v Toia*, 439 F Supp 324; *Matter of Cisco v Lavine*, 72 Misc 2d 1009; *Nelson v Sugarman*, 361 F Supp 1132; *Matter of City of New York v Novello*, 65 AD3d 112; *Matter of Peninsula Gen. Nursing Home v Sugarman*, 57 AD2d 268, 44 NY2d 909; *Plaza Health Labs., Inc. v Perales*, 878 F2d 577; *Shifflett v Kozlowski*, 843 F Supp 133.) II. The Onondaga County Department of Social Services (DSS) should be ordered to comply with the original decision after fair hearing because the DSS Commissioner did not appeal from the order of Supreme Court to do so. (*Hecht v City of New York*, 60 NY2d 57; *Matter of Jones v Beriman*, 37 NY2d 42; *Matter of Toia v Regan*, 54 AD2d 46, 40 NY2d 837.)

Andrew M. Cuomo, Attorney General, Albany (*Victor Paladino*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for respondent. I. The 90-day time period in 18 NYCRR 358-6.4 is directory, not mandatory, and does not apply to requests for reconsideration under 18 NYCRR 358-6.6. (*Matter of King v Carey*, 57 NY2d 505; *Matter of Syquia v Board of Educ. of*

Harpursville Cent. School Dist., 80 NY2d 531; *Matter of Court Reporting Inst. v New York State Educ. Dept.*, 237 AD2d 1; *Figueroa v Market Training Inst.*, 167 AD2d 503; *Matter of Kondracke v Blue*, 277 AD2d 953; *Housing Opportunities Made Equal v Pataki*, 277 AD2d 888; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Brenner v Bruckman*, 253 App Div 607, 278 NY 503; *Matter of Zellweger v New York State Dept. of Social Servs.*, 74 NY2d 404; *Matter of Perez v New York State Dept. of Labor*, 244 AD2d 844.) II. Dismissal of the petition in favor of the Onondaga County Department of Social Services necessarily entails dismissal in favor of the local social services district. (*Hecht v City of New York*, 60 NY2d 57; *Cover v Cohen*, 61 NY2d 261; *Schiavoni v Village of Sag Harbor*, 285 AD2d 638; *Citnalta Constr. Corp. v Caristo Assoc. Elec. Contrs.*, 244 AD2d 252; *Matter of Jones v Berman*, 37 NY2d 42; *Matter of Toia v Regan*, 54 AD2d 46, 40 NY2d 837.)

OPINION OF THE COURT

SMITH, J.

We hold that violation of a regulatory deadline for rendering a decision after a fair hearing does not require the State to pay Medicaid benefits to a person not otherwise entitled to them.

I

Petitioner, an elderly woman living in a skilled nursing facility, applied to the Onondaga County Department of Social Services (DSS) for Medicaid benefits. DSS rejected her application, concluding that she had resources and income available to her exceeding the amounts permitted for Medicaid recipients. On June 14, 2007, petitioner exercised her right under Social Services Law § 22 (1) to appeal to the Department of Health (DOH), and demanded the “fair hearing” to which she was entitled by that statute.

An applicable DOH regulation, 18 NYCRR 358-6.4 (a), says that “definitive and final administrative action must be taken promptly, but in no event more than 90 days from the date of the request for a fair hearing.” That regulation was not complied with in this case. The fair hearing was not held until September 13, 2007, 91 days after the fair hearing demand, and DOH’s “Decision After Fair Hearing” was not issued until the 190th day, December 21, 2007.

When the decision came, it was favorable to petitioner. A representative of the Commissioner of Health decided that assets

subject to a trust agreement entered into by petitioner should not count against her for Medicaid eligibility purposes, and that she was entitled to receive benefits. DSS asked the Commissioner to review that decision, as DOH regulations permit (18 NYCRR 358-6.6 [a] [1]). On April 4, 2008, the 295th day after the request for a fair hearing, a designee of the Commissioner issued an “Amended Decision After Fair Hearing” upholding DSS’s position and denying petitioner benefits.

Petitioner brought this CPLR article 78 proceeding to annul the Commissioner’s amended decision and reinstate the original one. Petitioner does not claim that the original decision was correct, or the amended one wrong. Her argument is that the Commissioner’s violation of the time limit imposed by the DOH regulation renders the amended decision invalid.

Supreme Court granted the petition. The Appellate Division, with two Justices dissenting, reversed (*Matter of Dickinson v Daines*, 68 AD3d 1646 [4th Dept 2009]). Petitioner appeals to us as of right, pursuant to CPLR 5601 (a), and we now affirm.

II

The opinions in the courts below, and the parties’ briefs, debate whether the 90-day limit contained in 18 NYCRR 358-6.4 (a) is “mandatory” or only “directory”—words that have often been used, by our Court and others, in characterizing time limits and other provisions of law relating to the conduct of government business. In this case, the simple choice between “mandatory” and “directory” does not adequately describe all possible ways of applying the regulation. We agree with the Appellate Division majority, however, that the DOH regulation at issue was not “mandatory” as we have used the term, and that its violation does not warrant nullifying the Commissioner’s amended decision.

In *Matter of Grossman v Rankin* (43 NY2d 493 [1977]), we considered a statute requiring the Civil Service Commission to decide within four months of the occurrence of a vacancy whether the vacant position had been properly classified as exempt. We held the time limit to be “merely directory” (*id.* at 501). While we said that the Commission “should seek to comply in a timely fashion” with the statute’s “guidelines,” we also said: “The courts have repeatedly held that unless the language used by the Legislature shows that the designation of time was intended as a limitation on the power of the body or officer, the provision is directory rather than mandatory” (*id.*).

In *Matter of King v Carey* (57 NY2d 505, 512-513 [1982]), by contrast, we rejected an argument that a 90-day time limit was “merely directory.” We recognized the rule that

“prescriptions in regard to the time, form and mode of proceeding by public functionaries are generally directory, as they are not of the essence of the thing to be done, but are given simply with a view to secure system, uniformity and dispatch in the conduct of public business” (*id.* [internal quotation marks omitted]).

We concluded, however, that the Legislature that enacted the time limit at issue in *King* “considered time of the essence” (*id.* at 514). There can be no doubt that *King* involved an exception to the general rule. As we said in *Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.* (80 NY2d 531, 535 [1992]):

“A rule that rendered every administrative decision void unless it was determined in strict literal compliance with statutory procedure would not only be impractical but would also fail to recognize the degree to which broader public concerns, not merely the interests of the parties, are affected by administrative proceedings.”

Grossman, *King* and *Syquia* are all different from the present case in an important way: the requirements at issue in those cases were imposed by statutes, but here petitioner is relying on a DOH regulation. When the regulation was first adopted, it may have been necessary to comply with federal law; before 2002, federal Medicaid regulations imposed an unqualified time limit on decisions made after fair hearings (*see* former 42 CFR 431.244 [f], at 44 Fed Reg 17926, 17933 [Mar. 23, 1979]). The federal regulation, however, was relaxed in 2002, and now says that a state agency “must take final administrative action . . . [o]rdinarily, within 90 days” (42 CFR 431.244 [f] [1] [emphasis added]). The state regulation does not say “ordinarily.” Its unqualified 90-day limit is one that DOH imposes on itself.

The parties have cited no case, and we know of none, in which a time limit or other procedural requirement imposed on an administrative agency by its own regulation was held to be mandatory. It would certainly be unusual, if not impossible, for an administrative agency so to deprive itself of power that the Legislature conferred upon it. Indeed, petitioner here is not

really arguing that the time limit is “mandatory” in the sense that, to use our words in *Syquia*, it renders “every administrative decision void” that is not made within 90 days. If that were true, petitioner would lose the case, because the Commissioner’s original decision after the fair hearing—the decision in petitioner’s favor—was rendered after 90 days had expired. In any event, to take the time limit as a jurisdictional barrier to action would make no sense. It would allow the Commissioner, merely by delaying his decision more than 90 days, to nullify the right of applicants for Medicaid to fair hearings.

The real question here is not whether the regulation is “mandatory” in the sense of depriving the agency of power to act when it is violated, but what the consequences of a violation are. Petitioner, perhaps wary of seeking too broad a holding, has not suggested a rule that would answer this question. A theoretically possible rule is that, when a decision after a fair hearing is not timely issued, the party requesting the fair hearing (i.e., the party seeking benefits) wins automatically (*cf. Persico v Maher*, 191 Conn 384, 407, 465 A2d 308, 320 [1983]). But that rule would be draconian, potentially very expensive for the State and unfair to agencies, like DSS here, that would suffer the consequences of delays that were not their fault. It seems unlikely that the Legislature has even empowered the Commissioner to impose such severe consequences as the result of bureaucratic delays; but assuming that he has that power, we see no sign that the Commissioner intended, by adopting the regulatory 90-day time limit, to exercise it.

Another theoretically possible rule would be that, where the 90-day time limit is violated, reconsideration of a decision favorable to the applicant is barred. But this rule, though less drastic than the applicant-always-wins rule, has little to recommend it. DOH regulations provide that the Commissioner “may review an issued fair hearing decision for purposes of correcting any error found in such decision” (18 NYCRR 358-6.6 [a] [1]), and impose no time limit on the review. To prohibit review where the original decision was late would be an arbitrary restriction, without support in any statutory or regulatory text, that would needlessly prevent the Commissioner from correcting errors by his subordinates.

We thus reject any view of the 90-day time limit that would render invalid the action taken by the Commissioner here. In doing so, we do not necessarily hold that the time limit is “merely directory” in the sense described by *Grossman v*

Rankin—a guideline with which DOH “should seek to comply” (43 NY2d at 501). DOH does not argue that violations of the time limit have no consequences at all. On the contrary, it acknowledges that the time limit may be enforced by a lawsuit to compel the issuance of a decision (see *Matter of Cisco v Lavine*, 72 Misc 2d 1087 [Sup Ct, Nassau County 1973]). The Commissioner also points out that the federal government may cut off the State’s Medicaid funds if the state program is not administered in accordance with federal requirements (42 USC § 1396c). And finally, the Commissioner acknowledges that, as we said in *Syquia*, a petitioner may obtain relief even under a merely directory procedural requirement if she shows “that substantial prejudice resulted from the noncompliance” (80 NY2d at 535). This petitioner has shown no such prejudice. On the contrary, as the case reaches us, she has effectively conceded that she is not, and never was, entitled to receive Medicaid benefits.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, without costs.

[940 NE2d 909, 915 NYS2d 204]

LOUISE RUFFIN, Appellant, v LION CORP., Doing Business as
LION TOUR BUS COMPANY, Also Known as LION TOUR &
TRAVEL, INC., and as LION TRAILWAYS, et al., Respondents.

Argued October 21, 2010; decided November 30, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 9, 2009. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Kings County (Mark I. Partnow, J.), which had denied defendants' motion pursuant to CPLR 5015 (a) (4), to vacate a default judgment and pursuant to CPLR 3211 (a) (8) to dismiss the complaint; and (2) granted defendants' motion to vacate the default judgment and to dismiss the complaint.

Ruffin v Lion Corp., 63 AD3d 814, reversed.

HEADNOTE

**Process — Service without State — Out-of-State Corporation —
Residency of Process Server Constituted Technical Defect**

Plaintiff's service of process on defendant out-of-state corporation by a non-resident process server in violation of CPLR 313 constituted an irregularity that the trial court could disregard under CPLR 2001 and not a jurisdictional defect. When CPLR 2001 was amended to allow courts to correct or disregard technical defects occurring at the commencement of an action, the Legislature considered the amendment to be necessary to fully foreclose dismissal of actions for technical, nonprejudicial defects. Although service of process occurs after the commencement of an action, there is no reason why the Legislature would wish to foreclose dismissal of actions for technical, nonprejudicial defects in filing, but not service. Moreover, CPLR 2001 by its own terms applies "[a]t any stage of an action." Thus, it cannot be said that a CPLR statute defining method of service can in no circumstance be disregarded. In deciding whether a defect in service is merely technical and may be disregarded under CPLR 2001, courts must be guided by the principle of notice to the defendant. Here, the process server served the summons and complaint on defendant, at its headquarters in Pennsylvania, by personal service on a company vice-president. Therefore, the defect related to the process server's place of residence had no effect on the likelihood of defendant's receipt of actual notice.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Process §§ 86, 124, 130, 266, 308, 309.

CARMODY-WAIT 2d, Commencement of Actions; Summons

and Service of Process §§ 24:83, 24:84, 24:86, 24:124, 24:241.

McKINNEY's, CPLR 313, 2001.

NY JUR 2d, Acknowledgments, Affidavits, Oaths, Notaries, and Commissioners § 52; NY JUR 2d, Process and Papers §§ 52, 53, 85, 89, 121.

SIEGEL, NY PRAC §§ 6, 63, 100.

ANNOTATION REFERENCE

See ALR Index under Process and Service of Process and Papers.

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Database: NY-ORCS

Query: process /2 server /2 residence & technical /4 defect

POINTS OF COUNSEL

David S. Kritzer & Associates, P.C., Huntington (*David S. Kritzer* of counsel), for appellant. I. CPLR 2001 properly applies to mere irregularities or minor, nonprejudicial defects in the method of service. (*American Home Assur. Co. v Morris Indus. Bldrs.*, 176 AD2d 541; *People ex rel. Di Leo v Edwards*, 247 App Div 331.) II. Upon the proper application of CPLR 2001, the minor, nonprejudicial defect as to the process server's residency is a mere irregularity which shall be disregarded. (*American Home Assur. Co. v Morris Indus. Bldrs.*, 176 AD2d 541.) III. The Second Department erred as a matter of law in dismissing the complaint without remanding the action to allow Louise Ruffin to exercise her rights under CPLR 306-b to move for an extension of time to serve or to cure the defect in service. (*Citron v Schlossberg*, 282 AD2d 642; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Harris Bay Yacht Club, Inc. v Town of Queensbury*, 46 AD3d 1304.)

Salmon, Ricchezza, Singer & Turchi LLP, New York City (*Ronald L. Daugherty* and *Shari F. Bernstein* of counsel), for respondents. I. The default judgments entered below were a nullity because defendants against whom they were entered had not properly been served pursuant to CPLR 313. (*DeMartino v Rivera*, 148 AD2d 568; *Chase Manhattan Bank v Carlson*, 113 AD2d 734; *Shaw v Shaw*, 97 AD2d 403; *Miller v Bank of N.Y. [Del.]*, 226 AD2d 507; *Steele v Hempstead Pub Taxi*, 305 AD2d 401.) II. Appellant's unexplained failure to serve process in accordance with the requirements of CPLR 313 is not a mere

irregularity or nonprejudicial defect that could or should be disregarded or excused by the Supreme Court pursuant to CPLR 2001. (*Travis v New York State Dept. of Env'tl. Conservation*, 185 AD2d 714; *Matter of RECYCLE v Lacatena*, 163 AD2d 693; *American Home Assur. Co. v Morris Indus. Bldrs.*, 176 AD2d 541; *Miller v Bank of N.Y. [Del.]*, 226 AD2d 507.) III. Appellant cannot timely serve the complaint or cure the defect in service at this juncture, as the statute of limitations on her claims has expired. IV. The amendment of the judgment was further error on the part of the Supreme Court that must be reversed even if appellant's failure to properly serve the original Lion defendants is condoned.

OPINION OF THE COURT

PIGOTT, J.

Plaintiff Louise Ruffin was injured while riding as a passenger on a tour bus in New York City on December 4, 2000. She filed a timely summons and complaint, naming as defendants both the bus driver and the tour bus company, "Lion Corp., d/b/a Lion Tour Bus Company, a/k/a Lion Tour & Travel, Inc., a/k/a Lion Trailways." On November 10, 2003, a process server, Richard Rubin, served the summons and complaint on the tour bus company, at its headquarters in Levittown, Pennsylvania, by personal service on a company vice-president. Rubin's affidavits of service identify him as a Pennsylvania resident.

Lion Corp. failed to respond to the summons and complaint—despite a notice of default that plaintiff's counsel sent to Lion Corp. by certified mail. Subsequently, plaintiff moved for a default judgment, serving Lion Corp. with the motion papers by mail. Supreme Court granted the motion. Lion Corp. did not appear at an inquest and, on April 8, 2005, Supreme Court granted plaintiff judgment in the amount of \$450,000, plus interest, costs and disbursements.¹

Two years later, in May 2007, Lion Corp. broke its silence and moved to dismiss the action under CPLR 3211 (a) (8) and to vacate the default judgment pursuant to CPLR 5015 (a) (4). In support of its motion, Lion Corp. cited CPLR 313, pointing out that at the time of service Rubin was not a New York resident, he was not a sheriff authorized to make service by Pennsylvania law, and he was not an attorney, solicitor, barrister or equivalent. As a result, Rubin was not authorized under CPLR 313 to

1. An amended default judgment, including additional names under which Lion Corp. does business, was entered on October 13, 2006.

effect service in Pennsylvania and therefore, Lion Corp. argued, Supreme Court had not acquired jurisdiction over it.

Supreme Court denied Lion Corp.'s motion, ruling that the violation of CPLR 313 was a mere irregularity that could be disregarded and not a jurisdictional defect. The Appellate Division reversed, holding that statutes defining the methodology of service are jurisdictional and may not be disregarded (63 AD3d 814 [2d Dept 2009]). That Court vacated the judgment, and dismissed the complaint. We granted leave to appeal (13 NY3d 710 [2009]), and now reverse.

Plaintiff concedes that Rubin was not authorized to make service, but challenges the jurisdictional implications of this improper service. She relies on CPLR 2001 and argues that the irregularity in service can and should be disregarded under that statute.

CPLR 2001 provides:

“At any stage of an action, including the filing of a summons with notice, summons and complaint or petition to commence an action, the court may permit a mistake, omission, defect or irregularity, including the failure to purchase or acquire an index number or other mistake in the filing process, to be corrected, upon such terms as may be just, or, if a substantial right of a party is not prejudiced, the mistake, omission, defect or irregularity shall be disregarded, provided that any applicable fees shall be paid.”

The statutory language clarifying that CPLR 2001 applies at the commencement of an action, including mistakes in the filing process, was added in 2007. The amendment was in response to decisions of our Court that held an action (or proceeding) should be dismissed as jurisdictionally defective if the plaintiff (or petitioner) does not fulfill all the filing requirements under CPLR 304 and 306-a, and the defendant (or respondent) timely objects (*see* Senate Introducer's Mem in Support, at 1, Bill Jacket, L 2007, ch 529, citing *Harris v Niagara Falls Bd. of Educ.*, 6 NY3d 155 [2006], *Matter of Gershel v Porr*, 89 NY2d 327 [1996] and *Matter of Fry v Village of Tarrytown*, 89 NY2d 714 [1997]). Those opinions suggested that CPLR 2001 could not be applied to mistakes made at the commencement of an action.

The question before us is whether a plaintiff's failure to fulfill the service requirements of CPLR 313 because the process

server's residence renders him unauthorized to serve process constitutes an irregularity that courts may disregard under CPLR 2001 or a jurisdictional defect that courts may not overlook. We hold that the error may be disregarded under CPLR 2001.

It is clear from the Sponsor's Memorandum² that the purpose of the 2007 amendment to CPLR 2001 was to allow courts to correct or disregard technical defects, occurring at the commencement of an action, that do not prejudice the opposing party (Senate Introducer's Mem in Support, at 1). The Legislature considered the amendment to be necessary "to fully foreclose dismissal of actions for technical, non-prejudicial defects" (*id.*).

Although the payment of a filing fee and the filing of initiatory papers are the acts that commence an action or special proceeding, and service comes thereafter (CPLR 304 [a]; *see Gershel*, 89 NY2d at 330), we perceive no reason why the Legislature would wish to foreclose dismissal of actions for technical, nonprejudicial defects in filing, but not service. Moreover, CPLR 2001 by its own terms applies "[a]t any stage of an action" (emphasis added). We therefore reject the Appellate Division's holding that a CPLR statute defining method of service can in no circumstance be disregarded.

Our inquiry does not end here, however. CPLR 2001 may be used to cure only a "technical infirmity" (*Matter of Miller v Board of Assessors*, 91 NY2d 82, 87 [1997]; *see also e.g. Matter of Tagliaferri v Weiler*, 1 NY3d 605, 606 [2004]; *Matter of Great E. Mall v Condon*, 36 NY2d 544, 548 [1975]; *Matter of Board of Trustees of Common School Dist. No. 2 of Town of Dickinson v Commissioner of Educ. of State of N.Y.*, 33 NY2d 601, 603 [1973]). In deciding whether a defect in service is merely technical, courts must be guided by the principle of notice to the defendant—notice that must be "reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections" (*Raschel v Rish*, 69 NY2d 694, 696 [1986], quoting

2. The wording of the memorandum was drawn from a report of the Chief Administrative Judge's Advisory Committee on Civil Practice, which recommended the amendment.

Mullane v Central Hanover Bank & Trust Co., 339 US 306, 314 [1950]).³

Defendant's actual receipt of the summons and complaint is not dispositive of the efficacy of service. For example, simply mailing the documents to defendant or e-mailing them to defendant's Web address would present more than a technical infirmity, even if defendant actually receives the documents, inasmuch as these methods in general introduce greater possibility of failed delivery. Likewise, delivery of a summons and complaint to the wrong person (*see Macchia v Russo*, 67 NY2d 592 [1986]; *see also Raschel*) is a substantial defect. On the other hand, delivery of a summons and complaint by a process server who is unauthorized to serve simply because of his place of residence will not affect the likelihood that the summons and complaint will reach defendant and inform him that he is being sued. We therefore conclude that a defect related to the residence of a process server has no effect on the likelihood of defendant's receipt of actual notice, and the court may choose to correct or disregard it as a technical infirmity under CPLR 2001.

The Appellate Division therefore erred in concluding that the defect in service in this case could not be disregarded under CPLR 2001, and should have reached such other issues as defendant may have raised upon its appeal.

Accordingly the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division, for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

3. CPLR 313 is a notice statute, applicable only if there is some independent basis for the exercise of personal jurisdiction over the person to be served—in the present case an alleged tortious act within New York State (*see* CPLR 302 [a] [2]; *Yarusso v Arbotowicz*, 41 NY2d 516, 518 [1977]).

[942 NE2d 1043, 917 NYS2d 617]

In the Matter of CRAIG M. JOHNSON, Appellant-Respondent, v
JACK M. MARTINS, Respondent-Appellant, and NASSAU
COUNTY BOARD OF ELECTIONS, Respondent.

In the Matter of JAY JACOBS, as Chairman of the Nassau County
Democratic Committee, Appellant, and JOSEPH MONDELLO,
as Chairman of the Nassau County Republican Committee,
Respondent, v NASSAU COUNTY BOARD OF ELECTIONS, Re-
spondent.

Argued December 20, 2010; decided December 20, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 15, 2010. The Appellate Division (1) modified, on the law and the facts, so much of an order of the Supreme Court, Nassau County (Ira B. Warshawsky, J.; op 30 Misc 3d 844 [2010]), dated December 8, 2010, as had denied those branches of the petitions in two related proceedings pursuant to Election Law article 16 to preserve for judicial review certain ballots cast in a general election for the public office of State Senator for the 7th Senatorial District held on November 2, 2010, which were, in effect, to direct the opening and canvassing of certain ballots, to direct the casting and canvassing of certain ballots, to prohibit the casting of certain other ballots, and to direct a manual audit of the voter verifiable audit records of the same general election; (2) dismissed the appeal from so much of an order of that Supreme Court, dated December 6, 2010, as had denied those branches of the petitions which were, in effect, to direct a manual audit of the voter verifiable audit records of the same general election; and (3) dismissed the appeal from two prior decisions of that Supreme Court. The modification consisted of (1) deleting the provisions of the order dated December 8, 2010 denying those branches of the petitions which were, in effect, to direct the casting and canvassing of the absentee ballots designated as exhibits 33, 154, and 166, and substituting therefor provisions granting those branches of the petitions and directing the Nassau County Board of Elections to cast and canvass the absentee ballots designated as exhibits 33, 154, and 166, and (2) deleting the provisions of the same order denying those branches of the petitions which were, in effect, to prohibit

the casting and canvassing of absentee ballots designated as exhibits 8 and 127 and the ballots designated as exhibits 182 and 183, and substituting therefor provisions granting those branches of the petitions and directing the Nassau County Board of Elections not to cast and canvass the absentee ballots designated as exhibits 8 and 127 and the ballots designated as exhibits 182 and 183. The Appellate Division affirmed that order as modified. The following question was certified by the Appellate Division: “Was the decision and order of this Court properly made?”

Matter of Johnson v Martins, 79 AD3d 913 affirmed.

HEADNOTE

Elections — Ballots — Electronic Scanning Machines — Manual Audit

In proceedings seeking a manual audit of district-wide election results for the office of State Senator under Election Law § 16-113, the Court of Appeals was without the power, on the record before it, to disturb the discretionary determination of the Supreme Court denying a manual audit of the voter verifiable audit records. In order for a denial of a manual audit to be deemed an abuse of discretion as a matter of law, the record must demonstrate the existence of a material discrepancy likely to impact the result of the election, or flagrant irregularities in the election process. The statute allows Supreme Court to direct a manual audit where the evidence shows a discrepancy indicating “a substantial possibility” that the result of the election could change. Here there was no legal error in denying the audit where the discrepancy rate was significantly below the margin of victory, such that there was no substantial likelihood that the result of the election would have been altered by the conduct of a full manual audit. Moreover, there was no evidence that the discrepancies arose from any flagrant irregularity in the election process.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Elections §§ 343, 359–361.

CARMODY-WAIT 2d, Proceedings Under Election Laws
§§ 137:85, 137:89.

McKINNEY’s, Election Law § 16–113.

NY JUR 2d, Elections §§ 704–705.5, 850, 852.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: manual /4 audit! count! /5 ballot

POINTS OF COUNSEL

Jaspan Schlesinger LLP, Garden City (*Steven R. Schlesinger* and *Hale Yazicioglu* of counsel), for appellant-respondent and appellant. I. Appellants' application under Election Law § 16-113 for a manual hand count should have been granted. (*Wesberry v Sanders*, 376 US 1.) II. The erroneous rulings with respect to challenged ballots should be overturned. (*Matter of Mondello v Nassau County Bd. of Elections*, 6 AD3d 18; *Matter of Marraccini v Balancia*, 182 AD2d 628; *Matter of Nicolaysen v D'Apice*, 100 AD2d 501; *Matter of McClure v D'Apice*, 116 AD2d 721; *Matter of Hosley v Valder*, 160 AD2d 1094; *Matter of Kolb v Casella*, 270 AD2d 964; *Matter of Kroening*, 187 AD2d 1045; *Matter of Carney v Davignon*, 289 AD2d 1096; *Matter of Panio v Sunderland*, 14 AD3d 627; *Matter of Brilliant v Gamache*, 25 AD3d 605.)

Bee Ready Fishbein Hatter & Donovan, LLP, Mineola (*Peter A. Bee* and *Kenneth A. Gray* of counsel), for respondent-appellant. I. A full hand count was properly denied by the court below. (*Matter of Tarantino v Westchester County Bd. of Elections*, 8 AD3d 672.) II. Assuming, arguendo, the court has authority to order a manual recount, the standards in 9 NYCRR 6210.18 (h) were not met. III. In the unlikely event this Court should order unopened affidavit ballot envelopes to be opened, the unopened ballot envelopes respondent Jack M. Martins sought to be opened should be opened as well.

John Ciampoli, County Attorney, Mineola, for Nassau County Board of Elections, respondent.

OPINION OF THE COURT

Per Curiam.

Under the Election Reform and Modernization Act of 2005 (L 2005, ch 181), adopted in order to implement New York's new regime of voting by the use of electronic scanning machines, mandated by the federal Help America Vote Act of 2002 (42 USC § 15481), voters scan marked electronic ballots into a ballot scanner and wait for notice that the ballot has been received. In addition, in order to ensure that verifiable results are maintained, the ballot machines are required to retain the paper ballots or produce a voter verified permanent paper record which must be preserved to allow for a manual audit (*see* Election Law § 7-202 [1] [j]).

The machine count of votes for the office of State Senator in the Seventh Senatorial District showed the Republican candidate, Jack M. Martins, leading the Democratic candidate, Craig M. Johnson, by 415 votes—a margin of 0.5% out of the approximately 85,000 votes. Pursuant to Election Law § 9-211, the Board of Elections conducted a mandatory audit of 3% of the County’s voting machines (including 7 of the 249 machines in the Seventh Senatorial District).

The results of the audit revealed some discrepancies. As found by the trial court herein, there were three types of errors: (1) one machine reflected more ballots than were in the ballot box (neither the trial court nor the parties suggested that this affected the margin separating the candidates); (2) two machines reflected less ballots than were in the ballot box (one machine had two additional ballots for Johnson and one machine had one additional ballot for Johnson); and (3) one machine had an even count, but the machine counted an undervote that was not seen upon the audit, resulting in one additional vote for Martins. Thus, the net change resulting from the discrepancies discovered in the 3% audit was two votes in Johnson’s favor. There is no evidence that these discrepancies were the result of any misconduct.

In these proceedings, commenced in part seeking to obtain a manual audit of the district-wide election results under Election Law § 16-113, Johnson and the Chair of the Nassau County Democratic Committee claim that the audit demonstrated an error rate of 0.12%, in excess of the 0.1% discrepancy rate in the regulations implementing Election Law § 9-211.* Therefore, Johnson argues that a manual audit of all ballots was required.

Supreme Court found that the discrepancies, when projected to a full audit (9 NYCRR 6210.18 [h]), would not affect the outcome of the election and denied the request for a manual audit of all ballots. The court certified Martins as the winner of the race by a margin of 451 votes. (30 Misc 3d at 844 [2010].) The Appellate Division upheld this

* As relevant here, the regulation provides that
“an expanded audit will be required if . . .
“[a]ny one or more discrepancies between the confirming manual
counts . . . and the original machine or system electronic counts,
which taken together, would alter the vote share of any candidate
. . . by one tenth of one percent (0.1%) or more of the hand
counted votes for respective contests” (9 NYCRR 6210.18 [e] [1]
[i]).

aspect of the determination, finding no improvident exercise of discretion under Election Law § 16-113—the statute which sets forth the circumstances under which Supreme Court “may direct a manual audit of the voter verifiable audit records.” (See 79 AD3d 913, 918 [2010].) The Appellate Division granted “the aggrieved parties” leave to appeal to this Court and certified a question for our review: “[w]as the decision and order of this Court properly made?” (79 AD3d at 922.)

We agree with the Appellate Division that the statute grants Supreme Court discretionary authority to order a manual audit. In order for a denial of a manual audit under either subdivision of Election Law § 16-113 to be deemed an abuse of discretion as a matter of law, the record must demonstrate the existence of a material discrepancy likely to impact upon the result of the election, or flagrant irregularities in the election process. The regulations recognize that some level of discrepancy is inevitable. That mere fact begs the question as to the degree of the discrepancy requiring a manual audit. The statute allows Supreme Court to direct a manual audit where the evidence shows a discrepancy indicating “a substantial possibility” that the result of the election could change (see Election Law § 16-113 [2]). There is no such legal error where, as here, the discrepancy rate is significantly below the margin of victory, such that there is no substantial likelihood that the result of the election would be altered by the conduct of a full manual audit. Moreover, there is no evidence that the discrepancies arose from any flagrant irregularity in the election process. Therefore, on this record, this Court is without the power to disturb the discretionary determination below.

Inasmuch as a recount is not required by law, and as the approximately 70 individual ballots otherwise being contested could not have an actual impact on the election result, we decline to review the parties’ remaining contentions on these cross appeals, as their arguments pertaining to these ballots are academic.

Accordingly, the order of the Appellate Division, insofar as it denied the portion of the petitions seeking a manual audit, should be affirmed, without costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur in per curiam opinion; Judge READ taking no part.

Order, insofar as it denied the portion of the petitions seeking a manual audit, affirmed, etc.

[941 NE2d 727, 915 NYS2d 884]

JOHN GIORDANO, Appellant, v MARKET AMERICA, INC., et al.,
Respondents.

Argued October 13, 2010; decided November 18, 2010

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Are the provisions of N.Y. C.P.L.R. § 214-c(4) providing for an extension of the statute of limitations in certain circumstances limited to actions for injuries caused by the latent effects of exposure to a substance? 2. Can an injury that occurs within 24 to 48 hours of exposure to a substance be considered ‘latent’ for these purposes? 3. What standards should be applied to determine whether a genuine issue of material fact exists for resolution by a trier of fact as to whether ‘technical, scientific or medical knowledge and information sufficient to ascertain the cause of [the plaintiff’s] injury’ was ‘discovered, identified or determined’ for N.Y. C.P.L.R. § 214-c(4) purposes?”

HEADNOTES

**Limitation of Actions — Toxic Torts — CPLR 214-c (4) Limited to
Actions for Injuries Caused by Latent Effects of Exposure to
Substance**

1. The provisions of CPLR 214-c (4), which extends the statute of limitations for certain tort victims who do not, for some time, know the cause of their injuries, are limited to actions for injuries caused by the latent effects of exposure to a substance. Subdivision (2) of CPLR 214-c, providing a statute of limitations that runs from the date the injury was, or should have been, discovered, is expressly restricted to cases of injury “caused by the latent effects of exposure to any substance or combination of substances,” and subdivision (3) of that same section, relating to notice of claim requirements, contains an identical restriction. CPLR 214-c (4) requires the plaintiff or claimant to allege and prove that he or she has otherwise satisfied the requirements of subdivisions (2) and (3). Since subdivisions (2) and (3) require that the claim or action be one for injury “caused by the latent effects” of exposure, subdivision (4), on its face, also imposes a latency requirement. Even if subdivision (4) could be read otherwise—if it could be read as creating an independent exception to the general three-year statute of limitations, not one dependent on the provisions of subdivisions (2) and (3)—such a reading would be inconsistent with the statute’s history and purpose.

Limitation of Actions — Toxic Torts — “Latent Effects” Defined

2. An injury that occurs within hours of exposure to a substance can be considered “latent” for purposes of the application of CPLR 214-c (4), which

extends the statute of limitations for certain tort victims who do not, for some time, know the cause of their injuries. Using the word “latent,” defined in the dictionary as “not now visible, obvious, active, or symptomatic,” to describe a condition that exists only for hours puts no strain on its literal meaning. Moreover, although it might intuitively seem, in interpreting CPLR 214-c (4), that so brief a period of latency should be disregarded as insignificant, even a brief period of latency can be important when the problem is one of determining an injury’s cause—the problem with which CPLR 214-c (4) is concerned. Cases where a toxin’s effects are latent for hours are much more likely than those in which there is no latency period to present the problem addressed by CPLR 214-c (4), and it is entirely plausible that several hours’ delay in the manifestation of symptoms could lead to a delay of years in detecting an injury’s cause.

Limitation of Actions — Toxic Torts — When Sufficient Information to Ascertain Cause of Injury Has Been Discovered, Identified or Determined

3. For purposes of the application of CPLR 214-c (4), which extends the statute of limitations for certain tort victims who do not, for some time, know the cause of their injuries, “technical, scientific or medical knowledge and information sufficient to ascertain the cause of [the plaintiff’s] injury” is “discovered, identified or determined” within the meaning of the statute when the existence of the causal relationship is generally accepted within the relevant technical, scientific or medical community. The statute refers to the time when information is sufficient for the technical, medical or scientific community “to ascertain” the cause of an injury—not the time when a reasonable layperson or lawyer could “ascertain” the cause without consulting an expert. With respect to the level of certainty implied by the word “ascertain,” a causal relationship will be sufficiently ascertained for CPLR 214-c (4) purposes at, but not before, the point at which expert testimony to the existence of the relationship would be admissible in New York courts.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Limitation of Actions §§ 144, 179, 180, 182.
 CARMODY-WAIT 2d, Limitation of Actions §§ 13:74, 13:75,
 13:216, 13:286–13:288.
 MCKINNEY’S, CPLR 214–c.
 NY JUR 2d, Limitations and Laches §§ 140, 259, 262.
 SIEGEL, NY PRAC §§ 40, 43.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions.

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Database: NY-ORCS

Query: limitation /s latent /2 effect /3 exposure & toxic /3
 tort

POINTS OF COUNSEL

Pollack Pollack Isaac & DeCicco, New York City (Brian J. Isaac of counsel), and *Sanders Sanders Block Woycik Viener &*

Grossman, P.C., Mineola (*Martin Block* of counsel), for appellant. Triable issues of fact prevent summary resolution of the issue of untimeliness and the complaint should not be dismissed; CPLR 214-c (4) does not require a finding of latency; latency can be present where the injury occurs 24 to 48 hours after exposure to a substance; the proof in the scientific community is equivocal concerning the relationship between exposure to a substance and an injury, making summary dismissal of the complaint under the statute inappropriate. (*Giuffrida v Citibank Corp.*, 100 NY2d 72; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Zuckerman v City of New York*, 49 NY2d 557; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Branham v Loews Orpheum Cinemas, Inc.*, 8 NY3d 931; *Fundamental Portfolio Advisors, Inc. v Tocqueville Asset Mgt., L.P.*, 7 NY3d 96; *Rotuba Extruders v Ceppos*, 46 NY2d 223; *Andre v Pomeroy*, 35 NY2d 361; *Matter of Ocean Hill-Brownsville Governing Bd. v Board of Educ. of City of N.Y.*, 30 AD2d 447.)

Fiedelman & McGaw, Jericho (*Andrew J. Zajac* and *Neil L. Coscio* of counsel), and *Mound Cotton Wollan & Greengrass*, New York City (*Amy J. Kallal* and *Ellen G. Margolis* of counsel), for Market America, Inc., respondent. I. CPLR 214-c (4) is limited to actions for injuries caused only by the latent effects of exposure to a substance. (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Germantown Cent. School Dist. v Clark, Clark, Millis & Gilson*, 100 NY2d 202; *Matter of New York County DES Litig.*, 89 NY2d 506; *Jensen v General Elec. Co.*, 82 NY2d 77; *Bano v Union Carbide Corp.*, 361 F3d 696; *Pompa v Burroughs Wellcome Co.*, 259 AD2d 18; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *Rangolan v County of Nassau*, 96 NY2d 42; *Gonzalez v Iocovello*, 93 NY2d 539; *Mark G. v Sabol*, 93 NY2d 710.) II. An injury that occurs within 24 to 48 hours of exposure to a substance cannot be considered “latent” for purposes of CPLR 214-c. (*In re Ephedra Prods. Liab. Litig.*, 393 F Supp 2d 181; *Bano v Union Carbide Corp.*, 361 F3d 696; *Germantown Cent. School Dist. v Clark, Clark, Millis & Gilson*, 100 NY2d 202; *Manhattanville Coll. v James John Romeo Consulting Engr., P.C.*, 5 AD3d 637; *Dabb v NYNEX Corp.*, 262 AD2d 1079; *Di Marco v Hudson Val. Blood Servs.*, 147 AD2d 156; *Urie v Thompson*, 337 US 163; *Prego v City of New York*, 147 AD2d 165; *Asher v Unarco Material Handling, Inc.*, 596 F3d 313; *Pre-tus v Diamond Offshore Drilling, Inc.*, 571 F3d 478.) III. The degree of knowledge required to be “sufficient to ascertain” the cause of an injury is not medical or scientific certainty but,

rather, a probable causal connection. (*Pompa v Burroughs Wellcome Co.*, 259 AD2d 18; *Whitney v Agway, Inc.*, 238 AD2d 782; *Matott v Ward*, 48 NY2d 455.) IV. The relevant group that must possess the “technical, scientific or medical” knowledge is the scientific, technical or medical community, not a plaintiff and his or her attorneys. (*Freier v Westinghouse Elec. Corp.*, 303 F3d 176; *Matter of New York County DES Litig.*, 89 NY2d 506; *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421; *Pompa v Burroughs Wellcome Co.*, 259 AD2d 18; *Lonis v Norman’s Roofing & Siding Co.*, 306 AD2d 922; *Water Auth. of W. Nassau County v Lockheed Martin Corp.*, 276 AD2d 624; *Annunziato v City of New York*, 224 AD2d 31.)

Post & Post, LLC, Berwyn, Pennsylvania (*Edward J. Stolar-ski, Jr.*, of counsel), for Chemins Company, Inc., respondent. I. The findings of Judge Rakoff, that the effects of ephedra are immediate—occurring within 24 to 48 hours—and are therefore patent, are well founded and should not be disturbed. (*Bano v Union Carbide Corp.*, 361 F3d 696; *In re Ephedra Prods. Liab. Litig.*, 393 F Supp 2d 181; *Matter of New York County DES Litig.*, 89 NY2d 506; *Jensen v General Elec. Co.*, 82 NY2d 77; *Anderson v Bessemer City*, 470 US 564; *Zervos v Verizon N.Y., Inc.*, 252 F3d 163; *United States v United States Gypsum Co.*, 333 US 364; *Martin v City of Cohoes*, 37 NY2d 162; *United States v United States Smelting Refining & Mining Co.*, 339 US 186; *Campbell ex rel. Campbell v Metropolitan Prop. & Cas. Ins. Co.*, 239 F3d 179.) II. CPLR 214-c (4) is to be read in conjunction with the provisions of CPLR 214-c and requires that a plaintiff’s manifestation of injury from exposure to a substance be latent in order for CPLR 214-c (4) to apply. (*Bano v Union Carbide Corp.*, 361 F3d 696; *Matter of New York County DES Litig.*, 89 NY2d 506.) III. The knowledge of the general scientific and/or medical communities, and not the knowledge of the plaintiff himself, is the recognized standard in New York to determine whether sufficient information exists to link plaintiff’s injury with the substance at issue. (*Freier v Westinghouse Elec. Corp.*, 303 F3d 176; *Pompa v Burroughs Wellcome Co.*, 259 AD2d 18; *In re Ephedra Prods. Liab. Litig.*, 393 F Supp 2d 181.)

OPINION OF THE COURT

SMITH, J.

The United States Court of Appeals for the Second Circuit has asked us three questions about the interpretation of CPLR 214-c (4), which extends the statute of limitations for certain

tort victims who do not, for some time, know the cause of their injuries. We answer the questions by holding that:

(1) the provisions of CPLR 214-c (4) are limited to actions for injuries caused by the latent effects of exposure to a substance;

(2) an injury that occurs within hours of exposure to a substance can be considered “latent” for these purposes; and

(3) “technical, scientific or medical knowledge and information sufficient to ascertain the cause of [the plaintiff’s] injury” is “discovered, identified or determined” within the meaning of the statute when the existence of the causal relationship is generally accepted within the relevant technical, scientific or medical community.

I

Plaintiff suffered a series of strokes in March of 1999. The strokes were caused, we assume for present purposes, by ephedra, a substance contained in a dietary supplement that plaintiff had been using for about two years. Ephedra causes in some users a short-term elevation in blood pressure, heart rate or both, and a temporary constriction of certain blood vessels. This effect, which increases the risk of stroke, typically occurs within a few hours after ephedra is consumed.

Neither plaintiff nor the doctors who treated him for his strokes knew at the time that ephedra was to blame. When they could, or reasonably should, have known of the causal connection is disputed. The United States District Court for the Southern District of New York has found that studies published as early as 1996 suggested a link between ephedra and stroke, but that as late as 2005 scientific evidence did not establish the link “with any degree of medical or scientific ‘certainty’ ” (*In re Ephedra Prods. Liab. Litig.*, 598 F Supp 2d 535, 536 [SD NY 2009]).

Plaintiff claims that he became aware of a possible link between ephedra and stroke in February 2003, when news reports suggested that the sudden death of a major league baseball player might have been caused by ephedra. On July 28, 2003—about four years, four months after his strokes—plaintiff sued the distributor of the product he had taken in New York State Supreme Court. The case was removed to federal court, the manufacturer of the product was added as a defendant, and the case was consolidated with other ephedra-related litigation in the Southern District of New York.

Defendants moved to dismiss the case as barred by the statute of limitations, relying on CPLR 214 (5), which imposes a three-year limitation period, with certain exceptions, on “an action to recover damages for a personal injury.” It is undisputed that the claim is barred by CPLR 214 (5) unless it is saved by the exception in CPLR 214-c (4), which we quote in the next section of this opinion.

Defendants’ statute of limitations motion generated a series of opinions in the District Court and the Second Circuit. Initially, the District Court granted the motion to dismiss (*In re Ephedra Prods.*, 2006 WL 944705, 2006 US Dist LEXIS 18691 [SD NY 2006]). Plaintiff appealed to the Second Circuit, which remanded the case for determination of an issue the District Court had not reached (*Giordano v Market Am., Inc.*, 289 Fed Appx 467 [2d Cir 2008]). Following the District Court’s ruling on that issue (*In re Ephedra Prods. Liab. Litig.*, 598 F Supp 2d 535 [SD NY 2009]), the Second Circuit certified to us the three questions that we now address (*Giordano v Market Am., Inc.*, 599 F3d 87 [2d Cir 2010]).

II

Directly in issue here is subdivision (4) of CPLR 214-c, which refers to subdivisions (2) and (3) of the same section. The text of the three relevant subdivisions is:

“2. Notwithstanding the provisions of section 214, the three year period within which an action to recover damages for personal injury or injury to property caused by the latent effects of exposure to any substance or combination of substances, in any form, upon or within the body or upon or within property must be commenced shall be computed from the date of discovery of the injury by the plaintiff or from the date when through the exercise of reasonable diligence such injury should have been discovered by the plaintiff, whichever is earlier.

“3. For the purposes of sections fifty-e and fifty-i of the general municipal law, section thirty-eight hundred thirteen of the education law and the provisions of any general, special or local law or charter requiring as a condition precedent to commencement of an action or special proceeding that a notice of claim be filed or presented within a specified

period of time after the claim or action accrued, a claim or action for personal injury or injury to property caused by the latent effects of exposure to any substance or combination of substances, in any form, upon or within the body or upon or within property shall be deemed to have accrued on the date of discovery of the injury by the plaintiff or on the date when through the exercise of reasonable diligence the injury should have been discovered, whichever is earlier.

“4. Notwithstanding the provisions of subdivisions two and three of this section, where the discovery of the cause of the injury is alleged to have occurred less than five years after discovery of the injury or when with reasonable diligence such injury should have been discovered, whichever is earlier, an action may be commenced or a claim filed within one year of such discovery of the cause of the injury; provided, however, if any such action is commenced or claim filed after the period in which it would otherwise have been authorized pursuant to subdivision two or three of this section the plaintiff or claimant shall be required to allege and prove that technical, scientific or medical knowledge and information sufficient to ascertain the cause of his injury had not been discovered, identified or determined prior to the expiration of the period within which the action or claim would have been authorized and that he has otherwise satisfied the requirements of subdivisions two and three of this section.”

The three questions that the Second Circuit has asked us are:

“1. Are the provisions of N.Y. C.P.L.R. § 214-c(4) providing for an extension of the statute of limitations in certain circumstances limited to actions for injuries caused by the latent effects of exposure to a substance?

“2. Can an injury that occurs within 24 to 48 hours of exposure to a substance be considered ‘latent’ for these purposes?

“3. What standards should be applied to determine whether a genuine issue of material fact exists for resolution by a trier of fact as to whether ‘technical,

scientific or medical knowledge and information sufficient to ascertain the cause of [the plaintiff's] injury' was 'discovered, identified or determined' for N.Y. C.P.L.R. § 214-c(4) purposes?" (599 F3d at 101.)

We answer yes to both of the first two questions; thus, our answers are favorable to defendants on question one but to plaintiff on question two. We answer question three by saying, as we explain more fully below, that the test is one of general acceptance in the relevant technical, scientific or medical community.

Question One: Is the statute limited to injuries caused by latent effects?

[1] CPLR 214-c (2), providing a statute of limitations that runs "from the date of discovery of the injury . . . or from the date when . . . such injury should have been discovered," is expressly restricted to cases of injury "caused by the latent effects of exposure to any substance or combination of substances." CPLR 214-c (3), relating to notice of claim requirements, contains an identical restriction. The Second Circuit's first question is, in essence, whether the same restriction is incorporated into CPLR 214-c (4), governing cases in which "discovery of the cause of the injury" was allegedly delayed. We conclude that it is.

CPLR 214-c (4) mentions "subdivisions two and three of this section" three times. The third mention, we conclude, answers the Second Circuit's question: "[T]he plaintiff or claimant shall be required to allege and prove . . . that he has otherwise satisfied the requirements of subdivisions two and three of this section." Since subdivisions (2) and (3) require that the claim or action be one for injury "caused by the latent effects" of exposure, subdivision (4), on its face, also imposes a latency requirement.

Even if subdivision (4) could be read otherwise—if it could be read as creating an independent exception to the general three-year statute of limitations, not one dependent on the provisions of subdivisions (2) and (3)—such a reading would be inconsistent with the statute's history and purpose. CPLR 214-c was enacted in 1986 to give relief to plaintiffs in certain toxic tort cases. Its legislative history, which we discussed in *Matter of New York County DES Litig.* (89 NY2d 506, 513-514 [1997]), shows that it was intended to overrule decisions in which we had held that toxic tort claims accrued upon exposure, even

though the illness resulting from that exposure might be long delayed (see e.g. *Fleishman v Lilly & Co.*, 62 NY2d 888 [1984]; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212 [1963]). The Legislature's concern when it enacted the statute was the problems raised by toxic tort cases in which the latency of a substance's effect could prevent the plaintiff from bringing a timely lawsuit.

Plaintiff stresses that the word "latent" does not appear in CPLR 214-c (4). Indeed, the words "exposure to any substance" do not appear there either. But the whole point of CPLR 214-c was to deal with substance exposure cases. No other kind of case is discussed in the legislative history, and the Governor, when he signed the bill, identified it as the "Toxic Tort Bill" (see Public Papers of Governor Cuomo, *Governor Approves Toxic Tort Bill* [July 30, 1986]). It can hardly be argued, and plaintiff does not argue, that CPLR 214-c (4) extends beyond substance exposure cases—that for example, it would benefit a plaintiff injured by a hit and run driver or an unidentified falling object. It is thus undisputed that the words "exposure to any substance" in subdivisions (2) and (3) are incorporated into subdivision (4) of CPLR 214-c. We see no possible reading of the statute under which those words are incorporated but the word "latent" is not.

Question Two: Can an effect that appears within a matter of hours be considered "latent"?

[2] While we think it clear that CPLR 214-c (4) is limited to injuries from "latent effects," whether effects that are concealed only briefly count as "latent" is a harder question. The Second Circuit's question to us implies that the harmful effects of ephedra show themselves within "24 to 48 hours of exposure." Opinions of the District Court suggest that the time may be even shorter—a matter of a "few hours" (*In re Ephedra Prods. Liab. Litig.*, 393 F Supp 2d 181, 193 [SD NY 2005]; see also *In re Ephedra Prods.*, 2006 WL 944705, *1, 2006 US Dist LEXIS 18691, *3). This discrepancy need not concern us, because we conclude that even effects concealed for a few hours may be "latent" within the meaning of the statute.

The dictionary definition of "latent" is "not now visible, obvious, active, or symptomatic" (Merriam-Webster's Collegiate Dictionary 702 [11th ed 2003]). Using that word to describe a condition that exists only for hours puts no strain on its literal meaning. But in interpreting this statute, it might intuitively seem that so brief a period of latency should be disregarded as

insignificant—that, as the District Court put it in its opinion granting defendants’ motion to dismiss, to treat the stroke-causing effects of ephedra as latent “would effectively eliminate the statute’s limitation to ‘latent effects’ ” (*In re Ephedra Prods.*, 2006 WL 944705, *1, 2006 US Dist LEXIS 18691, *4). In fact, however, even a brief period of latency can be important when the problem is one of determining an injury’s cause—the problem with which CPLR 214-c (4) is concerned.

Perhaps the task, often confronted by doctors or scientists, of finding a causal connection between exposure to a toxic substance and an injury is never an easy one. It is certainly less difficult, however, when the effect of the toxic substance can be seen immediately—when, for example, someone breaks out in a rash as soon as his skin touches a suspected toxin. Or, to suggest an example closer to this case, if plaintiff had suffered symptoms of a stroke at once upon swallowing a pill containing ephedra, his chances and those of his doctors of inferring the causal link would have been immeasurably better. Indeed, if that had occurred, it seems highly likely that plaintiff could have discovered the cause of his injury within the normal three-year limitation period. But because his symptoms showed themselves hours later, it may have been very hard to say whether ephedra and the strokes were causally connected.

Thus cases where a toxin’s effects are latent for hours are much more likely than those in which there is no latency period to present the problem addressed by CPLR 214-c (4): a difficulty in promptly learning the cause of an injury. It is entirely plausible that several hours’ delay in the manifestation of symptoms could lead to a delay of years in detecting an injury’s cause. It thus seems reasonable that the authors of CPLR 214-c (4) would have considered even a few hours of latency enough to justify the extension of the statute of limitations authorized by that subdivision.

Defendants, and our dissenting colleagues, argue otherwise, contending that, as we said in *New York County DES*, the legislative history of CPLR 214-c shows that the Legislature that enacted it was concerned with long-term latency—with plaintiffs who were unaware that they had been injured “until after the limitations period had expired” (89 NY2d at 514 [internal quotation marks omitted]). There is no doubt that the problem of injuries that go undiscovered for years was the Legislature’s primary concern. But that was not its sole concern, for if it was there was no need to enact subdivision (4) of CPLR

214-c at all. That subdivision benefits only those plaintiffs and claimants who, having already discovered they were injured, have not discovered “the cause of the injury.” A few hours of latency might well cause a plaintiff to be in such a predicament—as plaintiff here says he was.

Defendants, and the dissenters, argue in substance that the benefits of CPLR 214-c (4) should be afforded only to those plaintiffs and claimants who also benefit from CPLR 214-c (2) or (3)—i.e., those who cannot discover their injury within the limitations period. But the statute does not say that, and we see no reason to read it in that way. Defendants’ and the dissent’s reading would produce anomalous results. Those who benefit from subdivisions (2) and (3) may bring suits or make claims many years, even decades, after their exposure to a substance. For such plaintiffs and claimants, it is undisputed, the already-long delay can be extended by subdivision (4) for up to another six years (five years from the discovery of the injury to the discovery of its cause, plus another year to sue or file a claim). But defendants and the dissenters would deny the benefit of subdivision (4) to plaintiffs, like the present one, whose injuries are discovered within hours of exposure—even though subdivision (4) would effectively require those plaintiffs to sue no more than six years after that exposure.

In other words, for plaintiffs like the present one, subdivision (4) would replace the three-year tort statute of limitations with at most a six-year statute—an extension less generous to plaintiffs, and risking less hardship to defendants, than the indefinite extensions that can result from long-term latency. Defendants and the dissent would have us read the statute to countenance extremely old claims, but to bar relatively fresh ones. We reject that reading.

Question Three: What standards apply to the issue of when sufficient information “to ascertain the cause” of an injury has been “discovered, identified or determined”?

The Second Circuit’s third question arises from CPLR 214-c (4)’s requirement that plaintiff “allege and prove that technical, scientific or medical knowledge and information sufficient to ascertain the cause of his injury had not been discovered, identified or determined” before the expiration of the otherwise-applicable limitation period. That question calls on us to resolve two possible ambiguities noted by both the District Court and the Second Circuit: Is it the plaintiff and his lawyers or the technical, scientific or medical community that must be able to

“ascertain the cause of his injury”? And what level of certainty is implied by the word “ascertain”? Both aspects of this question have been previously addressed by New York courts.

[3] As to the first of them, we said in *New York County DES*: “It is apparent from the over-all statutory plan . . . that only the technical knowledge of the scientific and medical communities [was] to be considered in determining whether the injured’s delay following the discovery of injury should be excused” (89 NY2d at 515). We now reaffirm that the statute refers to the time when information is sufficient for the technical, medical or scientific community “to ascertain” the cause of an injury. It is not reasonable to extend the statute of limitations until the time when a reasonable layperson or lawyer could “ascertain” the cause without consulting an expert—in many cases, that time might never come. Plaintiff suggests that the statute of limitations in his case did not begin to run until the relevant scientific findings were publicized in the non-expert community, but the statute’s language does not create a “publicity” test. We see no unfairness in requiring that injured people who want to protect their rights seek out expert advice, rather than waiting for the media to bring a possible cause of the injury to their attention.

The other aspect of the Second Circuit’s third question—the issue of what level of certainty “to ascertain” implies—is not one we have previously discussed. We generally agree, however, with the Appellate Division’s comments on that issue in *Pompa v Burroughs Wellcome Co.* (259 AD2d 18 [3d Dept 1999]). The statute “does not require medical certainty or information sufficient to prevail at trial, but does entail showing that sufficient information and knowledge existed to enable the medical or scientific community to ascertain the probable causal relationship between the substance and plaintiff’s injury” (*id.* at 24).

Making the Appellate Division’s “probable causal relationship” test a bit more specific, we hold that the test is one of general acceptance of that relationship in the relevant technical, scientific or medical community. That test is familiar to New York lawyers and judges. Our courts follow *Frye v United States* (293 F 1013 [DC Cir 1923]) in making “general acceptance” the test for admitting expert testimony about scientific principles or discoveries (see *People v LeGrand*, 8 NY3d 449, 457 [2007]; *People v Wesley*, 83 NY2d 417, 422 [1994]). Thus, under our holding today a causal relationship will be sufficiently ascertained for CPLR 214-c (4) purposes at, but not before, the

point at which expert testimony to the existence of the relationship would be admissible in New York courts.

The above, we believe, answers the Second Circuit's third question: "What standards should be applied?" We have not been asked to, and do not, apply those standards to the facts of this case. The federal courts dealing with this and related cases are more familiar than we with the science relating to the effects of ephedra, and are thus better able to perform that task.

Accordingly, the first and second questions should be answered in the affirmative, and the third question should be answered in accordance with this opinion.

READ, J. (dissenting). The majority opines that "effects [of an exposure to substances] concealed for a few hours may be 'latent' " for purposes of CPLR 214-c because "even a brief period of latency can be important when the problem is one of determining an injury's cause" (majority op at 598, 599). In effect, the majority defines effects as "latent" so long as symptoms do not appear "as soon as [someone's] skin touches a suspected toxin" or "at once upon swallowing a pill" (*id.* at 599). And whatever "as soon as" and "at once" may mean, it would seem to be something less than the 24 to 48 hours referred to in the second certified question. This approach finds no support in the statutory text or legislative history, which uniformly demonstrate that section 214-c was intended to relieve the plight of plaintiffs who became sick long after their *initial* exposure to a toxic substance, which is when their causes of action would otherwise accrue.

I

A latent disease is generally understood to be an illness that does not manifest clinically diagnosable symptoms until years after initial exposure to the disease-causing agent (*see e.g.* David Schottenfeld and Joanna F. Haas, *Carcinogens in the Workplace*, in *Cancer Causing Chemicals*, at 23 [N. Irving Sax ed 1981]). And as we have recounted numerous times, the Legislature enacted CPLR 214-c to "overcome the effect of a line of Court of Appeals decisions," beginning with *Schmidt v Merchants Despatch Transp. Co.* (270 NY 287 [1936]), which held that the claims of plaintiffs suffering from latent diseases "accrue[d] upon 'impact' or exposure even though the resulting illness [might not have been] manifested for a long time thereafter" (*Matter of New York County DES Litig.*, 89 NY2d 506, 513

[1997] [emphasis added]; see also *Snyder v Town Insulation*, 81 NY2d 429, 433 [1993] [noting that *Schmidt* and its progeny addressed the “question of how accrual should be determined when an injury was latent and went undiscovered until long after exposure” (emphasis added)]; *Consorti v Owens-Corning Fiberglas Corp.*, 86 NY2d 449, 454 [1995] [reviewing history of Court’s adherence to “the *Schmidt* rule fixing the occurrence of tortious injury as the date when the toxic substance invades or is introduced into the body” (emphasis added)]. As a result of the *Schmidt* rule, the three-year statute of limitations in CPLR 214 (5) lapsed before these plaintiffs even became aware they were sick.

To remedy this injustice, the Legislature adopted CPLR 214-c, which replaced the *Schmidt* rule in such cases with a rule of accrual keyed to “the discovery of the manifestations or symptoms of the latent disease that the harmful substance produced” (*Matter of New York County DES Litig.*, 89 NY2d at 514). Section 214-c, adopted as a part of a larger tort reform package (L 1986, ch 682), reflected numerous compromises. In particular, the bills passed by the Assembly in the run-up to the Legislature’s adoption of CPLR 214-c invariably provided for accrual not only upon discovery of the injury, but also upon discovery of the injury’s cause. For example, in 1984 the Assembly passed Assembly Bill A3547-A, which called for commencement of an action for personal injuries attributable to the latent effects of exposure to a substance “within two years from the date of discovery of the illness or injury, or the date of death, or the discovery of the cause of such injury, illness, or death, whichever is later” (emphases added). By contrast, the Senate majority’s versions of a time-of-discovery rule did not require discovery of causation before the statute of limitations would begin to run (see generally Steven L. White, Note, *Toward a Time-of-Discovery Rule for the Statute of Limitations in Latent Injury Cases in New York State*, 13 Fordham Urb L J 113, 154-160 [1984-1985]).

The Legislature ultimately compromised on this issue and adopted related time-of-discovery provisions for actions brought by plaintiffs to recover for latent injuries, CPLR 214-c (2) and (4). CPLR 214-c (2) enacts a three-year statute of limitations commencing upon a plaintiff’s discovery (actual or constructive) of latent injuries from exposure to a substance. This provision assumes that the plaintiff knows the cause of the injuries at the time they are discovered—i.e., become manifest (see generally

Matter of New York County DES Litig., 89 NY2d at 513 [“That CPLR 214-c (2)’s reference to ‘discovery of the injury’ was intended to mean discovery of the condition on which the claim was based and nothing more is . . . apparent from the legislative history of the provision”]).

Section 214-c (4), which “has to be read in conjunction with subdivision 2” (McLaughlin, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C214-c:4, at 634 [1990 ed]; see also *New York Adopts a “Discovery” Rule for Exposure Cases—And Even Offers a Short Time in Which to Revive Expired Claims*, Siegel, NY St L Dig, No. 321, at 1 [Sept. 1986]), specifies that if the cause of the injury is discovered less than five years after the injury is suffered, the plaintiff may commence an action within one year after identifying the cause. In order to take advantage of section 214-c (4), however, the plaintiff must show that there was insufficient medical or scientific information available to make out the injury’s cause within the three-year period otherwise prescribed in CPLR 214-c (2) (see *id.* [commenting that “(t)he issues of causation and knowledge on which this alternative time measure depends will often generate heavy fact disputes . . . likely to be intertwined with the merits”]).

The majority acknowledges that “[t]here is no doubt that the problem of injuries that go undiscovered for years was the Legislature’s primary concern,” but then adds that this was not the Legislature’s

“sole concern, for if it was there was no need to enact subdivision (4) of CPLR 214-c at all. That subdivision benefits only those plaintiffs . . . who, having already discovered they were injured, have not discovered ‘the cause of the injury.’ A few hours of latency might well cause a plaintiff to be in such a predicament” (majority op at 599-600).

As Judge McLaughlin (coincidentally a member of the Second Circuit panel in this case) observed, “[i]t need not be said that [CPLR 214-c (4)] is a complicated statute,” which “reeks of the midnight oil of political compromise. And the draftsmanship cannot be described as commendable” (McLaughlin, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C214-c:4, at 635 [1990 ed]). There is no suggestion in the statutory text or the legislative history or the contemporary commentary, however, that the Legislature adopted section 214-c (4)

to address *any* effects of exposure to substances so long as the cause was difficult to figure out when the injuries became manifest, as the majority concludes. Rather, the Legislature was concerned only with the *latent* effects of exposure—i.e., latent diseases triggered by (but manifest well after) an initial (and sometimes prolonged) exposure to a toxic substance. Section 214-c (2) and (4) simply represent the compromise struck by the Assembly and the Senate to reconcile their differing time-of-discovery rules for latent diseases, previously discussed.

The majority further speculates that “it seems reasonable that the authors of CPLR 214-c (4) would have considered even a few hours of latency enough to justify the extension of the statute of limitations authorized by that subdivision” (majority op at 599). If this was part of the authors’ design, they kept it well hidden. The statute’s legislative history evidences only a desire to enact a time-of-discovery rule for plaintiffs afflicted with latent diseases, such as workers exposed to asbestos or the adult daughters of mothers who ingested DES during pregnancy, not a free-floating intention to alter the accrual rule in every case where a disease’s etiology is difficult to divine.

II

In this case, the scientific evidence does not provide a sound basis for a jury to conclude that plaintiff’s strokes were a latent effect of his exposure to dietary supplements containing ephedra. At least, this is what I glean from the District Court’s opinion addressing general causation (*see In re Ephedra Prods. Liab. Litig.*, 393 F Supp 2d 181 [SD NY 2005]), handed down in the consolidated ephedra litigation, and the same Judge’s later decision concluding that this plaintiff’s lawsuit was time-barred.

Ephedra is a plant that contains several chemically related biologically active substances known as ephedrine alkaloids. The ephedra products at issue in the consolidated litigation combined ephedra with caffeine, and were marketed to consumers seeking weight loss, increased energy and improved athletic performance (*id.* at 185-186). The District Court Judge conducted a *Daubert* hearing to assess, as particularly relevant here, whether evidence might be introduced at trial that dietary supplements containing ephedra/ephedrine cause strokes.

After a two-week evidentiary hearing at which various scientists testified as generic experts for plaintiffs and the defense, the District Court Judge concluded that none of plaintiffs’ experts would be permitted to testify “with any

degree of medical or scientific ‘certainty’ ” that ephedra causes strokes (*id.* at 187). He did, however, also rule that some of plaintiffs’ experts would be permitted to testify (based on such things as animal studies, analogous human studies, and plausible theories of the biological mechanisms involved) that there was a reliable basis to believe that ephedra might be a contributing cause of strokes in people with, for example, high blood pressure or a genetic sensitivity to ephedra—provided that such experts qualified their testimony with the acknowledgment that none of this had been the subject of a definitive study and might in the future be disproved (*id.* at 186-187).

The biologically plausible theory about how ephedra might cause injury—one of the factors that persuaded the District Court Judge to allow some of plaintiffs’ generic experts to offer an opinion that ephedra might be a contributing cause of strokes in susceptible individuals—was that ephedra was known to “stimulate cardiovascular activity and constrict blood vessels, thereby increasing stress on the heart and circulatory system” (*id.* at 194; *see also id.* at 192 n 8 [discussing hypothesis that heart attacks, strokes or sudden death might be triggered by the coincidence of peak events, such as transient peak blood pressure due to other causes, occurring at the same time as peak ephedrine blood level]). The Judge also noted that ephedra is short-acting (*id.* at 193).

The District Court Judge subsequently dismissed plaintiff’s complaint as time-barred under CPLR 214-c. He specifically commented that

“evidence admitted during the Court’s extensive *Daubert* hearings showed that ephedra acts within a few hours to cause a *transitory elevation* of blood pressure and heart rate and a *temporary constriction* of certain blood vessels. . . . Experts designated by [plaintiff] have submitted reports stating that *these immediate effects* of ephedra may likely be a contributing cause of stroke in some people” (*In re Ephedra Prods.*, 2006 WL 944705, *1, 2006 US Dist LEXIS 18691, *3-4 [SD NY 2006] [emphases added]).

He then cited a decision by the Second Circuit holding that an injury manifest “within a few weeks” after exposure to a toxic substance was latent and therefore governed by section 214-c (2006 WL 944705 at *1, 2006 US Dist LEXIS 18691 at *4). The

Judge observed, however, that “[b]y contrast” with this decision, “researchers in a study of ephedra and stroke . . . did not consider stroke patients to have been relevantly exposed . . . unless they used [ephedra] within three days before their stroke”; and that “indeed, because of ephedra’s short-acting properties, the researchers studied strokes that occurred within 24 hours after using ephedra.” (*Id.*) He therefore concluded that “[t]o hold § 214-c applicable to a stroke allegedly caused by ephedra would effectively eliminate the statute’s limitation to ‘latent effects.’ ” (*Id.*)

In other words, based upon scientific evidence adduced at the *Daubert* hearing and credited by the District Court Judge, he concluded that any stroke attributable to ephedra would have been caused by an exposure occurring shortly (24 hours to three days) beforehand. This is because ephedra is short-acting and its effects transitory, not permanent; therefore, it is not biologically plausible for plaintiff’s strokes to have been caused by his initial exposure to ephedra, or the cumulative effect of his exposures over time. As a result, plaintiff’s strokes were not a latent disease within the meaning of section 214-c (4).

Plaintiff’s attorney argues in his reply brief that “assuming latency is a requirement for applying [CPLR 214-c (4)], same is present because the stroke resulted from ingestion of the product over time”; and that “plaintiff did become ill after using Ephedra based products for two years.”* In other words, he proposes that it was, in fact, plaintiff’s initial and repeated exposures to ephedra over a two-year period which rendered him susceptible to a stroke by effecting permanent physiological change, presumably by creating a condition of permanently elevated blood pressure. I simply do not think the District Court Judge accepted as reasonably based on good science the notion that ephedra might act on the human body to cause a stroke in this manner (*see e.g.* 393 F Supp 2d at 194 [noting three points on which the scientific evidence is “sparse and inconclusive”]). If I am wrong about that, I would agree with plaintiff that section 214-c (4) governs the timeliness of his cause of action, and

* Plaintiff’s attorney does not indicate how frequently plaintiff may have ingested ephedra over a two-year period. The District Court Judge noted that the label on one of the ephedra products did not state any maximum period for continuing the daily “suggested use” of up to 96 milligrams, while a competing product recommended a maximum daily dosage for a healthy adult of no more than 100 milligrams in a 24-hour period for not more than 12 weeks (393 F Supp 2d at 194 n 10).

that this would be the case whether he suffered a stroke 24 hours or 24 years after he last ingested ephedra.

III

The majority's interpretation of section 214-c (4)—divorcing it from whether the exposure to a substance may have caused a latent disease and focusing solely on the lapse of time from last exposure to manifestation of illness—creates a number of practical problems. The Second Circuit asked if injuries occurring within 24 to 48 hours after exposure to a substance were “latent” within the meaning of section 214-c. In response, the majority holds that “an injury that occurs *within hours* of exposure to a substance can be considered ‘latent’ for these purposes” (majority op at 594 [emphasis added]). Is “within hours” the same as 24 to 48 hours, or is it a shorter period of time? What about 12 hours? Eight hours? Presumably, “within hours” must mean at least two hours, or does it? Is this purely a legal judgment, or is scientific evidence relevant? When an effect occurs “within hours” of exposure to a substance, does it matter whether a scientist would consider such an effect to be latent?

The majority acknowledges that a disease is not latent if symptoms appear “as soon as” or “at once” upon exposure. Indeed, the majority almost has to make this concession or it would be even more obvious than it already is that section 214-c (4) now covers lawsuits relating to the “effects”—not just the “latent” effects—of exposure to a substance, despite the majority's answer to the first certified question. But what do “as soon as” or “at once” mean in this context? Most substances that are ingested, for example, are not instantaneously absorbed. Does whether an injury is latent depend upon scientific evidence about how quickly a substance is taken up in the body or reaches a certain concentration in the blood?

It is difficult to predict the practical effects of the majority opinion. Certainly we now have a six-year statute of limitations in New York, running from the date an injury becomes manifest, for every purported side effect of a drug or other substance that may be ingested, subject to the restrictions in section 214-c (4)—the five-year and one-year limits and the necessity for proof about the state of medical or scientific evidence at the relevant time. Because there is no reason to believe that the Legislature had any such result in mind when it enacted CPLR 214-c (4), I respectfully dissent.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge SMITH; Judge READ dissents in a separate opinion in which Judges GRAFFEO and PIGOTT concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[942 NE2d 210, 917 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OL-
DALYS ORTEGA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MAU-
RICE BENSTON, Appellant.

Argued October 20, 2010; decided November 23, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 2, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard D. Carruthers, J.), which had convicted defendant, upon a jury verdict, of criminal possession of stolen property in the fourth degree (two counts) and criminal possession of a controlled substance in the seventh degree.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 16, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Darcel D. Clark, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree, attempted assault in the second degree, criminal possession of a weapon in the fourth degree, criminal contempt in the first degree (four counts), criminal contempt in the second degree (two counts), intimidating a victim or witness in the third degree, aggravated harassment in the second degree, and harassment in the second degree.

People v Ortega, 64 AD3d 422, affirmed.

People v Benston, 70 AD3d 479, affirmed.

HEADNOTES

Crimes — Assault — Domestic Violence — Nature of Relationship

1. Neither cohabitation nor a current romantic relationship is necessary for one individual to subject another to acts that will be considered domestic violence. Rather, domestic violence is characterized by a current, or former, intimate relationship between the parties. Accordingly, the relationship between defendant and the person he was accused of assaulting was one that was subject to classification as involving domestic violence where they were living together platonically, defendant paying a portion of the rent, and had been romantically involved many years ago.

**Crimes — Evidence — Hearsay — Business Records Exception —
Medical Records**

2. In a prosecution for assault and related crimes, references in the victim's medical records to "domestic violence" and to the existence of a safety plan were admissible under the business records exception to the hearsay rule. The inquiry in determining the admissibility of statements in medical records is whether the statements at issue were relevant to diagnosis and treatment. Here, not only were those statements relevant to complainant's diagnosis and treatment, domestic violence was part of the attending physician's diagnosis. Developing a safety plan, including referral to a shelter where appropriate, and dispensing information about domestic violence and necessary social services can be an important part of the patient's treatment. Therefore, it was not error to admit references to domestic violence and a safety plan in complainant's medical records. Moreover, references to domestic violence and a safety plan do not lead to the conclusion that there has been a history of abuse; in addition, the trial court here exercised its discretion by redacting certain portions of the records, most significantly the references to any history of abuse.

**Crimes — Harmless and Prejudicial Error — Statement in Medical
Record**

3. In a prosecution for assault and related crimes, references to the color of the weapon in the victim's medical records should not have been admitted into evidence under the business record exception to the hearsay rule, but any error in that regard was harmless. Although the nature of the weapon used to strangle complainant, a leather belt, may have been relevant to diagnosis and treatment, that the belt was black had no relevance. However, the evidence against defendant was overwhelming and there was no significant probability that, had the error not occurred, the outcome of the trial would have been different.

**Crimes — Evidence — Hearsay — Business Records Exception —
Medical Records**

4. In a prosecution for criminal possession of stolen property in which complainant testified that defendant forced him to smoke crack cocaine, the statement in complainant's medical records that he was "forced to" smoke a white, powdery substance was relevant to complainant's diagnosis and treatment and was admissible under the business records exception to the hearsay rule. Under a scenario where he was forced to consume drugs, complainant would not have been in control over either the amount or the nature of the substance he ingested. In addition, treatment of a patient who is the victim of coercion may differ from a patient who has intentionally taken drugs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 659, 666, 703; AM JUR 2d, Assault and Battery §§ 27, 63, 67, 68; AM JUR 2d, Evidence §§ 1257–1266.

CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:61, 177:62; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:87–194:89, 194:96, 194:116; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:117.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2094, 2127, 2131–2133, 2146, 3569, 3570, 3572, 3573; NY JUR 2d, Public Welfare and Old Age Assistance § 173.

ANNOTATION REFERENCE

“Cohabitation” for purposes of domestic violence statutes.
71 ALR5th 285.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jan Hoth* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. Where the complainant’s medical records were generally admissible under the business records exception to the hearsay rule, the court’s refusal, over defense objection, to redact a key statement within those records which did not meet the “necessary for treatment and diagnosis” requirement of that exception denied appellant a fair trial. (*People v Foster*, 27 NY2d 47; *People v Kohlmeyer*, 284 NY 366; *Williams v Alexander*, 309 NY 283; *People v Pitti*, 262 AD2d 503; *People v Goode*, 179 AD2d 676; *People v Singleton*, 140 AD2d 388; *People v Bailey*, 252 AD2d 815; *People v LaFontaine*, 93 NY2d 849; *People v Maher*, 89 NY2d 456; *People v Nieves*, 67 NY2d 125.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Malancha Chanda* and *Richard Nahas* of counsel), for respondent in the first above-entitled action. The introduction into evidence of the portions of the victim’s medical records disclosing that he had been forced to ingest drugs did not deprive defendant of a fair trial. (*People v Kennedy*, 68 NY2d 569; *Williams v Alexander*, 309 NY 283; *Davidson v Cornell*, 132 NY 228; *People v Edwards*, 261 AD2d 899; *People v Bailey*, 252 AD2d 815; *People v Goode*, 179 AD2d 676; *People v Torres*, 175 AD2d 635; *People v Archie*, 167 AD2d 925; *People v Taylor*, 80 NY2d 1; *People v Mooney*, 76 NY2d 827.)

Legal Aid Society, Criminal Appeals Bureau, New York City (*Paul Wiener* and *Steven Banks* of counsel), for appellant in the second above-entitled action. I. In this extremely close case the

court, over defense counsel's objection, erroneously allowed the prosecution to introduce highly prejudicial hearsay evidence from complainant's medical records that was completely irrelevant to her diagnosis or treatment. (*People v Kennedy*, 68 NY2d 569; *Williams v Alexander*, 309 NY 283; *People v Johnson*, 70 AD3d 1188; *Boucheron v Tilley*, 87 AD2d 983; *People v Thomas*, 282 AD2d 827; *People v Tarver*, 161 AD2d 1162; *People v Harris*, 132 AD2d 940; *United States v Iron Shell*, 633 F2d 77; *People v Goode*, 179 AD2d 676; *People v Crimmins*, 36 NY2d 230.) II. Where complainant's credibility was the central issue in the case, the court erred when it precluded defense counsel from cross-examining her to show that she had fabricated her testimony. (*Crane v Kentucky*, 476 US 683; *Chambers v Mississippi*, 410 US 284; *Delaware v Van Arsdall*, 475 US 673; *Davis v Alaska*, 415 US 308; *California v Green*, 399 US 149; *People v Gissendanner*, 48 NY2d 543; *People v Schwartzman*, 24 NY2d 241; *United States v Pedroza*, 750 F2d 187; *People v Ashner*, 190 AD2d 238; *People v Rufrano*, 220 AD2d 701.)

Robert T. Johnson, District Attorney, Bronx (Robert R. Sandusky, III, Joseph N. Ferdenzi and Mary Jo L. Blanchard of counsel), for respondent in the second above-entitled action. I. The trial court properly admitted the victim's medical records, as well as testimony from the doctor who diagnosed and treated her, and any allegedly improper hearsay was harmless. (*People v Henson*, 33 NY2d 63; *People v Greenlee*, 70 AD3d 966; *People v Moscat*, 3 Misc 3d 739; *People v Anonymous*, 192 Misc 2d 570; *Havell v Islam*, 186 Misc 2d 726; *People v Swinger*, 180 Misc 2d 344; *People v Patterson*, 93 NY2d 80; *People v Sorge*, 301 NY 198; *People v Nieves*, 67 NY2d 125; *Williams v Alexander*, 309 NY 283.) II. The trial court accorded defendant ample opportunity to confront and cross-examine the victim. (*People v Williams*, 81 NY2d 303; *People v Early*, 186 AD2d 377; *People v Cepeda*, 208 AD2d 364; *United States v Almonte*, 956 F2d 27; *Alford v United States*, 282 US 687; *People v Dickman*, 42 NY2d 294; *People v Schwartzman*, 24 NY2d 241; *Delaware v Van Arsdall*, 475 US 673; *People v Montes*, 67 AD3d 586.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The common issue presented by these appeals is whether certain statements appearing in medical records were properly admitted at trial as relevant to diagnosis and treatment under the business records exception to the hearsay rule. We find no reversible error in either case and uphold the convictions.

People v Benston

Defendant, who was without another place to live, had been residing in the spare bedroom in complainant's apartment, at her invitation. Although their relationship was platonic at that time, they had been involved in a romantic relationship many years prior, beginning when complainant was 14 years old and lasting until she was 20 or 21.¹ Defendant paid complainant a portion of the rent, but she saved the money he gave her and planned to return it to him when he was able to move out.

On October 3, 2004, defendant informed complainant that he had taken five dollars in quarters from her coin purse for laundry and had replaced them with a five dollar bill. Complainant, upset because she suspected defendant had been going through her personal belongings, asked him to move out. Defendant became angry and threatened to kill complainant. He assaulted her and choked her—using first a scarf and then a leather belt. Complainant was able to free herself and called 911. After defendant fled the apartment, complainant finished packing his belongings and brought them to his brother's house. By the time complainant returned to her apartment, the police had arrived. One of the officers discovered defendant crouched in a corner of complainant's apartment. Defendant was then arrested and complainant was taken to the hospital.

Complainant reported to medical personnel that she had been strangled by an old boyfriend and that he had used a black leather belt. She was diagnosed by the attending physician with "domestic violence [and] asphyxiation." Prior to the introduction of the medical records at trial, defense counsel moved to redact, among other things, references to domestic violence, to the perpetrator's status as a former boyfriend and to the existence of a safety plan for complainant. The court ordered certain portions of the records to be redacted—specifically, any references to a history of abuse and to statements that complainant had asked the perpetrator to leave her home and that she had filed a complaint against him. The court did, however, permit references to domestic violence, the perpetrator's relationship to complainant, the description of the weapon and the existence of a safety plan. The court also denied defendant's motion in limine to preclude the attending physician from making repeated references to "domestic violence," instead requiring defense counsel to make specific objections if and when necessary.

1. Complainant was 36 years old at the time of the crimes.

In addition to the charges stemming from the October 3 incident, defendant was also indicted on charges pertaining to three subsequent episodes. On February 12, 2005, defendant, in violation of an order of protection, telephoned complainant repeatedly² and showed up outside the door to her apartment. Defendant allegedly caused a disturbance by kicking complainant's door and yelling for her male houseguest to leave the apartment. On February 16, 2005, defendant again approached complainant in violation of an order of protection by meeting her on the street when she got off the bus on her way home from work. During this encounter, defendant allegedly asked complainant not to testify against him and threatened to kill her. The following morning, defendant was waiting for complainant outside her apartment, again in violation of an order of protection, and accompanied her part of the way to work until she was able to elude him at a subway station. Defendant allegedly told her that he had had a razor with him the night before and thought about killing her and killing himself.

Defendant was acquitted of attempted murder in the second degree, but was convicted of assault in the second degree, attempted assault in the second degree, criminal possession of a weapon in the fourth degree, four counts of criminal contempt in the first degree, two counts of criminal contempt in the second degree, intimidating a victim or witness in the third degree, aggravated harassment in the second degree and harassment in the second degree.

The Appellate Division affirmed, finding that it was a proper exercise of discretion for the court to allow limited references in medical records and testimony to the effect that complainant "was diagnosed as having been subjected to domestic violence involving a former boyfriend," as those references were relevant to the proposed treatment (70 AD3d 479, 479 [1st Dept 2010]). A Judge of this Court granted defendant leave to appeal, and we now affirm.

People v Ortega

Complainant, a 25-year-old man, encountered defendant outside a bodega in Washington Heights at about 4:30 A.M. on July 14, 2007. Although complainant initially asked defendant

2. A telephone company representative testified that defendant called complainant's home and cell phone numbers a combined total of 93 times that day.

to purchase marijuana for him, complainant testified that defendant and another man escorted him, at gunpoint, to a nearby building where they forced him to smoke crack cocaine from a glass pipe. The men also allegedly forced him to give them the PIN numbers to his bank cards. Subject to threats that he or his family would be hurt if he did not cooperate, complainant was allegedly forced to withdraw money from his bank accounts on several occasions over the course of the morning. Complainant was allegedly taken back to the nearby building and was again forced to smoke crack between the additional trips to obtain cash.

Complainant was eventually able to escape his captors shortly after noon that day. When he returned home, he was shaking, crying and incoherent. Complainant was taken to the hospital, where he told medical staff that he “was forced to smoke [a] white substance from [a] pipe.” Later that night, defendant was arrested after being pulled over for an unrelated traffic offense. He was in possession of a small amount of crack, as well as complainant’s bank cards, identification cards and cell phone.

Defendant’s version of events differed significantly from complainant’s. Defendant essentially testified that complainant voluntarily smoked crack with him and that complainant withdrew the money from his bank accounts of his own volition. Defendant also explained that complainant had willingly handed over his personal property and left it in defendant’s possession.

Defendant was convicted of two counts of criminal possession of stolen property in the fourth degree. The Appellate Division affirmed, finding that even if the court should have redacted the statements at issue from complainant’s hospital records, any error was harmless (64 AD3d 422 [1st Dept 2009]). A Judge of this Court granted defendant leave to appeal, and we now affirm.

Business Records Exception

Under the business records exception to the hearsay rule,

“[a]ny writing or record . . . made as a memorandum or record of any act, transaction, occurrence or event, shall be admissible in evidence in proof of that act, transaction, occurrence or event, if the judge finds that it was made in the regular course of any business and that it was the regular course of such business to make it, at the time of the act,

transaction, occurrence or event, or within a reasonable time thereafter” (CPLR 4518 [a]).

This exception applies to criminal proceedings through Criminal Procedure Law § 60.10.

Generally, business records are deemed trustworthy both because they reflect routine business operations and because the person making the particular entry has the responsibility to keep accurate records that can be relied upon for business purposes (see *Williams v Alexander*, 309 NY 283, 286 [1955]). Hospital records, in particular, are trustworthy as they are “designed to be ‘relied upon in affairs of life and death’ ” (*Williams*, 309 NY at 288, quoting 6 Wigmore, Evidence § 1707, at 36 [3d ed 1940]) and as they reflect the condition of a patient who has the clear motivation to report accurately.³ Hospital records fall within the business records exception when they “reflect[] acts, occurrences or events that relate to diagnosis, prognosis or treatment or are otherwise helpful to an understanding of the medical or surgical aspects of . . . [the particular patient’s] hospitalization” (*Williams*, 309 NY at 287 [internal quotation marks and citations omitted]). Where details of how a particular injury occurred are not useful for purposes of medical diagnosis or treatment, they are not considered to have been recorded in the regular course of the hospital’s business (see *Williams*, 309 NY at 288).

For example, in *Williams*, plaintiff was struck by a car, but the parties disagreed over how the accident happened. Plaintiff’s statement to a physician that he was hit after a car that had been stopped at an intersection was propelled into him by another vehicle was deemed inadmissible. The statement concerned the manner in which the accident occurred and was irrelevant to diagnosis or treatment (see *Williams*, 309 NY at 288-289).

We noted in *Williams* that, in certain situations, how the patient was injured “may be helpful to an understanding of the medical aspects of his [or her] case” (309 NY at 288). To that end, the analysis of some lower courts addressing the admissibility of medical records in domestic violence or child abuse situations may be instructive here. The Second Department

3. In this case we are presented with the most common scenario in which the information appears to have been derived from either medical personnel’s firsthand observations or the presumptively reliable firsthand report of the patient to medical personnel.

found admissible medical records containing a statement by a complainant that she was attacked by friends of her former boyfriend who were trying to stop her from testifying against him in a domestic violence proceeding (see *People v Greenlee*, 70 AD3d 966 [2d Dept 2010], *lv denied* 14 NY3d 888 [2010]). The information was found relevant to treatment because it could be used to develop a discharge plan that would ensure the victim's safety (*Greenlee*, 70 AD3d at 967). Moreover, in a case involving child abuse, a nurse's testimony that an abused foster child told her that his foster mother caused his bruises was found proper because it was germane to diagnosis and treatment (see *People v Caccese*, 211 AD2d 976, 977 [3d Dept 1995], *lv denied* 86 NY2d 780 [1995]). At least one trial court has found medical records containing a diagnosis of domestic violence admissible due, in part, to the close association between the physical and psychological injuries typically involved (see *People v Swinger*, 180 Misc 2d 344, 349 [Crim Ct, NY County 1998]; see also *People v Anonymous*, 192 Misc 2d 570, 573-574 [Sup Ct, Bronx County 2002] [medical records containing the identity of an abuser in a child abuse case found relevant to treatment of the victim, including potential mental health referrals]).

The inquiry in each case before us remains whether the statements at issue were relevant to diagnosis and treatment. In *Benston*, defendant argues that several statements from complainant's medical records should not have been admitted. The specific statements that defendant contests are references to an "old boyfriend" as the perpetrator, the description of the case as involving "domestic violence," references to a "safety plan" for complainant and the description of the weapon as a "black" leather belt. Defendant also argues that this is not a case of domestic violence because he and complainant were living together in a platonic, landlord-tenant-type relationship.

[1] The latter argument is without merit. Neither cohabitation nor a current romantic relationship is necessary for one individual to subject another to acts that will be considered domestic violence. Rather, domestic violence is characterized by a current, or former, intimate relationship between the parties (see e.g. CPL 530.11 [1] [e] [for family offense matters, "members of the same family or household" are defined to include "persons who are not related by consanguinity or affinity and who are or have been in an intimate relationship regardless of whether such persons have lived together at any time. Factors the court may consider in determining whether a

relationship is an ‘intimate relationship’ include but are not limited to: the nature or type of relationship, regardless of whether the relationship is sexual in nature; the frequency of interaction between the persons; and the duration of the relationship”]; Family Ct Act § 812 [1]; *see also* Social Services Law § 459-a [2]). The relationship between these two individuals, considering both their former relationship and their living situation at the time of the assault, is clearly one that is subject to classification as involving domestic violence. In this context, it is relevant for purposes of diagnosis and treatment that complainant’s assault was at the hands of a former boyfriend.

[2] The references to “domestic violence” and to the existence of a safety plan were admissible under the business records exception. Not only were these statements relevant to complainant’s diagnosis and treatment, domestic violence was part of the attending physician’s diagnosis in this case. With all that has been learned about the scourge of domestic violence in recent decades, we now recognize that it differs materially, both as an offense and a diagnosis, from other types of assault in its effect on the victim and in the resulting treatment. In this context, a doctor faced with a victim who has been assaulted by an intimate partner is not only concerned with bandaging wounds. In addition to physical injuries, a victim of domestic violence may have a whole host of other issues to confront, including psychological and trauma issues that are appropriately part of medical treatment. Developing a safety plan, including referral to a shelter where appropriate, and dispensing information about domestic violence and necessary social services can be an important part of the patient’s treatment. Therefore, it was not error to admit references to domestic violence and a safety plan in complainant’s medical records.

Contrary to defendant’s argument, references to domestic violence and a safety plan do not lead to the conclusion that there has been a history of abuse. It is worth noting that the trial court here did not admit the medical records in their entirety. Rather, the court exercised its discretion by redacting certain portions of the records, most significantly the references to any history of abuse.

[3] Defendant is correct that it was error to allow any references to the color of the weapon into evidence. Although the nature of the weapon used to strangle complainant—a leather belt—may have been relevant to diagnosis and treatment, that the belt was black had no relevance. References to the color of

the belt should not have been admitted, but any error in that regard was harmless. The evidence against defendant was overwhelming and there is no significant probability that, had the error not occurred, the outcome of the trial would have been different (see *People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

[4] In *Ortega*, the statement that complainant was “forced to” smoke a white, powdery substance was relevant to complainant’s diagnosis and treatment. As the trial judge reasoned, under such a scenario, complainant would not have been in control over either the amount or the nature of the substance he ingested. In addition, treatment of a patient who is the victim of coercion may differ from a patient who has intentionally taken drugs. The references to complainant being “forced to” consume crack were admissible under the business records exception to the hearsay rule.

Defendant Benston’s remaining argument concerning the alleged restriction of his right to confront a prosecution witness during re-cross-examination is without merit.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

SMITH, J. (concurring). I agree with the result reached by the majority, but I think its analysis needs to be expanded.

The majority says that hospital records containing statements made by crime victims are admissible in criminal prosecutions under the business records exception to the hearsay rule. A number of Appellate Division cases say the same thing (see *People v Edwards*, 261 AD2d 899 [4th Dept 1999]; *People v Bailey*, 252 AD2d 815 [3d Dept 1998]; *People v Goode*, 179 AD2d 676 [2d Dept 1992]; *People v Torres*, 175 AD2d 635 [4th Dept 1991]; *People v Archie*, 167 AD2d 925 [4th Dept 1990]; *People v Singleton*, 140 AD2d 388 [2d Dept 1988]). Some of these cases, like the majority opinion, rely on *Williams v Alexander* (309 NY 283 [1955]). But the majority opinion, and these Appellate Division cases, ignore a gap in their logic: the business records exception makes the records themselves, but not hearsay contained within the records, admissible (*Johnson v Lutz*, 253 NY 124, 128 [1930]; *Flynn v Manhattan & Bronx Surface Tr. Operating Auth.*, 61 NY2d 769, 771 [1984]).

The hospital records before us present a “hearsay within hearsay” problem. They contain not only the written statements of the hospital employees who created the records—state-

ments to which the business records exception might well apply—but also the hearsay statements of the alleged victims. As a recent lower court decision put it: “Hearsay cannot be transformed into nonhearsay simply because a business routinely relies upon it and integrates it into its own records” (*Second Med., P.C. v Auto One Ins. Co.*, 20 Misc 3d 291, 297 [Civ Ct, Kings County 2008]). *Williams*, a civil case, presented no such problem. There, the statement contained in the hospital records was made by the plaintiff, was offered in evidence by the defendant, and would thus have been admissible as an admission by an adverse party (*People v Johnson*, 93 NY2d 254, 260 [1999]).

I agree that the statements in issue here are admissible, but the business records exception is not enough to support that conclusion. It is clear to me that we are implicitly recognizing, and that the Appellate Division cases cited above implicitly recognize, another hearsay exception, for statements made for purposes of medical diagnosis or treatment. That exception is explicitly recognized in the Federal Rules of Evidence (rule 803 [4]), and finds some support in New York case law (*see People v Thomas*, 282 AD2d 827, 828 [3d Dept 2001]; *Scott v Mason*, 155 AD2d 655, 657 [2d Dept 1989]). The leading treatises on New York evidence, however, suggest that the exception has not been adopted in New York, though they also suggest that it should be adopted (Fisch, *New York Evidence* §§ 995-996 [2d ed & 2008 Supp]; Prince, *Richardson on Evidence* § 8-610 [Farrell 11th ed]), and one of them describes recent cases that point in that direction (Fisch § 996, at 571, 2008 Supp at 680-681).

A hearsay exception for statements of this kind is justifiable. Statements to one’s own doctor or other health care professional have an intrinsic guarantee of reliability, for only a foolish person would lie to his or her own doctor when seeking medical help (*see Davidson v Cornell*, 132 NY 228, 237 [1892]). And the exception, it seems to me, is essential to the majority’s decision, consistent with uniform Appellate Division authority, that the evidence at issue in these cases is admissible. In other words, I think we are adopting the “medical diagnosis and treatment” exception to the hearsay rule in this case, and I think we ought to say so.

Applying the exception to these cases, I agree with the majority that all the statements in issue (apart from the harmless reference to the color of the belt used by Benston to attack his victim) were properly admitted. I have no difficulty with

Ortega: surely a doctor treating someone for narcotics poisoning would want to know the circumstances under which the patient came to ingest the drug. I find *Benston* a harder case, because it is much less obvious that a doctor treating a patient for attempted strangulation would care whether the patient's assailant was an ex-boyfriend or a stranger. I accept, however, the majority's conclusion that, when a victim of alleged domestic violence seeks treatment, it is the duty of those treating her to address not just her physical ailments, but any psychological and safety issues that her case may present.

This broad understanding of what is relevant to diagnosis and treatment will, I acknowledge, make quite a lot of hearsay evidence admissible: when a patient has a mental health problem, it may often be true that almost any statement about his or her history will be within the hearsay exception. But I see no reason to limit hearsay more strictly in situations like this. Often, as in both of the present cases, a broad hearsay exception will serve only to admit prior consistent statements, which are at worst cumulative of the witness's testimony in the courtroom. In other cases, particularly if they involve domestic violence, it may serve to admit prior inconsistent statements, not just for impeachment purposes, but as evidence-in-chief. This seems to me highly desirable: When an alleged victim testifies in court that her boyfriend or husband never laid a hand on her, a jury should be allowed to learn of and evaluate, without artificial restrictions, her previous statement to her doctor describing a brutal assault.

I see no unfairness to defendants in holding that prior statements of witnesses, whether consistent or inconsistent with their in-court testimony, are admissible if made for purposes of medical diagnosis or treatment. In either kind of case, the witness can be cross-examined, and if the statements are inconsistent the jury, aided by the cross-examination, can decide which to believe. These cases do not present the harder problem that will arise when the out-of-court statement was made by a person who does not testify at trial. The majority says nothing about that problem, and I too think it best to leave it for another day.

PIGOTT, J. (concurring). Although I concur in the results in *People v Ortega* and *People v Benston* because I think any error that occurred in those cases was harmless, I write separately to underscore two significant points. First, it must be noted that the content of a medical record proffered under CPLR 4518 is,

upon a proper objection, always subject to redaction of information that is irrelevant or not germane to the patient's medical diagnosis or treatment (*see People v Johnson*, 70 AD3d 1188, 1191 [3d Dept 2010]; *see also Montes v New York City Tr. Auth.*, 46 AD3d 121, 124-125 [1st Dept 2007] [trial judge has an obligation to redact from reports any parts thereof that, standing alone, would not be admissible, since the fact that certain conclusions are irrelevant is not changed merely because they are set forth in a business record]). To that extent, I agree with Judge Smith that "the business records exception makes the records themselves, but not hearsay contained within the records, admissible" (Smith, J., concurring op at 620).

Second, in my view, the majority in *Benston* interprets the business records exception too broadly by concluding that the "diagnosis" of domestic violence and references to a "safety plan" were properly admitted as part of the victim's diagnosis and treatment. While I recognize that domestic violence differs materially as an offense from other types of assault, the admission of this evidence can be error. A blanket rule allowing statements made by the complainant at the time of admission to the hospital can be just as harmful to a complainant's interests in some cases as its application here was to the defendant.

It is common knowledge that many domestic violence victims may mislead medical providers to protect their abusers, and are known for crafting cover stories to hide their victimization. This is also true in cases involving child abuse. Assuming a victim or a parent relays a cover story to medical personnel, would that record automatically be allowed in as proof for the defense, or should the trial judge be afforded the latitude to exercise discretion in redacting that portion of the record even though it is considered part of the diagnosis, care and treatment of the patient?

The mechanism of injury is almost always important, but hearsay statements that may identify (or misidentify) the alleged perpetrator or purport to explain the circumstances of an injury may, in certain circumstances, violate the Confrontation Clause of the Sixth Amendment. Thus, conclusory statements such as "domestic violence" while part of the medical record, in my view, should have been redacted because whether complainant was strangled by a former intimate partner or by a stranger was irrelevant to the type of treatment she received for her physical injuries. In a similar vein, formulation of a "safety plan" for use after the complainant left the hospital was not

pertinent to the diagnosis and treatment of her immediate injuries and is therefore not part of the record that is contemplated by the exception.

As to *People v Ortega*, the idea that the complainant was forced at gunpoint to ingest crack cocaine so that the defendant could convince him to turn over his ATM card seems to me unworthy of belief, and therefore, in my view, probably inured to the benefit of the defendant. However, absent *medical* testimony that the complainant being “forced” to ingest cocaine was relevant to diagnosis and treatment, it should have been excluded, not only because complainant’s statement “extend[ed] . . . beyond the basic disclosure[] necessary or germane to diagnosis and treatment,” but also because it bolstered complainant’s testimony (*People v Benedetto*, 294 AD2d 958, 958-959 [4th Dept 2002] [even if counselor’s notes had been certified, and a proper foundation had been laid for their admission as business records, they nonetheless contained hearsay declarations that bolstered complainant’s testimony and therefore should not have been admitted]).

Judges CIPARICK, GRAFFEO, READ and JONES concur with Chief Judge LIPPMAN; Judge SMITH concurs in result in a separate opinion; Judge PIGOTT concurs in result in another opinion.

In each case: Order affirmed.

[942 NE2d 248, 917 NYS2d 39]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH HECKER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY GUARDINO, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ERIC HOLLIS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMEL BLACK, Appellant.

Argued October 14, 2010; decided November 30, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 3, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (A. Kirke Bartley, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 21, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Robert H. Straus, J.), which had convicted defendant, upon a jury verdict, of enterprise corruption, combination in restraint of trade and competition in violation of General Business Law §§ 340 and 341, bribe receiving by a labor official (13 counts), grand larceny in the third degree (six counts), and grand larceny in the fourth degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 2, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard D. Carruthers, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

APPEAL, in the fourth above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second

Judicial Department, entered September 29, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (John G. Ingram, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, assault in the third degree, criminal possession of stolen property in the fifth degree, and criminal possession of a weapon in the third degree.

People v Hecker, 68 AD3d 429, reversed.

People v Guardino, 62 AD3d 544, affirmed.

People v Hollis, 63 AD3d 409, affirmed.

People v Black, 65 AD3d 1370, affirmed.

HEADNOTES

Crimes — Jurors — Selection of Jury — *Batson* Procedure

1. While *Batson v Kentucky* (476 US 79 [1986]) initially requires the moving party to establish a prima facie case that the nonmoving party has intentionally used its peremptory challenges to discriminate against a cognizable group during the jury selection process, once the nonmoving party has placed its race-neutral reasons on the record, the sufficiency of the prima facie showing becomes “moot.” To revisit the adequacy of the initial showing unnecessarily evades the ultimate question of discrimination.

Crimes — Jurors — Selection of Jury — Establishment of Prima Facie *Batson* Showing

2. Defendant failed to meet his burden of establishing, during jury selection, a prima facie case of discrimination under step one of the three-step test formulated in *Batson v Kentucky* (476 US 79 [1986]) where, after alleging that the People impermissibly used their challenges to exclude four African-American females, the defense made no record of the racial or gender composition of the remaining venire nor articulated other facts or circumstances that, in its view, gave rise to an inference of discrimination. Inasmuch as the 12-person jury ultimately selected consisted of five females, one of whom was African-American, mere numerical assertions alone would not give rise to a mandatory inference of discrimination. To sustain a prima facie showing of purposeful discrimination absent a 100% exclusion rate of a cognizable group, the moving party must place other factors on the record to meet its step one burden. One relevant factor is whether defendant is a member of the same cognizable group that the People are allegedly aiming to exclude. Here, neither defendant nor any of his codefendants was a female African-American, and the defense did not argue that the People treated the four challenged females disparately vis-à-vis the unchallenged prospective jurors, or that the People excluded the cognizable group because they would, for some reason, be more favorably disposed to the defense. Because the numerical arguments alone advanced by defendant did not give rise to a prima facie case of impermissible discrimination, the trial court properly denied defendant’s *Batson* application.

Crimes — Jurors — Selection of Jury — Establishment of Prima Facie *Batson* Showing

3. Defendant, an African-American male, failed to meet his step one burden of establishing a prima facie case of impermissible discrimination under the

three-step test formulated in *Batson v Kentucky* (476 US 79 [1986]) where the defense argued that a prima facie case was simply “a question of numbers” and had been established because the People had eliminated the only two African-American panelists considered in a particular round of jury selection. Defense counsel did not make a record of the racial composition of the remaining venire nor did he argue that the People peremptorily struck African-American prospective jurors seated during a prior round of jury selection. Furthermore, counsel did not enumerate any other factors supporting an inference of discrimination. The trial court specifically advised defense counsel that he could renew his *Batson* challenge at a later point if he saw fit; however, at the conclusion of the voir dire, defense counsel elected not to renew his *Batson* challenge.

Crimes — Jurors — Selection of Jury — Finding of Pretext under *Batson*

4. Once a prima facie case of impermissible discrimination in the use of peremptory jury challenges has been established pursuant to the three-step test formulated in *Batson v Kentucky* (476 US 79 [1986]), the burden shifts to the opposing party, in step two, to set forth a race-neutral reason for each of the stricken jurors. If the explanations proffered by the nonmoving party are race neutral, the burden then shifts back to the moving party, at step three, to persuade the court that the reasons were merely a pretext for intentional discrimination. A *Batson* inquiry vests the trial judge with broad discretion to determine the parties’ credibility, and a trial court’s determination whether a proffered race-neutral reason is pretextual is an issue of fact to be accorded deference on appeal. However, a trial court must establish a meaningful record for a reviewing court to uphold its ruling.

Crimes — Jurors — Selection of Jury — Finding of Pretext under *Batson*

5. There was no record support for the trial court’s finding that the race-neutral reasons offered by the defense for using a peremptory challenge to exclude a prospective Asian-American juror were a pretext for intentional discrimination in violation of *Batson v Kentucky* (476 US 79 [1986]). The trial court’s conclusions were an overly constricted view of the record warranting no deference on review. Defense counsel’s choice not to ask the prospective Asian-American juror a single question during voir dire was not an indication of a specific racial bias given that the court severely curtailed the parties from questioning the panelists, precluding them from conducting a more meaningful voir dire by limiting each side to 10 minutes of questioning for the group of 18 panelists. Furthermore, there was no support in the record that counsel purposely avoided questioning panelists of Asian descent in order to justify peremptorily striking them later. The crux of counsel’s race-neutral explanation to strike the prospective juror was that counsel knew little or nothing about the prospective juror. Counsel’s decision to strike the prospective juror could not be construed to be rooted in racial animosity, but rather had a rationale with some basis in accepted trial strategy.

Crimes — Jurors — Selection of Jury — Finding of Pretext under *Batson*

6. Defense counsel’s initial “reluctance” to offer a race-neutral reason for using a peremptory challenge to exclude a prospective Asian-American juror did not support the trial court’s later finding that counsel’s reasons for striking the juror were a pretext for intentional discrimination in violation of *Batson v Kentucky* (476 US 79 [1986]). Rather, a review of the record indicated

that counsel was of the genuine belief that she was under no requirement to provide a reason for that peremptory strike. In defending her exclusion of another prospective Asian-American juror, defense counsel went to great lengths to dispute that a pattern of discrimination against persons of Asian descent had been established. Consequently, counsel's decision not to explain her basis for challenging this juror did not demonstrate a racial bias, but rather an understanding of the right to lodge peremptory challenges without providing a reason. Notably, the record would have been more complete had the trial court not denied counsel's proposal to reopen voir dire following the court's finding of pretext. Counsel's willingness to have the juror returned for questioning was indicative of a genuine desire to learn more about her and a reflection that counsel's decision to strike her in the first instance was not on account of race. Nor can it be said that counsel's reflections about the juror's austere demeanor and temperament indicated impermissible racial stereotyping.

Crimes — Jurors — Selection of Jury — Finding of Pretext under *Batson*

7. While the sufficiency of the prima facie showing of impermissible discrimination in the use of peremptory challenges under *Batson v Kentucky* (476 US 79 [1986]) becomes moot once a party states its race-neutral reasons for lodging a peremptory strike, the strength or paucity of the prima facie showing is a factor that should be considered in determining whether the record as a whole supports a finding that the nonmovant's reasons for challenging the juror were pretextual. Here, where defense counsel utilized peremptory challenges to strike two prospective jurors of Asian descent and at least three other persons from the venire were likely of Asian descent, the People's prima facie case, which rested solely on the fact that defense counsel struck two jurors of Asian descent in one particular round of jury selection, was weak and was another factor undermining the trial court's finding of pretext.

Crimes — Harmless and Prejudicial Error — Mistaken *Batson* Ruling

8. A trial court's *Batson* error in precluding counsel from exercising a peremptory challenge to exclude a potential juror (see *Batson v Kentucky*, 476 US 79 [1986]) mandates automatic reversal under New York law. Peremptory challenges are a mainstay in a litigant's strategic arsenal. The unjustified denial of a peremptory challenge violates CPL 270.25 (2) and requires reversal without regard to harmless error.

Crimes — Jurors — Selection of Jury — Race-Neutral Reasons for Exercise of Peremptory Challenges

9. The record supported the trial court's determination that the prosecutor's race-neutral justifications for using peremptory challenges against three prospective jurors were not pretextual in violation of step three of the test formulated in *Batson v Kentucky* (476 US 79 [1986]). The People's articulated basis for striking one potential juror related to his overall courtroom demeanor, and the trial court's recognition of that prospective juror's "body-language problem" was entitled to the deference on review accorded demeanor and credibility determinations. The reasons for striking two other potential jurors—residence, employment status and educational backgrounds—had some basis in accepted trial strategy. Trial courts must evaluate whether proffered race-neutral reasons are pretextual based on the totality of all relevant facts and circumstances. Whether a proffered reason relates to the facts of a case or a prospective juror's qualifications is certainly a factor relevant to a court's determination of pretext, but is not automatically dispositive. So long

as race or gender is not a factor in the decision-making process, the parties are free to exercise their allotted peremptory challenges as they deem appropriate. Here, where the record established that the People employed a general strategy to select primarily educated jurors with gainful employment or who have had at least a prior history of employment, there was no basis to conclude that the three stricken jurors were treated disparately in relation to the jurors selected by the parties or that race played any part in their being peremptorily challenged.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Jury §§ 207, 210, 213.

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§§ 191:51, 191:54, 191:58, 191:61–191:72.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 22.3.

McKINNEY's, CPL 270.25 (2).

NY JUR 2d, Criminal Law: Procedure §§ 2565, 2567, 2570–
2575, 2856, 3600.

ANNOTATION REFERENCE

Use of peremptory challenges to exclude ethnic and racial groups, other than black Americans, from criminal jury—post-Batson cases. 20 ALR5th 398.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Robert S. Dean of counsel), for appellant in the first above-entitled action. I. The trial court's reverse *Batson* step-three ruling of "pretext" was unsupported by the record, and clearly erroneous, in light of, inter alia, the flimsiness of the prima facie case, the reasonableness of counsel's explanation for the strike, and the absence of any specific finding of racial discrimination. (*People v Luciano*, 10 NY3d 499; *People v McQuade*, 110 NY 284; *United States v Martinez-Salazar*, 528 US 304; *People v Hernandez*, 75 NY2d 350, 500 US 352; *Georgia v McCollum*, 505 US 42; *People v Kern*, 75 NY2d 638; *Batson v Kentucky*, 476 US 79; *People v Allen*, 86 NY2d 101; *People v James*, 99 NY2d 264; *People v Brown*, 97 NY2d 500.) II. The court violated appellant's right to a public trial when it (a) improperly closed the courtroom during the testimony of the undercover officer, despite insufficient

evidence at the *Hinton* hearing linking his open-court testimony with his fear for his safety; (b) alternatively, even were closure justified by the *Hinton* testimony, the court erred in failing to consider defense counsel's less-restrictive reasonable alternative. (*People v Hinton*, 31 NY2d 71, 410 US 911; *People v Martinez*, 82 NY2d 436; *Waller v Georgia*, 467 US 39; *People v Ramos*, 90 NY2d 490, *cert denied sub nom. Ayala v New York*, 522 US 1002; *People v Nieves*, 90 NY2d 426; *Press-Enterprise Co. v Superior Court of Cal., County of Riverside*, 478 US 1; *People v Jones*, 47 NY2d 409, 444 US 946; *People v Tolentino*, 90 NY2d 867; *People v Cronin*, 60 NY2d 430.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Ellen Stanfield Friedman* and *Sylvia Wertheimer* of counsel), for respondent in the first above-entitled action. I. The affirmed finding of the trial court, that defense counsel's peremptory strike of prospective juror Chan was discriminatory, is supported by the record and, therefore, is beyond the scope of this Court's review. (*Batson v Kentucky*, 476 US 79; *People v Wilson*, 64 NY2d 634; *People v Bell*, 63 NY2d 796; *People v Dickerson*, 50 NY2d 937; *People v Concepcion*, 38 NY2d 211; *People v Besser*, 96 NY2d 136; *Georgia v McCollum*, 505 US 42; *People v Kern*, 75 NY2d 638, 498 US 824; *People v Payne*, 88 NY2d 172; *People v Hernandez*, 75 NY2d 350, 500 US 352.) II. The trial court properly closed the courtroom during the undercover officer's testimony. (*People v Hinton*, 31 NY2d 71; *In re Oliver*, 333 US 257; *People v Jelke*, 308 NY 56; *People v Kin Kan*, 78 NY2d 54; *People v Ramos*, 90 NY2d 490, *cert denied sub nom. Ayala v New York*, 522 US 1002; *People v Martinez*, 82 NY2d 436; *People v Jones*, 47 NY2d 409, 444 US 946; *Waller v Georgia*, 467 US 39; *People v Cuevas*, 50 NY2d 1022; *People v Jones*, 96 NY2d 213.)

Peluso & Touger, LLP, New York City (*David Touger* of counsel), for appellant in the second above-entitled action. I. The trial court's denial of appellant's prima facie showing of the prosecution's use of racially- and gender-biased peremptory challenges without even requiring a proffer of race-neutral grounds violated appellant's rights to equal protection of the law. (*Batson v Kentucky*, 476 US 79; *People v James*, 99 NY2d 264; *People v Kern*, 75 NY2d 638; *People v Childress*, 81 NY2d 263; *Truesdale v Sabourin*, 427 F Supp 2d 451; *People v Bolling*, 79 NY2d 317; *Jones v West*, 555 F3d 90; *People v Hawthorne*, 80 NY2d 873; *People v Jenkins*, 75 NY2d 550; *People v Vega*, 198 AD2d 56.) II. The appellant's constitutional and statutory right

to a fair and impartial jury verdict was violated by the trial court committing various reversible errors. (*People v Andrews*, 109 AD2d 939; *Allen v United States*, 164 US 492; *Fong v Poole*, 522 F Supp 2d 642; *People v Sheldon*, 136 AD2d 761; *People v Aponte*, 2 NY3d 304; *People v Buford*, 69 NY2d 290; *People v Dukes*, 8 NY3d 952; *People v Harris*, 99 NY2d 202.) III. The prosecution failed to prove the continuity element of the enterprise corruption charge because the organization did not continue to operate after the removal of the appellant. (*People v Cantarella*, 160 Misc 2d 8; *People v Yarmy*, 171 Misc 2d 13.)

Cyrus R. Vance, Jr., District Attorney, New York City (Amy-jane Rettew of counsel), for respondent in the second above-entitled action. I. As the trial court and the Appellate Division majority found, the defense failed to satisfy the *Batson* threshold requirement of a prima facie showing of purposefully discriminatory challenges. (*People v Hawthorne*, 80 NY2d 873; *People v Butler*, 15 AD3d 415; *People v Chin*, 3 AD3d 574; *People v Irizarry*, 165 AD2d 715; *Batson v Kentucky*, 476 US 79; *People v Stephens*, 84 NY2d 990; *People v McCloud*, 50 AD3d 379; *People v Lebron*, 294 AD2d 105; *United States v Walker*, 490 F3d 1282; *United States v Changco*, 1 F3d 837.) II. Contrary to defendant's claim, there was nothing inconsistent about the verdict and the evidence amply established that the criminal enterprise he ran had the requisite "continuity of existence, structure, and criminal purpose." (*People v Carter*, 7 NY3d 875; *People v Alfaro*, 66 NY2d 985; *People v Satloff*, 56 NY2d 745; *People v Stahl*, 53 NY2d 1048; *People v Tucker*, 55 NY2d 1; *People v Maldonado*, 11 AD3d 114; *People v Filacouris*, 95 NY2d 940; *People v Rayam*, 94 NY2d 557; *People v Loughlin*, 76 NY2d 804; *Dunn v United States*, 284 US 390.) III. The trial judge providently exercised his discretion in rejecting the defense demands for a mistrial and his supplemental instructions in no way coerced the verdict. (*Allen v United States*, 164 US 492; *People v Baptiste*, 72 NY2d 356; *Matter of Rivera v Firetog*, 11 NY3d 501; *Matter of Plummer v Rothwax*, 63 NY2d 243; *Matter of Owen v Stroebe*, 65 NY2d 658; *People v Andrews*, 109 AD2d 939; *People v Henderson*, 50 AD3d 525; *Francolino v Kuhlman*, 224 F Supp 2d 615; *People v Cook*, 52 AD3d 255; *People v Anderson*, 249 AD2d 405, cert denied sub nom. *Anderson v Miller*, 206 F Supp 2d 352, 346 F3d 315.)

Wachtell, Lipton, Rosen & Katz, New York City (Meredith L. Turner of counsel), and Office of the Appellate Defender (Richard M. Greenberg and Daniel A. Warshawsky of counsel) for

appellant in the third above-entitled action. I. The Appellate Division erred when it held contrary to controlling law and in spite of overwhelming statistical evidence, that Mr. Hollis had failed to satisfy the “minimal” burden of establishing a prima facie case of discrimination during jury selection. (*Batson v Kentucky*, 476 US 79; *People v Payne*, 88 NY2d 172; *People v Allen*, 86 NY2d 101; *People v Jenkins*, 75 NY2d 550; *People v Bolling*, 79 NY2d 317; *Johnson v California*, 545 US 162; *People v Scott*, 70 NY2d 420; *Overton v Newton*, 295 F3d 270; *People v Childress*, 81 NY2d 263; *People v Hernandez*, 75 NY2d 350.) II. The Appellate Division erred when it held that the voir dire record in Mr. Hollis’s case, which clearly demonstrated that 100% of the black jurors in the second round were peremptorily struck, was inadequate to review Mr. Hollis’s *Batson* claim. (*Batson v Kentucky*, 476 US 79; *Jones v West*, 555 F3d 90; *People v Gray*, 68 AD3d 1131; *People v Hawthorne*, 80 NY2d 873.)

Cyrus R. Vance, Jr., District Attorney, New York City (Jared Wolkowitz, Amyjane Rettew and Gina Mignola of counsel), for respondent in the third above-entitled action. As the trial court and the Appellate Division found, defendant’s numerical argument, which rests on only a limited set of facts drawn from only one small part of one single round of the selection process, did not establish a prima facie showing of purposeful discrimination. (*Batson v Kentucky*, 476 US 79; *People v Smocum*, 99 NY2d 418; *People v Brown*, 97 NY2d 500, *affd sub nom. Brown v Alexander*, 543 F3d 94; *People v Allen*, 86 NY2d 101; *People v Childress*, 81 NY2d 263; *Johnson v California*, 545 US 162; *Jones v West*, 555 F3d 90; *Truesdale v Sabourin*, 427 F Supp 2d 451; *People v Bolling*, 79 NY2d 317.)

Jamel Black, appellant pro se in the fourth above-entitled action. I. The prosecutor knowingly deceived the court at the *Huntley-Wade* hearing with false answers and knowingly allowed a prosecution witness’ false testimony to go uncorrected at trial which violated appellant’s federal and state due process rights under the US Constitution 14th Amendment and NY Constitution, article I, § 6. (*Mooney v Holohan*, 294 US 103; *Napue v Illinois*, 360 US 264; *Giglio v United States*, 405 US 150; *People v Savvides*, 1 NY2d 554; *People v Steadman*, 82 NY2d 1; *People v Pelchat*, 62 NY2d 97; *People v Jones*, 31 AD3d 666.) II. Counsel’s failure to seek a missing witness charge denied appellant his federal and state rights of effective assistance of counsel. (*People v Wiley*, 120 AD2d 66; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Henry*, 95 NY2d 563; *People v Savinon*, 100 NY2d 192.)

William G. Kastin, New York City, and *Lynn W.L. Fahey* for appellant in the fourth above-entitled action. The prosecution's proffered reasons for exercising peremptory challenges against two African-American prospective jurors, that one lived in East New York and was unemployed and that the other was unemployed and lacked a high school diploma, were patently pretextual in violation of *Batson v Kentucky* (476 US 79 [1986]), when they were wholly unrelated to the case and to either prospective juror's ability to serve. (*People v Allen*, 86 NY2d 101; *People v Bolling*, 79 NY2d 317; *Martin v Texas*, 200 US 316; *Norris v Alabama*, 294 US 587; *Neal v Delaware*, 103 US 370; *Miller-El v Cockrell*, 537 US 322; *Purkett v Elem*, 514 US 765; *Snyder v Louisiana*, 552 US 472; *Powers v Ohio*, 499 US 400; *United States v Vasquez-Lopez*, 22 F3d 900.)

Charles J. Hynes, District Attorney, Brooklyn (*Seth M. Lieberman*, *Leonard Joblove* and *Victor Barall* of counsel), for respondent in the fourth above-entitled action. I. The vast majority of defendant's claims regarding the prosecutor's peremptory challenges of two prospective jurors are unpreserved. Furthermore, defendant failed to establish that the prosecutor's race-neutral reasons for challenging those prospective jurors were pretextual. (*Batson v Kentucky*, 476 US 79; *Purkett v Elem*, 514 US 765; *People v Payne*, 88 NY2d 172; *Snyder v Louisiana*, 552 US 472; *People v Luciano*, 10 NY3d 499; *People v Smocum*, 99 NY2d 418; *People v Smith*, 81 NY2d 875; *People v Holloway*, 71 AD3d 1486; *People v Brown*, 295 AD2d 442; *People v Jones*, 284 AD2d 46.) II. Defendant has not preserved his claims regarding the prosecutor's purported misconduct. In addition, the record is insufficient to permit review of those claims. Moreover, even assuming that the prosecutor engaged in the purported misconduct, any such error was harmless. (*People v Lane*, 7 NY3d 888; *People v Angelo*, 88 NY2d 217; *People v Clanton*, 69 AD3d 754; *People v Thompson*, 54 AD3d 975; *People v Hendricks*, 2 AD3d 1450; *People v Jones*, 85 NY2d 998; *People v Voliton*, 83 NY2d 192; *People v Gonzalez*, 193 AD2d 360; *People v Kim*, 91 NY2d 407; *People v Kinchen*, 60 NY2d 772.) III. Defendant received effective assistance of counsel. (*People v Satterfield*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137; *People v Ford*, 86 NY2d 397; *People v Benevento*, 91 NY2d 708; *People v Henry*, 95 NY2d 563; *People v Caban*, 5 NY3d 143; *People v Baker*, 14 NY3d 266; *Strickland v Washington*, 466 US 668; *People v Langhorne*, 60 AD3d 867; *People v Savinon*, 100 NY2d 192.)

New York Civil Liberties Union Foundation, New York City

(*Andrew L. Kalloch*, *Corey Stoughton* and *Arthur Eisenberg* of counsel), and *Association of the Bar of the City of New York* (*Karen A. Newirth* of counsel) for New York Civil Liberties Union and another, amici curiae in the fourth above-entitled action. I. Facially-neutral grounds for peremptory challenges that have a disparate impact on protected classes are inherently suspect and should be treated as presumptive surrogates for discrimination at step three of the *Batson* analysis. (*Batson v Kentucky*, 476 US 79; *People v Allen*, 86 NY2d 101; *Hernandez v New York*, 500 US 352; *Purkett v Elem*, 514 US 765; *People v Payne*, 88 NY2d 172; *Snyder v Louisiana*, 552 US 472; *Miller-El v Dretke*, 545 US 231; *People v Mitchell*, 80 NY2d 519; *People v Romance*, 35 AD3d 201, 8 NY3d 926; *Arlington Heights v Metropolitan Housing Development Corp.*, 429 US 252.) II. Even if *Batson v Kentucky* (476 US 79 [1986]) does not compel a recognition of certain factors as presumptive surrogates for discrimination under the US Constitution Fourteenth Amendment's Equal Protection Clause, this Court should find such scrutiny warranted under New York's Equal Protection Clause. (*People v P.J. Video*, 68 NY2d 296; *Rivers v Katz*, 67 NY2d 485; *Bellanca v New York State Liq. Auth.*, 54 NY2d 228; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *People v Isaacson*, 44 NY2d 511; *People v Luciano*, 10 NY3d 499; *People v Kern*, 75 NY2d 638; *People v Allen*, 86 NY2d 101; *People v Langston*, 167 Misc 2d 400.)

OPINION OF THE COURT

CIPARICK, J.

In *Batson v Kentucky*, the United States Supreme Court formulated a three-step test to assess whether peremptory challenges have been used by a party to exclude potential jurors on the basis of race (*see* 476 US 79, 94-98 [1986]). These four appeals, once again, center on the application of this now-familiar three-step *Batson* protocol. At step one, “the moving party bears the burden of establishing a prima facie case of discrimination in the exercise of peremptory challenges” (*People v Smocum*, 99 NY2d 418, 420 [2003]). Once a prima facie case of discrimination has been established, the burden shifts, at step two, to the nonmoving party to offer a facially neutral explanation for each suspect challenge (*see Hernandez v New York*, 500 US 352, 358-359 [1991]; *People v Allen*, 86 NY2d 101, 104 [1995]). At the third step, the burden shifts back to the moving party (*see Smocum*, 99 NY2d at 422; *People v Payne*, 88 NY2d 172, 183-184 [1996]) to prove purposeful discrimination and “the trial court

must determine whether the proffered reasons are pretextual” (*Allen*, 86 NY2d at 104).

With this framework in place, in *People v Hecker*, we are asked to resolve whether Supreme Court erred in concluding at step three that the reasons offered by defense counsel to exclude one Asian-American prospective juror were pretextual. In *People v Guardino* and *People v Hollis*, the issue presented is whether the defendants in those cases failed to meet their burden in establishing a step one prima facie case of purposeful racial discrimination. Finally, in *People v Black*, we are called upon to determine whether Supreme Court’s step three acceptance of the race-neutral reasons proffered by the People in peremptorily challenging three prospective jurors has record support.

I.

A. *People v Hecker*

A New York County grand jury indicted Hecker for one count of criminal sale of a controlled substance in the third degree (Penal Law § 220.39 [1]), a class B felony, for allegedly selling three twists of crack cocaine to an undercover police officer.

Hecker proceeded to trial and jury selection commenced in June 2008. At the beginning of jury selection, Supreme Court advised the parties that they each would be given 10 minutes to voir dire the prospective jurors following the court’s preliminary examination, but that if either party desired more time to speak with the jurors they should seek permission from the court. Supreme Court’s preliminary questions ostensibly consisted of two parts. The first part pertained to the prospective jurors’ biographical information while the second part focused on the jurors’ legal backgrounds, contact with the criminal justice system, and prior jury service. Supreme Court instructed the prospective jurors to familiarize themselves with the court’s questionnaire and those selected from the venire for questioning would be asked to reference the question number and provide the pertinent information.

Jury selection took place over the course of three rounds. During the first round of jury selection, Supreme Court seated 18 panelists for questioning. The parties selected three of these panelists to serve as jurors. Of the remaining 15 panelists, Supreme Court excused five of them for cause while the parties

each utilized five of their 15 peremptory challenges.¹ Defense counsel spoke to 12 of the 18 panelists on the first round. Out of the five panelists peremptorily challenged by defense counsel, she had not questioned three of them. Of these three, one of them had not been addressed by the People either.

In the second round of jury selection, Supreme Court similarly seated 18 prospective jurors and later excused four of them for cause. Two of the remaining 14 panelists seated during this round, Chan and Lee, both of Asian descent, are relevant to this appeal. The following colloquy, in response to the preliminary juror questionnaire, ensued between Chan and Supreme Court:

“[CHAN]: My name is . . . Chan. I live with my husband in lower Manhattan [*sic*] and for over 16 years. Number four is my husband is working. I’m not.

“THE COURT: What type of work does your husband do?

“[CHAN]: My husband working a technician. My education, I have a business administration in Associate Degree. Number six, no. Number seven, yes.^[2] Number eight, no. Number nine is no. Number ten is no. Number eleven is no. Number twelve is no. Number 13 and 14 is no.

“THE COURT: Thank you.”

When it was Lee’s turn to answer Supreme Court’s questionnaire, he responded narratively to the questions, noting that he was a first-year law student at New York University.

Once Supreme Court completed its preliminary questioning, the parties conducted their voir dire of the second round panelists. Defense counsel questioned only five of the 18 panelists. At the point in time defense counsel had questioned three of these panelists, Supreme Court advised her that she had “one minute left” to complete her voir dire. In her remaining time, defense counsel asked two panelists, including Lee, whether he would hold it against Hecker if he did not testify at trial. Lee responded to this line of questioning as follows:

“I understand it’s his legal right. However, I have

1. CPL 270.25 (2) (b) allows each party 15 peremptory challenges where the highest crime charged is a class B felony.

2. Question seven concerned whether a prospective juror had previously served on a trial jury.

some trepidation on whether in the role as a juror I could draw the distinction between fact and law, especially given my legal training. I'm a free-thinking individual with an opinion of what the law is or ought to be. So I'm concerned that unconsciously whether that legal opinion might influence.

"So, while I would consciously attempt to force myself from the recognition of what the law is, I think . . . unconsciously."

Supreme Court intervened at this juncture and the following colloquy between it and Lee occurred:

"THE COURT: I'm failing to understand what you are saying.

"[LEE]: I understand as a juror I'm only supposed to evaluate questions of fact. To me that means questions of credibility. So, if the defendant were not to testify, that would, to me, be some indicator of credibility. However, as a matter of law, the defendant need not self incriminate or testify against himself.

"THE COURT: That's a basic constitutional protection.

"[LEE]: Right.

"THE COURT: . . . Are you saying you have some difficulty accepting the mandates of the United States Constitution which presumes any person accused of a crime of being innocent?

"[LEE]: No, your Honor.

"THE COURT: Are you saying that you would not be able to, as a person who is aspiring to be an attorney before the bar, afford an individual that presumption and not follow the Court's direction that the People have the burden of proving a person accused of a crime beyond a reasonable doubt?

"[LEE]: No, your Honor, I'm not saying that. I'm saying, as an academic matter, I solely recognize that. And I will strive as humanly as possible and as consciously as possible to draw that distinction. However, I have no control over whatever unconscious biases I develop.

“THE COURT: What sort of unconscious biases would you anticipate?

[LEE]: Just as a matter, I would have some question as to why the defendant wouldn’t want to testify.

“THE COURT: I’m certain as a law student you can imagine a host of reasons why a defendant might elect not to testify. The simplest of course is putting the People to their proof. He may not be particularly articulate and a host of other reasons.

“The question is, can you, in your mind, as you said, as an intellectual exercise, put those thoughts out of your mind in doing the job that you would be sworn to do as a juror which is to decide the case on the facts, determine whether the People have proven the case beyond a reasonable doubt, as is their burden, without factoring into that equation the musings, if you will, that you have. Can I have your assurance that you will do that?

[LEE]: Yes.”

After this lengthy colloquy, Supreme Court informed defense counsel that her allotted time to speak with the remaining prospective jurors had expired. Supreme Court then directed the parties to consider the qualifications of the first nine of the 18 prospective jurors questioned during this round. After the parties completed their for cause challenges as to the first nine jurors, the People and defense counsel each lodged two peremptory challenges. Defense counsel peremptorily challenged Chan, whom neither she nor the assistant district attorney had questioned.

The parties then evaluated the remaining nine panelists. Defense counsel challenged Lee for cause, reasoning that

“despite [the court’s] variety of questions which I think at a point put Mr. Lee in the position of almost an embarrassing position where he began to give answers that seemed to attempt to satisfy whether or not he could be fair and impartial . . . he made it clear that he could not really sit as a juror in this case.”

Supreme Court denied the application. Later, defense counsel

peremptorily struck three additional jurors, including Lee. In total, both the People and defense counsel used five of their remaining 10 peremptory challenges during the second round of jury selection.

Defense counsel's choice to strike Lee prompted the People to make a reverse *Batson* challenge.³ In doing so, the prosecutor highlighted the fact that defense counsel removed the only two Asian jurors questioned thus far. Defense counsel immediately interjected to explain her decision for challenging Lee. She pointed out the controversial nature of Lee's responses to her questions pertaining to Hecker's constitutional right not to testify at his own trial. She reminded Supreme Court of the lengthy colloquy that ensued between it and Lee and suggested that the intensive questioning by Supreme Court "embarrassed" Lee, a law student, into giving answers that he could be fair and impartial. Under these circumstances, defense counsel maintained that, regardless of race, Lee was a "questionable juror for a defense attorney." After these remarks, defense counsel further stated, "I don't think that I have to go any further with respect to juror number one" (meaning Chan).

Supreme Court, finding a pattern of discrimination nonetheless, disagreed and asked defense counsel to articulate race-neutral reasons for peremptorily striking Chan. Defense counsel offered the following explanation:

"I found her as a person extremely austere in her demeanor and her temperament. I felt that . . . there was nothing about her personality or her lifestyle which indicated to me that she would not be the kind of individual who might be flexible in her thinking.

"It seemed to me that she—her husband, I think she said, was a business administrator, if I'm reading my notes correctly. But at the point where I eliminated her because of the brevity of our ability to really question everyone at great length, I was very selective in the short period that I had which was all of ten minutes to try to speak to as many of the 18 people as possible.

3. Reverse *Batson* challenges relate to "discriminatory practices by defense counsel" (*People v Luciano*, 10 NY3d 499, 502 [2008]) which are likewise unconstitutional (see *Georgia v McCollum*, 505 US 42, 53-54 [1992]; *People v Kern*, 75 NY2d 638, 649-650 [1990]).

“And the short impression that I got of her based upon my questions, in fact, I don’t even know if I questioned her, but based upon what answers she gave to anyone . . . I just got the feeling that I could not relate to somebody with her temperament.”

The People did not respond to defense counsel nor did they specifically challenge this reason as pretextual and Supreme Court reserved its decision on the matter.

After a lunch recess, Supreme Court ruled on the People’s reverse *Batson* application. While accepting the race-neutral reasons offered by defense counsel for striking Lee, it concluded as to Chan that “the reasons articulated by counsel [were] pretextual in nature and, in point of fact, there exists no differentiation in my view between this juror’s responses and that of any of the other jurors which were found acceptable by counselor.” In granting the People’s reverse *Batson* application as to Chan, Supreme Court further stated, “[t]he reasons as given . . . such as austere personality, lifestyle, lack of flexibility, are not conclusions which would flow from the answers given by this particular prospective juror.”

Defense counsel protested Supreme Court’s ruling and argued that no pattern of discrimination had been established since “we’re speaking about one individual juror.” She further contended that Supreme Court’s ruling was erroneous in light of the way she exercised her other peremptory challenges during the first two rounds of jury selection. Defense counsel also renewed her argument that the limited time Supreme Court had allotted during this round of jury selection prevented her from speaking to most of the panelists. She proposed that, given the restricted time constraints of her voir dire, the court should allow her to question Chan further. Supreme Court did not reopen the voir dire as to Chan. Thus, at the completion of the second round, the parties agreed upon four more jurors and Supreme Court empaneled Chan over defense counsel’s objection.

The jury selection process proceeded to a third round where Supreme Court seated 26 new panelists for questioning. The parties selected the remaining four jurors from this group. The eighth person seated during this round of jury selection was Choy, who spoke Chinese and whose husband was a police officer in Lower Manhattan. She explained that she would be sympathetic to police testimony and would not be able to be fair and impartial. When defense counsel exercised a for cause

challenge as to this juror, Supreme Court granted the application on consent of the People. Kazuko was the thirteenth person seated during this round of jury selection. During the preliminary questioning, she told Supreme Court and the parties that she received her bachelor's degree in Japan and that she coordinated tours for Japanese tourists in New York City. The parties chose Kazuko to serve as a juror in this case. Prior to Kazuko's selection, defense counsel exercised three additional peremptory challenges, all on individuals she had not questioned during her brief voir dire. Two of these three prospective jurors had likewise not been questioned by the People.

The parties designated three panelists to act as alternate jurors in this case. Alternate juror number two was Qu. During Supreme Court's preliminary questioning, he informed the parties that he earned his university degree in Beijing and that he currently is the host for a "[c]ulture for Chinese language" television and radio program.

The following day, before the People began calling their trial witnesses, Supreme Court presided over a *Hinton* hearing at which the undercover officer testified. Following the hearing, Supreme Court ordered the closure of the courtroom to the public during the undercover's testimony, reasoning that the officer "demonstrated a justifiable fear for his personal safety." Supreme Court also permitted the undercover to use his shield number as opposed to his name to identify himself at the hearing.

The jury convicted defendant of third degree criminal sale of a controlled substance. Supreme Court sentenced defendant to a determinate prison term of six years, followed by a two-year period of postrelease supervision.

The Appellate Division unanimously affirmed the judgment of conviction and sentence, concluding that "[t]he court properly granted the People's *Batson* application" (68 AD3d 429, 430 [1st Dept 2009]). The court further noted that "[c]ounsel's failure to question the panelist was a significant indicator of pretext under the circumstances" (*id.*). In affirming the conviction, the court also held that closure of the courtroom during the undercover's testimony was proper (*see id.*).

A Judge of this Court granted defendant leave to appeal (14 NY3d 801 [2010]) and we now reverse.

B. *People v Guardino*

A New York County grand jury returned a multiple-count indictment charging Guardino and others with enterprise corruption (Penal Law § 460.20 [1] [a]), a class B felony, combination in restraint of trade and competition (General Business Law §§ 340, 341), and several counts of both bribe receiving by a labor official (Penal Law § 180.25) and grand larceny in the third degree by extortion (Penal Law § 155.35). From September 2001 to the date of the 2004 indictment, Guardino, a business agent for Local Union No. 8 of the United Union of Roofers, Waterproofers and Allied Workers (Local 8), allegedly approached a series of roofing contractors and extorted money from them. Before trial, four of Guardino's codefendants and Local 8 itself entered guilty pleas.

Guardino and his three remaining codefendants proceeded to trial in October 2006. The jury selection process, given the complexity and expected two-month length of the trial, began with the preliminary screening of a large pool of prospective jurors. These prospective jurors received a detailed questionnaire, which they were instructed to complete. The parties reviewed these submissions and Supreme Court excused those prospective jurors who believed they could not be fair or could not serve because of the nature of the case.

Jury selection proceeded over the course of two rounds. Supreme Court seated 26 jurors in each round. Following the questioning of the panelists by the parties, Supreme Court removed one prospective juror for cause from each round.

The 12-person jury selected by the parties consisted of seven males and five females. By the time the parties had agreed upon this jury, 37 prospective jurors—25 from the first round and 12 from the second round—were subject to peremptory challenges. The 37 panelists subject to these peremptory challenges comprised 15 males and 22 females. The People used 12 of their 15 peremptory challenges and struck 11 of the 22 females. Six of the 22 females questioned were African-American. The People peremptorily struck four of the six. It is notable that neither defendant nor the three other defendants who went to trial were black or female.

Guardino's counsel made a *Batson* challenge immediately after the People utilized one of their peremptory challenges to strike a fourth African-American female. He asserted that the People had eliminated all but one of the African-American

females thus far in the jury selection process. Co-counsel asserted “there’s a broader pattern of all females, but certainly . . . a distinct pattern of female black” and “[j]ust even 80 percent would . . . I think, qualify under *Batson*.” Finally, Guardino’s counsel said, “we have virtually an all white jury. The challenges have been used [by the prosecutor] to remove people of color, all of them.”

After all defense counsel made their initial arguments, Supreme Court clarified that the asserted cognizable class formulating the basis of the *Batson* challenge was black and female. Once defense counsel confirmed this, Supreme Court corrected a misstatement made by the defense that the People had eliminated all but one of the black female panelists, noting for the record that it was the defense—and not the People—who peremptorily struck one of these African-American females. As for the assertion that the People used their peremptory challenges to create an all-white jury, Supreme Court counted that seven of the 11 females peremptorily struck by the People were white. Moreover, Supreme Court highlighted the fact that defense counsel had exercised some of their peremptory challenges to remove, in addition to one African-American female, other people of color. Upon reviewing the relevant data, Supreme Court denied defendants’ *Batson* application, reasoning that there had “not been presented to me sufficient facts to make out a pattern of the purposeful use of peremptory challenges . . . which include a [] cognizable group.”

The parties finished selecting the jury with five alternate jurors from the remaining 13 second round panelists. The defense neither made a record of the racial composition of these panelists nor did they renew their *Batson* application. The record only reveals that three of the alternates chosen were female while the other two were male. The People peremptorily struck one male and one female during this process while the defense used five peremptory challenges to strike two males and three females.

At trial, the People called a series of witnesses, including a cooperating contractor and an undercover police officer, who testified about how Guardino had continuously threatened them with reprisals from 2001 to the date of the indictment in order to extort monthly cash payments. The jurors also reviewed hundreds of recorded conversations of Guardino making the same type of threats. There was also evidence adduced at the trial that defendant shared the proceeds of his extortionate efforts with his various accomplices.

After a nearly two-month trial, the jury began its deliberations. Before the jury rendered its verdict, it sent a series of notes indicating that it was deadlocked. After receiving one of these notes, Supreme Court spoke to the jurors and instructed them to continue their deliberations, commenting that it was “not uncommon for a jury that starts deliberating to have difficulty initially in reaching a unanimous decision.”

When additional deadlock notes from the jury were received, co-defense counsel made several requests to the court to declare a mistrial. Supreme Court denied these mistrial motions. Instead, it first delivered a modified *Allen* charge to the jury and later a formal *Allen* charge. During the fourth day of deliberations, the jury found Guardino guilty of enterprise corruption and 21 other related felony counts.⁴ He was sentenced to serve an indeterminate term of 6 to 18 years in prison.

The Appellate Division, with one justice dissenting, affirmed the judgment of conviction and sentence, concluding that there was “ample evidence of labor racketeering committed for a period of over a year by union officials including [Guardino]” (62 AD3d 544, 546 [1st Dept 2009]). The court also held that Supreme Court properly denied Guardino’s *Batson* application because his numerical arguments were insufficient to establish a prima facie case of purposeful discrimination. The court further found that Supreme Court’s responses to the jury during its deliberations and its denial of Guardino’s mistrial motions were proper.

A single Justice dissented solely on *Batson* grounds. The dissent concluded that Guardino met his prima facie burden in establishing discrimination where the prosecutor struck four of the six black female panelists. Accordingly, the dissenting Justice would have held the appeal in abeyance and remitted the matter to Supreme Court for “the prosecution to provide race neutral reasons for their challenges, and if the prosecution cannot do so, the judgment of conviction should be vacated” (62 AD3d at 551). The dissenting justice granted defendant leave to appeal and we now affirm.

C. *People v Hollis*

A New York County grand jury indicted Hollis for one count of criminal sale of a controlled substance in the third degree

4. The jury acquitted two of Guardino’s codefendants on all counts. The jury convicted Guardino’s other codefendant of some counts including four counts of bribe receiving.

(Penal Law § 220.39 [1]), a class B felony, for allegedly selling one \$20 bag of crack cocaine to an undercover police officer.

Hollis, an African-American male, proceeded to trial and jury selection commenced in July 2005. Jury selection took place over the course of three rounds. During the first round, Supreme Court seated 20 prospective jurors for questioning and later excused seven of them for cause. Of the remaining 13 panelists, the parties agreed upon four jurors. The People used four of their 15 peremptory challenges during this round while the defense peremptorily challenged five panelists.

Supreme Court seated another 20 prospective jurors in the second round and later excused eight of these panelists for cause. Of the remaining 12 panelists, the parties agreed upon six more jurors. The People and the defense each exercised three peremptory challenges during this round. The People utilized two of their peremptory challenges during this round by striking African-American panelists.

Defense counsel responded with a *Batson* challenge. Supreme Court asked defense counsel the basis for his challenge, to which he replied “[the People] excluded the only remaining black people left on this jury.” The prosecutor interrupted and informed Supreme Court that he had legitimate reasons outside of race for striking these prospective jurors.

Supreme Court, however, determined that “[t]he first order of business is has a prima facie case been established”? Defense counsel argued that it was simply “a question of numbers” and that he established a prima facie case because the People had eliminated the only two black people on this particular panel. Supreme Court denied defense counsel’s *Batson* application. It ruled that a prima facie case had not been set forth “at this juncture,” but that defense counsel could renew his *Batson* application “later on.”

In the third and final round of jury selection, the parties agreed upon the remaining two jurors and selected four alternate jurors. Supreme Court also seated 20 prospective jurors during this round, later excusing five of them for cause. The People exercised one additional peremptory challenge while defense counsel peremptorily struck two panelists before they ultimately selected the 12-person jury. The parties considered six panelists to fill the four alternate slots. The People exercised two peremptory challenges during this process. Defense counsel did not renew his *Batson* application at the completion of jury

selection. The racial composition of the 20 panelists seated during the third round and the uncalled prospective jurors who remained in the venire is unknown. Although defense counsel did not specifically note the racial composition of the 20 panelists seated in the first round of jury selection, he did not allege that the People peremptorily struck African-American panelists, if any, seated in that round.

The jury convicted Hollis of third degree criminal sale of a controlled substance. He was sentenced to an indeterminate term of imprisonment of 4¹/₂ to 9 years.

The Appellate Division unanimously affirmed the judgment of conviction and sentence. Specifically, the court concluded that Hollis failed to “produce evidence sufficient to permit [Supreme Court] to draw an inference of discrimination” and further noted that “defendant declined [Supreme Court’s] offer of an opportunity to renew the application at a later juncture” (63 AD3d 409, 410 [1st Dept 2009]).

A Judge of this Court granted defendant leave to appeal (13 NY3d 860 [2009]) and we now affirm.

D. *People v Black*

A Kings County grand jury indicted defendant for robbery in the first degree (Penal Law § 160.15 [4]), a class B felony, and other related charges for his alleged involvement in an incident that took place in October 2004 at a grocery store in Brooklyn. The same grand jury also indicted Black for criminal possession of a weapon in the third degree (former Penal Law § 265.02 [4]) for his alleged possession of a loaded firearm in November 2004.

Black, an African-American male, proceeded to trial and jury selection commenced in March 2006. Jury selection took place over the course of two rounds. The 12-person jury agreed upon by the parties consisted of five African-American individuals, five white individuals, and one juror of Asian descent. The record does not reflect the race of the twelfth juror. The parties also selected three alternate jurors, one African-American and two white individuals.

During the first round of jury selection, Supreme Court seated 17 jurors for questioning, later removing two of those panelists for cause. The People also challenged a third panelist from this round, Petion, for cause. When the People asked her during voir dire whether she would have a problem convicting Black even if they met their burden of proof, Petion hesitated and then

replied, “I may.” In his portion of the voir dire, defense counsel questioned Petion as well and she told him that she could follow the judge’s instructions and return a guilty verdict if the People proved every element of the crimes charged. Satisfied that Petion could be impartial, Supreme Court denied the People’s for cause challenge. Thus, the remaining 15 panelists in this round were subject to the parties’ peremptory challenges. The People exercised six of their 15 peremptory challenges in the first round, utilizing one of these strikes to remove Petion who was African-American.

When lodging their peremptory challenges during this first round, Supreme Court asked the parties initially only to consider the first 12 jurors. The People peremptorily struck five of the first 12 jurors, using these challenges to strike four African-American panelists (including Petion) and one white panelist. The record reveals that seven of the first 12 panelists were African-American. The parties selected five jurors from this first group of 12—three African-American jurors, a white juror, and a juror of an unknown race, but not black.

The People’s removal of four of the seven African-American prospective jurors prompted defense counsel to assert a *Batson* challenge as to this cognizable group. Supreme Court asked defense counsel to articulate the basis for his application. Defense counsel responded that the four black jurors struck by the People “indicated [during voir dire] that they could be fair, that they could be impartial, that they could follow the judge’s instructions on the law, even if they were in disagreement with it.”

With the exception of Petion, Supreme Court found that the defense had established a *prima facie* case of discrimination against the other three prospective jurors—Gordon, Williams, and Thomas. The People disagreed with Supreme Court’s *prima facie* finding, pointing out that seven of the first 12 jurors were “apparently African Americans.” Supreme Court, nonetheless, adhered to its original *prima facie* ruling and asked the People to state their race-neutral reasons for striking these prospective jurors.

The People’s reasons for striking Gordon were twofold: she was unemployed and lived in East New York, the neighborhood adjacent to the crime scene. The People peremptorily struck Williams because she had not completed high school and was also unemployed. As for Thomas, the People perceived that his

overall demeanor during voir dire was disrespectful. The People noted, among other things, Thomas' slouched appearance and his attire.

Supreme Court determined that the reasons advanced by the People were race neutral and invited defense counsel to argue why it should find these reasons to be pretextual. First, defense counsel noted that East New York is the largest "identifiable neighborhood" in Brooklyn and nothing about Gordon's answers in voir dire suggested that she lived near the vicinity of the crime scene. Next, defense counsel asserted that the unemployment status of Gordon and Williams should not be held against them in evaluating their qualifications to serve as jurors. As to Thomas, defense counsel suggested that his manner of dress was consistent with that of other young black males. Defense counsel, in an effort to explain Thomas' appearance, also reminded Supreme Court that Thomas had never served on a jury or been in a courthouse before. In arguing that the People's race-neutral reasons were pretextual, defense counsel never asserted that similarly situated non-black prospective jurors were treated more favorably by the People.

Supreme Court weighed the reasons set forth by the People and defense counsel's arguments and ruled that the People's reasons for striking these prospective jurors were nonpretextual. Supreme Court specifically observed that Thomas "did seem to have a body-language problem with the district attorney when responding to [his] questions." Although Supreme Court did not mention these facts in its ruling, a review of the record reveals that of the first 12 prospective jurors, all but Gordon and Williams and a third prospective juror, Solomon, were employed. The record also establishes that all of the first 12 prospective jurors other than Williams and Solomon completed high school. Solomon, an African-American woman not challenged by the People, was the third juror selected by the parties. Although she answered that she was currently unemployed, she informed Supreme Court and the parties that she had worked as a home health aide for 22 years.

After Supreme Court denied defense counsel's *Batson* application, the parties completed the first round of jury selection. The People peremptorily struck one of the three remaining panelists in round one. In round two, the final round, the People utilized two of their remaining nine peremptory strikes. The parties considered four panelists in order to choose three alternate jurors. The People peremptorily struck one of these panelists

while the other three were agreeable to both parties. The racial composition of the four prospective jurors peremptorily struck by the People after the denial of the *Batson* challenge is unknown, but the record reflects that defense counsel did not renew his application at a later point. Of the seven jurors selected following the *Batson* challenge, five of the seven were currently employed. As for the other two jurors, one had retired after working for 53 years and the other was in college earning her nursing degree. Of these seven jurors, the record establishes that five of them had at least a high school education. One of the jurors, employed in child care, went to high school through the 11th grade. The juror who retired after 53 years of various employment did not discuss his educational background. The three alternate jurors were likewise employed. Two of the alternate jurors had at least a college education. The third alternate juror did not disclose his schooling.

The jury convicted Black of first degree robbery, third degree criminal possession of a weapon, and other related charges. He was sentenced to consecutive sentences of 24 years imprisonment on the robbery count and seven years imprisonment on the weapons count. Supreme Court also imposed a five-year period of postrelease supervision.

The Appellate Division, with one justice dissenting, affirmed the judgment of conviction and sentence. Specifically, the court concluded that “[Black] failed to satisfy his burden of demonstrating discrimination by showing that [the race-neutral reasons offered by the People] were pretextual” (65 AD3d 1370, 1371 [2d Dept 2009]). A single justice dissented on the grounds that the race-neutral reasons given by the People “bore no relation to the facts of the case” and were, therefore, per se pretextual (*id.* at 1372).

A Judge of this Court granted defendant leave to appeal (13 NY3d 937 [2010]) and we now affirm.

II.

Jury service is a civil right, rooted in our State Constitution and protected by statute (NY Const, art I, §§ 1, 11; Civil Rights Law § 13). Both “a privilege and duty of citizenship,” jury service is “a fundamental means of participating in government” (*Allen*, 86 NY2d at 108; *see Kern*, 75 NY2d at 651-652). Equally axiomatic is a defendant’s right to trial by an impartial jury (NY Const, art I, § 2; US Const 6th, 14th Amends; *see People v Johnson*, 94 NY2d 600, 610 [2000]). To that end, the Criminal

Procedure Law permits each party to exercise an unlimited number of for cause challenges where a prospective juror “has a state of mind that is likely to preclude him from rendering an impartial verdict based upon the evidence adduced at the trial” (CPL 270.20 [1] [b]).

Our Legislature has also provided litigants in criminal actions the right to exercise, based upon the degree of crime charged, a limited number of peremptory challenges (*see generally* CPL 270.20 [2]). CPL 270.25 (1) states that “[a] peremptory challenge is an objection to a prospective juror for which no reason need be assigned. Upon any peremptory challenge, the court must exclude the person challenged from service.” Long recognized as “a means to achieve the end of an impartial jury” (*Ross v Oklahoma*, 487 US 81, 88 [1988]), peremptory challenges afford each side an opportunity to generalize about the potential biases of prospective jurors and strike those who, regardless of the evidence, seemingly will be unfavorable to their position at trial (*see also Holland v Illinois*, 493 US 474, 484 [1990]).⁵

There are, of course, limitations to the practice of peremptory challenges. In its seminal ruling in *Batson*, the United States Supreme Court held that “the Equal Protection Clause forbids [a] prosecutor to challenge potential jurors solely on the account of their race” (476 US at 89). Following the Supreme Court’s initial pronouncement in *Batson*, the Equal Protection Clauses of the Federal Constitution and our State Constitution have been interpreted to prohibit both the People and the defense from exercising peremptory challenges in a racially discriminatory manner (*see McCollum*, 505 US at 53-54; *Luciano*, 10 NY3d at 502-503; *Kern*, 75 NY2d at 649-650). The holding in *Batson* has also been construed to apply to gender (*see J. E. B. v Alabama ex rel. T.B.*, 511 US 127, 129 [1994] [“gender, like race, is an unconstitutional proxy for juror competence and impartiality”]).

III.

As stated earlier, *Batson* sets forth a three-step procedure to assess a claim of discrimination during the jury selection process. We begin our analysis of each appeal with a discussion of the step one prima facie case. At step one, the moving party

5. Nonetheless, the use of peremptory strikes in criminal actions has been subject to some criticism (*see e.g. Allen*, 86 NY2d at 109 n 2).

bears the burden of establishing a prima facie case that the nonmoving party has intentionally used its peremptory challenges to discriminate against a cognizable group (*see Smocum*, 99 NY2d at 419-420; *People v Brown*, 97 NY2d 500, 507-508 [2002]; *Allen*, 86 NY2d at 109; *People v Childress*, 81 NY2d 263, 266 [1993]). In *Allen*, we recognized the logic in placing the initial burden on the moving party, since the nonmoving party need not give a reason for peremptorily striking a prospective juror (*see* 86 NY2d at 109; CPL 270.25 [1]).

In *Johnson v California* (545 US 162 [2005]), the United States Supreme Court held that the first-step burden in a *Batson* challenge is not intended to be onerous (*see id.* at 170; *see also Jones v West*, 555 F3d 90, 96 [2d Cir 2009]). Indeed, “demonstrating that members of a cognizable . . . group have been excluded . . . is seldom problematic” (*Childress*, 81 NY2d at 266). The more difficult component of the prima facie case, however, is the moving party’s burden to set forth “facts and other relevant circumstances” to support an inference of discrimination (*id.*; *see Batson*, 476 US at 96-98). Thus, while a party may make a *Batson* application at any time—and even after only one strike (*see People v Bolling*, 79 NY2d 317, 321 [1992])—we have cautioned that purely numerical or statistical arguments are “rarely conclusive in the absence of other facts or circumstances” to give rise to an inference of discrimination (*Brown*, 97 NY2d at 507; *see Childress*, 81 NY2d at 267; *see also Overton v Newton*, 295 F3d 270, 278 [2d Cir 2002]).

In establishing a prima facie case, “[t]here are no fixed rules for determining what evidence will give rise to an inference” of discrimination (*Bolling*, 79 NY2d at 323-324; *see also Brown v Alexander*, 543 F3d 94, 101 [2d Cir 2008]). Rather, a party meets its burden when “the totality of the relevant facts gives rise to an inference of discriminatory purpose” (*Batson*, 476 US at 94). For example, “[group] identity between the defendant and the excused [prospective jurors] might in some cases be the explanation for the prosecution’s adoption of the forbidden stereotype,” and, therefore, may “provide one of the easier cases to establish both a prima facie case and a conclusive showing that wrongful discrimination has occurred” (*Powers v Ohio*, 499 US 400, 416 [1991]). Other relevant factors, though not exhaustive, that a trial court should consider include:

“A pattern of strikes or questions and statements made during the voir dire may be sufficient in a

particular case. Additionally, this element may be established by a showing that members of the cognizable group were excluded while others with the same relevant characteristics were not. Another legally significant circumstance may exist where the [party] has stricken members of this group who, because of their background and experience, might otherwise be expected to be favorably disposed to the [party]" (*Childress*, 81 NY2d at 266-267 [citations omitted]).

[1] Once a party has placed its race-neutral reasons on the record, however, the sufficiency of the prima facie showing becomes "moot" (*Smocum*, 99 NY2d at 422; *People v James*, 99 NY2d 264, 270 [2002]; *Payne*, 88 NY2d at 182). We have consistently held that "to revisit the adequacy of the step one showing unnecessarily evades the ultimate question of discrimination" (*Smocum*, 99 NY2d at 422, quoting *Durant v Strack*, 151 F Supp 2d 226, 236 [ED NY 2001] [brackets and internal quotation marks omitted]). First pronounced by the United States Supreme Court in *Hernandez* (see 500 US at 359), we, as well as an overwhelming majority of the Federal Circuit Courts of Appeals, have recognized that this doctrine effectuates *Batson's* ultimate purpose—"to provide assurance . . . that criminal judgments are not tainted by invidious discrimination" (*Johnson v Love*, 40 F3d 658, 665 [3d Cir 1994]; see e.g. *Jordan v Lefevre*, 206 F3d 196, 200 [2d Cir 2000] [in the absence of a prima facie showing, "a trial court's duty at the third stage (is) to determine the credibility of the proffered (race-neutral) explanations"]; cf. *United States v Stewart*, 65 F3d 918, 924-925 [11th Cir 1995]). Accordingly, while we "underscore the importance . . . of *Batson's* well-articulated, sequential steps" (*Smocum*, 99 NY2d at 423), we will continue to apply the "mootness doctrine" to our *Batson* jurisprudence.

In *Hecker* and in *Black*, the trial courts proceeded to steps two and three of the *Batson* test. Therefore, we will only examine the step one findings made by Supreme Court in *Guardino* and *Hollis*.

A. *People v Guardino*

[2] Applying these standards to *Guardino*, Supreme Court properly held that the defense failed to meet its step one burden of establishing a prima facie case. Here, co-defense counsel raised a *Batson* challenge alleging that the People impermissibly

used their peremptory challenges to exclude four African-American females from the jury. In doing so, co-defense counsel alleged that the People used their challenges to create an “all white jury” by eliminating females generally and by excluding all but one of the black female panelists subject to peremptory challenges. The defense made no record of the racial or gender composition of the remaining venire nor did they articulate other facts or circumstances that, in their view, gave rise to an inference of discrimination.

Evaluating the numerical assertions set forth by the defense, Supreme Court corrected the record, noting that it was the defense who had actually struck one of the African-American female panelists. Moreover, Supreme Court observed that of the 11 females that the People peremptorily struck, seven of them were white. Based on these findings, Supreme Court denied the *Batson* application. Indeed, at the time of the *Batson* challenge, 37 jurors—15 male and 22 female—were subject to the parties’ peremptory challenges. Six of these females were African-American. The People used 11 of their 12 peremptory challenges to remove females, four of whom were African-American. The 12-person jury ultimately selected by the parties from this group consisted of five females, one of whom was African-American.

Thus, this is not the type of case where mere numerical assertions alone will give rise to a mandatory inference of discrimination. Most obviously, Guardino did not and could not assert that the People engaged in a wholesale exclusion of all the African-American women seated in the two panels. This case contrasts with the many cases where this Court and the United States Supreme Court have held that total exclusion of a cognizable group would give rise to an inference of discrimination (*see e.g. Johnson*, 545 US at 166 [“all of the prospective black jurors had been stricken from the pool”]; *Batson*, 476 US at 100 [prima facie case established where prosecutor excluded all four black prospective jurors from the venire]; *People v Hernandez*, 75 NY2d 350, 353 [1990] [the removal of the only four Latino jurors out of a 63-person venire gives rise to a prima facie case]; *People v Scott*, 70 NY2d 420, 425 [1987] [“defendant established a prima facie claim that the prosecution used its peremptory challenges to exclude (all five) blacks (in the venire) from her petit jury”]).

In cases where we have sustained a prima facie showing of purposeful discrimination absent a 100% exclusion rate of a cognizable group, the moving party has placed other factors on the

record to meet the step one burden. On this point, the facts in *Bolling* are illuminating. In that case, the defendant, an African-American male, pointed to numbers that revealed that of the five peremptory challenges utilized by the People, they struck four of the five potential African-American jurors (*see Bolling*, 79 NY2d at 322). There, in making a successful prima facie showing, the defendant not only highlighted this statistical argument to the trial court, but augmented his showing by noting that two of the four excluded jurors had pro-prosecution tendencies with “ties to law enforcement” (*id.*).

In contrast, in *People v Steele*, a companion case decided along with *Bolling*, we concluded that the mere statistical fact that the People used 75% of their challenges to strike 50% of the prospective African-American jurors was not sufficient to meet the prima facie threshold (*see id.* at 325; *see also People v Jones*, 284 AD2d 46, 47 [1st Dept 2001] [reliance on numbers alone insufficient to establish a prima facie case, but rather “depends on proof of facts and circumstances”]). Here, like the defendant in *Steele*, Guardino did not articulate additional factors as part of his step one prima facie showing.

Moreover, one of the factors that is relevant to a court’s prima facie determination, in the context of a *Batson* challenge raised by the defense, is whether a defendant is a member of the same cognizable group the People are aiming to exclude (*see Powers*, 499 US at 416). Guardino and his three codefendants were white males while the purported cognizable group asserted by their *Batson* challenge was “black females.” Although we fully acknowledge that the United States Supreme Court has disposed of the standing requirement, which previously compelled defendants to show that they were a member of the same cognizable class challenged by the prosecution (*see Batson*, 476 US at 96), the Supreme Court, nevertheless, emphasized that it remains a factor in evaluating whether the totality of the circumstances gives rise to a showing of purposeful discrimination (*see Powers*, 499 US at 429). In evaluating this factor, we note that the defense neither argued that the People treated the four African-American challenged panelists disparately vis-à-vis the unchallenged prospective jurors nor did they suggest that the People excluded this cognizable group because they would, for some reason, be more favorably disposed to the defense position.

In sum, because the numerical arguments alone advanced by Guardino did not give rise to a prima facie case of impermissible

discrimination, we conclude Supreme Court properly denied his *Batson* application.

B. *People v Hollis*

The facts alleged by the defense to support a prima facie case of racial discrimination in *Hollis* likewise rested solely on numerical grounds. In this case, Hollis, an African-American male, asserted a *Batson* challenge during the second round of jury selection, following the People's removal of the only two African-American panelists considered in that particular round. Although the People in *Hollis* immediately indicated that they could specify their race-neutral reasons for striking these prospective jurors, Supreme Court reminded the parties that it first had to resolve whether a prima facie case of discrimination had been established. To that end, defense counsel simply contended that it was "a question of numbers." Notably, defense counsel did not make a record of the racial composition of the remaining venire nor did he argue that the People peremptorily struck African-American prospective jurors seated during the first round.

[3] Furthermore, defense counsel did not enumerate any other factors supporting an inference of discrimination. In accordance with our precedent, Supreme Court denied the motion, concluding that a prima facie case had not been set forth "at this juncture." Supreme Court, however, specifically advised defense counsel that he could renew his *Batson* challenge at a later point if he saw fit. At the conclusion of the voir dire, defense counsel elected not to renew his *Batson* challenge. Therefore, since Hollis failed to meet his step one burden of establishing a prima facie case of impermissible discrimination, Supreme Court's denial of the *Batson* application was entirely proper.

IV.

[4] Having completed our analysis of the step one *Batson* procedure, we now examine steps two and three of this tripartite test. Once a prima facie case of impermissible discrimination has been established, the burden shifts, at step two, to the opposing party to set forth a race-neutral reason for each of the stricken jurors (*Hernandez*, 500 US at 358-359). A race-neutral reason naturally "means an explanation based on something other than the race of the juror" (*id.* at 360). In *Smocum*, we held that "[i]f the nonmovant cannot meet this burden, an equal

protection violation is established. However, once race-neutral reasons are given, the inference of discrimination is overcome. At this second stage the reasons need be only facially permissible” (99 NY2d at 422).

If the explanations proffered by the nonmoving party are race neutral, the burden then shifts back, at step three, to the moving party to “persuad[e] the court that reasons are merely a pretext for intentional discrimination” (*id.*; *Payne*, 88 NY2d at 183-184). “It is therefore the moving party’s burden to make a record that would support a finding of pretext” and a trial court must make its “ultimate determination on the issue of discriminatory intent based on all of the facts and circumstances presented” (*Smocum*, 99 NY2d at 422). Moreover, as the Supreme Court explained in *Purkett v Elem* (514 US 765 [1995]),

“At . . . stage [three], implausible or fantastic justifications may (and probably will) be found to be pretexts for purposeful discrimination. But to say that a trial judge *may choose to disbelieve* a silly or superstitious reason at step three is quite different from saying that a trial judge *must terminate* the inquiry at step two when the race-neutral reason is silly or superstitious. The latter violates the principle that the ultimate burden of persuasion regarding racial motivation rests with, and never shifts from, the opponent of the strike” (*id.* at 768).

The *Batson* inquiry “vests the trial judge with broad discretion to determine the parties’ credibility” (*Luciano*, 10 NY3d at 505). “Credibility can be measured by, among other factors, the [demeanor of the opposing party]; by how reasonable, or how improbable, the explanations are; and by whether the proffered rationale has some basis in accepted trial strategy” (*Miller-El v Cockrell*, 537 US 322, 339 [2003]; *see also Snyder v Louisiana*, 552 US 472, 477 [2008] [demeanor of attorney who exercises peremptory challenges often the best evidence of impermissible discrimination]).

Accordingly, this third-step inquiry is a “pure issue of fact,” and the trial court’s determination whether a proffered race-neutral reason is pretextual is accorded “great deference” on appeal (*Miller-El*, 537 at 339, 340). “Deference is necessary because a reviewing court, which analyzes only the transcripts from *voir dire*, is not as well positioned as the trial court is to make credibility determinations” (*id.* at 339; *see also Smocum*,

99 NY2d at 422 [a step three “determination is a question of fact, focused on the credibility of the race-neutral reasons”]). Thus, a trial court must establish a meaningful record for a reviewing court to uphold its ruling (*see Payne*, 88 NY2d at 184).

Only *Hecker* and *Black* advanced to steps two and three and we will now examine them separately.

A. *People v Hecker*

[5] Applying these standards to “all of the circumstances that bear upon the issue of racial animosity” (*Snyder*, 552 US at 478), we conclude that in *Hecker* there is no record support for Supreme Court’s finding of pretext. In that regard, our review power is limited to the examination of Supreme Court’s pretext determination in light of the reasons placed on the record by defense counsel concerning her removal of Chan. In doing so, we cannot engage in factfinding, but merely search the record for support for the trial court’s ultimate pretext determination.

Here, defense counsel’s reasons for striking Chan were essentially twofold. She informed Supreme Court that (1) she felt Chan appeared “austere in her demeanor and her temperament.” In making that assessment, defense counsel acknowledged that (2) in the “short” 10 minutes allotted to her to voir dire all 18 of the panelists, she was unable to speak with everyone. As a result, defense counsel had to make “selective” choices in picking jurors and struck Chan because she did not know much about this panelist.

When Supreme Court made its finding of pretext, it focused exclusively on defense counsel’s remarks concerning Chan’s demeanor and temperament and concluded those assessments were not “conclusions which would flow from the answers given by [Chan].” In addition, Supreme Court held that there was “no differentiation . . . between this juror’s responses and that of any of the other jurors which were found acceptable by counselor.” We hold that these conclusions are an overly constricted view of the record as a whole that warrant no deference on review.

To begin, the People allege that defense counsel’s choice not to ask Chan “a single question” is an indication of a specific racial bias against this juror. We disagree. There can be no doubt that the trial judge severely curtailed the parties from questioning the panelists, precluding them from conducting a more

meaningful voir dire. Supreme Court specifically informed the parties that they only had 10 minutes to voir dire the panelists in each round. In the second round of jury selection, defense counsel asked questions of only five of the seated 18 panelists. This fact, without more, cannot mean that defense counsel exhibited a bias against Chan or the other 12 unquestioned panelists. Rather, what it more realistically reveals is the impossibility of directing her attention to all of the panelists in the brief time she had to address them.⁶

Furthermore, there is no support in the record to conclude that defense counsel purposely avoided questioning panelists of Asian descent in order to justify peremptorily striking them at a later point. Rather, the record demonstrates that it was defense counsel who actually posed Lee a question in the second round of jury selection. When defense counsel began questioning him—the fifth and final panelist she was able to address that round—Supreme Court cautioned her that she had “one minute left.” Moreover, defense counsel’s voir dire in that round was further cut short by the lengthy colloquy that ensued between the judge and Lee. Significantly, when the court finished its questioning of this controversial panelist, it summarily informed defense counsel her time to voir dire had expired. While defense counsel did not initially approach the judge and ask for more time to question Chan or any of the other panelists, there is no record support that this omission was racially motivated.

Therefore, although inartfully worded, the crux of defense counsel’s race-neutral explanation to strike Chan was that she knew little to nothing about her. Her decision to strike Chan thus cannot be construed to be rooted in “racial animosity” (*Snyder*, 552 US at 478) but rather a “rationale [with] some basis in accepted trial strategy” (*Miller-El*, 537 US at 339). Defense counsel’s strategy, as the record bears out, was not to avoid or ignore a particular class of prospective jurors based on race but to remove jurors whom either she or both parties did not have time to address.

[6] Next, the People contend that defense counsel’s initial “reluctance” to offer a race-neutral reason for striking Chan supports Supreme Court’s later finding of pretext. This argument likewise misconstrues the record. Rather, our examination

6. Our review of the record establishes that in the first round of jury selection, defense counsel questioned 12 of the 18 panelists. In the third round, out of the 26 seated panelists, defense counsel had the occasion to question only three of them.

of the record clearly demonstrates that defense counsel was of the genuine belief she was under no requirement to provide a reason for her peremptory strike (*see* CPL 270.25 [1]) because no pattern of discrimination had been established. A peremptory challenge is a challenge for which “no reason need be assigned” (*id.*). Defense counsel, who had originally challenged Lee for cause, vociferously explained her basis for striking Lee in a clear effort to refute the People’s assertion that a pattern of discrimination against persons of Asian descent had been established. Indeed, defense counsel went to great lengths to demonstrate that Lee was a “questionable juror for a defense attorney.” Although Supreme Court had denied defense counsel’s earlier for cause challenge, she argued, in peremptorily striking Lee, that he wavered in accepting the basic constitutional principle that Hecker had no obligation to testify. She further suggested that the trial judge’s intensive questioning did not rehabilitate him, but rather coerced Lee, “an aspiring law student”—through embarrassment by the court—into promising that he could set aside his desire to hear Hecker’s version of the events and render a verdict in accordance with the evidence.

Thus, it makes sense that defense counsel would focus her remarks on Lee, whose controversial admissions occupied the majority of the questioning during that section of the voir dire, and not comment on Chan. Therefore, because defense counsel attempted to dispute that a pattern of discrimination had been established, her decision not to explain her basis for challenging Chan does not demonstrate a racial bias against this juror, but rather reflects her understanding of the statutory right to lodge peremptory challenges without having to provide a reason.

In our view, what is more telling than defense counsel’s purported “reluctance” to place her reasons for striking Chan on the record is her proposal to reopen the voir dire following Supreme Court’s finding of pretext. After Supreme Court made its ruling, defense counsel protested the validity of the finding, reemphasizing that no pattern of discrimination had been established in the first instance. She also renewed her argument that the limited time allotted to her to voir dire the panelists prevented her from speaking with most of them. Consequently, she asked to be given the opportunity to question Chan further, which the court denied. While we refrain from characterizing Supreme Court’s denial of this request as an abuse of discretion as a matter of law, we note that the record would

have been more complete if Supreme Court agreed to defense counsel's proposal. More importantly, we find defense counsel's willingness to question Chan indicative of her genuine desire to learn more about this prospective juror and a reflection that her decision to strike her in the first instance was not on account of race. Nor can it be said from this record that defense counsel's reflections about Chan's austere demeanor and temperament indicate impermissible racial stereotyping.

[7] In addition, Hecker maintains that the "flimsiness" of the step one prima facie showing of racial discrimination in this case is a factor that we ought to consider in determining whether we should accord deference to Supreme Court's step three pretextual ruling. While the sufficiency of the prima facie case showing becomes moot once a party states its race-neutral reasons for lodging a peremptory strike (*see Smocum*, 99 NY2d at 422), we agree with Hecker that the strength or paucity of the step one showing is a factor that should be considered in determining whether the record as a whole supports a finding of pretext (*see Snyder*, 552 US at 478 ["*all of the circumstances that bear upon the issue of racial animosity must be consulted*" (emphasis added)]). The language in *Smocum*, which states "[i]t makes no sense . . . to revisit the issue of whether a prima facie case has been made once [a party] has come forward with race-neutral reasons" (99 NY2d at 422), merely stands for the proposition that, once race-neutral reasons have been advanced by a party, a trial court cannot return to the adequacy of the prima facie showing and end its inquiry there.

Turning to the prima facie showing in this case, we observe that in the second round of jury selection, defense counsel utilized two of her 15 peremptory challenges to strike two prospective jurors of Asian descent, one of whom she attempted to remove for cause. In response, the People made a reverse *Batson* application, simply noting for the record that the defense had eliminated the only two Asians questioned at that point. The People did not contend that the defense struck all persons of Asian descent from the venire. Indeed, such an argument could not have been advanced by the People. At least three other persons from the venire were likely of Asian descent—Choy, who spoke Chinese, Kazuko, who received her bachelors degree in Japan and coordinated tours for Japanese tourists in New York City, and Qu, who received his university degree in Beijing and who hosts "[c]ulture for Chinese language" television and radio programs.

Therefore, the People's prima facie case, which rested solely on the fact that defense counsel struck two jurors of Asian descent in one particular round, including Lee, who would have been a problematic juror for any defendant and who was unsuccessfully challenged for cause, was weak and is another factor that undermines Supreme Court's step three pretext finding.

In sum, although appellate courts accord great deference to trial judges' step three determinations, we conclude that Supreme Court's step three reverse *Batson* ruling was erroneous and that there is no record support for Supreme Court's rejection of defense counsel's race-neutral reasons for striking Chan. The People simply failed to meet their burden that racial discrimination was the motivating factor for defendant's challenges (see *Smocum*, 99 NY2d at 422; *Payne*, 88 NY2d at 183-184; *Allen*, 86 NY2d at 104).

Because Supreme Court erred in precluding defense counsel from exercising a peremptory strike against Chan, we must determine whether such error entitles this defendant to a new trial. The People argue Hecker is not entitled to a new trial because any error in seating Chan on the jury was harmless and did not deprive him of a fair trial. In support of this proposition, the People rely on the United States Supreme Court's recent pronouncement in *Rivera v Illinois* (556 US —, 129 S Ct 1446 [2009]). In that case, the issue on appeal was whether the erroneous denial of a defense peremptory challenge required automatic reversal of his conviction pursuant to the Due Process Clause of the Fourteenth Amendment (see 556 US at —, 129 S Ct at 1450). The Supreme Court answered this question in the negative. In doing so, the Supreme Court recognized that "there is no freestanding constitutional right to peremptory challenges" (556 US at —, 129 S Ct at 1453). Moreover, the Court held that "[b]ecause peremptory challenges are within the States' province to grant or withhold, the mistaken denial of a state-provided peremptory challenge does not, without more, violate the Federal Constitution" (556 US at —, 129 S Ct at 1454).

The United States Supreme Court, however, noted that "[a]bsent a federal constitutional violation, . . . States are free to decide, as a matter of state law, that a trial court's mistaken denial of a peremptory challenge is reversible error *per se*" (556 US at —, 129 S Ct at 1456 [first emphasis added]).

[8] Thus, we look to our precedents and hold that such a mistake under New York law mandates automatic reversal.

Recently, in *Luciano*, we too recognized that “[t]hough not a trial tool of constitutional magnitude, peremptory challenges are a mainstay in a litigant’s strategic arsenal,” protected by the Criminal Procedure Law (10 NY3d at 502). “From ‘earliest times the right of peremptory challenge was the privilege of the accused’ ” (*id.*, quoting *People v McQuade*, 110 NY 284, 293 [1888]).

In *People v Jones*, one of the three cases before us in *Payne*, we observed that in the context of a reverse *Batson* test, Supreme Court, at step two, commanded the defense to “articulate ‘non-pretextual’ reasons for the challenges” (88 NY2d at 186). Because Supreme Court’s “merger of the step two and three requirements” impermissibly shifted the burden of persuasion on the issue of pretext from the People to the defense, we reversed the order of the Appellate Division and remitted the case to Supreme Court so that the trial court could satisfy the three-step *Batson* requirements (*id.*). We noted, however, that “if these requirements [were] not satisfied, the judgment of conviction should be vacated,” in essence, because the defendant was deprived of his statutory right to exercise peremptory challenges (*id.*). Since, as the United States Supreme Court recently stated in *Rivera*, states are free to decide whether an erroneous denial of a peremptory challenge is reversible error per se, we perceive no basis to depart from our existing precedent (*see also People v Wilson*, 23 AD3d 682, 682 [2d Dept 2005] [judgment reversed where trial court erred in rejecting defendant’s peremptory challenges]) and hold that the unjustified denial of a peremptory challenge violates CPL 270.25 (2) and requires reversal without regard to harmless error (*see Payne*, 88 NY2d at 186).

The dissent’s criticism of our reliance on our cases which predate *Rivera* is unpersuasive (*see* dissenting op at 667-668). In *Rivera*, the United States Supreme Court specifically acknowledged the split in state authority at the time it rendered its decision (*compare Angus v State*, 695 NW2d 109, 118 [Minn 2005] [applying automatic reversal rule]; *State v Vreen*, 143 Wash 2d 923, 927-931, 26 P3d 236, 238-240 [2001] [same], *with People v Bell*, 473 Mich 275, 292-300, 702 NW2d 128, 138-141 [2005] [rejecting automatic reversal rule]). In affirming Illinois’ decision to reject the automatic reversal rule when a peremptory challenge is erroneously denied, the Supreme Court made it clear that the states that opted to apply an automatic reversal rule—pre-*Rivera*—were permitted to do so.

Moreover, other states, following the United States Supreme Court's pronouncement in *Rivera*, have continued to apply an automatic reversal rule (see e.g. *Commonwealth v Hampton*, 457 Mass 152, 164, 928 NE2d 917, 927 [2010] [given the importance of peremptory challenges in state jurisprudence, "(w)e continue to adhere to the view that, for purposes of State law, the erroneous denial of a peremptory challenge requires automatic reversal"]).

We are also unmoved by the premonition cited by the dissent that an automatic reversal rule will "likely discourage trial courts and prosecutors from policing a criminal defendant's discriminatory use of peremptory challenges (556 US at —, 129 S Ct at 1455)" (see dissenting op at 668). At most, this is purely speculative. Rather, we believe that, no matter which party advances a *Batson* challenge, adherence to the three-step protocol—as in *Guardino*, *Hollis* and *Black*—will prevent a trial judge from "an error that would upset a conviction" (see dissenting op at 667-668).

B. *People v Black*

In contrast to *Hecker*, we conclude that there is record support for Supreme Court's acceptance of the race-neutral reasons in *Black*. Preliminarily, we observe that Supreme Court adhered to both federal and state precedent in following the three-step *Batson* protocol. Once Supreme Court found a prima facie case, it asked the People, at step two, to state their reasons for challenging the jurors on the record. After the People completed this step, Supreme Court ruled that the articulated reasons were facially race neutral (see *Smocum*, 99 NY2d at 422) and proceeded to step three of the *Batson* inquiry. Then, Supreme Court asked defense counsel to explain why the People's proffered race-neutral reasons were pretextual.

[9] At this step, *Black* did not meet his ultimate burden of persuasion. First, with respect to Thomas, the People's articulated basis for striking him related to his overall courtroom demeanor. Indeed, Supreme Court recognized that Thomas had a "body-language problem" when questioned by the People. We accord great deference on review to Supreme Court's observations of demeanor and credibility determinations (see *Miller-El*, 537 US at 339; *Smocum*, 99 NY2d at 422).

We also conclude that the reasons for striking Gordon and Williams—residence, employment status, and educational backgrounds—had "some basis in accepted trial strategy"

(*Miller-El*, 537 US at 339). Defendant asserts and the dissenting justice at the Appellate Division agreed, however, that since these reasons bore no relation to the actual facts of this particular case, they are “per se” pretextual. We reject this rule as overly restrictive and hold that trial courts must evaluate whether the proffered step two race-neutral reasons are pretextual based on the totality of all the relevant facts and circumstances (see *Payne*, 88 NY2d at 187 n 2; see also *People v Brown*, 283 AD2d 312, 312-313 [1st Dept 2001] [People not required to “show that the peremptory challenge was specifically related to the facts of the case”]).

Whether a proffered reason relates to the facts of a case or a prospective juror’s qualifications is certainly a factor relevant to a court’s determination of pretext, but, in our view, is not automatically dispositive. We observe that jury selection is, if not an art, an inexact science. In general, as a review of all these cases bears out, it is impossible to learn everything about a particular prospective juror during the screening process. Consequently, in deciding whether to challenge a prospective juror, the parties often rely on past experiences or “gut feelings” in making their selections. So long as race or gender is not a factor in the decision-making process, the parties are free to exercise their allotted peremptory challenges as they deem appropriate (see e.g. *People v Mancini*, 219 AD2d 456, 458 [1st Dept 1995] [“given the inexactness of the art of jury selection, an attorney is entitled to rely on personal experience with those employed in a particular capacity to screen potential jurors”]).

A party, for example, might not want a prospective juror who lives in a particular neighborhood or who works in a certain field to sit on the jury because that party believes—for reasons unrelated to the facts of the case—that such individual may have a more sympathetic attitude or view toward the opposing party (see e.g. *People v Wilson*, 43 AD3d 1409, 1411 [4th Dept 2007] [permissible for People to challenge social worker where prosecutor believed that social worker was predisposed to being more favorable to defendant]).

Likewise, a party’s decision to strike a prospective juror who has little to no employment history or who has not sought higher education is not “per se” pretextual. In *People v Hinds* (270 AD2d 891 [4th Dept 2001, Pigott, Jr., P.J., on panel]), the defendant was charged with second-degree murder (see *id.* at 891). The People, in striking a prospective juror with “no significant employment history,” stated that “he looked for jurors

with decision-making responsibilities and that this prospective juror had none” (*id.* at 891-892). In affirming the judgment of conviction, the Appellate Division noted that “[t]he record reflects that the prosecutor asked the other potential jurors about their employment histories and job responsibilities. Under those circumstances, we agree . . . that the prosecutor’s explanation for the challenge was race-neutral and was not pretextual” (*id.* at 892). Though one’s employment status has no relation to a second-degree murder prosecution, the People demonstrated a valid line of reasoning in exercising this particular peremptory challenge (*see Miller-El*, 537 US at 339).

In *Black*, our review of the record establishes that the People employed a general strategy to select primarily educated jurors with gainful employment or who have had at least a prior history of employment. Indeed, of the 12 seated jurors, nine were currently employed, one had retired after working for 53 years, one was currently in school earning her degree in nursing, and one was currently unemployed, but had worked as a home health aide for 22 years. Similarly, the record reveals that 10 of the 12 jurors had completed high school.⁷ Thus, there is no basis to conclude that the three stricken jurors were treated disparately in relation to the jurors selected by the parties or that race played any part in their being peremptorily challenged.

On balance, there exists support in the record in *Black* for Supreme Court’s acceptance of the People’s race-neutral reasons and rejection of defense counsel’s argument of pretext.

VI.

In *Hecker*, in light of our decision to reverse and order a new trial, we need not address whether Supreme Court properly closed the courtroom to the public during the undercover officer’s trial testimony.

In *Guardino*, we not only agree with the Appellate Division that Supreme Court properly ruled on the *Batson* challenge and that the evidence adduced at trial was legally sufficient to sustain a finding of guilt as to the enterprise corruption count, but also agree that Supreme Court properly instructed the jury during its deliberations and was justified in denying Guardino’s mistrial motions.

7. In addition, the three alternates selected were all gainfully employed. Two of them had at least a college education.

In *Black*, we find no *Batson* error and the defendant's remaining contentions, raised in his pro se supplemental brief, are either unpreserved or without merit.

Accordingly, in *Hecker*, the order of the Appellate Division should be reversed and a new trial ordered, and in *Guardino*, *Hollis*, and *Black*, the respective orders of the Appellate Division should be affirmed.

SMITH, J. (concurring in *People v Guardino*, *People v Hollis* and *People v Black*, and dissenting in *People v Hecker*). I join the majority opinion in all these cases except *People v Hecker*, in which I dissent. Before discussing *Hecker*, however, I want to add a word about *People v Guardino*.

I

In *Guardino* defendant asserts, and the People do not dispute, that African-American women are a "cognizable group" for *Batson* purposes—i.e., that to use peremptory challenges against prospective jurors because they are African-American women would be a constitutional violation. The People do not challenge this assumption, and the majority opinion accordingly accepts it. I have no quarrel with accepting the premise for purposes of this case, but I want to point out that it is not obviously correct, though it may seem so.

One might at first think that, if it is unconstitutional for a prosecutor or defense lawyer to direct challenges at African-Americans as a group (which it is) or women as a group (which it is), it must also be impermissible to challenge African-American women as a group. But there is a counterargument. The lawyer who challenges African-American women—but is perfectly happy to have African-American men, and white women, on the jury—cannot be accused of either racism or sexism. That lawyer can certainly be accused of a cynical use of stereotypes—but a cynical use of stereotypes is a large part of what lawyers do when they make peremptory challenges (see Smith, "Nice Work If You Can Get It": "Ethical" Jury Selection in Criminal Defense, 67 Fordham L Rev 523 [1998]).

It is widely believed, whether true or not, that certain kinds of jurors—police officers and their families, members of "helping" professions, doctors, accountants, rich people, poor people, suburbanites, city-dwellers, the unemployed—bring predictable biases to jury service. As long as such beliefs are prevalent, lawyers exercising peremptory challenges will target the groups

they think least favorable to their cause. As to all the groups I have mentioned, this kind of stereotyping is perfectly legal. If the group is one defined by race or sex, it is not. Whether a group defined by race *and* sex is within *Batson*'s protections is an open question—one we do not decide today (see *United States v Walker*, 490 F3d 1282, 1291 n 10 [11th Cir 2007]).

II

In *Hecker*, a defense lawyer challenged a prospective juror about whom the lawyer knew virtually nothing except that she was Asian. The lawyer found the prospective juror to be “extremely austere” and unlikely to be “flexible in her thinking.” I do not understand how the majority can say, as a matter of law, that Supreme Court had no basis for finding the challenge to be racially motivated. It may not have been, of course; the lawyer may have deduced austerity and rigidity from the panel member's posture, or the expression on her face. Or, as the majority suggests, the lawyer could simply have been challenging the people she knew little about—but then why did she mention austerity and rigidity at all? The trial judge was surely in a better position than we are to guess at what the lawyer was thinking.

In *Batson* cases, a finding of pretext depends heavily on the trial judge's observations of demeanor and other intangible factors, which is why reviewing courts are supposed to accord great deference to a trial judge's findings on such issues (*Miller-El v Cockrell*, 537 US 322, 339 [2003]; *People v Hernandez*, 75 NY2d 350, 356 [1990]). The majority opinion states this rule, but does not follow it.

The majority also holds that New York law “mandates automatic reversal” whenever a defense peremptory challenge is mistakenly denied, even in good faith (majority op at 661). It does so despite the recent unanimous holding of the United States Supreme Court that no such rule is required by the Federal Constitution (*Rivera v Illinois*, 556 US —, 129 S Ct 1446 [2009]). The majority offers no reasoned justification for this holding, merely relying on pre-*Rivera* precedents.

I do not believe the majority's automatic-reversal rule is wise. It loads the dice against the People. A defendant, who need not fear an appeal by the People, can and generally will vigorously contest any prosecution use of a peremptory challenge that might raise *Batson* problems. But the People will be reluctant to do the same thing, lest they lead the trial judge into an error

that would upset a conviction. The rule of automatic reversal, as the Supreme Court said in *Rivera*, will “likely discourage trial courts and prosecutors from policing a criminal defendant’s discriminatory use of peremptory challenges” (556 US at —, 129 S Ct at 1455). For this reason, even if I thought the trial judge in *Hecker* had erred, I would at least consider whether, on this record, his error warrants reversing Hecker’s conviction.

GRAFFEO, J. (concurring in *People v Guardino*, *People v Hollis* and *People v Black*, and dissenting in *People v Hecker*). I agree that there should be an affirmance in *Guardino*, *Hollis* and *Black*, and therefore join the majority’s analysis of those cases. I dissent in *Hecker*, however, for the reason as stated by Judge Smith that there is record support for the trial court’s step-three finding of fact that the peremptory challenge was racially motivated. I do not join Judge Smith’s discussion of *Guardino*.

Chief Judge LIPPMAN and Judges PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion in which Judge READ concurs; Judge GRAFFEO dissents in another opinion.

In *People v Hecker*: Order reversed, etc.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH concurs in a separate opinion in which Judge PIGOTT concurs.

In *People v Guardino*: Order affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In *People v Hollis* and *People v Black*: Order affirmed.

[942 NE2d 1039, 917 NYS2d 614]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SEAN SMITH, Appellant. CITY OF NEW YORK, Intervenor-Respondent.

Argued November 15, 2010; decided December 16, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 12, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a weapon in the second degree, criminal possession of a weapon in the third degree, and unlicensed driving, and sentenced defendant, as a second felony offender, to an aggregate prison term of five years followed by five years of post-release supervision, and directed that he register as a gun offender pursuant to New York City's Gun Offender Registration Act (Administrative Code of City of NY § 10-601 *et seq.*).

People v Smith, 69 AD3d 450, affirmed.

HEADNOTE

Crimes — Appeal — Matters Appealable — New York City Gun Offender Registration Act

The registration and notice requirements imposed by New York City's Gun Offender Registration Act (Administrative Code of City of NY § 10-601 *et seq.* [GORA]) are not reviewable on direct appeal from a judgment of conviction in a criminal proceeding (CPL 450.10). GORA states that persons convicted of specified gun offenses in New York City must register with the city police department at the time of sentencing and meet additional mandates. GORA's requirements, like the Sex Offender Registration Act's registration and notification requirements, are not a traditional, technical or integral part of a defendant's sentence or subsumed within the judgment of conviction. Neither the Penal Law nor the Criminal Procedure Law directs or authorizes a sentencing court to impose GORA registration as part of a defendant's sentence, and if the sentencing court here had omitted advising defendant of his obligation to register as a gun offender, defendant would have nonetheless remained obligated to register under GORA (*see* Administrative Code of City of NY § 10-603 [a]). Pursuant to the terms of GORA, the registration of a gun offender is an administrative matter between the City of New York, the New York Police Department, and the offender, not a component of a gun offender's sentence to be imposed by the sentencing court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 619, 620, 624.

CARMODY-WAIT 2d, Pleas and Plea Bargaining § 182:87;
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:6,
207:159.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3–
21.6.

McKINNEY's, CPL 450.10.

NY JUR 2d, Criminal Law: Procedure §§ 1530, 3484, 3508,
3584, 3608.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Guilty
Plea; Weapons and Firearms.

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Query: guilty /3 plea! & gun /2 offender /2 registration

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Bruce D. Austern* and *Robert S. Dean* of counsel), for appellant. Appellant's gun offender registration pursuant to New York City's recently enacted Gun Offender Registration Act is appealable on direct appeal, and should be vacated as a matter of law, because New York City's new registration law is preempted by New York state law, which prosecutes gun offenses, maintains a record of offenders, and supervises offenders upon release. (*Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Anonymous v City of Rochester*, 13 NY3d 35; *People v Speakerkits, Inc.*, 83 NY2d 814; *Ba Mar v County of Rockland*, 164 AD2d 605; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *People v Judiz*, 38 NY2d 529; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Matter of Ardizzone v Elliott*, 75 NY2d 150.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Martin J. Foncello* and *Mary C. Farrington* of counsel), for respondent. Defendant cannot contest the legality of the New York City Gun Offender Registration Act on direct appeal from the judgment of conviction. In any event, this groundbreaking local law is not preempted by state law. (*People v Stevens*, 91 NY2d 270; *People v Marra*, 13 NY2d 18; *People v Gersewitz*, 294 NY 163; *People v Zerillo*, 200 NY 443; *People v Nieves*, 2 NY3d 310; *United States v Spallone*, 399 F3d 415; *People v Guerrero*, 12 NY3d 45; *People v Kearns*, 95 NY2d 816; *People v Hernandez*, 93 NY2d 261;

Matter of Garner v New York State Dept. of Correctional Servs., 10 NY3d 358.)

Michael A. Cardozo, Corporation Counsel, New York City (*Julie Steiner* and *Barry P. Schwartz* of counsel), for intervenor-respondent. Pursuant to the New York State Constitution and Municipal Home Rule Law, the City's Gun Offender Registration Act—requiring gun offenders, whether or not sentenced to a term of imprisonment, to register with the City's Police Department—is a proper exercise of its police powers to regulate the safety and well-being of its citizens. It is neither expressly nor impliedly preempted by nor otherwise inconsistent with the provision of the Executive Law relating to the record-keeping on all inmates released from prison. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *New York City Health & Hosps. Corp. v Council of City of N.Y.*, 303 AD2d 69; *People v Judiz*, 38 NY2d 529.)

OPINION OF THE COURT

CIPARICK, J.

In September 2006, defendant Sean Smith was charged in a New York County indictment with one count each of criminal possession of a weapon in the second degree, criminal possession of a weapon in the third degree, unlawful possession of marijuana, and unlicensed driving. He ultimately pleaded guilty to both weapons charges and unlicensed driving in full satisfaction of the indictment. In exchange for his guilty plea, defendant was promised prison terms of five years for each felony weapon charge and 15 days for unlicensed driving, all to run concurrently, and five years of postrelease supervision. At his plea hearing, Supreme Court informed defendant that he would be required to register as a gun offender pursuant to New York City's Gun Offender Registration Act (GORA).

In January 2009, defendant appeared for sentencing. When asked by the sentencing court if the People had anything to say, the prosecutor stated:

“Your Honor, the People rely on the promised sentence of five years in jail and five years [of] post-release supervision and Gun Offender Registration.

“And I have provided . . . [the GORA] registration [form] to defense counsel.”

Defense counsel requested that defendant receive credit for time served, but did not otherwise object to the sentence as stated by the prosecutor. When the court pronounced defendant’s sentence, it stated that he was subject to GORA and advised him of his obligations thereunder. At no time during the sentencing hearing did defendant challenge the legality of GORA or its application to him.

Defendant appealed from the judgment of conviction and sentence, arguing for the first time that GORA was preempted by state law. The Appellate Division, First Department, unanimously affirmed, concluding that “the registration and other requirements of GORA are not part of the sentence, or otherwise part of the judgment. Instead, they are analogous to the requirements of the Sex Offender Registration Act (SORA), and a SORA determination . . . may not be reviewed on an appeal from a criminal judgment” (*People v Smith*, 69 AD3d 450, 450-451 [1st Dept 2010]). Thus, the Court stated, it was affirming the judgment of conviction and sentence “on the ground that no reviewable issue ha[d] been raised” (*id.* at 451).

A Judge of this Court granted defendant leave to appeal, and we now affirm.

Based on the New York City Council’s finding that gun offenders pose “unique dangers” to the citizens of New York City, the City Council, effective March 24, 2007, adopted GORA, a regulatory scheme to monitor gun offenders residing within the city (*see* Council of City of NY Intro No. 362, Comm on Pub Safety, Rep of Governmental Affairs Div, Background [June 27, 2006]; Local Law No. 29 [2006] of City of NY). GORA states that a person convicted of specified gun offenses in a court in New York City is a “gun offender” subject to registration with the New York Police Department (NYPD) (*see* Administrative Code of City of NY § 10-602 [d], [e]). Among other things, GORA requires that a gun offender register at the time sentence is imposed (*see id.* § 10-603 [a]) and personally appear at the NYPD Gun Offender Monitoring Unit within 48 hours of the date of conviction or the date of release from prison, whichever is later (*see id.* § 10-603 [d]). Failure to comply with GORA requirements is a misdemeanor punishable by a fine up to \$1,000 and/or up to one year of imprisonment (*see id.* § 10-608).

The threshold question on this appeal is whether GORA registration is subject to appellate review pursuant to CPL

450.10. “Appealability of determinations adverse to a defendant cannot be presumed because ‘a defendant’s right to appeal within the criminal procedure universe is purely statutory’ ” (*People v Nieves*, 2 NY3d 310, 314 [2004]). As relevant here, Criminal Procedure Law § 450.10 “authorizes a defendant to appeal from a judgment in a criminal case, which brings up for review many of the orders and rulings that precede or are part of it” (*Nieves* at 314). A judgment is “comprised of a conviction and the sentence imposed thereon and is completed by imposition and entry of the sentence” (CPL 1.20 [15]).

In *People v Stevens* (91 NY2d 270 [1998]) and *People v Kearns* (95 NY2d 816 [2000]), we held that the registration and notification requirements of SORA—regardless whether the specific risk level determination was made at the time of sentencing or post-judgment—are not a “traditional, technical or integral part of a sentence” that becomes incorporated within the judgment of conviction (*Stevens*, 91 NY2d at 276; *Kearns*, 95 NY2d at 818).¹ Accordingly, SORA registration and notification requirements are not reviewable on direct appeal from a judgment of conviction and are not individually appealable within the criminal proceeding (*Kearns*, 95 NY2d at 818).

We agree with the Appellate Division that GORA’s registration and notice requirements, like SORA’s, are not a “traditional, technical or integral” part of defendant’s sentence or subsumed within the judgment of conviction. Notably, neither the Penal Law nor the Criminal Procedure Law directs or authorizes a sentencing court to impose GORA registration as part of a defendant’s sentence. If the sentencing court here had omitted advising defendant of his obligation to register as a gun offender, defendant would have nonetheless remained obligated to register under the terms of GORA (see Administrative Code of City of NY § 10-603 [a] [“A gun offender shall register with the department at the time sentence is imposed”]). In other words, pursuant to the terms of GORA, the registration of a gun offender is an administrative matter between the City of New York, the NYPD, and the offender, not a component of a gun offender’s sentence to be imposed by the sentencing court.

1. After *Stevens* was decided, the Legislature amended SORA to provide the People and the defendant the right to take a civil appeal challenging a risk level determination (see Correction Law § 168-d [3], as amended by L 1999, ch 453, § 6; see also *Kearns*, 95 NY2d at 818).

Defendant's reliance on *Nieves* (2 NY3d 310 [2004]) and *People v Hernandez* (93 NY2d 261 [1999]) is misplaced. In both cases, we concluded that the matter sought to be appealed—initial certification as a sex offender by the trial court upon conviction and orders of protection issued during a sentencing proceeding—were part of the judgment of conviction and therefore appealable (*Nieves*, 2 NY3d at 312; *Hernandez*, 93 NY2d at 267-268). Significantly, in both cases, the challenged issues were “actually and temporally” part of the judgment of conviction (*Hernandez*, 93 NY2d at 270; *see also Nieves*, 2 NY3d at 315 [“CPL 530.13 (4) authorizes a court to issue permanent orders of protection for the benefit of victims and witnesses ‘(u)pon conviction of any offense.’ By using this language, the Legislature signaled that orders of protection issued at sentencing are part of the final adjudication of the criminal action involving defendant”]). Moreover, certification as a sex offender upon conviction and orders of protection issued at the time of sentencing are made part of the order of commitment, which is incorporated into the certificate of conviction (*see e.g. Kearns*, 95 NY2d at 818). Notably, the GORA registration and notice requirements do not appear on defendant's “Uniform Sentence and Commitment” form, further supporting our conclusion that such requirements are not part of a defendant's sentence.

In short, like SORA registration and notice requirements,² GORA registration and accompanying notice requirements cannot be deemed a technical or integral part of a defendant's sentence nor be incorporated into the judgment of conviction. Accordingly, GORA registration is not reviewable on direct appeal from a judgment in a criminal proceeding.

Defendant further argues that GORA is preempted by Executive Law § 259-a. Because we conclude, as did the Appellate Division, that the imposition of GORA registration is not reviewable on direct appeal, we need not reach that argument. We observe, however, that there are appropriate means by which GORA could be challenged as preempted by state law, including a CPLR article 78 proceeding or a declaratory judgment action.

2. The distinction between SORA registration and notice requirements, which we have held to be not part of a judgment of conviction and thus not appealable, and the initial certification as a sex offender by the trial court upon conviction, which we have held comprises part of a sentence, is clearly articulated in *People v Hernandez* (93 NY2d at 270).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[942 NE2d 219, 917 NYS2d 10]

TAMMY D. JOHNSON, Individually and as Mother and Natural Guardian of ARJAYE JOHNSON, an Infant, et al., Appellants, v CITY OF NEW YORK et al., Respondents. (And Another Action.)

Argued October 20, 2010; decided November 23, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 18, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Karen S. Smith, J.), as had denied defendants' motion for summary judgment dismissing the complaint, (2) granted the motion, and (3) dismissed the complaint.

Johnson v City of New York, 65 AD3d 476, affirmed.

HEADNOTE

Municipal Corporations — Tort Liability — Police — Immunity — Professional Judgment Rule

In an action to recover for injuries resulting from an errant bullet, plaintiffs, who were lying on a public street two vehicles away from an armed robbery suspect when five police officers discharged their firearms in response to shots fired by the suspect, did not raise an issue of fact that the officers violated a police guideline prohibiting officers from discharging their weapons "when doing so will unnecessarily endanger innocent persons." Under the professional judgment rule, a municipality is immune from liability for its employees' performance of official duties involving the exercise of professional judgment and discretion so long as such judgment and discretion are exercised in compliance with the municipality's procedures. The police guidelines governing use of deadly physical force do not prohibit officers from discharging their weapons when innocent bystanders are present in every instance. Rather, officers have discretion to make a judgment call as to when it is necessary to discharge their weapons. Here, there was no evidence presented that the officers did not exercise their judgment when confronted with an armed suspect firing at them. The officers clearly had probable cause to fire their weapons, as the suspect was endangering the lives of the officers and the public. Moreover, despite expert evidence suggesting that plaintiffs were "totally exposed" to one officer, it was uncontroverted that all of the officers fired at the suspect when they had a clear view of him, and all officers testified that they did not see any bystanders in the area while firing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 72–77, 395, 429, 430, 433.

Opinion by PIGOTT, J.

NY JUR 2d, Government Tort Liability §§ 135, 139.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

Liability of municipal corporation for shooting of bystander by law enforcement officer attempting to enforce law. 76 ALR3d 1176.

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POINTS OF COUNSEL

Guttermann & Speiser, New York City (Barry A. Guttermann of counsel), and *Kliegerman & Joseph, LLP* (Michael P. Joseph of counsel), for appellants. Defendants' motion for summary judgment was improperly granted by the majority in the Appellate Division, First Department. (*Haddock v City of New York*, 75 NY2d 478; *Lubecki v City of New York*, 304 AD2d 224, 2 NY3d 701; *Summerville v City of New York*, 257 AD2d 566, 94 NY2d 755; *Rodriguez v City of New York*, 189 AD2d 166; *Schuster v City of New York*, 5 NY2d 75; *Ezra v Life Ins. Co. of N. Am.*, 298 AD2d 267; *Cuevas v City of New York*, 32 AD3d 372; *Bitici v New York City Tr. Auth.*, 245 AD2d 157; *Cassagnol v Williamsburg Plaza Taxi*, 234 AD2d 208; *Velez v City of New York*, 157 AD2d 370, 76 NY2d 715.)

Michael A. Cardozo, Corporation Counsel, New York City (*Susan Paulson* and *Francis F. Caputo* of counsel), for respondents. The City of New York is immune from liability in negligence as a matter of law where, in response to being shot at on a public street, the police acted in accordance with police guidelines for the use of deadly physical force. (*McLean v City of New York*, 12 NY3d 194; *Lauer v City of New York*, 95 NY2d 95; *Tango v Tulevech*, 61 NY2d 34; *McCormack v City of New York*, 80 NY2d 808; *Arias v City of New York*, 22 AD3d 436; *Lubecki v City of New York*, 304 AD2d 224; *Rodriguez v City of New York*, 189 AD2d 166; *Merenda v Consolidated Rail Corp.*, 248 AD2d 684; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Galapo v City of New York*, 95 NY2d 568.)

OPINION OF THE COURT

PIGOTT, J.

On May 27, 2005 at approximately 6:30 P.M., New York City Police Officers Williams and Loor received a complaint from a

pedestrian that two men had just attempted to rob him with a gun. The officers pursued one of the suspects from 125th Street, along Lenox Avenue, onto 126th Street. Officer Williams transmitted the attempted robbery complaint over the radio while Officer Loor drove their police cruiser to the corner of 126th Street and Lenox Avenue, parking two car lengths away from the suspect. When the officers got out of the cruiser and ordered the suspect to drop his weapon, he pointed the gun at them and started shooting. The officers returned fire and sought cover behind a trailer on the south side of the street; the suspect hid behind a van farther up 126th Street on the same side.

Officer Loor then ran from the south side of 126th Street to the north side, positioning himself behind a tree directly across the street from the suspect. The suspect fired at Officer Loor, who responded in kind. According to the pretrial testimony, Officer Loor did not see any bystanders in the area while he was shooting, and the area near the suspect was clear of pedestrians. Officer Williams—who continued using the trailer for cover—observed the suspect back onto the sidewalk from behind the van and, having a view of the suspect's profile and being concerned for Officer Loor's safety, fired one or two shots at the suspect. She testified that she did not observe any pedestrians in the area when discharging her weapon.

During the melee, three other officers appeared on the scene. Officer Garcia heard a scream from the direction of Lenox Avenue. He walked toward the commotion and observed the suspect shoot at Officers Williams and Loor and then hide behind the van. Officer Garcia took cover in a brownstone well on the north side of the street. He had a clear view of the suspect and fired at him out of concern for Officer Loor, who was taking fire; Officer Garcia did not see any pedestrians or bystanders on the street.

Officers Beddows and Eckert separately responded to the scene. Officer Beddows took cover on the north side of the street behind a cruiser. He observed the suspect firing shots from behind the van. Officer Beddows had a clear view when he fired two shots at the suspect, and he saw no pedestrians on the street other than the suspect.

Officer Eckert positioned his cruiser in front of the van. He observed only the suspect and did not see any other pedestrians on the block. He walked toward the rear of his cruiser and took

cover behind a car on the south side of the street. During the exchange of gunfire between Officer Loor and the suspect, the suspect moved to the sidewalk and Officer Eckert, having a clear view, fired one shot at the suspect. Officer Eckert reholstered his weapon and saw Officer Loor walking toward the suspect, who was lying face down on the ground. Officers Loor and Eckert met near the suspect and Officer Loor kicked the firearm away from the suspect's hand.

Plaintiff Tammy Johnson was playing with her 18-month-old daughter and socializing with neighbors on 126th Street near her residence when she heard gunshots, which sent her neighbors fleeing into the house. Johnson saw two men running toward her, one of whom was carrying a gun. Johnson and her daughter lay on the ground behind a white SUV, which was two vehicles away from the van behind which the suspect was hiding. She looked under the SUV and saw the suspect on the south side of the street lying on the ground shooting at a police officer across the street. An errant bullet struck Johnson's elbow.*

Johnson, individually and on behalf of her daughter, commenced this negligence action against the City and police officers alleging, among other things, that the officers negligently discharged their firearms in violation of department guidelines. The City interposed an answer and, upon completion of discovery, moved for summary judgment on the ground that the officers exercised their professional judgment and acted reasonably in returning fire once fired upon.

Johnson opposed the City's motion and cross-moved for summary judgment on liability, claiming that the officers violated New York City Police Department Procedure No. 203-12, entitled "Deadly Physical Force," which sets forth the guidelines for the use of firearms. The relevant guidelines state that

"a. Police officers shall not use deadly physical force against another person unless they have probable cause to believe that they must protect themselves or another person present from imminent death or serious physical injury.

"b. Police officers shall not discharge their weapons when doing so will unnecessarily endanger innocent persons."

* The evidence in the record indicates that Johnson's daughter may have been grazed by a bullet but received no treatment for it.

Johnson argued that the officers violated subsection (b).

Supreme Court denied Johnson's cross motion insofar as relevant to this appeal, and the City's motion for summary judgment, holding that although the City met its burden of establishing that the officers exercised their professional judgment, there was an issue of fact as to whether the officers violated police guidelines by discharging their weapons.

The Appellate Division, in a 3-2 decision, reversed and dismissed the complaint, holding that Johnson failed to show that the officers violated any of the guidelines. The court pointed to the uncontradicted testimony of the officers that there were no pedestrians in sight as the officers "sought to protect themselves and their fellow officers by returning fire" (65 AD3d 476, 477 [1st Dept 2009]). It concluded that, absent any proof that there were pedestrians in view, the report from Johnson's expert that there were questions of fact as to whether the officers violated police guidelines was without merit (*see id.* at 477-478). The dissenters, on the other hand, concluded that the deposition testimonies of Officers Garcia and Beddows, where they testified that they did not look for bystanders while they were shooting at the suspect, raised an issue of fact as to whether those officers violated police guidelines "by failing to even ascertain whether innocent persons were unnecessarily endangered at the time they discharged their weapons" (*id.* at 479-480). We now affirm.

The professional judgment rule insulates a municipality from liability for its employees' performance of their duties " 'where the . . . conduct involves the exercise of professional judgment such as electing one among many acceptable methods of carrying out tasks, or making tactical decisions' " (*McCormack v City of New York*, 80 NY2d 808, 811 [1992], quoting *Kenavan v City of New York*, 70 NY2d 558, 569 [1987]). Immunity under the professional judgment rule

" 'reflects a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the benefits to be had from imposing liability for that injury' " (*Mon v City of New York*, 78 NY2d 309, 313 [1991], quoting *Haddock v City of New York*, 75 NY2d 478, 484 [1990]).

This immunity, however, presupposes that judgment and discretion are exercised in compliance with the municipality's procedures, because "the very basis for the value judgment supporting immunity and denying individual recovery becomes irrelevant where the municipality violates its own internal rules and policies and exercises no judgment or discretion" (*Haddock*, 75 NY2d at 485).

The guideline here calls for such judgment, i.e., the police must not discharge their firearms if doing so would "unnecessarily endanger innocent persons." It does not prohibit officers from discharging their weapons when innocent bystanders are present in every instance. Rather, the guideline grants officers the discretion to make a judgment call as to when, and under what circumstances, it is necessary to discharge their weapons.

The officers clearly had probable cause to fire their weapons at the suspect: they were in pursuit of an armed individual who opened fire on them on a public street, endangering the lives of the officers and the public. Johnson asserts, however, that she met her burden of raising a question of fact that the officers violated the guideline because they did not survey the area to see if bystanders were present before firing at the suspect. However, on this record, it is uncontroverted that all of the officers who fired at the suspect did so when they had a clear view of him, and all testified that they did not see any bystanders in the area while firing, such that it cannot be said that the officers failed to exercise discretion in discharging their weapons. Nor is there any evidence that Johnson and her daughter were in the line of fire during the melee such that a question of fact was presented as to whether officers' discharge of their firearms violated the guideline (*cf. Lubecki v City of New York*, 304 AD2d 224 [1st Dept 2003], *lv denied* 2 NY3d 701 [2004] [violation of guideline where officers failed to call hostage negotiator and also fired at suspect when he was using hostage as a shield]; *Rodriguez v City of New York*, 189 AD2d 166 [1st Dept 1993] [officer violated police procedure by discharging weapon at suspect when there was a crowd between them]). Although Johnson submitted an affidavit from an expert who claimed that Johnson and her daughter were "totally exposed" to Officer Garcia, the expert's claim that Officer Garcia must have seen them does not answer the more basic question—did the officers exercise their judgment when confronted with an armed suspect firing at them? There is no evidence that they did not. The fact that the officers did not observe the bystanders who

were present at the time they were exercising that judgment does not raise an issue as to whether they unnecessarily endangered innocent persons.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

JONES, J. (dissenting). Because there is an issue of fact as to whether the police officers violated a New York City Police Department guideline that prohibits unnecessarily endangering innocent persons by failing to ascertain the presence of bystanders before firing their weapons, I respectfully dissent and would reverse the order of the Appellate Division.

Generally, municipalities are immunized from liability for the exercise of discretion by their agencies or officials. When official acts, including those of police officers (*see Rodriguez v City of New York*, 189 AD2d 166, 178 [1st Dept 1993]), involve the exercise of discretion or reasoned judgment, there is no liability for injuries even if the official action is negligent or malicious (*see Tango v Tulevech*, 61 NY2d 34, 40 [1983]).

However, this broad protection is neither absolute, nor automatically afforded, as the municipality must exercise discretion in compliance with its own procedures (*see Haddock v City of New York*, 75 NY2d 478, 486 [1990]). Governmental immunity will not be provided “where the municipality violates its own internal rules and policies and exercises no judgment or discretion” (*id.* at 485). In the context of police officers, immunity “does not extend to situations where the employee, a police officer, violates acceptable police practice” (*Lubecki v City of New York*, 304 AD2d 224, 233-234 [1st Dept 2003], citing *Rodriguez*, 189 AD2d at 178).

New York City Police Department Procedure No. 203-12, entitled “Deadly Physical Force,” as relevant here, commands that “b. Police officers shall not discharge their weapons when doing so will unnecessarily endanger innocent persons.”

Here, there is an issue of fact as to whether the police officers violated this elemental requirement. Record evidence establishes the presence of bystanders in the immediate area of the shooting. For example, photographic evidence indicates plaintiffs were in close proximity to the suspect, who was positioned approximately two car lengths away. A crime scene sketch, created by the Police Department Crime Scene Unit, showing the relative positions of all the individuals involved in the incident indicates that when Officer Garcia fired his weapon, he was

positioned across the street from plaintiffs and the suspect. The sketch also supports the inference that plaintiffs, who were taking cover behind a parked vehicle, should have been plainly visible to Officer Garcia as he fired at the suspect just beyond them.

Further, when questioned about the incident, Officer Garcia answered that he never affirmatively looked for pedestrians before firing his weapon. Officer Beddows similarly testified that he did not determine whether pedestrians were present before firing his weapon. In fact, he stated that he did not look for bystanders until “after pretty much everything was done.” Given the close proximity of plaintiffs to the suspect, the admitted failure of some officers to look for bystanders before firing their weapons creates a triable issue as to whether the police violated departmental guidelines prohibiting actions that unnecessarily endanger innocent persons.

While I acknowledge the difficulties faced by police officers in the performance of their duties, I find it troubling that some of the officers in this incident failed to observe the surrounding area prior to firing their weapons. Our governmental immunity precedent is premised on the inherent requirement that reasoned judgment be used in exercising discretion. And where, as here, there is evidence that police officers failed to look for innocent persons before firing their weapons, it does not seem possible to conclude as a matter of law that the necessary judgment was exercised and, concomitantly, that there was no violation of the guideline against unnecessarily endangering innocent persons. As this Court has previously stated, immunity will not be provided where “[t]here is no indication that . . . the City made any effort to comply with its own personnel procedures” (*Haddock*, 75 NY2d at 485).

The majority relies on *Rodriguez* and *Lubecki* to conclude that there is no issue of fact as to whether the officers violated guidelines because plaintiffs were not in the line of police fire. However, the applicable guideline does not merely prohibit police from discharging their weapons when there is a civilian directly in the path of police fire. *Rodriguez* and *Lubecki* dealt with facts indicating clear violations of police guidelines because of certain injury to innocent persons. In *Rodriguez*, an officer fired through a crowd at a suspect, and in *Lubecki*, officers fired at a suspect holding an innocent person hostage. While these cases present classic scenarios of endangerment, they should not be understood to be the exclusive examples of violations of

the applicable guideline. For the subject guideline's intended purpose and protections to be afforded, the exercise of reasoned judgment must be extended to situations where civilians are close enough to a target to be endangered. Here, the record establishes the presence of plaintiffs in the immediate area of the suspect and the affirmative failure of the officers to look for innocent persons before firing their weapons. In a summary judgment context particularly, where a court's function is "issue-finding, rather than issue-determination" (*Pirrelli v Long Is. R.R.*, 226 AD2d 166, 166 [1996]), plaintiffs have raised sufficient questions of fact on the issue of unnecessary endangerment to warrant a trial.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge JONES dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

Order affirmed, with costs.

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